

Bank of India, Industrial Finance Corporation, Life Insurance Corporation etc. The constitution and functions of such companies are laid down by the Act of Parliament or any State Legislature of India. Statutory companies are created and organised for specific public undertakings.

Chartered Company

Formerly in Great Britain, companies were formed by Royal Charter for specific purpose, e.g., East India Company. A Chartered Company is regulated by the terms of its Charter. In India such companies are foreign companies.

Registered Company

A company must be registered under the Companies Act. After registration, the Registrar of the companies issues a Certificate of Incorporation. After that the company becomes a Registered Company. (See ch. 3).

Unregistered Company

If an association or company is not registered it should be called unregistered company. (See 'illegal Association', p. 556). The Companies Act provides, under section 582, for the winding up of unregistered company. (See at the end of chapter 11).

Government Company and Foreign Company See pp. 557-559

ESSENTIAL FEATURES OF A COMPANY

The principal characteristics of an incorporated company can be summarised as follows :

✓ 1. *Registration* : A company comes into existence only after registration under the Companies Act. But a Statutory Corporation is formed and commence business as notified or stated in the Act and as passed in the Legislature. In case of partnership, registration is not compulsory.

2. *Voluntary Association* : A company is an association of many persons on a voluntary basis. Therefore a company is formed by the choice and consent of the members.

3. *Legal personality* : A company is regarded by law as a single person. It has a legal personality. This rule applies even in the case of "One-man Company." *Salomon v. Salomon & Co.* (ibid.).

4. *Contractual capacity* : A shareholder of a company, in its individual capacity, cannot bind the company in any way. The shareholder of a company can enter into contract with the company and can be an employee of the company.

5. *Management* : A company is managed by the Board of Directors, whole time Directors, Managing Director or Manager. These persons are selected in the manner provided by the Act and the Articles of Association of the company. A shareholder, as such, cannot participate in the management.

6. *Capital* : A company must have a capital, otherwise it cannot work.

7. *Permanent existence* : The company has Perpetual Succession. The death or insolvency of a shareholder does not affect its existence. A company comes into end only when it is liquidated according to provisions of the Companies Act.

8. *Registered Office* : A company must have a registered office.

9. *Common Seal* : A company must have a Common Seal.

10. *Limited Liability* : The liabilities of shareholder of a company are usually limited. The creditors of a company are not creditors of individual shareholders and a decree obtained against a company cannot be executed against any shareholders. It can only be executed against the assets of the company.

11. *Transferability* : The shareholder of a company can transfer its share and ordinarily the transferee becomes a member of the company.

12. *Statutory Obligations* : A company is required to comply with various statutory obligations regarding management, e.g., filing balance sheets, maintaining proper account books and registers etc.

13. *Not a citizen* : A company is an artificial person, not a natural person. Therefore a company is not a Citizen, although it may have a Domicile. *State Trading Corporation of India v. C. T. O.*¹ *Divisional Forest Officer v. Bishwanath Tea Co. Ltd.*²

14. *Residence* : A company has a residence (for taxation and other purpose). A company does not possess any fundamental rights. *Tata E. & L. Co. Ltd. v. State of Bihar.*³

¹ AIR (1953) Supreme Court 1811 ² AIR (1981) Supreme Court 1368

³ AIR (1965) Supreme Court 40

✓ 15. *No fundamental rights*: Though a company has no fundamental rights, it can challenge a law as void if the law happens to violate fundamental rights of citizens. In order to succeed the company must prove that the impugned law is expropriatory of a citizen's property. *Prithvi Cotton Mills v. Broach Borough Municipality*.¹

"It is true that the Statesman newspaper being a Company has no fundamental rights. But the fundamental rights of the shareholders of the Company as citizens are not lost when they associate to form a company. The shareholders' rights are equally and necessarily affected if the rights of the Company are affected." *Statesman Ltd. and others v. Fact Finding Committee and others*.²

✓ 16. *Social Objective*: The present view as regard the legal nature of Company Law is that the Company is a social institution having duties and responsibilities toward the community, its workers, the national economy and progress. (See next topic).

✓ 17. *Centrally Administrated*: The administration of Company Law is entrusted to the Central Government. (See chapter 10).

✓ 18. *"Lifting the veil" of the company*: See ch. 10.

Is a Company a Property of the Shareholders ?

The new Concept of Company. There has been a considerable debate as to whether a Company is the property of the shareholders. In the case, *National Textile Workers' Union v. P. R. Ramakrishnan*³ the views of Supreme Court are quoted below :

It is now accepted on all hands, even in predominantly capitalist countries, that a company is not property. The traditional view that the company is the property of the shareholders is now an exploded myth. A company according to the new socio-economic thinking, is a social institution having duties and responsibilities towards the community in which it functions. Maximisation of social welfare should be the legitimate goal of a company and shareholders should be regarded not as proprietors of the company, but merely as suppliers of capital entitled to no more than reasonable return and the company should be responsible not only to shareholders but also to workers, consumers and the other members of the community and should be guided by considerations of national economy and progress.

¹ AIR (1968) Guj. 124

² AIR (1975) Cal 14

³ AIR (1983) Supreme Court 75

COMPANY AND PARTNERSHIP

The points of difference between a Partnership and a Company can be summed up as follows.

A company is regulated in accordance with the Companies Act, 1956 and its subsequent amendments, while a partnership is regulated by the Indian Partnership Act, 1932.

1. *Registration* : A company comes into existence only after registration under the Companies Act. In the case of a partnership, registration is not compulsory.

2. *Minimum number of members* : The minimum number of persons required to form a company is 2 in the case of private companies and 7 in the case of public companies. The minimum number of persons required to form a partnership is 2.

3. *Maximum number of members* : A public company may have any number of members. A private company cannot have more than 50 members. A partnership carrying on banking business cannot have more than 10 members and partnership carrying on other types of business cannot have more than 20 members.

4. *Legal status* : A company is regarded by law as a single person. It has a legal personality. A partnership is a collection of individuals. It is not considered to be a single person.

5. *Authority of members* : The property of a partnership is the joint property of the partners. Each partner has authority to bind the firm by his acts. The property of the company belongs to the company. A shareholder in his individual capacity cannot bind the company in any way.

6. *Contractual capacity* : The shareholder of a company can enter into contracts with the company and can be an employee of the company. Partners can contract with other partners but not with the firm as a whole.

7. *Management* : A partnership firm is managed by the partners themselves. The work of management can be distributed among them in any manner they like.

A company is managed by the Board of Directors or Whole Time Directors or Managing Directors or Manager who are selected in the manner provided by the Act. A shareholder, as such, cannot participate in the management.

8. *Length of existence* : A company has perpetual succession. The death or insolvency of a member does not affect its existence.

It comes to an end only when liquidated according to the provisions of the Companies Act. A partnership, in the absence of a contract to the contrary, comes to an end when a partner dies or becomes insolvent.

9. *Liability of members* : The liability of the members of a partnership for the debts of the firm is unlimited. The liability of the members of a company is limited.

10. *Liability of firm and company* : The creditors of a firm are creditors of the individual partners, and a decree obtained against a firm can be executed against the individual partners. The creditors of a company are not creditors of the individual shareholders and a decree obtained against a company cannot be executed against any shareholder. It can only be executed against the assets of the company.

11. *Transferability* : A partner of a firm cannot transfer his interest in the firm to an outsider and make the transferee a partner without the consent of all the other partners. The shareholder of a company can ordinarily transfer his share and the transferee becomes a member of the company.

12. *Statutory obligations* : A company is required to comply with various statutory obligations regarding management, e.g., filing balance sheets, maintaining proper account books and registers. In the case of partnership there are no such statutory obligations.

TYPES OF COMPANIES

There are two types of companies—Public and Private.

1. Private Company

A private company is one which, by its articles, (a) restricts the right of the members to transfer their shares, if any ; (b) limits the number of its members (not counting its employees) to 50 ; and (c) prohibits any invitation to the public to subscribe for any shares in, or debentures of, the company.—Sec. 3(1)(iii).

Where two or more persons hold one or more shares in a company jointly, they shall, for the purposes of this definition, be treated as a single member.

2. Public Company

All companies other than private companies are called public companies.—Sec. 3(1)(iv).

Public companies may be classified into three types : (i) companies limited by shares, (ii) companies limited by guarantee, and (iii) unlimited companies.

Private companies may be limited by shares or limited by guarantee. There cannot be a private company with unlimited liability.

Company Limited by Shares

In these companies there is a share-capital, and each share has a fixed nominal value which the shareholder pays at a time or by instalments. The member is not liable to pay anything more than the fixed value of the share, whatever may be the liabilities of the company. Most of the companies in India belong to this class.

Company Limited by Guarantee

In these companies, each member promises to pay a fixed sum of money in the event of liquidation of the company. This amount is called the Guarantee. Sometimes the members are required to buy a share of a fixed value and also give a guarantee for a further sum in the event of liquidation. There is no liability to pay anything more than the value of the share (where there is a share) and the guarantee.

Unlimited Company

In these companies the liability of the shareholder is unlimited, as in partnership firms. Such companies are permitted under the Companies Act but are not known.

Statutory Public Company See p. 552

Non-Profit Associations

The Central Government may by licence, permit the omission of the words Limited or Private Limited in the case of companies which are formed for promoting commerce, art, science, religion, charity or any other useful object, and which are non-profit and non-dividend-paying organisations (e.g., Chambers of Commerce). The licence given may be withdrawn if the company ceases to fulfil the conditions mentioned above.—Sec. 25.

At the time of granting the registration of such an association, the Central Government can provide restrictions on their working.

The Government can direct the inclusion of the restrictions in the memo and the articles of association of the institution. After registration its members can get all the benefits of the Companies Act, including limited liability. The Central Government can exempt any of the restrictions by a general or a special notification.

BODY CORPORATE OR CORPORATION

“Body Corporate” or “Corporation” includes a company incorporated outside India but does not include—(a) a corporation sole ; (b) as co-operative society registered under any law relating to co-operative societies ; and (c) any other body corporate (not being a company as defined in this Act) which the Central Government may, by notification in the official Gazette, specify in this behalf.—Sec. 2(7).

The term Body Corporate or Corporation is used in a special sense. It includes companies incorporated outside India. It does not include a co-operative society under any law relating to such societies. It does not include a corporation sole.

Corporations are of two types viz., Corporation Aggregate and Corporation Sole. The former is formed by a group of persons for the performance of a common object e.g., an incorporated company. The latter, i.e., a corporation sole is formed by one member at a time. A Kingship in England or President of India is a Corporation Sole. *Examples* : When a king dies another person becomes king and when the President of India dies or retires another President is elected. Thus in a Corporation Sole one person succeeds another person.

EXISTING COMPANY

Existing Company means a company formed and registered under any of the previous company law specified below—

(a) Any Act or Acts relating to companies in force before the Indian Companies Act, 1866 and repealed by that Act :

(b) The Indian Companies Act, 1866 ;

(c) The Indian Companies Act, 1882 ;

(d) The Indian Companies Act, 1913 ;

(e) The Registration of Transferred Companies Ordinance, 1942 ; and

(f) Any law corresponding to any of the Acts or the Ordinance aforesaid and in force—

- (1) in the merged territories or in a Part B State (other than the State of Jammu and Kashmir), or any part thereof, before the extension thereto of the Indian Companies Act, 1913 ; or
- (2) in the State of Jammu and Kashmir, or any part thereof, before the commencement of the Jammu and Kashmir (Extension of Laws) Act, 1956.—Sec. 3(1)(ii).

GROUP

“Group” means a group of two or more individuals, associations, firms or bodies corporate, or any combination thereof, which exercises or is in a position to exercise, or has the object of exercising, control over any body corporate, firm or trust.—Sec. 2(18A).

Explanation—The Company Law Board will decide whether the term ‘group’ comes within the above definition or not. The Board must give a reasonable opportunity of being heard to the individuals, associations, firms, bodies corporate or any combination thereof.

The above provision was inserted in the Companies Amendment) Act, 1974.

PUBLIC FINANCIAL INSTITUTIONS

“4A. (1)—Each of the financial institutions specified in this subsection shall be regarded, for the purposes of this Act, as public financial institution, namely—

- (i) The Industrial Credit and Investment Corporation of India Limited, a company formed and registered under the Indian Companies Act, 1913 ;
- (ii) the Industrial Finance Corporation of India, established under section 3 of the Industrial Finance Corporation Act, 1948 ;
- (iii) the Industrial Development Bank of India established under section 3 of the Industrial Development Bank of India Act, 1964 ;
- (iv) the Life Insurance Corporation of India, established under section 3 of the Life Insurance Corporation Act, 1956 ;

(v) the Unit Trust of India, established under section 3 of the Unit Trust of India Act, 1963.

(2) Subject to the provisions of sub-section (1), the Central Government may, by notification in the official Gazette, specify such other institution as it may think fit to be a public financial institution.

Provided that no institution shall be so specified unless—

- (i) it has been established or constituted by or under any Central Act, or
- (ii) not less than fifty-one per cent of the paid-up share capital of such institution is held or controlled by the Central Government."

The above section was added by the Companies (Amendment) Act, 1974.

Classification on the Basis of Control : In accordance with the basis of Control, Companies may be classified into—

- (1) Holding Company ;
- (2) Subsidiary Company.

HOLDING COMPANY AND SUBSIDIARY COMPANY

If a company can control the policies of another company

(i) through the ownership of its shares or (ii) through control over the composition of its Board of Directors, the former (*i.e.*, the *controlling* company) is called a Holding Company and the latter (*i.e.*, the *controlled* company) is called its Subsidiary.

Sec. 4 of the Act lays down that a company shall be deemed to be a subsidiary of another company *only if* any one or more of the following conditions are satisfied :

(a) If the composition of its Board of Directors is controlled by the other company.

(b) (1) If it is an existing company in which the holders of preference shares (issued before the commencement of the Act of 1956) have the same voting rights as the holders of equity shares, and the other company exercises or controls more than half of the total voting power of such company ; or

(2) in any other case, if the other company holds more than half in nominal value of its equity share capital.

(c) If it is the subsidiary of a company which is itself the subsidiary of another company. [See example (3) below.]

The following points are to be noted :

1. The composition of a Company's Board of Directors shall be deemed to be controlled by another company if that other company can appoint or remove the holders of all or a majority of the directorship.—Sec. 4(2).

2. In determining whether one company is a subsidiary of another, the shares held in a fiduciary capacity or as security for a loan or by virtue of any provision in any debentures, shall not be counted. But shares held as a nominee shall be counted, except in the three cases mentioned above (in a fiduciary capacity etc.).—Sec. 4(3).

3. A foreign company may be treated as a subsidiary under certain circumstances.—Sec. 4(6) and 4(7).

Examples :

- (1) X Co. holds 55 shares of Y Co. The subscribed shares of Y Co. consist of 100 shares. X Co. is a holding company and Y Co. is its subsidiary.
- (2) P Co. holds 20 shares of Q Co. The subscribed share capital of Q Co. consists of 50 shares. By an agreement between the companies P Co. has the power to appoint 3 directors in Q Co. The articles of Q Co. provides that there shall be only 4 directors. P Co. is a holding company and Q Co. is its subsidiary.
- (3) If company A has a subsidiary B and B has a subsidiary C, C will be regarded a subsidiary of A. If Company D is a subsidiary of Company C, Company D will be a subsidiary of Company B and consequently also of Company A.
- (4) A holding company and its subsidiaries are separate companies, each being a distinct legal entity. The holding company need not intervene in a suit filed by a subsidiary company against another subsidiary company. *Turner Morrison & Co. v. Hungerford Investment Trust Ltd.*¹

DIFFERENCES BETWEEN A PRIVATE COMPANY AND A PUBLIC COMPANY

The main points of difference between the two types of companies are enumerated below.

1. *Number of members* : The number of members in a private company cannot be less than two and cannot be more than fifty.

¹ AIR (1969) Cal. 238.

In a public company, the number of members cannot be less than seven but no maximum has been fixed. There may be any number of members.

2. *Restrictions on transfer of shares* : In a private company there must be regulations restricting the transfer of shares. In a public company there need not be any. By restricting transfer, a private company can prevent the membership of persons or classes of persons who are considered to be undesirable.—Sec. 3(1)(iii)(a).

3. *Restriction on invitation to public* : A private company cannot invite the public to purchase its shares or debentures. A public company may do so.—Sec. 3(1)(iii)(c).

4. *Restriction on name* : A private company must add the words, "Private Limited" at the end of its name.—Sec. 13.

5. *Prospectus* : A private company need not file a prospectus or a statement in lieu of prospectus.—Sec. 70(3).

6. *Issue of rights shares* : When a public company proposes to increase its subscribed capital by the issue of new shares, it must be offered first to the existing equity shareholders *pro rata*, unless the members in a general meeting decide otherwise. This provision does not apply to private companies.—Sec. 81(3).

7. *Commencement of business* : A private company can commence business immediately on incorporation, whereas a public company has to wait until it obtains a certificate for the Commencement of Business.—Sec. 149(7).

8. *Statutory Meeting and Statutory Report* : A private company need not hold the Statutory Meeting or file the Statutory Report.—Sec. 165(10).

9. *Managerial Remuneration* : In the case of public companies there are certain limits to managerial remuneration. This rule does not apply to a private company which is not a subsidiary of a public company.—Sec. 189.

10. *Number of directors* : The Act provides that a private company must have at least 2 directors and a public company at least 3 directors.—Sec. 232.

11. *Rules regarding directors* : The rules regarding directors are less stringent in the case of private companies which are not subsidiaries of public companies. Following examples are given :

It is not necessary to file with the Registrar the consent of a director to act as such; amendment of articles regarding appointment of whole-time or non-rotational directors do not require the previous sanction of the Government; provisions regarding the share qualifications of directors laid down in Sections 270-272, do not apply; a private company may provide additional grounds for disqualification of directors and their vacation from office; private companies can give loans to directors; directors of a private company may participate in the discussions of the Board of Directors where contracts in which they are personally interested are being dealt with; the restrictions regarding the appointment of managing directors laid down in Sections 316 and 317 do not apply to private companies; etc.

12. *Company's own share* : In a private company any person can get financial assistance for purchasing the company's own share.

13. *Procedure of meeting* : The law relating to the procedure of Meeting is relaxed in a private company.

14. *Appeal against transfer* : Under certain circumstances, shareholders have no right to appeal against the Board of Directors, if it refuses to register their transfer of shares.

15. *Memo of Contract* : In the case of a public company, if an agent enters into an agreement in which the company is the undisclosed principal, he must make a memorandum of the contract and keep it with the company, otherwise the agreement is not binding on the company. The rule is not applicable to a private company, unless it is a subsidiary of a public company.—Sec. 416.

Privileges of private companies

The main privileges given to private companies, under the Companies Act of 1956, are enumerated in paras 5—15 stated above.

PRIVATE COMPANY INTO A PUBLIC COMPANY

Conversion

A private company can be converted into a public company by procedure stated as follows :

I. By resolution

Section 44 provides the method by which a private company *can be converted* into a public company, viz.,

- (a) by passing a special resolution altering its articles so as to eliminate the three restrictions on private companies (viz., limitation of the number of members to 50; restrictions on the transfer of shares; prohibition of invitation to the public to buy shares or debentures), and
- (b) filing with the Registrar, within 50 days, a prospectus or statement in lieu of prospectus.

II. By default

A private company may become a public company *by default*, as provided in Section 43.

If a private company fails to comply with the essential requirements of a private company (viz., restrictions on transfer of shares; limitation of the number of members to 50; and, prohibition of invitation to the public to buy shares or debenture) it shall cease to enjoy the privileges of private companies and the company will be treated as if it were a public company.—Sec. 43.

The court may relieve the company from the consequences of non-compliance of the aforesaid restrictions, if it is of opinion that the non-compliance was accidental or was due to inadvertence.

III. By Creating a Statutory Public Company

Where not less than 25% of the paid-up share capital of a private company (having a share capital) is *held by* one or more *bodies corporate*, the private company shall become a public company on and from the date on which the aforesaid percentage is first held.—Sec. 43A. A company of this type has been called, “Statutory Public Company” or “Companies deemed to be public.”

The following further provisions of Section 43A are to be noted.

1. *Privileges*: Even after a private company has become a public company by virtue of Sec. 43A, its articles of association may continue to have the three restrictions characteristic of

private companies (*viz.*, limitation of members to 50, restrictions on the transfer of shares and prohibition of invitation to the public to buy shares). The number of members of such a 'public' company may also be reduced to below 7. It may continue to have only two directors.

2. *Computation* : In computing the aforesaid percentage, no account shall be taken of the shares of the company held by a Banking Company on trust or as executors, etc.

3. *Notice* : A private company must inform the Registrar within 3 months of its becoming a public company under this section. The Registrar shall delete the word 'private' from the name of the company and shall also make the necessary alterations in the Certificate of Incorporation and the Memorandum of Association of the company.

4. *Approval* : A private company becoming a public company under this section shall continue as such until it has, with the approval of the Regional Director of the Company Law Board and in accordance with the provisions of the Act, again become a private company.

5. *Exceptions* : Section 43A does not apply to the following cases :

- (a) to a private company of which the entire paid-up share capital is held by another single private company or by one or more bodies corporate incorporated outside India ; or,
- (b) to any other private company which satisfies *all* the following conditions, *viz.*, (i) the shareholding companies are all private companies, (ii) no share of a shareholding company is held by a body corporate, and (iii) the total number of shareholders of the shareholding company or the number of shareholding companies together with the individual shareholders does not exceed fifty ; or,
- (c) to a private company in which shares are held by one or more bodies corporate incorporated outside India which (or each of which) if incorporated in India, would be a private company. In this case an order of the Central Government is necessary. This exception was added in 1965.

IV. Automatic Conversion

Where the average annual turnover of a private company, whether in existence at the commencement of the Companies (Amendment) Act, 1974, or incorporated thereafter, is not, during

the relevant period, less than rupees one crore, the private company shall, irrespective of its paid-up share capital, become, on and from the expiry of a period of three months from the last day of the relevant period during which the private company had the said average annual turnover, a public company by virtue of this subsection.—43A(1A), Companies (Amendment) Act, 1974.

Section 43A of the Companies Act has also been amended in 1988. Previously, a private Company whose average annual turnover was not less than rupees one crore was considered a public company. In sub-Section (1A) for the words “less than rupees one crore”, the words “less than such amount as may be prescribed” shall be substituted.

After the commencement of the Companies (Amendment) Act, 1988 a private company accepting deposits from the public will become a Public Company and thereupon all the provisions of this section shall apply thereto.

The following points are to be noted :

1. The above provisions were enforced from 1st February, 1975.

2. A private company which was converted to a public company (under the above rules) may be or may at any time be, reduced to below seven.

3. “Relevant period” means a period of three consecutive financial years—

- (i) immediately preceding the commencement of the Companies (Amendment) Act, 1974 or
- (ii) a part of which immediately preceded such commencement and the other part of which immediately followed such commencement, or
- (iii) immediately following such commencement or at any thereafter.

4. “Turnover”, of a company means the aggregate value of the realisation made from the sale, supply or distribution of goods or on account of services rendered, or both, by the company during a financial year.

PUBLIC COMPANY INTO A PRIVATE COMPANY

Conversion

If a Public Company wants to convert itself into a Private Company, it must adopt the following procedure.

1. There must be a Special Resolution altering the articles which (a) restricts the right of the members to transfer their shares, if any; (b) limits the number of its members (not counting its employees) to 50; (c) prohibits any invitation to the public to subscribe for any shares in, or debentures of the company.—Sec. 31(1).

2. After the resolution is passed by the company, it must be approved by the Central Government.

3. The company must file a printed copy of the articles as altered, to the Registrar, within one month of the approval of the Central Government.—Sec. 31(2A).

4. Confirmation by the Court is not necessary.

RESULTS OF CONVERSION

1. A private company loses its privileges when a private company becomes a public company by the methods stated above.

2. The conversion of a public company into a private company, and *vice-versa*, does not change the incorporation of the company.

It also does not affect the legality of the old company or its legal personality of the company. *Hindustan Lever Ltd. v. Bombay Soda Factory*.¹

3. Sec. 43A of the Companies Amendment Act, 1960, has created a mixture between a private company and a public company. A private company, formed by holding bodies corporate (see under III, p. 723) is private in name only but it is actually public. A company of this type has been called, "Statutory Public Company" or "Companies deemed to be Public".

4. The amendment of Companies Act in 1974 also created a mixture between private company and a public company. If a private company has a turnover of Rs. one crore or more, it will be deemed to be a public company. Even under a mixed company, the Government has the power to change the composition of the board of directors, fix the remuneration of the directors, give directions regarding the activity of the companies etc.

FALLING BELOW THE MINIMUM MEMBERSHIP

If the number of members of a public company is reduced to below 7 and that of a private company to below 2 and the

¹ AIR (1964) Mys. 173

company carries on business for more than six months while the number is so reduced, every person who remains a member after six months and is aware of the fact of shortage of members, shall be *personally liable* for all the debts of the company contracted during that time.—Sec. 45.

The company can also be wound up by order of court.

Examples :

- (1) In a public limited company there were seven members. The shares of one member were sold by Court auction and were purchased by another member of the same company. The minimum number of membership is reduced to six.
- (2) A private company was formed with two persons, the father and his son. The son was the only heir of the father. The father died and all his shares devolved to his son. The minimum number of membership is reduced to one.

COMPANY AND AN ILLEGAL ASSOCIATION

An association of more than 10 persons carrying on business in banking or an association of more than 20 persons carrying on any other type of business must be registered under the Companies Act. If it is not so registered it is deemed to be an illegal association. Such an association suffers from many disabilities. (i) It has no legal existence. (ii) It cannot enter into contracts. (iii) It cannot sue its members or outsiders for money. (iv) Every member of such an association is personally responsible for all debts incurred by the association. (v) Each such member is liable to be prosecuted in the criminal courts and fined up to Rs. 1,000.

The effect of the aforesaid provisions (which are contained in Sec. 11 of the Companies Act) is to make illegal, a partnership business consisting of more than 10 partners in the case of banking companies and more than 20 partners in other cases. But these rules do not apply to the case of a Joint Hindu Family Firm.

The Act contains provisions for the winding up of unregistered associations.

Classification on the Basis of Ownership :

In accordance with the basis of ownership, a company may be classified into :

- (1) government company, (2) non-government company.

GOVERNMENT COMPANY

Definition

A Government Company is one in which not less than 51% of the paid up share capital is held by the Central Government and/or any State Government or Governments or by any two or more of them together. The subsidiary of such a company is also a Government Company.—Sec. 617.

Rules regarding Government Companies

The Act of 1956 contains the following rules regarding Government Companies ;

1. Auditors of Government Companies are to be appointed by the Central Government on the advice of the Comptroller and Auditor General of India.—Sec. 619(2).

2. The Comptroller and Auditor General can direct the manner in which the Company's accounts shall be audited. He can conduct a supplementary test audit of the Company's accounts by officers appointed by him. The auditor must submit a copy of the audit report to him and his comments thereon are to be placed before the annual general meeting of the Company.—Sec. 619(3) to (5).

3. Where the Central Government is a member of a Government company, an annual report on its working and affairs (together with the audit reports and comments thereon) must be submitted to the Parliament. Where any State Government is a member of a Government Company, such documents must also be placed before the State legislature or legislatures.—Sec. 619A.

4. The Central Government may by notification, direct that any of the provisions of the Companies Act shall not apply to any Government Company or apply (other than the provisions noted under 1 to 3 above) with such exceptions, modifications and adaptations as may be specified in the notification.—Sec. 620(1).

A copy of every notification, proposed to be issued, must be laid in draft before both Houses of Parliament for a total period of thirty days which may be comprised in one session or in two or more successive sessions and if, before the expiry of the session immediately following the session or the successive sessions aforesaid, either House disapproves of the issue of the

notification, it shall not be issued. If either House approves the issue of the notification subject only to modifications, it shall be issued only with such modifications as may be agreed upon by both the Houses.—Sec. 620(2).

5. Section 619(2) of the Companies (Amendment) Act, 1974, provides that Sec. 224(1B) and (1C) shall apply to the appointment and re-appointment of auditors.

6. The provisions of section 619 shall apply to a company in which not less than fifty-one per cent of the paid-up share capital is held by one or more of the following or any combination thereof, as if it were a Government company, namely—

- (a) the Central Government and one or more Government companies ;
- (b) any State Government or Governments and one or more Government companies ;
- (c) the Central Government, one or more State Governments and one or more Government companies ;
- (d) the Central Government and one or more corporations owned or controlled by the Central Government ;
- (e) the Central Government, one or more State Governments and one or more corporations owned or controlled by the Central Government ;
- (f) one or more corporations owned or controlled by the Central Government or the State Government ;
- (g) more than one Government company.—Sec. 619B, Companies (Amendment) Act, 1974.

7. On 7th June, 1976 it was notified that a Government company can hold vacant land in excess of statutory ceiling.

Case Law :

- (1) *Application* : A Government Company may in proper cases be wound up. A scheme about it may also be sanctioned by the court. But a company cannot at once be a Government Company and also a Foreign Company within the Companies Act. *In re River Steam Navigation Co. Ltd.*¹
- (2) *Juristic personality of government company* : A company registered under the Companies Act has a legal entity of its own separate from that of its shareholders, whoever they may be e.g., the Central Government and/or the State Governments, and their nominees. *State*

*Trading Corporation v. Commercial Tax Officer.*¹ The Company and the shareholders are distinct entities. This fact does not make the company an agent either of the President or the Central Government. *Heavy Engineering Mazdoor Union v. State of Bihar.*² Government companies registered under the Act are non-statutory companies and have a juristic personality of their own like any other company registered under the Act or any other previous companies Act. *Praga Tools Corporation v. C. V. Imanuel.*³

- (3) *Position of employee* : A Government company is not identified with the State and its employees are not holders of civil posts under the State. *Ranjit Kumar Chatterjee v. Union of India.*⁴
- (4) *Orders by the Government* : Certain directives were issued by the President of India from time to time, with regard to the conduct of the business of the Company's Directors. The Directors are bound to give immediate effect to the directives so issued. *Fertilizer Corpn. of India v. The Workmen.*⁵

FOREIGN COMPANIES

Definition

Companies falling under the following two classes are called Foreign Companies.—Sec. 591. :

(a) Companies incorporated outside India which, after the commencement of the Act of 1956, established a place of business within India.

(b) Companies incorporated outside India which have, before the commencement of the Act of 1956, established a place of business within India and continue to have the same at the commencement of the Act.

Rules regarding Foreign Companies

The Companies Act contains the following provisions regarding Foreign Companies.

1. Documents

A foreign company shall within 30 days of the establishment of a place of business in India, deliver to the Registrar for registration—a certified copy of its memo, articles, charter and/or statutes by which it is incorporated : particulars regarding its Directors and Secretary ; addresses of its registered office and

¹ AIR (1963) Supreme Court 1811 ² AIR (1970) Supreme Court 82

³ AIR (1969) Supreme Court 1306 ⁴ AIR (1969) Cal. 95

⁵ AIR (1970) Supreme Court 867

principal place of business ; and name and address of person or persons resident in India authorised to accept service of notices and processes on behalf of the company.—Sec. 592.

Alterations in any of the documents or particulars mentioned above must be immediately notified to the Registrar.—Sec. 593.

2. Accounts

A foreign company must prepare a balance sheet and profit and loss account in the same manner as companies under the Act of 1956 and submit three copies of the same to the Registrar. The Central Government may modify or cancel the application of this rule for any company.—Sec. 594.

3. Name

The name of a foreign company together with the name of the country where it is incorporated, must be conspicuously exhibited (on the outside of every office or place where it carries on business in India) in English and in one of the local languages.—Sec. 595(b).

Its name and the name of the country where it is incorporated must also be stated in English in all business letters, bill heads and letter paper and in all notices and other official publications of the company.—Sec. 595(c).

If the liability of the members of the company is limited, the fact must be stated in English and one of the local languages, on the outside of every office or place where it carries on business in India, and on its letter paper, bill heads etc.—Sec. 595(d).

4. Registers etc.

Provisions of the Act relating to registration of charges, appointment of receivers and the keeping of registers, documents and books of accounts, apply to foreign companies.—Sec. 600.

5. Prospectus

A prospectus inviting subscriptions for shares or debentures issued by a foreign company must state the following particulars—name of the Company in English ; name of the country in which it is incorporated ; whether the liability of the members is limited ; particulars regarding its constitution, date of incorporation, addresses of its registered office and principal place of business ; and matters required to be included in a

prospectus issued by an Indian Company. Before it is issued, the prospectus must be registered with the Registrar. If there are untrue statements in the prospectus, the persons responsible for its issue are liable to the same extent and in the same manner as in the case of Indian Companies.—Sections 595(a), 603-8.

6. If one or more citizens of India (or by one or more bodies incorporated incorporated in India) whether singly or together of them, hold not less than 50% of the paid up share capital (whether equity or preference or of them together) of a company incorporated outside India and having an established place of business in India such company shall comply with the provision of the Act as if it were a company incorporated in India.—Sec. 591, Companies (Amendment) Act, 1974.

7. On and from the commencement of Companies (Amendment) Act, 1974, the provisions of the following subjects apply to foreign companies, so far as possible—Annual Return (Sec. 159), Books of Accounts (Sec. 209, 209A), Special Audit (Sec. 233 A and B) and the power of the Registrar to call for information. (Secs. 234 to 246).—Sec. 600.

8. Penalties

If the rules mentioned above are not complied with, the company and every officer or agent of the company who is in default may be punished.—Sec. 598.

9. Winding up

Where a body corporate incorporated outside India, which has been carrying on business in India, ceases to carry on business in India it may be wound up as unregistered company according to the provisions of Part X of the Act. (Sec. Ch. 11). A foreign company's business in India can be wound up even in cases where it has been dissolved or ceases to exist by virtue of the laws of the country where it was incorporated.—Sec. 584.

JURISDICTION OF COURTS

Suits relating to the constitution of a company and its winding up are ordinarily dealt with in the High Court of the area in which the registered office of the company is situated. But the Central Government may, by notification, confer power on a District Court to try certain matters relating to companies.—Sec. 10.

Suits of other types (e.g., money suits) by or against the company, may be tried by all Courts. Which court will try the suit is determined by the rules regarding jurisdiction of courts as laid down in the Civil Procedure Code.

COMPANY LAW BOARD

The Company Law Board is a Board, appointed by the Central Government with not more than nine members. It exercises certain functions relating to Company Law, delegated to it by the Central Government. There are four regional directors of the Company Law Board stationed at Mumbai, Kolkata, Kanpur and Chennai. Certain powers of the Board have been delegated to them.—Sec. 10E.

Under the Companies (Amendment) Act of 1974, the Board was empowered to form two more Benches (among the members), exercising the Board's power. Every Bench has powers which are vested under a court under the Code of Civil Procedure, namely, discovery, attendance witnesses production of document etc.

The Company Law Board has been vested with some powers. The important powers are enumerated below :

1. Alteration of memorandum e.g., change of the Object Clause and the change of registered office from one state to another—Sections 17, 18 and 19. (See p. 572).

2. Sanction for issue of shares at a discount.—Sec. 79.

3. Rectification of register of charges.—Sec. 141.

4. Calling extraordinary general meeting.—Sec. 186.

Section 10E of the principal Act has been amended and the amending provision states that the Company Law Board shall exercise and discharge such power and functions as may be conferred on it by this Act of 1988.

The Company Law Board shall in the exercise of its power under this Act, shall be guided by the principles of natural justice and shall act in its discretion.

Subject to the provision of this section the Company Law Board shall have power to regulate its own procedure.

Section 10F of the Company Act has been amended and the amending provision states that any person aggrieved by any decision or order of the Company Law Board may file an appeal to the High Court within sixty days from the date of communication of the decision or order of the Company Law Board relating to any question of law emerging from such order.

ADVISORY COMMITTEE

For the purpose of advising the Central Government and the Company Law Board on such matters arising out of the administration of the Companies Act as may be referred to it by the Government or Board, the Central Government may constitute an Advisory Committee consisting of not more than five persons, with suitable qualifications,—Sec. 410, as amended in 1965. Formerly this body was known as the Advisory Commission.

EXERCISES

1. An incorporated company is a "totally different person or thing or entity from its members—the individuals comprising it." Explain and illustrate. (Pages 540-542)
2. Distinguish between the following :
 - (1) Partnership and a Company. (Pages 543-544)
 - (2) A Public Company and a Private Company. (Page 549)
 - (3) A Holding Company and a Subsidiary Company. (Page 548)
 - (4) Company and Illegal Association. (Page 556)
 - (5) Registered Company and Unregistered Company. (Page 540)
3. Write notes on the following : Statutory Company ; Chartered Company ; Body Corporate ; Existing Company ; Group ; Public Financial Institution ; Advisory Committee. (Pages 539 ; 540 ; 546 ; 547 ; 563)
4. State the rules relating to conversion of a private company into a public company and *vice versa*. (Pages 551-555)
5. State the procedure for the conversion of a public company into a private company. (Pages 554-555)
6. State the circumstances in which a Private Company will automatically become a Public Company. (Pages 553-554)
7. What is the effect of the failure by a private company to observe the limitations and restrictions placed upon it by the Companies Act ? (Pages 554-555)
8. What is the liability of the member of a private company which continues to do business where the number of member is reduced to, below two ? (Page 555)
9. Comment on : A company is a legal person and it has identity separate from members comprising it. (Page 538)
10. Define a "Government Company". State the rules of the Company Act relating to Government Companies. (Page 557)
11. What are the provisions relating to Foreign Companies in India ?
12. Point out the difference between a private company and a public company. (Page 549)

13. Objective Questions.

- (a) When all members have unlimited liabilities in a limited company? (Page 556)
- (b) What is illegal association? (Page 556)
- (c) What is meant by a company? (Page 558)

14. *Problem* : A public limited company has only seven shareholders. All the shares are fully paid up. The shares of one of the shareholders were sold in a court auction and were purchased by another shareholder of the company to the knowledge of all the other shareholders. The company continued to carry on the business thereafter. What are the legal consequences of this transaction? (Page 556)

THE MEMORANDUM AND ARTICLES OF ASSOCIATION

DEFINITIONS AND DIFFERENCES

Definition of Memo

The Memorandum of Association is a document which contains the fundamental rules regarding the constitution and activities of a company. It is the basic document which lays down how the company is to be constituted and what work it shall undertake. The purpose of the memorandum is to enable the members of the company, its creditors, and the public to know what its powers are and what is the range of its activities. The memorandum contains rules regarding the capital structure, the liability of the members, the objects of the company, and all other important matters relating to the company. The memorandum is altered only after certain formalities are observed.

The Importance of the Memo

The Memorandum shows the range of the enterprise. The memorandum is the foundation on which the superstructure of the company has been built up. It enables the shareholders, creditors and outsiders to show the permitted activities of the company. *Egyptian Salt and Soda Co. Ltd. v. Port Salid Salt Association Ltd.*¹ (See p. 574 and p. 580).

Definition of Articles

The Articles of Association is a document which contains rules, regulations and bye-laws regarding the internal management of the company. Articles must not violate any provision of the memorandum or any provision of the Companies Act. The rules laid down in the articles must always be read subject to the rules contained in the memorandum.

Relationship

Lord Cairns in *Ashbury Railway Carriage & Iron Co. v. Riche*,² described the relationship between the memorandum and the articles in this language : "The memorandum is as it were,

¹ (1931) A.C. 677

² (1875) 7 H.L. 653

the area beyond which the actions of the company cannot go ; inside the area, the shareholders may make such regulations for their own government as they think fit.”

1. The Articles are subordinate to Memorandum.
2. The Memorandum must be read in conjunction with the Articles.
3. The terms of the Memorandum cannot be modified or controlled by the Articles.

Public Documents

The Memo and Articles are *public documents*, which may be inspected by anybody at the office of the Registrar of Companies. Any person dealing with a company is presumed to have constructive notice of their contents. The members of a company are entitled to have copies of the memo and the articles, on payment of a small fee.

Differences

The distinction between the memorandum and the articles of association can be summed up as follows :

1. The memorandum is the fundamental charter, of the company determining its constitution and objectives ; the articles are rules regarding internal management.
2. Any rule in the articles contrary to the memorandum is invalid.
3. Articles can be altered easily, the memorandum can be altered only after the adoption of certain formalities.
4. Certain clauses of memo cannot be altered without the sanction of the Central Government and of the Court e.g., the object clause and the liability clause. Other clauses can be altered easily e.g., the name clause. (Articles can be altered by passing a special resolution.) The approval of the Central Government is required in special cases e.g., the remuneration of directors of public companies. For change of articles, Court sanction is generally not required.
5. The memo defines the powers of the company and the relationship between the company and the members and also non-members. Articles define and regulate the relationship between the company and the members and the relationship between the members *inter se*.

6. Acts beyond the powers of memo (*ultra vires*) are void. Such an act cannot be ratified by the members even by a unanimous resolution. But acts done by a company beyond the articles can be ratified by the shareholders provided they are within (*intra vires*) the powers of Memo.

7. If an act is within the powers given by the memo (*intra vires* the memo) but contrary to some provision of the articles (*ultra vires* the articles) the members can change the articles and ratify the act.

THE FORM AND CONTENTS OF THE MEMORANDUM

Section 13 : The Act lays down that the memorandum of a association of every company shall contain the following particulars :

1. Name Clause

The name of the company with the word "limited" at the end of the name of a public company and the words "private limited" at the end of the name of a private company.

2. Situation Clause

The name of the State in which the registered office of the company is to be situated.

3. Objects Clause

The objects of the company. The Companies (Amendment) Act, 1956, provides that in the case of a company formed after the said amending Act, the Memo must state separately (i) the main objects and objects incidental and ancillary to the main objects, and (ii) other objects not included in (i).

4. Area of Operation Clause

Except in the case of trading corporations, the State or States to whose territories the objects extend.

5. Liability Clause

The nature of the liability of the members, i.e., whether limited by shares or by guarantee or unlimited.

6. Capital Clause

In the case of a company having share capital—unless the company is an unlimited company, the memorandum shall state

the amount of share capital and the division thereof into shares of a fixed amount.

7. The Association and Subscription Clause

No subscriber to the memorandum shall take less than one share; and each subscriber to the memorandum shall write opposite to his name the number of shares he takes.

Section 14 : The Act lays down that the memorandum shall be according to the prescribed form or as near to it as circumstances admit. The memo must be drafted, as described, to suit the needs of the company concerned, but the particulars mentioned above must be included, and, there must be nothing contrary to the provisions of the Act.

In Schedule I to the Act four model forms are given. They relate to the following four types of companies :

Table B. Company Limited by Shares.

- | | | | |
|------|--------------------|---|---|
| " C. | " | " | Guarantee and not having a share-capital. |
| " D. | " | " | Guarantee and having a share-capital |
| " E. | Unlimited Company. | | |

Section 15 : The Act provides that the memorandum must be printed ; divided into paragraphs numbered consecutively ; and signed by each subscribed (who shall add address, description and occupation, if any). The signature of the subscriber shall be attested by at least one witness who shall likewise add his address, description and occupation, if any. In the case of public companies the Memo must be signed by at least 7 persons ; in the case of private companies by at least 2 persons.

RULES REGARDING THE NAME OF COMPANY

A company cannot adopt a name by which another company is registered. If by inadvertence, mistake or otherwise, a name is selected which is the same as that of an existing company or closely resembles it, the name must be changed.

If the name of company closely resembles the name of a previous company, the public may be misled and may be defrauded. In such a case the Court will direct the change of the name of the company. *Tussaud & Sons v. Tussaud*.¹

¹ (1890) 44 Ch. D. 673

A company cannot use a name which is considered undesirable by the Central Government (Sec. 20). Under the Emblems and Names (Prevention of Improper Use) Act of 1950 the Government has power to declare what names and emblems are not to be used by companies and in trade marks and patents. The use of the following has been prohibited under the above Act—name and emblems of the U.N.O and W.H.O. ; the Indian National Flag ; the official seal and emblems of the Central Government and the State Governments ; name and pictorial representations of Mahatma Gandhi and the Prime Minister of India ; the 'Interpol'. The Central Government can declare any other name as undesirable and prohibit the use of the same by a company.

Subject to the above rules, a company can adopt any name it likes.

The name and the address of the registered office of every company must be painted or affixed on the outside of its business premises in a conspicuous position and in letters easily legible in one or more of the language used in the locality (Sec. 147). The words "Limited" and "Private Limited" are parts of the names of public and private companies respectively and must be added at the end of the name of the company.

The name and the address of the registered office of the company must be engraven in legible characters on the company's seal and mentioned in all business letters, bill heads, notices and other documents (Sec. 147). But they need not be mentioned in advertisements. Failure to publish the name and the address of the registered office in the manner laid down in Section 147, is punishable with a fine.

[Procedure for changing the name—See below under "Alteration of Memorandum".]

Non-Profit Association See pp. 544-545.

RULES REGARDING THE REGISTERED OFFICE

A company shall from the day on which it commence business or within 30 days after incorporation, whichever is earlier, have a registered office to which all communications and notices may be addressed. Notice of the situation of the registered office, and of every change therein, shall be given within 30 days

after the date of the incorporation of the company or after the date of the change, as the case may be, to the Registrar who shall record the same.—Sec. 146.

If the situation of the registered office is changed from one place to another within the same town or village, no amendment of the Memo is required but notice must be given to the Registrar.

If the registered office is changed from one city, town, or village to another (within the same State) a special resolution must be passed, and notice must be given to the Registrar.

Failure to comply with the above rules may be punished with fine which may extend to Rs. 50 for every day during which the offence continues.

To change the registered office from one State to another, it is necessary to amend the Memorandum. (See below, under "Alteration of Memorandum".)

FORM AND CONTENTS OF THE ARTICLES

Rules

The Articles of Association contain rules, regulations and bye-laws regarding the internal management of companies. An unlimited company, a company limited by guarantee and a private company limited by shares must file their articles of association at the time of registration of the company.—Sec. 26.

A public company may or may not file articles. If it does not, the regulations contained in Table A will apply to it. (Table A is a set of model articles printed in Schedule I to the Companies Act).

The articles of a private company must contain the restrictive features peculiar to private companies (*viz.*, limitation of the number of members to 50 ; restrictions on the transfer of shares ; prohibition of invitation to the public for the purchase of shares and debentures). —Sec. 27 (3).

In the case of a company limited by guarantee, the articles shall state the number of members with which the company is to be registered.—Sec. 27(2).

In the case of an unlimited company, the articles shall state the number of members with which the company is to be registered and, if the company has a share capital, the amount of such share capital.—Sec. 27(1).

Form of Articles

Model forms of articles, for use in the case of companies not limited by shares, are given in Schedule I to the Act.

The Articles shall :

- (a) be printed ;
- (b) be divided into paragraphs numbered consecutively ; and
- (c) be signed by each subscriber of the memorandum of association (who shall add his address, description and occupation, if any), in the presence of at least one witness who shall attest the signature and shall likewise add his address, description and occupation, if any.—
Sec. 30.

Contents of Articles

Articles usually contain provisions in respect of the following matters : (1) share capital, rights of shareholders, payment of commissions, share certificates ; (2) lien on shares ; (3) calls on shares ; (4) transfer of shares ; (5) transmission of shares ; (6) forfeiture of shares ; (7) conversion of shares into stock ; (8) share warrants ; (9) alteration of capital ; (10) general meetings and voting rights of members ; (11) appointment and remuneration of directors, board of directors, managers and secretary ; (12) dividends and reserves ; (13) accounts and audit and borrowing powers ; (14) capitalisation of profits ; and (15) winding up.

Interpretation

The Articles of Association are commercial documents and they should not be interpreted very strictly. *Re Hartley Baird Ltd.*¹ The Articles should be construed so as to give the company a reasonable business efficacy and make them workable. *Holmes v. Keyes.*²

Companies which must possess their own Articles. The following companies must have their own articles, namely,

- (a) unlimited companies, (b) companies limited by guarantee, (c) private companies limited by shares.

ALTERATION OF THE MEMORANDUM

The Memorandum of Association of a company can be altered by following the procedure laid down in the Companies Act. The procedure is different for different clauses of the memo.

¹ (1955) Ch. 143.

² (1958) 2 W.L.R. 772.

For the purpose of alteration, the provisions of the memo can be divided into two classes : (i) provisions the inclusion of which is made compulsory by the Act (e.g., the name, objects, place of registered office etc.) (ii) other provisions which the organisers of the company have thought it desirable to include.

Provisions coming under the second category can be altered in the same way as provisions of the Articles of Association, (i.e., by special resolution) unless otherwise provided in the Act.

Provisions coming under the first category are called "Conditions contained in the Memorandum". The "conditions" can be altered in the manner stated below :

1. Change of name

A company may change its name by special resolution provided the Company Law Board approves of the change.—Sec. 21. No such approval is necessary in cases of addition or deletion of the word "Private", when a Public Company is converted into a private Company and *vice-versa*.

If by inadvertence a company is registered with a name which is identical with or closely resembles the name of an existing company the name may be changed by an ordinary resolution, with the previous approval of the Company Law Board. If the company takes no steps in the matter, the Board may direct it to change its name within a prescribed period.—Sec. 22.

When the name is validly changed, the Registrar shall enter the new name in the Register of companies and shall issue a fresh Certificate of Incorporation. The Registrar shall also make the necessary alteration in the memorandum of association of the company.—Sec. 23(1) and (2).

Change of name does not affect the rights and obligations of the company and pending suits by or against the company.—Sec. 23(3).

2. Change of Object

(Sections 17-19). The object clause of the memo can be changed for the purpose of enabling the company :

- (a) to carry on its business more economically or more efficiently ;
- (b) to attain its main purpose by new or improved means ;
- (c) to enlarge or change the local area of its operation ;

- (d) to carry on some business which under existing circumstances may conveniently or advantageously be combined with the objects specified in the memorandum ;
- (e) to restrict or abandon any of the objects specified in the memorandum ;
- (f) to sell or dispose of the whole, or any part of the undertaking, of the company ; or
- (g) to amalgamate with any other company or body of persons.

The following procedure must be adopted for changing the object clause :

- (i) A special resolution must be passed.
- (ii) A petition must be filed to the Company Law Board for confirmation of the change.
- (iii) Notice must be given to all persons whose interests will be affected by the change (unless the Board otherwise directs).
- (iv) The consent of the creditors of the Company must be obtained or other claims paid off or secured.
- (v) Notice must be given to Registrar of Companies, so that he can appear before the Board and state his objections and suggestions, if any.
- (vi) After the Board has confirmed the alterations, a certified copy of the Board's Order, together with a printed copy of the Memo as altered shall be filed with the Registrar within 3 months of the date of the order.

The certificate of the Registrar of Companies is conclusive evidence of the alteration and its validity.—Sec. 18.

When the alteration is given effect to. The alteration takes effect after it is registered. If no registration is made within 3 months (or such further time as may be allowed by the Board) the alteration and the entire proceedings connected therewith become void. The Board, may, on sufficient cause shown, revive the order of alteration on an application made within one month.

Powers of the Company Law Board

Formerly the Court dealt with all cases regarding sections 17, 18 and 19 of the Companies Act. After the amendment of this Act in 1974, they are decided by the Company Law Board.

The Board has a wide discretion in allowing changes in the objects clause. The Board must take into consideration the rights

and interests of the members of the Company and those of its creditors. The Board may allow the change partially or wholly, or may disallow the change. The Board may adjourn the proceedings in order that the Company may purchase the interests of the dissentient members. Orders may be passed for facilitating such arrangements (but no part of the capital of the Company can be spent in any such purchase).

In several Court cases it has been held that if the proposed changes will radically alter the original objects of the Company, the change will not be allowed. The proposed changes must be for any of the 7 purposes, (a) to (g), mentioned above.

Examples :

- (i) The main business of a Company was mining. It applied for permission to alter the object clause of the memo so as to enable it to start hotels and sell goods on hire-purchase. The alteration was not granted. *In re Bharat Mining Corporation Ltd.*¹
- (ii) A company was carrying on business in jute and it had power to undertake such business under the objects clause of its memo. In a meeting, the members unanimously passed a special resolution to start business in rubber. The alteration of the object clause was not granted. *In re Bhutoria Bros. (P) Ltd.*²
- (iii) An incorporated Cyclists Club wanted to alter its memorandum so that motorists can become members. The Court refused to allow the alteration because it will change its objects completely. *Re Cyclists Touring Club Ltd.*³
- (iv) But the Court may allow a company to start a completely new kind of business if this can be conveniently or advantageously carried on with its old business, and in general, the company is the best judge to decide whether it would be able to combine new business conveniently. *Re Parent Tyre Co.*⁴

3. Change in the location of the registered office from one State to another

The procedure to be adopted is the same as in the case of alteration of object. See (i) to (vi) above ; p. 573.

The alteration must be registered with the Registrar of Companies of the State in which the registered office of the Company was originally situated and also the Registrar of the State to which the office is being transferred. The records of the Company will be transferred to the latter place.

¹ 71 C.W.N. 359

³ (1907) 1 Ch. 269

² (1957) Cal 593

⁴ (1923) 2 Ch. 222

Examples :

- (i) The transfer of a registered office of a company outside Orissa was opposed by Orissa Government on the ground of loss of revenue and reduction of employment opportunities. It was argued that in a federal constitution every state has the right to protect its revenue. The Court agreed and the transfer was not allowed. *Orient Paper Mills Ltd v. The State.*¹
- (ii) The transfer of a registered office by itself does not affect, or appreciably affect, the scope of employment of the people of the State. It was therefore useless to refuse to confirm the alteration on the ground of loss of prospect of employment in the State. The High Court sanctioned the resolution allowing transfer of the company's registered office from Calcutta to Bombay. *Rank Film Distributors v. The Registrar of Companies.*² }

4. Alteration of the Capital Clause

Alteration of the capital clause can be done in the following methods (i) Alteration, including Increase of Capital (ii) Reduction of Capital (iii) Variation of Shareholders' Rights and (iv) Creation of Reserve Capital. These topics are discussed below.

ALTERATION OF SHARE CAPITAL

Section 94 of the Act provides that a company may, if so authorised by the articles, alter its share capital in any one of the following ways :

(a) increase its share capital by such amount as it thinks expedient by issuing new shares ;

(b) consolidate and divide all or any of its share capital into shares of larger amount than its existing shares ;

(c) convert all or any of its fully paid up shares, into stock, and reconvert stock into fully paid up shares of any denomination ;

(d) sub-divide its shares or any of them, into shares of smaller amount than is fixed by the memorandum, so however, that in the sub-division the proportion between the amount paid and the amount, if any, unpaid on each reduced share shall be the same as it was in the case of the share from which the reduced share is derived ;

(e) cancel shares which, at the date of the passing of the resolution in that behalf, have not been taken or agreed to be

¹ AIR (1957) Orissa 232

² AIR (1969) Cal. 32

taken by any person, and diminish the amount of its share capital by the amount of the shares so cancelled.

Alterations coming within aforesaid categories, can be made by a company by resolution passed in a general meeting. Confirmation by the court is not necessary. Cancellation of shares under this section [item (e) above] is not deemed to be a reduction of share capital. Notice of any alteration made under this Section must be given to the Registrar within 30 days of the alteration.

Increase of Capital

Increase of Capital can be done by the issues of new shares, within the limits of the Authorised Capital as registered and as stated in the memo and articles. Such shares are called Rights Shares. For the issue of such shares a special procedure must be adopted. (See ch. 4)

The Company can increase its Registered Share Capital. The procedure of increase is by passing an ordinary resolution. The consent of the Central Government is necessary in certain special cases. Notice of the alteration must be given to the Registrar within 30 days of the date of resolution.

Case Law :

It is not true to say, as a statement of law, that Directors have no power to issue shares at par, if their market price is above par. Such discretionary powers in company administration are in the nature of fiduciary powers and must, for that reason, be exercised in good faith. Mala fides vitiate the exercise of such discretion. *Needle Industries (India) Ltd., and others v. Needle Industries Newey (India) Holdings Ltd., and others.*¹

REDUCTION OF SHARE CAPITAL

Reduction of share-capital may be made for any one or more of the following purposes : (a) to extinguish or reduce the liability of the shareholders as regards the uncalled capital ; (b) to cancel any paid up share capital which is lost or is unrepresented by available assets ; (c) to pay off any paid up share capital which is in excess of the wants of the company ; and (d) by any other method approved by the court.

¹ AIR (1981) Supreme Court 1298

Procedure for reducing Share Capital

A company can reduce its share capital, provided the following requirements are complied with.—Sections 100-105.

1. Reduction of capital must be authorised by the articles. If the existing articles do not give that power, they may be amended.

2. A special resolution must be passed. The resolution for reduction must be just and equitable.

3. Sanction of the court must be obtained.

The Court, may, before giving sanction to the reduction, direct the issue of notices to all creditors of the company whose claims are of such a nature that they are provable upon winding up. The court is to settle the list of creditors for this purpose. After hearing the objections of the creditors, if any, the court may direct that before reduction of capital is allowed, the claims of the creditors must be either paid up or secured. The Court protects the interest of the creditors and of the minority groups of shareholders.

The court may order that for a specified period after the reduction, the company shall add the words "and reduced" at the end of its name.

The court may also order the publication of the reasons which led the company to reduce its capital, so that the public may be informed.

4. A certified copy of the Court's order and a minute approved by the Court showing what has been done, must be filed with the Registrar for registration. The reduction takes effect from the date of registration.

After reduction, the liability of the shareholders becomes as ordered by the court and as recorded in the minute of reduction. But if there is a creditor who was ignorant of the proceedings for reduction and if the company is unable to pay his claim, all shareholders whose liabilities were reduced will be bound to contribute towards the claim of the creditor to the same extent as they would have had to, had there been no reduction.

Officers of the company, who conceal the name of any creditor entitled to object, are punishable with imprisonment up to one year or with fine.

VARIATION OF SHAREHOLDERS' RIGHTS

The rights given by the memorandum and the articles to the different classes of shareholders may be varied if the following requirements are fulfilled.—Sections 106, 107.

1. There must be provision in the memorandum or the articles for such variation, or (in the absence of any such provision in the memorandum or articles) if such variation is not prohibited by the terms of issue of the shares of that class.

2. The variation must be agreed to by the holders of any specified proportion, not less than $\frac{3}{4}$ th, of the issued shares of that class. Specified means specified in the memo or the articles. The consent may be given by a resolution passed in a meeting of the holders of that class of shareholders or otherwise.

The variation may be challenged in court by an application made by at least 10% of the aggregate number of holders of that class of shares. They must be persons who did not vote for the resolution for variation. The application must be made within 21 days of the resolution or consent. If the court is of opinion that the variation is of such a nature as would unfairly prejudice the rights of that class of shareholders, the court may disallow the variation. The decision of the court is final. The order of the court must be communicated to the Registrar by the company, within 30 days of receiving it.

RESERVE CAPITAL

A limited company may by special resolution determine that any portion of its share capital which has not been called up, shall not be called up, except in the event of the company being wound up.—Sec. 99.

The uncalled capital, freed from call in the manner aforesaid, is called the Reserve Capital of the company. The company cannot charge the reserve capital for raising a loan, nor can it be dealt with in any way except on liquidation.

ALTERATION OF THE ARTICLES OF ASSOCIATION

Section 31 of the Act gives to all Companies a statutory right to alter articles and this right cannot be taken away by any provision in the existing articles or the memorandum. A provision prohibiting change of articles, is not binding on the members.

Although alteration of articles is permitted, there are certain restrictions on the nature and extent of the alterations that can be made.

1. Articles can be altered by special resolution only. If the articles of the company prescribed a different procedure, e.g., an ordinary resolution, it will *not* be followed. Confirmation by the Court is not necessary.

2. No change is permitted which will violate the provisions of the Companies Act.

3. No change is permitted which is contrary to the conditions contained in the Memorandum of Association of the Company.

4. The alterations must not contain anything illegal.

5. The liability of the members or any class of members, cannot be increased without their consent. *Example* : a member cannot, by altering articles, be made to take more shares or to pay more for the shares already taken, unless he agrees to do so in writing either before or after the alteration. But where the company is a club or association, the articles may be validly altered to provide for subscription or charges at a higher rate.—Sec. 38.

6. Alteration of certain provisions of the articles required the previous consent of the Central Government (*viz.*, alteration of articles regarding the number of directors and their remuneration ; etc).

7. An alteration of articles which has the effect of converting a public company into a private company shall not have effect unless the alteration is approved by the Central Government.

8. The alteration must not constitute a fraud on the minority. The majority (or the ruling group) must not by altering the articles affect the interests of the minority. The Courts have been given extensive powers to prevent such misuse of power. (See ch. 10)

9. But any alteration made *bona fide*, in the interests of the Company as a whole, is valid and binding even though the private interests of some members may be affected.

Example :

In a private limited company, the majority of shares were held by the directors. The articles were altered and the directors were given powers to compel members carrying on business in competition with the company to sell their shares (as full value) to a nominee of

the directors. Held, the alteration was valid. *Sidebottom v. Kershaw Leese & Co. Ltd.*¹

10. The Court cannot order rectification of articles, even on the ground of mistake. But the court can declare particular clauses to be *ultra vires* *Scott. v. Frank F. Scott Ltd.*²

11. Articles may be altered with retrospective effect. The company was allowed to insert a lien clause conferring upon the company a lien on the shares of members for debts incurred before and after the insertion of this clause. Held, that the company had power to insert this clause which was valid and effective. *Allen v. Gold Reefs of West Africa Ltd.*³

12. The alteration must not lead a breach of contract with the outsiders.

THE LEGAL EFFECTS OF THE MEMORANDUM

The Contractual Powers of a Company

A Company or a Corporation is an artificial person created by law. It is a legal person capable of suing and of being sued. But the contractual powers of a company are limited in two ways : (i) natural possibility and (ii) legal possibility.

(i) Natural Possibility

The fact that a company is an artificial person leads to the result that a company must always enter into contract through agents.

(ii) Legal Possibility

A joint stock company cannot enter into any contract the object of which goes beyond the memorandum of association of the company. A statutory corporation cannot enter into any contract which is beyond the scope of its powers as laid down in the statute by which it was created. (See below).

Forms of Contracts and Deeds of a Company—See ch. 7.

The Doctrine of Ultra Vires

The Memorandum of Association determines the constitution and the powers of the Company. It was observed by Lord Selbourne that the memorandum is the Company's "fundamental

¹ (1920) 1 Ch. 154

² (1940) 1 Ch. 794

³ (1900) 1 Ch. 656

and unalterable law". A Company is incorporated only for the objects and purposes expressed in the memorandum. Any act purported to be done by the Company which is beyond the scope of the functions of the Company as laid down in the memorandum is *ultra vires* i.e., beyond the powers of the Company, and of no effect.

In *Ashbury Railway Carriage & Iron Co. v. Riche*,¹ a company was constituted for the purpose of manufacturing railway wagons. The company purchased the right to run a railway in Belgium. It was held that the purchase was invalid. In this case it was observed that the Memorandum of Association has a twofold effect—an affirmative effect stating what the Company can do and a negative effect indicating what the Company cannot do. "It (the Memo) states affirmatively the ambit and extent of vitality and power which by law are given to the corporation, and it states, if it is necessary so to state, negatively that nothing shall be done beyond that ambit, and that no attempt shall be made to use the corporation life for any other purpose than that which is so specified." It was also observed in the judgment that, "The directors and shareholders, even if they are unanimous, cannot do things which are not authorised by the memorandum."

The important rules concerning the legal effects of the memorandum can be summed up as follows :

1. The terms of the memorandum constitute a binding contract between the Company and the members.—Sec. 36.

2. All acts done by the directors or members beyond the powers given in the memo, are *ultra vires* and not binding on the Company.

3. The members cannot ratify *ultra vires* acts, even by an unanimous resolution.

4. If an act is within the powers given by the memo (*intra vires* the memo) but contrary to some provision of the articles (*ultra vires* the articles) the members can change the articles and ratify the act.

5. The object clause in the memorandum is construed like other documents and the Company may do anything which is fairly incidental to and consequential upon the powers specified. *Attorney-General v. Great Eastern Rly.*²

¹ (1857) 7 H.L. 653

² (1880) 5 A.C. 473

The following acts have been held to be valid even though there were no provisions about them in the Memo or Articles.— Grants to an University for research, *Evans v. Brunner, Mond & Co. Ltd.*¹; payment to widows of ex-employees, *Handerson v. Bank of Australia*.² Ex-gratia payments to workers for incentives, *Hempson v. Price's Patent Co.*³

The Board of directors decided to pay a pension to the widow of the former managing directors of the company. Held, such a payment is not for the benefit of the company, nor can it be called incidental to the business of the company. The payment is *ultra vires*. *Re Lee Behren & Co. Ltd.*⁴

6. If a director makes an *ultra vires* payment (e.g., paying interest out of capital) he can be compelled to refund the money to the Company.

7. Contracts which are *ultra vires* the Company are not binding on the Company. But the aggrieved party can be given relief in certain cases.

Examples :

- (i) If a Company takes an *ultra vires* loan and uses it to pay off a creditor, the second creditor is substituted in the position of the first creditor and can recover the money. *In re Wrexham Rly. Co.*⁵
- (ii) If goods are obtained by a Company by an *ultra vires* contract and the goods can be traced in the hands of the Company, the Company can be ordered to return it. *Sinclair v. Brougham*.⁶
- (iii) If money is lent by a Company not having power to lend it, the money can be recovered because the debtor will be estopped from taking the plea that the company laid no power to lend. *Cotman v. Brougham*.⁷

8. Directors entering into *ultra vires* contracts may be liable to the third party for breach of warranty of authority.

9. The memorandum is a public document. Every person dealing with a Company is presumed to know the contents of the memo.

LEGAL EFFECT OF THE ARTICLES

Section 36 of the Act provides that, "subject to the provisions of this Act, the memorandum and articles shall, when registered, bind the company and the members thereof to the same extent

¹ (1921) 1 Ch. 359

³ (1876) 5 L.J. Ch. 437

⁵ (1899) 1 Ch. 440

⁷ (1918) A.C. 514

² (1889) 40 Ch. D. 170

⁴ (1932) 2 Ch. 46

⁶ (1914) A.C. 398

as if they respectively had been signed by the company and by each member, and contained covenants on its and his part to observe all the provisions of the memorandum and of the articles."

Binding Contract

Thus the articles constitute a binding contract between the company and its members. *Beattie v. Beattie, Ltd.*¹; *Hanuman Prasad v. Hiralal*.²

A company is bound to the members in the same manner as the members are bound to the company. The Articles constitute a contract between members. But the Articles do not constitute any binding contract as between the company and an outsider.

The provisions of the articles can be enforced by suit by the company and the members.

But if the articles are violated by a member, a suit for the enforcement of the articles can be brought only by the Company and not by other members, unless the person against whom relief is sought, controls the majority of shares and will not allow a suit to be brought in the name of the company. *Burland v. Earle*.³; *The Dhakeswari Cotton Mills Ltd. v. Nilkamal*.⁴

The articles come within the definition of public documents. All persons dealing with the company are presumed to know the provisions of the articles. So if anything is done contrary to or beyond the provisions of the articles, the company is not bound.

Examples :

- (i) The articles of a company provided that the company will have a first charge on the shares for debts due to the company from the members. A member, owing money to the company, borrowed money from a bank on the security of the shares. Held, the company's claim would have priority because of the provision in the articles, *Bradford Banking Company v. Briggs*.⁵
- (ii) The articles of a company provided that if a member became insolvent, his shares were to be sold to a nominee of the company at a fixed price. Held the provision was binding and the trustee in bankruptcy cannot claim the share. *Borland's Trustee v. Steel Bros*.⁶

¹ (1938) Ch. 708

³ (1902) A.C. 83

⁵ (1886) 12 A.C. 29

² AIR (1971) Supreme Court 206

⁴ (1938) 1 Cal 90

⁶ (1901) 1 Ch. 279

- (iii) By a special resolution the Company reduced the remuneration of each director, with retrospective effect from the end of the preceding year. Held, the company can vary the terms of the service *as to the further*, but it cannot vary the terms adversely with retrospective effect. *Swaby v. Port Darwin Gold Co.*¹

THE DOCTRINE OF INDOOR MANAGEMENT

Definition

When the articles of association of a company prescribed a particular procedure for doing a thing, the duty of carrying out the provisions lies on the person in charge of the management of the company. Outsiders are entitled to assume that the rules have been complied with. This is known as the Doctrine of Indoor Management.

Example :

The articles of a company provided that the directors can give a bond if authorised by a resolution of the company. The directors gave a bond to T although no resolution was passed. Held, T was entitled to assume that the resolution was passed (because it was a matter of internal procedure) and the company was bound by the bond. *Royal British Bank v. Turquand*²

The Doctrine of indoor management does not apply in certain cases :

(a) Void Acts

Where the act is void *ab initio*, the company is not bound, e.g., forgery.

Examples :

- (i) An act *ultra vires* the memo or articles cannot bind a company.
- (ii) A Share certificate forged by the secretary of the company and issued under the seal of the company cannot confer any right on the holder thereof. *Ruben v. Great Fingall Consolidated*.³

(b) Knowledge of irregularity

Where the person dealing with the company has notice, actual or constructive, that the prescribed procedure has not been complied with the company is not bound.

Example :

X company lends money to Y company on a mortgage of its asset. The procedure laid down in the articles for such transaction was

¹ (1881) 1 Meg. 385

² (1856) 6 E & B 327

³ (1906) A.C. 439

not complied with. The directors of the two companies were the same. Here it may be presumed that the lender had notice of the irregularity. Hence the mortgage is not binding. *Pratt Ltd. v. Sassoon & Co. Ltd.*¹ *Morris v. Kanssen.*²

(c) Lack of authority

If an agent of a company makes a contract with a third party and if the act of the agent falls outside the ordinary authority of the agent, the company is not bound. *Houghton & Co. v. Nothard, Lowe and Wills.*³

Example :

A branch manager of a company drew bills of exchange and also endorsed bills on behalf of the company, although they had no authority for these acts from the company. Held, the company was not bound. *Kreditbank Cassel v. Schenkers.*⁴

EXERCISES

1. What is a memorandum of association ? State the contents of the Memorandum. (Pages 565 ; 567-568)
2. State the points of difference between the Memorandum of Association and the Articles of Association of a Limited Company. (Page 566)
3. How can you make an alteration in the Objects Clause of a Memorandum of Association ? (Pages 571-572)
4. Describe the procedure for changing the object clause in the memorandum of association of a company according to the Companies Act, 1974. (Page 572)
5. State how the Memorandum of Association can be altered. When is such alteration given effect to ? (Pages 571-572)
6. What are the restrictions on the name of a company ? State the methods of altering the name of a company. (Page 568)
7. Discuss the power to alter the Articles of a company and its limitations. (Pages 578-580)
8. State how reduction of share capital can be made under the Companies Act. (Pages 576-577)
9. Explain how a share capital of a company can be increased. (Page 575)
10. State and explain the doctrine of Indoor Management. (Page 584)
11. What are the effects of the memorandum and the articles after they are registered ? (Page 578)

¹ 40 Bom L.R. 978

² (1946) 1 A.C. 459

³ (1927) 1 K.B. 246

⁴ (1927) 1 K.B. 826

12. To what extent may a company lawfully undertake business and perform acts not expressly set out in the object clause of the Memorandum of Association ? (Page 571)
13. What is the function of the liability clause in the Memo and its limitation, if any ? (Page 576)
14. Write notes on : (a) Articles of Association. (b) Doctrine of indoor management ; (c) Objects Clause ; (d) Reserve Capital ; (e) Doctrine of Ultra Vires ; (f) Reduction of Capital.
[Pages (a) 565 ; (b) 583 ; (c) 566 ; (d) 578 ; (e) 580 ; (f) 576]
15. Write note on the importance of the Objects Clause. (Page 567)
16. Discuss the '*doctrine of ultra vires*' in the Companies Act. (Page 578)
17. Objective questions :
 - (a) What do you understand by Articles of Association ? (Page 565)
 - (b) Write an explanatory note on the doctrine of *ultra vires* in relation to companies. What are the liabilities of a company and its agents for *ultra vires* acts ? (Page 580)
18. Problem : (a) The object of a company is to supply boats for a ferry. Is the company competent to employ the boats, when not wanted for the ferry, in excursion ? (Pages 571-572)

ESSENTIAL STEPS

Before a company can be formed the following steps must be taken :

1. The Memo and the Articles must be prepared. These two documents must be filed when application is made for the registration and incorporation of the company. The Companies Act lays down rules regarding the preparation of the memorandum. Schedule I to the Act of 1956 contains four model forms for use in different cases.

2. If it is proposed to have a paid up capital or more than Rs. 3 crores, sanction of the Central Government must be obtained under the Capital Issues (Control) Act, 1956. Formerly, sanction was required up to Rs. 1 crore or more. The exemption limit was raised to Rs. 3 crores by an order of the Central Government on 31st March, 1978. The exemption is not available to monopoly companies subject to the Monopolies and Restrictive Trade Practices Act (MRTPA) of 1969 and companies with foreign shareholding of more than 40%.

3. If the company to be formed intends to participate in an industry which is included in the Schedule annexed to the Industries (Development and Regulation) Act, 1951, a licence must be obtained under that Act.

4. The company must be registered in accordance with the provisions of the Companies Act, 1956 and the Certificate of Incorporation must be obtained.

In the case of a public company, the following further steps are required to be taken before it can commence business.

5. The Prospectus or the Statement in lieu of Prospectus must be issued and registered with the Registrar.

6. The minimum subscription must be raised and thereafter the allotment of shares must be made.

7. The Certificate for the Commencement of Business must be obtained from the Registrar.

PROCEDURE OF REGISTRATION AND INCORPORATION

For the registration of a company, the following documents, together with the necessary fees, must be submitted to the Registrar of Companies of the State in which the registered office of the company will be situated.—Sec. 33.

1. The Memorandum of Association, prepared in accordance with the provisions of the Companies Act, and signed by at least 7 persons in the case of public companies and 2 persons in the case of private companies.

2. The Articles of Association, in case of unlimited companies, companies limited by guarantee and private companies limited by shares.

3. A declaration by any of the following persons, stating that all the requirements of the Act have been complied with—an advocate, an attorney, a pleader, a chartered accountant, or a person named in the articles as director, manager or secretary of the company.

4. A duly signed list of persons have consented to be directors of the company, their consent in writing and the signed agreement with every such director to take the number of shares required to qualify as director. These are not required in the case of private companies and companies not having a share capital.

5. The Registration fees of a Company is fixed on a graduated scale on the amount of nominal capital or the number of members. There is also a filing fee per document.

Comments

If the Registrar is satisfied that all the requirements of the Act have been complied with, he will register the company and issue a certificate called the Certificate of Incorporation.

The purpose of forming the company must be lawful.
Example : A company was formed with the object of carrying on unauthorised lotteries. Registration was refused : *More, Ex parte*.¹

THE CERTIFICATE OF INCORPORATION

The certificate issued by the Registrar after a company is registered is called the Certificate of Incorporation.

¹ (1931) 2 K.B. 197

Section 35 of the Act states that the Certificate of Incorporation is conclusive evidence about the following matters.

1. All the requirements of the act has been complied with any respect of registration and matters precedent and incidental thereto.

2. The association is a company authorised to be registered and duly registered under the Act.

3. The legal existence of the company begins from the date of issue of the certificate.

Once the Certificate is issued, the incorporation cannot be challenged even though there were irregularities prior to registration.

Case Law :

Incorporation was upheld in the following cases.

(a) Memo materially altered after signature but before registration.

Peel's case.¹

(b) Signatories to the memo all infants. *Moosa v. Ebrahim*.²

(c) The shares of the company were allotted before the issue of certificate of incorporation. *Jubilee Cotton Mills Ltd v. Lewis*.³

(d) The objects of a company were all found to be illegal. *Bowman v. Secular Society Ltd*.⁴

Effects of registration (Sec. 34)

As, soon as a Company is registered and a certificate of incorporation is issued by the Registrar, three important legal consequences follow :

1. The company acquires a distinct legal entity.

2. It secures a perpetual succession.

3. Its property is not the property of its shareholders.

PROMOTERS

Definition

The term Promoter is not defined in the Act. Promoter is a word which is used to describe the persons who initially plan the formation of a company and bring it into existence.

"A person who originates a scheme for the formation of the company, has the Memo and the Articles prepared, executed and registered, and finds the first directors, settles the terms of the preliminary contracts and prospectus (if any) and makes arrangements

¹ (1867) L.R. 2 ch. App. 674

² 40 Cal 1 (P.C.)

³ (1924) A.C. 958

⁴ (1917) A.C. 406

for advertising and circulating the prospectus and placing the capital is a Promoter.”—Palmer, “*Company Precedents*”.

“A person who has not done all these things but has done a substantial part of them so that he may be regarded as having an effective hand in the formation or floatation of the company is also a promoter”.—Sengupta, “*Indian Company Manual*”.

Bowen L.J., in *Whaley Bridge Printing Co. v. Green*,¹ stated that the term promoter is not a term of law, but of business “usefully summing up in single word, a number of business operations familiar to the commercial world by which a company is generally brought into existence.”

Sometimes company promotion is undertaken by promoting companies or syndicates formed for the purpose. The rights and liabilities of such companies or syndicates are the same as those of individual promoters. The directors of such companies and members of such syndicates are personally responsible if any breach of trust or fraud is committed.

Promoter's Remuneration

But for any contract a promoter has no right to get any remuneration for the services rendered by him in promoting the company. In practice, however, he takes remuneration for his work. The usual methods of taking remuneration are as follows : (i) selling to the company at a profit some property purchased by the promoter before he became one ; (ii) taking a commission on the shares sold ; (iii) taking a grant of some shares of the company ; (iv) lump sum from the company.

The amount of remuneration and the mode of securing it is settled by the promoters themselves and are expressed in the prospectus or the memo or the articles.

Functions of the Promoter. (1) The promoter decides the company's name and asserts that it will be accepted by the Registrar of companies.

(2) He decides the details of the Company's Memorandum and Articles, the nomination of directors, solicitors, auditors, bankers and the registered office of the company.

(3) He makes arrangements for printing the Memorandum and Articles, the registration of the company and the issue of prospectus.

(4) He is responsible to bring the company into existence.

¹ (1879) 5 Q. B. D. 111

The Duties and Liabilities of Promoters

1. A promoter cannot be described as *an agent* of the Company. The contract between the promoter and the so-called agent of the company is not binding upon the company, for the company then had no existence.

2. A company cannot ratify a contract made by a promoter before the incorporation of the company because the ratifier was then not in existence. *Re Empress Engineering Co.*¹

3. For the reasons stated in paras 1 and 2, a promoter cannot be a trustee of the company.

4. A promoter stands in a fiduciary position to the company.

5. A promoter cannot make secret profits. If any secret profit or undisclosed financial benefit is made by the promoter, the company can recover it from him. *Gluckstein v. Barnes*.² *Lagunas Nitrate Co. v. Lagunas Nitrate Syndicate*.³

6. The promoter is not prohibited from making profits. He can do so, provided he discloses all the facts (including the fact that a profit is being made) to the Board of Directors of the proposed company. If a person purchases some property and later decides to sell it to a company to be formed for using the property, the sale may be made as a profit. *Erlanger v. Sombrero Phosphate Co.*⁴

7. A promoter has got certain duties in connection with the prospectus, if any is issued, or the statement in lieu of prospectus. These duties are: (i) he must see that the documents contain the particulars which, according to Schedule II to the Act, they must contain; and (ii) he must see that the documents do not contain any untrue statement.

8. For failure to perform these duties the promoter, (i) is liable to pay compensation to any person who buys shares on the basis of the erroneous prospectus or statement in lieu of prospectus and suffers damage; and (ii) he may be prosecuted in the criminal courts according to the provisions of the Companies Act.

PROMOTERS AND PREINCORPORATION CONTRACTS

Before a company is formed and registered, the promoters of the company have to enter into contracts for drafting the

¹ (1880) 16 Ch. D. 125

² (1900) 240

³ (1899) 2 Ch. 392

⁴ (1878) 3 A.C. 1218

necessary documents, transfer of goods and property etc. Such contracts may be called preliminary or preincorporation contracts. They are entered into before a company comes into existence. The question arises whether contract by the promoters with a non-existing company are enforceable or not. The rules regarding the subject are summarised below.

1. A company is not bound by any preincorporation contract before its incorporation even where it enjoys the benefit of the preincorporation contract entered into on its behalf.

The company cannot enforce preliminary contract. See Example (a) below.

2. The other party to the contract is not bound by the preincorporation contract. See Example (b) below.

3. A company after it is formed, cannot ratify a preincorporation contract. Because by the Contract Act, a non-existing principal cannot ratify a previous contract. (See pp. 180-181)

4. The promoters and the agents who had formed the company may incur personal liability for a preincorporation contract made on behalf of company not yet in existence, such a contract is considered to have been entered into personally by the promoters. See Example (c) in the next page.

5. *Specific Performance*: Sections 15 and 19 of the Specific Relief Act, 1872 provide that if the promoters and agents of a company enter into a preincorporation contract and such a contract is within the terms of incorporation, specific performance may be obtained by or enforced against the company, if the company has accepted contract and has communicated such acceptance to the other parties.

Comment: A company can, after its incorporation, enter into a new contract with the other parties. In this case the liability of the promoters and the agents comes to an end. The obligation and rights of the company and the other parties will depend on the new contract.

Examples:

- (a) X. Co., a firm of solicitors, was appointed by Y. a promoter of E. Ltd. (which was to be incorporated later) to prepare the Memorandum and Articles of the company. X & Co. incurred costs of registration of the company. Held that they were not entitled to recover these costs from the company. *Re English and Colonial Produce Co. Ltd.*¹

¹ (1906) 2 Ch. 435 (A.C.)

- (b) N made a contract with S. Ltd. for and on behalf of N. Ltd. for selling tinned ham to S. Ltd. The contract was signed by him as "N". The said N. Ltd. was not incorporated on the date of the contract but it became so afterwards. Thereafter market price of ham fell and S. Ltd. refused to take delivery of tinned ham. On an action brought by N. Ltd. it was held neither this company nor N himself could enforce it on the defendants S. Ltd. on the grounds that contract by a nonexistent company is a nullity. *Newborne v. Sensolid (Great Britain) Ltd.*¹
- (c) A, a promoter of X. Co. Ltd. made a contract in his own name, on behalf of X Co. Ltd. with K for the purchase of wine costing £ 900. The Company was registered afterwards. The company obtained delivery of the wine from K and consumed it. Before payment X Co. Ltd. went into liquidation. It was held that the promoter A was personally liable on the contract. *Kelner v. Baxtier.*²

PROSPECTUS

The prospectus is the basis on which the investors at large get an idea about the prospectus of the company.

Definition

A prospectus has been defined in the Act as, "any document described or issued as a prospectus and includes any notice, circular, advertisement, or other document inviting deposits from the public or inviting offers from the public for the subscription or purchase of any share in, or debentures of a body corporate."—Sec. 2(36).

The words, "inviting deposits from the public or" were added by the Companies (Amendment) Act, 1974.

Characteristics

The essential characteristics and the features of the prospectus are the following :

1. It is a document described or issued as a prospectus.
2. It includes any notice, circular, advertisement inviting deposits from the public or other document.
3. It is an invitation to the members of the public.
4. The public is invited to subscribe the shares or debenture of the company.
5. The term public does not mean an invitation of very large number of people. It is enough if the invitation is to a section

¹ (1954) 1 Q.B. 45

² (1866) L.R. 2 C.P. 174

of the public. From the examples, stated below, it follows that there must be some degree of publicity even though it may be of a small scale.

Examples :

- (a) Three thousand copies of prospectus were distributed among the members of this company. *Re South of England Natural Gas Co. Ltd.*¹
- (b) An invitation to a few friends and relatives or to the customers of the promoter does not institute a prospectus. *Shorwell v. Combined Incandescent Maniles*.²

6. Prospectus is the document through which the company secures the capital needed for carrying on its business. Any document having this object, comes within the definition of prospectus. But an advertisement for securing business or trade, is not a prospectus.

Form and Contents of the Prospectus

Schedule II to the Companies Act specifies a list of particulars which must be included in the prospectus. The *principal items* are the following :

- (1) Principal objects of the company and particulars of signatories of the memorandum of the company and shares subscribed by them ;
- (2) number and classes of shares and extent of interest of holders and particulars regarding debentures and redeemable preference shares ;
- (3) the rights in respect of capital and dividends attached to different classes of shares ;
- (4) particulars regarding the directors, managing agents, secretaries and treasurers, etc. and of the contract fixing the remuneration of managing agents, etc ; (Managing Agency & Secretaries and Treasurers have been abolished).
- (5) the minimum amount of subscription and amount payable on application ;
- (6) time of opening of subscription list ;
- (7) preliminary expenses incurred ;
- (8) particulars in regard to the company and other listed companies under the same management which made any capital issue during the last 3 years ;
- (9) details of any premium or under-writing commissions paid ;

¹ (1911) 1 Ch. 573

² (1907) 23 T.L.R. 482

- (10) particulars of reserves including reserves capitalised ;
- (11) nature and extent of interest of every director and promoter ;
- (12) names and addresses of the auditors of the company ;
- (13) in case of existing companies, a report by the auditors showing the profit and loss and assets and liabilities of the company, rates of dividend paid for five years preceding issue of prospectus and particulars regarding subsidiaries ;
- (14) whether the prospectus is issued at the time of the formation of the company or subsequently ;
- (15) the nature and extent of restrictions upon members at company meetings ;
- (16) restrictions upon the powers of the directors ;
- (17) voting rights, capitalisation of reserves and surplus of revaluation ;
- (18) inspection of balance sheet and profit and loss account ;
- (19) The following reports are to be annexed to the prospectus
 (i) report by auditors and (ii) report by the accountant.

THE LEGAL REQUIREMENTS OF PROSPECTUS

1. Time

A prospectus is to be issued after the incorporation of the company.

2. Particulars

The prospectus must contain all the particulars listed in Schedule II to the Companies Act. (See above).

3. Date

The prospectus must be dated and this date will be considered to be the date of publication unless otherwise proved—Sec. 55.

4. Signature

The prospectus must be signed by every person mentioned therein as director or proposed director or his agent.

5. Copy of prospectus

Every application form for shares, issued by the company, must be accompanied by a copy of the prospectus except
 (i) application forms issued in connection with a bona fide

invitation to a person to enter into an under-writing agreement, and (ii) application forms issued to existing members and debenture-holders.—Sec. 56(3).

6. Statement by expert

A statement, relating to the company, by an expert, can be included in the prospectus only if the expert concerned is not engaged or interested in the formation, promotion, or the management of the company. (Sec. 57). The statement of an expert can be included only if he has, in writing, authorised its issue. (Sec. 58). The term expert includes an engineer, valuer, accountant and any other person whose profession gives authority to a statement made by him.

7. Deposits

Deposits are not to be invited without issuing an advertisement. The Central Government may, in consultation with the Reserve Bank of India prescribe the limits, the manner and the conditions subject to which deposit may be invited or accepted by a company either from the public or the members. The advertisement must include a statement showing the company's financial position, issued by the company and in such form, or in such manner, as may be prescribed. The Rules shall prescribe how the deposit is to be continued or repaid.

The company and the officer which contravene the above rules shall be punishable. These rules are not applicable to a banking company and such other company as the Central Government after consultation with the Reserve Bank of India, specify in this behalf.—Sec. 58A. Companies (Amendment) Act, 1974. Such rules are valid. *D.C. & G. M. Co. Ltd. v. Union of India*.¹

The provisions of this Act relating to prospectus shall, so far as may be, apply to an advertisement referred above.—Sec. 58B. Companies (Amendment) Act, 1974.

Section 58A of the Companies Act has been amended in 1988. The amended provision states.

“(3A) Every deposit accepted by a Company after the commencement of the Companies (Amendment) Act, 1988, shall,

¹ AIR (1983) Supreme Court 937.

unless renewed in accordance with the rules made under sub-Section (1), be repaid in accordance with the terms and conditions of such deposit”.

Section (9) : If a Company has failed to repay any deposit, in accordance with the terms and conditions of such deposit, the Company Law Board may, direct by order, the Company to make repayment of such deposit within such time and subject to such conditions as may be specified in the order.

One who fails to comply with any order made by the Company Law Board under sub-Section (9) shall be punishable with imprisonment and fine.

8. Registration

Before a prospectus is issued, it must be registered with the Registrar of Companies. Copies of relevant documents (*e.g.*, consent of directors and experts to the issue of the prospectus and copies of contracts) have to be filed when application is made for registration. If the relevant documents are not filed or if the prospectus does not comply with the provisions of the Act, registration will be refused. No prospectus can be issued more than 90 days after a copy of it is filed for registration.—Sec.*60.

9. Terms of contracts

The terms of any contract, mentioned in the prospectus, cannot be varied after registration of the prospectus except with the approval of the members in a general meeting.—Sec. 61.

10. Prospectus by a foreign company

A prospectus issued by a foreign company, with a view to selling shares in India, must include certain additional particulars. (See p. 559)

11. Penalty for non-compliance

If the aforesaid rules, relating to the matters to be included in the prospectus, are not complied with, any person who is knowingly a party to the issue thereof, shall be punishable with a fine which may extend to Rs. 5000.—Sec. 59.

12. Defence

A person charged with non-compliance of the aforesaid rules will be excused in the following cases : [Sec. 56(4).]

- (a) as regards any matter not disclosed, if he proves that he had no knowledge thereof; or
- (b) if he proves that the non-compliance or contravention arose from an honest mistake of fact on his part; or
- (c) if the non-compliance or contravention was in respect of matters which, in the opinion of the Court dealing with the case, was immaterial or was otherwise such as ought (having regard to all the circumstances in the case) reasonably to be excused.

MISSTATEMENTS IN THE PROSPECTUS

Liability for not stating particulars

The public invest money in the purchase of shares and debentures of companies on the basis of statements contained in the prospectus. Misstatements and false statements in the prospectus are instruments through which dishonest company promoters may practise fraud on the public. To prevent such practices the law imposes certain duties and liabilities on all persons who are responsible for the issue of the prospectus. One of the duties has already been mentioned *viz.*, the duty of including in the prospectus, the particulars mentioned in Schedule II to the Act. (See p. 594)

Liability for untrue statement

The authors of the prospectus have to see that the prospectus contains no untrue statement likely to mislead the public. Section 65 of the Companies Act lays down that the term "untrue statement" in connection with a prospectus shall be deemed to include :

- (a) a statement which is misleading in the form and context in which it is included, and
- (b) an omission (of any matter) which is calculated to mislead.

Thus, the term untrue statement or misstatement, is used in a wide sense. It includes not only *false statements* but also statements which produce a wrong impression of actual facts. *Concealment* of a material fact also comes within the category of misstatement.

Example :

Lord Kylsant, the managing director of Royal Mail Steam Packet Company, issued a prospectus inviting subscription to debentures of the company. In the prospectus it was stated that the company was in a good position and that dividends were regularly paid. But the prospectus omitted to state that there were large losses in several years and that in those years dividends were paid out of reserves. It is apparent that the prospectus tried to create a false notion of company's soundness. It was held by the House of Lords that Lord Kylsant wilfully issued a false prospectus and he was convicted under the criminal law. *Rex v. Kylsant*.¹

Persons liable for untrue statements in the prospectus

Section 62(1) of the Act provides that the following persons are liable (and punishable) for untrue statements in the prospectus :

- (a) every person who is a director of the company at the time of the issue of the prospectus ;
- (b) every person who has authorised himself to be named and is named in the prospectus either as a director, or as having agreed to become a director, either immediately or after an interval of time ;
- (c) every person who is a promoter of the company ; and
- (d) every person who has authorised the issue of the prospectus.

The extent of the liability for untrue statements

The Companies Act imposes the following liabilities on the persons responsible for untrue statements in the prospectus.

(a) *Civil Liability* : Section 62(1) provides that such persons are liable to pay compensation for any loss or damage which any person may suffer from the purchase of any share or debenture on the basis of the untrue statement.

A person who has been made to pay compensation under this section can claim contribution from the others who were associated with him in the issue of the prospectus, unless it appears that he was guilty of fraud while the others were not.

(b) *Criminal liability* : Section 63(1) provides that every person who has authorised the issue of a prospectus containing untrue statements, shall be punishable with imprisonment which

¹ (1932) 1 K. B. 442

may extend to two years or with fine which may extend to Rs. 5000, or both.

(c) *Liability under the law of fraud*: A person who has suffered damage by purchasing shares or debentures on the basis of untrue statements in the prospectus may, instead of proceeding under Section 62(1) of the Companies Act, take action under the general law of fraud. The law relating to fraud provides that when a person is induced to enter into a contract by fraud, he is entitled to rescind the contract and to get compensation for the loss or damage which he may have suffered. The aggrieved shareholder or debenture holder must prove that (i) there was fraudulent misstatement (ii) misrepresentation relating to material facts (iii) the shareholders had purchased the share on the basis of prospectus, and (iv) that he had been actually deceived. *Derry v. Peek*.¹

(d) *Penalty for fraudulently inducing persons to invest money*: Any person who, either by knowingly or recklessly making any statement, promise or forecast which is false, deceptive or misleading, or by any dishonest concealment of material facts, induces or attempts to induce another person to enter into, or offer to enter into—

- (a) any agreement for, or with a view acquiring, disposing of, subscribing for, or underwriting shares or debentures; or
- (b) any agreement the purpose or pretended purpose of which is to secure a profit to any of the parties from the yield of shares or debentures, or by reference to fluctuations in the value of shares or debentures;

shall be punishable with imprisonment for a term which may extend to five years, or with fine which may extend to ten thousand rupees, or with both.—Sec. 68.

In Sec. 68 the word 'recklessly' is used. A 'reckless' statement or promise is one which is made without any real fact or heedless of its base. *R. v. Grumwald*.²

Defences available in an action on the prospectus

The parties against whom proceedings have been taken for untrue statement in the prospectus are allowed to use certain pleas in their defence. The defences are summarised in the next page:

¹ (1889) 14 A.C. 337

² (1961) W.L.R. 606

A. Defences against the civil liability imposed by Sec. 62(1) : Sec. 62(2) provides that no decree for damages will be passed if the person charged can prove any of the following facts.

1. *Issue without authority :* He withdrew his consent to become a director of the company before the issue of the prospectus and it was issued without his authority or consent.

2. *Issue without knowledge :* The prospectus was issued without his knowledge or consent and on becoming aware of its issue, he forthwith gave reasonable public notice that it was issued without his knowledge or consent.

3. *Withdrawal of consent :* After the issue of the prospectus and before allotment thereunder, he, on becoming aware of any untrue statements therein, withdrew his consent to the prospectus and gave reasonable public notice of the withdrawal and of the reason thereof.

4. *Statement by an expert :* If the statement alleged to be untrue purports to be a statement of an expert or a copy or extract from such a statement or of a valuation report of an expert, the person charged can escape liability if he can prove the following : (i) it is a fair and correct copy or representation or extract of the expert's statement ; (ii) he had reasonable grounds to believe and did believe (up to the time of the issue of the prospectus) that the person making the statement was competent to make it ; (iii) the expert had given his consent to the issue of the prospectus ; and (iv) the expert had not withdrawn his consent before registration of the prospectus or allotment thereunder.

5. *Copy of official statement or document :* If the statement alleged to be untrue is one purporting to be from an official statement or a public official document, the person charged can escape liability if he can show that it is a fair and correct representation or copy or extract from the official statement or public official document.

6. *True statement :* As regards statements other than those of experts or those contained in official documents, the person charged can escape liability if he can prove that he had reasonable grounds to believe, and did, up to the time of the allotment of shares or debentures, believe that the statement was true.

B. Defences available to an expert : An expert whose opinion was included in the prospectus, can use the following defences.—Sec. 62(4).

1. *Withdrawal of consent* : Having given his consent to the issue of the prospectus, he withdrew it in writing before delivery of a copy of the prospectus for registration.

2. *Knowledge of untrue statement* : After delivery of a copy of the prospectus for registration and before allotment there under, he, on becoming aware of the untrue statement, withdrew his consent in writing and gave reasonable public notice of the withdrawal, and of the reason thereof.

3. *True statement* : He was competent to make the statement and he had reasonable ground to believe, and did, up to the time of the allotment of the shares or debentures, believe that the statement was true.

C. *Defences against criminal liability* : A person charged in a criminal court under Section 63(1) will be acquitted if he can prove either of the following :

(a) that the statement was immaterial, or

(b) that he had reasonable ground to believe, and did, up to the time of the issue of the prospectus, believe that the statement was true.

Loss of the right of rescission and damages

There have been a large number of cases in English courts regarding the prospectus and the shareholder's rights thereon. It has been held that the shareholder has no rights, either to damages or to rescission of the contract of purchase, in the following cases :

1. *Purchase not on the basis of the prospectus* : A person who has not purchased the shares on the basis of the prospectus, is not entitled to any remedy. A person who has purchased shares from an existing shareholder cannot be said to have purchased the shares on the basis of the prospectus, and is not entitled to any relief if there are untrue statements in the prospectus. *Peek v. Gurney*.¹

2. *Opinion or expectation* : The statement complained of must come within the definition of untrue statement. A mere expression of opinion or expectation gives no ground of action. *Karberg's case*.²

¹ (1873) 6 H.L. 377

² (1892) 3 Ch. 1

3. *Confirmation* : If the shareholder does any act which amounts to confirmation of the purchase (e.g., if he accepts dividends) the right to rescind the contract or get damages is lost.

4. *Laches* : The shareholder must bring his action without undue delay, otherwise he loses his right.

STATEMENT IN LIEU OF PROSPECTUS

A public company having a share capital and not issuing a prospectus must at least 3 days before the first allotment of shares or debentures, file with the Registrar for registration a *statement in lieu of prospectus*. The statement must be in the form prescribed in Schedule III to the Act. The prescribed form provides for the disclosure of all material facts relating to the company.—Sec. 70(1)

If the statement in lieu of prospectus contains any untrue statement, the persons responsible for the issue thereof may be punished by imprisonment which may extend to 2 years or with fine which may extend to Rs. 5,000 or with both.—Sec. 70(5).

Statement in lieu of Prospectus like in the Prospectus, constitutes the basis of the contract of purchase of shares between the company and the shareholder. Liabilities for misstatements and false statement are the same as in a prospectus.

PROSPECTUS BY IMPLICATION

Section 64 provides that certain documents are to be included within the term Prospectus by implication of law. Where a company allots or agrees to allot any shares in or debentures of the company with a view to all or any of those shares or debentures being offered for sale to the public, any document by which the offer for sale to the public is made, is deemed to be a prospectus issued by the company.

Subject to the modifications stated below, all the rules laid down in the Act, regarding prospectuses, (contents, liability for misstatements etc.) apply also to a prospectus by implication :

1. The following additional matters must be stated in it—the net amount of consideration to be received by the company in respect of the shares or debentures ; and the place and time at which the contract (under which the shares or debentures are to be allotted) may be inspected.

2. The persons making the offer of sale to the public are to be deemed directors of the company for the purpose of registration of the prospectus.

3. Where the person making the offer is a company, the prospectus may be signed by any two directors ; where the offer is made by a firm, it may be signed by not less than one-half of the partners.

Unless the contrary is shown, an allotment or agreement to allot shares or debentures will be deemed to have been made with a view to sale to public, under the following circumstances :

1. When the offer for sale was made within six months after the allotment or agreement to allot.

2. When at the date of the offer for sale, the whole consideration to be received by the company for the shares or debentures had not been received by it.

MINIMUM SUBSCRIPTION

Where shares are offered to the public for subscription, the prospectus must mention the minimum amount which must be raised by the issue of shares before the company can commence business.—Schedule II, clause 5.

The minimum subscription is to be fixed by the directors or by the persons who have signed the memorandum. Its amount is to be determined by taking into account the following expenses :

- (1) the purchase price of any necessary property ;
- (2) the preliminary expenses, including commissions payable for the sale of shares ;
- (3) repayment of any moneys borrowed by the company for the above two purposes ;
- (4) working capital ;
- (5) any other necessary expenditure.

The information regarding each of the above items must be stated under each head.

The amount stated in the prospectus as minimum subscription, is to be reckoned exclusively of any amount payable otherwise than in money.

Shares cannot be allotted until applications have been received sufficiently to cover the minimum subscription.

ALLOTMENT OF SHARES

Definition

"Allotment means the appropriation to an applicant by a resolution of the directors of a certain number of shares in response to an application. Shares so allotted are not, in general specific shares identified by number; the numbering is left till later."—Palmer's Company Law, 19th ed. p. 104.

Rules regarding allotment

The rules regarding allotment are summarised below.

1. Application Form

The prospectus is an invitation to the public to purchase shares. Persons intending to purchase shares have to apply in a form prescribed in the prospectus for the purpose and called the "application form." The prospectus also fixes the time when the applications will be opened and the allotment of shares to the applicants will be made. The time is known as "the time of opening of the subscription lists." Applicants to whom shares have been allotted are informed by a letter. This letter is called, "the notice of allotment." As per SEBI guidelines, application money cannot be less than Rs. 2,000 and that issue must be kept open for at least 3 working days.

2. Result of a contract

Membership of a company by purchase of shares is the result of a contract. The application by the intending shareholder is the "offer" for the purchase of shares. Allotment by the directors is the "acceptance of the offer". The notice of allotment is the "communication of the acceptance". Each of these stages in the formation of the contract must conform to the rules laid down in the Contract Act.

3. Conditional offers and acceptance of shares

Conditions are usually printed on the application form. One very common condition is that in case of over-subscription, the number of shares allotted to each subscriber will be proportionately less than the number of shares applied for.

But conditional acceptance is usually invalid. No condition should be attached to the acceptance of the offer to purchase

shares. If the acceptance introduces a new term it will be a new offer by the company and it shall not be effective unless it is accepted. *Jackson v. Turquand*.¹

4. By the proper authority

The allotment of shares is to be done by the board of directors of the company. Allotment can be delegated to some persons or a Committee, provided there is a provision in the Articles of the company. Allotment made by any other than the proper authority is void.

5. Within a reasonable time

The allotment must be made within a reasonable time, otherwise the applicant is not bound to take the shares. The offer to buy the shares is deemed to be revoked if there is an unreasonable delay in accepting the offer. *Ramsgate Victoria Hotel Co. v. Montefiore*.²; *Indian Co-operative Navigation v. Padamsey*.³ As per SEBI guidelines, if allotment is not made within 30 days from close of issue, interest @ 15% must be paid.

6. Application in a fictitious name

Any person who (a) makes in a fictitious name an application to a company for acquiring, or subscribing for, any shares therein, or (b) otherwise induces a company to allot, or register any transfer of, shares therein to him, or any other person in a fictitious name shall be punishable by imprisonment up to 5 years. This provision must be printed in every prospectus and application form.—Sec. 68A.

Restrictions

The Companies Act prescribes the following restrictions on the allotment of shares :

1. Opening of subscription list

No allotment can be made until the beginning of the 5th day after the publication of the prospectus or such later time as may be prescribed for the purpose in the prospectus, (Sec. 72). The 5th day is to be counted from the date when the prospectus

¹ (1869) H.L. 305

² (1866) L.R. 1 Ex. 109

³ 36 Bom. L.R. 32

was published in a newspaper or was otherwise notified to the public. The object of this rule is to provide sufficient time to the public to send the applications.

2. Revocation of the application

An application for shares cannot be revoked until after the expiration of the 5th day *after* the time of opening of the subscription lists, except in one case. If any of the persons responsible for the issue of the prospectus, gives public notice of withdrawal of his consent to the issue of the prospectus, any of the applicants can revoke his application, whereupon no shares can be allotted to him.

3. Punishment

An allotment of shares prior to the time prescribed under this rule is not void. But the directors making such allotment are liable to punishment.

4. Minimum subscription

No allotment can be made until the amount fixed as the minimum subscription has been received.—Sec. 69(1).

5. Application money

The amount payable on each share, with the application form, shall not be less than 5 per cent of the nominal value of the share.—Sec. 69(3).

6. Deposit in a Scheduled Bank

All moneys received from the applicants must be kept in deposit in a scheduled bank until the certificate to commence business has been obtained, or, (where such certificate has already been obtained) until the entire amount payable on applications for shares in respect of the minimum subscription has been received by the company.—Sec. 69(4).

7. Return of Money

If the minimum subscription is not raised or if, for any other reason, allotment could not be made within 120 days from the date of publication of the prospectus, the directors must forthwith return the moneys received from the applicants. No interest is

payable if the money is refunded within 130 days. Thereafter, the directors are, jointly and severally, liable to pay interest at 6 per cent per annum from the 130th day to the day of repayment. But a director shall not be so liable if he proves that the default in the repayment of the money was not due to misconduct or negligence on his part.—Sec. 69(5).

8. Statement in lieu of Prospectus

A public company which has not issued any prospectus must, at least 3 days before the first allotment of shares, deliver to the Registrar for registration, a Statement in lieu of Prospectus, signed by every director or proposed director or his agent in the form prescribed in Schedule III of the Act.—Sec. 70.

9. Stock Exchange recognition

Where the prospectus states that application has been made or will be made for the shares (or debentures) being dealt with in a stock exchange, the application necessary for securing permission of the authorities of the stock exchange must be made before the 10th day after the first issue of the prospectus. The *name of stock exchange must be stated*. Any allotment, made on an application based on such a prospectus, becomes void if stock exchange permission is not applied for or if such permission is not granted within 10 weeks from the date of the closing of the subscription list. The company must thereupon return all moneys received from the applicants of shares. No interest is payable if the moneys are returned within 8 days. Thereafter, interest is payable at 12%—Sec. 73. Companies (Amendment) Act, 1974.

Section 73 of the Companies Act has been amended and the amended section provides that all public issues of every Company must be listed with recognised stock exchanges.

If a Stock Exchange refuses to list the shares of a public company, the company can appeal to the Central Government.—Sec. 22 of Securities Contracts (Regulation) Act, 1956.

Section 73(2A) provides that where "the moneys received from applications for shares or debentures are in excess of the aggregate of the application moneys relating to the shares or debentures in respect of which allotments have been made, the Company shall repay the moneys to the extent of such excess",

within eighth day. The Company and every director of the Company who is an officer in default shall, on and from the expiry of the eighth day, be jointly and severally liable to repay that money with interest at such rate, not less than four per cent, and not more than fifteen per cent, as may be prescribed.

Effects of an irregular allotment

An allotment made in violation of sections 69, 70 and 73 (summarised in rules 1 to 7 above) has the following consequences :

1. *Option* : The allotment becomes voidable *at the option of the shareholder*. The option, to avoid the contract, must be exercised within 2 months of the holding of the statutory meeting or, where no statutory meeting is required to be held or where the allotment is made after the holding of the statutory meeting, within 2 months after the date of allotment. The option to avoid can be exercised even if the company is in course of liquidation.—Sec. 71(1) and (2).

2. *Compensation* : Any director knowingly or wilfully contravening the rules or authorising the contravention, shall be liable to pay compensation to the shareholders concerned for any loss or damage suffered. The suit for compensation must be brought within 2 years of the date of allotment.—Sec. 71(3).

3. *Fine* : “The validity of an allotment shall not be affected by any contravention of the foregoing provisions of this section ; but in the event of any such contravention, the company, and every officer of the company who is in default, shall be punishable with fine which may extend to five thousand rupees.”—Sec. 72(3).

4. *Void* : Any allotment made in violation of Section 73 is void. (See para 9 above.)

THE RETURN AS TO ALLOTMENT

Whenever a company having a share capital makes any allotment of its share, it must within 30 days thereafter file with the Registrar a return of the allotment, giving full particulars of the allotment made.—Sec. 75.

Allotment means appropriation out of the previously unappropriated capital of a company of a certain number of shares to a person. In this sense the re-issue of a forfeited share to a

person is not allotment, within the meaning of Sec. 75.—*Sri Gopal Jalan & Co. v. Calcutta Stock Exchange Association & ors.*¹

COMMENCEMENT OF BUSINESS

A public company, having a share capital and *issuing a prospectus*, cannot commence business until the Registrar issues a certificate known as the "Certificate of Commencement of Business". This certificate is issued after the following formalities have been complied with.—Sec. 149(1) :

(a) The minimum subscription has been raised.

(b) Every director has paid the moneys payable, on application and an allotment, for the shares taken up by him.

(c) No money is repayable for failure to obtain stock exchange recognition for the shares, where such recognition was promised.

(d) A duly verified declaration by a director or the secretary has been filed with the Registrar stating that the above requirements have been complied with.

A public company having a share capital but *not issuing a prospectus*, will get the commencement certificate if the following conditions are satisfied.—Sec. 149(2) :

(a) A statement in lieu of prospectus has been filed with the Registrar.

(b) The directors have paid the moneys due from them on account of shares.

(c) A declaration by a director or the secretary has been filed with the Registrar stating that condition (b) has been satisfied.

The amending Act of 1965 adds a new sub-section (2A) to Section 149 which places certain further restrictions on the commencement of business in certain cases.

Section 13 of the Act, as amended by the Act of 1965, provides that the Memorandum of Association of a company *formed after the commencement of the Act of 1965* must state separately (a) the main objects of the company together with objects incidental and ancillary to them and (b) other objects, if any. (See p. 567). The new subsection (2A) of Sec. 149 provides that (1) in the case of such a company, if it starts any business coming under (b) above, *viz.*, other objects and (2) in the case of a company already existing at the date of commencement of the amending Act of 1965, if it starts a new

¹ (1964) 3 S.C.R. 698 (702) (Supreme Court)

business not germane to the business it is carrying on, on that date, the following conditions must first be fulfilled.

1. The company has approved of the commencement of any such business by a special resolution passed on that behalf by it in general meeting.

2. There has been filed with the Registrar a duly verified declaration by one of the directors or the secretary that the above provision or the exception noted below has been complied with.

The new sub-section (2B) provides for one exceptional case. The Central Government may, on an application made to it by the Board of Directors, permit such new business in cases where no special resolution has been passed but where in the general meeting the votes cast in favour of commencing such business is more than the votes cast against it.

Contravention of the provisions relating to commencement of business is punishable by fine which may extend to Rs. 500 per day.

The restrictions on the commencement of business, as provided in Sec. 149, apply to all public companies having a share capital, whether issuing a prospectus or not.

A company may enter into contracts before the date of commencement of business but such contracts remain provisional up to the commencement date and become binding on that date.

EXERCISES

1. State the usual steps to be taken in the formation of a company under the Companies Act, 1956. (Page 587)
2. What do you understand by certificate of incorporation of a company? What are the principal documents to be filed for purposes of incorporation of company? (Pages 587-588)
3. What are the formalities for incorporation of a company? (Pages 587-588)
4. Define the promoters. State the duties and liabilities of promoters. (Pages 589-590)
5. Can a Company be a party to a contract before it has come into an existence? (Page 591)
6. Define Prospectus. State the contents of a Prospectus. (Pages 593-594)
7. Is a Company bound by a contract entered into by the promoters on its behalf before its incorporation? (Page 591)
8. What is a 'prospectus'? What does it contain? What is 'misstatement in a 'prospectus'? Who is liable? What is the nature of the liability? (Pages 593, 598)

9. What are the contents of the prospectus of a company? Must a company file a prospectus before it can commence business?
(Pages 593-594, 608)
10. Define the term 'statement in lieu of prospectus'. State the particulars required to be mentioned in the 'statement in lieu of prospectus'.
(Page 603)
11. Who is an expert in relation to the prospectus of a company? State the conditions which must be satisfied before a report by an expert can be published in prospectus.
(Page 595)
12. What are the rules regarding invitation of deposits by companies?
(Page 595)
13. Define 'irregular allotment' of shares. What is the effect of such an allotment?
(Page 609)
14. What is minimum subscription? In what case is minimum subscription necessary and what are the consequences of its not being subscribed?
(Page 604)
15. Enumerate the conditions to be fulfilled by a public company before it can commence business.
(Page 610)
16. Define the following terms as used in Companies Act :
(a) Registration of a Company; (b) Pre-incorporation contracts;
(c) Company Deposits; (d) Misstatement in the Prospectus;
(e) Minimum Subscription; (f) Return as to allotment;
(g) Statement in lieu of Prospectus. [Pages (a) 588; (b) 591;
(c) 596; (d) 598; (e) 604; (f) 609]
17. Problems : (1) A mining company stated in its prospectus that the company had taken a lease of land containing first grade coal. Later on, it turned out that the coal was of much inferior quality. What legal action a subscriber to share capital may take against the company?
(Page 598)
- (2) A prospectus was issued on the basis of the report of an expert who examined the property purchased by the company. If such report contained false statements of facts which were relied upon by a shareholder, what will be his remedy?
(Page 600)
- (3) The promoter of a Company purchased wine from Q on behalf of the Company. The Company was incorporated but, before paying the price, went into liquidation. Can the claim of Q be maintainable against the company?
(Page 592)
18. Comment on : The term 'promoter' is a term of business and not of law.
(Page 589)
19. Define the term 'promoter'.
(Page 589)
20. Write short notes : Certificate of Incorporation; Commencement of business; Preliminary expenses.
(Pages 588; 610; 604)
21. What is a statement in lieu of prospectus?
(Page 603)
22. Discuss fully the effects of misstatement made in the prospectus of a company.
(Page 598)

SHARE CAPITAL

The term "capital", in connection with company formation, may mean any one of the following things :

1. Nominal Capital or Authorised Capital

Nominal Capital or Authorised Capital is the total face value of the shares which the company is authorised to issue by its memorandum of association. The total share capital of a company is also called its Registered Capital.

The full authorised capital may not be needed by a company at the time it commences business. A company may issue less than the authorised capital, reserving the right to raise further moneys by the sale of the unissued shares at a later time.

2. Issued Capital

Issued Capital is that part of authorised capital which is actually offered to the public for sale.

3. Subscribed Capital

Subscribed Capital is that part of issued capital which is taken up and accepted by the public.

4. Paid up Capital

Paid up Capital is the amount of money actually paid by the subscribers or credited as so paid.

5. Uncalled Capital

The unpaid portion of the subscribed capital is called Uncalled Capital. A limited company may by special resolution determine that a portion of the share capital, which has not been called up, shall not be called up except in case of Liquidation. Such uncalled capital is called Reserve Capital. (See p. 578)

SHARES

Definition

The shareholders are the proprietors of the company. Therefore a "Share" may be defined as an interest in the company entitling the owner thereof to receive proportionate part of the

profits, if any, and of a proportionate part of the assets of the company upon liquidation. A shareholder has certain rights and liabilities. Formerly it was thought that the shareholders are the proprietors of the company. Nowadays, however, there has emerged a new concept of company. The views of the Supreme Court, in the case of *National Textile Workers' Union v. P. R. Ramakrishnan* are quoted in p. 542 subject to the control of the Government and social objectives of the nation.

Features and Characteristics ✓

The main characteristics of shares are stated below.

1. 'A share is not a sum of money, but is an *interest* measured in a sum of money and made up of various rights, contained in the contract.'—Farwell J. in *Borland's Trustee v. Steel Bros. & Co.*¹

2. A share is an interest having a money value and made up of *diverse rights* specified under the Articles of Association. *Commissioner of Income Tax v. Standard Vacuum Oil Co.*²

3. The holder of a share has certain *rights, duties and liabilities*, as stated in the Companies Act and in the Memo and Articles of a company.

4. A share is *transferable* and *heritable* subject to regulations framed in the Articles of Association of the company.

5. The shares or *other interest* of a member in a company is *movable property*, transferable in the manner provided by the articles of the company.—Sec. 82.

6. The shares *must be numbered* so as to distinguish them from one another.—Sec. 83.

Classification of Shares ✓

The Companies Act of 1956 provides that after the commencement of the Act, there can be only *two types* of shares capital, viz.,

(a) Equity Shares Capital, and

(b) Preference Share Capital.)

Preference Shares ✓

Preference shares are those shares which are given, by the articles of the company, two privileges viz., (i) priority in the payment of dividends over other share, and (ii) priority as regards return of the capital in the event of liquidation.—Sec. 85.

¹ (1901) 1 Ch. 279

² AIR (1966) Supreme Court 1396

4. The memo and the articles constitute a *binding contract* between the shareholder and the company.—Sec. 36.

5. All the shareholders are bound to follow the *decision of the majority* of the shareholders, unless the majority are guilty of mismanagement and oppression.—Secs. 397, 398.—

¶6. *Cases of unlimited liability.*—(a) Under the Articles, directors and managers can be made liable to an unlimited extent. (See ch. 6.)

✓(b) If the number of membership of the company falls to below 7 in public companies and below 2 in private company, the existing members become *liable for the debts* of the company to an unlimited extent.—Sec. 45 (See p. 555)

REDEEMABLE PREFERENCE SHARES

Section 80 of the Act provides that a company limited by shares may, if so authorised by the articles, issue preference shares which are, or at the option of the company are to be liable, to be redeemed. The rules regarding redemption are stated below :

1. Such shares shall not be redeemed except out of profits of the company which would otherwise be available for dividend or out of the proceeds of a fresh issue of shares made for the purpose of the redemption.

2. Such shares shall not be redeemed unless they are fully paid up.

3. The premium, if any, payable on redemption shall be provided for out of the profits of the company or out of the company's share premium account.

4. Where any such shares are redeemed otherwise than out of the proceeds of a fresh issue of shares, they shall be transferred to an account, to be called "the capital redemption reserve account", a sum equal to the nominal amount of the shares redeemed.

5. The capital redemption reserve account may, notwithstanding anything in this section, be applied by the company, in paying up unissued shares of the company to be issued to members of the company as fully paid bonus shares.—Sec. 80(5).

Subject to the aforesaid rules, the redemption of preference shares may be effected on such terms and in such manner as may be provided for by the articles of the company.

The redemption of preference shares under Section 80 of the Act, shall not be taken as reducing the amount of the authorised share capital of the company.

Where in accordance with the aforesaid provisions, a company has redeemed or is about to redeem any preference shares it shall have power to issue shares up to the nominal amount of the shares redeemed or to be redeemed as if those shares had never been issued. The issue of such new shares shall not be taken into account for the purpose of calculating the fees payable under Section 611, if the old shares are redeemed within one month after the issue of the new shares.

Section 80 has been amended and 80(5A) provides that no Company limited by shares shall issue any preference share which is irredeemable or is redeemable after the expiry of a period of ten years from the date of its issue. Company (Amendment) Act, 1988.

INCREASE OF CAPITAL : RIGHTS SHARES

There are two methods of increase of capital : (1) further issue of capital and (2) conversion of Government loans into shares.

Further issue of Capital

After the formation of a company, further shares may be issued. The rules regarding such issues are as follows.—Sec. 81(1).

Where at any time after the expiry of two years from the formation of a company or at any time after one year from the first allotment of shares, whichever is earlier, it is proposed to increase the subscribed capital of the company by allotment of further shares, the following procedure must be adopted :

1. Such new shares shall be offered to the persons who, at the date of the offer, are holders of the equity shares of the company in proportion, as nearly as circumstances admit, to the capital paid up on those shares at that date.

2. The offer aforesaid shall be made by notice specifying the number of shares offered and limiting a time not being less than fifteen days from the date of the offer within which the offer if not accepted, will be deemed to have been declined.

3. The offeree of the shares may renounce the offer in favour of any other person, unless the articles of the company provide otherwise.

4. After the expiry of the time specified in the notice aforesaid or on receipt of earlier intimation from the person to whom such notice is given that he declines to accept the shares offered, the Board of Directors may dispose of them in such manner as they think most beneficial to the company.

Shares issued under this Section are called "Rights" shares. However, in issuing shares to public companies are required to follow the SEBI guidelines.

Exceptions :

1. Section 81(1A) provides that further shares may be offered to any person in any manner whatsoever in the following cases :

- (a) if a special resolution to that effect is passed by the company in general meeting ; or
- (b) if a proposal to that effect is passed by the majority of members in a general meeting *and* the Central Government is satisfied that the proposal is most beneficial to the company.

2. Section 81(3) provides that the rules contained in Section 81(1) shall not apply.

- (a) to a private company ; or
- (b) where the subscribed capital of a public company is increased because debenture holders or creditors were given an option (by a special resolution passed by the company in general meeting and approved by the Central Government) to convert the debentures or loans into shares of the company.

CONVERSION OF GOVERNMENT LOANS INTO SHARES

When any debentures have been issued to, or loans have been obtained from, the Government by a company, the Central Government may direct that *such debentures or loans*, or any part thereof *shall be converted into shares* of the company.—Sec. 81(4) to (7).

The Government will issue such orders if, in its opinion, it is necessary in the public interest. The terms and conditions

of such conversion are to be determined by the Government. Due attention is to be given to the financial position of the Company, the terms of the debenture or loan etc. A copy of the order is to be laid before Parliament. If the Company is dissatisfied with the terms of conversion, it can appeal to the Court whose decision will be final.

Share capital will stand increased where an order is made under section 81(4).—Sec. 94A, Companies (Amendment) Act 1974.

SHARE CERTIFICATE

Definition

The share certificate is a certificate issued under the common seal of the company specifying the number of shares held by any member. A share certificate must be issued and delivered within 3 months from date of allotment. However, Company Law Board (CLB) can extend the period up to 9 months. In case of default, CLB can order the company concerned to make good the default and to pay all costs incidental to the application.

Rules

The rules regarding share certificates are stated below.

1. A company must prepare the share certificates and have them ready for delivery, within two months of the allotment of shares and/or registration of any transfer of shares unless the conditions of the issue of the shares provide otherwise.—Sec. 113. The Company Law Board may, on being satisfied, extend the above periods to nine months.—Sec. 113(1).

2. The share certificate is *prima facie* evidence of the title of the member of such shares.—Sec. 84(1).

3. *Duplicate* : A certificate may be renewed or a duplicate issued if it (a) is proved to have been lost or destroyed, or (b) having been defaced or mutilated or torn, is surrendered to the company.—Sec. 84(2).

4. If a company renews a certificate or issues a duplicate with intent to defraud, it shall be punished with a fine and every officer in default shall be punished with a fine or imprisonment.—Sec. 84(3).

5. The Government may prescribe rules regarding the issue, renewal etc. of share certificates.—Sec. 84(4).

6. *Estoppel* : A share certificate issued by persons authorised by the company, binds the company regarding title and payment.

Examples :

- (i) The company cannot deny the title of the certificate holder. *Dixon v. Kennaway*.¹
- (ii) If the certificate states that the shares are fully paid up the company cannot plead that they are not so. *Blumenthal v. Ford*.²
- (iii) A share certificate is the only legal documentary evidence of title in possession of the shareholder. *Societe Generale de Paris v. Walker*.³
- (iv) A share certificate, being a document of title, is essential for the purpose of transfer by way of sale, mortgage or pledge. It provides marketable title and a shareholder can sue the company for a certificate. *Burdett v. Standard Exploration Co.*⁴
- (v) Forgery cannot displace the real shareholder, *Barton v. L & N. W. Rly. Co.*⁵

SHARE WARRANT

A share warrant is a document issued by a company, stating that its bearer is entitled to the shares therein specified. It is a substitute for the share certificate. Share warrants may be issued for fully paid up shares, if the articles so provide and if the approval of the Central Government has been obtained. A share warrant may have attached coupons on the production of which the dividends due on the shares will be paid. Shares may be transferred by delivery of the warrant.—Sec. 114.

When a share warrant is issued, the name of the holder of the share certificate concerned shall be removed from the Register of Members and the number and date of the share warrant shall be noted there. Any holder of the warrant can, if he so desires, surrender the warrant and take a share certificate, whereupon his name shall be recorded in the Register of Members. The holder of a share warrant does not ordinarily possess the right to vote and exercise other right of membership, but the articles may give him that right.—Sec. 115. Conditions for issue of share warrants.

(1) The shares shall be fully paid-up. (2) The Articles shall authorise the issue of share warrants. (3) Prior approval of the

¹ (1900) 1 Ch. 833

² (1897) A.C. 156

³ (1885) 11 A.C. 20

⁴ (1899) 16 T.L.R. 112

⁵ (1888) 38 Ch. D. 144

Central Government shall be obtained. (4) The share warrants shall be issued under the common seal of the company.—Sec. 114(1).

Examples :

- (i) A share warrant can be transferred by delivery of possession. *Bechuanaland Exploration Co. Ltd. v. London Trading Bank.*¹
- (ii) In the case of a stolen share warrant the transferee in good faith gets a good title to it. *Webb Hale & Co. v. Alexandria Water Co.*²

DIFFERENCES BETWEEN SHARE WARRANT AND SHARE CERTIFICATE

The differences between a share warrant and a share certificate are summarised below.

1. A share warrant states that a bearer is entitled to the shares specified therein. It is a substitute of the share certificate.

2. Share warrant is issued only with fully paid up shares. The share certificate may be issued even though the share is partly paid.

3. A share and the share certificate are transferred by the procedure stated in the Companies Act and the articles of the company. A share warrant can be transferred by the delivery of the warrant.

4. A shareholder is paid dividend by the procedure stated in the Articles of the Company. (It is usually paid by cheque, sent by registered post). A share warrant may have attached coupons on the production of which dividends due on the shares will be paid.

5. The holder of a share warrant does not ordinarily possess the right to vote and to exercise other rights of membership. The holder of a share certificate exercises the right of all the membership, including the right of voting.

6. The holder of a share certificate has his name included in the Register of Members. When a share warrant is issued, the name of the holder of the share Certificate is removed and only the number and date of the warrant are noted.

STOCK

When all the shares of a company have been fully paid up, they may be converted into stock if so authorised by the articles.—Sec. 94(1)(c).

¹ (1898) 2 Q.B. 658

² (1905) 93 L.T.R. 572

Conversion into stock is made because it is a convenient method of denoting the capital of the company and the interest of the members. It does not effect the rights of the members in any way.

When shares are converted into stock, notice must be given to the Registrar. The register of members must thereafter show the amount of stock held by each member instead of the amount of shares.—Sec. 150.

The provisions of the Act relating to shares only, cease to apply to shares which have been converted into stock.—Sec. 96.

"The use of the term 'stock' merely denotes that the company have recognised the fact of the complete payment of the shares, and that the time has come when these shares may be assigned in fragments, which for obvious reasons could not be permitted before."—*Per Lord Cairns in Morris v. Aylmer.*¹

Distinction between Shares and Stocks

Shares and Stock are two methods of denoting the interest of a member of a company. According to Sec. 2(46) of the Act, the term share includes a stock, except where a distinction between them is expressed or implied.

The differences between Shares and Stock are stated below.

1. The shares of the same company are of equal nominal value. But stock may be divided into unequal amounts. Thus Rs. 100 worth of stock can be divided into two parts of Rs. 50 each.

2. Shares cannot be issued or transferred in fragments. Thus a member cannot hold half a share. But a stock can be transferred in fragments.

3. Shares may be partly paid. Shares can be converted into stock only when fully paid up.

4. Stock cannot be issued when a company is initially formed. Shares are issued when a company is formed.

5. Shares are numbered consecutively. Stocks are not numbered. But the names of the stock-holders are recorded in the Books of the Company.

6. Shares can be directly issued to the public whereas stock cannot be issued directly.

¹ (1878) 10 Ch. App. 154

SCHEMES OF ARRANGEMENT, RECONSTRUCTION AND AMALGAMATION

A Company may find it necessary to settle or compromise with its creditors or with particular groups of shareholders. For this purpose it may be necessary to recognise its structure or to amalgamate with another Company. Sections 391 to 396A of the Companies Act lay down the procedure for such re-organisation and amalgamation. The procedure is summarised below.

I. Schemes for Arrangement

The expression "Arrangement" includes a re-organisation of the share-capital of the Company by the consolidation of shares of different classes or by the division of shares into shares of different classes or by both these methods.

A compromise or arrangement may be proposed (a) between the company and its creditors or any class of them; or (b) between a company and its members or any class of them.

Upon such a proposal being made, the company, or any creditor, or any member, or the liquidator (if the company is in the process of being wound up) may apply to the court for an order directing the holding of a meeting of the members or the creditors concerned.

If in such a meeting the proposed scheme or arrangement is accepted by a majority representing at least 3/4ths in value of the creditors or members concerned, and if thereafter, the scheme is sanctioned by the court, it becomes binding on the company and all parties concerned and the scheme must be given effect to.

The court will not sanction any compromise or arrangement unless it is satisfied that all material facts relating to the company (e.g., its latest financial position) has been disclosed to the Court.

A certified copy of the Court's order is to be filed with the Registrar and annexed to every copy of the memorandum issued subsequently.

When a scheme is sanctioned by the High Court, it shall have power to supervise the carving out of the arrangement and to issue directions concerning the same.

Information of the arrangement shall be given to all persons concerned.

Case Law :

- (1) A scheme sanctioned by the Court does not operate as a mere agreement between the parties. It becomes binding on the company, the creditors and the shareholders and by statutory force. But it does not mean that the scheme becomes part of the constitution of the company. *J. K. Private Ltd. v. New Kaiser-I-Hind Sp. & Wvg. Co.*¹
- (2) *Who can apply?* The Court can take action under S. 392 on the application of *any* person interested in the affairs of the company. Such an application is not limited or restricted to a member, the liquidator or the creditor of the company. The Court can also act *suo motu*. *S. K. Gupta and another v. K. P. Jain and another*.²

II. Amalgamation through the Court

A scheme of compromise or arrangement may involve the amalgamation of one company with another by the transfer of the whole or part of any company to another. In such cases the scheme must be approved by holders of three-fourths in value of the shares concerned and sanctioned by the court. The procedure is the same as that outlined in I above. While sanctioning the scheme the court can facilitate the amalgamation by passing order for any of the following purpose :

(a) the transfer to the transferee company of the whole or any part of the undertaking, property or liabilities of any transferor company ;

(b) the allotment or appropriation by the transferee company of any shares, debentures, policies, or other like interests in that company which under the compromise or arrangement are to be allotted or appropriated by that company to or for any person ;

(c) the continuation by or against the transferee company of any proceedings pending by or against any transferor company ;

(d) the dissolution, without winding up, of any transferor company ;

(e) the provision to be made for any person who, within such time and in such manner as the Court directs, dissents from the compromise or arrangement ; and

(f) such incidental, consequential and supplemental matters as are necessary to secure that the reconstruction or amalgamation shall be fully and effectively carried out.

¹ AIR (1970) Supreme Court 1041 ² AIR (1979) Supreme Court 734

No compromise or arrangement in connection with a scheme for the amalgamation of a company (which is being wound up) with another company will be sanctioned unless the court receives a report from the Company Law Board or the Registrar that the affairs of the company have not been conducted in a manner prejudicial to the interest of the members or to public interest. A similar report, from the Official Liquidator, is necessary before the court orders dissolution without winding up of any transferor company. [See (d) above].

The court shall give to the Central Government, notice of all applications for sanction of schemes of arrangement, composition and amalgamation. The court shall take into consideration the representation of the Central Government, if any—Sec. 394A.

III. Compulsory purchase of the shares of dissenting shareholders (Sec. 395)

Scheme for 'take over' of shares : Where a scheme or contract involving the transfer of shares of one company to another has been approved by the holders of not less than nine-tenths in value of the shares involved within four months of the date of making the offer, the transferee company may, at any time within two months after the expiry of the said four months, give notice to any dissenting shareholders that it desires to acquire his share. The offer must be sent with full and detailed information.

Upon such notice being given, the transferee company becomes entitled and bound to acquire the shares, within one month of the date of notice, on the same terms as those on which the shares of the approving members are being acquired under the scheme.

A dissenting shareholder may apply to the court within one month of the notice, for an order prohibiting the purchase. The court may do so if sufficient grounds are shown.

The right of compulsory purchase can be exercised when the transferee company already holds a certain proportion of the shares in question.

After the formalities have been complied with and the instrument of transfer has been executed by the shareholders or

by any person appointed by the transferee company, the purchase price of the shares together with instrument of transfer is to be deposited with the transferor company. Thereupon the transferor company shall record the name of the transferee company as the holder of the shares and within one month inform the dissenting shareholders, the fact of such registration and the receipt of the money. The purchase price paid is to be held in trust for payment to the persons entitled to it.

Through the procedure provided by Section 395, it is possible to carry through a scheme of amalgamation, without the assistance of the court.

IV. Amalgamation by Order of Central Government (Sec. 396)

Where the Central Government is satisfied that it is essential in the public interest that two or more companies should amalgamate, it may, by order notified in the official Gazette, provide for the amalgamation of those companies into a single company with such constitution; with such property, power, rights, interests, authorities and privileges; and with such liabilities and obligations; as may be specified in the order.

The order of the Central Government may contain such consequential, incidental and supplemental provisions as may be necessary to give effect to the amalgamation.

Members and creditors (including debenture-holders) of the original companies shall have, against the new company, as nearly as possible the same rights as they had against the original companies. If the rights and interests of any member or creditor is affected prejudicially by the amalgamation, he will be entitled to compensation, the amount of which will be determined by such authority as may be prescribed. The compensation will be paid by the new company.

Before issuing the order of amalgamation, the Central Government will send a copy of the proposed order in draft to each of the companies concerned and will consider their suggestions and objections if any.

Copies of the order of amalgamation must be laid before both houses of Parliament.

Books and papers of a company amalgamated with or acquired by another company under sections 391 to 396 shall

not be disposed of without the prior permission of the Central Government. They may be examined for evidence of any offence.—Sec. 396A.

ISSUE OF SHARES AT A PREMIUM

A company may issue shares at a premium *i.e.*, at a value greater than its face value. If it does so, it must transfer an amount equal to the aggregate value of the premium received to an account to be called, "the share premium account". Section 78 provides that the share premium account may be applied by the company for any of the following purposes :

(a) in paying up unissued shares of the company to be issued to members of the company as fully paid bonus shares ;

(b) in writing off the preliminary expenses of the company ;

(c) in writing off the expenses of or, the commission paid or discount allowed on, any issue of shares or debentures of the company ; or

(d) in providing for the premium payable on the redemption of any redeemable preference shares or of any debentures of the company.

Except for the purposes mentioned above, the share premium is to be considered part of the capital of the company. The provisions of the Act relating to reduction of capital are applicable to the share premium.

ISSUE OF SHARES AT A DISCOUNT

Under Sec. 79 a company can issue shares at a discount, *i.e.*, at a value less than its face value if the following conditions are fulfilled :

(a) the issue of the shares at a discount is authorised by a resolution passed by the company in general meeting, and sanctioned by the Company Law Board ;

(b) the resolution specifies the maximum rate of discount at which the shares are to be issued ;

[Provided that no such resolution shall be sanctioned by the Company Law Board if the maximum rate of discount specified in the resolution exceeds ten per cent. unless the Board is of opinion that a higher percentage of discount may be allowed in the special circumstances of the case.]

(c) not less than one year has, at the date of the issue, elapsed since the date on which the company was entitled to commence business ; and,

(d) the shares to be issued at a discount are issued within two months after the date on which the issue is sanctioned by the Court or within such extended time as the Court may allow.

Every prospectus, relating to the issue of shares, shall contain particulars of the discount allowed and so much of the discount as has not been written off.

The proviso added in clause (b) was inserted in the Companies (Amendment) Act, 1974.

COMMISSION AND BROKERAGE

Commission

A company can pay commission to a person subscribing to the shares or (debentures) or procuring subscription for them, provided the following conditions are fulfilled.—Sec. 76.

1. The payment must be authorised by the articles.

2. The rate of commission must not exceed in the case of shares : 5% of the issue price or the rate prescribed in the articles, whichever is less ; and in the case of debentures : 2.5% of the issue price or the rate prescribed in the articles, whichever is less.

3. The amount or rate of commission payable, and the number of shares and debentures which have been agreed to be subscribed at a commission must be disclosed in the prospectus or statement in lieu of prospectus.

4. A copy of the contract for the payment of commission must be delivered to the Registrar at the time of delivery of the prospectus, or statement in lieu of it, for registration.

No commission shall be paid on shares or debentures which are not offered to the public for subscription, except where they were subscribed or agreed to be subscribed before the issue of the prospectus or the statement in lieu of it and that fact together with the amount of commission payable is disclosed in the prospectus or statement.

Brokerage

A broker is one who brings buyers and sellers into contract with one another. The rules stated in. Sec. 76 (see above) do

not apply to brokerage paid for the sale of share or debentures. A company is free to pay such brokerage, "as it has heretofore been lawful to pay".—Sec. 76(3).

PURCHASE OF THE COMPANY'S OWN SHARE

A company limited by shares or by guarantee cannot purchase its own shares because such a purchase amounts to a reduction of capital.—Sec. 77(1).

No public company and no private company which is a subsidiary of a public company can give by loan or otherwise any financial assistance for the purchase of its own shares or the shares of its holding company.—Sec. 77(2).

Exceptions : The rule that a company cannot purchase its own shares, is subject to the following exceptions :

1. A company may purchase its own shares if the consequent reduction of capital is effected and sanctioned in accordance with the rules prescribed in the Act for reduction of capital.

2. A company can redeem its redeemable preference shares where it can lawfully do so.

3. This rule does not prevent forfeiture or surrender of shares where lawfully made.

4. The court can direct purchase of shares under section 402 when necessary for protection of the interest of the minority.

The rule that a company cannot finance the purchase of its own shares [Sec. 77(2)] does not imply a prohibition of the following types of transaction :

(a) the lending of money by a banking company in the ordinary course of its business ;

(b) the provision of money, in accordance with a scheme for the time being in force, for the purchase of fully paid up shares in the company or its holding company, by trustees of employees or for the benefit of employees (the term employee includes a director holding a salaried employment under the company) ; and

(c) the making of loans to employees (not exceeding 6 months' wages) for the purchase of purchasing shares in the company or its holding company. (The clause does not apply to loans to directors and manager.)

However, Section 77A of the Companies (Amendment) Ordinance 1998 permits a company to purchase its own shares

(buy back) subject to certain conditions. On the otherhand Sec. 77B prohibits buy back in certain cases.

Buy Back

Notwithstanding anything contained in the Companies Act, 1956 a company may purchase its own shares or other specified securities. This is subject to provisions of Section 77A (2 and Sec. 77B). Thus a company may purchase its own shares or other specified securities from—

- (1) out of its free reserves ; or
- (2) out of the securities premium account ; or
- (3) out of the proceeds of an earlier issue other than fresh issue of shares made specifically for buy back purpose [Sec. 77A(1)].

Conditions for Buy Back

No company shall purchase its own shares or other specified securities as referred to above unless—

- (a) the buy back is authorised by its Articles ;
- (b) a special resolution has been passed in general meeting of the company authorising the buy back ;
- (c) the buy back does not exceed 25 per cent of the total paid up capital and free reserves of the company purchasing its own shares or other specified securities.
- (d) the ratio of the debt owed by the company is not more than twice the capital and its free reserves after such buy back ;
- (e) all the shares or other specified securities are fully paid up.

THE REGISTER AND INDEX OF MEMBERS

Register

Every company is bound to keep a Register of Members in which particulars are entered regarding the name, address, and occupation of the members ; the number of shares held by each ; the date of commencement and cessation of membership ; and similar particulars regarding ownership of stock, where the shares have been converted into stock.—Sec. 150.

Index

Every company having more than 50 members, shall keep an Index of Members, unless the Register of Members is kept in the form of an index.—Sec. 151.

No notice of any trust, express, implied or constructive, shall be entered in the Register of Members.—Sec. 153.

A company may after giving not less than 7 days' notice by advertisement in some local newspaper, close the Register of Members for a period of not more than 45 days in the year and not more than 30 days at a time.—Sec. 154.

Rectification of the Register of Members. (Sec. 155)

In respect of rectification of register the provisions for private company and public company are entirely different. In case of a private company, if name of a person is entered into register of members or deleted from the register of members the person so aggrieved or any other member of the company or company itself can apply to the Company Law Board (CLB) for rectification of the register. As the powers of the CLB (Company Law Board) are wider it can order to rectifications for any reason.

In case of public company, company must register transfer within two months. Transfer cannot be refused without sufficient cause. But rectification can be applied only when transfer is in violation of any law.

The Foreign Register

A company may, if so authorised by the articles, keep in a country outside India, a branch Register of members resident in that country. Such a register is called the Foreign Register. A duplicate of the Foreign Register must be kept in India and a copy of all changes made in the entries must be transmitted to the registered office in India.—Sections 157, 158.

TRUST OF SHARES AND DEBENTURES

Public Trustee

Sections 153A and 153B provide for the appointment of a Public Trustee to whom all persons holding company shares or debentures in trust are to make a declaration. However, under SEBI guidelines, appointment of trustees is mandatory if debenture maturity is 18 months or more.

Voting rights in the company are exercisable, at his option, by the Public Trustee.—Sec. 187B.

Declaration as to shares and debentures held in trust

The holder of a share in, or debenture of, a company, but who does not hold the beneficial interest in such share or debentures, shall within such time and such form as may be prescribed, make a declaration to the company specifying the name and particulars of the persons who hold the beneficial interest of such a share or debentures.

The holder shall declare to the company whenever there occurs a change of beneficial interest of the shares or debentures.

The company shall make a note of such declaration in its Register of Members and shall file the declaration of the Registrar within 30 days from the date of receipt.

If any person required to make a declaration under the above rules and fails to do so without any reasonable excuse, he shall be punishable (fine up to Rs. 1000 per day). If a company or its officer fails to comply with the above provision, who is in default, shall be punishable (fine up to Rs. 100 per day).

If any charge, promissory note or any collateral agreement is created, executed or entered into in relation to any share or debentures by the ostensible owner, or any hypothecation by the ostensible owner of the shares or debentures, when there was no declaration required under the rules, it shall not be enforceable by the beneficial owner or any person claiming through him.

Nothing in this section shall be deemed to prejudice the obligation of a company to pay dividend under sec. 206. The obligation, on such payment stands discharged.—Sec. 187C, Companies (Amendment) Act, 1974.

The Central Government may investigate the beneficial ownership in such cases.—Sec. 187D. Companies (Amendment) Act, 1974.

MEMBERSHIP OF A COMPANY**Definition of “Member”**

According to Section 41 of the Act, the term “member” of a company means—

- (1) the subscribers of the memorandum of the company, and
- (2) every other person who agrees in writing to become a member of a company and whose name is entered in its register of members.

How is membership created ?

A person can become member of a company in any one of the following ways—

1. *Signature* : By signing the memorandum of association before it is presented for registration.

2. *Allotment* : By getting an allotment of shares and having his name included in the register of members.

3. *Transfer* : By getting a transfer of shares from an existing member and having the transfer recognised by the company.

4. *Transmission* : By obtaining shares by inheritance from a deceased member and getting his name included in the register of members.

5. *Acquiescence* : By allowing his name to remain in the register of members under such circumstances that he cannot later on plead that he is not a member. A right to disclaim the ownership of shares on legal grounds must be exercised within a reasonable time. If a shareholder makes inordinate delay he will be prevented from doing so on the doctrine of holding out. Lord Cairns in *Sewell's case*.¹

Member and Shareholder

In companies having a share capital, a shareholder is also a member of the company. In companies, not having a share capital, there are members but no shareholders. "The terms 'member' and 'shareholder' are synonymous, apart from the now exceptional case of the bearer of a share warrant who is shareholder but is not a member because he is not registered in the register of members." (Palmer's Company Law, 21st ed., p. 439)

The words, "member", "shareholder", and "holder of a share" have been used interchangeably in the Companies Act. The expression, "holder of a share" denotes, in so far as the company is concerned, only a person who, as a shareholder, has his name entered in the register of members. *Howrah Trading Co. v. I. T. Commissioners*.²

Transfer and Transmission of Shares

When shares pass from one person to another by a voluntary act e.g., by sale, gift or otherwise, it is called transfer. When

¹ (1868) 3 Ch. App. 131

² AIR (1959) Supreme Court 775

shares pass by operation of law from one person to another, *e.g.*, by inheritance, it is called transmission.

On the death of a member, his shares vest in his executors or administrators or other legal representatives, and such shares are liable for calls if the shares remain partly paid. *Baird's Case*.¹

Who can be a member ?

The Companies Act does not prescribe any qualification for membership of a company. But since membership is created by agreement, it may be argued that persons incapable of entering into contracts cannot be members.

Minor : An agreement by a minor is void in India. Therefore a minor cannot apply for and be a member of a company. If a minor has, by mistake, been recorded as a member, the company can rescind the transaction and remove the name from the register. The minor can also repudiate the transaction and get his name removed, from the register. But where a minor was made a member and, after attaining majority, he received and accepted dividends, he will be estopped from denying that he is a member. *Fazalbhoy v. The Credit Bank of India*.² *Sadik Ali Khan v. Jaikishore*.³ (See p. 53).

Company : A company can be a member of a company. But a subsidiary company cannot be a member of its holding company, except where the subsidiary company comes in as the legal representative of a deceased member.—Sec. 42.

Creditor : A person to whom shares have been transferred by way of security, becomes a member of the company and is liable as such.

Fictitious person : It is a punishable offence to apply for allotment of shares, or for the registration of transfer of shares, or for the registration of transfer in a fictitious name.—Sec. 68A.

Trustee : A company will not register notice of any trust. A trustee who buys shares will be treated as a member in his individual capacity.—Sec. 153. But see 'Trust of Shares', pp. 634-635.

How membership ceases

The membership of a person in a company may terminate in any one of the following ways :

¹ (1870) 5 Ch App. 725

² 39 Bom. 331

³ AIR (1928) Privy Council 152

1. *By death* : When a member dies the ownership of the shares passes to his successors. The successors will, on production of evidence of ownership, be registered as members in place of the deceased member. But a company may have, under the articles, a right to refuse to recognise the successors as members.

2. *By insolvency* : Upon insolvency of a member, the shares vest in the Official Assignee or the Official Receiver.

3. *By rescission* : The contract to purchase shares may be rescinded. A person who has purchased shares may under certain circumstances have the contract rescinded, e.g., when there are untrue statements in the prospectus. Upon rescission, he ceases to be a member.

4. *By forfeiture* : Shares may be forfeited according to the provisions of the articles.

5. *By a surrender* : Shares may be surrendered where surrender is permitted.

6. *By transfer* : Shares may be transferred.

7. *By sale* : Shares may be sold in execution of a decree of the court.

8. *By power of lien* : Shares may be sold by the company in exercise of a power of lien over it for the dues of the company.

9. *By a mortgage* : Where shares are mortgaged and according to the terms of the mortgage, the shares have been transferred to the mortgagee, the latter can have his name registered as a member. If he does so the original member loses his membership.

10. *By redemption* : Preference shares may be redeemed.

11. *By winding up* : When the company is wound up according to the provisions of the Act, membership ceases to exist.

TRANSFER OF SHARES

Shares may be transferred in the manner provided for the purpose in the articles of the company and subject to the restrictions contained in the articles. The Companies Act contains the following provisions regarding transfer of shares.

1. Documents

[Section 108 (1)] A company shall not register a transfer unless the following documents are produced before it :

(a) a proper instrument of transfer duly stamped and executed

by or on behalf of the transferor and by or on behalf of the transferee and specifying the name, address and occupation, if any, of the transferee, and

(b) the certificate relating to the share, or if no certificate is in existence, the letter of allotment.

The instrument of transfer is not required in cases of transmission of shares by operation of law but the company may require evidence of transmission.

The above provisions also apply to the transfer of the interest of a member in a company which has no share capital.

As per Section 113(1), shares must be transferred within two months after the issue of the certificate. The period can be extended to 9 months by the Company Law Board if there are sufficient reasons. CLB can also urge the company to make good the default, if any, and to bear all costs incidental to the application process in this respect.

2. The prescribed form

(Sec. 180 (1A)) Every instrument of transfer of shares shall be in the prescribed form.

(a) It must be presented to the prescribed authority, (being a person in the service of the Government) before it is signed by or on behalf of the transferor. The prescribed authority will stamp or endorse thereon the date of presentation.

(b) If the share is one which is dealt with in a recognised stock exchange, the instrument of transfer shall be delivered to the company any time before the next closing of the register of members or within two months from such date of presentation, whichever is later. In other cases the instrument of transfer shall be delivered to the company within two months from the date of presentation to the prescribed authority. The Central Government may extend the periods mentioned above.

In certain exceptional cases, a transfer must be accepted by a company, even though the above requirements are not complied with.

(c) The provisions stated above do not apply to shares deposited (as security for a loan or for the performance of an obligation) to the State Bank of India, any scheduled bank or any banking company or financial institution approved and notified by the Central Government.

3. Lost Instrument

If the instrument of transfer is lost, the directors may allow the transfer, on such terms as to indemnity as they think fit.

4. Share of a deceased member

The legal representative of a deceased member can transfer shares, although he is not himself a member.—Sec. 109.

5. Who will apply for transfer ?

An application for the registration of transfer may be made either by the transferor or by the transferee. Where the application is made by the transferor and relates to a partly paid up share, the company must give notice to the transferee (by post) and the transfer can be registered only if the transferee makes no objection within two weeks of the time he ought to have received the notice by post.—Sec. 110.

6. Refusal

The articles may empower the company to refuse to register a transfer or transmission of shares.—Sec. 111(1). In cases of such refusal, the applicant is to be notified within two months.—Sec. 111(2).

Section 111 of the principal Act has been amended in 1988. The amended section provides that if a Company refuses to register the transfer of or transmission of the right to any shares or debentures of the Company it shall send notice of the refusal within two months giving reasons for such refusal.

The transferor or transferee may appeal to the Company Law Board against any refusal of the Company to register the transfer.

Such appeal must be made within two months of the receipt of notice of such refusal.

The power of refusal must be exercised reasonably and in good faith. (See the cases below).

7. Appeal against refusal to transfer [Sec. 111(3) to 111(9)]

A. In the case of a public company and a private company which is a subsidiary of a public company. The transferor or the transferee or the person who gave intimation of the transmission may appeal to the Central Government against the company. The appeal must be filed within two months of the

receipt of the notice of refusal, or where the company fails to give any notice, within two months after the expiry of the period within which such notice should have been issued. The appeal must be by a petition in writing and shall be accompanied by prescribed fee.

The Central Government shall give an opportunity to the appellant, the previous owner, if any, and the company to represent their case. The Central Government may require the company to disclose the reasons why transfer was refused. If the company fails to disclose the reasons, the Central Government may presume that the disclosure, if made, would be unfavourable to the company.

The Central Government may reverse the decision of the company or confirm it. In the former case, the company must register the transfer within 10 days of the receipt of the order. The Central Government may also order the payment of costs to the aggrieved party.

All proceedings connected with the appeal shall be confidential. No suit shall lie concerning any allegation made in such proceedings.

B. In the case of other private companies. In such cases, the decision of the company to refuse registration cannot be challenged, except in one case. If any shares of such a company are sold in execution of a decree or the orders of a public authority and the purchaser's name is not registered, he can appeal to the Central Government. Such an appeal is dealt with in the same manner as an appeal against a public company (See above). There is, however, an additional provision for such cases. The Central Government may give an option to the company, either to accept the purchaser as a member or to get the shares purchased by a member of the company at a reasonable price to be determined by the Central Government.

RESTRICTIONS ON ACQUISITION AND TRANSFER OF SHARES

The Companies (Amendment) Act of 1974 enacted the following restrictions on acquisition and transfer of shares.

1. Restrictions on the acquisition of shares

Except with the previous approval of the Central Government, a group or any constituent of the group must not, jointly or

severally, acquire or agree to acquire, which exceed 25% of the paid up equity share capital (together with the shares already owned) of the company under the same management. The rule is applicable to a public and also a private company which is a subsidiary of a public company. Any person who acquired any share in contravention of this provision is punished (Up to 3 years' imprisonment and/or fine up to Rs. 5,000)—Sec. 108A. (Definition of 'Group'—See p. 548)

2. Restrictions on transfer

Any body corporate or bodies corporate under the same management holding, (whether singly or aggregate) 10% or more of the nominal value of the subscribed equity shares shall (before transferring one or more such shares) intimate the Central Government with all particulars. On receipt of the intimation, if the Central Government is satisfied that as a result of such a transfer, a change in the composition of the Board of directors of the company is likely to take place and that such a change will be prejudicial to the interest of the company or the public interest, it may by order direct that,

- (a) no such share shall be transferred to the proposed transferee or,
- (b) in certain "listed industries" such share shall be transferred to the Central Government or to a corporation owned or controlled by the Government.

In case of transfer, the transferee must be paid in cash according to its market value. Any contravention of this section may be punished by imprisonment up to 30 years and/or fine up to Rs. 5,000.—Sec. 108B.

The term "market value" means the value as quoted on any recognised stock exchange. If such a share is not quoted in a stock exchange, market value means the value agreed between the shareholder and the Central Government or the specified corporation. In the absence of such an agreement its value will be determined by the Court.

A "listed industry" means an industry listed in schedule XII of the amended Act. Some examples are Air transport, Coal, Iron and Steel. Antibiotics etc.

If the Central Government does not make any direction, within 60 days from the date of receipt of its intimation, the provisions regarding transfer shall not apply.

3. Restriction on the transfer of shares of foreign companies

No body corporate or bodies corporate under the same management, which holds, or hold in the aggregate, 10% or more of the nominal value of the equity share capital of a foreign company, having an established place of business in India shall transfer any share in such foreign company to any citizen of India or any body corporate incorporated in India except with the previous approval of the Central Government.

Such previous approval shall not be refused unless the Central Government is satisfied that such transfer would be prejudicial to the public interest.—Sec. 108C.

Contravention of this section is punishable.

4. Central Government can direct companies not to give effect to the transfer

Where the Central Government is satisfied that as a result of the transfer of any share or block of shares of a company, a change in the controlling interest of the company is likely to take place and that such change is prejudicial to the interests of the company or to the public interest, the Government may direct the company not to give effect to the transfer of any such share or block of shares.

The transferee of such shares will not exercise voting or other rights, including that of any nominee or proxy of the transferee.

Where the transfer of share or block of shares is not allowed by the Central Government, the sale price shall be refunded to the transferor. Such an order may be enforced as if it were a decree of the Civil Court.

If the transfer is allowed, the transferee will be eligible to exercise voting or other rights.—Sec. 108D.

5. The time of refusal

Every request made to the Central Government for according its approval to the proposal for the acquisition of any share or the transfer of any share shall be presumed to have been granted unless, within a period of 60 days from the date of receipt of such request, the Central Government communicates to the person by whom the request was made, that the approval prayed for cannot be granted.—Sec. 108E.

6. Penalty

Any person who exercises any voting rights or other rights contravenes the provisions of Secs. 108A, 108B and 108C shall be punishable (up to 5 years imprisonment and also fine). The company and every officer is punishable by fine up to Rs. 5000 and up to 3 years' imprisonment.—Sec. 108F.

7. Some Exemptions

Nothing contained in section 108A, section 108B, section 108C or section 108D shall apply to the transfer of any share to, or by:—

- (a) any company in which not less than fifty-one per cent of the share capital is held by the Central Government;
- (b) any corporation (not being a company) established by or under any Central Act;
- (c) any public financial institution specified by or under section 4A. (See p. 548)

CASE LAW CONCERNING TRANSFER OF SHARES

Effect of Transfer

A transfer of shares remains incomplete until the transferee's name is registered. Pending registration, the transferor is trustee of the shares for the transferee. *Hardoon v. Belilios*.¹

A transferee, not replying to a notice of transfer by the company, is not estopped from denying the validity of the transfer. *Barton v. L & N. W. Ry. Co.*²

Companies Act (1956), S. 108—Whether mandatory or directory : Negative, prohibitory and exclusive words are indicative of the legislative intent when the statute is mandatory. Negative words are clearly prohibitory and are ordinarily used as a legislative device to make a statutory provision imperative. The words “shall not register,” are mandatory in character. *Mannalal Khetan etc. etc., v. Kedar Nath Khetan and others, etc.*³

Power to refuse registration

Where directors have power to refuse registration of a transfer the power must be exercised in a *bona fide* and just manner. *Re Coalport China Co.*⁴

A member of a company has an unfettered right to transfer the shares to another person, unless this right is taken away by the Articles; and

¹ (1901) A.C. 118

² (1888) 38 Ch.D. 144

³ AIR (1977) Supreme Court 536

⁴ (1895) 2 Ch. 404

a transferee under a valid transfer has an absolute right to be registered unless the company has a power to refuse to register. *Rangpur Tea Assn. v. M. Samadhar*¹

Where the directors under the articles of a company have uncontrolled and absolute discretion in regard to declining registration of transfer of shares, discretion does not mean a bare affirmation or negation of a proposal. Directors will act for the paramount interest of the company and for the general interests of the shareholders. The directors are therefore required to act *bona fide* and not arbitrarily and not for any collateral motive. *Bujaj Auto Ltd. v. N. K. Firodia*²

In the case of private companies there may be restriction of the rights of members to transfer their shares. In a company the Articles provided that a share can be transferred only to male relatives, that is sons or brothers and their lineal descendants. The House of Lords did not object to such restrictions. *I. R. C. v. Crossman*³

Central Government, when exercising powers under S. 111, is a tribunal within the meaning of Art. 136 and is required to act judicially. It has to be decided whether the directors have acted oppressively, capriciously, corruptly or *mala fide*. *Harinagar Sugar Mills Ltd. v. Shyam Sundar Jhunjhunwala*⁴

If the Board of directors had refused a transfer and on appeal the decision was reversed and the transferee was later on again registered, the transferee is entitled to damages on the basis of the fall in a market price of the shares and between the date of refusal to register and the date of suit. Where there was no fall in a market-price, the transferee would be entitled to nominal damages only. *Thenappa v. Indian Overseas Bank*⁵

Forged transfers

If the instrument of transfer is forged and the company in good faith issues a certificate to the "transferee", the title of the real holder is not affected. The transferee's name may be removed from the register on appropriate steps being taken. *Barton v. L. & N. W. Rly. Co.*⁶ If the "transferee" sells the shares to a *bona fide* purchaser for value, the purchaser gets no right to be a member of the company but he is entitled to damage from the company for having issued a share certificate on the basis of a forged instrument of transfer. *In re Bahia & San Francisco Rly. Co.*⁷ The company is entitled to get damages from the person who induced them to issue share certificate on the basis of a forged instrument of transfer. *Sheffield Corporation v. Barclay*⁸

¹ (1972) 76 C.W.N. 393

³ (1937) A.C. 26

⁵ AIR (1943) Mad. 743

⁷ (1868) 3 Q.B. 584

² AIR (1971) Supreme Court 321

⁴ (1962) 2 S.C.R. 339 Supreme Court

⁶ 24 Q.B.D. 77

⁸ (1905) A.C. 392

LODGING THE CERTIFICATE

When a person is the owner of a number of shares, the company issues only one certificate in respect of all the shares and not one for each share. It follows that when the holder transfers some of the shares he owns he has to deposit the share certificate with the company for the issue of a fresh certificate for the balance of the shares that remains in his ownership. When a certificate is deposited for this purpose the company writes on the instrument of transfer the words "certificate lodged" or other similar words. The original certificate is thereafter corrected and a fresh certificate issued.

BLANK TRANSFERS

Blank transfer of shares may be (i) by way of mortgage, and (ii) by sale.

A blank transfer is an instrument of transfer of shares, in which the name of the transferee is not mentioned. Whoever has the instrument he has the implied authority of putting in his own name or the name of any other person as the transferee. An application can be made to the company to record the person, whose name is finally put on the instrument, as a member of the company. The utility of a blank transfer is that a single instrument can be used for several sales. The procedure can avoid stamp duty.

A sells some shares to *B*, giving him a blank transfer, *B* can sell the shares to *C* by simply handing over the instrument to *C*. *C* can transfer the shares to *D* in the same way. *D*, if he wishes to be recorded as member can write down his own name on the transfer form and apply for registration.

The handing over of a transfer form executed in blank, does not by itself authorised the person to whom the form has been transferred to sell the share or get himself registered as the owner. Thus, if a person borrows money on the security of a share and gives to the lender the share together with a transfer form signed in blank, the lender is not entitled to sell the share except for non-payment of the amount lent.

In the case of a blank transfer, equities exist between the transferor and the transferee and the transferee has the right to claim the dividend from the transferor who holds it in trust for

him, but the company is only liable to the transferor and not to the transferee. Though the transferee is clothed with an equitable ownership, he is not a full owner. *Howrah Trading Co. Ltd. v. Commissioner of Income-Tax*.¹

CALLS

The Companies Act provides that not less than 5% of the face value of a share must be paid with the application for the purchase of the share. The balance of the purchase price is payable in the manner laid down in the articles.

Suppose that the face value of a share is Rs. 100. Five per cent of this, i.e., Rs. 5 is payable with the application. The balance Rs. 95 is payable upon allotment, or partly upon allotment and partly when demanded by the company. It may be provided that the company will demand the balance by a number of "calls" at different times. When the company demands payment of any part of the purchase price payable in this fashion, it is said to make a "call".

Rules

The requisites of a valid call are stated below.

1. *Notice* : The decision to make a call must be taken by the Board of Directors and notified to the shareholders concerned under Section 292(1) (a)(b).

2. *Time and amount* : The resolution of the Board must state the amount to be paid and its time.

3. *Interest* : The Articles of the company usually provides that in case of default, interest is to be paid by the shareholder.

4. *Uniformity* : Calls shall be made on a uniform basis on all shares falling under the same class, i.e., there must be no discrimination in favour of any shareholder.—Sec. 91.

5. *Advance call* : A company may, if so authorised by the articles, accept an advance payment of any part of the money due (i.e., before any call has been made).—Sec. 92. Such advance payment does not entitle the shareholder to any extra voting power. But a company may, if so authorised by the articles, pay dividends in proportion to the amount paid up on each share where a larger amount is paid up on some shares than on others.—Sec. 93.

6. *Call is a debt* : When a call has been validity made, it becomes a debt due from the shareholder and the money can be recovered by suit.

7. *It must follow SEBI rules.*

8. *Legal decisions* : The formalities laid down in the articles regarding the making of calls must be scrupulously complied with. A call made in contravention of the provisions of the articles is invalid. *Re Cawley & Co.*¹ But irregularities of a trifling nature do not matter. *Dowson v. African Consolidated Co.*² The power to make calls is of a fiduciary nature and must be exercised for the benefit of the company. *Lomb v. Sambas Rubber Co.*³ The call-making power is in the nature of trust and this power should be exercised for the benefit of the company. *Alexander v. Automatic Telephone Co.*⁴

LIEN

The articles of a Company may provide that the Company shall have a lien or first charge on the shares of a member for moneys due from him to the Company. In such cases if any share is mortgaged, the claims of the Company on the share, if any, will have priority over the claims of the mortgage.

The lien on the shares, where it exists, extends also to the dividends payable on the shares and the assets receivable by the shareholder upon winding up. In *Allen v. Gold Reefs*.⁵ it was held that the company's lien continues after the death of the shareholder.

The articles usually empower a company to enforce its lien by a sale of the shares. But a lien cannot be enforced by forfeiture of shares. The lien is not a possessory lien, but creates an equitable charge, which is assignable. *Everett v. Automatic Machine*.⁶

Loss of lien

A company losses lien if—(1) it registers a transfer of shares subject to the lien of the transferee.

¹ (1889) 42 Ch. D. 209

³ (1908) 1 Ch. 845

⁵ (1900) 16 Ch. 656

² (1898) 1 Ch. 6

⁴ (1900) 2 Ch. 56

⁶ (1892) 3 Ch. 506

(2) A member pledges his shares to a third party for a loan and informs the company, then pledgee gets priority over the lien of company.

FORFEITURE OF SHARES

The articles may provide that the shares of a shareholder can be forfeited under certain circumstances, e.g., non-payment of calls.

Rules

The following rules, regarding forfeiture of shares, are generally provided for in the Articles of a Company :

1. The decision of forfeiture of the share must be made by the Board of Directors.

2. A notice must be issued to the holder, demanding to pay the call within a fixed period usually 14 days on default of which the share will be forfeited.

3. On forfeiture, the Company becomes the owner of the shares and they can be sold to others.

4. Upon forfeiture the original shareholder ceases to be a member and his name must be removed from the Register of Members.

5. The forfeited shares can be sold at any price.

6. A forfeiture is not valid unless the power to forfeit the shares has been strictly and literally complied with. *Pramila Devi v. People's Bank of N. India.*¹

7. The power to forfeit is in the nature of a trust and must be exercised for the benefit of the company.

8. The purchaser of a share, forfeited for non-payment of calls, is liable to pay all unpaid calls due on the share. The company cannot sell a share free from the liability to pay calls. The original holder of the forfeited share remains liable as an ordinary debtor for the unpaid calls according to the provisions of the articles and can be sued for the debt.

9. There is nothing in the Companies Act, 1956, which prevents a company from forfeiting the shares of any member for non-payment of any money due to the company other than

¹ AIR (1938) Privy Council. 284

money due for payment of calls. Under the articles of association, the Exchange has the authority to sell the forfeited shares and to appropriate the sale proceeds towards the satisfaction of the debts, liabilities or engagements. *Naresh Chandra Sanyal v. Calcutta Stock Exchange Association Ltd.*¹

However, shares issued as fully paid shares cannot be forfeited as in *K. Md. Farooq Ahmed v. Fortarn Cirkut Electronics P. Ltd.* (1997)

SURRENDER OF SHARES

Surrender of shares means abandonment of the shares by the holder thereof in favour of the Company. There is no provision in the Act or in Table A for surrender of shares. But the articles of a company may provide for the acceptance of a surrender under circumstances which would justify forfeiture.

The surrender of shares by a member to the company becomes valid—

(1) Where the Articles empower the directors to accept it and it is accepted, in case of partly paid shares, to save the company from going through the formalities of forfeiture.

(2) Where it is in accordance with the Articles and accepted in case of fully paid shares in exchange for new shares of the same nominal value and the surrendered shares are capable of re-issue.

Surrender amounts to a reduction of capital. Therefore, the articles can provide for the acceptance of surrender under circumstances which would justify forfeiture. Any provision in the articles, for the acceptance of surrender in other circumstances, is invalid. *Madras Native Fund v. Natesa Sastri*.²; *Bellerby v. Rowland and Marwood S. S. Co.*³

A valid surrender of shares justifies in case of forfeiture. *Trevor v. Whitworth*.⁴

The Articles of a company may provide that certain specified shares may be surrendered in exchange of new shares to be issued by the company.

¹ (1972) 1 S.C.A. 172 (Supreme Court)

³ (1902) 2 Ch. 14

² 52 Mad. 915

⁴ (1887) 12 A.C. 409

EXERCISES

1. Explain the concept of 'Capital' in relation to a limited company and state the various senses in which the term 'Capital' is used in company law. (Pages 613-616))
2. State the voting right of a shareholder in a Company Meeting. (Pages 616-617)
3. State the rights, duties and the liabilities of a shareholder. (Pages 617-619)
4. Explain how the share capital of a company can be increased. What are Rights Shares ? (Page 620)
5. Write explanatory notes on : (i) Schemes of Arrangements (ii) Reconstruction and (iii) Amalgamation. (Pages 626-629)
6. What are the modes of acquiring and cessation of membership of a company ? (Pages 636-638)
7. What is the law relating to restrictions on the purchase of own shares by the company ? (Pages 632-633)
8. "Shares are *prima facie* transferable." Discuss. (Pages 638-641)
9. State the rules regarding registration of transfer of shares of a Company. (Pages 638-641)
10. State the remedies available to person for refusal or failure of directors to register the transfer of shares. (Pages 642-644)
11. State whether a loan can be converted into the shares of the company. If it can be done, then at what time and what is the procedure ? (Page 622)
12. State the rules regarding issue of shares at a premium and at a discount. (Pages 630-631)
13. State the differences between the following :
 - (a) Equity Shares and Preference Shares. (Pages 614, 616)
 - (b) Member of a Company and a Shareholder. (Page 636)
 - (c) Share Certificate and Share Warrant. (Pages 623-624)
 - (d) Shares and Stock. (Pages 624-625)
 - (e) Transfer of Shares and Transmission of Shares. (Pages 636-637)
14. Write notes on the following :
 Share ; Redeemable Preference shares ; Register and Index of members ; Reserve Capital ; Trust of shares ; Public trustee ; Lodging the certificate ; Blank transfers ; Calls ; Lien on the shares ; Forfeiture of shares ; Surrender of shares. (Pages 613 : 619 ; 634 : 578 : 634 : 635 ; 635 ; 646 ; 646 : 645 ; 647 ; 646)
15. Objective Questions.
 - (a) What is Capital ? (Page 613)
 - (b) What is convertible debenture ? (Page 736)
 - (c) Are the shareholders of a Company the proprietors of the company ? (Page 613)

Objects

The corporate system of business organisation is essentially democratic in structure. The business of the Company is carried on by officials acting under the orders of the Board of Directors, which is the executive head of the Company. But the directors are elected to the Board by the shareholders of the Company and must abide by the wishes of the shareholders as expressed in resolutions passed in meetings convened for the purpose. The shareholders are, subject to the provisions of the Memorandum and the Articles, the final authority as regards the affairs of the Company. The shareholders cannot interfere in the day to day administration of the Company but they can elect Directors who will carry on the administration in the manner desired by them. Also, there are many matters which are beyond the powers of the Board of Directors to decide and which must be placed before the shareholders for decision. Meetings of shareholders are held for this purpose and the decisions of the shareholders are expressed in the form of resolutions.

Meetings

The Companies Act provides for the following types of meetings :

- A. Meetings of the shareholders : (1) Statutory Meeting (2) Annual General Meeting (3) Extra-ordinary General Meeting (4) Class Meetings. Under certain circumstances the Court can order certain meetings.
- B. Other Meetings : (1) Meetings of the creditors (2) Meetings of the debenture holders.
- C. Meetings of directors.

STATUTORY MEETING

Every public company limited by shares and every company limited by guarantee and having a share capital, must within a period of not less than one month and not more than six months from the date at which the company is entitled to commence

business, hold a general meeting of members which is to be called, the Statutory Meeting. In this meeting the members are to discuss a report by directors, known as the Statutory Report, which contains particulars relating to the formation of the Company.—Sec. 165(1).

STATUTORY REPORT

This is a report drafted by directors and certified as correct by at least two of them (including the managing director, where there is one). A copy of the report must be sent to every member, at least 21 days before the date of the meeting. A copy is also to be sent to the Registrar for registration. Section 165(3) provides that the Statutory Report must contain the following particulars :

- (a) the total number of fully paid up and partly paid up shares allotted ;
- (b) the total amount of cash received by the company in respect of the shares ;
- (c) an abstract of the receipts, classifying them according to source and mentioning the expenses incurred for commission, brokerage etc. ;
- (d) the name, address and occupations of directors, auditors, manager and secretary and changes of the names, addresses etc. ;
- (e) particulars of contracts which are to be submitted to the meeting for approval, with proposed modifications, if any ;
- (f) if any underwriting contracts have not been carried out, the reasons therefor ;
- (g) the arrears due on calls from directors and others ;
- (h) particulars of commissions and brokerages paid to directors and managers.

Particulars as regards cash in the statutory report are to be certified as correct by the auditors of the Company.

The members of the company who are present in the Statutory Meeting are at liberty to discuss any matter relating to the formation of the company or arising out of the Statutory Report, whether previous notice has been given or not. But no resolution can be passed of which notice has not been given in accordance with the provisions of the Act.

If default is made in complying with the provisions of Section 165, every director or other officer of the company who is in default shall be punishable with fine which may extend to Rs. 500.

ANNUAL GENERAL MEETING

General Meeting of a company means a meeting of its members for specified purposes. There are two kinds of General Meetings, (i) the Annual General Meeting and (ii) other General Meetings. The statutory provisions regarding the Annual General Meeting are summarised below :

(a) *Section 166* : The first Annual General Meeting of a company may be held within a period of not more than 18 months from the date of its incorporation. If such a meeting is held within the period, it shall not be necessary for the company to hold any annual general meeting in the year of its incorporation or in the following year.

Subject to the above mentioned provision, a company must hold an annual general meeting *each* year. Not more than 15 months shall elapse between the date of one annual general meeting and the next.

The Registrar may, for any special reason, extend the time of holding an annual general meeting (other than the first annual general meeting) by a period not exceeding 3 months.

The notice, by which an annual general meeting is called, must specify it as such.

Every annual general meeting shall be called during business hours, on a day which is not a public holiday, at the Registered Office of the Company or at some other place within the town or village where the Registered Office is situated. The Central Government may exempt any class of companies from the provisions mentioned in this paragraph.

The time of holding of the annual general meeting may be fixed by the articles of the company. A public company or a private company which is a subsidiary of a public company may, by a resolution passed in one general meeting, fix the time for its subsequent general meetings. Other private companies may do so by a resolution agreed to by *all* the members thereof.

(b) *Sec. 167* : If default is made in holding an annual general meeting in accordance with Sec. 166, the Regional Director of

the Company Law Board may (on the application of any member of the company) call or direct the calling of a general meeting. He may also give directions regarding the calling, holding and conducting the meeting. Such a meeting shall be deemed to be an annual general meeting of the Company.

(c) *Sec. 168* : If the provisions of Sections 166 and 167 are not complied with the company and every officers of the company in default be fined. (Maximum fine—R . 5,000. For continuing default—further fine of Rs. 250 per day.)

(d) *Sec. 171* : A general meeting may be called by giving not less than 21 days' notice in writing. The annual general meeting may be called with a shorter notice if it is agreed to by *all* the members entitled to vote in the meeting.

The court has no power to direct the calling of the *annual* general meeting. *In re Coal Marketing Company of India (P) Ltd.*¹

OTHER GENERAL MEETINGS

Meeting called by the Board of directors

The Board of directors can call a general meeting of the members any time by giving not less than 21 days' notice. A general meeting may be called with a shorter notice under certain circumstances (See below, under Notice).

Meeting by order of Company Law Board

The Company Law Board can order a meeting of a company other than an annual general meeting. The Company Law Board can call such a meeting of its own motion or on the application of any director of the company or any member of the company who would be entitled to vote in the meeting. The Company Law Board can decide when the meeting is to be called, how it is to be conducted and also direct other ancillary and consequential matters regarding such meetings.—*Sec. 186, (as amended in 1974).*

Extraordinary General Meeting on Requisition

The Board of directors can be compelled to hold a General Meeting upon request or requisition made for it, under the following conditions.—*Sec: 169 :*

¹ 71 C.W.N. 440

(a) The requisition must be signed by members holding at least 1/10th of the paid up capital of the Company, in the case of Companies having a share-capital; and, by members holding at least 1/10th of the total voting power in other cases.

(b) The requisition must set out the matters which will be considered at the meeting.

(c) The requisition must be deposited at the registered office of the Company.

The Board must, within 21 days of the receipt of a valid requisition, issue a notice for the holding of the meeting on a date fixed within 45 days of the receipt of the requisition. If the Board does not hold the meeting as aforesaid, the requisitionists can call a meeting to be held on a date fixed within 3 months of the date of requisition.

Resolutions, properly passed at a meeting called by the requisitionists, are binding on the Company.

RULES OF PROCEDURE REGARDING MEETINGS

The general rules of procedure as regards shareholders' meeting can be summarised as follows :

1. Proper authority

The Board of directors is the proper authority to pass a resolution at a duly convened Board meeting to convene a meeting.

2. Notice (Sec. 172)

Notice of every meeting must be given to (a) all members entitled to vote upon the matters which are proposed to be dealt with in the meeting; (b) the legal representatives of deceased or insolvent members coming under the above category; and (c) the auditors of the Company. Notice must be given at least 21 days before the meeting.

Meetings may be called with a shorter notice under the following circumstances :

(a) In the case of an annual general meeting, if it is agreed to by all the members entitled to vote thereat.

(b) In the case of any other meeting of a *company with a share capital*, if it is agreed to by members holding not less than 95% of such part of the paid up share capital of the company as gives a right to vote at the meeting. If the company has *no share capital*, a meeting may be held with a shorter notice if

holders of not less than 95% of the total voting power exercisable at that meeting agree to it.

3. The Agenda : The Explanatory Statement (Sec. 173)

The notice must specify the business to be transacted in the meeting. The Act states that notice must annex an "Explanatory Statement" at which some special business is to be transacted. The statement must contain all the material facts relating to each item of the business, indicating the nature and extent of the interest of every director and the manager of the company. The statement must mention the time and place where all documents relating to special business can be inspected.

The business transacted in a shareholders' meeting, can be divided into two classes, (i) Ordinary and (ii) Special. Ordinary business means, consideration of accounts and the balance sheet ; declaration of dividend ; appointment of directors ; and appointment of and fixation of remuneration of auditors. All other business in special business.

4. The Quorum (Sec. 174)

Quorum means the minimum number of members required to hold a meeting. According to the Act, quorum is constituted by 5 members, personally present (in the case of a public company, other than a public company which has become such by virtue of Sec. 43A) and 2 members, personally present in the case of other companies. The articles may prescribe a larger number.

If there is no quorum within half an hour of the notified time for starting the meeting, it is dissolved. If the meeting is one called upon requisition, no further meeting on the same notice is permitted. In other cases, the meeting is automatically adjourned to the same day next week at the same hour and place or at such other day, hour and place as the Board may determine.

No quorum is necessary in any adjourned meeting.

5. Chairman (Sec. 175)

Unless otherwise laid down in the articles, the members personally present at the meeting shall elect a Chairman, from amongst themselves, by show of hands. But if a poll is demanded, it must be taken forthwith with a chairman elected for the purpose. (Poll means secret voting by ballot papers.)

6. Proxy (Sec. 176)

Any member, entitled to attend and vote in a meeting, can appoint another person to attend and vote on his behalf. The person appointed is called the Proxy. The appointment of a proxy must be made by a written instrument (See below) signed by the appointer and deposited with the Company, not more than 48 hours before the meeting.

A. B. LIMITED

Registered Office

201/A, Netaji Subhash Chandra Bose Road, Kolkata-700001

PROXY FORM

Twelfth Annual General Meeting—September 24th, 2001

Regd. Folio No.
 I/We of being
 a member/members of the above company hereby appoint
 of or failing
 him/her of
 as my/our proxy to vote for me/us on my/our behalf at the TWELFTH
 ANNUAL GENERAL MEETING of the Company to be held on Monday,
 September, 24th 2001 and at any adjournment thereof.
 Signed this day of 2001

Signature
 1/- Rupee
 Revenue
 Stamp

Note : This form in order to be effective should be duly stamped, completed and signed and must be deposited at the Registered Office of the Company not less than 48 hours before the meeting.

A. B. LIMITED

Registered Office

201/A, Netaji Subhash Chandra Bose Road, Kolkata-700001

ATTENDANCE SLIP

Twelfth Annual General Meeting—September 24th, 2001

Regd. Folio No.
 I certify that I am a registered shareholder proxy for the registered shareholder of the Company. I hereby record my presence at the Twelfth Annual General Meeting of the Company at Bharatiya Bhasha Parishad Auditorium, 36A, Shakespeare Sarani, Kolkata-700017 on Monday, September, 24th 2001.

Members/Proxy's name in BLOCK letter Members/Proxy's signature

Note : Please fill in this attendance slip and hand it over at the Entrance of the meeting Hall.

A proxy is not entitled to speak in the meeting and *can vote only on a poll* unless the articles provide otherwise. A proxy need not be a member of the Company. A member of a private company cannot appoint more than one proxy to attend on the same occasion, unless the articles otherwise provide.

A member entitled to vote can inspect the proxy forms deposited, if he gives 3 days' notice of his intention to do so.

An instrument appointing a proxy, if in one of the forms set out in Schedule IX to the Act, cannot be questioned on the ground that it fails to comply with any special requirement specified for such instruments in the articles.

Every notice of meeting must prominently mention that a member is entitled to appoint a proxy and that the proxy need not be a member.

A body corporate, which is a member of a Company, can appoint a representative or proxy, by resolution of the Board.

The President of India or the Governor of a State, if he is a member of a company, may appoint any person to act as his representative in a meeting.—Sec. 187A.

7. Method of Voting (Sections 177-185)

Resolutions are to be voted upon, in the first instance, by show of hands. The Chairman's declaration of the results of voting by show of hands is conclusive.

A poll is to be taken (i) if the Chairman so directs ; (ii) in all cases, if it is demanded by members holding at least 1/10th of the voting power or paid up capital ; (iii) in the case of public companies if it is demanded by at least 5 members present and entitled to vote ; and (iv) in the case of private companies if it is demanded by any one member if not more than seven members are present and by two members if more than seven members are present.

A poll on a resolution for adjournment, or for the appointment of a Chairman is to be taken immediately. In other cases it is to be taken when the Chairman decides ; but it must be within 48 hours of the demand for poll.

A poll is to be taken in the manner decided by the Chairman. The usual method is to ask each member to record his decision on ballot papers provided for the purpose. The Chairman shall appoint two scrutineers to scrutinise the ballot papers. At least

one of them shall be a member present in the meeting, if a member, willing to act as such, is found.

The Chairman has a casting vote in addition to his ordinary vote, *i.e.*, in case of a tie, he can give another vote, either for or against the resolution.

Section 179 states that a poll may be ordered on a demand made in that behalf by the shareholders.

RESOLUTIONS

The Act of 1956 classifies resolutions into the following types : (i) Special Resolution (ii) Ordinary Resolution and (iii) Resolution requiring Special Notice.

Special Resolution

A special resolution is necessary for deciding important matters. The Act specifies what these matters are. (*Examples : Reduction of Capital ; Winding up etc.*)

Procedure for Passing a Special Resolution

A special resolution may be passed in a general meeting of members called in the usual way with the usual notice. But the following conditions must be satisfied.—Sec.189.

(a) The notice calling the general meeting must specify that a special resolution will be moved.

(b) The number of votes cast in favour of the resolution whether by show of hands or by poll, must be at least three times the number cast against it.

Special resolution is required for the following issues.

(a) Alteration of Memorandum for changing the place of registered office from one state to another or alteration of objects with the leave of the Company Law Board, (b) change of name of the company with the consent of the Central Government, (c) alteration of the Articles of the company, (d) conversion of any portion of the uncalled capital into reserve capital, (e) reduction of share capital, (f) variation of shareholders' rights, (g) payment of interest out of capital, (h) allowing a director to hold an office of profit under the company, (i) alteration of memorandum of render the liability to directors unlimited, (j) winding up a company voluntarily.

Ordinary Resolution

All matters not required to be decided by a special resolution, may be decided by ordinary resolution. An ordinary resolution is passed, when the number of votes cast in its favour exceeds those cast against it.

Member's Resolution

If members of a Company intend to move a resolution, at the next annual general meeting, the following procedure is to be adopted. (Sec. 188) :

1. A requisition in writing, with a copy of the resolution, must be deposited with the Company. If it is desired to circulate the requisition to the members, it must be deposited not less than 6 weeks before the meeting. In other cases it may be deposited not less than 2 weeks before the meeting.

2. The requisition must be signed (a) by members holding at least 1/10th of the total voting power, or (b) by not less than 100 members, holding shares with an aggregate paid up capital of Rs. 1 lakh.

3. The requisition may require the circulation to the members, along with the resolution, a statement of not more than 1000 words relating to the resolution.

4. The requisitionists must pay the expenses necessary for circulating the notice and the statement.

If the aforesaid procedure is complied with, the resolution must be dealt with at the next annual general meeting. But the statement, if any is sent with the resolution, will not be circulated in the following cases :

- (a) If the Company is a banking company and the Board of Directors is of opinion that its circulation will injure the interest of the Company.
- (b) If on an application made by the company or of any person feeling aggrieved, the Court is satisfied that the rights conferred by Section 188 are being abused to secure needless publicity for defamatory matter, it may prohibit the circulation.

Registration of Resolutions

All special resolutions and important resolutions (like voluntary liquidation) must, within 30 days of their adoption be

registered with the Registrar and also annexed to all copies of the articles.—Sec. 192.

RESOLUTION BY SPECIAL NOTICE

Where by any provision contained in the Act or in the articles, *special notice* is required of any resolution, the intention to move the resolution shall be given to the Company not less than 14 days before the date of meeting where the resolution is to be moved, exclusive of the day on which the notice is served or deemed to be served and the day of the meeting.—Sec. 190(1).

The Company shall give notice of the resolution to the members in the same manner as it gives notice of the meeting. If this is not practicable, it shall give notice by advertisement in a newspaper having an appropriate circulation or in any other mode allowed by the articles, not less than 7 days before the meeting.—Sec. 190(2).

The Act requires special notice in certain cases. Examples—Appointment of a retired or removed auditor (Sec. 225); appointment of a director in place of a removed director; etc.

MINUTES OF PROCEEDINGS

By the term “minutes” is meant a written record of the proceedings of a meeting. As company meetings are of considerable legal importance, it is necessary to keep a record of the proceedings in a permanent form. Section 193 of the Act provides as follows :

(1) Every company shall keep minutes of all proceedings of every general meeting, meetings of its Board of Directors, and of every committee of the Board. Entries in the minute books must be made within 30 days of the conclusion of a meeting. The pages of a minute book must be consecutively numbered. Each page must be initialled or signed and the last page recording the proceedings of a meeting must be dated and signed (a) in the case of Board meetings or committee meetings, by the Chairman of the meeting or the succeeding meeting, and (b) in the case of general meetings, by the Chairman of the same meeting, or in the event of his death or liability, by a director duly authorised by the Board. Entries in a minute book must not be attached to it by pasting or otherwise.

(2) The minutes of each meeting shall contain a fair and correct summary of the proceedings.

(3) All appointments of officers made at the meeting shall be included in the minutes.

(4) In the case of a meeting of the Board of directors or of a committee of the Board, the minutes shall also contain—

- (a) the names of the directors present at the meeting, and
- (b) in the case of each resolution passed at the meeting, the names of the directors, if any, dissenting from, or not concurring in, the resolution.

(5) The minutes need not contain any matter which, in the opinion of the chairman of the meeting—

- (a) is, or could reasonably be regarded as, defamatory of any person ;
- (b) is irrelevant or immaterial to the proceedings, or
- (c) is detrimental to the interests of the company.

The Chairman's discretion, as regards what is to be included in the minutes, is final.

The minutes kept in accordance with the aforesaid rules shall be evidence of the proceedings in a meeting. They are presumed to be correct records of proceedings, unless otherwise proved. The minutes of general meetings are to be kept at the registered office of the Company and can be inspected members. Copies of any minutes are to be furnished upon payment of the requisite fees.

Apart from the minutes, no reports of the proceedings of a general meeting are to be published at the expense of the Company.

ANNUAL RETURN

The Annual Return is a statement of particulars, which is required to be filed by a company after every annual general meeting. Section 159 of the Act provides that every company having a share capital shall, within sixty days from the day on which each annual meeting is held, prepare and file with the Registrar a return containing particulars regarding the following :

- (a) its registered office,
- (b) the register of its members,
- (c) the register of its debenture holders,
- (d) its shares and debentures,

- (e) its indebtedness,
- (f) its members and debenture holders, past and present, and
- (g) its directors, managing directors, managing agents, secretaries and treasurers, managers and secretaries, past and present.

Where full particulars as to past or present members were given in any of the two immediately preceding Returns, a Return may mention only the changes that have occurred in shareholding.

The Return must be in the form set out in Part II of Schedule V or as near thereto as circumstances admit.

A similar return is to be filed by Companies not having a share capital.—Sec. 160.

The copy of the Annual Return filed with the Registrar by a director and by the manager or secretary of the company; or where there is no manager or secretary, by two directors of the company, one of whom shall be the managing director where there is one.—Sec. 161(1).

Section 161 has been amended and the amended section states that where the annual return is filed by a Company whose shares are listed on a recognised stock exchange, the copy of such annual return shall be signed by a secretary in whole-time practice.

In the case of private companies, the directors must certify that there has been no violation of the rules of private companies regarding number of members and invitation to the public for purchase of shares.—Sec. 161(2)(b). The directors must also certify that 25% or more of the shares are not being held by any bodies corporate and if so, why the company will continue to be treated as a private company.—Sec. 43A.

EXERCISES

1. Discuss the provisions of the Companies Act relating to meetings. (Page 652)
2. What are the classes of general meetings held by companies? State the powers and duties of the chairman of a general meeting of a company. (Pages 652, 657-658)
3. (a) What do you understand by "Statutory Meeting" of the shareholders of a Public Limited Company? (b) Must a Private Limited Company hold such a meeting? (Pages 652, 654)

4. Explain 'Annual General Meeting' of a company, its objects and purposes, and the requisites for holding a valid annual general meeting. Who may call it? (Page 654)
5. What kinds of meetings are held by a company? State the nature of business to be transacted in each meeting. (Pages 652-654)
6. What are the consequences of the failure by a company to hold its Annual General Meeting? (Pages 654-655)
7. State rules regarding an extra-ordinary general meeting to be held on requisition. (Page 656)
8. What is a statutory report and what are the contents of a statutory report? What is the effect of not holding a statutory meeting? (Page 653)
9. Can a member of a company, by him or jointly with others, insist on, convening a general meeting of a company? What are the conditions to be fulfilled? (Page 656)
10. State the provisions of the Companies Act relating to resolutions requiring special notice, mentioning the matters required. (Pages 662)
11. What are the consequences of not filing the Annual Return of a company in time? (Pages 664)
12. Explain the following terms :
 (a) Statutory Meeting ; (b) Statutory Report ; (c) Annual General Meeting ; (d) Extraordinary General Meeting on Requisition ; (e) The Quorum, (f) Proxy ; (g) Special Resolution ; (h) Ordinary Resolution ; (i) Special Notice ; (j) Annual Return.
 (Pages 652-664)
13. Objective Questions :
 - (a) What are the different kinds of meetings of the shareholders? (Page 652)
 - (b) Enumerate six purposes for which a special resolution is required. (Page 660)
 - (c) What is the length of notice for calling a general meeting? (Page 656)
 - (d) Can the Company Law Board call a general meeting of the Company? (Pages 655)
 - (e) Fill in the blanks—
 - (i) The First Annual General Meeting of a Company may be held within a period of not more than—months from the date of its incorporation. (Page 654)
 - (ii) Not more than—months shall elapse between the date of one Annual General Meeting and the next. (Page 654)

DEFINITION

The Directors of a Company are selected according to the Articles of Association of the Company and provisions of the Companies Act. They are in charge of the management of the affairs of the Company. The directors are collectively called the Board of directors. The Board is the Company's executive authority.

A director is an officer of the company within the meaning of section 2(30). Section 2(13) states that a director includes "any person occupying the position of the director by whatever name called."

The welfare of the shareholders and of the company depends upon who the directors are and how they carry out their duties and responsibilities. To protect the interests of the Company and of the shareholders, the Companies Act contains detailed rules regarding the appointment, remuneration, powers, duties, liabilities and various other matters concerning directors.

NUMBER OF DIRECTORS

The number of directors to be appointed to the Board of directors of a Company is determined by the articles. The Act provides that there must be at least 3 directors in a Public Company (other than a public company which has become such by virtue of Sec. 43A) and at least 2 directors in other Companies.—Sec. 252.

[Sec. 43A states that under certain circumstance a private company may become a public company by a change in its structure of ownership.—See p. 553]

Subject to the minimum stated above and the maximum fixed by the articles, the Company can, by ordinary resolution, increase or decrease the number of directors. It can also appoint additional directors for one year.—Sec. 258.

The Company can increase the number of directors beyond the maximum fixed by the articles provided previous sanction

of the Central Government is obtained. Where the maximum fixed by articles is 12 or less, the number can be increased to 12 without Government approval.—Sec. 259.

MODE OF APPOINTMENT OF DIRECTORS

1. First directors

Persons named in the articles of association as directors become the first directors of the Company. In the case of public companies, the persons named as directors must file with the Registrar, their consent in writing to become directors and must agree to pay for the minimum number of shares which, by the articles, a director is required to have.

Persons who sign the Memo

If no person is named in the articles as directors, the persons who sign the memorandum of association of the Company (and who are individuals, not companies) become the first directors.—Sec. 254.

Election

The normal mode of appointing directors is election by the members at the annual general meeting. The manner of holding the election must be provided for in the articles.—Sec. 255.

2. Appointment of directors by company

According to Sec. 255 directors must be appointed by the company in a general meeting.

3. Appointment of directors by the Board of directors

The Board of directors may appoint directors in the following circumstances :

- (a) *Additional directors* : The Board of directors can appoint additional directors subject to the maximum number, fixed by the Articles of the company. Such additional directors hold office only up to the date of the next annual general meeting of the company.—Sec. 260.
- (b) *Casual vacancy* : Casual vacancies among directors in public companies and private subsidiaries of public companies may be filled by the Board of directors by nomination. The person appointed to a casual vacancy holds office for the period during which the director, whose post is vacant, would have remained in office.—Sec. 262.

(c) *Alternate Directors* : The Board of directors of a company may, if so authorised by its articles or by a resolution passed by the company in a general meeting, appoint an alternate director to act for a director during his absence for a period not less than three months from the State in which meetings of the Board are ordinarily held. The alternate director cannot hold office longer than the original director and vacates his office if and when the original director returns to the State.—Sec. 313.

4. Appointment of directors by third parties. The Articles under certain circumstances empower the debenture-holders or other creditors who have advanced loans to the company to appoint their nominees to the Board.

5. Appointment of directors by proportional representation. The Articles of a company may provide for the appointment of not less than two-thirds of total number of directors of a public company, according to the principle of proportional representative whether by the single transferable vote or by a system of cumulative voting or otherwise.

6. Nomination by the Central Government

Under Section 408 of the Act, the Central Government can (in case of mismanagement and oppression) nominate some directors to the Board of a company as the Company Law Board may specify as being necessary to effectively safeguard the interest of the company, its shareholders or the public interest. The Directors so appointed are not required to hold any qualification shares. Besides, they are required to keep the Company Law Board informed of the affairs of the company to take such timely action as may be required.

7. Nomination in Statutory Corporations

The Government can nominate a director to the Board of a Company coming within the purview of the Industries (Development and Regulation) Act of 1951. Certain statutory corporations possess similar powers. For example, the Industrial Finance Corporation Act of 1947 empowers the Corporation to nominate a director to the Board of a Company to which it has advanced money.

Other rules regarding the appointment of directors are mentioned below :

1. Qualification Shares

(Sections 270, 272, 273). The articles may provide that no person shall be eligible for appointment as director unless he holds a certain minimum number of shares. Such shares are called Qualification Shares. In the case of public companies and private companies which are subsidiaries of public companies, the following provisions apply, notwithstanding anything to the contrary contained, in the articles :

(a) A director shall be deemed to be qualified if he secures the qualification shares within two months after his appointment.

(b) The nominal value of the qualification share or shares shall not exceed Rs. 5,000, or the nominal value of one share where it exceeds Rs. 5,000.

(c) The bearer of a share warrant shall not be deemed holder of shares for the purposes of qualification shares.

If after the expiry of the said period of two months, any person acts as a director of the company when he does not held qualification shares, he shall be punishable with fine which may extend to Rs. 50 for every day between such expiry and the last day on which he acted as director.—Sec. 272. Also he has to vacate his office as director.

2. Notice

In the case of public companies and private companies which are subsidiaries of public companies, when it is intended to propose the name of some person as director, notice of the fact must be given by the candidate or the proposer to the Company at least 14 days before the date of the meeting in which the election will take place. This provision does not apply to a retiring directors. The company shall inform every member of the candidature by individual notices not less than 7 days before the meeting or by advertisement in two local newspapers (one English and one regional language paper) not less than 7 days before the meeting.—Sec. 257.

Section 257 of the Principal Act has been amended and the amended provision states that any person contesting the post of

director must submit a notice "along with a deposit of five hundred rupees which shall be refunded to such person" if the person succeeds in getting elected as a director.

3. Filing of Consent

In the case of public companies and private subsidiaries of public companies every person (other than a director retiring by rotation) proposed as director must sign and file with the company his consent to act as such if appointed, unless he himself notifies his candidature to the company.—Sec. 264(1).

A person shall not act as director unless he has within 30 days of his appointment signed and filed with the Registrar his consent in writing to be one. But this rule does not apply to (a) a director re-appointed after retirement by rotation or immediately on the expiry of his term of office; (b) an additional or alternate director, or a person filling a casual vacancy, appointed or re-appointed under Sec. 262, and (c) a person named as a director of the company under its articles as first registered.—Sec. 264(2).

4. Method of Voting

Every person, proposed for election as a director, must be voted upon individually. Two or more names are not to be put together, unless such a procedure is agreed to by the members present unanimously. The articles may provide for the election of not less than two-thirds of the directors by the method of proportional representation with single transferable votes or cumulative votes. A non-profit and non-dividend paying company may provide in its articles for the election of all its directors by ballot.—Sections 263, 263A, 265.

5. Amendment of provisions relating to appointment of Directors

In the case of a public company or a private company which is a subsidiary of a public company, an amendment of any provision relating to the appointment or re-appointment of a managing or whole-time director or a director not liable to retire by rotation, whether that provision be contained in the Company's memorandum or articles, or in an agreement entered into by it, or in any resolution passed by the Company in general meeting or by its Board of directors, shall not have any effect unless

approved by the Central Government ; and the amendment shall become void if, and in so far as, it is disapproved by that Government.—Sec. 268.

6. Directors to be Individuals

A body corporate, association or firm cannot be appointed director, only an individual can be so appointed.—Sec. 253.

7. Disqualification of Directors

Section 274 provides as follows : A person shall not be capable of being appointed director of a company, if—

- (a) he has been found to be of unsound mind by a Court of competent jurisdiction and the finding is in force ;
- (b) he is an undischarged insolvent ;
- (c) he has applied to be adjudicated as an insolvent and his application is pending ;
- (d) he has been convicted by a Court of any offence involving moral turpitude and sentenced in respect thereof to imprisonment for not less than six months and a period of five years has not elapsed from the date of expiry of the sentence ;
- (e) he has not paid any call in respect of shares of the Company held by him, whether alone or jointly with others, and six months have elapsed from the last day fixed for the payment of the call ; or
- (f) an order disqualifying him for appointment as director has been passed by a Court in pursuance of Section 203 and is in force, unless the leave of the Court has been obtained for his appointment in pursuance of that Section.

(Section 203 empowers the Court to prohibit a person, who is guilty of fraudulent practices, from participating in the management of Companies.)

The Central Government may, by notification in the Official Gazette, remove the disqualifications under Clauses (d) and (e) above, as regards any individual.

A private company, which is not a subsidiary of a public company, may provide by its articles that a person shall be disqualified from being appointed a director on any ground in addition to those specified in (a) to (f) above.

of Directorships

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At the commencement of the Act of 1956, no person can be appointed as director, at the same time, of more than 20 companies.—Sec. 275.

Exceptions : But the following companies are *not to be taken into account* while calculating the maximum allowable appointments as director : (a) a private company which is neither a subsidiary nor a holding company of a public company ; (b) an unlimited company ; (c) an association not carrying on business for profit ; and (d) a company in which the person concerned is only an alternate director.—Sec. 278.

Penalty : A person who contravenes this rule can be fined up to Rs. 5000 for each Company of which he is a director in excess of 20.—Sec. 279.

Who can be a Director ?

Qualification of a Director : A director must be appointed in the mode stated in page 508. A director need not have any academic qualification : he need not have any degree from the university ; he need not have been to school. From the Contract Act and the Companies Act, it can be said that the director must have the following qualifications ;

1. A director must be capable of entering into a contract, *i.e.*, (a) he must have attained the age of majority, (b) he must have sound mind and (c) he must not be disqualified from contracting by any law to which he is subject.—Sec. 11, Contract Act, p. 50.

2. A director must be a natural person, *i.e.* not an artificial person. (See para 6 above)

3. A director must have the requisite qualification shares. (See para 1 above). The qualification shares are not required in nomination by the Central Government or in certain Statutory Corporations.

4. A director must not be disqualified under the circumstances enumerated in Sec. 274, *e.g.*, if he is an undischarged insolvent or a person convicted by the Court. (See para 7 above).

RETIREMENT OF DIRECTORS

Rotation

Section 255 of the Companies Act provides that *not less than two-thirds* of the total number of directors of a public company,

or of a private company which is a subsidiary of a public company, shall be persons whose period of office is liable to terminate *by rotation*. The articles may be provided for the retirement of *all* directors at every annual general meeting.

Section 256 of the Act provides that at every annual general meeting after the one by which the first directors are appointed, one-third of such of the directors for the time being as are liable to retire by rotation, shall retire from office. If the number of directors is not three or a multiple of three, then the number nearest to one-third shall so retire.

The directors to retire by rotation at every annual general meeting shall be those who have been longest in office since their last appointment, but as between persons who became directors on the same day, those who are to retire shall, in default of and subject to any agreement among themselves, be determined by lot.

At the annual general meeting at which a director retires as aforesaid, the Company may fill up the vacancy by appointing the retiring director or some other persons thereto.

If the vacancy is not filled at the annual general meeting or at the adjourned meeting, the retiring directors will be deemed to be automatically re-elected.

RESIGNATION OF A DIRECTOR

The Company Act does not provide for resignation of a director. But the Articles of a company may have express provision of it. A director is an agent of a company and, therefore, he can resign his office by notice. A resignation cannot be withdrawn without the consent of the company. *Glossop v. Glossop*.¹ An oral resignation is effective, if it is accepted at a meeting of the company, even though the Articles provide that the director must vacate his office in writing. *Latchford Premier Cinema v. Ermion*.² A resignation is effective only when it is accepted by the Board of directors of the company. If a director part with his qualification shares he has to vacate his office. If this is voluntary, then parting with his qualification shares is equivalent to resignation.

¹ (1907) 2 Ch. 370

² (1931) 2 Ch. 400

VACATION OF OFFICE BY DIRECTORS

1. Statutory vacation

Section 283 of the Companies Act provides that the office of a director shall become vacant under the following circumstances :

- (a) if he fails to obtain within due time or ceases to hold the share qualification, if any, required of him by the articles of the Company ;
- (b) if he is found to be of unsound mind by a Court of competent jurisdiction ;
- (c) if he applies to be adjudicated an insolvent ;
- (d) if he is adjudged an insolvent ;
- (e) if he is convicted by a Court of any offence involving moral turpitude and is sentenced in respect thereof to imprisonment for not less than six months ;
- (f) if he fails to pay any call in respect of shares of the company held by him whether alone or jointly with others within six months from the last date fixed for the payment of the call, unless the Central Government has by notification in the Official Gazette removed the disqualification incurred by such failure ;
- (g) if he absents himself from three consecutive meetings of the Board, or from all meetings of the Board for a continuous period of three months, whichever is longer, without obtaining leave of absence from the Board ;
- (h) if he (whether by himself or by any person for his benefit or on his account) or any firm in which he is a partner or any private Company of which he is a director, accepts a loan, or any guarantee or security for a loan, from the Company in contravention of Section 295 ; [Section 295 deals with the rules relating to the grant of loans to directors.]
- (i) if he acts in contravention of Section 299 (which imposes a duty on directors to disclose their personal interest, if any, in any contracts entered into by the Company) ;
- (j) if he becomes disqualified by an order of Court under Section 203 (which provides that the Court can prohibit a person guilty of fraudulent practices from managing a company) ;
- (k) if he is removed from the post of director by the members : or

- (1) having been appointed a director by virtue of his holding any office or other employment in the company, he ceases to hold such office or other employment in the company.

Consequences : (1) The office of a director shall become vacant.

(2) In case of insolvency or conviction, the director shall vacate office within 30 days of the order of adjudication or sentence. But if there is any appeal or petition against the order of adjudication or sentence, he shall vacate office within seven days of the disposal of the appeal or petition, unless the order or sentence is set aside.

(3) If a director continues to function when he knows that his post has become vacant under any of the aforesaid provisions, he is liable to a fine up to Rs. 500 per day.

2. Additional grounds of vacation in private companies

A private company, which is not a subsidiary of a public company, may by its articles provide that the office of director shall be vacated on any grounds in addition to those specified in Section 283.

3. Acceptance of office of profit

Under Section 314 of the Act, if a director accepts an office of profit under the company (except certain special posts like that of a managing director, etc.) without previous consent of the company accorded by a special resolution, he shall be deemed to have vacated his office as director. (See 'office of profit' p. 696)

REMOVAL OF DIRECTORS

Directors may be removed by shareholders, the Central Government or the Court. The rules regarding the removal of directors are stated below.

1. Removal by Shareholders

Section 284 of the Act provides that the members of a Company may, *by ordinary resolution* remove a director before the expiry of his period of office, except in the following cases :

1. An additional director appointed by the Central Government under Section 408 (in case of mismanagement and oppression) cannot be removed. (See Ch. 10.)

2. In a private company, a director appointed for life and holding office as such on 1st April 1952, cannot be removed by a members' resolution.

3. When the articles of a company provide for the election of directors by proportional representation, a director elected by that method cannot be removed by resolution.

Special notice must be given of the resolution to remove a director. A copy of it must be given to the director concerned. A statement relating to the matter may be sent by the director concerned, to the company and such statement shall be circulated among the members, if received in time, or read out in the meeting. The circulation of such statement may be prohibited by Court if it contains defamatory matter.

The meeting which removes a director can elect another in his place if the director was originally appointed by election.

If a director is, by agreement or otherwise, entitled to receive compensation for premature termination of his services, he can enforce his claim notwithstanding the removal by resolution.—Sec. 284(7)(a).

II. Removal by the Central Government

The Central Government can make a reference to the High Court to remove managerial personnel, including directors when—
(a) any person is guilty of fraud, misfeasance, persistent negligence or default, etc., or (b) the business of the Company is not following sound business principle or prudent commercial practices or (c) the Company is causing damage to the trade and industry of the business pertaining to it or (d) any person of the Company is trying to defraud creditors, members, etc. or a fraudulent or unlawful purpose.—Sections 388B to 388E. See Chapter 10.

III. Removal by the Company Law Board

Under Section 402, where, on an application to the Company Law Board for prevention of oppression (Sec. 397) or mismanagement (Sec. 398), the CLB finds that the relief ought to be granted, it may by an order provide for the termination, setting aside or modification of any agreement between the Company and the Director. When the appointment of a Director so terminated or set aside, he or she cannot sue the Company for damages or compensation for loss of office.

MANAGING DIRECTOR

Definition

The term Managing Director is defined in Section 2(26) of the Act. The Managing Director is a director who is "entrusted with any substantial powers of management". The power to do administrative acts of a routine nature when so authorised by the Board (e.g., the power to affix the common seal of the company or to draw and indorse any cheque etc.) shall not be deemed "substantial powers of management".

The term Managing Director includes a director occupying the position of a managing director, by whatever name called.

Position of Managing Director

The Managing Director is a member of the Board of directors. He is a wholetime director. He is the chief executive of the company.

The managing director is not an employee, nor is he a servant of the company. But he is a director of the company and has certain duties and responsibilities. In an English case, it was held that the managing director has two functions and two capacities. He is a director of the company and he has a contract with the company for his services. There is nothing anomalous in this. The same individual may have two or more capacities each including special rights and duties in relation to the same thing or matter in relation to the same persons. *Anderson v. James Sutherland (Peterhead) Ltd.*¹

Whole Time Director

A whole time director is a director who is entrusted with certain duties and responsibilities. He is an employee of the Company. The ambit of his jurisdiction is defined by his contract of employment. The articles of some Companies contain the provisions regarding their services. It can be inferred that a whole time director gives the whole or the most of the working time to the Company. The term "Whole time director" has not been defined in the Act, but it has been used with the term managing director in sections of the Act.

¹ (1941) S.C. 203

Appointment of Managing Director and Whole Time Director

The appointment of a managing director or of a whole time director can be made by any of the methods (i) an agreement with the company, or (ii) a clause in a memo or articles of the company, or (iii) a resolution passed by a company in its general meeting, or (iv) a resolution of the Board of directors.

Under the Amendment Act, every public company or a private company which is a subsidiary of a public company having a paid up share capital of such sum as may be prescribed shall have a managing or a whole-time Director or a manager. The sum prescribed is Rs. 5 crores or more. Such appointment can be made without prior approval of the Central Government provided the appointment is made in accordance with the conditions specified in Schedule XIII and a return in the prescribed form filed within 90 days from the date of such appointment. [Sec. 269(2)]

Every application seeking approval to the appointment of a managing or whole-time director or a manager shall be made to the Central Government within a period of 90 days from the date of such appointment. The Central Government shall not accord its approval to such an application, if it is specified that (a) the managing or whole-time director or the manager appointed is in its opinion, not a fit and proper person to be appointed as such or such appointment is not in the public interest ; or (b) the terms and conditions of the appointment of managing or whole-time director or the manager are not fair and reasonable [Sec. 269(4)].

When the appointment is not approved by the Central Government it may refer the matter to the Company Law Board for decision under Section 269(7).

The following rules are applicable to a public company and a private company which is a subsidiary or a public company :

(1) The rules relating to the appointment or reappointment of "managing" or "whole-time directors" or "a director in the whole-time employment of the company" cannot be amended without the approval of the Central Government.—Sec. 268.

(2) The appointment of a person as a managing or whole-time director shall not have any effect unless approved by the Central Government.—Sec. 269(1).

(3) In the case of an existing company, the re-appointment of a person as a managing or whole-time director shall not have

any effect unless approved by the Central Government.—Sec. 269(2).

(4) The Central Government shall not accord its approval under Sec. 269(1) in any case, unless it is satisfied that—

- (a) it is in the interests of the company to have a managing or whole-time director,
- (b) the managing or whole-time director of the company is, in its opinion, a fit and proper person to be appointed as such and that the appointment of such person as managing or whole-time director is not against the interest and
- (c) the terms and conditions of appointment of the proposed managing or whole-time director of the company are fair and reasonable.—Sec. 269(3), Companies (Amendment) Act, 1974.

(5) Regarding the appointment of the managing director or whole-time director of a company, the Central Government can reduce the period of appointment when the approval is given.

(6) If the appointment of a person is not approved, the person so appointed shall vacate the office on the date when the decision of the Central Government is communicated to the company. If a person omits or fails to do so he shall be punishable with a fine up to Rs. 500 per day.—Sec. 269 as amended in the Act of 1974.

Powers and Duties of a Managing Director

The powers and duties of a managing director are specified in (i) the agreement with the company by which he is appointed or (ii) in the memorandum or articles of the company or (iii) in a resolution passed by the company in general meeting or (iv) a resolution by its Board of directors. Thus managing directors of different companies may have different powers and duties. Strangely enough, Model Articles in Table A do not provide any specific powers to Managing Director only. Articles of some companies do provide the powers in Article itself. Again, the Company Act does not provide any specific powers to M.D.

A managing director exercises his powers subject to the superintendence, control and direction of the Board of directors.

Disqualification of Managing Director

As Managing Director or Whole-time Director is a Director first, he will be appointed only when he is qualified to become a Director. If he is disqualified as director he is automatically disqualified as Managing Director. So no company can employ,

or continue the employment, of any person as its managing or whole-time Director who—

- (a) is an undischarged insolvent, or has at any time been adjudged an insolvent ;
- (b) suspends, or has at any time suspended, payment to his creditors, or makes, or has at any time made, composition with them ; or
- (c) is, or has at any time been, convicted by a Court of an offence involving moral turpitude.—Sec. 297.
- (d) A managing director is also a director. Therefore all the disqualifications applicable to a director also apply to a managing director. Further any one who is below 25 years or above 70 years of age is usually disqualified for Managing Director.

Number of Managing Directorships

No person can ordinarily be managing director of more than *one* public company or private company which is a subsidiary of a public company. He can be managing director of *two* such companies if the second appointment is approved by a resolution of the Board of directors with the consent of *all* the directors present in a meeting of which specific notice was given to all the directors in India. No person can be managing director of more than two companies. But the Central Government may, by a special order, allow a person to be managing director of more than two such companies where it is satisfied that the companies should, for their proper working, function as a single unit and have a common managing director. A person may be managing director of more than two companies where the companies are private companies not subsidiaries of public companies.—Sec. 316.

Term of Office

No person can be appointed managing director for a term exceeding five years at a time. There is, however, no bar to the reappointment of a person after the expiry of his term of service.—Sec. 317. This section does not apply to a private company, unless it is a subsidiary of a public company.

LOANS TO A DIRECTOR, HIS RELATIVES ETC.

Without obtaining the previous approval of the Central Government, no company can, directly or indirectly, make any loan to, or give any guarantee or provide any security for,

- (a) any director of the lending company or of a company which is its holding company or any partner or relative of any such director ;
- (b) any firm, in which any such director or relative is a partner,
- (c) any private company of which any such director is a director or member ;
- (d) any body corporate at a general meeting of which not less than twenty-five per cent of total voting power may be exercised or controlled by any such director, or by two or more such directors together, or
- (e) any body corporate the Board of Directors, or Manager whereof is accustomed to act in accordance with the directions or instructions of the Board or of any Director or Directors of the lending Company.—Sec. 295(1).

Sec. 295(2) provides that the above rules do not apply to any loan made, guarantee given or security provided—

- (a) by a private Company unless it is a subsidiary of a public Company ;
- (b) by a banking Company ; or
- (c) by a holding Company to its subsidiary.

The restrictions imposed by Section 295 apply to a transaction represented by a book debt which was from its inception in the nature of a loan or an advance.—Sec. 296.

Every person, including the director to whom the loan is given, who knowingly contravenes the rules mentioned above, may be punishable by simple imprisonment up to six months and fine up to Rs. 5000. All persons who are knowingly parties to the contravention, are liable to make good the amount which the company paid on account of the loan, guarantee or security.

CONTRACTS IN WHICH A DIRECTOR IS INTERESTED

A director or his relative or a firm in which he is partner or a private Company in which he is member or director, shall not enter into contracts with the Company for the sale, purchase or supply of goods and services or for underwriting the subscription of its shares or debentures, *except with the consent of the Board of directors.*—Sec. 297(1).

The above rule does not apply to the following cases :

- (a) contracts for the purchase and sale of goods and materials for cash at prevailing market prices ;
- (b) contracts for the sale, purchase or supply of goods, materials and services in which either of the parties regularly trades or does business provided the value of the goods etc. does not exceed Rs. 5000 in any year ; and
- (c) any transaction of a banking or insurance company in the ordinary course of business.—Sec. 297(2).

In circumstances of urgent necessity a contract may be entered into *without the prior consent* of the Board, but such consent must be obtained within 3 months of the date on which the contract was entered into.—Sec. 297(3).

The consent of the Board of directors is to be given by a resolution passed in a meeting.—Sec. 297(4).

If consent is not given, anything done in pursuance of the contract shall be voidable at the option of the Board of directors.—Sec. 297(5).

In case of a company having a paid-up share capital of not less than Rs. 1 crore, no such contract shall be entered into except with the previous approval of the Central Government.—Sec. 297. Amendment of 1974.

Every director who is in any way concerned or interested in a contract by or on behalf of a Company shall disclose the nature of his interest at a meeting of the Board of directors.—Sec. 299.

No director of a Company shall, as a director, take any part in the discussion of, or vote on, any contract or arrangement entered into, or to be entered into, by or on behalf of the company, if he is in any way, whether directly or indirectly, concerned or interested in the contract or arrangement ; nor shall his presence count for the purpose of forming a quorum at the time of any such discussion or vote ; and if he does vote his vote shall be void.—Sec. 300(1).

The bar imposed upon participation in the Board's discussion does not apply in the case of a private Company which is not a subsidiary or a holding Company of a public Company, and certain other cases.—Sec. 302(2).

Every Company must maintain one or more registers in which shall be entered particulars of all contracts entered into by the Company, in which any of the directors are interested (except contracts not exceeding Rs. 1000 in value and the ordinary transactions of banking and insurance companies)—Sec. 301.

When a director has an interest in a contract by which a Manager or Managing Director is appointed, the Company must send to every member of the Company an abstract of the contract, together with a statement clearly specifying the nature of the director's interest.—Sec. 302.

Case Law :

Interested Director—Who is : The interest or concern spoken of by Sections 299(1) and 300(1) cannot be a merely sentimental interest or ideological concern. Therefore, a relationship of friendliness with the Directors who are interested in contract or arrangement or even the mere fact of a lawyer-client relationship with such directors will not disqualify a person from acting as a Director on the ground of his being an "interested" Director. *Needle Industries (India) Ltd. and Others, v. Needle Industries Newey (India) Holdings Ltd. and others*¹

REGISTER OF DIRECTORS ETC.

Every Company shall keep at its registered office, registers containing particulars about its Directors. Manager and Secretary.—Sec. 303.

Copies of the particulars entered in the aforesaid registers shall be sent to the Registrar, who shall keep similar registers.

All the registers can be inspected by any person.

The Company must also maintain a register showing the number of shares and debentures (of the Company, its subsidiaries and its holding Company) held by every director and manager.—Sec. 307. Such persons must also disclose to the Company their shareholdings in the Company.—Sec. 308.

REMUNERATION OF DIRECTORS

The remuneration payable to the directors must be determined according to the provisions of Sections 198 and 309 either by the Articles or by the resolution of a company.

¹ AIR (1981) Supreme Court 1298

Rules regarding director's remuneration are summed up below.

1. The remuneration payable to the directors of a Company shall be determined either by the articles, or by a resolution passed in a general meeting of the members. The articles may require the resolution to be a special resolution.—Sec. 309(1).

2. If a director gives professional service to the company, he may be paid for it, provided that, in the opinion of the Central Government, he has requisite qualifications for the profession.

3. The remuneration of directors is part of the overall managerial remuneration which, according to Section 198, cannot exceed 11% of the net profits. When profit is inadequate or company is in loss a managerial person is entitled to a minimum remuneration. The ceiling and minimum remuneration has been prescribed in Part II of Schedule XIII. The minimum remuneration is in terms of 'effective capital' of the company. Minimum remuneration will be Rs. 40,000 up to effective capital Rs. 1 crore, Rs. 57,000 between Rs. 1 and Rs. 5 crores effective capital, Rs. 72,000 between 5 to 15 crores and maximum remuneration will be Rs. 87,000 when effective capital is more than Rs. 15 crores.

4. A director may receive remuneration either by way of a monthly payment, or by way of a fee for each meeting of the Board, or a Committee thereof attended by him, or partly by the one way and partly by the other.—Sec. 309(2).

5. A director, who is either in the whole-time employment of the company or a Managing Director, may be paid remuneration either by way of a monthly payment or at a specified percentage of the net profits of the company or partly by one way and partly by the other. But, except with the approval of the Central Government, such remuneration shall not exceed 5% of the net profits for one such director, and if there is more than one such director, 10% for all of them together.—Sec. 309(3).

6. Directors (who are not in the whole-time employment of the company and not a Managing Director) may be allowed a monthly, quarterly or annual sum with the approval of the Central Government, or a commission on net profits (if sanctioned by a special resolution). Such commission shall not exceed for all the directors together (i) 1% of the net profits of the company, if the company has a managing or whole-time director, or a

manager ; and (ii) 3% of the net profits of the company, in any other case. Commission, in excess of these rates, may be allowed with the approval of the Central Government if so resolved in a general meeting of the company.—Sec. 309(4).

7. The net profits are to be calculated in the manner laid down in Section 198(1).—Sec. 309(5).

8. Remuneration drawn in excess of what is allowable, must be refunded to the company and, till so refunded must be held in trust for the company.—Sec. 309(5A). The company cannot waive recovery of such sums.—Sec. 309(5B).

9. A whole-time director or a Managing Director who receives a commission from a Company is not entitled to receive any commission or remuneration from any subsidiary of the Company.—Sec. 309(6).

10. The rules stated above do not apply to private Companies unless they are subsidiary of public Companies.—Sec. 309(9).

11. Any provision relating to the remuneration of directors or managing directors or an amendment thereof, whereby such remuneration is increased, will not be valid unless sanctioned by the Central Government. But the director's fee, for attending a meeting of the Board or a Committee can be increased up to Rs. 250 without Government sanction. When paid up capital of the Company is not more than Rs. 50 lakhs Rs. 500 between Rs. 50 lakhs to Rs. 5 crores paid up capital Rs. 750 between Rs. 5 crores and Rs. 10 crores and Rs. 1,000 in case of more than Rs. 15 crores paid up capital.

12. *Legal decisions :*

- (a) The remuneration payable to directors is a debt for which a director may sue the Company. *Orton v. Cleveland etc. Co.*¹ Such remuneration may be paid out of capital if there are no profits.
- (b) Directors are not entitled to any remuneration as of right. They become entitled to remuneration when the articles so provide or when a resolution is passed by the members granting them remuneration. *In re George Newman & Co.*² *Stroud v. Royal Aquarium, etc. Society*³
- (c) R and H were appointed managing directors of the company for the first time after the coming into force of the Act. The Law Board, while granting approval, inserted the condition that the total

¹ (1865) 3 H & C 868

² (1895) 1 Ch. 674

³ (1903) 87 L.T. 243

remuneration of each managing director by way of commission and salary shall not exceed Rs. 12,000 per annum. The said remuneration was in addition to the benefit of certain perquisites which would be available to the managing directors.

Held, in view of the provisions of the Sections 269 and 637A, the Company Law Board was well within its powers in imposing the condition. *Company Law Board v. The Upper Doab Sugar Mills Ltd. etc.*¹

MEETINGS OF THE BOARD OF DIRECTORS

The Board of directors is the executive authority of the Company. Generally, the directors exercise their powers through resolutions passed in meetings of the Board. The Companies Act contains the following rules regarding Board meeting :

1. In the case of every Company, a meeting of its Board of directors shall be held at least once in every three months and at least four such meetings shall be held every year. The Central Government may, by notification in the Official Gazette, exempt any class of companies from this rule either wholly or subject to modifications and conditions.—Sec. 285.

2. Notice of every meeting of the Board of directors shall be given in writing to every director for the time being in India, and at his usual address in India to every other director.—Sec. 286.

3. The quorum for a meeting of the Board of directors shall be one-third of its total strength (any fraction contained in that one-third being rounded off as one) or two directors, whichever is higher.

But when some directors are unable to participate in the discussions of the Board (because some contract or arrangement in which they are interested is being discussed) and the number of such directors exceeds or is equal to two-thirds of the total strength, the number of the remaining directors, that is to say, the meeting being not less than two, shall be the quorum during such time.—Sec. 287.

Case Law :

A quorum of two directors meant a quorum of two directors who were competent to transact and vote on the business before the Board. *Needle Industries (India) Ltd. and others. v. Needle Industries Newey (India) Holdings Ltd. and other.*²

¹ AIR (1977) Supreme Court 831 ² AIR (1981) Supreme Court 1298

4. If a meeting of the Board could not be held for want of quorum, then unless the articles otherwise prove, the meeting shall automatically stand adjourned till the same day, in the next week, at the same time and place, or if that day is a public holiday, till the next succeeding day which is not a public holiday, at the same time and place.—Sec. 288.

A meeting, which could not be held for want of quorum, will count as a meeting for the purposes of Section 285. (Sec. 1, above.)

5. A resolution shall be deemed to have been passed by the Board (or by a Committee thereof) *by circulation*, if the resolution has been circulated in draft, together with the necessary papers, if any, to all the directors, or to all the members of the Committee then in India (not being less in number than the quorum fixed) and to all other directors or members, at their usual address in India and has been approved by such of the directors as are then in India or by a majority of such of them, are entitled to vote on the resolution.—Sec. 289.

LEGAL POSITION OF DIRECTORS

There are different views about the legal position of directors. They have been described sometimes as *trustees* of the company and sometimes as its *agents*. Neither view is wholly correct but both contain elements of truth.

Trustees

A director is not a trustee in the correct legal sense of the term. A trustee is a person who is the owner of property and deals with it as principal. A director is not the owner of the company nor does he enter into contracts with third parties as owner of the company's property. Therefore a director is not a trustee. But the director's position is *similar* to that of a trustee because the directors are bound to exercise their powers in the interest of the company and are liable for misuse of powers if any. A director may be called trustee in the sense that the courts expect from directors the same degree of integrity and standard of conduct as is expected from a trustee.

Fiduciary Position

It is generally agreed that the directors occupy a *fiduciary position* in relation to the company. *Re Lands Allotment Co.*¹ They

¹ (1894) 1 Ch. 616

cannot make secret profits and must make full disclosure of all material facts concerning their interests in connection with the company. There is, however, no fiduciary relationship between a director and an individual shareholder and he is not a trustee for any particular shareholder. *Perceival v. Wright*.¹

Agents

It is more accurate to describe directors as *agents*. The directors are agents of the company because the company acts through the directors. Contracts with third parties are entered into by the directors, not as principals, but as agents of the company. But it is not strictly speaking true to say that the directors are nothing more than agents of the company. By the articles and under the Companies Act the directors have independent powers in certain matters. An agent is bound to take instructions from his principal and to abide by his wishes in the business of the agency. But the directors are not bound to consult the shareholders in all matters.

"Directors are, in the eye of the law, agents of the company for which they act, and the general principles of the law of principal and agent regulate in most respects the relationship of the company and its directors."—Palmer's Company Law. Quoted and approved in *R. K. Dalmia v. Delhi Adm.*² and in *Chavalier etc. v. The Dharmodayam Co.*³

In a case under the Penal Code, Sec. 409 (Criminal Breach of Trust), the Supreme Court observed as follows : A Director is not only an agent but is in the position of trustee. A Director, being a trustee of the assets which has come into his hand, has dominion and control over the same. *Shivanarayan v. State of Maharashtra*.⁵

Officers

The Section 3(30) of the Companies Act provides that a director is an officer of the Company. Section 3(31) provides that an officer, 'who is in default' may be punished if he is guilty of default, non-compliance, failure or refusal of the rules regarding the Companies Act (see p. 705).

² (1902) 2 Ch. 421

³ (1963) S.C.R. 253 (Supreme Court)

⁴ (1963) 1 S.C.R. 85

⁵ AIR(1980) Supreme Court 439

Employees or Servants

A director may enter into a service contract with the Company. For example, a director may be the legal advisor of a company.

A Director can become a servant of the company under a special contract of service. *K. R. Kothandaraman v. Commissioner of Income-Tax*.¹

Conclusion

In the case, *Re Forest of Dean Coal Mining Co.*² the position of the directors was described as follows: "Directors are described as trustees, agents or managing partners, not as exhausting their powers and responsibilities but as indicating useful points of view. It does not matter much what you call them, so long as you understand what their true position is, which is that they are commercial men, managing a trading concern for the benefit of themselves and all other shareholders in it."

POWERS OF DIRECTORS

Directors derive their power and authority from two sources (i) the Articles of Association of the Company and (ii) the Companies Act.

The articles of association generally contain a list of the powers which may be exercised by directors and the limitations on those powers if any. The articles, also contain a list of those matters which are to be decided by the members in a general meeting. Section 291 of the Companies Act lays down that subject to the provisions of the articles the Board of directors of a company shall be entitled to exercise all such powers and do all such acts and things as the company is authorised to exercise and do.

All acts and things done by the Board of directors, within the powers given to it by the articles, are valid and binding on the company. If the Board does something which is beyond the powers of the Board but within the powers of the company as laid down in the Memo, the members can, if they wish, ratify the act of the Board. The thing done will thereupon be binding

¹ AIR (1967) Mad 143

² (1878) 10 Ch. D. 450

on the company. But the members, even if unanimous, cannot ratify and validate an act which is beyond the powers of the company.

It is to be noted that a director individually has no authority over the affairs of the company except as regards matters which have been specifically delegated to him by the Board. Such delegation is permissible within certain limits. Apart from such delegated authority exercisable by individual directors, the authority and powers of directors are to be exercised collectively through resolutions of the Board of directors.

"The directors and shareholders in general meeting are primary organs of the company between whom the company's powers are divided. The general meeting retains ultimate control, but only through its powers to amend the Articles, to take away powers from the directors and to remove the directors and to substitute others to the taste of the shareholders." *Murarka P. and V. Works Ltd. v. Mohan Lal*.¹

Section 292 of the Companies Act provides that the Board of directors shall exercise the following powers on behalf of the company and it shall do so only by resolutions passed at meeting of the Board: (a) make calls on shareholders; (b) issue debentures; (c) borrow moneys otherwise than on debentures; (d) invest the funds of the company; and (e) make loans.

[Clauses (c) and (e) do not apply to banking companies.]

Some of these powers may be delegated to a committee of directors, or to the managing director, manager etc.

Restrictions on the powers of the Board

Section 293(1) of the Act imposes the following restrictions on the powers of the Board.

The Board of directors of a public company or of a private company which is subsidiary of a public company shall not, except with the consent of the company in general meeting,—

(a) sell, lease or otherwise dispose of the whole, or substantially the whole, of the undertaking of the company, or any of its undertaking where the company owns more than one undertaking;

(b) remit or give time for the re-payment of any debt due by a director (except in the case of a loan by a banking company);

¹ AIR (1961) Cal 251

(c) invest otherwise than in trust securities the sale proceeds resulting from the acquisition, after the commencement of this Act without the consent of the company, of any such undertaking as is referred to in clause (a), or of any premises or properties used for any such undertaking ;

(d) borrow moneys, where the moneys to be borrowed together with the moneys already borrowed by the Company, (apart from temporary loans obtained from the company's bankers in the ordinary course of business) will exceed aggregate of the paid-up capital of the company and its free reserves, that is to say, reserves not set apart for any specific purpose ; or,

(e) contribute, after the commencement of this Act, to charitable and other funds not directly relating to the business of the company or the welfare of its employees any amounts the aggregate of which will, in any financial year, exceed twenty five thousand rupees or five per cent of its average net profits during the three financial years immediately proceeding, whichever is greater.

Under Sec. 293A, the Board of directors of a company cannot contribute to any *political party* or for any *political purpose* (See below).

Sole selling agents

Section 294 provides that after the commencement of the Act of 1956, the Board of directors of a company shall not appoint a sole selling agent for any area for a term exceeding five years at a time. There may be re-appointment or the extension of the term of office. The above rules are subject to the condition that the appointment shall cease to be valid if it is not approved by the company in the first general meeting held after the date on which the appointment is made.

An appointment of sole selling agent would be void *ab initio*, unless the agreement contains the above condition. *Arantee Manufacturing Corpn. v. Bright Bolts Pvt. Ltd.*¹

The Central Government can prohibit the appointment of sole selling agent in certain cases *e.g.*, (1) where the agent to be appointed has a substantial interest of the company (2) where the company has a paid-up share capital of Rs. 50 lakhs or more, etc.—Sec. 294AA. Companies (Amendment) Act, 1974.

¹ AIR (1967) Bom. 440

Validity of Acts of Directors

Acts done by a person as director are valid, notwithstanding that it may afterwards be discovered that his appointment was invalid by reason of any defect or disqualification or that his appointment as director had terminated by virtue of any provision contained in the Act or in the articles.—Sec. 290. It is, however, provided that nothing in Section 290 shall be deemed to give validity to acts done by a director after his appointment has been shown to the company to be invalid or to have terminated.

CONTRIBUTION FOR POLITICAL PURPOSES

293A. (1) Notwithstanding anything contained in any other provision of this Act, neither a company in general meeting nor its Board of directors shall, after the commencement of the Companies (Amendment) Act, 1969, contribute any amount or amounts—

(a) to any political party, or

(b) for any political purpose to any individual or body.

(2) If a company contravenes the provisions of sub-section (1) then—

(i) the company shall be punishable with a fine which may extend to five thousand rupees ; and

(ii) every officer of the company who is in default shall be punishable with imprisonment for a term which may extend to three years and shall also be liable to fine.

293B. The Board of directors of any company or any person or authority exercising the powers of the Board of directors of a company, or of the company in general meeting, may, contribute such amount as it thinks fit to the National Defence Fund or any other Fund approved by the Central Government for the purpose of national defence.

Every company shall disclose in its profits and loss accounts the total amount or amounts contributed by it to the Fund.

Donations

Companies can make donations to any individual or organisation for charitable purposes and to other funds up to 5% of its average profits during the three financial years immediately preceding or Rs. 25,000 whichever is greater. See Section. 293(1)(e), p. 689.

Every donor company will be required to disclose in its annual statement of accounts the amount contributed by it to any individual or organisation. It will also have to mention the name of the recipient.

Any company failing to furnish the information and every officer of the company in default will be punishable with a fine of up to Rs. 5,000.

RIGHTS OF DIRECTORS

1. Participation

A director validly appointed to the Board, and not suffering from any disqualification which would prevent him from acting as such, is entitled to attend meetings of the Board and participate in the direction of the company's affairs. If this right is interfered with by the other directors or by the company's officers, it can be enforced by a mandamus from High Court.

2. Remuneration

A director is entitled to receive the remuneration fixed by the articles or otherwise, subject to the provisions of the Act.

3. Compensation

[Sections 318-321.] A whole-time director and a managing Director may be given compensation by the company in case of premature termination of service.

But no compensation can be given in the following cases—where the termination is due to reconstruction or amalgamation; where the director concerned has to vacate office in accordance with the provisions of the Act; where the company is being wound up; where the director is guilty of fraud or breach of trust; and, where the director has instigated or has directly, or indirectly taken part in bringing about the termination of his office.

The amount of compensation paid must not exceed the remuneration which he would have earned if he had been in office for the unexpired residue of his term of office or three years whichever is another.

DUTIES OF DIRECTORS

The duties of directors of a company have been elaborately explained by Romer L. J. in *Re City Equitable Fire Insurance Co.*¹ The important duties are quoted from this case and summed below :

1. Distribution of work

“The manner in which the work of a company is to be distributed between the board of directors and the staff is a business matter to be decided on business lines.”

2. Good faith

Every director must act honestly and in the interest of the company.

3. Reasonable care

A director, “must exercise such degree of skill and diligence as would amount to the reasonable care which an ordinary man might be expected to take in the circumstances on his own behalf.”

4. Degree of skill

A director, “need not exhibit in the performance of his duties a greater degree of skill than what can be reasonably expected from a person of his knowledge and experience ; in other words, he is not liable for mere errors of judgment.”

5. To attend meetings

A director, “is not bound to give continuous attention to the affairs of his company ; his duties are of an intermittent nature to be performed at periodical board meetings and the meetings of any committee to which he is appointed, and though not bound to attend all such meetings, he ought to attend them when reasonably able to do so.”

6. The director's duty of disclosure

The Companies Act of 1956 makes it obligatory upon directors to disclose certain facts to the company :

(i) If a director is interested in any contract or arrangement proposed to be entered into by the company, he must disclose the interest to the Board of directors.—Sec.299.

¹ (1925) 1 Ch. 407

(ii) He must disclose, for the purpose of entry in the register of directors his name, address, occupation, nationality and certain other particulars.—Sections 303 and 305.

(iii) He must disclose the number of shares of the company which he holds.—Sec. 308.

7. Other duties

In addition to the duties mentioned above every director has the following duties : (i) A director has to send to the registrar stating his consent to the post of director.—Sec. 266. (ii) Every director must obtain the qualification share of directorship according to the article of the company.—Sec. 270. (iii) Every director must pay his share monies according to the 'Call' of the Board of directors. (iv) A director must not participate in the meeting of the Board of directors, when they decide his contract with the company.

Conclusion

If a director fails to perform his duties, as explained above, he is guilty of negligence. If on account of such negligence the company suffers any damages, the director must compensate the company.

DISABILITIES OF DIRECTORS

The Companies Act imposes certain disabilities on directors, with a view to protect the interests of the company and of the shareholders. A list of the disabilities is given below.

1. No Assignment

A director cannot assign his office.—Sec. 312.

2. No indemnity

Any provision (contained in the articles or in any other document) for exempting any officer of the company or its auditor from any liability for negligence, misfeasance, default, breach of duty or breach of trust in relation to the company, or indemnifying him against such liability is void.—Sec. 201. The company may, however, indemnify any such officer against any liability incurred for defending a civil or criminal proceedings in which judgment is given in his favour.

3. Loans to director

There are restrictions on the giving of loans to directors.

4. Contract with directors

There are restrictions upon contract with directors.

5. Number of directorships

There are certain restrictions upon the number of directorships.

6. Office or place of profit (Sec. 314)

An office or place of profit means any post that carries with it any remuneration or any perquisite in the form of rent-free quarters or otherwise.

Subject to the exceptions noted below, an office or place of profit under a company or its subsidiary cannot be held by a director of the company. Also, a director's *partner or relative*—
(i) a firm of which the director or his relative is a partner,
(ii) a private company of which the director is a director or member, and (iii) all directors and managers of such private companies—cannot hold an office or place of profit carrying a total monthly remuneration of Rs. 500 or more.

Exceptions :

(a) The office or place of profit can be held if the consent of the company is given by a special resolution passed in the general meeting *first* held after the appointment. In case the *relative* of a director is so appointed without the knowledge of the director, further time is given, viz., 3 months or 1st meeting whichever is later.

(b) The office or place of profit can be held in the subsidiary company, if the remuneration received is handed over to the company or its holding company.

(c) The following posts are not considered to be offices or places of profit for the purposes of this rule—the post of the managing director, manager, legal or technical adviser, and banker or trustee for debenture holders of the company.

(d) The *relative* of a director may hold an office or place of profit if he was appointed before the director became a director.

Any person violating the above rules shall lose his post (as director etc.) with effect from the date next after date on which his appointment could have been sanctioned by the company in a general meeting. [See under para (a).] He shall also be liable to refund to the company the remuneration received and the money equivalent of the advantages enjoyed by him in respect of the office or place of profit.

The Companies (Amendment) Act 1974 provides that (a) no partner or relative of a director or manager, (b) no firm in which such director or manager, or relative of either, is a partner, (c) no private company of which such a director or manager, or relative of either, is a director or member shall hold any office or place of profit in the company which carries a total monthly remuneration of not less than Rs. 3,000, except with the prior consent of the company by special resolution and the approval of the Central Government.—Sec. 314(1B).

If a contravention of the rule occurs the person concerned must refund the remuneration and monetary equivalent of the perquisites or advantage. The company shall not waive the recovery of such monies.

The above rules are not applicable to a director appointed by Central Government under Section 408.—Sec. 314(2B), (2C) and (2D), Companies (Amendment) Act, 1974.

LIABILITIES OF DIRECTORS

The liabilities of directors may be analysed with reference to liability of directors to third parties, liability to the company, liability for breach of statutory duties and liability for acts of his co-directors. Directors' liability may be civil liability, criminal liability and unlimited liability.

I. Civil Liability

The directors may, under certain circumstances, be liable to pay compensation to the company and to outsiders. Some of these circumstances are mentioned below.

1. The directors are liable for untrue statements in the prospectus.

2. For contracts entered into on behalf of the company, the directors are not personally liable. But if the authority possessed

by the directors is exceeded, they may be liable to pay damage to the other party for breach of warranty of authority.

3. The directors are liable to the company for *ultra vires* acts. For example, if dividend is paid out of capital, the directors are bound to refund the money to the company out of their own pockets. (See p. 580)

4. If a director performs his duties negligently and the company thereby suffers damage, he must pay compensation to the company.

5. A director is liable to account for all secret profits made by him in connection with the affairs of the company.

6. A director is liable for any act amounting to a breach of trust relating to the properties and funds of the company.

7. Directors are liable for misfeasance, *i.e.*, any breach of duty which causes loss to the company.

Misfeasance and breach of trust include breach of duty to the Company resulting in misapplication or loss of company's assets. Proof of fraud is not essential. The offender is also criminally liable. The offender is liable to repay or restore the company's loss. *P. K. Nedungadi v. Malayalee Bank Ltd.*¹ See *Shivamarayan v. State of Maharashtra*, p. 688.

II. Criminal Liability

For certain breaches of duty the Companies Act imposes a criminal liability upon directors. Various sections of the Act provide for the imposition of fines for non-performance of the prescribed duties. There is provision for imprisonment in certain cases. Examples—untrue statements in prospectus; failing to keep certain register; falsification of books and reports etc.

Section 633 of the Act provides that in any proceedings against any director or officer of the company for negligence, breach of duty, misfeasance etc. the court can excuse him from any liability if it is of opinion that such director or officer has acted honestly and reasonably and that having regard to all the circumstances of the case, he ought fairly to be excused. But in criminal proceedings, the court has no power to grant relief from any civil liability.

During Misfeasance proceedings a director died. The proceedings can be continued against his legal representatives.

¹ AIR (1971) Supreme Court 829

But his liability would be limited to the value of the deceased estate in his hands. *Official Liquidator v. Parthasarathi Sinha and others*.¹

Offences against the Act are cognizable only upon a complaint in writing by the Registrar, a shareholder, or a person authorised by the Central Government in that behalf.—Sec. 621. But if a shareholder makes a frivolous or vexatious complaint and any of the accused is acquitted or discharged, the magistrate may direct the complainant to pay compensation. The magistrate may further order that if default is made in the payment of compensation, the complainant shall suffer simple imprisonment for a term not exceeding two months.—Sec. 625.

III. Unlimited Liability of Directors

The memorandum of association of a company may provide that the liability of the directors or any director or manager, may be unlimited.—Sec. 322.

A limited company may, if so authorised by its articles, alter its memorandum of association by special resolution so as to render unlimited the liabilities of its directors or any director or manager.—Sec. 323.

Obligations of Directors etc. on winding up—See in ch. 11, “Contributory”. Sec. 427.

EXERCISES

1. What are the modes of appointment of directors of a company. (Page 667)
2. State the effects of invalid appointment of directors. (Page 672)
3. What are the qualifications for directorship of a company limited by shares? (Page 672)
4. State how the Managing Director of a Public Limited Company is appointed and what his duties are. (Page 677)
5. (a) Can a company appoint its directors by proportional representation? (Page 667)
- (b) What are the disqualifications of a managing director? (Page 679)
- (c) Can a director be appointed even if he is an undergraduate? (Page 672)
- (d) What are the rules for the removal of a director? (Pages 675-676)

¹ AIR (1983) Supreme Court 188

6. Enumerate the cases in which the office of a director may fall vacant. (Page 674)
7. Are the directors entitled to a remuneration? Can such remuneration be waived? (Page 683)
8. "Directors are trustees for their company" Discuss. (Page 687)
9. What is the exact legal position of the Directors of a Public Company? (Page 687)
10. "Directors are not only agents, but are also in some sense trustee of the company." Discuss. (Page 687)
11. What are the rules of retirement of directors? (Page 672)
12. State the powers of the Board of directors of a company, and restriction on them. (Page 689)
13. State the matters that may be transacted only at Board meetings. (Pages 683-684)
14. State the true position of shareholders and directors and the relationship between them. (Page 687-688)
15. State what are the disqualifications of directors. (Page 671)
16. Discuss the powers of director of a company under the Companies Act. (Page 689)
17. State the duties of directors. (Page 694)
18. Can a director resign the post of directorship? What is the law about resignation of directors? (Page 673)
19. State the powers of directors which cannot be exercised without the approval of members given in a general meeting. (Page 689)
20. What are the powers of directors of a company under the Companies Act? (Page 689)
21. What are the disabilities of directors under the Companies Act? (Page 695)
22. What are the liabilities of directors under the Companies Act. (Page 697)
23. What are the rights of a director of a Company? (Page 693)
24. Write notes : (a) Alternate Directors ; (b) Qualification Shares ; (c) Disqualifications of Directors ; (d) Rotation ; (e) Vocation ; (f) Whole-time Director ; (g) Board of Directors ; (h) Office of profit. (Pages 667-676, 686-687)
25. Problems :
 - (a) A director holds the bearer of a share warrant for share qualification of his directorship. It is a valid share qualification? (Pages 696-697)
 - (b) Mr. X is a director of a company. The Board of Directors unanimously appoint him as manager on a monthly salary of Rs. 2,000. The company refuses to pay his salary on the plea that Mr. X being a director, cannot hold an office of profit. Decide. (Pages 695-696)

- (c) A, being aware of his invalid appointment as a director, allots shares to himself. Can he avoid the allotment subsequently on the ground of irregularity? Give reasons for your answer.

(Page 666)

26. What are the duties of directors of a company? Discuss the liabilities of directors.

(Page 694)

27. Describe the legal position of the directors of a public limited company.

(Page 687)

28. Objective questions. Give short answers.

- (i) State whether an insolvent can become a director of a company.

(Page 672)

29. (a) Explain clearly the true position of a director in relation to the actual management of a company.

(Page 687)

- (b) Discuss the different ways a director of a company may be appointed.

(Pages 666-668)

- (c) What are the qualifications and disqualifications for being appointed as the director of a company? (Pages 670-671)

MODES OF MANAGEMENT OF A COMPANY

The usual and normal practice is to entrust the management of a company to the Board of Directors. The Companies Act of 1956 formerly recognised and provided for four alternative forms of management, *viz.*, (i) by Managing Directors or Whole-time Directors (ii) by Managing Agents (iii) by Secretaries and Treasurers and (iv) by Managers.

But no company can have *at the same time* more than one of the above categories of managerial personnel.—Sec. 197A.

The amended Act of 1969 abolished (ii) and (iii) of the modes from 3rd April, 1970.—Sec. 324A.

Managing Agent

Section 2(25) defines a managing agent as an individual, firm or body corporate, entitled to the management of the whole, or substantially the whole, or the affairs of a company by virtue of an agreement with the company. (Now abolished)

RELATIVE

Section 6 provides that a person shall be deemed to be a relative of another if, and only if, (a) they are members of a Hindu undivided family; or (b) they are husband and wife; or (c) the one is related to the other in the manner indicated in Schedule IA.

Schedule IA, after the amendment of 1965, contains a list of 22 items like father, mother, mother's mother, daughter's son, etc. Previously there were 49 items.

THE SECRETARY

The Secretary is an officer of the company having specified duties. The administrative work in a company can be divided into two parts; management of the business and secretarial work. The latter includes maintenance of the books and registers required by the Companies Act, issue of share certificates,

certification of shares, the recording of transfer of shares etc. The Secretary is in charge of this branch of administration. His duties include, in addition to the items mentioned above e.g., attending meetings of the company, drafting the minutes, issuing notices of meetings, and sending returns to the Registrar, etc. In some companies the Secretary is also in charge of the accounts.

Section 2(45), as amended in 1974, defines a Secretary as, "any individual possessing the prescribed qualifications appointed to perform the duties which may be performed by a secretary under this Act, and any other ministerial or administrative duties."

Section 2(45) of the amending act provides that "Secretary means a Company secretary within the meaning of Clause C of sub-Section (I) of Section 2 of the Company Secretaries Act, 1980." It includes any other individual possessing the prescribed qualifications and appointed to perform the duties which may be performed by a secretary under this Act, 1988.

Section 2(30) provides that a Secretary is an 'officer'. As such he occupies a fiduciary position in relation to the company.

A Secretary is a servant of the company and under the full control of the Board of Directors. The Secretary has no authority to represent the company, unless expressly authorised. *Barnet Hoars & Co. v. South London Tramways Co.*¹

The Companies (Amendment) Act, 1974, provides that a Secretary must be an "individual". Formerly, under the Act of 1956, a Secretary may be an "individual, a firm or a body corporate".

Compulsory appointment

Every company having a paid-up share capital of Rs. 25 lakhs or more shall have a whole-time Secretary. Where the Board of directors of any such company comprised only two directors, neither of them shall be the Secretary of the company.—Sec. 383A(1), Companies (Amendment) Act, 1974.

Section 383A of the amended Act 1988 provides that every Company having such paid-up share capital as may be prescribed, shall have a whole-time secretary and where the Board of directors of any such Company comprises only two directors, neither of them shall be the secretary of the Company. If a

¹ (1887) 18 Q.B.D. 815

Company fails to comply with this provisions of sub-Section (1), the Company and every officer of the Company who is in default shall be punishable with fine.

MANAGER

Definition

Section 2(24) defines a Manager as an individual (not being the managing agent) who, subject to the superintendence, control and direction of the Board of directors, has the management of the whole, or substantially the whole, of the affairs of the company. The term includes a director or any other person occupying the position of a manager, by whatever name called and whether under a contract of service or not. It should be noted that M. D. or W. D. is a Director on Board, while a manager may or may not be a Director on Board. A Director may also be appointed as Manager.

Provisions of the Act regarding Managers

The Act of 1956 contains the following rules regarding Managers :

1. No company can employ a firm, a body corporate or an association as its manager.—Sec. 384.

2. No company can appoint or employ any person as its manager who—

- (a) is an undischarged insolvent, or has at any time within the preceding five years been adjudged an insolvent ; or
- (b) suspends payment or makes a composition with his creditors, or has at any time within the proceeding five years suspended payment or made a composition with his creditors ; or
- (c) is, or has at any time within the preceding five years been convicted by a court in India of an offence involving moral turpitude.—Sec. 385(1).

The Central Government may by notification in the official Gazette remove the disqualification incurred by any person from the aforesaid causes either generally or in relation to any company or companies specified in the notification.—Sec. 385(2).

3. Ordinarily a person can be manager of one company only. He can be manager of two or more companies under the same

conditions under which a person may be managing director of two or more companies.—Sec. 386. (See p. 679)

4. Subject to the overall limits laid down for managerial remuneration, a manager may be given remuneration either by way of monthly payments or by way of a specified percentage of net profits. Except with the approval of the Central Government such remuneration shall not exceed in the aggregate 5% of the net profits.—Sec. 387.

5. Any change in the regulations of the company or any agreement by which the remuneration of a manager is increased, requires the previous approval of the Central Government.—Sections 310, 311, 388.

6. A manager cannot be appointed for a term exceeding five years at a time.—Sections 317, 388.

7. The office of manager cannot be assigned.—Sections 312, 388.

8. Rules 3 to 7 above do not apply to a private company unless it is a subsidiary of a public company.—Sec. 388A.

OFFICER

“Officer” includes any director, manager or secretary or any person in accordance with whose directions or instructions the Board of directors or any one or more of the directors is or are accustomed to act. For Sections 477, 478, 539, 543, 545, 621 625 and 633 an auditor is also taken as an officer. Managing Agent, Secretaries and Treasurers were also regarded as officers, but the posts of Managing Agent and Secretaries and Treasurers were abolished and the question of their inclusion does not arise.—Sec. 3(30).

The expression “Officer who is in default” means any officer of the company who is knowingly guilty of the default, non-compliance, failure, refusal or contravention or who knowingly and wilfully authorises or permits such default, non-compliance, failure, refusal or contravention.—Sec. 3(31) and Sec. 5.

Section 5 of the Companies Act, 1988 has been amended to revise the definition of ‘officer in default’. The expression ‘officer who is in default’ means all the following officers of the Company, namely,

- “(a) the managing director or managing directors,
- (b) the whole-time director or whole-time directors,

(c) the manager,

(d) the secretary,

(e) any person charged by the Board with the responsibility of complying with that provision, provided that the person so charged has given his consent in this behalf to the Board."

(f) where any Company does not have any of the officers specified in Clause (a) to (c), any director or directors who may be specified.

CONTRACTS AND DEEDS OF A COMPANY

Contracts which require to be in writing, must be in writing and must be signed by some person acting under the authority of the Company, express or implied. Such contracts may be varied and discharged in the same manner.—Sec. 46(1)(a).

Contracts which may be made orally by private persons, may be made orally on behalf of Companies by any person acting under the authority of the Company, express or implied. Such contracts may be varied and discharged in the same manner.—Sec. 46(1)(b).

A bill of exchange, hundi or promissory note shall be deemed to have been made, accepted, drawn or endorsed on behalf of a company when so done in the name of, or on behalf or on account of the company by any person acting under its authority, express or implied.—Sec. 47.

Deeds, on behalf of a Company must be executed by some person authorised by the Company by a general or special power of attorney. The common seal of the Company must be affixed.—Sec. 48.

All investments made by the Company on its own behalf shall be made and held in its own name, or, where so permitted, in the name of a nominee. This rule does not apply to a company whose business is buying and selling of securities.—Sec. 49.

Where authentication of documents and proceedings by the Company is required it may be done by any Director, the Manager, the Secretary or, other authorised officer of the company. It is not necessary to use the common seal.—Sec. 54.

SERVICE OF DOCUMENTS

Documents may be served on a Company by sending it to the registered office by registered post or under certificate of

posting or by leaving it at the registered office.—Sec. 51. The same is the procedure for serving a document on the Registrar.—Sec. 52.

Service of documents on a member may be done personally or by sending it to him by post to the address supplied by him to the company.—Sec. 53.

GENERAL PROVISIONS REGARDING REGISTERS AND RETURNS

Place of keeping

The register and index of members and debenture holders, and copies of all annual returns together with copies of the certificates and documents required to be annexed thereto, shall be kept at the registered office of the company. They may be kept at any other place within the city, town or village where the registered office is situated, provided (i) the other place is approved by a special resolution of the members and (ii) the Registrar has been given in advance a copy of the special resolution. The Central Government may make rules for the preservation and disposal (by destruction or otherwise) of such registers, returns and documents.—Sec. 163(1).

Inspection and copies

The registers, indexes, return and certificates and documents shall be open to inspection during business hours. The company may impose reasonable restrictions but not less than two hours each day must be allowed for such inspection. No inspection will be allowed during the period the register of members and debenture holders is closed under the provisions of the Act.

The registers etc. may be inspected by a member or debenture holder without any fee. Others will have to pay a fee of Re. 1 for each inspection.

Any person may take extracts from the registers etc., He may also require a copy of any part on payment of 37 paise for every 100 words or part thereof. The company must send such copy within ten days after it is required.

If inspection is refused or if a copy is not sent when required, the company and every officer in default may be fined up to Rs. 50 for each day of default. The court may direct immediate inspection, or the taking of extracts and the despatch of copies.—Sec. 163(2).

Registers etc. to be evidence

The registers, annual returns etc. shall be *prima facie* evidence of any matters directed or authorised to be inserted therein by the Act.—Sec. 164.

MANAGERIAL REMUNERATION

The Act of 1956 contains certain rules regarding the total remuneration payable to Directors, Managers etc. They are as follows.—Sec. 198.

In the case of a public company or a private company which is a subsidiary of a public company, the *total* remuneration payable by the Company to its Directors, and Manager if any, shall not exceed 11% of its net profits.

The term 'remuneration' includes expenditure by the company on rent-free accommodation, other amenities and life insurance premia.

If, in any financial year, no profits or inadequate profits have been made, remuneration has to be at par with Part II of Schedule XIII. Company can pay remuneration lower than the ceiling but not more. It is based on effective capital of the company. Where a monthly payment is made to managing or whole-time directors, the Central Government, on the application of the Company, may sanction a higher amount.

For determining maximum remuneration, net profits are to be calculated in the manner laid down in Sections 349-351 of the Act except that the remuneration of the directors shall not be deducted from the gross profits.

No Company shall after the commencement of the Act of 1956 pay any officer, any remuneration calculated free of income tax or super-tax.—Sec. 200.

There shall be no provision in the articles or in any agreement relieving a person in the employment of a Company from the duty of indemnifying the Company from damages for negligence, breach of trust etc., except against any liability incurred for defending himself in any suit or criminal proceedings, provided judgment has been given in his favour.—Sec. 201.

The Government policy regarding remuneration

Notwithstanding Sections 198, 309 or 637A, when approval of the appointment of a person while fixing the remuneration of the person the Central Government shall have regard to—

- (a) the financial position of the company.
- (b) the remuneration or commission drawn by the individual concerned in any other capacity, including his capacity as a sole selling agent ;
- (c) the remuneration or commission drawn by him from any other company ;
- (d) professional qualifications and experience of the individual concerned ;
- (e) public policy relating to the removal of disparities in income.—Sec. 637AA, Companies (Amendment) Act, 1974.

MANAGEMENT BY UNDESIRABLE PERSONS

If an undischarged insolvent acts as director, or discharges the functions of manager ; or directly or indirectly takes part in the promotion, formation or management of a Company, he may be sentenced to imprisonment for 2 years or fined up to Rs. 5,000.—Sec. 202. In this section the term 'company' includes an unregistered company and a body corporate incorporated outside India, which has an established place of business within India.

The Court may prohibit persons found guilty of fraudulent conduct, from participation in the management or formation of a company.—Sec. 203.

APPOINTMENT OF A BODY CORPORATE

Section 204 provides that a firm or a body corporate (See p. 546) cannot be appointed to an office or place of profit under a company for a term exceeding five years at a time. *Exceptions*—The rule does not apply to the following cases : (i) appointment of trustees for debenture holders ; (ii) technicians and consultants ; (iii) appointments by a private company which is not a subsidiary of a public company ; and, (iv) reappointment for further terms of five years.

The Central Government may approve an initial appointment of ten years.

PAYMENT OF INTEREST OUT OF CAPITAL

A company can pay interest out of its capital, in the following cases. (Sec. 208) :

(1) Where any shares in a Company are issued for the purpose of raising money to defray the expenses of the construction of any work or building or the provision of any plant, which cannot be made profitable for a lengthy period ;

(2) the payment of interest out of capital is authorised by the articles, or by a special resolution ; and,

(3) the prior sanction of the Central Government is obtained.

Before sanctioning the payment of interest out of capital, the Central Government may, at the expense of the Company, appoint a person to enquire into and report to the Central Government on the circumstances of the case.

The payment of interest shall be made only for such period as may be determined by the Central Government. The period shall in no case extend beyond the close of the half year next after the half year during which the work or building has been actually completed or the plant provided.

The rate of interest must not exceed 4% or such rate as the Central Government may fix by notification.

WHERE A COMPANY IS UNDISCLOSED PRINCIPAL

Section 416 of the Companies Act provides that if the manager or other agent of a public company (or of a private company which is a subsidiary of a public company) enters into a contract for or on behalf on the company, *in which contract the company is an undisclosed principal*, he shall, at the time of entering into the contract, make a memorandum in writing of the terms of the contract, and specify therein the person with whom it is entered into. The memorandum shall be delivered forthwith to the company and a copy sent to each of the directors. The memorandum shall be filed in the office of the company and laid before the Board of directors at its next meeting.

If default is made in complying with the above requirements—

(a) the contract shall, at the option of the company, be voidable as against the company ; and

(b) the person who enters into the contract, or every officer of the company who is in default, as the case may be, shall be punishable with fine which may extend to two hundred rupees.

EMPLOYEE'S SECURITIES AND PROVIDENT FUNDS

Moneys and securities deposited with the Company by employees in pursuance of their contract of service, shall be kept or deposited (within 15 days of deposit) (a) in a post office savings account, or (b) in a special account to be opened by the company for the purpose in the State Bank of India or in Schedule Bank, or (c) where the company itself is a Scheduled Bank, in a special account to be opened either in itself or in the State Bank of India or in any other Scheduled Bank. No part of such moneys can be used by the Company for any purpose other than the purposes agreed to in the contract of service.—Sec. 417.

Moneys contributed, received or accruing to an employee's provident fund must, within 15 days from the date of contribution, receipt or accrual, be either deposited in the institutions mentioned above (where employees' securities are deposited) or be invested in trustee securities. Where there are trustees for a provident fund, all such moneys must be paid to the trustees within 15 days from the date of collection.—Sec. 418.

An employee is entitled, on request, to see the bank's receipt for the money or securities referred to in Sections 417 and 418.—Sec. 419.

Any officer of the company and any trustee of a provident fund who contravenes or authorises or permits the contravention of the aforesaid rules, is punishable with imprisonment up to 6 months or fine, which may extend to Rs. 1,000.—Sec. 420.

Employees in factories and certain establishments are covered by the Provident Funds Act (Act XIX 1952). It provides for the institution of provident funds for employees in factories and other establishments. Monies of the Provident Fund are to be deposited in the Fund created for this purpose.

DIVIDEND

The term Dividend means the part of profits which is paid to the shareholders of a company.

Dividend may also be defined as receipt of a part of the profits of a trading company by the members in proportion to their respective shares. A trading company is formed for the purpose of earning profits. It can therefore be assumed that the profits will be distributed among the shareholders. The Act

contains no provision enforcing distribution of profits and no shareholder can claim the declaration of dividends unless the articles make it compulsory for the directors to declare dividends. How much of the profit is to be distributed as dividend, is a matter of internal management and the court will not interfere with the discretion of the directors and shareholders. *Burland v. Earle*.¹

Companies Act, Schedule I, Table A, contains certain Regulations (85-94), regarding dividend.

RULES REGARDING DIVIDEND

1. The Board of directors of the company determines what portion of the net profits earned by the company during its financial year is to be distributed to the shareholders.

2. The amount or rate of dividend determined by the Board must be sanctioned by the members of the company in a general meeting. The members can reduce the amount determined by the Board but cannot increase it.

3. A part of the profits may be distributed before the accounts are finally passed and the declaration of dividends sanctioned in the general meeting. Such dividends are called Interim Dividends. An Interim Dividend means dividend paid between two ordinary general meetings of the shareholders of a company. Regulation 86 of Table A provides that the Board may from time to time pay to the members such *interim* dividends as appear to it to be justified by the profits of a company.

4. Dividends may be paid in proportion to the nominal value of the shares or in proportion to the capital actually paid up on each share, as the articles provide. If unequal amounts have been paid on the shares, the dividends may be unequal as among different shareholders.—Sec. 93.

5. Dividend cannot be paid out of capital. It must be paid out of profits of that year or out of the profits of any previous financial year. "Profits" in this context means profits arrived at after providing for depreciation in the manner laid down in the Act. In companies, where the Central or the State Government has given a guarantee for the payment of a certain rate of

¹ (1902) A.C. 83

dividend, any sum paid by the Government in fulfilment to the guarantee may be paid out as dividend.—Sec. 205.

6. Since dividends are to come out of profits, the rate of dividend recommended by the Board of directors will depend on (a) how the profit and loss accounts are made up; (b) the valuation of assets and the rate of depreciation; and (c) the percentage of profits transferred to the reserve fund of the company.

As regards item (a), the profit and loss accounts, the Companies Act contains certain rules which all companies must follow. As regards item (b) and (c) the directors have considerable discretion.

According to Section 205 of the Companies Act, depreciation must be provided for before dividends are paid. There is, however, one exception. The Central Government may, if it thinks necessary so to do in the public interest, allow any company to pay dividends for any year without providing for depreciation.

7. Reserves

From the commencement of the amendment of 1974, no dividend shall be declared or paid by a company for any financial year out of the profits of the company for that year providing depreciation according to Section 205, *except* after the transfer to reserve of the company of such percentage of profits for that year, not exceeding 10% as may be prescribed. There is nothing to prohibit the voluntary transfer by a company of a higher percentage of a profit to reserves, in accordance with rules framed by the Central Government on this behalf.—Sec. 205 (2A), Companies (Amendment) Act, 1974.

8. Dividends are payable in cash or cheque. But the capitalisation of profits (or reserves) by the issue of fully paid-up bonus shares or paying up any amount unpaid on any share is permitted.

9. Any dividend payable in cash may be paid by cheque or warrant sent through the post. *Hanuman Prasad v. Hiralal*.¹ Dividend is fully exempt from income-tax at the hands of shareholders. Domestic company declaring dividend has to pay

¹ AIR (1971) Supreme Court 206

10% tax. This tax is in addition to income tax chargeable on income of the company. For the company is not liable to pay this tax.

10. Dividends are payable only to the registered shareholders, bearers of share warrants and their bankers.—Sec. 206.

11. The dividends must be distributed within 42 days after they are declared. Failure to do so is a punishable offence.—Sec. 207.

12. A dividend becomes a debt from the date on which it is declared and becomes payable. A shareholder, who is entitled to get it, can file a suit to recover it.

13. Dividend limitation

On 6th July 1974, the dividends of the companies were limited by an ordinance (and later by an Act). In May, 1975, the limitation was relaxed. All these restrictions were abolished on 6th July, 1977.

14. Unpaid Dividend Account

After the commencement of the Companies (Amendment) Act, 1974, where a dividend has been declared by a company but has not been paid or where the warrant in respect thereof has not been posted within 42 days from the date of declaration, to any shareholder (entitled to the payment of the dividend), the company shall within 7 days from the date of expiry of 42 days, transfer the total amount of unpaid dividend to a special account to be opened by the company in that behalf in any scheduled bank. The account is called, "Unpaid Dividend Account..... Company Limited/Company (Private) Limited".

Where the whole or any part of any dividend declared by the company before the commencement of the amendment, remains unpaid within a period of 6 months from the commencement of the amendment, the company shall transfer the unpaid dividend to such account referred to above.

The Articles of a company may give power to its directors to declare interim dividends, i.e., dividends in between the two annual general meetings of the company.

Where owing to inadequacy or absence of profit in any year, any company proposes to declare dividend out of the accumulated profit earned by a company in previous year and transferred by

it to reserves, such declaration of dividend shall not be made except according to rules as may be made by the Central Government.

If default is made in transferring the unpaid dividend, the company shall pay interest at 12% per annum. The interest shall ensure to the benefit of the members of the company in proportion to the amount remaining unpaid.

The amount, unpaid or unclaimed for a period of seven years from the date of transfer, shall be transferred by the company to the general revenue account of the Central Government.

The Reserve Bank of India will give a receipt of the amount and such receipt is effectual discharge of the company.

Particulars regarding the money transferred to the general revenue are to be sent to the Central Government.

Any person, entitled to get unpaid dividend, can apply to the Central Government. The Amended Act provides the procedure of such application.

If any of the requirements of this Section is not complied, the company and every officer of the company who is in default shall be punishable with fine up to Rs. 500 per day.—Secs. 205A and 205B.

Section 206A of the amended Act, 1988 states that where any instrument of transfer of shares has been delivered to any Company for registration and the transfer of such shares has not been registered by the Company, it shall, transfer the dividend in relation to such shares to the special account referred to in Section 205A.

EXERCISES

1. Define the following terms : Relative ; Secretary ; Manager ; Officer. (Pages 702-705)
2. State the rules relating to managerial remuneration under the Companies Act. (Pages 708-709)
3. What is dividend ? State the rules regarding the payment of dividends by a public limited company. (Pages 711-715)
4. Objective Questions :
 - (a) Can a company pay interest out of Capital ? (Page 710)
 - (b) Can a company pay dividend out of its capital ? (Page 712)

ACCOUNT BOOKS

Section 209 as amended in 1974, provides that every company shall keep at its registered office proper books of account with respect to—all sums of money received and expended by the company and the matters in respect of which the receipt and expenditure take place.

Section 209 of the amended Act provides that every Company must keep proper books of account and such books must give a true and fair view of the state of affairs of the Company and such books must be kept on accrual basis and according to the double entry system of accounting.

The Board of Directors may keep the books at some other place in India but the address of such place must be notified to the Registrar.

Where a company has a branch office, whether in India or outside, proper summarised returns of such branch office made up to date at intervals of not more than three months are to be sent by the branch office to the registered office.

Books up to 8 years previous to the current year must be kept in good order, together with the relevant vouchers.

The books of account must give a true and fair view of the state of affairs of the company and explain its transactions.

If the books of account are not properly kept, every person responsible can be fined up to Rs. 1,000, and imprisoned up to 6 months.

Right to inspect and take copies

The books of account and other books and papers shall be open to inspection by any director during business hours.

Sec. 209A of Companies (Amendment) Act of 1974 provides that the books of account and other books and papers of every company shall be open to inspection during business hour (i) by the Registrar, or (ii) by such officer of the Government as may be authorised by the Central Government in this behalf.

Such inspection may be made without giving any previous notice to the company or any officer thereof.

It shall be the duty of every director, other officers and employee of the company to produce such books, furnish with any statement, information or explanation, within such time and such place as required by the person making the inspection.

It is also duty of every director, other officers or employee of the company to give all assistance for the inspection. The books of account includes, (i) all receipts and disbursement of money, (ii) all sales and purchases of goods by the company, (iii) the assets and liabilities of the company.—Sec. 202A.

The person, making the inspection may make or cause to be made copies of books and papers. He may place marks of identification thereon.

The person making inspection is vested with the powers of a Civil Court, including discovery and production of books and documents, summoning and enforcing attendance, inspection of books, registers and documents of the company.

Any officer authorised to make an inspection has the powers that a Registrar has in relation to making enquiries.

He must also make a report to the Central Government.

If a default is made in complying with above provisions, every officer is punishable (fine not less than Rs. 5000 and also imprisonment not exceeding 1 year.)

If a defaulting director or an officer is convicted, he shall be deemed to have vacated the office. He shall also be disqualified for holding such office in any company for a period of 5 years from such date.

OTHER BOOKS

Statutory Books

Under the Companies Act, every company must maintain the following books : Registers of—Members with an index where necessary ; Debenture Holders with an index when necessary ; Mortgages and Charges ; Directors, Managing Directors. etc. Directors and Chief Executives' Shareholdings, contracts and concerns in which directors are interested ; Investments showing investments in companies under the same group as well as investments not held in the company's name.

Annual Return and Summary of Share Capital.

Minute Books concerning General Meetings & Board Meetings.

Accounts Books.

Duplicate Branch Register for a Foreign branch, if any.

Statutory books include the following :

1. Register of investments not held in company's name.
2. Register of charges, 3. Register of members, 4. Index of member where the number is more than fifty, 5. Register of debenture holders, 6. Index of debenture-holders where the number is more than fifty, 7. Foreign register of members and debenture holders, 8. Minute books, 9. Register of contracts, and companies and firms in which directors are directly interested, 10. Register of directors, managing directors, manager and secretary, 11. Register of director's shareholding, 12. Register of loans made, guarantees given or securities provided to companies under same management, 13. Register of Investments in shares and debentures of companies in the same group.

Optional Books

A company may maintain the following books : Allotment ; Call ; Share Certificate ; Share Transfers ; Share Warrants ; Agenda Book etc.

Accounting Standards

Under Section 211(3A) the accounts should be prepared in accordance with "accounting standards". When it is not prepared according to the 'accounting standards' the Company must disclose the deviation and the reasons behind the deviation from the 'standards'. The auditor has also to mention whether the accounts have been prepared as per "accounting standards" or not.

Under Section 211(3C), the "accounting standards" will be prescribed by Central Government in consultation with National Advisory Committee on "Accounting Standards" (NACAS), on recommendation of the Institute of Chartered Accountants of India (ICAI) under Section 210A(2). The National Advisory Committee on Accounting Standards will be constituted by the Central Government. The Committee will consist of chairperson who will be an eminent person, one nominee each of ICAI, ICWAI and ICSI. One representative each of Central Government, RBI, SEBI and C & AG one University Professor of Accountancy or Management, Chairman of CBDT or his nominee, and two representatives from Chamber of Commerce. The terms and

conditions of the appointment of members will be fixed by the Central Government.

Under Section 210A(3) Accounting Standards will be first recommended by the ICAI. The Advisory Committee will give its recommendation to the Central Government on matters relating to the accounting policies, standards and auditing as per reference to the Advisory Committee for advice from time to time. After consultation with the Advisory Committee Central Government will prescribe the 'Accounting Standards'.

ANNUAL ACCOUNTS AND BALANCE SHEET

At every annual general meeting of the company, the Board of Directors shall lay before the company the *balance sheet* and the *profit and loss account*. In the case of companies not carrying on business for profit there shall be an *income and expenditure account* instead of the profit and loss account.

Period

The period for which the profit and loss account shall be made shall be as follows :

(a) In the first annual general meeting—from the date of incorporation of the company to a date not later than nine months previous to the date of the meeting.

(b) In the case of any subsequent annual general meeting—from the date immediately after the date of the last accounts to a date not later than six months previous to the date of the meeting.

(c) The period of accounts, which is called the financial year of the company, may be less or more than a calendar year but it shall not exceed 15 months. With the special permission of the Registrar, it may extend to 18 months.

Failure to comply with the aforesaid rules may be punished with fine and also imprisonment, if the default is wilfully made.—Sec. 210.

Form and Contents of Balance Sheets

Every balance sheet of a company shall give a true and fair view of the state of affairs of the company, as at the end of the financial year and shall be in the form of the Accounting Standards set out in Part I of Schedule VI to the Act, or as near

thereto as circumstances admit or in such other form as the Central Government may approve.—Sec. 211. Separate forms have been prescribed for banking and insurance companies.

Profit and Loss Account

The profit and loss account shall be prepared in the manner set out in Part II of Schedule VI to the Act and must contain the details mentioned there.

Every profit and loss account of a company shall give a true and fair view of the profit or loss of the company for the financial year.

The form, set out in Part II of Schedule VI, does not apply to any insurance or banking company, or to any other class of company for which a form of profit and loss account has been specified in or under any Act governing such class of company.

The Central Government may, by notification in the official Gazette, exempt any class of companies from compliance with any of the requirements in Schedule VI (form of Balance Sheet and requirements of the Profit and Loss Account) if, in its opinion, it is necessary to grant the exemption in the public interest.

The profit and loss account, and the auditor's report must be annexed to the balance sheet.—Sec. 216.

It is punishable offence to issue, circulate or publish the balance sheet before it is authenticated.—Sec. 218.

Three copies of the balance sheet and the profit and loss account together with other documents required to be annexed to the balance sheet, signed by the manager or secretary or by a director, shall be filed with the Registrar.—Sec. 220.

Directors of a company were prosecuted under Section 220(3) for wilful default in filing copies of balance-sheet and profit and loss account with the Registrar as required by Section 220(1) of the Companies Act. *State of Bombay v. Bandhan Ram Bhandari*.¹

Certain companies (e.g., Banking and Insurance companies) are required to file a statement of assets and liabilities in the form prescribed in Table F.

Authentication

The balance sheet and the profit and loss account of a

¹ AIR (1961) Supreme Court 186

company must be signed on behalf of the Board by the manager or secretary, if any, and not less than two directors one of whom shall be the managing director where there is one. The documents must be approved by the Board before they are authenticated and before they are submitted before the auditors for their report.—Sec. 215.

The method of Authentication is done, in case of Banking Companies, as prescribed by section 29 of the Banking Companies Act, 1949.

Shareholders' rights in respect of accounts

Section 219 provides as follows :

A copy of every balance sheet (including the profit and loss account, the auditors' report and every other document required by law to be annexed or attached, as the case may be, to the balance sheet) which is to be laid before a company in general meeting shall, not less than twenty-one days before the date of the meeting, be sent to every member of the company (and holders of debentures, except bearer debentures).

Copies need not be sent to members and debenture holders who are not entitled to receive notice of the general meeting.

Copies may be sent less than 21 days before the meeting if it is agreed to by all the members entitled to vote at the meeting.

Any member or debenture holder, whether entitled to have copies of the balance sheet etc. sent to him or not, shall be given a copy of the last balance sheet of the company (with annexed and attached documents) on demand without charge. Any person from whom the company has accepted a sum of money by way of deposit shall be entitled to have such copies on payment of a fee of one rupee. Copies are to be furnished within seven days of demand. The Court can also direct the sending of copies forthwith.

Failure to send copies or provide copies on demand, is punishable with a fine.

Section 219 of the amended Act provides that a copy of every balance sheet which is to be laid before a Company in general meeting shall, not less than twenty one days before the date of meeting be sent to every member, every holder of the debentures and to every trustee for the holders of any debentures issued by the Company.

Section 220 of the amended Act states that three copies of the balance sheet must be filed with Registrar within thirty days from the date on which the balance sheet was laid at the annual general meeting of the Company.

BOARD'S REPORT

Section 217 provides that there shall be attached to every balance sheet laid before a company in general meeting, a report by its Board of directors, with respect to—

- (a) the state of the company's affairs ;
- (b) the amounts, if any, which it proposes to carry to any reserves in such balance sheet ;
- (c) the amount, if any, which it recommends should be paid, by way of dividend ; and
- (d) material changes and commitments, if any, affecting the financial position of the company which have occurred between the last date covered by the balance sheet and the date of the Board's report ;
- (e) the conservation of energy, technology absorption, foreign exchange earnings and outgo in the prescribed manner.

Section 217 of the amended Act provides that the Companies must submit a report containing all information in respect of "the conservation of energy, technology absorption, foreign exchange earnings and outgo, in such manner as may be prescribed."

The Board's report shall, (so far as is material for the appreciation of the state of the company's affairs by its members and will not in the Board's opinion be harmful to the business of the company or of any of its subsidiaries) deal with any changes which have occurred during the financial year—

- (a) in the nature of the company's business ;
- (b) in the company's subsidiaries or in the nature of the business carried on by them ; and
- (c) generally in the classes of business in which the company has an interest.

The Board shall also be bound to give the fullest information and explanation in its report, on every reservation, qualification or adverse remark contained in the auditor's report.

The amendment of 1974 provides that the Board's report shall include a statement showing the name of every employee

who was getting not less than Rs. 36 thousand per year (or when a part of the financial year) and not less than 3 thousand per month.

The statement shall also show whether any such employee is relative of any director or manager, and if so the name of such director. Other particulars may be prescribed.—Sec. 217(2A).

The Board's report and any addendum thereto shall be signed by its Chairman if he is authorised, in that behalf by the Board ; and where he is not so authorised, shall be signed by such number of directors as are required to sign the balance sheet and the profit and loss account of the company.

THE AUDITORS OF A COMPANY

Appointment of Auditors

(Sections 224, 225). The first auditors of a company shall be appointed by the Board of directors within one month of the date of registration of the company. The members at a general meeting may remove all or any of the first auditors so appointed, and appoint other persons. Notice of the nomination of any person proposed to be appointed as auditor must be given not less than 14 days before the date of the meeting. If the first auditors are not appointed by the Board, they may be appointed by the company in a general meeting. The first auditors hold office until the conclusion of the first annual general meeting. Thereafter, auditors are appointed at each general meeting to hold office from the conclusion of that meeting until the conclusion of the next annual general meeting.

At any annual general meeting a retiring auditor, by whatsoever authority appointed, shall be re-appointed, unless—

- (a) he is not qualified for re-appointment ;
- (b) he has given the company notice in writing of his unwillingness to be re-appointed ;
- (c) a resolution has been passed at that meeting appointing somebody instead of him or providing expressly that he shall not be re-appointed ; or
- (d) where notice has been given of an intended resolution to appoint some person or persons in the place of a retiring auditor, and by reason of the death, incapacity or disqualification of that person or of all these persons, as the case may be, the resolution cannot be proceeded with.

The appointed auditor must, unless he is a retiring auditor, be informed within 7 days and he must, within 30 days, inform the Registrar whether he accepts or refuses the appointment.

Where at an annual general meeting no auditors are appointed or re-appointed, the Regional Director of the Company Law Board may appoint a person to fill the vacancy. The company shall within seven days of the power becoming exercisable, give notice of the fact.

Casual vacancies in the post of auditors may be filled by the Board till the next meeting, except vacancies caused by resignation which must be filled by the company in a general meeting. When there are several auditors and a vacancy occurs, the remaining auditors can continue to act as auditor.

Special notice shall be required for a resolution at a general meeting appointing as auditor a person other than a retiring auditor or providing expressly that a retiring auditor shall not be re-appointed. Notice of such resolution must be given to the auditor concerned and he may ask for the circulation of a representation regarding the matter to the members. If the representation is received too late for circulation, it may be read out at the meeting. The auditor shall also be heard at the meeting. The representation given by him will not be circulated if the Court, on an application made to it, is of opinion that the right conferred on the auditor is being abused to secure needless publicity for defamatory matter.

New rule regarding appointment of auditor

The amendment of 1974 provides that auditors are not to be appointed except with the approval of the company by special resolution in certain cases, namely, in case of a company in which not less than 25% of the subscribed share capital is held, whether singly or in a combination by—

- (a) a public financial institution or a government company or Central Government or any State Government, or
- (b) any financial or other institution established by any Provincial or State Act in which a State Government holds not less than fifty one per cent of the subscribed share capital, or
- (c) a nationalised bank or an insurance company carrying on general insurance business.—Sec. 224A.

The number of auditors

The Companies (Amendment) Act, 1974 limits the number of audit which (whether singly or in combination) any person does, viz.,

- (a) in the case of a person or firm holding appointment as auditor of a number of companies each of which has a paid-up share capital of less than rupees twenty-five lakhs. twenty such companies ;
- (b) in any other case, twenty companies, out of which not more than ten shall be companies each of which has a paid-up share capital of rupees twenty-five lakhs or more.

A written certificate has to be obtained by the company from the auditor or auditors proposed to be appointed or re-appointed that it is in accordance with the limits specified above.

Removal of Auditors

The first auditors appointed by the Board can be removed by the company in a general meeting. In other cases, an auditor can be removed, before the expiry of his term by the company in a general meeting provided the previous approval of the Central Government is obtained in that behalf. Special notice of such a resolution must be given and the procedure laid down above regarding the non-appointment of a retiring auditor must be followed. (See last para under. 'Appointment of Auditors'.)—Sections 224-225.

Qualification and Disqualifications of Auditors (Sec. 226)

A person shall not be qualified for appointment as auditor of a company unless he is a chartered accountant within the meaning of the Chartered Accountants Act, 1949.

A firm whereof all the partners practising in India are qualified for appointment as aforesaid may be appointed by its firm name to be auditor of a company, in which case any partner so practising may act in the name of the firm.

None of the following persons shall be qualified for appointment as auditor of a company—

- (a) a body corporate ;
- (b) an officer or employee of the company ;
- (c) a person who is a partner, or who is in the employment, of an officer or employee of the company ;

- (d) a person who is indebted to the company for an amount exceeding one thousand rupees or who has given any guarantee or provided any security in connection with the indebtedness of any third person to the company, for an amount exceeding one thousand rupees.
- (e) a person who is disqualified for appointment as auditor of any other body corporate which is that company's subsidiary or holding company, or a subsidiary of that company's holding company.

Rights and Powers of Auditors

Section 227(1) of the Act provides that every auditor of the company shall have a right of access at all times to the books and accounts and vouchers of the company, whether kept at the head office of the company or elsewhere, and shall be entitled to require from the officers of the company such information and explanation as the auditor may think necessary for the performance of his duties as auditor.

Any officer of the company who fails to comply with the rules mentioned above, may be fined up to Rs. 500.

Section 231 provides that notice of all general meetings must be given to the auditors and they can attend and speak on all matters concerning them as auditors.

Remuneration of Auditors

Auditors appointed by the Central Government or the Regional Directors of the Company Law Board get remuneration as fixed by the Central Government or the Regional Director. The remuneration of auditors appointed by the Company is fixed by the company in general meeting or in the manner determined by the general meeting. Any sum paid to auditors as expenses is considered part of their remuneration.—Sec. 224 (8).

The Statutory Duties of Auditors. The Report

Section 227(2) lays down the following statutory duties of an auditor :

The auditor shall make a report to the members of the company on the accounts examined by him, and on every balance sheet and profit and loss account and on every other document declared by the Companies Act to be part of or annexed to the balance sheet or profit and loss account, which are laid before

the company in general meeting during his tenure of office, and the report shall state whether, in his opinion and to the best of his information and according to the explanation given to him, the said accounts give the information required by this Act in the manner so required and give a true and fair view—

- (1) in the case of the balance sheet, of the state of the company's affair as at the end of its financial year; and
- (2) in the case of the profit and loss account, of the profit or loss for its financial year.

The auditor's report shall also state—

- (a) whether he has obtained all the information and explanations which to the best of his knowledge and belief were necessary for the purposes of his audit;
- (b) whether in his opinion, proper books of accounts as required by law have been kept by the company so far as appears from his examination of these books, and proper returns adequate for the purpose of his audit have been received from branches not visited by him;
- (bb) whether the report on the accounts of any branch office audited under Sec. 228 by a person other than the company's auditor has been forwarded to him as required and how he has dealt with the same in preparing his report;
- (c) whether the company's balance sheet and profit and loss account dealt with by the report are in agreement with the books of account and returns.

Where any of the matters referred to in clauses (a) and (2) or in clauses (a), (b), (bb) and (c) above is answered in the negative or with a qualification, the auditor's report shall state the reason for the answer.

According to the clause 227(1A) added by the amending Act of 1965, the auditor shall enquire into the following matters:

- (a) whether the loans and advances made by the company are properly secured and whether their terms are not prejudicial to the interests of the company or its members;
- (b) whether transactions represented, merely by book-entries not prejudicial to the interests of the company;
- (c) whether the company is not an investment company or a banking company, whether any of its assets of the following types: shares, debentures and other securities, have been sold at a price less than its purchase price:

- (d) whether loans and advances made by the company have been shown as deposits ;
- (e) whether personal expenses have been charged to revenue account : and,
- (f) whether cash has been received for shares shown as allotted for cash, and if not, whether the position as shown in the account books and balance sheet is correct, regular and not misleading.

Clause 227(4A) provides that the Central Government may direct the inclusion, in the auditor's report, of statements on certain matters to be specified by notification in the case of certain classes of companies.

Section 223B added by the amending Act of 1965 provides that where a company is required to maintain cost accounts under the amended Section 209 (see under the first heading in this chapter) the Central Government may direct an audit of such cost accounts by a cost accountant (qualified under the Cost and Works Accountants Act, 1959) or a chartered accountant or any person possessing the prescribed qualifications.

The audit of cost accounts, under the above section, shall be in addition to the regular audit as provided for by the Act. The auditor of cost accounts has the same powers and duties, in relation to his audit, as the regular auditor under Section 227.

The auditor's report must be signed by the auditor or a partner of the firm of auditors.—Sec. 229.

If any auditor's report is made, or any document is signed, otherwise than in conformity with the requirements of Sections 227 and 229, the person concerned shall, if the default is wilful, be punished with fine which may extend to Rs. 1000.—Sec. 233.

If the Central Government is of opinion that a sufficient number of cost accountants within the meaning of the Cost and Works Accountants, 1959, are not available for conducting cost audit the Central Government may by notification in the official gazette, for a specified period appoint a chartered accountant to audit cost accounts of a company.—Sec. 233B, Companies (Amendment) Act. 1974.

Special Audit

The Central Government may direct special audit of a company's accounts of any period if it is of opinion that,

- (a) its affairs are not being managed in accordance with sound business principles or prudent commercial practices ; or
- (b) it is being managed in a manner likely to cause serious injury or damage to the interests of the trade, industry or business to which it pertains ; or
- (c) its financial position is such as to endanger its solvency.—
Sec. 233A.

Legal decisions on the duties and responsibilities of auditors

The principles laid down in the leading cases can be summarised as follows :

1. *Must have knowledge of memo and articles* : An auditor is expected to know the provisions of the memo and the articles. "Auditors are in my opinion, bound to see what exceptional duties are cast upon them by the articles of the company which they are called upon to audit. Ignorance of the articles or of the exceptional duties enforced by them would not afford any legal justification for not observing them." Per Lindley L. J. in *Re Kingston Cotton Mills Co.*¹ ; *In re Republic of Bolivia Syndicate*.²

2. *Should know the terms of engagement* : The measure of an auditor's responsibility depends upon the terms of his engagement. *Re City Equitable Fire Insurance Co.*³ ; *Registrar v. P. M. Hedge*.⁴

3. *Should be cautious and careful* : Per Lopez L. J. : "An auditor is not bound to be detective, or as was said, to approach his work with a suspicion or with a foregone conclusion that there is something wrong. He is a watch-dog but not a blood-hound.....If there is anything calculated to excite suspicion he should probe it to the bottom ; but in the absence of anything of that kind, he is only bound to be reasonably cautious and careful." *Re Kingston Cotton Mills Co.* (See above).

4. *Must examine the affairs of the company* : "The Companies Act, therefore, provides for the employment of an auditor who is the servant of the shareholders and whose duty it is to examine the affairs of the company on their behalf at the end of a year and report to them what he has found. That examination by an independent agency such as the auditor is practically the only safeguard which the shareholders have

¹ (1896) 2 Ch. 279

² (1914) 1 Ch. 139

³ (1925) 1 Ch. 407

⁴ AIR (1954) Mad 1080

against the enterprise being carried on in an unbusinesslike way or their money being misapplied or misappropriated without their knowing anything about it." *Deputy Secretary v. S. N. Dasgupta*.¹

5. *Have the position of quasi-trust* : "The auditor holds a position of trust and it is his bounden duty to honour that trust by being candid with the shareholders and telling them frankly and fully everything with regard to the affairs of the company which has come to his knowledge and which it is material for the shareholders to know." (See above para).

6. *Must act reasonably* : Whenever it is necessary to make any enquiry, the auditor must do it in the manner in which an expert in his position would consider it reasonable to make.

7. *Must satisfy valuation of assets* : The auditor is bound to satisfy himself that the valuation of assets is reasonably accurate. Whenever he feels that the assets have been overvalued, it is his duty to say so in his report. There is no similar duty in case of undervaluation, because the directors are at liberty to undervalue the assets as a precautionary measure against future fluctuations in value.

Section 350 of the amended Act provides that the Central Government shall fix the amount of depreciation at the rate specified in Schedule XIV.

8. *Must enquire into its substantial accuracy* : The auditor must not confine himself to verifying the arithmetical accuracy of the balance sheet but must enquire into its substantial accuracy. *Leeds Estate and Building Co. v. Shepherd*.²

9. *Protection of shareholders is needed* : The audit of a joint stock company is intended for the protection of the shareholders and the auditor is expected to examine the accounts maintained by the Directors with a view to informing the shareholders of the true financial position of the beneficiaries. *Institute of Chartered Accountants v. P. K. Mukherjee*.³

10. *Personal inspection is needed* : The auditor is not justified in omitting to make personal inspection of securities in the custody of the company or any person on its behalf. Whenever an auditor discovers that securities of a company are not in proper custody, it is his duty to require that the matter be put right at once.

¹ AIR (1956) Cal 41

² (1887) 36 Ch. D. 787

³ AIR (1968) Supreme Court 1104

11. *No liability to third parties* : But his liability would not extend to third parties with whom no contractual relationship exists. *Candler v. Crane Christmas and Co.*¹

12. *Advice not required* : The auditor is not required to give advice to the directors regarding loans and investments. His duty is only to find out the true financial position of the company at the time of audit and to disclose it in his report.

13. *Liable to pay damages* : The auditor is liable to pay damages if on account of his breach of the statutory duties or wrongful acts, the company suffers loss. The auditors are also responsible to persons who are misled by a false balance sheet which has been certified by the auditor as correct.

14. *There is criminal liability* : The auditor is criminally liable for any breach of his statutory duties, wilfully made.

EXERCISES

1. State the Statutory Books required by the Company Act. (Page 717)
2. Describe how the accounts of a company are to be kept, who may inspect them, and under what conditions, if any. What are the shareholders' rights in respect of such accounts ? (Pages 717-719)
3. State the law relating to appointment and remuneration of auditors. (Page 723)
4. State the rules of the Companies Act relating to the qualifications, appointment, remuneration and removal of an auditor. (Pages 724-725)
5. What are the powers and duties of an auditor of a company ? (Pages 726-727)
6. Explain the function of an 'Auditor' with respect to a company under the Companies Act, 1956. Describe his powers, duties and liabilities under the Act. (Pages 723-727)
7. What are the provisions of the Companies Act, 1956 relating to the appointment of the first auditor of a company ? (Pages 722-723)
8. State the powers and duties of auditors with reference to leading cases. (Pages 726-727)
9. What is stated in the Auditor's report to the members of a Company ? (Pages 726-729)
10. Should auditors give advice to directors regarding loan without security ? (Page 727)
11. Write notes on (i) Special audit and (ii) Cost audit. (Pages 728, 729)

¹ (1951) 2 K.B 164

BORROWING POWERS OF A COMPANY

The powers of a company are determined by the memorandum and the articles of association. Therefore a company can borrow money, and if so to what extent, are matters depending upon the interpretation of these two documents. The Companies Act does not contain any section expressly empowering companies to borrow.

In some cases the memo and the articles provide that the company shall be entitled to borrow. Sometimes the power to borrow is given, subject to certain limitations. If so, the limitations must be strictly complied with. Borrowing in excess of the limits laid down or by methods not sanctioned, is *ultra vires* the company and not binding on it. *Re Introduction Ltd.*¹

It has been held that a trading company has an implied power to borrow, because commercial transactions necessarily involve the giving and taking of credit. *General Auction Estate Co. v. Smith.*² A non-trading company has no implied powers to borrow. If the memo and the articles of such a company contain no provision empowering the company to borrow, they must be altered to give such power before the company can borrow. *Baroness Wenlock v. River Dee.*³

Where the memo and the articles give the power to borrow, loans may be taken in any one or more of the following ways (unless any of them is prohibited): mortgage of immovable properties of the company; hypothecation or mortgage of movable goods, including stock in trade and, furniture; charge on uncalled capital; floating charge on all the assets of the company; mortgage of book debts; promissory notes, hundies and bills of exchange; debentures and debenture stock; charge on patents, licences and copyrights and goodwill; overdrawing the company's banking accounts.

A company cannot borrow money on the security of its books

¹ (1968) 2 AER. 1221

² (1891) 3 Ch. 432

³ (1885) 10 A.C. 354

of account because such books are required to be kept in the registered office and they are open to inspection. Also, money cannot be borrowed on the security of the reserve capital.

Statutory limitations on Borrowing

1. Sec. 293(1) (d) prohibits the directors to borrow money beyond the aggregate of the paid-up capital and its reserves.

2. Limitations as contained in the Memorandum or the Articles ultra-vires Borrowing : Borrowing by a company may be ultra-vires the Company or intra-vires the company but ultra-vires the directors.

DEBENTURES

Definition

The issue of debentures is a particular mode of borrowing money by companies. A debenture is a document which shows on the face of it, that the company has borrowed a certain sum of money from the holder thereof upon certain terms and conditions. A debenture is generally issued as a part of a series.

Palmer defines a debentures as "any instrument under seal evidencing a deed, the essence of it being the admission of indebtedness". Section 2(12) of the Company Act states that a debenture, "includes debenture stock, bonds and any other securities of a company, whether constituting a charge on the assets of the company or not."

Characteristics

1. Each debenture is numbered.

2. Each contains a printed statement of the terms and conditions, viz. the rate of interest, the time of payment of interest, the security against which the debenture is issued and what steps the debenture holder can take in case of non-payment of his dues.

3. A debenture usually creates a *floating charge* on the assets of the companies, e.g., a charge which is enforceable upon non-payment of the interest or principal on the due dates.

4. A debenture may create a fixed charge instead of a floating charge.

5. Sometimes debenture holders are given the right to appoint a receiver in case of non-fulfilment of the terms of the debentures by the company.

6. Sometimes a series of debentures are issued with a trust deed by which trustees are appointed to whom some or all the properties of the company are transferred by way of security for the debenture holders.

FLOATING CHARGE AND FIXED CHARGE

Definition

A 'charge' on a property is created when it is made liable for the payment of money. A charge may be 'fixed' or 'floating'.

A fixed charge is one which creates a legal interest of a specific property of the company or all the properties of the company. Thus a fixed charge is equivalent to mortgage. The company can sell, lease etc. of the property, *subject* to the right of the charge holder.

The floating charge does not amount to mortgage. The owner of such a property can deal with it and the transferee gets it, free of the charge.

"The term 'floating security' and 'floating charge' means a security or charge which is not to be put into immediate operation, but is to float so that the company is to be allowed to carry on its business. A specific charge fastens on ascertained and definite property or property capable of being ascertained. A floating charge moves with the property which it is intended to affect, until some event occurs or some act is done which causes it to settle and fasten on the subject of the charge within its reach and grasp. It is of the essence of a floating charge that it remains dormant until the undertaking charged ceases to be a going concern or until the person, in whose favour the charge is created, intervenes".—Halsbury's *Laws of England*, Vol. 6.

Characteristics

A floating charge is an equitable charge. Justice Romer laid down three characteristics of a floating charge *viz.*, (i) it is a charge on a class of assets of a company present and future, (ii) in the ordinary course of the business of a company such assets would be changing from time to time; and (iii) until some future step is taken by or on behalf of those interested in the charge, the company may carry on the business in the ordinary way by this class of assets. *Re Yorkshire Wool Combers' Association*.¹

¹ (1903) 2 Ch. 284

When a floating charge becomes a fixed charge ?

A floating charge becomes a fixed charge when any of the following things occur : (i) a company is wound up ; (ii) a receiver of the properties of the company is appointed ; (iii) the company fails to pay the interest and the instalment of the principal ; and, (iv) the company ceases carrying on its business.

When the above occurrences or contingencies happen, a floating charge becomes a fixed charge. This is known as crystallization of the floating charge. The crystallization occurs on the moment of crystallization.

CLASSIFICATION OF DEBENTURES

Debentures may be classified in different ways, some of which are mentioned below :

1. *Redeemable Debentures and Perpetual Debentures* : Section 120 of the Companies Act provides that debentures may be issued subject to the condition that they are irredeemable or redeemable only on the happening of the contingency, however remote, or on the expiration of a period however long. Thus debentures may be either Redeemable or Perpetual.

2. *Registered Debentures and unregistered or Bearer Debentures* : The money due on the debentures may be payable only to registered holders or may be payable to bearers.

3. *Debenture and Debenture Stock* : The difference between Debenture and Debenture Stock is similar to the difference between shares and stock. A debenture is a document showing a particular debt. There may be a series of debentures. If the entire debt, covered by the debentures is treated as a single unit, it is called Debenture Stock. In the case of debenture stock, the company issues to each creditor a certificate showing what fraction of the entire debt is owned to him. The certificate is called the Debenture Stock Certificate.

4. *Mortgage Debenture and Naked Debenture* : The former types of debenture is secured by whole or part of the assets of the company. The latter types of debentures are *not* secured by any of the assets of the company.

CONVERTIBLE DEBENTURES

Debentures may be issued subject to the condition that they or a specified part of them, will be exchanged for, or converted into, shares of the company. The remaining part of the issue continues to be debentures at a stated interest. After a debenture is converted into share it does not yield interest but gets dividend according to the decision of the company.

Example :

A reputed company issued 7 lakhs secured convertible debentures of Rs. 200 each for cash at par aggregating nearly Rs. 15 crores. The highlights of the issue were as follows : 25% conversion in two stages—first within 6 months of the date of allotment of debentures and second 2 years after the first conversion, into 5 equity shares of Rs. 10 each at par ; interest of 13.5% per annum payable half-yearly ; review of interest in accordance with Government guidelines ; fully secured ; liquidity through listing in Stock Exchange ; and, scheme for purchase by the company at par after 4 years.

Comments

In India this type of debenture has become very popular. It can be called convertible debenture or convertible bonds. The debenture holders may have an option to get shares in exchange of debentures. One writer¹ says that in such debentures the holders, "have their cake and eat it too".

RULES RELATING TO DEBENTURES

The Companies Act of 1956 lays down the following rules regarding debentures :

1. No debenture holder is to have any voting rights in company meetings—Sec. 117. This applies to debentures issued after the commencement of the Act of 1956.

2. If there is a trust deed securing the issue of debentures, every debenture holder can have a copy of it on payment of a small fee.—Sec. 118.

3. The trustees in a trust deed securing the issue of debentures must exercise due care and diligence in the performance of their duties. Any provision in the deed exempting them from liability on this account is void.—Sec. 119.

¹ Samuelson, Economics, (11th edition), p. 103

4. Debenture may be irredeemable, or redeemable on the happening of a contingency.—Sec. 120.

5. Redeemable debentures can be reissued, unless there is any provision to the contrary, whether express or implied, in the articles or in the conditions of the issue of the debentures or in any contract entered into by the company or when the company has passed a resolution to that effect.—Sec. 121.

6. An agreement to take a debenture can be specifically enforced.—Sec. 122.

7. Debts of the company, which by the Act receive preferential payment in case of winding up, shall have priority over the claims of the debenture holders. If, by virtue of the condition of the issue, the debenture holders have taken possession of the properties of the company or have appointed a receiver who has taken possession, the claims of the preferred creditors shall be paid forthwith out of any assets coming into the hands of the receiver or other person on behalf of the debenture holders.—Sec. 123.

8. Full particulars regarding the issue of debentures in series must be sent to the Registrar.—Sec. 128. The particulars must include a statement of the commission paid.—Sec. 129.

9. There are certain limits on the amount of commission and brokerage that can be paid for the sale of debentures. (See under Commission and Brokerage for the sale of shares in p. 630)

10. **Transfer of Debentures.** The rules relating to transfer of shares and share certificates (Sections 108-113) apply to debentures. (See p. 638)

11. **Register and Index of Debenture Holders.** Every company shall keep a Register of debenture holders, entering therein particulars regarding the name, address, and occupation of the debenture holder and the dates on which the holding commenced or ceased.—Sec. 152(1).

Every company having more than 50 debenture holders shall keep an Index of debenture holders unless the Register of debenture holders is itself kept in the form of an index.—Sec. 152(2).

No notice of any trust, express, implied, or constructive, shall be entered in the Register of debenture holders.—Sec. 153. (But, see pages 634)

The Register of debenture holders may be closed for not more than 45 days in the year and not more than 30 days at

a time, by giving at least 7 day's notice through a local newspaper.—Sec. 154.

There may be a Foreign Register of debenture holders analogous to the Foreign Register of members.—Sections. 157 and 158.

RIGHTS AND REMEDIES OF DEBENTURE HOLDERS

If the Company fails to pay the interest or principal on the due date or fails to comply with any of the terms and conditions under which the debenture was issued, the debenture holder can adopt any of the following remedial measures :

1. He may file a suit for the recovery of money by sale of the assets which were charged for the payment of the money.
2. He may file an application for the appointment of a receiver by the court.
3. He may himself appoint a receiver if the terms of the debenture entitled him to do so.
4. The trustees may sell the properties charged, if such a power is given to them under the terms of the debenture.
5. He may apply to the court for the foreclosure of the company's right to redeem the properties charged for the payment of the money.
6. He may present petition for the winding up of the company.

DIFFERENCES BETWEEN SHAREHOLDERS AND DEBENTURE HOLDERS

1. A shareholder has a proprietary interest in the company. A debenture holder is only a creditor of the company.
2. Every share is included in the capital of the company. Debenture is a loan to the company.
3. Debentures generally have a fixed or floating charge upon the assets of the company. Shares do not have any charge on the asset of the company because the shareholders are the proprietors of the company.
4. A debenture holder is entitled to a fixed interest. Equity shareholder is entitled to dividends depending on and varying with the profits earned.
5. A shareholder has voting rights. A debenture holder, after 1956, cannot have voting rights.

6. Debentures may be redeemable. Shares (except preference shares under certain circumstances) are not redeemable. Under special circumstances the court may direct the purchase of shares by the company. (Sections 397 and 398. See Ch. 10)

7. Debenture holders get priority over shareholders when assets are distributed upon winding up.

LOANS TO COMPANIES UNDER THE SAME MANAGEMENT

Subject to the exceptions and conditions noted below, no company shall (a) make any loan to, or (b) give any guarantee, or provide any security, in connection with a loan made by any other person to, or to any other person by, any body corporate.—Sec. 370 :

1. Such a transaction may be entered into if previously authorised by a special resolution of the lending or guaranteeing company.

2. No special resolution is necessary in the case of loans to other bodies corporate *not under the same management* as the lending company, where the aggregate of such loans does not exceed 10% of the aggregate of the subscribed capital of the lending company and its free reserves.

3. Without the prior approval of the Central Government the aggregate of loans by one company to other bodies corporate shall not exceed the aggregate of its subscribed capital and free reserves by 30% where all such bodies are *not* under the same management, and 20% where they are under the same management, as the lending company.

4. The restrictions stated above do not apply to any *loan* made (a) by a holding company to its subsidiary ; (b) by a banking or insurance company, in the ordinary course of its business ; (c) by a private company unless it is a subsidiary of a public company ; and (d) by a company established with the object of financial industrial enterprises.

5. The restrictions do not apply to any *guarantee* given or security provided (a) by a holding company in respect of a loan given to its subsidiary ; and, (b) by a banking company in the ordinary course of its business.

6. The restrictions do not apply to a book debt, unless the transaction was from its inception in the nature of a loan.

Companies under the same management or same group

Companies are said to be under the same management, or within the same group, under the circumstances enumerated in Sec. 370(1B) and Sec. 372(11) respectively. *Examples* : Majority of directors same ; the same individual or body corporate exercises one-third or more of the voting power ; etc.

Loans etc. coming under this section must be recorded by the lending company in a separate register. The register is open to inspection and extracts and copies thereof may be taken.

Definition of 'Group'—See p. 547.

INVESTMENTS IN THE SAME GROUP OF COMPANIES

A company cannot purchase the shares and debentures of another company if both are under the same management, except to the extent noted below.—Sec. 372.

A company can invest, in the manner aforesaid, in any other company *within the same group*, up to 10 per cent of the subscribed capital of the other company, provided such investment is sanctioned at a meeting of the Board of directors of the investing company with the consent of all the directors present and entitled to vote. Notice of such resolution must be given to all directors. The aggregate investment of a company in other companies in the same group must not exceed 20 per cent of the subscribed capital of the investing company. The aggregate investment of a company in all other bodies corporate must not exceed 30 per cent of the subscribed capital of the investing company.

A company can invest more than the amounts mentioned above, if it is sanctioned by a resolution of the members of the investing company and approved by the Central Government.

The restrictions on investment, mentioned above do not apply to the following cases : investments by an investing company, *i.e.*, one whose principal business is the purchase and sale of shares, debentures and other securities ; investments by a banking or insurance company ; a private company, unless it is a subsidiary of a public company ; investments by a holding company in its subsidiary ; and, investments in rights" shares, *i.e.*, purchase of further issue of shares as provided in Section 81.

Particulars of all investments coming within Section 372 must be entered in a separate register which shall be open to inspection by all members of the company. Particulars of the investment shall also be included in the balance sheet.

Section 372 of the amended Act mentions that a Company by itself or together with its subsidiaries shall not be entitled to acquire the shares of any other body corporate except to the extent, and except in accordance with the restrictions and conditions specified in this Section.

"The Board of directors of the investing Company shall be entitled to invest in any shares of any other body corporate to such percentage of the subscribed equity share capital, or the aggregate of the paid-up equity and preference share capital, of such other body corporate, whichever is less, as may be prescribed."

This Section shall not apply—

- (a) to any banking or insurance Company ;
- (b) to a Private Company, unless it is a subsidiary of a Public Company.
- (c) to any Company established in order to finance private industrial enterprises.
- (d) "to investments by a holding Company in its subsidiary, other than a subsidiary within the meaning of Clause (a) of sub-Section (1) of Section 4."

REGISTRATION OF MORTGAGES AND CHARGES

List of Mortgages and Charges

The Companies Act (Sec. 125) provides that all charges and mortgages of the kinds mentioned below, must be registered with the Registrar of Companies by filing with him all particulars concerning them together with a copy of the deed by which the charge or mortgage is created :

- 1.(a) a charge for the purpose of securing any issue of debentures ;
- (b) a charge on uncalled share capital of the company ;
- (c) a charge on any immovable property, whether situate, or any interest therein ;
- (d) a charge on any book debts of the company ;

- (e) a charge, not being a pledge, on any movable property of the company ;
- (f) a floating charge on the undertaking or any property of the company including stock-in-trade ;
- (g) a charge on calls made but not paid ;
- (h) a charge on a ship or any share in a ship ;
- (i) a charge on goodwill, on a patent or licence under a patent, on a trade mark, or on a copyright or a licence under a copyright.—Sec. 125(4).

2. A charge created *out of India* comprising solely property situate outside India with particulars and instrument or copy.—Sec. 125(5).

3. A charge created *in India* but comprising property outside India, with verified copy.—Sec. 125 (6).

4. Charges on properties acquired subject to charge.—Sec. 127.

For registration, the term 'charge' includes 'mortgage'—Sec. 124.

Time

All the charges listed above must be registered within 30 days of its creation (7 days more if there is sufficient cause for delay).

Particulars

In case of series of debentures entitling holders *pari passu* to be filed to the Registrar with the following particulars :—

- (a) the total amount secured by the whole series ;
- (b) the dates of the resolutions authorising the issue of the series and the date of the covering deed, if any, by which the security is created or defined ;
- (c) a general description of the property charged ; and
- (d) the names of the trustees, if any, for the debenture holders ; together with the deed containing the charge, or a copy of the deed verified in the prescribed manner, or if there is no such deed, one of the debentures of the series.—Sec. 128.

Commission

Particulars in case of commission, etc. on debenture, are to be filed for registration.—Sec. 129.

Register

Register of charges is to be kept by Registrar, with respect to each company, containing the following particulars.—Sec. 130 :

- (a) in the case of a charge to the benefit of which the holders of a series of debentures are entitled, such particulars as are specified in Sections 128 and 129 ;
- (b) in the case of any other charge—
 - (i) if the charge is a charge created by the company, the date of its creation ; and if the charge was a charge existing on property acquired by the company, the date of the acquisition of the property ;
 - (ii) the amount secured by the charge ;
 - (iii) short particulars of the property charged ; and
 - (iv) the persons entitled to the charge.

Certificate of Registration

The Registrar is to give a certificate of registration. All debentures must be endorsed with a copy of the certificate of registration. The registration may be effected by the company, or by any person interested. Modification of the terms of the charge must be notified to the Registrar.—Sec. 132.

The company is to maintain a Register and Index of Charges. The Registrar also keeps a Register of Charges.—Sec. 131.

The company is to give intimation to the Registrar when a registrable charge or mortgage is satisfied by payment.—Sec. 138.

The Company Law Board may excuse any omission in filing particulars etc. which was accidental or due to inadvertence. The Register may thereupon be rectified.—Sec. 141.

Pending matters will continue to be under the orders of the Court.

The Register and copies of instruments by which a charge is created may be inspected by members, creditors etc.—Sec. 144.

Consequences of failure to register charges

If a charge or mortgage is not registered in accordance with the aforesaid provisions, the following consequences ensue :

1. The charge becomes void as against other creditors and the liquidator in case of winding up (*i.e.*, the charge holder loses priority).—Sec. 125(i).

2. The debt becomes immediately payable.—Sec. 125(3).

3. The officers of the company concerned are liable to punishment.

4. When a charge becomes void for non-registration, no right of lien can be claimed on the documents of title.

Nothing in the above rules shall prejudice any contract or obligation for the repayment of the money secured by the charge.—Sec. 125(2).

EXERCISES

1. Distinguish between a floating charge and a fixed charge. When does a floating charge crystallize? (Pages 734-735)
2. What do you understand by debentures? What are the rights of the debenture holders? (Pages 733, 738)
3. Define a debenture and distinguish it from a share. State the different classes of debenture. (Pages 733, 738, 735)
4. State and explain the rules regarding the issue of debentures. What and how can redeemed debentures be re-issued? (Pages 736-738)
5. Enumerate the mortgages and charges which have to be registered under the Companies Act. Discuss the effects of non-registration. (Pages 740-744)
6. Write notes on : Convertible Debentures. (Page 736)
 - (a) What is a Debenture? What are the different kinds of Debentures? What are the rights and remedies available to a debenture-holder in the Company Law?(Pages 733, 735)
 - (b) The company *A* has offered to buy all the shares in the *B* company and the holders of nine-tenth in value of the shares in the *B* company have agreed to the sale. The remaining shares are held by *X*, who objects to the sale. May the company *A* acquire all the shares in the *B* Company. (Page 740)

THE ADMINISTRATION OF COMPANY LAW

The Companies Act of 1956 and various amendments thereafter have enormously increased the functions of the Central Government in relation to companies. The object of the Act and the Amendment is to give to the Government powers of control which will prevent malpractices, protect the interests of the investing public and ensure social justice. The administration of company law has been placed under the control of the Company Law Board. The Board consists of members appointed by the Central Government up to nine.

REGISTRAR OF COMPANIES

An important official in connection with company law administration is the Registrar of Companies. In almost all the States there is a Registrar, appointed by the Central Government. In some States, there are Assistant, Deputy or Joint Registrars. There are four Regional Directors with headquarters at Calcutta, Bombay, Madras and Delhi. The States' Registrars work under the Regional Directors.

Since 1956, the office of the Registrars has been greatly expanded. Through the administrative organisation mentioned above, it is expected to secure co-ordination between the different offices of the Registrars and the Central Government and also to provide for a machinery through which the obligations and duties of the Government as regards Company Law may be carried out.

The Registrars have a number of important functions :

1. *The function of registration* : All important documents like the memo and the articles, mortgages and charges must be registered with the Registrar.

2. *The issue of certificates* : The Registrar issues the certificate of incorporation, certificate of the commencement of business etc.

3. *The enforcement of returns* : The companies are bound

to send various kinds of returns and reports. It is the duty of the Registrar to see that the returns and reports are filed in time.

4. *Public information* : From the office of the Registrar members of the public can obtain inspection and copies of documents relating to companies.

5. *Prosecution of delinquent directors and company officials* : It is the duty of the Registrar to prosecute persons guilty of offences against the Company Law.

6. *Enquiry and investigation* : The Registrar can under certain circumstances enquire and investigate into affairs of a company.

INVESTIGATION OF THE AFFAIRS OF A COMPANY

There are six different types of enquiries and investigations into the affairs of a company provided for by the Companies Act of 1956. They are briefly enumerated below :

I. Special Audit

Under certain circumstances the Central Government can direct a special audit of a company's accounts of any period. The Central Government may also direct the audit of cost accounts.—Sec. 233A. (See p. 728)

II. The Registrar's Power of Enquiry (Sec. 234)

If on perusing a document which a company is bound to submit to him under the Act, the Registrar is of opinion that further information or explanation is necessary he may, by an order in writing, call upon the company to submit the same within a fixed date. If the company fails to submit the explanation or information by the due date, the company and every official concerned may be fined. The court can, on the application of the Registrar, direct the company to give inspection of any required document to the Registrar.

If the information or explanation is not given, or if upon perusal of the information and explanation given, the Registrar is of opinion that the document in question discloses an unsatisfactory state of things or that it does not disclose a full and fair statement concerning the matter, the Registrar shall make a report of the matter to the Central Government.

If it is represented to the Registrar on materials placed before him by a creditor, contributory or a person interested, that the business of the company is being carried on fraudulently or unlawfully, he may after giving an opportunity to the company of being heard, direct the company to furnish any information or explanation on the matter. Thereafter the Registrar shall proceed with the matter as described above. If upon enquiry the Registrar is satisfied that the representation on which he took action was frivolous or vexatious, he will disclose the identity of the informant to the company. The company can proceed against him for defamation etc.)

If the Registrar apprehends that the books and papers of a company may be destroyed, falsified or hidden, he may seize them after getting an order from a magistrate of the 1st class or a Presidency Magistrate.—Sec. 234A.

III. Investigation by Inspectors (Sections 235-246).

The Central Government may appoint one or more competent persons as inspectors to investigate the affairs of any company and report thereon, under any of the following circumstances :

1. *On the application of a certain number of members of the Company* : If the company is one having a share capital, the number of members applying must be at least 200 or members holding not less than one-tenth of the total voting power. If the company does not have a share capital, the number of members applying must be not less than one-fifth of the total number of members. The application must be supported by evidence and the Government may require the applicants to give security for costs, not exceeding Rs. 1,000.

2. *On the report of the Registrar* : If the answer to an enquiry by the Registrar under Section 234, is considered to be unsatisfactory, he is to report to the Central Government. On his report the Central Government may appoint inspectors.

3. If the company passes a *special resolution* for such investigation.

4. If the *court declares* that the affairs of the company should be so investigated.

5. If the Central Government is of *opinion* that (i) the company is being conducted fraudulently or unlawfully or in a manner oppressive to any of its members or that the company

was formed for a fraudulent or unlawful purpose ; (ii) the persons concerned in the formation of the company or the management of its affairs have been guilty of fraud, misfeasance or misconduct ; and (iii) the members of the company have not been given all the information with respect to its affairs which they might reasonably expect.

Section 235 of the Principal Act has been amended and the amending provision states that the Central Government on the basis of a report made by the Registrar appoint one or more competent persons as inspectors to investigate the affairs of a Company and to report thereon in such manner as the Central Government may direct.

Section 236 has been amended and the amended section states that an application by members of a Company under Clause (a) or (b) of Section 235 shall be supported by such evidence as the Company Law Board may require for the purpose of showing that the applicants have good reasons for requiring the investigation.

Section 237 has been amended and amended provision declares that the Central Government shall appoint one or more competent persons to investigate the affairs of a Company and to report thereon and may do so if in the opinion of the Company Law Board there are circumstances suggesting that the business of the Company is being run with the intent to defraud its creditors.

JK. Investigation of Ownership (Sec. 247)

Where it appears to the Central Government that there is good reason so to do, it may appoint one or more inspectors to investigate and report on the membership of any company and other matters relating to the company, for the purpose of determining the true persons—

(a) who are or have been financially interested in the success or failure, whether real or apparent, of the company, or

(b) who are or have been able to control or materially to influence the policy of the company.

The Central Government can investigate the beneficial ownership of shares as to whether the provisions of Sec. 187C have been complied with regarding to any share.—Sec.187D. (See p. 635)

V. Information about persons having interest in a company (Sec. 248)

Where it appears to the Central Government that there is good reason to investigate the ownership of any shares in or debentures of a company or of a body corporate acting as its managing agents or secretaries and treasurers (now abolished), it may appoint inspectors for the purpose or may call for the information from persons who are interested in the shares and debentures.

VI. Investigation of associateship (Sec. 249)

Where any question arises as to whether any person, firm or body corporate is or is not, or was or was not, an associate of the managing agent or the secretaries and treasurers, the Central Government may appoint inspectors for the purpose or call for the relevant information from any person who is in a position to give information on the point.

INSPECTORS

Powers and duties of the inspectors (Sections 239, 240, 240A)

1. The inspectors appointed by the Government must enquire into the affairs of the company concerned.

2. The officers of the company and the directors and managers etc. must preserve and produce before them all books and documents required.

3. They must also give evidence on oath and answer questions put to them, by the inspectors. The inspectors may examine any other person on oath, if so authorised by the Central Government.

4. If it is considered necessary, the inspectors may also examine the affairs of the holding company of the company concerned, any of its subsidiaries, its managing agents, secretaries and treasurers and their associates and related companies.

5. The inspectors can seize documents and keep them in their custody for six months.

Report

After the investigation is over, the inspectors must submit a report to the Government. They may also submit interim reports if considered necessary.—Sec. 241.

Government action on the report

After considering the report, the Government may take the following steps :

1. Copies of the report may be sent to all interested parties and published.

2. Officials of the company and directors, managing agents etc. who are found to be guilty of any offence, must be prosecuted.

3. If it is found that the company is entitled to proceed against any person for damages, recovery of property, or misfeasance, the Central Government can institute proceeding for the purpose.

4. If the investigation discloses the existence of circumstances which would lead the court to direct winding up of the company on the ground that it is just and equitable to do so, the Central Government can cause the presentation of a petition for winding up of the company.

5. The Central Government may cause an application to be filed before the court for exercise of the discretionary powers which have been given to the court in cases of mismanagement and oppression. (Sections 397 and 398, see below.)

6. The expenses of the investigation may be recovered from the persons guilty of mismanagement or misconduct.

Certain general provisions regarding investigations

Where in connection with any of the investigations mentioned above, there is difficulty in finding out the relevant facts, the Central Government may declare that the shares of the company shall be subject to certain restrictions, *e.g.*, any transfer of the shares to be void ; where the shares are to be issued in the future, such issues are to be stopped ; the holders of the shares not to have any voting rights etc. If any person acts in violation of the above restrictions, he shall be punishable.—Sec. 250.

Section 250 of the amended Act provides that the Company Law Board may impose restrictions upon shares and debentures and may prohibit transfer of shares or debentures in certain cases.

Investigations of the type described under III to VI above can be initiated and continued even if (a) an application has been made for an order under Section 397 or 398 (see below) or (b) the company has passed a special resolution for voluntary winding up.—Sec. 250A.

During investigation questions may be asked from any person, but legal advisers cannot be forced to disclose privileged communications from their clients. There is protection for bankers as regards confidential information.—Sec. 251.

Legal Decisions :

1. Investigation under section 237 is neither judicial nor quasi-judicial nature. *Raja Narayan Lal Bonsilal v Maneck Phiroz*.¹
2. The inspector's function is equivalent to the function of a fact finding mission. *Ashoka Marketing Ltd. v. Union of India*.²
3. Unreasonable declaration of dividends is a *prima facie* ground for ordering investigation in the affairs of a company. *Ashoka Marketing Ltd. Vs. Union of India*. (Ibid).
4. **Judicial Review** : The power under Sections 235 to 237 has been conferred on the Central Government on the faith that it will be exercised in a reasonable manner. (See under III, para. 5. ps. 747-748). The existence of the circumstances mentioned in Section 237(b) is a condition precedent to the formation of opinion by the Government. The existence of circumstances suggesting that the company's business was being conducted as laid down in sub-clause (i) or persons mentioned in sub-clause (ii) were guilty of fraud or misfeasance or other misconduct towards the company or towards any of its members is a condition precedent for the Government to form the required opinion. The existence of the circumstances in question is open to judicial review though the opinion formed by the Government is not amenable to review by the Courts. *Rohias Industries Ltd v. S. D. Agarwal*.³ *Hidaytullah and Shelat JJ. in Barium Chemicals Ltd v. Company Law Board*.⁴
5. **When a Court can order an enquiry?** The Court exercising its powers under Section 237 (a) (ii) of the Act on evidence at least as strong as may be required by the Central Government. *In re Patrakola Tea Co. Ltd*.⁵
6. Under S. 235 of the Companies Act, 1956, it is not obligatory for the Central Government to direct an investigation. It has a discretion to appoint or not to appoint inspectors for investigating the affairs of the company, the word used in the section being "may". *Mool Chand Gupta v. Jagannath Gupta and Co. (P) Ltd*.⁶

MISMANAGEMENT AND OPPRESSION BY THE MAJORITY

Companies are managed by directors elected by the majority. As regards matters which are to be decided by resolutions passed

¹ AIR (1961) Supreme Court 29

² (1966) C.W.N. 472

³ AIR (1969) Supreme Court 707

⁵ (1966) 70 C.W.N. 971

⁴ AIR (1967) Supreme Court 295

⁶ AIR (1979) Supreme Court 1038

in general meeting, it is the opinion of the majority which always prevails. It has been laid down in many cases that the courts will not interfere in matters which are within the powers of the majority to decide. Thus the general rule for company management is that the decisions of the majority bind the minority. *Foss v. Harbottle*¹; *Macdougall v. Gardiner*.²; *Rajahmundry Electric Supply Company v. Negeshar Rao*.³

The Court will not interfere in the internal management of the company and it will leave such matters to the wisdom of the directors themselves. *In re Sulekha Works Ltd.*⁴ But the Court has the discretion to overrule a resolution of the majority if it finds that the majority are bent upon causing an injustice to the minority of shareholders. *Ramkissendas Dhanuka v. Satya Charan Law*.⁵

Sometimes it is found that a group of persons or a particular person obtains control of the majority of the shares and is running the company in a manner prejudicial to the company or against the interests of the minority group of shareholders. In such cases the minority shareholders can adopt the following measures: (i) apply to the court for the winding up of the company on the ground that it is 'just and equitable' to do so; (ii) apply to the Company Law Boards for appropriate orders giving relief without directing winding up; and (iii) apply to the Central Government for relief. The last two remedies are explained below.

I. Powers of the Court

Section 397 provides that *in cases of oppression*, the court may give relief if it is of opinion.

(a) that the company's affairs are being conducted in a manner prejudicial to the public interest or in a manner oppressive to any member or members; and,

(b) that to wind up the company would unfairly prejudice such member or members, but that otherwise the facts would justify the making of a winding up order on the ground that it was just and equitable that the company should be wound up.

¹ (1843) 2 Hare 461

² (1875) 1 Ch. 413

³ (1955) 2 S.C.R. 1066 (Supreme Court)

⁴ AIR (1965) Cal. 98

⁵ 77 I.A. 128

Section 398 provides that *in cases of mismanagement*, the court may give relief if it is of opinion,

(a) that the affairs of the Company are being conducted in a manner prejudicial to the public interest or the interest of the Company; or,

(b) that a material change (not being a change brought about by or in the interest of the creditors or any class of shareholders) has taken place in the management and control of the Company (by changes in the Board of Directors or Manager), and that by reason of such change, the affairs of the Company are likely to be conducted in a manner prejudicial to the public interest or the interests of the Company.

Who can apply for relief ?

The petitioning member or members must hold not less than one-tenth of the issued share capital of the Company on which all calls due have been paid, or must have obtained the consent in writing of one hundred or one-tenth in number of the members, whichever is less. In the case of a company not having a share capital, the member petitioning must have obtained the consent in writing of not less than one-fifth in number of the members—Sec. 399 (1)-to (3).

Under Sec. 397 or 398 not only the members having equity shares but also the persons holding preference shares may apply for the appropriate relief.

The Central Government may authorise a member or members to apply even though the above conditions are not fulfilled, if it considers it just and equitable to do so. In such cases it may ask such members to give security for costs.—Sec. 399 (4) and (5).

The Central Government may itself apply under Section 397 or 398, and authorise any person to apply.—Sec. 401.

Notice of all applications under Sections 397 and 398 must be given to the Central Government and the court shall take into consideration the representations of the Central Government, if any.—Sec. 400.

What orders can be passed ?

Under both the sections the court can pass, “such orders as it thinks fit”. So the powers of the court are very wide. Section 402 gives some examples of the type of order which the Court

may pass, viz., orders for regulating the future conduct of affairs of the Company ; orders directing the purchase of the shares of any members by other members or by the Company ; reduction of capital ; the termination of any agreement between the Company and its Manager, Managing Director or any of its other Directors ; orders for the termination or revision of any agreement between the Company and any other person ; and orders for setting aside any transaction which would in the case of an individual be deemed in his insolvency to be a fraudulent preference.

Oppression and Mismanagement

The definition of Oppression and Mismanagement has been discussed in the Supreme Court and High Courts. The cases are cited below :

1. In *Shanti Prasad Jain v. Kalinga Tubes Ltd.*,¹ the Supreme Court of India observed that in an application under Sec. 397 it is not enough to show that there is just and equitable cause for winding up of the company. It must further be shown that the conduct of the majority shareholders is oppressive to the minority as members and this requires that events have to be considered not in isolation but as parts of a consecutive story. The conduct must be burdensome, harsh and wrongful and mere lack of confidence between the majority shareholders and the minority shareholders would not be enough. Such oppression must involve at least an element of lack of probity or fair dealing to a member in the matter of his proprietary rights as a shareholder.

2. The word "oppressive" means burdensome, harsh and wrongful. *Re H. R. Harmer Ltd.*²

3. In *Richardson & Cruddas Ltd.*, Calcutta High Court removed the directors and others from the management of the company. The company was placed under a Special Officer. *L. I. C. of India v. H. D. Mundra & Others.*³

4. The House of Lords said, "whenever a subsidiary is formed with an independent minority of shareholders, the parent company must, if it is engaged in the same class of business, accept as a result of having formed such a subsidiary an

¹ (1965) I.S.C.A. 556 (Supreme Court)

² (1958) 3 All E.R. 689

³ (1959) 63 C.W.N. 439

obligation so to conduct what are in a sense its own affairs as to deal fairly with the subsidiary". *Scottish Co-operative Wholesale Society Ltd. v. Meyer*.¹

5. Negligence and inefficiency even assuming such are proved, do not amount to mismanagement or oppression as contemplated by the Act. *Mohta Bros. v. Calcutta Landing & Shipping Co. Ltd.*² *Needle Industries (India) Ltd., and others v. Needle Industries Newey (India) Holdings Ltd. and Others*.³

6. On a true construction of Section 397, an unwise, inefficient or careless conduct of a Director in the performance of his duties cannot give rise to a claim for relief under that section. The person complaining of oppression must show that he has been constrained to submit to a conduct which lacks in probity, conduct which is unfair to him and which causes prejudice to him in the exercise of his legal and proprietary rights as shareholder. *Needle Industries (India) Ltd., and others v. Needle Industries Newey (India) Holdings Ltd., and others*.⁴

Consequences of an order under Sections 397 and 398

If the order of the court makes an alteration of or addition to the company's memorandum or articles, then (subject to the provisions of the order) the Company concerned shall not make any further alteration or addition which is inconsistent with the order, without the leave of court.

A certified copy of any such order altering or adding to or giving leave to alter or add to, the memorandum or articles, must be filed with the Registrar within thirty days and default in compliance with this requirement renders the Company and every officer in default liable to a fine which may extend to five thousand rupees.

Any termination or revision of any agreement made by the order of court shall not give rise to any claim for damages or for compensation. Further, no Director shall, without the leave of the court, be appointed or re-appointed or be entitled to act for and under the Company for a period of five years from the date of the order. Any contravention of this provision is punishable with imprisonment for a term which may extend to one year or with fine up to Rs. 5000/- or with both.

¹ (1958) 3 A.E.R. 66

² (1969) 73 C.W.N. 425

³ AIR (1981) Supreme Court 1298

⁴ AIR (1981) Supreme Court 1293

1. *Powers of the Company Law Board* : The Company Law Board is empowered to end oppression of minority and to prevent mismanagement. It has the power

- (a) to regulate the conduct of company's affairs in future,
- (b) to purchase the shares and interests of any members of the company,
- (c) to reduce consequently the share capital of the company, if the company purchases shares,
- (d) to terminate, set aside or modify any agreement between the company and management upon such terms and condition which company thinks to be just and equitable,
- (e) to set aside any fraudulent preference made within three months before the date of application,
- (f) to provide for any other matter which Company Law Board thinks to be just and equitable,
- (g) the Company Law Board may order that no change will be made in the Board of Directors or membership or the company without securing its prior approval.

II. Powers of the Central Government

A. *Under Sections 388B to 388E. Power to remove managerial personnel.*

The above Sections empower the Central Government to make a reference to the High Court when it is of opinion that there are circumstances suggesting the following :

- (a) any person connected with the management of a company is guilty of fraud, misfeasance, persistent negligence or default in carrying out his obligations and functions under the law, or breach of trust ; or,
- (b) the business of the company is not or has not been managed by such person in accordance with sound business principles or prudent commercial practices ; or,
- (c) the management of the company by such person caused or is likely to cause serious injury or damage to the interest of the trade, industry or business to which such company pertains ; or,
- (d) the business of the company has been conducted by a person with intent to defraud its creditors, members or any other person or otherwise for a fraudulent or unlawful purpose or in a manner prejudicial to public interest.

The person against whom the case is referred will be joined as a respondent. The High Court may pass interim orders, such as, stopping the respondent from carrying on his duties and appointing a suitable person in his place.

If the High Court records a decision that the respondent is not a fit and proper person to take part in the management of the company, the Government can remove him from office. The person so removed, cannot hold any office of management in any company for the next five years. He cannot also receive any compensation for loss or termination of office.

B. Under Section 408, as amended in 1974. Power to prevent oppression or mismanagement.

If an application is made by not less than 100 members of a Company or members holding not less than 1/10th of the voting power, complaining of oppression and mismanagement and the Central Government is satisfied that the allegations are true it can appoint such number of persons as the Central Government may, by order in writing, specify as being necessary to effectively safeguard the interests of the company, or its shareholders or the public interest. Such directors are to hold office of the company for a specified period, not exceeding 3 years.

The Central Government can issue such orders of its own motion.

Where any person is appointed by the Central Government to hold office as director or additional director of a company in pursuance of the above rule, the Central Government may issue such direction to the Company as it may consider necessary or appropriate in regard to its affairs.

The directors or additional directors so appointed, is to report to the Central Government from time to time with regard to the affairs of the company.

A person appointed director under the aforesaid provision need not hold any qualification shares, nor is he liable to retire by rotation. But he may be replaced by another person by the Central Government any time. So long as such a person holds office, no change in the Board of Directors has any effect unless confirmed by the Central Government.

Section 408 of the amended Act provides that "the Central Government may appoint such number of persons as the Company Law Board may, by order in writing, specify as being necessary to effectively safeguard the interests of the Company or its

shareholders, as directors thereof for such period, not exceeding three years on any occasion.

C. Under Section 409. Power to prevent change in board of directors : If any Director or Manager complains to the Central Government that as a result of a change in the ownership of the shares of the Company, the Board of Directors of the Company is likely to change in a manner prejudicial to the Company and the Central Government is satisfied that the allegation is true, it can direct that no change in the Board shall have effect until confirmed by the Central Government. This section does not apply to a private company, unless it is a subsidiary of a public company.

D. By the amendment of Companies Act in 1974 : The Central Government has been given power to frame rules regarding investment and dividends of companies. Secs. 108A to 108H, provide restrictions upon shares designed to prevent taking control of companies by groups or combine which will be prejudicial to public interest. (See pages 641-642 and 740)

“LIFTING THE VEIL” OF THE COMPANY

An incorporated Company has a legal personality. But a Company, as a legal person, can be distinguished from the individual persons who own the shares of the company. A company can be used for lawful activities. On the other hand, the owners and managers of the company can use it as a cloak for fraudulent activities. The human agency which works a company can use it as a device or as a veil or as a stratagem for illegal and unsocial activities.

It is sometimes necessary to find out the ownership of the shares. It is also necessary to find the persons who control the company. This is called, “Lifting or piercing of the Corporate veil”. It can be done by the Courts :

1. *Relationship :* The relationship between holding company and its subsidiaries can be investigated. According to Sec. 212 of the Companies Act the balance sheet of a holding company includes the particulars of subsidiaries.

2. *Reduction of membership :* If the number of membership is reduced to below seven in a public company and below two in a private company, the remaining members become liable to the creditors of the company to an unlimited extent (Sec. 45). The number of membership and their names can be investigated.

3. *Ownership* : It is sometimes necessary to find out the ownership of the shares and the extent of the controlling power or interest in a company relating to taxes. The Court has power to disregard the corporate personality if it is used for tax evasion or to dodge tax obligation. *Apthorpe v. Peter Schenhofen Brewing Co. Ltd.*¹ "Though a company has a separate juristic personality, Income-Tax authorities and Courts are entitled to lift the veil of corporate entity of a company and pay regard to economic realities behind legal facade". *Commissioner of Income Tax, Madras v. Sri Meenakshi Mills.*²

4. *Illegality* : If a company is formed for an improper or unlawful object, the Court can lift the veil of the corporate entity so that the guilty person can be punished. *Jones v. Lipman.*³

5. *Abuse of power* : A Court can enquire into abuse of power by controlling interest in a company under Sec. 395. (Mismanagement and Oppression.—See p. 751)

6. *Trading with enemies* : A company can be investigated if it is carrying on trade with enemy aliens. *Daimler & Co. Ltd. v. Continent Tyre and Rubber Co.*⁴

7. *Monopoly* : A company can be investigated if it was creating a monopoly.

MISCELLANEOUS PROVISIONS

Information and Statistics : The Central Government may, by order, require companies to furnish information and statistics regarding their constitution and working.—Sec. 615.

Annual Report by Government : The Central Government is required to prepare an annual report regarding company law administration and submit it before the Parliament.—Section 638.

Protection : No suit, prosecution or other legal proceeding shall lie against officers of Government for anything which is in good faith done or intended to be done in pursuance of this Act or any rules made thereunder, or for the publication of any report or paper by the authority of the Government.—Sec. 635A.

Condonation of Delay : If any application to the Central Government or the filing of any document with the Registrar is

¹ (1899) 4 Tax Cas 41

³ (1962) 1 W.L.R. 483

² AIR (1967) Supreme Court 819

⁴ (1916) 2 A.C. 307

not made within the time prescribed by the Act, the delay may be condoned by the Central Government for reasons to be recorded in writing.—Sec. 637B.

EXERCISES

1. Explain the jurisdiction of the courts to interfere with the management of a company at the instance of the minority of shareholders. (Page 751)
2. Discuss the powers of the Court for the prevention of oppression and mismanagement of a company. (Page 752)
3. Show how the Central Government can remove managerial personnel of a company. (Page 756)
4. "The conduct must be burdensome, harsh and wrongful and the mere lack of confidence between the majority shareholders and the minority shareholders would not be enough". Discuss. (Pages 753-758)
5. State the powers of Central Government when oppression and mismanagement is complained of. State who can make such a complaint to the Central Government. (Pages 753-758)
6. Under what circumstances the law would disregard the legal personality of a company. (Pages 758-759)
7. What are the powers and duties of an Inspector appointed by the Central Government to investigate into the affairs of a company? (Page 749)
8. What are the conditions under which the Central Government may appoint inspectors for investigation of affairs of a company? (Pages 749-751)
9. State the provisions of the Companies Act, 1956 for prevention of oppression and mismanagement in a company. (Page 751)
10. Comment on : 'Majority must prevail' is the principle of company management. (Page 751)
11. Give an outline of the organisational machinery through which administration of Companies Act of India is carried out. (Pages 745-746)

DEFINITION

and The winding up or liquidation of a Company means the termination of the legal existence of a Company by stopping its business, collecting its assets and distributing the assets among creditors and shareholders, in the manner laid down in the Act. According to Professor Gower winding up of a company represents the process whereby its life is ended and its property administrated for the benefit of its creditors and members.

MODES OF WINDING UP

There are three methods of winding up a Company :

- I. Compulsory Winding Up by the Court.
- II. Voluntary Winding Up by the members themselves or by the creditors.
- III. Voluntary Winding Up under the supervision of the Court.

COMPULSORY WINDING UP

Compulsory Winding Up takes place when a Company is directed to be wound up by an order of Court.

Grounds of Compulsory Winding Up (Sec. 433)

A Company may be wound up by the court under the following circumstances :

(a) Special Resolution of the Company

If the Company has, *by special resolution* resolved that the Company be wound up by Court.

(b) Default

If *default* is made in delivering the statutory report to the Registrar or in holding the statutory meeting.

Comments : In this case the Court may instead of ordering winding up, direct the holding of the meeting and filling of the report and order the party responsible for the default to pay the cost of the proceedings before the court.

(c) Not Commencing or Suspending the Company

If the Company *does not commence its business* within a year from its incorporation, *or suspends its business* for a whole year.

Comments : The Court will not direct winding up under this clause if satisfactory reasons are given for the delay or suspension.

(d) Reduction of Members

If the *number of members is reduced*, in the case of a public Company to below seven, and in the case of a private Company to below two.

(e) Inability to pay debts

If the Company is *unable to pay its debts*. [See below for the circumstances under which a company is deemed unable to pay its debts.]

(f) The just and equitable clause

If the Court is of opinion that *it is just and equitable* that the Company should be wound up.

The interpretation of 'just and equitable' clause depends on the facts of each case. The court may order winding up of a company (1) when the object for which it was incorporated has substantially failed or it is impossible to carry on the business of the company except at a loss or the existing and probable assets are inadequate to meet the liabilities, (2) when the majority of the shareholders are using their powers unfairly or (3) where there is a deadlock in the management of the company or (4) where public interest is likely to be prejudiced, (5) when the company was formed to carry out fraudulent or illegal business, (6) when the company is a mere bubble and does not carry on any business.

Comments : The Court may refuse to order winding up under this clause if it is of opinion that some other remedy is available to the petitioners and they are acting unreasonably in asking for winding up, instead of pursuing the other remedies.

"There must be materials to show when 'just and equitable' clause is invoked, that it is just and equitable not only to the persons applying for winding up but also to the company and to all its shareholders.

A prima facie case has to be made out before the court can take any action in the matter. Even admission of a petition which will lead to advertisement of the winding up proceedings is likely to cause immense injury to the company if ultimately the petition has to be dismissed. The interest of the petitioner alone is not of predominant consideration". *Hind Overseas Private Ltd. v. Raghunath Prasad Jhunjhunwalla & another*.¹

This clause gives a wide discretion to the Court and empowers the Court to order winding up in cases not coming within the previous five clauses.

The following examples will show how the "just and equitable" clause has been used.

Examples :

- (i) *Loss*. Winding up may be ordered where a Company is carrying on its business at a loss and where it is totally impossible to make any profits.
- (ii) *Loss of substratum of the company*. Where the "substratum of the Company" is gone, a Winding up order will be issued. The substratum of a Company means its subject-matter or the objects for which it was incorporated. A company had no title to the mine and had no prospect of obtaining possession of it. *In re Haven Gold Mining Co.*² A Company was formed for working a German patent. The German patent was not granted but the company purchased a Swedish patent. It was held that the substratum of the company failed. *Re German Date Coffee Company*.³ A company lost its business through nationalization. *Re Eastern Telegraph Co. Ltd.*⁴
- (iii) *Deadlock in management*. A Company may be wound up where there is a deadlock in the management. In the case of *Yentje Tobacco Company*⁵ there were two Directors who were not on speaking terms and so no business could be conducted and winding up was ordered.
- (iv) *Fraudulent object*. A Company may be wound up under this clause if the objects of the Company are fraudulent.
- (v) *Misappropriation and misconduct*. Where a director misappropriated the funds of a company an order of winding up will not be "just or equitable" because it is a sound concern. But if the rights of the shareholders are affected and in addition there is misconduct, the company can be wound up under section 433(f). *Rajahmundry Electric Supply Co. v. A. Nageswar Rao*.⁶

¹ AIR (1976) Supreme Court 565

³ 20 Ch. D. 169

⁵ (1916) 2 Ch. 426

² 20 Ch. D 151

⁴ (1947) 2 A.E.R.104

⁶ (1955) 2 S.C.R. 1066, 1073

Company when deemed unable to pay its debts (Sec. 434)

A company is deemed to be unable to pay its debts under the following circumstances :

1. If a creditor, entitled to receive a sum not less than Rs. 500, demands the money in writing and the company does not pay the money or settle the claim within three weeks of the date of demand. The notice of demand may be signed by the creditor or by his duly authorised agent or legal adviser.

If there are valid grounds for disputing the creditor's claim no order for winding up will be passed.

2. If execution or other process (issued on a decree or order of any court in favour of a creditor of the company) is returned unsatisfied in whole or in part.

3. If the court, after taking into account the contingent and the prospective liabilities of the company, is of opinion that the company is unable to pay its debts.

Who can apply for Winding up ? (Sec. 439)

Subject to the qualifications mentioned below, an application for the winding up of a company can be made to the court by : (i) the Company (ii) any creditor or creditors, including any contingent or prospective creditor or creditors (iii) any contributory (which means a person liable to contribute to the assets of the company in the event of winding up) (iv) any of the aforesaid parties together (v) the Registrar (vi) a person authorised by the Central Government in cases where the Central Government can ask for the winding up of a company.

Company : A company can apply to the Court for winding up after a special resolution was passed in a meeting of the company.

Contributory : Any contributor can apply for winding up under ground (d) of Section 433. (See Grounds of Compulsory winding up). A contributory cannot apply on any other ground unless he was a registered shareholder for at least 6 months during the immediately preceding 18 months, or had obtained the share by the death of a previous holder.

All or any of the Prior Parties—under sec. 439(1)(d) all or any of the prior parties may file a petition to the court for winding up.

Registrar : The Registrar is entitled to apply for winding up under grounds (b) to (f) of Section 433. He must obtain the previous sanction of the Central Government. If he applies under ground (c) he must be satisfied on perusal of the balance sheet or the report of an inspector or special auditor that the company is unable to pay its debts.

Government : The Central Government can apply for winding up under ground (f) if, such action is considered necessary after an enquiry into the affairs of the company by inspectors. (See Ch. 10).

Creditors : Creditors usually apply for winding up on the ground that the company is unable to pay its debts. The court will not order winding up if the claim is doubtful or if the company can show good grounds for non-payment. When a creditor applies for winding up, leave of the court is necessary. Leave will not be granted unless a *prima facie* case is made out and unless security for the courts is given.

Workers : The workers of a Company are entitled to appear at the hearing of the winding up petition whether to support or to oppose it so long as no winding up order is made by the Court. The workers have a locus to appear and be heard. They would also be entitled to prefer an appeal and contend in the appeal that no winding up order should have been made by the Company Judge. *National Textile Workers' Union v. P. R. Ramakrishnan*.¹

In addition, winding up can also be ordered of the Board of Industrial Finance & Reconstruction (BIFR) orders the winding up.

~~Commencement~~ of Winding Up

The winding up of a Company by the Court is deemed to commence from the time of the presentation of the petition for winding up.—Sec. 441.

Where, there was a resolution for voluntary winding up, before the presentation of the petition to Court, the winding up is deemed to commence from the date of the resolution. But the Court may direct otherwise in cases of fraud and mistake.

POWERS OF THE COURT

After a winding up petition is filed, notice is issued on the Company to appear and state its case if any. After hearing both

¹ AIR (1983) Supreme Court 75

sides, the Court may dismiss the petition, adjourn the hearing conditionally or unconditionally, make any interim order necessary or pass an order for winding up.—Sec. 443.

If the order for winding up is passed, the Court appoints a Liquidator whose function is to take charge of and complete the winding up proceedings. To facilitate winding up proceedings the Companies Act gives the following powers to the Court.

1. Stay

The winding up proceedings may be stayed either altogether or for a limited period if considered necessary.—466.

2. List of contributories

The Court is to settle the list of contributories, *i.e.*, shareholders liable to pay money to the Company, determine how much is payable by each and direct the payment of the amount so determined.—Sections 467, 469.

3. Adjustment of the rights of the contributories

The Court adjusts the rights of contributories among themselves and distributes any surplus among persons entitled thereto.—Sec. 475.

4. Delivery to the liquidator

The Court may direct delivery to the Liquidator of any money, property or books and papers in the custody or control of any Contributory, Trustee, Receiver, Banker, Agents, Officer or Employee of the Company, to which the Company is *prima facie* entitled.—Sec. 468.

5. Payment of calls

If any calls are due, the Court may direct the payment of the same.—Sec. 470.

6. Proof of the claims

The Court may fix a time within which creditors are to prove their claims, and may exclude creditors, not proving within the time, from the benefit of any distribution made before those debts and claims are proved.—Sec. 474.

7. Giving Priority

In case of deficiency of assets, the Court may give priority to the payment of costs and charges of the winding up proceedings.—Sec. 476.

8. Summon for questioning

The Court may summon, for questioning, persons suspected of having in their possession property, books and papers of the Company, persons indebted to the Company, and persons capable of giving information regarding the formation of the Company and its dealings and transactions. The Court may direct returns of property of payment of the moneys due to the liquidator. If any person summoned fails to appear, he may be arrested.—Sec. 477.

9. Public Examination

If the Liquidator reports that any person concerned with the formation of the Company or any officer of the Company, is guilty of fraud, the Court may direct his public examination. He can thereupon be publicly questioned in Court by the Courts. Creditors Contributories and the Official Liquidator.—Sec. 478.

10. Arrest of a contributory

If it is found that a contributory is about to quit India or to abscond or to remove and conceal any property for the purpose of avoiding payment or avoiding examination he may be arrested and the relevant books, papers and movable property may be seized.—Sec. 479.

11. To convene Meetings

The Court may convene meetings of creditors and contributories with a view to ascertain their wishes.—Sec. 557.

OFFICIAL LIQUIDATORS

Appointment

The Companies Act provides that in each High Court there shall be an officer known as the Official Liquidator appointed by the Central Government. There may also be Deputy or Assistant Official Liquidators. In High Courts where there is insufficient work, there may be part-time Official Liquidators.

In District Courts the Official Receiver or such other person as the Central Government will decide shall be the Official Liquidator.—Sec. 448.

Upon the presentation of a petition for winding up, the Court may appoint, the Official Liquidator as the provisional liquidator. When the winding up order is passed, the Official Liquidator becomes the Liquidator of the Company.—Sec. 449.

Duties of the Liquidator

1. The liquidator shall conduct the proceedings in winding up the company.

2. After the winding up order is made, the Liquidator shall take into his custody and control all the properties, effects and actionable claims to which the Company appears to be entitled.

3. The Liquidator is to make a list of creditors.

4. The Liquidator is to summon general meetings of creditors and contributories, in order to find out their wishes.

5. This Liquidator is to pay the claims of the creditors *pro rata*. If the assets are sufficient to pay all the creditors, the left balance is to be distributed to the shareholders according to their rights.

6. In all the above matters, the Liquidator is subject to the control of the Court and must obtain directions from the Court whenever necessary.

7. The Liquidator must pay all moneys received by him into the public account of India in the Reserve Bank of India. He must submit the prescribed returns and reports to the Court. He must keep the prescribed books of account and they shall be audited at least twice a year.

8. The liquidators shall keep proper books for making entries or recording minutes of the proceedings at meetings.

9. The liquidator shall present to the court an account of his receipts and payments as liquidator.

10. The liquidator may call a meeting to determine whether a committee of inspection is to be appointed.

Comments : The Central Government is to keep watch over the conduct of the Liquidator and is to take suitable action if he does not carry out his duties faithfully. The Central Government may direct a local investigation of the books and vouchers of liquidators.

Statement of Affairs

After the liquidator has been appointed, a statement of the affairs of the Company is to be made to him in the prescribed form, verified by an affidavit, and containing particulars regarding the assets, debts and liabilities, names and addresses of the creditors etc. The statement shall be verified by a Director and the Manager, Secretary or other Chief Officer of the Company. The Statement of Affairs is required in both Compulsory and Voluntary Winding up.—Sections 454 and 511A.

The Statement of Affairs enables the liquidator to know the position of the Company. The Court may dispense with the submission of the Statement of Affairs.

Report by Official Liquidator

As soon as practicable after the receipt of the Statement of Affairs and within 6 months after the date of the winding up order (or within such extended time as the Court may allow) the Official Liquidator shall submit to the Court a preliminary report. The report shall contain a statement of the amount of the capital issued, subscribed and paid up, the estimated amount of assets and liabilities, causes of failure of the Company, and whether in the liquidator's opinion, fraud and punishable offences have been committed by directors and others, and further enquiry is necessary. The Liquidator may submit other report later on whenever necessary, particularly as regards evidence of fraudulent practices.—Sec. 455.

Powers of the Liquidator (Sec. 457)

(1) The liquidator in a winding up by the Court has power to do the following things *with the sanction of the Court*—

- (a) to institute or defend any suit, prosecution, or other legal proceeding, civil or criminal, in the name and on behalf of company ;
- (b) to carry on the business of the company so far as may be necessary for the beneficial winding up of the company ;
- (c) to sell the immovable and movable property and actionable claims of the company by public auction or private contract, with power to transfer the whole thereof to any person or body corporate or to sell to the same in parcels ;

- (d) to raise on the security of the assets of the company any money requisite ;
- (e) to do all such other things as may be necessary for winding up the affairs of the company and distributing its assets ;
- (f) to appoint any advocate, attorney or pleader entitled to appear before the court to assist him in his duties.

With the sanction of the Court, the Liquidator can pay any class of creditors in full, make any compromise or arrangement with creditors ; and compromise any call or liability.—Sec. 546.

The liquidator can disclaim any onerous property or unprofitable contract.

(2) The liquidator in a winding up by the Court has power to do the following things, *without taking special permission from the Court*—

- (a) to do all acts and to execute, in the name and on behalf of the company, all deeds, receipts and other documents, and for that purpose to use, when necessary, the company's seal ;
- (b) to inspect the records and returns of the company on the files of the Registrar without payment of any fee ;
- (c) to prove, rank and claim in the insolvency of any contributory, for any balance against his estate, and to receive dividends in the insolvency ;
- (d) to draw, accept, make and indorse any bill of exchange, hundi or promissory note in the name and on behalf of the company ;
- (e) to take out, in his official name, letters of administration to any deceased contributory, and to do in his official name any other act necessary for obtaining payment of any money due from a contributory or his estate which cannot be conveniently done in the name of the company ;
- (f) to appoint an agent to do any business which the liquidator is unable to do himself.

The Court can limit or modify the exercise of any of the powers of the liquidator enumerated under (2) above.

The liquidator can apply to the Court for directions on any matter.

The liquidator can summon meetings of creditors and contributories.

No Receiver can be appointed over assets in the hands of the Liquidator except by or with the leave of the Court.—Sec. 453.

The powers given to a liquidator by virtue of provisions of section 457 must not offend the general law of the land. *Jawantrai v. The State of Bombay*.¹

DISCLAIMER OF ONEROUS PROPERTY BY LIQUIDATOR

Where any part of the property of a company, which is being wound up, consists of (a) land burdened with onerous covenants (b) shares or stock in companies (c) any property which is unsalable or not readily saleable, or (d) unprofitable contracts, the Liquidator may, with the leave of the court, give up such property. This is known as Disclaimer of Onerous Property.—Sec. 535.

The Liquidator may disclaim a property even though he may have taken possession of the property or done something in relation to it.

The disclaimer must be made in writing signed by the Liquidator within twelve months after the commencement of the winding up or such extended time as may be allowed by the court. But where such property did not come to the knowledge of the Liquidator within one month of the commencement of the winding up, he may exercise his right of disclaimer at any time within twelve months after he has become aware thereof such extended period as may be allowed by the court.

Any person, interested in a property or a contract may apply to the Liquidator in writing, requiring him to decide whether he will or will not disclaim. If the Liquidator does not (within twenty-eight days of the receipt of the letter or such extended time as the court may allow) give notice to the applicant that he intends to apply to the court for leave to disclaim, he shall be deemed to have adopted it.

Before granting leave to disclaim the court may also impose conditions on the disclaimer.

Upon disclaimer, the rights, interest and liabilities of the company in that property come to an end. The court may direct delivery of the property to any person entitled thereto.

¹ AIR (1956) Supreme Court 575

Any person injured by the operation of a disclaimer shall be deemed to be a creditor of the company to the amount of the compensation or damages payable in respect of the injury. He may prove the amount as a debt in the winding up.

COMMITTEE OF INSPECTION

The Committee of Inspection is a Joint Committee of creditors and contributories, consisting of not more than 12 persons. The function of the Committee is to keep a general watch over the acts of the liquidator for the protection of the interests of the creditors and contributories. For this purpose the Committee has the right to inspect the accounts of the liquidator at all reasonable times.

The court may, at the time of making the winding up order, or at any time thereafter, direct that there shall be appointed a Committee of Inspection. Within two months from the date of such direction, the liquidator shall convene a meeting of the creditors for the purpose of determining who are to be members of the committee. He shall also call a meeting of the contributories, within 14 days after the creditors' meeting (or such further time as may be allowed by the court). The contributories are to consider the decision of the creditors as regards the membership of the committee. If the two groups agree, the committee shall be formed accordingly. Otherwise the Court shall decide how the Committee is to be constituted.

The Committee of Inspection may meet as often as it desires. The liquidator or any member of the Committee can call a meeting. One third of the number of members, or two, whichever is higher constitutes the quorum. A member may resign. He loses membership if he becomes an insolvent or compounds with his creditors or absents himself from five consecutive meetings. A member may be removed by resolution of the group (creditor or contributories) from whom he has been selected as member (Sections 464, 465).

CONTRIBUTORIES

Definition

The term "Contributory" means every person liable to contribute to the assets of a Company in the event of its being

wound up. When a limited liability Company is wound up only those shareholders who have not paid in full the amount on their shares are liable to contribute. But the Companies Act includes, within the term contributory, the holders of fully paid up shares.—Sec. 428

The reason is that in winding up proceedings it is necessary to prepare a complete list of all the members of a company so that the Court can determine, not only who shall contribute to the assets but also, who will get the surplus assets, if any.

The list of contributories is made up of two parts, A and B. The A list contains the names of persons who are members of the company on the date of the winding up. The B list contains the names of persons who were members within a period of one year previous to the date of winding up.

Rights and Liabilities

The Court settles the list of contributories. The rights and liabilities of different contributories are determined by the Court according to the rules laid down in the Act. Section 426 provides as follows :

- (a) A past member shall not be liable to contribute if he has ceased to be a member for one year or upwards before the commencement of the winding up ;
- (b) a past member shall not be liable to contribute in respect of any debt or liability of the company contracted after he ceased to be a member ;
- (c) no past member shall be liable to contribute unless it appears to the Court that the present members are unable to satisfy the contributions required to be made by them in pursuance of this Act ;
- (d) in the case of a company limited by shares, no contribution shall be required from any past or present member exceeding the amount, if any, unpaid on the shares in respect of which he is liable as such member ; and
- (e) in the case of a company limited by guarantee, no contribution is required from any past or present member exceeding the amount undertaken to be contributed by him to the assets of the company in the event of its being wound up.

The liability of a contributory creates a debt payable by him at the time specified in calls made on him.—Sec. 429.

Upon the death of a contributory, his legal representative becomes a contributory.—Sec. 430. In case of insolvency, the contribution due can be proved as a debt in the insolvency proceedings.—Sec. 431. If the contributory is a company which is being wound up, its liquidator represents it and the amount of contribution due can be proved as a debt in the liquidation proceedings of the contributory company.—Sec. 432.

Contributory's right of set-off, where a contributory has been called upon to pay any money due from him to the company, the right to set off is allowed in the following cases.

1. In the case of an unlimited company, the court may allow to the contributory by way of set-off any money due to him by the company on any independent dealing but not in respect of any money due to him as dividend or profit.

2. In the case of a limited company the court may provide the above allowance to any director or manager having unlimited liability.

3. In the case of any company limited or unlimited where all the creditors have been paid in full. In such a case any money due to a contributory may be permitted to be set-off against any subsequent call.

Obligations of directors and managers whose liability is unlimited (Sec. 427)

Where according to the Act and the rules of a company the liability of any director, or manager is unlimited, he shall in addition to his liability, if any, to contribute as an ordinary member, be liable to make a further contribution as if he were at the commencement of the winding up, a member of an unlimited company. But he shall not be liable to make such further contributions under the following circumstances.

- (a) If he has ceased to hold office for a year or upwards before the commencement of the winding up;
- (b) if the debt or liability for which contribution is required was contracted after he ceased to hold office; and,
- (c) unless, the Court deems it necessary to require the contribution.

VOLUNTARY WINDING UP

Voluntary winding up means winding up by the themselves without the intervention of the court.

Section 484 of the Act provides that a company can be wound up voluntarily under the following circumstances :

1. By an *Ordinary Resolution* of the members passed in a general meeting in the following cases—

(a) where the duration of the company was fixed by the articles and the period has expired ; and

(b) where the articles provided for winding up on the occurrence of any event and the specified event has occurred.

2. By a *Special Resolution* passed by the members in all other cases.

When a resolution is passed for voluntary winding up, it must be notified to the public by an advertisement in the Official Gazette and in a local newspaper.—Sec. 485.

A voluntary winding up is deemed to commence at the time when the resolution for the winding up is passed.—Sec. 486.

TYPES OF VOLUNTARY WINDING UP

There are two types of voluntary winding up. If the company is, at the time of winding up, a solvent company, *i.e.*, able to pay its debts and the directors make a declaration to that effect, it is called a Members' Voluntary Winding Up. If the company is not in a position to pay its debts and the directors make no declaration of solvency it is called a Creditors' Voluntary Winding Up.

The Declaration of Solvency (Sec. 488)

The Declaration of Solvency is to be made by all the directors (when there are only two directors) or by the majority of the directors (when there are more than two directors). The declaration must be to the effect that they have made a full enquiry into the affairs of the company and that they have formed the opinion that the company has no debts, or that it will be able to pay its debts in full within a specified period (not exceeding three years). The declaration must be verified by an affidavit and must be made at a meeting of the Board.

COMPANY LAW

The declaration must be made within the five weeks immediately preceding the date of the passing of the resolution for winding up and must be delivered to the Registrar for registration before that date. The declaration must be accompanied by a copy of the auditors' report on the profit and loss account, the balance sheet and a statement of the assets and liabilities of the company as at the latest practicable date before the making of the declaration.

Any director making a declaration of solvency without reasonable grounds, may be punished with imprisonment up to six months and/or fine up to Rs. 5,000. If the company is wound up in pursuance of a resolution passed within the period of five weeks after the making of the declaration but its debts are not paid or provided for in full within the specified period, it shall be presumed until the contrary is shown, that the director did not have reasonable grounds for his opinion.

DIFFERENCES BETWEEN MEMBERS' VOLUNTARY AND CREDITORS' VOLUNTARY WINDING UP

1. The former applies to solvent companies and a declaration of solvency is necessary. The latter applies to insolvent companies and no declaration of solvency can be made.

2. In the former, it is not necessary to have a creditors' meeting. In the latter there must be a creditors' meeting immediately following the members' meeting.

3. In the former, the liquidator is appointed by the members. In the latter both the members and the creditors may appoint a liquidator but if they nominate different persons, the creditors' nominee becomes the liquidator.

4. In the former, there is no Committee of Inspection. In the latter there may be one.

PROCEDURE OF A VOLUNTARY WINDING UP

The voluntary winding up of a company is done by following successive states.

In a Members' Voluntary Winding Up : (1) Declaration of Solvency. (2) Statutory Declaration to the Registrar. (3) A Resolution in a general meeting of the Company within 5 weeks of Declaration of Solvency. (4) Appointment of Liquidator.

(5) Collecting the company's assets, pay the liabilities of the company and pay the balance of the proceeds to the contributories.

In a Creditors' Voluntary Winding Up : (1) A Resolution for the winding up of the company in a general meeting of the Company. (2) On the same day or the following day there must be a meeting of the creditors. In the meeting of creditors the directors must state the position of the company and the list of creditors. (3) A liquidator or liquidators are appointed by the meeting of members and the meeting of the creditors. The nominees of the creditors are preferred. (4) A Committee of Inspection. (5) The work of winding up according to Statute.

Rules applicable to a Members' Voluntary Winding Up

1. The company in general meeting appoints one or more liquidators and fixes their remuneration. Vacancies in the office of liquidators are filled by the company in general meeting.

2. On the appointment of liquidators, the powers of the Board of directors, managing or whole time directors and managers, come to an end.

3. Notice of the appointment of the liquidator is to be given to the Registrar.

4. The liquidator must call a general meeting of the company at the end of every year and lay before it an account of his acts and dealings. If the liquidator finds that the company is actually insolvent he must immediately call a meeting of the creditors of the company.

5. As soon as the affairs of the company are fully wound up, the liquidator shall call a meeting of the company (by advertisement) and lay before it accounts showing how the winding up has been conducted. This meeting is called the Final Meeting of the Company.

6. Within one week after the final meeting, the liquidator shall send to the Registrar and the Official Liquidator a copy each of the account, and shall make a return to each of them. If the final meeting is not held for want of quorum, the return shall state so.

7. The Registrar, on receiving the accounts and the returns, shall register them.

8. The Official Liquidator, on receiving the accounts and returns, shall as soon as may be, make a scrutiny of the books

and papers of the company and upon such scrutiny, if he finds that the affairs of the company have *not* been conducted in a manner prejudicial to the interests of the members or to public interest, he shall report to the court to that effect. From the date of the submission of the report to the court the company shall be deemed to be dissolved.

9. If the Official Liquidator finds and reports that the affairs of the company have been conducted in a manner prejudicial to the interests of the members or the public interest, the Court shall direct the Official Liquidator to make a further investigation. After the result of the further investigation is reported to the Court, it can direct dissolution of the company or order such further steps as may be necessary under the circumstances.—Sec. 497.

Rules applicable to a Creditors' Voluntary Winding Up

1. The company shall call a meeting of the creditors to be held on the day or the day following the date on which the company will hold a general meeting of the members to pass the resolution for winding up. The notice of the creditors' meeting must be sent by post (simultaneously with the notice of the members' meeting) and must also be advertised in the Official Gazette and at least two local newspapers.

2. The Board of directors shall cause a full statement of the affairs of the Company and a list of creditors to be prepared and laid before the creditor's meeting. A Director is to be nominated to preside over the creditors' meeting. Copies of all resolutions passed in the creditors' meeting are to be sent to the Registrar.

3. The members and the creditors, in their respective meetings, can nominate a liquidator. In case the two groups nominate different persons as liquidator, the creditors' nominee shall be the liquidator. But the Court may, on an application made to it, appoint some other person (including the Official Liquidator) as the liquidator.

4. The creditors may, in a meeting, appoint a Committee of Inspection consisting of not more than five persons. The members of the Company may thereafter appoint not more than five members to the Committee from among themselves. If the creditors object to the persons nominated by the members, some

other persons must be appointed, unless the Court, on an application made to it, decides otherwise. The functions of the Committee are the same as those of a Committee of Inspection appointed in a Compulsory Winding up. (*See ante*)

5. The remuneration of the liquidator is to be fixed by the Committee of Inspection or if there is no such Committee, by the creditors. If they fix no remuneration, the Court is to do it.

6. On the appointment of a liquidator, the powers of the Board of directors come to an end except in so far as the Committee of Inspection or, if there is no such Committee, the creditors in a general meeting may sanction the continuation thereof.

7. In the event of the winding up continuing for more than one year, the liquidator shall call at the end of each year a meeting of members and a meeting of the creditors. The liquidator shall place before the meetings an account of his acts and dealings and of the conduct of the winding up during the preceding year.

8. When the affairs of the Company are fully wound up the liquidator shall call a final meeting of the members and creditors and place before them final accounts.

9. Within one week after the holding of the above meetings, the liquidator shall send a return of the meeting and a copy of the final accounts to the Registrar and the official liquidator. If no meeting is held, the return shall state so. Thereafter the procedure is the same as in Members' Voluntary Winding up. (See items, 5 to 9 'under provisions applicable to Members' Voluntary Winding Up.)—Sec. 509.

Rules applicable to both types of Voluntary Winding Up

1. A body corporate cannot be appointed as liquidator. The use of corrupt inducements for the appointment of a person as liquidator is a punishable offence. When a liquidator has been appointed he shall within 30 days, inform the Registrar and advertise the same in the Official Gazette. If no liquidator is acting the Court can appoint the Official Liquidator or any other person as liquidator. The Court can remove a liquidator on a cause shown.

2. The liquidator or any contributory or creditor can apply to the Court for direction on any matter arising out of the winding up proceedings.

3. The liquidator may apply to the Court for an order directing the public examination of any promoter, director or officer of the Company where there is reason to believe that fraud has been committed.

4. An arrangement entered into between the company and its creditors is binding if it is sanctioned by a special resolution of the company and agreed to by three-fourths of the number of creditors and by persons entitled to three-fourths of the claims.

5. The costs of winding up, including the remuneration of the liquidator, are payable out of the assets of the company in priority to all other claims.

6. **Powers of the liquidator :** The liquidator in a voluntary winding up has all the powers which a liquidator in a compulsory winding up has. The powers which the latter can exercise with the sanction of the Court, the former can exercise with the sanction of a special resolution of the Company in the case of a members' voluntary winding up and in the case of a creditors' voluntary winding up, with the sanction of the Court, of the Committee of Inspection, or (where there is no such Committee) of the creditors in a general meeting.

In addition to the aforesaid, the liquidator in a voluntary winding up has the following powers :

- (a) to settle the list of contributories and adjust the rights of contributories among themselves ;
- (b) to make calls upon contributories ;
- (c) to call general meetings of the company ; and
- (d) to enter into schemes of arrangement or compromise with creditors with the sanction of a special resolution of the company (or the Court or the Committee of Inspection) and accept shares and properties of another company as part of such schemes.

WINDING UP SUBJECT TO THE SUPERVISION OF COURT

Definition

At any time after a company has passed a resolution for voluntary winding up, the Court may make an order that the voluntary winding up shall continue but subject to the supervision of the Court.—Sec. 522.

A supervision order is usually made for the protection of the creditors and contributories of the company. In *Re Prince of Wales State Quarry Co.*¹, it was held that such an order may be passed if (a) the Liquidator under voluntary liquidation is partial or is negligent in collecting the assets (b) the rules relating to winding up are not being observed, or (c) the resolution for winding up was obtained by fraud.

Effects

A supervision order has the following effects :

1. It gives jurisdiction to the court over suits and legal proceedings against the company to the same extent as in a winding up directly by the court.—Sec. 523.

2. The court can appoint an additional liquidator or liquidators. The court can remove any liquidator and fill any vacancy caused by removal, death or resignation. The Official Liquidator may be appointed liquidator in such cases.—Sec. 524.

3. **Powers of the Liquidator :** The liquidator in a winding up under the supervision of the Court can exercise all the powers of a liquidator in voluntary winding up. But the Court can modify or limit the powers and can also give him additional power.—Secs. 525, 526(1).

4. After a supervision order is passed the court can exercise all powers which it might have exercised if an order had been made for winding up by the court.—Sec. 526(2). The powers of the court include the power to make calls and to stay suits and proceedings.

COMPULSORY WINDING UP PENDING VOLUNTARY WINDING UP

Where a company is being wound up voluntarily or subject to the supervision of court a petition for its compulsory winding up may be presented by any person entitled to apply for winding up or the Official Liquidator. Upon the making of such a petition, the Court may pass an order for compulsory winding up, if it is of opinion that such a course of action is necessary in the interest of the creditors or contributories.—Sec. 440. However, under Section 433 winding up is not mandatory even if any of

¹ (1868) 18 L.T 77

the aforesaid circumstances exist. The Court has discretion in the matter. The Court must see that the winding up is not opposed to public interest or interest of the company as a whole. Even if BIFR issues order for winding up, winding up is not mandatory. In *V. R. Ramaraj v. UOJ* (1997) 89 *Comp. Case* 609(SC), the Supreme Court held that even if BIFR issues order for winding up under SICA, High Court should not automatically order winding up. High Court should consider the BIFR order but must decide the issue on merits of the case. High Court cannot abdicate its own function of determining the question of winding up.

CONSEQUENCES OF WINDING UP

The consequences which follow from winding up proceedings can be classified under three heads (a) those which follow all types of winding up; (b) certain other consequences in a compulsory winding up; and (c) other consequences of a voluntary winding up.

I. Consequences which follow all types of Winding Up

1. The Board of Directors of the Company ceases to have any powers (except in certain special cases in a voluntary winding up).

2. The property and effects of the company come under the custody of the liquidator who has to realise the assets and distribute them according to the rules laid down in the Act.—Sec. 456.

3. Every invoice, order for goods or business letters issued on behalf of the company by the liquidator and others and in which the name of the company appears, shall contain a statement that the company is in liquidation.—Sec. 547.

4. **Fraudulent Preference** : All transactions of the company, made within six months previous to the commencement of the winding up, which amount to fraudulent preferences, are invalid.—Sec. 531.

Fraudulent preference means any transfer of money or property to a creditor which has the effect of giving him an undue preference as compared with other creditors. (See p. 463)

5. **Avoidance of Voluntary Transfer** : The term 'voluntary transfer' in this context means any transfer of property or delivery of goods by a company, not in the ordinary course of business

and not in favour of a purchaser or encumbrancer in good faith and for valuable consideration. All such transfers, made *within a period of one year* before the presentation of a petition for winding up (by or under the supervision of the Court) or the passing of a resolution for voluntary winding up, are void as against the liquidator.—Sec. 531A.

6. Any transfer or assignment by a company of all its properties to trustees for the benefit of all its creditors, becomes void upon the winding up order being passed.—Sec. 532.

7. A floating charge created within 12 months previous to the commencement of winding up is invalid except to the extent of the cash actually paid to the company plus interest at 5 per cent or such other rate as may be notified by the Government. This rule will not apply if it can be shown that the company was in a solvent position immediately after the creation of charge.—Sec. 534.

8. Persons guilty of offences antecedent to or in course of winding up are liable to prosecution and punishment. *Some examples*: failure to give information or statement to the liquidator regarding assets of the company; falsification of books; failure to keep proper accounts; frauds committed in course of formation or working of the Company.—Sec. 538.

9. *Delinquent directors etc.*: If in the course of the winding up of a company it appears that any person who has taken part in the promotion or formation of the company or any past or present director, managing agent, secretaries and treasurers, manager, liquidator or officer of the company,—

(a) has misapplied, or retained, or become liable or accountable for any money or property of the company; or

(b) has been guilty of any misfeasance or breach of trust in relation to the company;

the Court may, on the application of the liquidator, or of any creditor or contributory, examine the conduct of such person and compel him to repay or restore the money or property or make him pay compensation for the misapplication, retainer, misfeasance, or breach of trust.—Sec. 543(1).

An application under the above rule shall be made within five years from the date of the order for winding up or the date of the first appointment of the liquidator or of the misapplication, misfeasance etc., whichever is longer.—Sec. 543.(2).

Action under Section 543 may be taken notwithstanding that the liable matter is one for which the person is criminally liable.—Sec. 543(3).

II. Certain other consequences of Compulsory Winding Up

1. When a winding up order is passed the court has to send intimation thereof forthwith to the Official Liquidator and the Registrar.—Sec. 444.

2. A certified copy of the winding up order must be sent to the Registrar by the petitioner and the company within one month of the date of the order. Failure to do so is a punishable offence.—Sec. 445.

3. The winding up order operates as notice of discharge to the officers and employees of the company, except where the business of the company is continued according to the provisions of the Act.—Sec. 445(3).

4. After the winding up order is passed or the official liquidator is appointed as the provisional liquidator, no suit or proceeding can be commenced against the company, and pending suits and matters cannot be proceeded with, except by the leave of the winding up court and subject to such terms as the court may impose. The court which has passed the winding up order can entertain and dispose of suits and claims by or against the company and questions of priorities in winding up. It can also transfer to itself suits and proceedings pending in other courts except those pending in appeal before the Supreme Court or a High Court.—Sec. 446.

5. In the case of a winding up by the court, or under supervision of the court, the following transactions are void : any dispositions of property or actionable claims or transfer of shares or alteration in the status of a member made after the winding up order, unless the court otherwise declares ; and, any attachment, distress or execution and sale of the company's properties without the leave of the court.—Sections 536 (2), 537.

III. Additional consequences in a Voluntary Winding Up

1. The company shall, from the commencement of the winding up, cease to carry on its business except so far as may be required for the beneficial winding up of such business, But

the corporate state and corporate powers of the company shall continue until it is dissolved.—Sec. 487.

2. Any transfer of shares and alteration in the status of any member made without the leave of the liquidator, is void.—Sec. 536(1).

Thus the consequences of winding up may be summed up :

1. Consequences as to shareholders—A shareholder is liable to pay the full amount up to the face value of the shares held by him.

2. Consequences as to creditors—Where a solvent company is wound up, all claims of its creditors, when proved, are fully met. In the case of an insolvent company the same rules prevail as in the case of law of insolvency.

3. Consequences regarding preferential payments—Some unsecured debts are paid in preference to all other debts.—(Sec. 530).

4. Consequence as to servants and officers—An order of winding up is considered to be notice of discharge to the officers and employees of the company, except when the business of the company is carried on.

5. Consequences as to proceedings against the company—When an order of winding up is issued or an official liquidator is appointed, no suit against the company can be made except by the leave of the court.

6. Consequences as to costs—If the assets are inadequate to satisfy liabilities the court may order for payment for the costs, charges and expenses of the winding up out of assets.

MODE OF DISTRIBUTION OF ASSETS

Preferential Payments (Sec. 350)

The costs of the winding up proceedings are to be paid first out of the assets. Next in order of priority comes the following debts :

1. All revenues, taxes, cesses and rates due to the Central or a State Government or a local authority. The debts must be due at the *relevant date*, having become due and payable within the 12 months next before that date. "Relevant Date" means, in a compulsory winding up—date of appointment or first appointment of the provisional liquidator or (where no liquidator

was appointed) the date of the winding up order ; and, in other cases—date of resolution for voluntary winding up.

2. Wages and salary of any employee for a period not exceeding 4 moths within the 12 months before the relevant date, and, subject to certain limits, the compensation payable to any workman under the Industrial Disputes Act. For any one claimant priority shall not be given for any sum exceeding Rs. 1000, except where the claimant is an agricultural labourer.

3. All accrued holiday remuneration to an employee becoming payable on account of the termination of service by the winding up order.

4. The company's contribution as an employer under the Employees' State Insurance Act (or any other law for the time being in force) during the 12 months next before the relevant date, unless the winding up is for the purpose of reconstruction or amalgamation.

5. Payments due to a workman under the workmen's Compensation Act, for death or disablement.

6. All sums due to an employee from a provident fund, pension fund, gratuity fund or any other fund maintained for the welfare of the employees.

7. Expenses of enquiries and investigations, payable by companies.

The debts mentioned above rank equally among themselves and must be paid in full if there are sufficient assets. They have priority over the claims of debenture-holders under any floating charge, and over the claims of landlords and others in goods distrained by them within three months next before the winding up order. But if the assets are insufficient, the preferential payments shall abate proportionately.

Payment to Creditors

If any money remains after meeting the costs and the preferential payments, it is used to pay the creditors of the company. All debts payable by the company and claims, whether certain or contingent and whether present or future, can be proved in the winding up proceedings and payment claimed from the liquidator (Sec. 528). As regards proof of claims and the respective rights of secured and unsecured creditors the rules applied are those applicable to insolvency proceedings under the

Insolvency Acts. (Sec. 529). From this it follows that in case of insufficiency of assets the claims of the creditors are reduced *pro rata*. The creditors are paid at a time or by instalments as assets are realised. (See p. 474)

The effect of a winding up order is that except for certain preferential payments provided in the Act the property of the company is to be applied in satisfaction of its liabilities *pari passu*. The undertaking and the assets of the company pass under the control of the liquidator whose statutory duty is to realise them and to pay out of the sale proceeds to its creditors. *J. K. Private Ltd. v. New Kaiser-I-Hind Sp. & Wvg. Co.*¹

Payment to Contributories

If any money remains after paying the costs, the preferential payments and the creditors in full, it is paid to the contributories according to their rights. They may be paid at different times by instalments as assets are available for distribution. Such payments are also called dividends.

MISCELLANEOUS PROVISIONS

Dissolution of the Company

When the affairs of the company have been completely wound up (assets collected and distributed etc.) the court shall make an order that the company be dissolved. From the date of the order the company is dissolved. (The same order may be passed if the court is of opinion that the liquidation cannot proceed for want of funds or other reasons.)

Books and Papers of the Company (Sec. 550)

When the affairs of the company have been completely wound up, its books and papers shall be disposed of in the following way :

- (a) in a members' voluntary winding up—as the company by special resolution directs ;
- (b) in a creditor's voluntary winding up—as the Committee of Inspection or, in its absence, as the creditors direct ; and
- (c) in all other cases—as the court directs.

¹ AIR (1970) Supreme Court 1041

After the expiry of 5 years from the date of dissolution, no responsibility shall rest on the liquidator or any other person to produce the books, unless the Central Government otherwise directs.

Unclaimed Dividends and Undistributed Assets (Sec. 555)

If any money payable to a creditor or contributory remains unclaimed or undistributed for six months after the date on which it became payable, the Liquidator shall deposit it into the public account of the Government of India in the Reserve Bank of India. The same thing is to be done with other moneys lying in the hands of the Liquidator at the date of the dissolution of the company.

In the case of a voluntary winding up, with or without a supervision order, the Liquidator shall pay undistributed assets into the Company's Liquidator Account of the Reserve Bank of India.

Any person claiming any money lying in the above account may apply to the court or the Central Government for an order directing payment to him.

Moneys which remain unpaid in the Company's Liquidation Account for a period of 15 years shall be transferred to the General Revenue Accounts of the Central Government. But orders may be passed for payment to any person who can prove his claim for any sum originally lying in the Company's Liquidation Account.

Declaring dissolution to be void

The Court may, at any time within two years of the date of dissolution of a company, declare the dissolution to be void. Such orders may be passed on the application of the liquidator or any other person interested. After the order such proceedings may be taken as might have been taken if the company had not been dissolved.—Sec. 559.

Defunct Companies

A defunct company means a company which is not carrying on business or is not in operation. Section 560 provides as follows :

When the Registrar has reasonable cause to believe that a company is a defunct company, he shall send a letter to the

company asking whether it is so. If no reply is received within one month, the Registrar shall within another fourteen days, send a registered letter referring to the first letter. If no answer is received to the second letter within one month a notice is to be published in the Official Gazette and a letter is to be sent to the company informing it that its name shall be struck off the Register within three months, unless cause is shown to the contrary. If no such cause is shown within three months, the Registrar shall strike off the name of the company from the Register.

A similar procedure is to be followed when in the case of a company in liquidation, the Registrar believes that there is no liquidator or that the liquidator is not acting.

The court may restore the name of the company to the Register if sufficient cause is shown.

Winding Up of Unregistered Company

For the purposes of winding up, the expression, "unregistered Company"—(a) shall not include—(i) a railway company incorporated by any Act or Parliament of the United Kingdom ; (ii) a company registered under this Act ; or (iii) a company registered under any previous companies law and not being a company the registered office whereof was in Burma, Aden or Pakistan immediately before the separation of that country from India and

(b) save as aforesaid, shall include any partnership, association or company consisting of more than seven members at the time when the petition for winding up the partnership, association or company, as the case may be, is presented before the Court.—Sec. 582.

An unregistered company can be wound up under the Companies Act. The procedure applicable is, with certain minor exceptions, the same as in the case of a compulsory winding up. Such companies cannot be wound up voluntarily or under the supervision of the court. If a foreign company carrying on business in India, ceases to do so, it can be wound up according to the procedure applicable to unregistered companies.

EXERCISES

1. What are the modes of winding up? Discuss the circumstances in which a company may be wound up by court.
(Pages 761-763)
2. Under what circumstances will a Court order winding up of a company? What are the consequences of such an order?
(Pages 761-763, 765-766)
3. When is a company deemed unable to pay its debts?
(Page 764)
4. On what grounds could a creditor present a petition for the winding up of a company by the Court?
(Pages 765-766)
5. What is the distinction between voluntary liquidation and compulsory liquidation? What are the powers of the liquidator regarding payment of dividends to (a) creditors, and (b) contributories?
(Pages 761, 787-788)
6. What are the powers of the Court in the winding up proceedings of a company?
(Pages 765-767)
7. When is it necessary to state a 'declaration of solvency'? What conditions must be fulfilled for its validity?
(Pages 775-776)
8. Discuss fully the powers of an Official Liquidator in a case of :
(a) Compulsory liquidation: or (b) Voluntary liquidation.
(Pages 769-770)
9. Who is an Official Liquidator? How is he appointed? What are the duties and powers of the Liquidator?
(Pages 767, 767, 768-770)
10. Define the term "Contributory" in the context of the Companies Act? What are the rights and liabilities of the contributories?
(Pages 772-774)
11. State the procedure of Members' Voluntary winding up of a company.
(Pages 776-777)
12. What are the consequences of winding up?
(Pages 781-783)
13. What is the method of distribution of assets of a company under winding up? What payments are preferred under winding up?
(Pages 785-787)
14. Write explanatory notes : The just and equitable clause; The Substratum of the company; Public examination; Disclaimer of onerous property by liquidator; Committee of inspection; Fraudulent preference; Delinquent director; Dissolution of the company; Unclaimed dividends and undistributed assets; Defunct companies.
(Pages 762; 763; 767; 771; 772; 782; 783; 787; 788; 788)

BOOK XII
MONOPOLISTIC AND
RESTRICTIVE TRADE
PRACTICES ACT

CHAPTER 1 MRTP Act

792 – 803

Background of the MRTP Act 792 ; MRTP Commission 794 ;
Concentration of Economic Power 796 ; Monopolies and
Restrictive Trade Practices 801.

1. BACKGROUND OF THE MR TP ACT

The planning process and the weak licensing system gently helped the growth of economic giants in India. In due course they have come to command over the scarce resources and to control over the means of production. Consequently, they have adapted discriminately and restricted trade practices. Any welfare state cannot be rest contended with this trend of economic affairs. It, therefore, called for such legislation which would check concentration of economic power in the common interest. The idea of such legislation has been implicit in Article 39 of the Indian Constitution, under the Directive Principles of the State Policy. It enunciates that the ownership of and control of the material resources of the community are so distributed as best to subserve the common good. Moreover, the state must ensure that the operation of the economic system does not result in the concentration of wealth and the means of production to the common detriment. This spirit has been reiterated by the Industrial Policy Resolution, 1956 which seeks to reduce disparities in income and wealth, to prevent private monopolies and the concentration of economic power in the hands of a small number of individuals. It was also observed that since 1960 the operation of the economic policy over the years led to concentration of economic power in a group of large industrial houses. The Mahalanobis Committee on distribution of Income and Levels of Living appointed by the Planning Commission in 1960 warned against this trend of economic development. In its report the Committee observed that concentration of economic power in the private sector is more than what could be justified as necessary on functional grounds and it exists both in generalized and specific firms. The Hazari Committee appointed earlier on industrial licensing procedure observed that the existing licensing system has led to the disproportionate growth of industries in India.

In pursuance of all these a five-member Monopolies inquiry Committee under Justice Sengupta of the Supreme Court of India

was appointed in April, 1964 to study the extent and effect of concentration of economic power in private hands and the prevalence of monopolies and restrictive practices adapted by them and the factors responsible for such concentration and the factors leading to monopolistic and restrictive practices and their social and economic consequences and thereby suggest measures to protect the public interest.

Among the various measures, the commission recommended a new legislation—the Monopolistic and Restrictive Trade Practices Act. It also recommended a case for setting up of a permanent independent commission to look into monopolistic and restrictive trade practices, and mergers and expansion of dominant undertakings. The report of the commission was accepted by the government. The Government of India through a resolution adapted on 5th September, 1966 proposed for the establishment of a permanent statutory MRTP Commission with mandatory judicial powers in respect of restrictive trade practices and with advisory powers in respect of matters relating to concentration of economic power. Consequently, the Monopolistic and Restrictive Trade Practices Act, 1969 was passed and the Act came into force on June 1, 1970.

During the process of the implementation of the Act several difficulties cropped up. To remove these defects a high power committee headed by Justice K. S. Hedge of the Supreme Court of India and subsequently by Justice Rajinder Sachar of Delhi High Court was set up to study :

1. What improvements were required to be made in the prevailing administrative structure and procedures regarding the enforcement of the provisions of the MRTP Act?

2. What changes were required to be made in the MRTP Act in the light of the experience gained in the administration and operation of the Act?

3. Any other matters incidental or ancillary to the administration of the Act, having regard to the growth and development of trade, commerce and industry.

These recommendations have resulted in a series of amendments to the MRTP Act in 1982, 1984, 1988 and finally, under the New Economic Policy in 1991.

Objects

The objects behind the MRTP Act are—

- (1) To control concentration of economic power which in detrimental to common interest.
- (2) To control monopolistic trade practices.
- (3) To control certain restrictive trade practices.

Scope of the Act

The Act extends to the whole of India except the state of Jammu and Kashmir. The provisions of the Act are applicable in addition to any other law for the time being in force. The Act is not, however, applicable to companies which are incorporated under the laws of England and do not carry on any kind of activity or business in India or even elsewhere. As a matter of government policy, the government-owned or government-controlled undertakings are exempted from the purview of the MRTP Act as in Section 3.

It has been the declared policy that the activities of the public sector shall grow in size and assume significant control in their spheres.

Administration of the Act

The MRTP Act provides for a dual machinery for the implementation of its provisions—the Central Government on the one hand and the MRTP Commission on the other. It is for the Central Government to ensure that the operation of the economic system does not result in the concentration of economic power to the common detriment and to control the monopolistic undertakings and monopolistic practices. The rule of the Commission in these areas is only of advisory nature. But the Commission has independent power to enquire into restrictive trade practices.

2. MONOPOLIES AND RESTRICTIVE TRADE PRACTICES COMMISSION

The follow up action on the Report of the Monopolies Enquiry Commission culminated in the passage of the Monopolies and Restrictive Trade Practices Act in 1969. Under this Act, a permanent statutory Commission, known as Monopolies and Restrictive Trade Practices Commission, has been set up to investigate, case by case, the effects of such practices on the public interest and recommend suitable corrective measures.

The MRTTP Commission consists of a Chairman and not less than two and more than eight members to be appointed by the Central Government. The Chairman must be a person who is or has been or is qualified to be a judge of the Supreme Court or of the High Court. The other members of the Commission must be persons of ability, integrity and standing in dealing with problems related to economics, law, commerce, accountancy, industry, public affairs or administration. Members are appointed for a period of 5 years subject to extension up to 10 years or the attainment of 65 years, whichever is earlier.

The Central Government may remove from office any member, (i) who has been adjudged an insolvent or (ii) has been convicted of an offence involving moral turpitude or (iii) has been physically or mentally incapable of acting as member or (iv) has acquired such financial or other interests affecting prejudicially his functions or (v) has so abused his position as to render his continuance in office prejudicial to the public interest. No member, however, can be removed on the last two grounds mentioned above unless the Supreme Court so opined.

Powers of the Commission

The Commission can make, by notification regulations for the effective performance of its various functions. The powers of the Commission may be exercised by Benches formed by the Chairman from among the members of the Commission. The Commission is empowered to regulate (a) the procedure and conduct of its business, (b) procedure of the Benches of the Commission, and (c) the delegation to one or more members of such powers and functions as the Commission may specify.

The Commission has powers to regulate the procedure and conduct of its business regarding inquiry. The Commission is vested, with certain powers of a Civil Court for enforcing production of documents, attendance of witnesses for examination.

The Commission is vested with certain original powers in respect of restrictive and unfair trade practices. The MRTTP Act also provides for a reference by the Central Government to the Commission and report in regard to cases of substantial expansion of undertakings, setting up of new undertakings, mergers, amalgamation or takeover and division of undertakings. Similar

power of enquiry and report is also vested with Commission in relation to a reference regarding monopolistic trade practices. However, the Commission is vested with full regulatory power in regard to restrictive trade practices and unfair trade practices. It has also the power to cause investigation to find out whether or not orders made by it have been complied with.

The Committee has also the power to impose temporary injunctions. Besides, where as a result of the monopolistic or restrictive trade practices, carried on by any undertaking or any person, any loss or damage is caused to the Central Government or any State Government or any trader or class of traders or any consumer, such government or, as the case may be trade or class of traders or consumer may, without prejudice to the right of such government, traders or class of traders or consumer, to institute a suit for the recovery of any compensation for the loss or damage so caused, make an application to the Commission for an order for the recovery from that undertaking or owner thereof or as the case may be, from such person, of such amount as the Commission may determine as compensation for the loss or damage so caused.

The Commission, however, suffers from some inherent defects. First, there has been a general reluctance and delay in referring matters to the MRTP Commission. It cannot be denied that the Commission is an autonomous body. But it cannot by itself come to know the nature of certain monopolistic and restrictive trade practices and start the process of enquiries into various monopolistic or restrictive practices. Secondly, the Commission has not been empowered with mandatory power in dealing with specific cases and take necessary action thereby. Thirdly, although there is provision for appointing up to 9 members, the government had appointed, over the years, a limited number of members only. Naturally, in such a big country like India, without increasing the number of members and creating several benches of the Commission it is difficult to enquire into the prevalence of various restrictive and unfair practices in different industries in different parts of the country.

3. CONCENTRATION OF ECONOMIC POWER

The monopolistic and restrictive practices are the two likely instruments with the help of which economic power gets

concentrated. The MRTP Commission has highlighted the existence of two kinds of concentration of economic powers in the industrial field. The first is known as productive concentration. The second type of concentration is known as country-wise concentration. The first one occurs when in respect of production and distribution of any particular commodity or service, the controlling power whether by reason of ownership of capital or otherwise, is in a single concern or comparatively a limited number of concerns themselves are controlled by one family or a few families or business houses. Where the concern is engaged in the manufacture of one product, it may be called industry-wise concentration. The country-wise concentration occurs where a large number of concerns engaged in the production or distribution of different commodities are in the controlling hands of one individual or family or group of persons connected closely by financial or other business interests.

It cannot be denied that the concentration of economic power leads to higher industrial development and development of skill, quality and managerial technique. But at the same time it has the risk of emergence of monopoly with attendant evils like high prices, deterioration of quality and extinction of small industrialists. The intention of the MRTP Act is not to prevent concentration of economic power. The aim is just to control and prevent concentration of economic power wherever it becomes prejudicial to common good and public interest. The exact connotation of 'concentration of economic power' has not been defined in the Act. The Act has only adopted the criterion of *size* in terms of assets and any increase in size beyond the prescribed level will result in concentration of economic power. Business may be carried on either individually or together with *inter-connected undertakings*. Any increase in the *size of the undertaking* or control by *the undertaking* of assets beyond the prescribed limit is subject to scrutiny and is permitted only when it satisfies the test of public interest.

Undertakings

Under the Act, undertaking means an enterprise which is, or has been or is proposed to be engaged in the production, storage, supply, distribution, acquisition or control of articles or goods or the provision of services of any kind, either directly

or through one or more of its units or divisions, whether such unit or division is located at the same place where the undertaking is located or at different places. The definition calls for three essentials—

- (1) there must be an undertaking,
- (2) the undertaking must be engaged in business activity, and
- (3) the activity may relate to production, supply, distribution or control of goods or provision of service of any kind.

Dominant Undertaking

An undertaking becomes a dominant undertaking when it fulfils any one of the following four situations.

(i) An undertaking which has all the following three features : (a) it is an undertaking within the purview of the Industries Act, (b) it has a licensed capacity for the production of goods of any description, and (c) its licensed capacity for the production of such goods or the aggregate of its licensed capacity and of the licensed capacity of inter-connected undertakings for the production of such goods is not less than one-fourth of the total installed capacity in India for the production of such goods, as—

(ii) An undertaking which has all the three functions : (a) it is an undertaking within the purview of the industries Act, (b) it by itself or along with inter connected undertakings produces, supplies, distributes or otherwise controls not less than one-fourth of the total goods of any description that are produced, supplied or distributed in India or any substantial part thereof, and (c) it has no licensed capacity for the production of such goods, or

(iii) An undertaking which has both the following features :

(a) it is not an undertaking within the purview of the Industries Act, and (b) it, by itself or along with inter-connected undertakings produces supplies, distributes or otherwise Controls not less than one-fourth of the total goods of any description that are produced, supplied or distributed in India or any substantial part thereof, or

(iv) An undertaking which produces or otherwise controls not less than one-fourth of any services that are rendered in India or any substantial part thereof.

For the clauses (ii) and (iii) the goods produced by an undertaking, which employs (a) less than fifty workers on any

day of the relevant period and in any part of which a manufacturing process is being carried on with the aid of power, or (b) less than one hundred workers on any day of the relevant period and in any part of which a manufacturing process is being carried on without the aid of power, shall not be taken into account.

In determining the question as to whether an undertaking is or is not a dominant undertaking in relation to any goods supplied, distributed or controlled in India, regard shall be had to the average annual quantity of such goods supplied, distributed or controlled in India by the undertaking during the relevant period. Moreover, domination of an undertaking is determined with reference to the licensed capacity or market share of the undertaking.

Inter-connected Undertakings

'Inter-connected Undertakings' means two or more undertakings which are inter-connected with each other. Inter-connection between undertakings is determined by the MRTP Act on the basis of ownership, control or management. Unless any of these tests is satisfied by legal evidence, inter-connection cannot be established. Undertaking may be owned by a single individual group of persons or firms or bodies corporate. Although ownership is, synonymous with control, control may be exercised independently of ownership. The promoter of a company used not necessarily control or manage its affairs or own the majority or even a substantial quantity of shares.

Control

Control as contemplated by the MRTP Act is not defined in the Act itself. Leaving aside the case of complete or majority ownership of the share capital, control can be exercised in two broad ways, (1) by possessing an effective block of equity holding with which it is possible, having regard to the dispersion of the remaining shares, among a larger number, to get resolution passed at the shareholders' meetings by a combination of the available voting strength and control of the proxy gathering machinery (2) by management control.

Management

Two undertakings are inter-connected if one manager controls the other or if one or more individuals together with their relatives or partners own or manage both the undertakings. Two undertakings are inter-connected if they are owned by bodies corporate and are under the same management or where one undertaking is owned by a body corporate and another by a firm in which partners are bodies corporate and they are under the same management.

Chapter III of the MRTP Act seeks to regulate primarily substantial expansion, establishment of new undertakings and amalgamation, merger or take over of undertakings. The provisions of the chapter are applicable only to those undertaking, which either by themselves or together with inter-connected undertakings hold assets of the value of not less than Rupees 100 crores and to the dominant undertakings which either by themselves or together with their inter-connected undertakings hold assets of the value of not less than one crore of rupees. The scheme of this chapter envisages prior approval to be obtained by the registerable undertakings from the Central Government before embarking on substantial expansion, establishment of new undertakings. Where the Central Government feels it expedient, the proposal may be referred to the MRTP Commission, for an enquiry and after the receipt of the report from the Commission, the Central Government may pass such orders as it may think fit.

During any approval of the proposal under Section 21 (expansion of an undertaking), Section 22 (establishment of new undertaking) and Section 23 (merger, amalgamation or take over) the guidelines to be followed by the Central Government are found in Section 28. Matters to be considered by the Central Government before providing approval are as follows :

- (a) to achieve the production, supply and distribution, by most efficient and economic means, of goods of such types and qualities, in such volume and at such prices as will best meet the requirements of the defense of India and home and overseas markets ;
- (b) to have the trade organized in such a way that its efficiency is progressively increased ;
- (c) to ensure the best use and distribution of men, materials and industrial capacity in India ;

- (d) to effect technical and technological improvements in trade and expansion of existing markets and the opening up of new markets ;
- (e) to encourage new enterprises as a countervailing force to the concentration of economic power to the common detriment ;
- (f) to regulate the control of the material resources of the community to subserve the common good ; and
- (g) to reduce disparities in development between different regions and more especially in relation to areas which have remained markedly backward.

4. MONOPOLIES AND RESTRICTIVE TRADE PRACTICES

The monopoly concerns require the surveillance and control of their activities in accordance with socially desirable priorities and towards this and the MRTP Act aims at restraining monopolistic trade practices which are detrimental to public interest. Under the Act, where it appears to the Central Government that the owners of one undertaking are including in any practice which is, or may be, a monopolistic trade practice and as a result the trade practice operates or is likely to operate against the public interest, the Central Government may, pass such orders as it may think fit to remedy or prevent any mischiefs which result or may result from such trade practice.

The Monopolies and Restrictive Trade practices Act has drawn a distinction between monopolistic and restrictive trade practices. Accordingly, monopolistic trade practices can better be described as dominant firm practices. They refer to the behaviour of an individual firm or an oligopolistic group of not more than three firms which have attained such a dominant position in the industry that " they are able to control the market by regulating prices or output or eliminating competition".

Restrictive trade practices refer to concerted action undertaken by a group of two or more firms to avoid competition regardless of whether the market share of the member firm is or is not dominant.

Producers and distributors may report to restrictive trade practices which have the effect of preventing, distorting or

restricting competition in some manner. These practices are "deemed to be prejudicial to public interest".

If they raise costs to other unreasonably, or the prices and/or profits unreasonably, or if they restrict competition or if they had to lowering of quality, that may to against public interest. Wherever such trade practices are adopted, the same may be referred to the MRTP Commission whose decision on the matter is binding on all parties concerned.

More precisely, when the Commission has received a complaint of facts, which constitutes an unfair trade practices, from any trader or consumers' association having a membership of not less than twenty-five persons or more consumers, the commission must order an investigation to be made by the Director General to satisfy itself as to whether the complaint requires to be enquired into. Then the Commission may enquire into any unfair trade practice on the basis of the report of the Director General. If after such inquiry, the Commission is of the opinion that the practice is prejudicial to public interest or to the interest of any consumer it may direct by order that—

- (a) the practice must be discontinued or shall not be repeated, and
- (b) any agreement relating to such unfair trade practices shall be void or shall stand modified in respect thereof in such manner as may be specified in the order.

Thus the Commission can make a 'Cease and desist' order in relation to the unfair trade practices as void or order a modification to the agreement mollifying the terms or clauses constituting, in the agreement, the unfair trade practices.

AMENDMENT TO THE COMPANIES ACT, 1956

In the Companies Act, 1956 some new Sections—108-A to 108-I have been inserted—

108A (i) It imposes restriction on acquisition of certain shares. It provides that without prior approval of the Central Government, no firm, group, body corporate or bodies corporate under the same management shall jointly or severally acquire any equity shares in a public company or a private company which is a subsidiary of a public company, if the total nominal value of the equity shares to be so acquired exceed twenty-five per cent of the paid-up equity share capital of such company.

Article 108B imposes certain restriction on transfer of shares.

Article 108C imposes restriction on the transfer of shares of foreign companies.

Article 108D specifies that if the Central Government is satisfied that any transfer of shares of a company leads to a change in the controlling interest of the company and such changes would be prejudicial to the interest of the company or to the public interest, the Central Government may direct the companies not to give effect to the transfer.

Article 108E declares that the Central Government must within a period of sixty days from the date of receipt of such request, communicate to the person by whom the request was made that the approval prayed for cannot be granted.

Article 108F provides that nothing in Sections 108A to 108D shall apply to government companies.

Article 108-I specifies penalty for acquisition or transfer of share in contravention of Sections 108A to 108D. Any person who acquires anywhere in contravention of such sections shall be punishable with imprisonment for a term which may extend to 3 years or with fine which may extend to 5000 rupees or with both.

Every body-corporate which acquires any share in contravention of such section shall be punishable with fine which may extend to 5000 rupees.

The Amendment Act inserts a new Schedule XV.

EXERCISES

1. Discuss the Monopolistic and Restrictive Trade Practices. (Page 801)
2. What are the objects behind the MRTP Act ? (Page 793)
3. Discuss about the formation of MRTP Commission. (Page 794)
4. State the powers of the MRTP Commission. (Page 795)
5. Discuss about the Concentration of Economic Power. (Page 796)
6. Write short notes :
 (a) Administration MRTP Act ; (b) Dominant Undertaking ;
 (c) Management ; (d) Inter-Connected Undertaking ; (e) Under-
 takings. [(a) 794 ; (b) 798 ; (c) 799 ; (d) 799 ; (e) 797]

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INTRODUCTION

OBJECTIVE AND SCOPE

Definition

The term Industrial Law is used to denote laws passed for the purpose of regulating the conditions under which work is carried on in factories and other establishments and the relationship between employers and employees.

Objective

Industrial legislation has a two-fold objective : (i) the preservation of the health, safety and welfare of workers, and (ii) the maintenance of good relations between employers and employees. All laws dealing with these matters come within the scope of Industrial Law.

Labour Laws, Violation of : Labour laws are enacted for improving the conditions of workers and the employers cannot be allowed to buy off immunity against violation of labour laws by paying a paltry fine which they would not mind paying, because by violating the labour laws they would be making profit which would far exceed the amount of fine.

They would remain merely paper tigers without any teeth or claws. Violations of labour laws must be viewed with strictness and whenever any violations of labour laws are established the errant employers should be punished by imposing adequate punishment. *People's Union for Democratic Rights and others v. Union of India and others.*¹

THE NEED FOR INDUSTRIAL LEGISLATION

Industrial legislation is necessary for following reasons.

1. Workers in factories, mines etc. are exposed to certain risks. For example, a worker may be injured by moving parts of machines if protective measures are not adopted. Therefore, laws are necessary for the health, safety and welfare of workers. It has been found that employers do not make adequate provisions for these things unless compelled to do so by law.

¹ AIR (1982) Supreme Court 1473

2. Legislation for the protection of labour is needed because the individual worker is economically weak. If the relationship between employers and employees is left to contract, the employers are able to impose harsh and oppressive terms (e.g., long hours and low wages).

3. Legislation is necessary to encourage and facilitate the formation of workers' associations or Trade Unions. Such associations increase the bargaining power of workers and provide the channel through which the grievances of labour can be made known.

4. Legislation is necessary for dealing with industrial disputes which arise between employers and employees. Industrial disputes lead to strikes and lock-outs which are damaging not only to the parties involved but also to the economy of the country. Laws are needed for securing the quick settlement of the industrial disputes.

5. An important branch of industrial legislation is Social Insurance. Owing to their low level of earnings, workers find themselves in great difficulty when faced with sickness, accident, unemployment and old age. Government action is needed for providing some measure of security against these risks.

A CLASSIFICATION OF INDIAN INDUSTRIAL LAW

Indian Industrial Law can be classified under the following headings :

1. Laws regulating conditions of work in factories and establishments. There are two types of such laws :

(a) General laws applicable to all establishments not otherwise provided for.

Examples :

The Factories Act of 1948 and the Industrial Standing Orders Act of 1946.

(b) Specific laws applicable to particular industries.

Examples :

The Indian Mines Act of 1952, the Plantations Labour Act of 1951, the Dock Workers [Regulation of Employment] Act of 1948 etc.

2. Laws relating to industrial disputes, e.g., the Trade Union Act of 1926.

3. Laws relating to associations of workers, *e.g.*, the Industrial Disputes Act of 1947.

4. Law relating to wages and emoluments, *e.g.*, the Payment of Wages Act of 1936, the Minimum Wages Act of 1948, the Provident Funds Act of 1952, Payment of Bonus Act, 1965, etc.

5. Laws relating to Social Insurance, *i.e.*, laws which provide security against risks like accident, maternity etc.

Examples :

The Workmen's Compensation Act of 1923, the Maternity Benefit Acts of the different States, the Employees' State Insurance Act of 1948.

STATE LEGISLATION ON LABOUR

The States of India possess power to pass laws relating to labour. A large number of such Acts have been passed, *e.g.*, Maternity Benefit Acts. They have been passed in all States. Laws have been passed in Maharashtra and Gujarat regarding industrial disputes. There may be local amendments to Central Acts. For example, the Payment of Wages Act has been modified in certain respects by several States. Many States have passed laws for the regulation of work in shops and commercial establishments.

OBJECT

The object of the Factories Act is to regulate the conditions of work in manufacturing establishments coming within the definition of the term "factory" as used in the Act.

The first Act, in India relating to the subject was passed in 1881. This was followed by new Acts in 1891, 1911, 1922, 1934 and 1948. The Act of 1948 is more comprehensive than the previous Acts. It contains detailed provisions regarding the health, safety and welfare of workers inside factories, the hours of work, the minimum age of workers, leave with pay etc. The Act has been amended several times.

The Act of 1948 is based on the provisions of the Factories Act of Great Britain passed in 1937.

The Act was amended extensively in 1976 and 1987. The provisions of the Amendment have been quoted and summarised at the appropriate places in this chapter.

APPLICATION OF THE ACT

The Factories Act of 1948 came into force on 1st April 1949. It applies to factories, as defined in the Act, all over India, including the State of Jammu and Kashmir.¹

Unless otherwise provided, the Factories Act applies to factories belonging to the Central or any State Government.—Sec. 116.

DEFINITIONS UNDER THE FACTORIES ACT**Factory**

The term Factory is defined in Section 2(m) of the Act as follows : "Factory means any premises including the precincts thereof—

- (i) whereon ten or more workers are working, or were working on any day of the preceding twelve months, and in any

¹ The Factories Act and certain other similar Acts were extended to this State by the Central Labour Laws (Extension to Jammu and Kashmir) Act, 1970 (No. 51 of 1970).

- part of which a manufacturing process is being carried on with the aid of power or is ordinarily so carried on, or
- (ii) whereon twenty or more workers are working, or were working on any day of the preceding twelve months, and in any part of which a manufacturing process is being carried on without the aid of power, or is ordinarily so carried on,—

but does not include a mine subject to the operation of the Indian Mines Act, 1952 (Act XXXV of 1952), or a mobile unit belonging to the armed forces of the Union, a railway running shed or a hotel, restaurant or eating place.

Explanation : For computing the number of workers for the purposes of this clause all the workers in different groups and relays in a day shall be taken into account.

[Clause 2(m) as amended in 1976.]

Further, for the purposes of Sec. 2(m), the mere fact that an Electronic Data Processing Unit or a Computer Unit is installed in any premises or part thereof, shall not be construed to make it a factory if no manufacturing process is being carried on in such premises or part thereof. [Expl. 2 to Sr. 2(m) as introduced by the Amendment Act of 1987.]

Under Section 85, the State Government is empowered to declare any establishment carrying on a manufacturing process to be a factory for the purposes of the Act even though it employs less than the prescribed minimum number of workers, provided that the manufacturing process is not being carried on by the owner only with the aid of his family.

Summary

From Sec. 2(m) of the Act it follows that an establishment comes within the definition of a Factory if the conditions stated below are satisfied :

1. It is a place where a "manufacturing process" is carried on.
2. It employs the prescribed minimum number of "workers" viz, ten if "power" is used, and twenty if no "power" is used. It is sufficient if the prescribed number of workers were employed on any day of the preceding twelve months.

3. It is not a mine coming within the purview of the Indian Mines Act of 1952, a railway running shed, mobile unit belonging to the armed forces of the Union, a hotel, restaurant or eating place.

Case Law

1. *Premises* : "The word 'premises' has now come to refer to either land or buildings or to both, depending on the context." "The word premises is a generic term meaning open land or land with buildings or buildings alone." *Ardeshir H Bhiwandiwala v. State of Bombay*.¹
2. *Precincts* : The words "premises including precincts" have been used in a wide sense. The term 'precincts' means a space enclosed by the walls or fences of the factory. Under English law it has been held that the walls and the fences built around the factory fixes the boundaries of the premises. *Back v. Dock Kerr Co. Ltd.*²

Manufacturing Process

This term is defined in Section 2(k) in a very wide sense. It includes :

- (i) making, altering, ornamenting, finishing, packing, oiling, washing, cleaning, breaking up, demolishing, or otherwise treating or adopting any article or substance with a view to its use, sale transport, delivery or disposal ; or
- (ii) pumping oil, water, sewage or any other substance ; or
- (iii) generating, transforming or transmitting power ; or
- (iv) composing types for printing, printing by letter press, lithography, photogravure or other similar processes or book binding ; or
- (v) constructing reconstructing, repairing, refitting, finishing or breaking up ships or vessels ; or
- (vi) preserving or storing any article in cold storage.

[Clause 2(k) as amended in 1976]

For the corresponding section of the English Act, it was held that the different processes enumerated in the clauses are merely illustrative so that laundries, carpet beating, or bottle washing works come within the Act, if mechanical power is used. *Patterson v. Hunt*.³

The following undertakings have been held to be manufacturing processes *vide*—making ; conversion of raw-films into finished products ; the preparation of eatables in the kitchen of a restaurant ; use of a refrigerator for adapting any article with a view to its sale.

The scraping out of salt and grading them, even though done by manual labour, is a manufacturing process.

¹ AIR (1962) Supreme Court 29

² (1960) A.C. 325

³ (1909) 73 J. P. 496

The work of composition in printing business, the use of electric motor for the purpose of lifting or pumping water, process of moistening, stripping and packing of tobacco leaves, activities of a petrol pump come within the purview of manufacturing process.

Worker

“Worker means a person employed, directly or by or through any agency (including a contractor) with or without the knowledge of the Principal employer, whether for remuneration or not in any manufacturing process, or in cleaning any part of the machinery or premises used for a manufacturing process, or in any other kind of work incidental to, or connected with, the manufacturing process, or the subject of the manufacturing process but does not include any member of the armed forces of the Union.”—Sec. 2(1), as amended in 1976.

Explanation : Worker means any person engaged in any work connected with or incidental to a manufacturing process. Thus the definition is wide. The term includes persons engaged directly and also those who are engaged through an agency (including a contractor with or without the knowledge of the principal employer).

The term includes clerical workers and persons paid by piece rates in a factory.

The term ‘worker’ does not include any member of the armed forces of Union.

In case of a factory worker there must be a relationship between the employer and the employed.

Apprentices, whether remunerated or not, are workers within the meaning of the Act.

Obligations of workers—See p. 866.

Case Law :

- (i) A technical institute, where pupils are trained in wood work, is not a factory because there is no relationship of employer and employed between the organisers and the pupils. *Weston v. London Country Council*.¹
- (ii) The words “directly or through any agency”, used in the definition of the term Worker, indicate that employment is by the management.

¹ (1941) 1 K. B. 608

There should be a contract of employment between the management and the person employed. *Chintaman Rao v. State of Madhya Pradesh*.¹

- (iii) Mere selling agents through occupying a room in the factory are not workers within the meaning of the Act. *Prag Narayan v. Crown*.² But persons selling manufactured articles in the factory premises are workers. *Local Government v. Nusarwanji*.³

Section 111 of the Act refers to obligations of workers. Under the Section 111 a worker in a factory shall not—

- (a) wilfully interfere with or misuse any appliance, convenience or other thing provided in the factory for the purpose of securing the health, safety or welfare of the workers therein ;
- (b) wilfully and without reasonable cause do anything likely to endanger himself or others, and
- (c) wilfully neglect to make use of any appliance or other thing provided in the factory for the purposes of securing the health or safety of the workers therein [Sec. 111(1)].

If any worker employed in a factory violates any of the provisions of Sec. 111 or any rule made thereunder he shall be punishable with imprisonment for a term extending three months or with fine upto one hundred rupees or with both [Sec. 111(2)].

Section 111-A as introduced by the Amendment Act of 1987 refers to rights of worker, under section 111-A every worker shall have the right to—

- (i) obtain from the occupier, information relating to workers' health and safety at work ;
- (ii) get trained within the factory wherever possible, or to get himself sponsored by the occupier for getting trained at a training centre or institute, duly approved by the Chief Inspector, where training is imparted for workers' health and safety at work ;
- (iii) represent to the Inspector directly or through his representatives in the matter of inadequate provision for protection of his health or safety in the factory.

Power

"Power means electrical energy, or any other form of energy which is mechanically transmitted and is not generated by human or animal agency."—Sec. 2(g).

¹ (1958) S.C.J. 753 (Supreme Court)

² (1928) Lah. 78

³ (1933) Nag. 283

Prime mover

"Prime mover means any engine, motor or other appliance which generates or otherwise provides power."—Sec. 2(h).

Transmission machinery

"Transmission machinery means any shaft, wheel, drum pulley, system of pulleys coupling, clutch, driving belt or other appliance or device by which the motion of a prime mover is transmitted to or received by any machinery or appliance".—Sec. 2(i).

Machinery

"Machinery includes prime movers, transmission machinery and all other appliances whereby power is generated, transformed, transmitted or applied."—Sec. 2(j).

Adult

"Adult means a person who has completed his eighteenth year of age."—Sec. 2(a).

Adolescent

"Adolescent means a person who has completed his fifteenth year of age but has not completed his eighteenth year."—Sec. 2(b).

Child

"Child means a person who has not completed his fifteenth year of age."—Sec. 2(c).

Young Person

"Young Person means a person who is either a child or an adolescent."—Sec. 2(d).

Calendar year

"Calendar Year means the period of twelve months beginning with the first day of January in any year."—Sec. 2(d).

Day

"Day means a period of twentyfour hours beginning at midnight." Sec. 2(e).

References to the time of the day in the Act are to the Indian Standard Time. In areas where the I. S. T. is not observed, the State Government can by rules define the local mean time.—Sec. 3.

Week

"Week means a period of seven days beginning at midnight on Saturday night or such other night as may be approved in writing for a particular area by the Chief Inspector of Factories."
—Sec. 2(f).

Shift and Relay

Where work of the same kind is carried out by two or more sets of workers working during different periods of the day, each of such sets is called a "relay" and each of such periods is called a "shift."—Sec. 2(r).

Occupier

"*Occupier*" of a factory means the person who has ultimate control over the affairs of the factory, and where the said affairs are entrusted to a managing agent, such agent shall be deemed to be the occupier of the factory.—Sec. 2(n).

In case of a ship, which is being repaired or on maintenance work is being carried out in dry dock which is available for hire, the following persons for certain section of the Act will be deemed to be occupier (i) the owner of the dock, and (ii) the owner of the ship or his agent or master or other officers-in-charge in the ship or any person who contracts with such owner, agent or master or other officers-in-charge to carry out the repair or maintenance work.—Sec. 2(n) added by The Factories (Amendment) Act, 1976. The Amendment Act of 1987 has enlarged the definition of occupier to a considerable extent.

Section 2(n) of the amended Act 1987 provides that,

- "(I) in the case of a firm or other association of individuals, any one of the individual partners or members thereof shall be deemed to be the occupier.
- (II) in the case of a Company, any one of the directors shall be deemed to be the occupier.
- (III) in the case of a factory owned or controlled by the Central Government or any State Government, or any local authority, the person or persons appointed to manage the affairs of the factory by the Central Government, the State Government or the local authority as the case may be, shall be deemed to be the occupier".

The Act imposes several duties and responsibilities on the occupier of the factory. (See next page.)

An occupier of factory may be an owner, a lessee or a mere licensee but he must have the right to occupy the property. He should also control the management.

APPROVAL, LICENCING AND REGISTRATION

It is necessary to obtain a licence before a factory is started. Section 6 provides that the State Government may make rules requiring, for the purposes of this Act, the submission of plans or any class or description of factories to the Chief Inspector or the State Government, and the plans and specifications of a factory and its location.

The Amendment of 1976 provides that any replacement and addition to the factory will not be allowed if it does not reduce the minimum clear space required for safe working around the plant or machinery or adversely affect the environmental conditions from the evolution or emission of steam, heat or dust or fumes injurious to health.

Notice by occupier

Section 7 provides that the occupier of a factory must, at least 15 days before he begins to occupy or use any premises as a factory, send to the Chief Inspector of Factories a written notice containing the following particulars :

- (1) the name and situation of factory ;
- (2) the name and address of the occupier ;
- (3) the name and address of the owner of the premises or building (including the precincts thereof) ;
- (4) the address to which communications relating to factory may be sent ;
- (5) the nature of the manufacturing process to be carried on in the factory during the next twelve months ;
- (6) the total rated horse power installed or to be installed in the factory, which shall not include the rated horse power or any separate stand-by plant ;
- (7) the name of the manager of the factory for the purposes of this Act ;
- (8) the number of workers likely to be employed in the factory ;
- (9) such other particulars as may be prescribed.

The rules stated above are enforced because the plans and specifications of the factory must insure proper measures of health, safety and welfare of the workers.

The Amendment Act of 1987 prescribes the general duties of the occupier in regard to the health, safety and welfare of the workers in his factory, (Sec. 7-A). In accordance with Sec. 7-A(1), every occupier shall ensure, as far as reasonably possible, the health, safety and welfare of all workers while they are at work in the factory.

Every occupier shall prepare a statement in respect of the health and safety of the worker and bring the statement to the notice of all workers. [Sec. 7A(3)]

Section 7B provides that, "Every person who designs, manufactures, imports or supplies any article for use in the factory shall ensure so far as is reasonably practicable that the article is so designed and constructed as to be safe and without risks to the health of the workers when properly used".

He must provide adequate information in connection with the use of the article and about the use for which it is designed and tested.

For the purpose of this section, article shall include plant and machinery.

THE INSPECTION STAFF

The Factories Act empowers the State Government to appoint Inspectors, Chief Inspectors of Factories, Additional Chief Inspectors, Joint Chief Inspectors and Deputy Chief Inspectors. Every District Magistrate is an Inspector for his district. No person can act as an Inspector if he is or becomes directly or indirectly interested in a factory or in any process or business carried on therein or in any patent or machinery connected therewith.

Powers of Inspectors

Section 9 provides that subject to any rules made in this behalf, an Inspector may exercise the following powers within the local limits for which he is appointed—

- (a) enter, with such assistants, being persons in the service of the Government or any local or other public authority, as he thinks fit, and place which is used, or which he has reason to believe is used, as a factory ;

- (b) make examination of the premises, plant and machinery ;
- (c) require the production of any prescribed register and any other document relating to the factory, and take on the spot or otherwise statements of any person which he may consider necessary for carrying out the purposes of the Act ; and
- (d) exercise such other powers as may be prescribed for carrying out the purposes of this Act ;
- (e) seize or take copies of any register, record or other document as he may consider necessary in respect of any offence committed under this Act ;
- (f) direct the occupier that any premises or any part thereof shall be left undisturbed for so long as is necessary for the purpose of any examination ;
- (g) take measurements and photographs and make such recordings as he considers necessary for the purpose of any examination under Clause (b) ;
- (h) in case of any article or substance found in any premises which appears to him as having caused or is likely to cause danger to the health or safety of the workers, direct it to be dismantled or subject it to any process or test and take possession of any article or substance and detain it for necessary examination ;
- (i) exercise such other powers as may be prescribed.

No person shall be compelled under this section to answer any question or give any evidence tending to incriminate himself.

Under Section 91, an Inspector may take a sample of any substance, used or intended to be used in a factory, for the purpose of finding out whether the substance is injurious and if the factory is violating any of the provisions of the Act.

Obstructing an Inspector

Whoever wilfully obstructs an Inspector in the exercise or any power conferred on him by or under this Act, or fails to produce on demand by an Inspector any registers or other documents in his custody kept in pursuance of this Act or of any rules made thereunder, or conceals or prevents any worker in a factory from appearing before, or being examined by, an Inspector, shall be punishable with imprisonment for a term which may extend to six months or with fine which may extend to Rs. 20,000 or with both.—Sec. 95.

The onus is on the prosecution to show that a person has obstructed an inspector.

Duties of Inspector

It is the duty of factory inspectors to enforce the provisions of the Factories Act and other industrial laws. For this purpose they inspect factories periodically. If any rule is violated they take steps like prosecuting the guilty persons etc.

CERTIFYING SURGEONS

Section 10 provides that the State Government may appointed qualified medical practitioners to be certifying surgeons for the purposes of the Act for specified local areas or for specified factories or class of factories.

No person can be a certifying surgeon for a factory or industry in which he is interested directly or indirectly—Sec. 10(3).

The State Government may by order in writing and subject to specified conditions, exempt any person of class of persons from the provisions of this sub-section in respect of any factory or class or description of factories.

Duties

The certifying surgeon has the following duties under the Act and the rules framed under it.

1. The examination and certification of young persons.
2. The examination of persons engaged in factories in dangerous occupations or processes.
3. Medical supervision of factories in cases where such supervision had been prescribed owing to the dangerous nature of the work carried on or for any other reason, viz.,
 - (i) cases of illness have occurred which it is reasonable to believe are due to the nature of the manufacturing process carried on, or other conditions of work prevailing therein ;
 - (ii) by reason of any change in the manufacturing process carried on or in the substance used therein there is a likelihood of injury to the health of workers employed in that manufacturing process ;
 - (iii) young persons are, or about to be, employed in any work which is likely to cause injury to their health.—Sec. 10(4).

PROVISIONS REGARDING THE HEALTH OF WORKERS

Sections 11 to 20 of the Act contain certain provisions intended to ensure that the conditions under which work is carried on in factories do not affect the health of the workers injuriously. The provisions are explained below :

1. Cleanliness (Sec. 11, as amended in 1976)

Every factory shall be kept clean and free from effluvia (or outflow of bad smelling gases) from any drain, privy or other nuisance. The following other measures must also be adopted :

- (a) Accumulations of dirt and refuse shall be removed daily from workrooms, staircases and passages.
- (b) The floor of every workroom shall be cleaned at least once in every week by washing, using disinfectants etc.
- (c) Where the floor is liable to get wet, means of drainage must be provided.
- (d) All inside walls and partitions and ceilings, when painted otherwise than with washable water-paint, must be repainted or revarnished at least once in every five years. Where they have smooth impervious surfaces, they must be cleaned at least once in fourteen months. In any other case, they must be whitewashed or colour-washed at least once in fourteen months.
- (e) Where they are painted with washable water paint, must be repainted with at least one coat of such paint at least once in every period of three years and washed at least once in every period of six months.
- (f) All doors and window frames and other wooden or metallic framework and shutters shall be kept painted or varnished and the painting or varnishing shall be carried out at least once in every period of five years.

Where the nature of the operations of a factory (or class or description of factories or part of factories) is such that all the aforesaid rules cannot be complied with, the State Government can grant exemptions and specify alternative methods of keeping the factory clean.

2. Disposal of wastes and effluents (Sec. 12, as amended in 1976)

Effective arrangements shall be made in every factory for the disposal of wastes and effluents due to the manufacturing

process carried on therein, so as to render them innocuous, and for their disposal. The arrangements must be approved by the authority under the rules. The state government may formulate rules prescribing the arrangements to be made in this respect. Sec. 12(2).

3. Ventilation and Temperature (Sec. 13)

Effective and suitable provisions shall be made in every factory for securing and maintaining in every workroom—

- (a) adequate ventilation by the circulation of fresh air, and
- (b) such temperature as will secure to workers therein reasonable comfort and prevent injury to their health.

The walls and the roof must be of such material and of such design as to keep the temperature low. The hot parts of machines and processes must be separated and insulated. The State Government may make rules providing for the keeping of thermometers in specified places and the adoption of methods which will keep the temperature low.

Section 13(2) provides that the State Government may prescribe a standard of adequate ventilation and reasonable temperature for any factory and direct that "proper measuring instruments at such places and in such position as may be specified, shall be provided and such records as may be prescribed, shall be maintained."

Section 13(3) provides that if it appears to the Chief Inspector that excessively high temperatures in any factory can be reduced by the adoption of suitable measures, he may issue an order in writing specifying measures to be adopted and may order to carry out the measures before a specified date.

4. Dust and Fume (Sec. 14)

If the manufacturing process gives off dust or fume which is injurious or offensive, measures shall be adopted to prevent its inhalation and accumulation. If a stationary internal combustion engine is used, steps must be taken to conduct its exhaust outside. In other cases, steps must be taken to prevent the accumulation of the exhaust fumes.

5. Artificial humidification (Sec. 15)

In respect of all factories in which the humidity of the air is artificially increased, the State Government may make rules

regarding the following : (a) the standards of humidification, (b) the methods used for artificially increasing humidity, (c) tests for determining the humidity, and (d) the methods to be adopted for securing adequate ventilation and cooling of the air in the workrooms.—Sec. 15(1).

The water used for humidification shall be taken from a public supply or other source of drinking water and must be effectively purified before use.—Sec. 15(2).

The inspector of factories may, if necessary, specify the measures necessary for purifying the water.—Sec. 15(3).

6. Overcrowding (Sec. 16)

No room in any factory shall be overcrowded to an extent injurious to the health of the workers, [Sec. 16(1)]. In factories existing before the commencement of the Act, there must be at least 55 cubic metres (350 c.ft.) of space for every worker employed therein. In factories built after the Act, there must be at least 75 cubic metres (500 c.ft.) of space per worker. In calculating the amount of space, no account shall be taken of any space which is more than 5 metres (14 ft.) above the floor of the room. If the Chief Inspector so requires, there shall be posted in every room a notice specifying the maximum number of worker who may be employed in the room in accordance with the above rules. The Chief Inspector may, by order in writing, exempt a workroom from the operation of the above rules if in his opinion it is unnecessary in the interest of health.

According to Section 16(2) there shall be in every workroom of a factory in existence on the date of the commencement of this Act at least 9.9 cubic meters and of a factory built after the commencement of this Act at least 14.2 cubic meters of space for every worker employed therein.

7. Lighting (Sec. 17)

In every part of a factory where workers are working or passing there shall be provided and maintained sufficient and suitable lighting, natural or artificial or both. Glazed windows and skylights shall be kept clean on both sides and free from obstruction. Effective provision shall be made, so far as is practicable, to prevent glare and the formation of shadows to such an extent as to cause eye-strain or the risk of accident. The State Government may prescribe standards of suitable lighting.

8. Drinking water (Sec. 18)

In every factory effective arrangements shall be made to provide and maintain at suitable points conveniently situated for all workers employed therein a sufficient supply of wholesome drinking water. All such points shall be legibly marked "drinking water" in the language understood by the majority of the workers. Section 18(2) of the amending Act provides that the place of drinking water shall not be situated within six meters of any washing place, urinal, latrine, spittoon, open drain carrying sullage or effluent or any source of contamination. A shorter distance can be approved in writing by the Chief Inspector. In every factory wherein more than 250 workers are ordinarily employed, provision shall be made for cooling drinking water during hot weather by effective means and for distribution thereof. The State Governments may make rules regarding above provisions. [Sec. 18(3)]

9. Latrines and Urinals (Sec. 19)

In every factory sufficient latrine and urinal accommodation of prescribed types shall be provided conveniently situated and accessible to workers at all times while they are at the factory. Separate enclosed accommodation shall be provided for male and female workers. Such accommodation shall be adequately lighted and ventilated. No latrine or urinal shall, unless specially exempted in writing by the Chief Inspector, communicate with any workroom except through an intervening open space or ventilated passage. All such accommodation shall be maintained in a clean and sanitary condition at all times. Sweepers shall be appointed whose primary duty would be to keep clean latrines, urinals and washing places. [Sec. 19(1)]

Certain additional measures are to be taken in factories where more than 250 workers are ordinarily employed. The latrines and urinals shall be of the prescribed sanitary types. The floors, internal walls up to the height of 90 cms. (3ft.) and the sanitary blocks shall be laid in glazed tiles or otherwise finished to provide a smooth polished impervious surface. These parts and sanitary pans shall be thoroughly washed and cleaned at least once every 7 days with suitable detergents or disinfectants or both [Sec. 19(2)]. The state Government may prescribe the number of latrines and urinals to be provided in proportion to the number of workers. Other rules regarding sanitation may be made, including the obligations of the workers in this regard.

10. Spittoons (Sec. 20)

A sufficient number of spittoons must be provided at convenient places. They must be maintained in a clean and hygienic condition. The State Government may make rules regarding their number, location and maintenance. No person shall spit except in the spittoons. If a person does so he may be fined up to Rs. 5.

Summary

Summary of the provisions of the Factories Act relating to the health of workers are stated below.

1. Cleanliness

Every factory shall be kept clean and free from dirt, and the outflow of drains etc. The floors must be cleaned. Drainage shall be provided. Inside walls, partitions and ceilings must be repainted at least once in five years. When washable waterpaint is used they must be painted once every three years and washed at least every period of six months.—Sec. 11, as amended in 1976.

2. Disposal of wastes and effluents

The waste materials produced from the manufacturing process must be effectively disposed of.—Sec. 12.

3. Ventilation and Temperature

There must be provision for adequate ventilation by the circulation of fresh air. The temperature must be kept at a comfortable level. Hot parts of machines must be separated and insulated.—Sec. 13.

Section 13(2) provides that the State Government may prescribe a standard of adequate ventilation and reasonable temperature for any factory and direct that "proper measuring instruments at such places and in such position as may be specified, shall be provided and such records as may be prescribed, shall be maintained."

Section 13(3) provides that if it appears to the Chief Inspector that excessively high temperatures in any factory can be reduced by the adoption of suitable measures, he may issue an order in writing specifying measures to be adopted and may order to carry out the measures before a specified date.

4. Dust and Fume

If the manufacturing process used gives off injurious or offensive dust and fume steps must be taken so that they are not inhaled or accumulated. The exhaust fumes of internal combustion engines must be conducted outside the factory.—Sec. 14.

5. Artificial humidification

The water used for this purpose must be pure. It must be taken from some source of drinking water supply. The State Government can frame rules regarding the process of humidification etc.—Sec. 15.

6. Overcrowding

There must be no overcrowding in a factory. In factories existing before the commencement of the Act there must be at least 350 c.ft. (or 55 cubic metres) of space per worker. For factories built afterwards, there must be at least 500 c.ft. (or 75 cubic metres) of space. In calculating the space, an account is to be taken of space above 14ft. (or 5 metres) from the floor.—Sec. 16.

According to Section 16(2) there shall be in every workroom of a factory in existence on the date of the commencement of this Act at least 9.9 cubic meters and of a factory built after the commencement of this Act at least 14.2 cubic meters of space for every worker employed therein.

7. Lighting

Factories must be well lighted. Effective measures must be adopted to prevent glare or formation of shadows which might cause eyestrain.—Sec. 17.

8. Drinking water

Arrangements must be made to provide a sufficient supply of wholesome drinking water. All supply points of such water must be marked "drinking water." No such points shall be within 20 ft. (or 7.5 metres) of any latrine, washing place etc. Factories employing more than 250 workers must cool the water during the hot weather.—Sec. 18.

Section 18(2) of the amending Act provides that the place of drinking water shall not be situated within six meters of any washing place, urinal latrine, spittoon, open drain carrying sullage

or effluent or any source of contamination. A shorter distance can be approved in writing by the Chief Inspector.

9. Latrines and Urinals

Every factory must provide sufficient number of latrines and urinals. There must be separate provision for male and female workers. Latrine and urinals must be kept in a clean and sanitary condition. In factories employing more than 250 workers, they shall be of prescribed sanitary types.—Sec. 19.

10. Spittoons

A sufficient number of spittoons must be provided at convenient places, in a clean and hygienic condition.—Sec. 20.

PROVISIONS REGARDING THE SAFETY OF WORKERS

Sections 21 to 40A, 40B and 41 of the Act lay down rules for the purpose of securing the safety of workers. They are explained below.

1. Fencing of machinery (Sec. 21, as amended in 1976)

The following machinery must be securely fenced by safeguards of substantial construction which shall be constantly maintained and kept in position while the parts of machinery are in motion or in use; moving parts of prime movers and flywheels connected to a prime mover; the headrace and tailrace of every water-wheel and water turbine; any part of a stock-bar which projects beyond the head stock of a lathe.

The following machinery must be fenced in a similar fashion unless they are in such position or of such construction as to be safe : every part of an electric generator, a motor or rotary converter; every part of transmission machinery; and, every dangerous part of any other machinery. [Sec. 21(1)]

The State Government may by rules provide for further precautions. It may also exempt any particular machinery or part thereof from the provisions of this section [Sec. 21(2)]

Case Law :

The machinery must be securely fenced. *Caroll v. Andrew Barclay and Sons Ltd.*¹; *Supdt. and Remembrancer, W.B. v. P. Sen.*²

¹ (1949-50) 1 F. J. R. 1

² AIR (1949) Cal. 604

2. Work on or near machinery in motion (Sec. 22, as amended in 1976)

It may be necessary in a factory to examine a machine referred to in Sec. 21 while in motion and to work on it (e.g., for slipping of belts or for lubrication). Such examination or work must be carried out by a specially trained adult male worker whose name has been recorded in a specially prescribed register. He must wear tightly fitting clothes which shall be supplied by the occupier.

Such worker shall not handle a belt at a moving pulley unless—

- (i) the belt is not more than fifteen centimetres in width ;
- (ii) the pulley is normally for the purpose of drive and not merely a fly-wheel or balance wheel (in which case a belt is not permissible) ;
- (iii) the belt joint is either laced or flush with the belt ;
- (iv) the belt, including the joint and the pulley rim, are in good repair ;
- (v) there is reasonable clearance between the pulley and any fixed plant or structure ;
- (vi) secure foothold and, where necessary, secure handhold, are provided for the operator ; and
- (vii) any ladder in use for carrying out any examination or operation aforesaid is securely fixed or lashed or is firmly held by a second person.

No woman or young person shall be allowed to clean, lubricate or adjust any part of the machinery while the prime mover or transmission machinery is in motion or to work between moving parts, or between fixed and moving parts, of any machinery which is in motion.

The State Government may prohibit in any specified factory or class or description of factory, the cleaning, lubrication or adjustment of specified parts of a moving machinery by *any* person.

The Maharashtra Factory Rules provide that the following machines are dangerous—(i) Power presses other than hydraulic presses ; (ii) Milling machines used in the metal trades ; (iii) Guillotine machines ; (iv) Circular saws ; (v) Plating Printing machines.

3. Employment of young persons on dangerous machines (Sec. 23)

No young person shall work at any dangerous machine unless he has been fully instructed as to the dangers arising in

connection with the machine and the precautions to be observed, and (a) has received sufficient training in work at the machine or (b) is under adequate supervision by a person who has a thorough knowledge and experience of the machine. The State Government is to prescribe what machines are dangerous for the purpose of this section.

4. Striking gear and devices for cutting off power (Sec. 24, as amended in 1976)

In every factory suitable striking gear or other efficient mechanical appliances shall be provided and maintained and used to move driving belts to and from fast and loose pulleys which form part of the transmission machinery. Such gear or appliances shall be so constructed, placed and maintained as to prevent the belt from creeping back on the fast pulley. Driving belts when not in use shall not be allowed to rest or ride upon shafting in motion.

In every factory suitable devices for cutting power in emergencies from running machinery shall be provided and maintained in every workroom. For factories which were in operation before the commencement of the Act, the maintenance or devices for cutting off power is required only for workrooms in which electricity is used for power.

When a device, which can inadvertently shift from "off" to "on" position is provided in a factory to cut off power, arrangement shall be provided for locking the device in safe position to prevent accidental starting of the transmission machinery or other machines to which the device is fitted.

5. Self-acting machines (Sec. 25)

No traversing part of a self-acting machine in any factory and no material carried thereon shall, if the space over which it runs is a space over which any person is liable to pass, whether in the course of his employment or otherwise, be allowed to run on its outward or inward traverse within a distance of 45 cms. (or 18 inches) from any fixed structure which is not part of the machine.

The Chief Inspector may permit the continued use of a machine, not complying with the above requirement, if it was installed before the commencement of the Act. He may, however, impose conditions for ensuring safety.

6. Casing of new machinery (Sec. 26)

In all machinery installed after the commencement of the Act,

- (a) every set screw, bolt or key on any revolving shaft, spindle, wheel or pinion shall be so sunk, encased or otherwise effectively guarded as to prevent danger ;
- (b) all spur, worm and other toothed or friction gearing which does not require frequent adjustment while in motion shall be completely encased unless it is so situated that it is safe without encasement. [Sec. 26(')]

The State Government may make rules specifying further safeguards.

It is a punishable offence to sell or let out on hire, either directly or as an agent, any machine which does not comply with the provisions of this section or of any rules made by the State Government on the subject. (The offender may be punished with imprisonment up to three months and/or fined up to Rs. 500.)

7. Women and children near cotton-openers (Sec. 27)

No woman or child shall be employed in any part of a factory for pressing cotton in which a cotton-opener is at work.

If the feed-end of a cotton-opener is in a room separated from the delivery-end by a partition extending to the roof or to such height as the Inspector may in a particular case specify in writing women and children may be employed on the side of the partition where the feed-end is situated.

8. Hoists and lifts (Sec. 28)

(1) In every factory—

(a) every hoist and lift shall be—

(i) of good mechanical construction, sound material and adequate strength ;

(ii) properly maintained, and shall be thoroughly examined by a competent person at least once in every period of six months, and a register shall be kept containing the prescribed particulars of every such examination ;

(b) every hoistway and liftway shall be sufficiently protected by an enclosure fitted with gates, and the hoist or lift, and every such enclosure shall be so constructed as to prevent any person or thing from being trapped between any part of the hoist or lift and fixed structure or moving part ;

- (c) the maximum safe working load shall be plainly marked on every hoist or lift, and no load greater than such load shall be carried thereon ;
- (d) the cage of every hoist or lift used for carrying persons shall be fitted with a gate on each side which access is afforded to a landing ;
- (e) every gate referred to in clause (b) or clause (d) shall be fitted with interlocking or other efficient device to secure that the gate cannot be opened except when the cage is at the landing and that the cage cannot be moved unless the gate is closed.

(2) The following additional requirements shall apply to hoists and lifts used for carrying persons and installed or reconstructed in a factory after the commencement of this Act, namely :

- (a) where the cage is supported by rope or chain, there shall be at least two ropes or chains separately connected with the cage and balance weight, and each rope or chain with its attachments shall be capable of carrying the whole weight of the cage together with its maximum load ;
- (b) efficient devices shall be provided and maintained capable of supporting the cage together with its maximum load in the event of breakage of the ropes, chains or attachments ;
- (c) an efficient automatic device shall be provided and maintained to prevent the cage from over-running.

(3) The Chief Inspector may permit the continued use of a hoist or lift installed in a factory before the commencement of this Act which does not fully comply with the provisions of sub-section (1) upon such conditions for ensuring safety as he may think fit to impose.

(4) The State Government may, if in respect of any class or description of hoist or lift, it is of opinion that it would be unreasonable to enforce any requirement of sub-sections (i) and (ii) by order direct that such requirement shall not apply to such class or description of hoist or lift.

For the purposes of Sec. 28, no lifting machine or appliance shall be deemed to be a hoist or lift unless it has a platform or cage, the direction or movement of which is restricted by a guide or guides.

9. Lifting machines chains, ropes and lifting tackles (Sec. 29)

In any factory the following provisions shall be complied with in respect of every lifting machine (other than a hoist and lift) and every chain, rope and lifting tackle for the purpose of raising or lowering persons, goods or materials :

- (a) all parts, including the working gear, whether fixed or movable, of every lifting machine and every chain, rope or lifting tackle shall be—
 - (i) of good construction, sound material and adequate strength and free from defects ;
 - (ii) properly maintained ; and
 - (iii) thoroughly examined by a competent person at least once in every period of twelve months, or at such intervals as the Chief Inspector may specify in writing, and a register shall be kept containing the prescribed particulars of every such examination ;
- (b) no lifting machine and no chain, rope or lifting tackle shall, except for the purpose of test, be loaded beyond the safe working load which shall be plainly marked thereon together with an identification mark and duly entered in the prescribed register ; and where this is not practicable, a table showing the safe working loads of every kind and size of lifting machine or chain rope or lifting tackle in use shall be displayed in prominent positions on the premises ;
- (c) while any person is employed or working on or near the wheel track of a travelling crane in any place where he would be liable to be struck by the crane, effective measures shall be taken to ensure that the crane does not approach within twenty feet (or 7.5 meters) of that place.

Section 29(1) provides that every lifting machine (other than a hoist and lift) and every chain, rope and lifting tackle for the purpose of raising or lowering persons, goods or materials shall be of good construction, sound material and adequate strength and free from defects. These must be properly maintained and thoroughly examined by a competent person at least once in every period of twelve months or at such intervals as the Chief Inspector may specify in writing. A register must be maintained containing the particulars of every such examination.

The State Government may by rules prescribe further requirements or exempt from compliance any of the requirements if it considers it unnecessary or impracticable.

10. Revolving machinery (Sec. 30)

(1) In every room in a factory in which the process of grinding is carried on there shall be permanently affixed to or placed near each machine in use a notice indicating the maximum safe working peripheral speed of every grindstone or abrasive wheel, the speed of the shaft or spindle and the diameter of the pulley upon such shaft or spindle and such speeds shall in no case be exceeded.

11. Pressure plant (Sec. 31)

If in any factory any operation is carried on at a pressure above atmospheric pressure, effective measures shall be taken to ensure that the safe working pressure is not exceeded. The State Government may make rules for the examination and testing of machinery and prescribe safety measures. The State Government may exempt part of the provisions of this section.

12. Floors, stairs and means of access (Sec. 32, as amended in 1976)

In every factory all floors, steps, stairs, passages and gangways shall be of sound construction and properly maintained and shall be kept free from obstructions and substances likely to cause persons to slip.

Section 32(c), as amended in 1987, provides that "When any person has to work at a height from where he is likely to fall, provision shall be made, so far as is reasonably practicable, by fencing or otherwise, to ensure the safety of the person so working."

Where it is necessary to ensure safety they shall be provided with substantial handrails. Safe means of access must be provided and maintained to every place at which any person is at any time required to work.

When any person has to work at a place from where he is likely to fall a distance exceeding two metres, then, unless the place is one which provides secure foothold and, where necessary, secure handhold, provision shall be made, so far as is reasonably practicable, by fencing or otherwise, to ensure the safety of the persons so working.

Case Law :

The plaintiff was injured because of accumulation of rain water in a small depression in the concrete of the passage. Damages were given. *Davies v. De Hovill & Aircraft Co. Ltd.*¹

13. Pits, sumps, openings in floors etc. (Sec. 33)

Every fixed vessel, sump, tank, pit or opening in the ground or in a floor which by reason of its depth, situation, construction or contents is or may be a source of danger, shall be either securely covered or securely fenced. The State Government may exempt compliance in any particular case.

14. Excessive weights (Sec. 34)

(1) No person shall be employed in any factory to carry or move any load so heavy as to be likely to cause him injury.

(2) The State Government may make rules prescribing the maximum weights which may be lifted, carried or moved by adult men, adult women, adolescents and children employed in factories or in any class or description of factories or in carrying on any specified process.

Factory Rules of the different States have prescribed the maximum weights to be carried in the factories. Some examples are mentioned below :

	<i>Mumbai</i>	<i>West Bengal</i>
Adult female	30 kgs.	65 lbs.
Adolescent male	30 "	65 "
Male child	16 "	35 "
Female child	13 "	30 "

15. Protection of eyes (Sec. 35)

In respect of any such manufacturing process carried on in any factory as may be prescribed, being a process which involves—

(a) risk of injury to the eyes from particles or fragments thrown off in the course of the process, or

(b) risk to the eyes by reason of excessive light,—
the State Government may by rules require that effective screen or suitable goggles shall be provided for the protection of persons employed on, or in the immediate vicinity of, the process.

¹ (1950) 2 All E. R. 582

Case Law :

Workers must be informed about the place where the goggles are obtainable. It is not enough to say that the goggles were hung up in the office room. *Finch v. Telegraph Construction and Maintenance Co. Ltd.*¹

16. Precautions against dangerous fumes (Sec. 36)

(1) In any factory no person shall enter or be permitted to enter any chamber, tank, vat, pit, pipe, flue or other confined space in which dangerous fumes are likely to be present to such an extent as to involve risk of persons being overcome thereby, unless it is provided with a manhole of adequate size or other effective means of egress.

(2) Omitted by the Amendment of 1976.

(3) No person in any factory shall enter or be permitted to enter any confined space such as is referred to in sub-section (i) until all practicable measure have been taken to remove any fumes which may be present and to prevent any ingress of fumes and unless either—

(a) a certificate in writing has been given by a competent person, based on a test carried out by himself that the space is free from dangerous fumes and fit for persons to enter, or

(b) the worker is wearing suitable breathing apparatus and a belt securely attached to a rope, the free end of which is held by a person standing outside the confined space. [(Sec. 36(2))]

(4) Suitable breathing apparatus, reviving apparatus and belt and ropes shall in every factory be kept ready for instant use beside any such confined space as aforesaid which any person has entered. All such apparatus shall be periodically examined and certified by a competent person to be fit for use. And a sufficient number of persons employed in every factory shall be trained and practised in the use of all such apparatus and in the method of restoring respiration.

(5) No person shall be permitted to enter in any factory, any boiler furnace, boiler flue, chamber, tank, vat, pipe or other confined space for the purpose of working or making any examination therein until it has been sufficiently cooled by ventilation or otherwise to be safe for persons to enter.

¹ (1945) All. E. R. 452

(6) The State Government may make rules prescribing the minimum dimensions of manholes and may also grant exemptions in particular cases.

In any factory—

- (a) no portable electric light or any other electric appliance of voltage exceeding twenty-four volts shall be permitted for use inside any chamber, tank, vat, pit, pipe, flue or other confined space unless adequate safety devices are provided under Sec. 36A of 1987 and
- (b) if any inflammable gas, fume or dust is likely to be present in such chamber, tank, vat, pit, pipe, flue or other confined space, no lamp or light other than that of flame-proof construction shall be permitted to be used therein.—Sec. 36A added by Factories (Amendment) Act, 1976.

17. Explosive or inflammable gas etc (Sec. 37)

(1) Where in any factory any manufacturing process produces dust, gas, fume or vapour of such character and to such extent as to be likely to explode on ignition, all practicable measures shall be taken to prevent any such explosion by—

- (a) effective enclosure of the plant or machinery used in the process ;
- (b) removal or prevention of the accumulation of such dust, gas, fume or vapour ;
- (c) exclusion or effective enclosure of all possible sources of ignition.

(2) When the plant is not so constructed as to withstand the probable pressure which an explosion would produce, all practicable measures shall be taken to restrict the spread and effects of the explosion by providing chokes, baffles, vents or other effective appliances.

(3) Where any part of a plant or machinery contains explosive or inflammable gas or vapour at a pressure greater than the atmospheric pressure, the part shall not be opened except under the following conditions :

- (a) The flow of gas or vapour must be effectively stopped by a stop valve or other means ;
- (b) All practicable measures must be taken to reduce the pressure to the atmospheric pressure ; and

(c) Where the fastening of such part has been loosened or removed, the fastening must be secured or securely replaced.

The aforesaid provisions do not apply to plant or machinery installed in open air.

(4) The container of explosive or inflammable substances shall not be subjected to any operation which involves the application of heat unless adequate measures have been adopted to remove the substance or its fumes or to render the substance or fumes non-explosive or non-inflammable. The substance shall be allowed to re-enter the container only after the latter has been sufficiently cooled.

(5) The State Government may by rules allow exemptions from the provisions of this section.

18. Precaution in case of fire (Sec. 38, as amended in 1987)

For Sec. 38. of the Act, the Amendment Act of 1987 has replaced a new Sec. 38. The new section provides :

(1) In every factory, all practicable measures shall be taken to prevent outbreak of fire and its spread, both internally and externally.

(2) In every factory there shall be provided such means of escape in case of fire as may be prescribed.

(3) In every factory the doors affording exit from any room shall not be locked or fastened so that they cannot be easily and immediately opened from the inside while any person is within the room. All such doors, unless they are of the sliding type, shall be constructed to open outward.

(4) In every factory, every window, door or other exit affording a means of escape in case of fire, other than the means of exit in ordinary use, shall be distinctively marked in a language understood by the majority of the workers and in red letters of adequate size or by some other effective and clearly understood sign.

(5) There shall be provided in every factory effective and clearly audible means of giving warning in case of fire to every person employed in the factory. Safe means of escape for all persons in the event of a fire, and section 38(1) provides that in every factory all practicable measures shall be taken to prevent outbreak of fire or its spread and to provide and maintain safe means of escape for all in the event of a fire and the necessary facilities for extinguishing fire.

Effective measures shall be taken to ensure that in every factory all the workers are familiar with the means of escape in case of fire and have been adequately trained in the routine to be followed in such cases. [Sec. 38(2)]

The State Government may make rules, in respect of any factory or class or description of factories, requiring the measures to be adopted to give effect to the above provisions. [Sec. 38(3)]

If the Chief Inspector, having regard to the nature of the work carried on in any factory, the construction of such factory, special risk to life or safety or any other circumstances is of the opinion that the measures provided in the factory, whether as prescribed or not, are inadequate, he may, by order in writing, require that such additional measures as he may consider reasonable and necessary be provided in the factory before such date as specified in the order. [Sec. 38(4)]

(6) A free passage-way giving access to each means of escape in case of fire shall be maintained for the use of all workers in every room of a factory.

(7) Effective measures shall be taken to ensure that in every factory—

(a) where more than twenty workers are ordinarily employed in any place above the ground floor, or

(b) wherein explosive or highly inflammable materials are used or stored,

all the workers are familiar with the means of escape in case of fire and have been adequately trained in the routine to be followed in such case.

(8) The State Government may make rules prescribing, in respect of any factory or class or description of factories, the means of escape to be provided in case of fire and the nature and amount of fire-fighting apparatus to be provided and maintained.

(9) *Additional means of escape* : Notwithstanding anything contained in sub-section (1) or sub-section (7), the Inspector, having special regard to the nature of work carried on the factory, construction of the factory, special risk to life or safety or any other circumstance may think that the prescribed means of escape is not adequate for safe, easy or quick exit of the workers in case of fire. If so, then he may, by order in writing require that such additional means of escape or other measures as he may

consider reasonable and necessary be provided in the factory. A date should be specified in the order before which the Inspector's order will have to be followed.

(10) *Reference to Chief Inspector* : If any question arises whether or not the means of escape provided in the factory is adequate to permit safe, easy or quick exit of the workers in case of fire, the same shall be referred to the Chief Inspector. The Chief Inspector shall, after giving the persons concerned a reasonable opportunity to represent their views, decide the same.

(11) *Appeal* : Any person aggrieved by the decision of the Chief Inspector under sub-section (9) may, before the expiry of the thirty days from the date on which the decision is communicated to him prefer an appeal to the State Government. The State Government shall after giving the appellant a reasonable opportunity to represent his views, make such order in relation to the appeal as it thinks fit.

19. Power to require specifications of defective parts or tests of stability (Sec. 39)

If it appears to the Inspector that any building or part of a building or any part of the ways, machinery or plant in a factory is in such a condition that it may be dangerous to human life or safety, he may serve on the occupier or manager of the factory or both an order in writing requiring him before a specified date—

- (a) to furnish such drawings, specifications and other particulars as may be necessary to determine whether such buildings, ways, machinery or plant can be used with safety, or
- (b) to carry out such tests in such manner as may be specified in the order, and to inform the Inspector of the results thereof.

20. Safety of buildings and machinery (Sec. 40)

(1) If it appears to the Inspector that any building or part of a building or any part of the ways, machinery or plant in a factory is in such a condition that it is dangerous to human life or safety, he may serve on the occupier or manager of the factory or both an order in writing, specifying the measures which in his opinion should be adopted, and requiring them to be carried out before a specified date.

(2) If it appears to the Inspector that the use of any building or part of a building or any part of the ways, machinery or

plant in a factory involves imminent danger to human life or safety, he may serve on the manager of the factory an order in writing prohibiting its use until it has been properly repaired or altered.

21. Maintenance of buildings (Sec. 40A)

Wherein in the opinion of the Inspector, any bulding or part of a building in a factory is in such a state of disrepair that it may prove dangerous to the health and welfare of the workers, the Inspector may serve on the occupier or manager or both of the factory an order in writing specifying the proper measures and requiring the same to be carried out before such date as is specified in the order. [Added by the Amendment of 1976.]

22. Safety Officers (Sec. 40B)

(1) In every factory—

- (i) wherein one thousand or more workers are ordinarily employed, or
- (ii) if according to the opinion of the State Government, any manufacturing process or operation which is being carried on involves any risk of bodily injury, poisoning or disease, or any other hazard to health to the workers of the factory, the occupier shall, if so required by the State Government by notification in the Official Gazette, employ such number of Safety Officers as may be specified in that notification.

(2) The duties, qualifications and conditions of service of Safety Officers shall be such as may be prescribed by the State Government.

[Added by the Amendment of 1976].

23. Power to make rules to supplement this Chapter (Sec. 41)

The State Government may make rules providing for the use of such further devices and measures for safety as may be necessary.

According to Section 41A(1) the "State Government may, for the purposes of advising it to consider applications for grant of permission for the initial location of a factory involving of hazardous process or the expansion of any such factory, appoint a Site Appraisal Committee." The committee shall include :

- (a) the Chief Inspector of the state who shall be its chairman.

- (b) a representative of the Central Board for the prevention and control of water pollution appointed by the Central Government.
- (c) a representative of the Central Board for the prevention and Control of Air Pollution.
- (d) a representative of the State Board appointed under Section 4 of the Water (Prevention and control of pollution) Act, 1974.
- (e) a representative of the State Board for the prevention and control of Air Pollution.
- (f) a representative of the Department of Environment in the State.
- (g) a representative of the Meteorological Department of the Government of India.
- (h) an expert in the field of occupational health.
- (i) a representative of the Town Planning Department of the State Government.

Five other members will be coopted by the State Government including a scientist having specialized knowledge of the hazardous process involved in the factory and a representative of the local authority within whose jurisdiction the factory is to be established.

Under Section 41(A)(2) of the amending Act, the Site Appraisal Committee shall examine an application for the establishment of a factory involving hazardous process and submit its recommendation to the State Government within a period of ninety days of the receipt of such application.

Summary

Summary of the provisions of the Factories Act regarding the safety of the workers are stated below : (Sections 21 to 41).

1. *Fencing of machinery* : All *dangerous machinery* must be securely fenced e.g., moving parts of prime movers and flywheels connected to every prime mover, electric generators, etc.—Sec. 21.

2. *Work on or near machinery in motion* : Work on or near machinery in motion must be carried out only by specially *trained adult male workers* wearing tightly fitting clothes.—Sec. 22.

3. *Employment of young persons on dangerous machines* : No young person shall work at any dangerous machine unless he has been specially instructed as to the dangers and the

precautions to be observed, has received sufficient training about the work, and is under the supervision of some person having thorough knowledge and experience of the machine.—Sec. 23.

4. *Striking gear and devices for cutting off power* : In every factory suitable devices for *cutting off power* in emergencies from running machinery shall be provided and maintained in every workroom.—Sec. 24.

5. *Self-acting machines* : *Moving parts* of a self-acting machine must not be allowed to come within 45 cms. of any fixed structure which is not part of the machine.—Sec. 25.

6. *Casing of new machinery* : In all machinery installed after the commencement of the Act, certain parts must be sunk, encased or otherwise *effectively guarded*. e.g., set screw, bolt, toothed gearing etc.—Sec. 26.

7. *Women and children near cotton openers* : Women and children must not be allowed to work near *cotton openers*, except in certain cases.—Sec. 27.

8. *Hoists, lifts, chains etc.* : Every *hoist and lift* must be so constructed as to be safe. There are detailed rules as to how such safety is to be secured. There are similar provisions regarding lifting machines, chains, ropes and lifting tackle.—Secs. 28, 29.

9. *Revolving machinery* : Where grinding is carried on, the maximum safe working speed of every *revolving machinery* connected therewith must be notified. Steps must be taken to see that the safe speed is not exceeded.—Sec. 30.

10. *Pressure plant* : Where any operation is carried on at a pressure higher than the *atmospheric pressure*, steps must be taken to ensure that the safe working pressure is not exceeded.—Sec. 31.

11. *Floors, stairs and means of access* : All floors, steps, stairs, passage and gangways shall be of *sound construction* and properly maintained. Handrails shall be provided where necessary. Safe means of access shall be provided to the place where the worker will carry on any work.—Sec. 32.

12. *Pits, sumps, openings in floors etc.* : Pits, sumps, openings in floors etc. must be *securely covered* or fenced.—Sec. 33.

13. *Excessive weights* : No worker shall be made to carry a *load so heavy* as to cause him injury.—Sec. 34.

14. *Protection of eyes* : Effective screen or suitable goggles shall be provided to *protect the eyes* of the worker from fragments thrown off in course of any manufacturing process and from excessive light if any.—Sec. 35.

15. *Precautions against dangerous fumes* : No person shall be allowed to enter any chamber, tank etc. where *dangerous fumes* are likely to be present, unless it is equipped with a manhole or other means of going out. In such space no portable electric light of more than 24 volts shall be used. Only a lamp or light of flame proof construction can be used in such space. For people entering such space suitable breathing apparatus, reviving apparatus etc. shall be provided. Such places shall be cooled by ventilation before any person is allowed to enter.—Secs. 36 and 36A.

16. *Explosive or inflammable gas etc.* : Where a manufacturing process produces inflammable gas, dust, fume, etc. steps must be taken to enclose the machine concerned, prevent the accumulation of substances and exclude all possible sources of *ignition*. Extra precautionary measures are to be taken where such substances are worked at greater than the atmospheric pressure.—Sec. 37.

17. *Precaution in case of fire* : *Fire escapes* shall be provided. Windows and doors shall be constructed to open outwards. The means of exit in case of the fire shall be clearly marked in red letters. Arrangements must be made to give warning in case of fire—Sec. 38.

18. *Specifications of defectives etc. and safety of buildings and machinery* : If any building or machine is in a *defective or dangerous condition*, the inspector of factories can ask for the holding of tests to determine how they can be made safe. He can also direct the adoption of the measures necessary to make them safe. In case of immediate danger, the use of the building or machine can be prohibited.—Secs. 39, 40.

19. *Maintenance of Buildings* : If the Inspector of Factories thinks that any building in a factory, or any part of it, is in such a state of disrepair that it is likely to affect the health and welfare of the workers, he may serve on the occupier or manager or both in writing specifying the measures to be done before the specified date.—Sec. 40A.

20. *Safety Officers* : The State Government may notify to the occupier to employ a number of Safety Officers in a factory (i) wherein one thousand or more workers are ordinarily employed, or (ii) wherein any manufacturing process or operation which involves the risk of bodily injury, poisoning, disease or any other hazard to health of the persons employed in the factory.—Sec. 40B.

21. *Rules* : The State Government may make *rules* providing for the use of such further devices for safety as may be necessary.—Sec. 41.

PROVISIONS REGARDING THE WELFARE OF WORKERS

Sections 42 to 50 of the Act contain provisions regarding the welfare of workers. They are explained below.

1. Washing facilities (Sec. 42)

In every factory—

- (a) adequate and suitable facilities for washing shall be provided and maintained for the use of the workers therein ;
- (b) separate and adequately screened facilities shall be provided for the use of male and female workers ;
- (c) such facilities shall be conveniently accessible and shall be kept clean. The State Government may make rules prescribing adequate standards of facilities for washing.

2. Facilities for storing and drying clothing (Sec. 43)

The State Government may make rules requiring the provision of suitable places for keeping clothing not worn during working hours and for the drying of wet clothing.

The State Government can frame rules providing for keeping clothing with safety.

3. Facilities for sitting (Sec. 44)

(1) In every factory suitable arrangements for sitting shall be provided and maintained for all workers obliged to work in a standing position, in order that they may take advantage of any opportunity for rest which may occur in course of work.

(2) If in the opinion of the Chief Inspector workers in a particular room are able to do their work efficiently in a sitting position, he may by an order in writing direct the occupier of the factory to provide sitting arrangements before a specified date.

(3) The State Government may by notification in the official Gazette direct that the aforesaid provisions shall not apply to specified cases.

4. First-aid appliances (Sec. 45)

(1) First-aid boxes or cupboards equipped with the prescribed contents must be provided in every factory. They must be readily accessible during working hours. the number of such boxes shall not be less than one for every 150 workers employed.

(2) The boxes or cupboards must not contain anything other than the prescribed contents.

(3) Each box or cupboard shall be kept in charge of a separate responsible person who holds a certificate in first-aid treatment recognised by the State Government and who shall always be readily available during the working hours.

(4) In every factory wherein more than 500 workers are ordinarily employed there shall be provided and maintained an ambulance room of the prescribed size. The ambulance room will contain the prescribed equipment, it will be in the charge of such medical and nursing staff as may be prescribed and those facilities shall always be made readily available during the working hours of the factory.

5. Canteens (Sec. 46, as amended in 1976)

(1) The State Government may make rules requiring that in any specified factory wherein more than two hundred and fifty workers are ordinarily employed, a canteen or canteens shall be provided and maintained by the occupier for the use of the workers.

(2) Without prejudice to the generality of the foregoing power, such rules may provide for—

- (a) the date by which such canteen shall be provided ;
- (b) the standards in respect of construction, accommodation, furniture and other equipment of the canteen ;
- (c) the foodstuffs to be served therein and the charges which may be made therefor ;
- (d) the constitution of a managing committee for the canteen and representation of the workers in the management of the canteen ;
- (dd) the items of expenditure in running of the canteen which are not to be taken into account in fixing the cost of food-stuffs and which shall be borne by the employer.

- (e) the delegation to the Chief Inspector, subject to such conditions as may be prescribed, of the power to make rules under clause (c).

6. Shelters, rest rooms and lunch rooms (Sec. 47)

(1) In every factory wherein more than one hundred and fifty workers are ordinarily employed, adequate and suitable shelters or rest rooms and a suitable lunch room, with provision for drinking water, where workers can eat meals brought by them, shall be provided and maintained for the use of the workers.

A canteen maintained in accordance with Sec. 46 is regarded as part of the requirements of this sub-section. Where a lunch room exists no worker shall eat any food in the work room.

(2) The shelters or rest rooms or lunch rooms to be provided under sub-section (1) shall be sufficiently lighted and ventilated and shall be maintained in a cool and clean condition.

(3) The State Government may—

- (a) prescribe the standards in respect of shelters, rest rooms etc. ;
- (b) by notification in the official Gazette, exempt any factory or class or description of factories from the requirements of this section.

7. Creches (Sec. 48)

(1) In every factory wherein more than thirty women workers are ordinarily employed there shall be provided and maintained a suitable room or rooms for the use of children under the age of six years of such women.

(2) Such rooms shall provide adequate accommodation, shall be adequately lighted and ventilated, shall be maintained in a clean and sanitary condition and shall be under the charge of women trained in the care of children and infants.

(3) The Government may make rules—

- (a) prescribing the location and the standards of such rooms ;
- (b) requiring the provision of additional facilities for the care of children ;
- (c) requiring the provision in the factory of free milk or refreshment or both for such children ;
- (d) requiring that facilities shall be given in any factory for the mothers of such children to feed them at the necessary intervals.

8. Welfare officers (Sec. 49)

(1) In every factory wherein five hundred or more workers are ordinarily employed the occupier shall employ in the factory such number of welfare officers as may be prescribed.

(2) The State Government may prescribe the duties qualifications and conditions of service of officers employed under sub-section (1). Even if a factory employs over five hundred workers only for a few months in the year and not continuously throughout the year, the occupier must employ the specified number of welfare officers. [*Employers' Association of Northern India v. Secretary of Labour, AIR (1952).*]

9. Power to make rules to supplement this Chapter (Sec. 50)

The State Government may make rules—

(a) exempting, subject to compliance with such alternative arrangements for the welfare of workers as may be prescribed any factory or class or description of factories from compliance with any of the provisions of this Chapter ;

(b) requiring in any factory or class or description of factories that representatives of the workers employed in the factory shall be associated with the management of the welfare arrangements of the workers.

Summary

Summary of the provisions of the Factories Act regarding the welfare of workers are stated below :

1. *Washing* : In every factory adequate and suitable facilities for *washing* shall be provided and maintained. They shall be conveniently accessible and shall be kept clean. There must be separate provisions for male and female workers.—Sec. 42.

2. *Storing and drying* : The State Government may make rules requiring the provision of suitable facilities for *storing and drying clothing*.—Sec. 43.

3. *Sitting* : *Sitting facilities* must be provided for workers who have to work in a standing position, so that they may take rest when possible. When work can be done in a sitting position efficiently, the Chief Inspector may direct the provision of sitting arrangements.—Sec. 44.

4. *First aid* : Every factory must provide *first aid boxes* or cupboards. They must contain the prescribed materials and they

must be in charge of persons trained in first aid treatment. Factories employing more than 500 persons must maintain an ambulance room containing the prescribed equipment and in charge of the prescribed medical and nursing staff.—Sec. 45.

5. *Canteens* : Where more than 250 workers are employed, the State Government may require the opening of *canteen or canteens* for workers. Rules may be framed regarding the food served; its management etc.—Sec. 46.

6. *Shelters* : In every factory where more than 150 workers are employed there must be provided adequate and suitable *shelters or rest rooms and a lunch room* (with drinking water supply) where workers may eat meals brought by them. Such rooms must be sufficiently lighted and ventilated and must be maintained in a cool and clean condition. The standards may be fixed by the State Government.—Sec. 47.

7. *Creches* : In every factory where more than 30 women are employed, a *room shall be provided for the use of the children* (below 6 years) of such women. The room shall be adequate size, well lighted and ventilated, maintained in a clean and sanitary condition and shall be in charge of a woman trained in the care of children and infants. The standards shall be laid down by the State Government.—Sec. 48.

8. *Welfare officers* : *Welfare officers* must be appointed in every factory where 500 or more workers are employed. The State Government may prescribe the duties, qualifications etc. of such officers.—Sec. 49.

9. *Rules* : The State Government may *make rules regarding the welfare of workers*.—Sec. 50.

THE WORKING HOURS OF ADULTS

Adult

For definition, see page 816.

Weekly Hours

No adult worker shall be required or allowed to work in a factory for more than forty-eight hours in any week.—Sec. 51.

Daily Hours

No adult worker shall be required or allowed to work in a factory for more than nine hours in any working day. The daily

maximum may be exceeded with the previous approval of the Chief Inspector, to facilitate change of shifts.—Sec. 54.

Intervals for Rest

The periods of work of adult workers in a factory each day shall be so fixed that no period shall exceed five hours and that no worker shall work for more than five hours before he has had an interval for rest of at least half an hour. The State Government or the Chief Inspector may, by order in writing, and for reasons stated therein, increase the work period to six.—Sec. 55.

Spreadover

The periods of work of an adult worker in a factory shall be arranged that inclusive of his intervals for rest under section 55, they shall not spread-over more than ten and half hours in any day. The Chief Inspector may for specified reasons increase the spreadover up to twelve hours.—Sec. 56.

RULES REGARDING EMPLOYMENT OF ADULTS

Night Shifts

Where a worker in a factory works on a shift which extends beyond midnight, (a) his weekly holiday and compensatory holiday means a period of holiday for 24 consecutive hours beginning when his shift ends and (b) the following day for him shall be deemed to be the period of 24 hours beginning when such shift ends and the hours he has worked after midnight shall be counted in the previous day.—Sec. 57.

Overlapping Shifts

Work shall not be carried on in any factory by means of a system of shifts so arranged that more than one relay of workers is engaged in work of the same kind at the same time. The State Government or the Chief Inspector may grant exemption from this rule.—Sec. 58.

Double Employment

No adult worker shall be required or allowed to work in any factory on any day on which he has already been working in any other factory, save in such circumstances as may be prescribed.—Sec. 60.

Notice of Periods of Work

There must be displayed in every factory a notice showing periods of work of adults, classification of workers in groups according to nature of their work, shifts and relays etc. Change made in the system of work must be notified to the Inspector before change. The manager of every factory must maintain a Register of Adult Workers showing the name of each worker, the nature of his work, the group in which he is included, the relay in which he is allotted etc. The hours of work of an adult worker must correspond with the notice referred to above and the Register.—Sections 61, 62, 63.

No adult worker shall be required or allowed to work in any factory unless his name and other particulars have been entered in the register of adult workers.—Sec. 62(1A) added by the Factories (Amendment) Act, 1976.

Exemptions

By sections 64 and 65, the State Government has been given power to exempt for limited periods certain factories from compliance with some of the provisions relating to hours of work and employment.

Such exemptions are necessary in special cases, for example in the case of workers engaged in *urgent repairs* or in *preparatory and complementary work*. In some industries work is of an *intermittent character* and the enforcement of all the rules stated above will create hardship. The nature of the work in certain industries requires exceptional treatment, e.g., *workers engaged in engine rooms and boilers* or in the *printing of newspapers*. The State Government may exempt persons holding positions of *supervision and management* or in *confidential positions* in a factory from the operation of the rules regarding working hours (except the rule against the employment of women at night).

Confidential Position : The State Government may empower the Chief Inspector to declare a person other than any person defined by such rules, as a person holding position of supervision or management or employed in a confidential position in a factory, if, the Chief Inspector is of opinion that he can be employed.

If any such person does not get more than Rs. 750 p.m. as wages, he will be entitled to extra wages for overtime work.—Sec. 65(1), added by The Factories (Amendment) Act, 1976.

Hours and Spreadover : Any exemption granted under Sec. 65(2) shall be subject to the following conditions, namely :

- (i) the total number of hours of work in any day shall not exceed twelve ;
- (ii) the spread over, inclusive of intervals for rest, shall not exceed thirteen hours in any one day ;
- (iii) the total number of hours of work in any week, including overtime, shall not exceed sixty ;
- (iv) no worker shall be allowed to work overtime, for more than seven days at a stretch and the total number of hours of overtime work in any quarter shall not exceed seventy-five—Sec. 65(3), Factories (Amendment) Act, 1976.

Quarter : This is a period of three consecutive months beginning on the 1st January, the 1st of April, the 1st of July or the 1st of October.—Sec. 64.

RESTRICTIONS ON THE EMPLOYMENT OF WOMEN

By section 66 the following restrictions have been imposed to women workers ;

- (a) *Maximum daily work is 9 hours* : No exemption from the provisions of Section 54 (which lays down that the maximum daily hours of work shall be nine hours) can be granted in respect of any women.
- (b) *Prohibition of night work* : No women shall be required or allowed to work in any factory except between the hours of 6 a.m. and 7 p.m. The State Government may by notification in the official Gazette vary the limits for any factory or group or class or description of factories. But such variation must not authorise the employment of women between the hours 10 p.m. and 5 a.m.
- (c) *Change of shift only after holiday* : There shall be no change of shifts for women except after a weekly holiday or any other holiday.

Exception : There is an exceptional case. The State Government may make rules providing for the exemption from the aforesaid restrictions (wholly or partially or conditionally) of women working in fish-curing or fish-canning factories. In factories, mentioned above, the employment of women beyond the hours specified is necessary to prevent damage to or

deterioration in any raw material. But such rules shall remain in force for not more than three years at a time.

Other restrictions : There are other restrictions on the employment of women workers :

1. *Work on or near machinery in motion* : No woman or young person shall be allowed to clean, lubricate or adjust any part of the machinery while the prime mover or transmission machinery is in motion or to work between moving parts, or between fixed and moving parts of any machinery which is in motion.—Sec. 22(2). (See p. 829).

2. *Cotton openers* : No woman or child shall be employed in any part of a factory for pressing cotton in which a cotton opener is at work.

If the feed-end of a cotton opener is in a room separated from the delivery-end by a partition extending to the roof or to such height as the Inspector may in a particular case specify in writing, women and children may be employed on the side of the partition where the feed-end is situated.—Sec. 27. (See p. 831).

3. *Excessive weights* : The State Government may make rules prescribing the maximum weights which may be lifted, carried, or moved by adult men, adult women, adolescents and children employed in factories or in any class or description of factories or in carrying on any specified process.—Sec. 34. (See p. 835).

4. *Creches* : In every factory wherein more than thirty women workers are ordinarily employed there shall be provided and maintained a suitable room or rooms for the use of children under the age of six years of such women.—Sec. 48. (See p. 847).

5. *Dangerous operations* : The State Government is empowered to make special rules for the purpose of controlling and regulating factories which carry on operations exposing women, young persons and other workers to a serious risk of bodily injury, poisoning or disease.—Sec. 87(b) (See p. 867).

EMPLOYMENT OF YOUNG PERSONS

Definition of Young Persons—See page 816.

Employment of Children

No child who has not completed his fourteenth year shall be required or allowed to work in any factory.—Sec. 67.

Certificate of Fitness and Token

A child who has completed his fourteenth year or an adolescent shall not be required or allowed to work in any factory unless (a) he has been granted a certificate of fitness, which is in the custody of the manager, and (b) such child or adolescent carries a token giving a reference to such certificate—Sec. 68.

The Certificate of Fitness is a certificate granted to a child or adolescent by a Certifying Surgeon after examination. The Certificate is given to a child if the surgeon is satisfied that he has completed his fourteenth year and has attained the prescribed physical standards. The certificate is granted to an adolescent if the surgeon is satisfied that he has completed his fifteenth year and is fit for a full day's work in a factory. The certifying surgeon must have personal knowledge of the intended place of work and of the manufacturing process involved. The certificate is valid only for a period of 12 months. It may be granted subject to conditions (e.g., that of periodical reexamination). The certificate may be renewed and, if necessary, revoked. Any fee payable for the certificate must be paid by the occupier of the factory and must not be recovered from the young person or his parents or guardian.—Sec. 69.

An adolescent who has been granted a certificate of fitness and who carries a token is deemed to be an adult for the purposes of Chs. VI and VIII of the Act. (Ch. VI deals with the hours of work of an adult and Ch. VIII deals with annual leave). But no adolescent who has not attained the age of seventeen years shall be employed or permitted to work in any factory during night. "Night" means a period of at least 12 consecutive hours which shall include an interval of at least seven consecutive hours falling between 10 p.m. and 7 a.m. An adolescent who has not been granted a certificate of fitness, shall be deemed to be a child for the purposes of the Act.—Sec. 70.

Section 70(1A) provides that no female adolescent or a male adolescent who has not attained the age of seventeen years but who has been granted a certificate of fitness to work in a factory as an adult, shall be required or allowed to work in any factory except between 6 a.m. and 7 p.m.

The State Government may grant exemption from the provision of this sub section in case of serious emergency where national interest is involved.

Working hours for Children

The law regarding working hours for children are stated below—Sec. 71 :

1. No child shall be employed or permitted to work in any factory—

(a) for more than four and a half hours in any day ;

(b) during the night.

Explanation : For the purpose of this sub-section “night” shall mean a period of at least twelve consecutive hours which shall include the interval between 7 p.m. and 8 a.m.

2. The period of work of all children employed in a factory shall be limited to two shifts which shall be not overlap or spread-over more than five hours each, and each child shall employed in only one of the relays which shall not, except with the previous permission in writing of the Chief Inspector, be changed more frequently than once in a period of thirty days.

3. The provisions of section 52 shall apply also to child workers, and no exemption from the provisions of that section may be granted in respect of any child. (Sec. 52 relates to weekly holidays. See next Section).

4. No child shall be required or allowed to work in any factory on any day on which he has already been working in another factory.

Section 71(5) states that no female child shall be required or allowed to work in any factory except between 8 a.m. and 7 p.m.

Notice and Register

A notice must be displayed showing clearly the periods of work of children.—Sec. 72.

The manager of every factory must maintain a Register of child workers showing the name of each child worker, the nature of his work, the group (if any) in which he is included, the relay to which he is allotted and the number of his certificate of fitness.—Sec. 73.

No child worker shall be required or allowed to work in any factory unless his name and other particulars have been entered in the register of child workers.—Sec. 73 (1A), Factories (Amendment) Act, 1976.

The hours of work of a child must correspond with the Notice and the Register.—Sec. 74.

Medical Examination

Where an Inspector is of opinion that a person working as an adult is a young person, or that a young person is not fit to work, he may direct the manager of the factory to have the person medically examined by a certifying surgeon.—Sec. 75.

Other rules regarding the employment of young persons

No young person shall work at any dangerous machine unless he has been fully instructed as to the dangers arising in connection with the machine and the precautions to be observed, and (a) has received sufficient training in work at the machine or (b) is under adequate supervision by a person who has a thorough knowledge and experience of the machine. The State Government is to prescribe what machines are dangerous for the purpose of this section.—Sec. 23.

Certain restrictions on adolescents and children are stated in Sections 22(2), 27, 34 and 87(b). (See page 852).

The State Government may make rules regarding the forms of the Certificate of Fitness, the procedure relating to their issue, and the physical standards to be attained by children and adolescents.—Sec. 76.

The provisions relating to the employment of young persons shall be in addition to and not in derogation of, the provisions of the Children Act of 1938, 1960 and 1978.—Sec. 77. (see below).

CHILD-LABOUR

Rules regarding child-labour are contained in the Factories Act, Mines Act etc. There are also two general Acts on the subject. The *Children (Pledging of Labour) Act (Act 11 of 1933)* prohibits the making of agreements to pledge the labour of children and the employment of children whose labour has been pledged. The *Children Act* of 1938, 1960 and 1978 prohibit the employment of a child who has not completed his fifteenth year of age in any occupation connected with the transport of passengers, goods or mails by railway or connected with a port authority within the limits of any port. The Act also prohibits the employment of a child, who has not completed his fourteenth year of age, in the processes set forth in the schedule to the Act. Children between 15 and 17 can be employed subject to certain restrictions as regards their periods of rest etc.

HOLIDAYS AND LEAVE

The Factories Act provides for the following holidays, viz., Weekly holidays, Compensatory holidays and Annual leave with wages according to certain rules. The provisions are explained below.

Weekly Holidays

Section 52 provides that an adult worker shall have a holiday on the first day of the week. But the manager of the factory may fix the holiday on any other day which is within three days before or after the first day of the week. In case of such substitution, notice must be given to the Inspector of Factories and displayed in the factory. No substitution can be made which will result in any worker working for more than ten days consecutively without a holiday for a whole day. The State Government may make rules providing for exemption from the above section in certain cases, e.g., for urgent repairs.

The Weekly Holidays Act (Act XVIII of 1942) provides for the grant of weekly holidays to persons employed in shops, restaurants and theatres. The Act can be applied to a State by notification of State Government.

Compensatory Holidays

Where as a result of the exemption of a factory from the operation of the rule regarding weekly holidays, a worker is deprived from any weekly holidays he shall be allowed within the month in which the holidays were due, or within two months immediately following that month, compensatory holidays of equal number to the holidays lost.—Sec. 53.

Annual Leave with Wages

Sections 78 to 84 provide for the grant of a certain period of leave with wages to workmen.

Every worker who has worked for a period of 240 days or more in a factory during a calendar year shall be allowed during the subsequent calendar year, leave with wages for a number of days calculated at the rate of—

- (i) if an adult, one day for every twenty days of work performed by him during the previous calendar year ;
- (ii) if a child, one day for every fifteen days of work performed by him during the previous calendar year.

Rules

Rules regarding the Annual Leave are summarised below :

1. When counting the number of days of work performed by a worker, the following are to be included : (a) days of lay off, (b) maternity leave to a female worker, not exceeding twelve weeks, and (c) the leave earned in the previous year. But the worker shall *not* earn leave for these days.

2. The leave admissible under the aforesaid rule shall be exclusive of all holidays whether occurring during or at either end of the period of leave.

3. A worker whose service commences otherwise than on the first day of January shall be entitled to leave with wages at the rate laid down above if he has worked for two-thirds of the total number of days in the remainder of the calendar year.

4. If a worker is discharged or dismissed from service or quits his employment or is superannuated or dies while in service, during the course of the calendar year, he or his heir or nominee, as the case may be, shall be entitled to wages in lieu of the quantum of leave to which he was entitled immediately before his discharge, dismissal, quitting of employment, superannuation or death calculated at the rates specified in sub-section (1); even if he had not worked for the entire period specified in sub-section (1) or sub-section (2) making him eligible to avail of such leave. Such payment shall be made—

- (i) where the worker is discharged or dismissed or quits employment—before the expiry of the second working day from the date of such discharge, dismissal or quitting; and
- (ii) where the worker is superannuated or dies while in service—before the expiry of two months from the date of such superannuation or death. (Amended by the Act of 1976.)

5. In calculating the leave period, fraction of leave for half a day or more shall be treated as one day and fractions of less amount shall be omitted.

6. Leave earned, but not taken, can be carried forward to a succeeding year subject to a limit of thirty days in the case of an adult and forty days in the case of a child. But earned leave not allowed because of any scheme for leave in operation, can be carried forward without limit.

7. Application for leave must be submitted to the manager not less than 15 days before the date of commencement of leave. In the case of public utility service it must be made not less than 30 days before such date. If a worker becomes ill and wants to avail himself of the annual leave during the period of illness, he shall be granted leave even though the application is not made before the period specified above.

8. The application for leave may be for the whole of the leave due or part of it. But earned leave cannot be taken more than three times during the same year.

9. For the purpose of ensuring the continuity of work, the occupier or manager of the factory may draw up a Scheme for regulating the grant of leave. The Scheme must be agreed to by the Works Committee, if any, or the representatives of workers. It must be lodged with the Chief Inspector and displayed in the factory.

10. An application for leave submitted in proper time shall not be refused unless the refusal is in accordance with any leave scheme in operation.

11. The unavailed leave of a worker shall not be taken into consideration in computing the period of any notice required to be given before discharge or dismissal.

12. The State Government may exempt a factory from the operation of the above rules if it is satisfied that its own leave rules provide benefits (the totality of benefits) which are not less favourable to the workers than the statutory leave rules.

13. Where by virtue of any award, agreement (including settlement) or contract of service the worker is entitled to a longer period of leave than that provided by the aforesaid rules, he will be entitled to such longer leave.

14. The rules contained in these sections do not apply to railway factory administered by the Government which are governed by leave rules approved by the Central Government.

15. If an award, agreement (including settlement) or contract of service provides for a longer annual leave with wages than provided in this chapter, the quantum of leave, which the worker shall be entitled to, shall be in accordance with such award, agreement or contract of service, but in relation to matters not provided for in such award, agreement or contract of service or matters which are provided for less favourably therein, the provisions of sections 79 to 82, so far as may be, shall apply. (Added by the Amendment of 1976.)

Wages during Leave Period

For the period of leave allowed to a worker according to rules, he shall be paid at a rate equal to the daily average of his total full-time earnings for the days on which he actually worked during the month immediately preceding his leave. The average rate is to be calculated, exclusive of any overtime and bonus, but inclusive of dearness allowance and the cash equivalent of the advantage accruing through the concessional sale to the worker of food-grains and other articles. The cash equivalent, referred to above, is to be computed according to the method used when calculating the extra wages payable for overtime work. (See *post*)—Sec. 80.

If the employment of a worker who is entitled to leave is terminated by the occupier of the factory before he has taken the entire leave to which he is entitled, he must be paid wages for the leave period not taken and such wages must be paid before the expiry of the second working day after such termination. Similarly, if the worker quits his service after having applied for and obtained leave, he must be paid wages for the leave period and such wages must be paid on or before the next pay day. The amount of wages payable is to be calculated according to the provisions of Section 80.—Sec. 79(11).

A worker who has been allowed leave for not less than four days in the case of an adult and five days in the case of a child, shall before his leave begins, be paid the wages due for the period of leave allowed.—Sec. 81.

Wages for the leave period, if not paid by an employer, shall be recoverable as delayed wages under the provisions of the Payment of Wages Act, 1936.—Sec. 82. (See Ch. 7).

EXTRA WAGES FOR OVERTIME

(1) Where a worker works in a factory for more than nine hours in any day or for more than 48 hours in any week, he shall in respect of overtime work, be entitled to wages at the rate of twice his ordinary rate of wages.—Sec. 59(1).

(2) For the purpose of sub-section (1), "ordinary rate of wages" means the basic wages plus such allowances, including the cash equivalent of the advantage accruing through the concessional sale to workers of foodgrains and other articles, as the worker is for the time being entitled to, but does not include a bonus and wages for overtime work.—Sec. 59(2).

(3) Where any workers in factory are paid on a piece rate basis, the time rate of their work will include the following rules :

- (i) if the workers had been paid on the same or identical job during a month immediately preceding a month during which overtime work was done, the time rate shall be deemed to be equivalent to the daily average of their fulltime earnings for the days of the overtime work. Also such time rates shall be deemed to be the ordinary rates of wages of those workers.
- (ii) In the case of a worker who had not worked in the immediately preceding calendar month on the same or identical job, the time rate shall be deemed to be equivalent to the daily average of the earning of the worker for the days on which he actually worked in the week in which the overtime work was done.

Explanation : For the purposes of this sub-section in computing the earnings for the days on which the workers actually worked, the allowances include the cash equivalent in order to buy foodgrains and other articles through concessional sale as the worker is for the time being entitled to.

Exception : But any bonus or wages for overtime work payable in relation to the period with reference to which the earnings are being computed shall not be included.—Sec. 59(3).

[Clauses (2) and (3) were substituted from the old Act by the Amendment of 1976].

(4) The cash equivalent of the advantage accruing through the concessional sale to a worker of foodgrains and other articles shall be computed as often as may be prescribed on the basis of the maximum quantity of foodgrains and other articles admissible to a standard family.

Explanation : 1. "Standard family" means a family consisting of the worker, his or her spouse and two children below the age of fourteen years requiring in all three adult consumption units.

2. "Adult consumption unit" means the consumption unit of a male above the age of fourteen years ; and the consumption unit of a female above the age of fourteen years and that of a child below the age of fourteen years shall be calculated at the rates of 0.8 and 0.6 respectively of one adult consumption unit. Sec. 59(4).

(5) The State Government may make rules prescribing—

- (a) the manner in which the cash equivalent of the advantage

- accruing through the concessional sale to a worker of food-grains and other articles shall be computed; and
- (b) the registers that shall be maintained in a factory for the purpose of securing compliance with the provisions of this section.—Sec. 59(5).

★ UNFAIR LABOUR PRACTICE

Definition

“Unfair Labour Practice” means any of the practices specified in the Fifth Schedule.—Section 2(a).

Prohibition of unfair labour practice

No employer or workman or a trade union, whether registered under the Trade Unions Act, 1926 (16 of 1926) or not, shall commit any unfair labour practice.—Section 25T.

Penalty for committing unfair labour practices

Any person who commits any unfair labour practice shall be punishable with imprisonment for a term which may extend to six months or with fine which may extend to one thousand rupees or with both,—Section 25U.

Comments¹

“There is at present no Central Law specifying unfair labour practices on the part of employers, workmen and the trade unions of employers and workmen and for imposing any penalty for resorting to such undesirable practices. Certain State-laws as well as voluntary Codes of Discipline laid down by the Indian Labour Conference specify certain practices as unfair labour practices. The National Commission on Labour which examined this aspect in detail suggested a list of such unfair practices. It is proposed to make suitable provision in the Act to specify certain practices as unfair labour practices on the part of employers, workmen and trade unions and to provide for penalties for those including in such practices.”

The Fifth Schedule

[See Section 2(ra), above.] *Unfair Labour Practices.*

I—On the part of employers and trade unions of employees

1. To interfere with, restrain from, or coerce, workmen in the exercise of their right to organise, form, join or assist a trade union

¹ *Statement of Objects and Reasons, The Industrial Disputes (Amendment) Act, 1982.*

or to engage in concerted activities for the purposes of collective bargaining or other mutual aid or protection that is to say—

- (a) threatening workmen with discharge or dismissal, if they join a trade union ;
- (b) threatening a lock-out or closure, if a trade union is organised ;
- (c) granting wage increase to workmen at crucial periods of trade union organisation, with a view to undermining the efforts of the union at organisation.

2. To dominate, interfere with or contribute support, financial or otherwise, to any trade union, that is to say—

- (a) an employer taking an active interest in organising a trade union of his workmen ; and
- (b) an employer showing partiality or granting favour to one of several trade unions attempting to organise his workmen or to its members, where such a trade union is not a recognised trade union.

3. To establish employer sponsored trade unions of workmen.

4. To encourage or discourage membership in any trade union by discriminating against any workman, that is to say—

- (a) discharging or punishing a workman, because he urged other workmen to join or organise a trade union ;
- (b) discharging or dismissing a workman for taking part in any strike (not being a strike which is deemed to be an illegal strike under this Act) ;
- (c) changing seniority rating of workmen because of trade union activities ;
- (d) refusing to promote workmen to higher posts on account of their trade union activities.
- (e) giving unmerited promotion to certain workmen with a view to creating discord amongst other workmen, or to undermine the strength of their trade union.
- (f) discharging office-bearers or active members of the trade union on account of their trade union activities.

5. To discharge or dismiss workmen—

- (a) by way of victimisation ;
- (b) not in good faith, but in the colourable exercise of the employer's rights ;
- (c) by falsely implicating a workman in a criminal case on false evidence or on concocted evidence ;

- (d) for patently false reasons ;
- (e) on untrue or trumped up allegations of absence without leave ;
- (f) in utter disregard of the principles of natural justice in the conduct of domestic enquiry or with undue haste ;
- (g) for misconduct of a minor or technical character, without having any regard to the nature of the particular misconduct or the past record or service of the workman, thereby leading to a disproportionate punishment.

6. To abolish the work of a regular nature being done by workmen, and to give such work to contractors as a measure of breaking a strike.

7. To transfer a workman *mala fide* from one place to another, under the guise of following management policy.

8. To insist upon individual workmen, who are on a legal strike to sign a good conduct bond, as a precondition to allowing them to resume work.

9. To show favouritism or partiality to one set of workers regardless of merit.

10. To employ workmen as 'badlis', casuals or temporaries and to continue them as such for years, with the object of depriving them of the status and privileges of permanent workmen.

11. To discharge or discriminate against any workman for filing charges or testifying against an employer in any enquiry or proceeding relating to any industrial dispute.

12. To recruit workmen during a strike which is not an illegal strike.

13. Failure to implement award, settlement or agreement.

14. To indulge in acts of force by violence.

15. To refuse to bargain collectively, in good faith with the recognised trade unions.

16. Proposing or continuing a lock-out deemed to be illegal under this Act.

II—On the part of workmen and trade unions of workmen.

1. To advise or actively support or instigate any strike deemed to be illegal under this Act.

2. To coerce workmen in the exercise of their right to self organisation or to join a trade union or refrain from joining any trade union, that is to say—

- (a) for a trade union or its members to picketing in such a manner that non-striking workmen are physically debarred from entering the work places.
- (b) to indulge in acts of force or violence or to hold out threats of intimidation in connection with a strike against non-striking workmen or against managerial staff.

3. For a recognised union to refuse to bargain collectively in good faith with the employer.

4. To indulge in coercive activities against certification of a bargaining representative.

5. To stage, encourage or instigate such forms of coercive actions as wilful 'go slow', squatting on the work premises after working hours or 'gherao' of any of the members of the managerial or other staff.

6. To stage demonstrations at the residences of the employers or the managerial staff members.

7. To incite or indulge in wilful damage to employer's property connected with the industry.

8. To indulge in acts of force or violence or to hold out threats of intimidation against any workman with a view to prevent him from attending work.

WAGES AND SALARY

Both these terms are used to denote payment made for service. In Stroud's *Judicial Dictionary*, the following comments are made; "Where the engagement is for a period, is permanent or substantially permanent in character, and is for other than manual or relative unskilled labour, the remuneration is generally called a salary." ".....in general, the word 'salary' is used for payment of services of a higher class, and 'Wages' is confined to the earnings of labourers and artisans."

The High Court of Madras was of opinion that if the remuneration is to be paid daily or weekly it can be called Wages; but where there is monthly payment and is fairly high, considering the general standard of payment, it is to be called Salary. According to the Payment of Wages Act any amount over Rs. 200 (now Rs. 1000) may be considered as Salary for the purposes of Factories Act. *Re Gemini Studio*¹. (See ch.7)

¹ L.L.J. (1953) (Jan. p. 29)

"Conceptually there is no difference between salary and wages both being a recompense for work done or services rendered, though ordinarily the former expression is used in connection with services of non manual type while the latter is used in connection with manual services." *Gestetner Duplicators Pvt. Ltd. v. The Commissioner of Income Tax. W.B.*¹ In this judgment the following cases were cited and approved, *Mohmedalli v. Union of India*²; *Gordon v. Jennings*³.

In the cases mentioned above, and also in Stroud's dictionary, it was held that there is no basic difference between salary and wages.

OBLIGATIONS OF WORKERS

Section 111 lays down that no worker in a factory—

- (a) shall wilfully interfere with or misuse any appliance, convenience or other things provided in a factory for the purpose of securing the health, safety or welfare of the workers therein ;
- (b) shall wilfully and without reasonable cause do anything likely to endanger himself or others ; and
- (c) shall wilfully neglect to make use of any appliance or other thing provided in the factory for the purposes of securing the health or safety of the workers therein.

If any worker contravenes any of the provisions of this section or of any rule or order made thereunder he shall be punishable with imprisonment which may extend to 3 months or with fine which may extend to Rs. 100 or with both.

OTHER PROVISIONS OF THE FACTORIES ACT

A brief summary is given below of the other provisions of the Factories Act.

Departments as Factories

The State Government may, upon application, declare that for the purposes of the Act, different departments or branches of a factory shall be treated as separate factories or that two or more factories of the occupier shall be treated as the same factory—Sec. 4.

¹ AIR (1979) Supreme Court 607 ² AIR (1964) Supreme Court 1980
³ (1882) 51 LJQB 417

Exemption during Public Emergency

Factories or any class of factories may be exempted from the operation of any of the provisions of the Act during a public emergency (except that of Sec. 67, employment of children) for such periods and subject to such conditions as the Government may think fit. The exemption is to be made by notification in the official Gazette for a period not exceeding three months at a time.—Sec. 5.

* *Explanation* : For the purpose of this section “public emergency” means a grave emergency whereby the security of India or of any part of the territory thereof is threatened, whether by war or external aggression or internal disturbance.—Amendment of 1976.

Exemption of Public Institutions

The State Government may exempt subject to such conditions as it may consider necessary, any workshop or workplace where a manufacturing process is carried on and which is attached to a public institution maintained for the purposes of education, training, research or reformation from all or any of the provisions of the Act. But no exemption is to be granted from the provisions relating to hours of work and holidays unless there is a scheme relating to such matters containing rules not less favourable to the workers than the provisions of the Act.—Sec. 86.

Dangerous Operations

The State Government is empowered to make special rules for the purpose of controlling and regulating factories which carry on manufacturing process or operation exposing workers to a serious risk of bodily injury, poisoning or disease.—Sec. 87. Rules have been made providing for medical examination protection of workers; restricting and controlling the use of particular materials and processes; payment of fees for medical examination by the occupier; welfare amenities; sanitary amenities; measures to avoid imminent danger of poisons or toxicity.

Section 87A (1) provides that where it appears to the Inspector that conditions in a factory may cause serious hazard by way of injury or death to the persons employed therein, or

to the general public in the vicinity, he may by order in writing prohibit the occupier of the factory from employing any person in the factory other than the minimum number of persons necessary to attend to the minimum tasks till the hazard is removed.

According to Section 87A (2) these orders will be effective for three days unless it is extended by the inspector.

Section 87A (3) states that any person aggrieved by an order of the Inspector under sub-Section (1) and the Chief Inspector under sub-Section (2) shall have the right to appeal to the High Court.

Section 87A (4) provides that any person whose employment has been affected by an order issued under sub-Section (1) shall be entitled to wages and other benefits and the occupier must provide alternative employment to him whenever possible and in the manner prescribed.

Section 87A(5) states that the provision of sub-Section (4) shall be without prejudice to the rights of the parties under the Industrial Disputes Act (1947).

Notifiable Accidents

(1) The manager of a factory must send a notice to the authorities whenever an accident occurs which causes death or which causes bodily injury preventing the worker from working for a period of 48 or more hours or other types of injury which may be specified by rules.

(2) Where a notice given under sub-Section (1) relates to an accident causing death, the authority to whom the notice is sent shall make an inquiry into the occurrence within one month of the receipt of the notice or, if such authority is not the Inspector, cause the Inspector to make an inquiry within the said period.

(3) The State Government may make rules for regulating the procedure at inquiries under this section.—Sec. 88.

[Paras 2 and 3 had been added by the Amendment of 1976].

Notice of certain dangerous occurrences

Where in a factory any dangerous occurrence of such nature as may be prescribed occurs, whether causing any bodily injury or disability or not, the manager of the factory shall send notice

thereof to such authorities, and in such form and within such time, as may be prescribed.—Sec. 88A, Factories (Amendment) Act, 1976.

Notifiable Diseases

The manager of a factory must send notice to the authorities whenever a worker contracts of the any diseases mentioned in the Schedule to the Act. Section 89(1) provides that for the word "The Schedule" shall be substituted for the word, "The Third Schedule."

Section 89 (4) provides that "if any medical practitioner fails to comply with the provisions of sub-Section (2), he shall be punishable with fine which may extend to one thousand rupees."

Examples :

These are known as Occupational Diseases. Poisoning by lead, mercury, phosphorus etc. ; anthrax; silicosis ; cancer of the skin ; toxic anaemia or jaundice ; etc.

The medical parctitioner attending the person, if any, shall without delay send a report to the Chief Inspector in writing, stating the name of the person affected and other particulars.—Sec. 89.

Enquiry into Accidents and Diseases

The State Government may appoint a competent person to enquire into the causes of any accident occurring in a factory or of a notifiable disease, and may also appoint one or more persons possessing legal or special knowledge to act as assessors in such enquiry. The person appointed to enquire can call witnesses like a Civil Court and exercise any of the powers of an Inspector. He must submit a report to the State Government, together with his observations. The report or extracts therefrom may be published.—Sec. 90.

Safety and Occupational Health Survey

The State Government or the Director General of Factory Advice Service and Labour Institutes etc., can employ the Chief Inspector and certain other persons to undertake safety and occupational health surveys. The occupier and manager and all other persons shall afford all facilities for such survey, including examination, testing of plant and machinery, collection of samples, other data, medical examination of persons, calculation of wages and extra wages for overtime work.—Sec. 91A, added by The Factories (Amendment) Act, 1976.

PENALTIES AND PROCEDURES

Sections 92 to 106 lay down the rules regarding penalties for offences against the Act.

Owner : The owner of any premises, let out for use as different factories, is responsible for the provision and maintenance of common facilities and services, e.g., approach roads, drainage, water supply, latrines etc.

Occupier : In most cases the occupier of the factory is responsible for offences committed against the Act. But the occupier is exempted from liability if he can show that he has used due diligence to enforce the execution of the Act and that some other person committed the offence without his knowledge, consent or connivance.

Penalties : The penalties for some of the offences are mentioned below.

<i>Offence</i>	<i>Imprisonment</i>	<i>Fine</i>
Obstructing Inspector	Up to 6 months and/or up to	Rs. 10,000
Wrongfully disclosing results of analysis of sample	Up to 6 months and/or up to	Rs. 10,000
Using false certificate of fitness	Up to 2 months and/or up to	Rs. 1,000
Permitting double employment of child	nil	Rs. 1,000
Cases not otherwise provided for	Up to 3 months and/or up to	Rs. 2,000
Second offence for above	Upto 3 years and/or up to minimum	Rs. 10,000 maximum Rs. 2,00,000

Where contravention of any of the provisions of Chapter IV or any rule made thereunder or under Section 87 has resulted in an accident causing death or serious bodily injury, the fine shall not be less than one thousand rupees in the case of an accident causing death, and five hundred rupees in the case of an accident causing serious bodily injury.

Section 92 of the amending Act provides that subject to the provision of Section 93 if in respect of, any factory there is any contravention of any of the provisions of this Act, the occupier and manager of the factory shall each be guilty of an offence and punishable with imprisonment for a term which may extend to two years or with fine which may extend to one lakh rupees or with both. If the contravention is continued after conviction

the fine may be extended to one thousand rupees for each day on which the contravention is so continued.

If any such contravention has resulted in an accident causing death or serious bodily injury, the fine shall not be less than twenty five thousand rupees in the case of an accident causing death and five thousand rupees in the case of an accident causing serious bodily injury.

Section 95 of the amending Act provides that who willingly obstructs an Inspector in the exercise of any power conferred on him by or under this Act, shall be punishable with imprisonment for a term which may extend to six months or with fine which may extend to ten thousand rupees or with both.

Section 96A(1) states that who fails to comply with any of the provisions of Sections 41B, 41C or 41H or the rules made thereunder, shall in respect of such failure be punishable with imprisonment for a term which may extend to seven years and with fine which may extend to two lakh rupees. In case the contravention continues additional fine may be imposed. The additional fine may extend to five thousand rupees for every day during which such failure or contravention continues after the conviction for the first such failure.

If the failure continues beyond a period of one year after the date of conviction, the offender shall be punishable with imprisonment for a term which may extend to ten years.

Section 97(1) of the amending Act, provides that subject to the provision of Section 111, if any worker employed in a factory contravenes any provision of this Act, and any rules made under the Act, imposing any duty or liability on workers, he shall be punishable with fine which may extend to five hundred rupees.

Section 99 of the Act states that, if a child works in factory on any day on which he has already been working in another factory the parent or guardian of the child or the person having custody of or control over him or securing any direct benefit from his wages, shall be punishable with fine which may extend to one thousand rupees unless it seems to court that the child so worked without the consent of such parent, guardian or person.

Explanation : In this section and in section 94 "Serious bodily injury" means an injury which involves, or in all probability will involve, the permanent loss of the use of, or permanent injury to, any limb or the permanent loss of, or injury

to sight or hearing, or the fracture of any bone, but shall not include, the fracture of bone or joint (not being fracture of more than one bone or joint) of any phalanges of the hand or foot.—Sec. 92 added in the Amendment of 1976.

Cognizance : No court can take cognizance of an offence under the Act except on a complaint by or with the previous sanction of an Inspector in writing. Only a Presidency Magistrate or a Magistrate of the first class can try offences under the Act. The complaint must be filed within 3 months of the date when the commission of the offence came to the knowledge of an Inspector. For disobeying a written order of an Inspector, complaint may be filed within 6 months of the date when the offence was committed.

Section 104A states that in any proceeding for an offence for the contravention of any provision of this Act or rules made under it consisting of a failure to comply with a duty, it shall be for the person who is alleged to have failed to comply with such duty, to prove that it was not reasonably practicable or all practicable measures were taken to satisfy the duty.

Section 106A provides that for the purpose of conferring jurisdiction on any Court in relation to an offence under this Act, the place where the plant is situated shall be deemed to be the place where such offence has been committed.

Presumption : A person found in the factory when the factory is going on or the machinery is in motion, except during the time of meal or rest, is presumed to be employed in the factory until the contrary is proved.

When in the opinion of the Court a person is *prima facie* under-age, the burden shall be on the accused to show that such person is not under-age.

Appeals

The manager or the occupier of a factory on whom an order in writing has been served by an Inspector can appeal against it to the prescribed authority within thirty days.—Sec. 107.

Notice

In certain cases (prescribed by the rules) abstracts of the Act and the rules are required to be displayed in the factory. All notices under the Act must be displayed in English and in a language

understood by the majority of the workers employed therein. They must be displayed in a conspicuous and convenient place at or near the main entrance of the factory and must be maintained in a clean and legible condition. The Chief Inspector may require the display of posters relating to the health, safety and welfare of workers.—Sec. 108.

Returns

The owners, managers and occupiers of factories are required by rules to submit various returns and reports.—Sec. 110.

Section 111A provides that every worker shall have the right to—

(1) obtain from the occupier, information relating to workers' health and safety at work.

(2) get trained within the factory when possible, or at a training centre duly approved by the Chief Inspector where training is imparted for workers' health and safety at work.

(3) represent to the Inspector in the matter of inadequate provision for protection of his health or safety in the factory.

Power of the Central Government

The Central Government may give directions to a State Government as to the carrying into execution of the provisions of the Act.—Sec. 113.

Section 115(1) states that all rules made under this Act shall be published in the official Gazette.

Section 115 (2) provides that every rule made by the State Government under this Act shall be laid before the State Legislature.

Abolition of Contract Labour

The provisions of this Act shall have effect notwithstanding anything inconsistent therewith contained in the Contract Labour (Regulation and Abolition) Act, 1970.—Sec. 119, added by the Factories (Amendment) Act, 1976.

EXERCISES

1. State the meaning of the following terms as defined in the Factories Act of 1948 :
 - (a) Factory. (Pages 811-812)
 - (b) Worker. (Pages 814-815)
 - (c) Adult. (Page 816)
 - (d) Prime Mover. (Page 816)
 - (e) Manufacturing Process. (Pages 813-814)
 - (f) Adolescent. (Page 816)
 - (g) Child. (Page 816)
 - (h) Young Person. (Page 816)
 - (i) Wages and Salary. (Page 865)
2. Does the Factories Act apply to factories belonging to the Central Government ? (Page 866)
3. Can the State Government exempt from all provisions of the Factories Act an institution of education in a work-place or reformation ? (Page 812)
4. Discuss the circumstances under which the occupier or the manager may be exempted from liability under the Factories Act, 1948. (Page 870)
5. Are book-binding and constructing ships manufacturing processes ? (Pages 812-813)
6. Enumerate briefly the provisions of the Factories Act, 1948, relating to the health of workers. (Page 822)
7. Briefly mention the provisions laid down in the Factories Act for the purpose of securing the safety of young persons, women and children. (Pages 852-857)
8. Discuss the provisions of the Factories Act, 1948 relating to
 - (i) employment of Young Persons on dangerous machines and
 - (ii) artificial humidification. (Pages 829 ; 838)
9. Enumerate the provisions relating to safety of workers under the Factories Act, 1948. (Pages 828-842)
10. Briefly summarise the different provisions of the Factories Act, 1948, for the welfare of workers in a factory. (Pages 845-848)
11. What are the provisions on the Factories Act regarding the fencing of machinery for the safety of workers ? (Page 828)
12. Discuss the provisions in the Factories Act, regarding precautions in case of fire. (Pages 838-840)
13. Discuss the safety measures provided for in the Factories Act, 1948, relating to dangerous machines. (Pages 829-830)
14. What are the precautions stipulated against dangerous fumes in a Factory ? (Pages 836-837)

15. What are the obligations of the employer regarding ; (i) Dust and Fumes (ii) Overcrowding (iii) Creche ? (Pages 823 ; 824 ; 847)
16. Discuss the provisions of the Factories Act relating to artificial humidification. (Pages 823-824)
17. Define the term Certifying Surgeons. What are the duties of Certifying Surgeons ? (Page 821)
18. State the effect of certificate of fitness granted to the adolescent. (Page 854)
19. Discuss the rules relating to Approval, Licensing and Registration of factories. What is notice by occupier ? State the contents of the notice by occupier. (Page 818)
20. State the rules regarding annual leave with wages. (Pages 857-859)
21. What are the working hours for children in a factory ? (Page 855)
22. What are provisions in the Factories Act, 1948, regarding the payment of extra wages for overtime ? (Pages 860-862)
23. Is it compulsory on the employees to do overtime work ? When can it be claimed ? (Pages 860-862)
24. What are the rules regarding the powers of the Inspector of Factories to require medical examination of young person ? (Page 852)
25. Discuss the provisions of the Factories Act regarding employment of women and children in factories. (Pages 853-856)
26. State the provisions regarding employment of young persons.
27. State the law relating to working hours of adults and children employed in a factory. (Pages 849, 855)
28. Explain the provisions relating to notice of periods of work for adults. (Page 851)
29. What is the consequence of double employment of a child under the Factories Act ? (Page 855)
30. What are the restrictions in the Factories Act, 1948, relating to employment of women workers ? (Pages 852-853)
31. What are the restrictions in the Factories Act, 1948, relating to employment of child and women workers ? (Pages 852-853)
32. Problems :
 - (1) The working hours (including the rest interval) of a woman employed in a factory has been fixed from 2 p.m. to 11 p.m. Is this working hour valid ? Give reasons. (Page 852)
 - (2) The manager of a factory asks a worker to work for seventy hours (including overtime) in a particular week. Discuss with reasons whether the worker is bound to work for such long hours in a week. (Page 849)

33. State the provisions of the Factories Act, 1948, relating to registration of factories. (Pages 818-819)
34. Objectives questions. Give short answer :
- (i) Who is a Certifying Surgeon as defined in the Factories Act, 1948 ? (Page 821)
 - (ii) State the circumstances when compensatory holiday will be granted to the workers. (Page 857)
 - (iii) State whether a person under 15 years of age can be appointed in a factory. (Page 853)
 - (iv) Does the Factories Act apply to factories belonging to the Central Government ? (Page 811)
 - (v) What are the working hours for children in a factory ? (Page 853)
 - (vi) Mention the time within which the notice will be sent to the Inspector of Factories in case a new manager is appointed in the factory. (Page 819)
 - (vii) State with reason whether a child of 13 years can be employed in the factory. (Page 853)
 - (viii) Define manufacturing process. (Page 813)

SOCIAL INSURANCE

The Employees' State Insurance Act represents a landmark in the sphere of social-welfare legislations in India. The object of the Employees' State Insurance Act is to ensure social insurance by offering certain benefits to employees in case of sickness, maternity, employment injury, disablement etc.

Reasons

Persons who can earn income from work (for example, industrial and agricultural workers) find themselves in great difficulty when their earning power is affected by sickness, disablement, maternity, old age or unemployment. It is not possible for workmen individually to make an adequate provision against these risks. Hence they suffer from economic insecurity. The system of social insurance has been developed to eliminate the economic insecurity of the working classes.

Social insurance can be described as a system under which specified groups of people are compulsorily insured against certain specified risks like sickness, disablement or maternity. Whenever any of these contingencies occur, the insured person is paid certain benefits (by cash or otherwise) out of a fund created by contributions from the insured person, his employer, and the State. The coverage, i.e., the persons insured and the contingencies insured against, the rates of contribution and the methods of administering the system, differ from country to country.

As a method of eliminating economic insecurity, social insurance has been found to be highly successful. With a view to adopting the system in India, the Employees' State Insurance Act of 1948 was passed. The Act has been extensively amended in 1966 and 1975.

Object

The object of the Employees' State Insurance Act, 1948 is to introduce social insurance in India by gradual stages. The Act creates a statutory corporation, called the Employees' State

Insurance Corporation which is in charge of the scheme of insurance.

The objective of S. 72—See p. 908, para 8.

APPLICATION OF THE ACT

The Employees' State Insurance Act extends to the whole of India, including the State of Jammu and Kashmir¹.—Sec. 1(2).

The Act will come into force on such date or dates as the Central Government may decide and different dates may be appointed for different provisions of the Act and for different States or for different parts thereof.—Sec. 1(3).

The Act shall apply, in the first instance, to all factories (including factories belonging to the Government) other than seasonal factories.—Sec. 1(4).

The appropriate Government may, in consultation with the Corporation and (where the appropriate Government is a State Government, with the approval of the Central Government), after giving six months' notice through the official Gazette, extend the provisions of this Act or any of them to any other establishment or class of establishments industrial, commercial, agricultural or otherwise.—Sec. 1(5).

The insurance scheme contained in the Act has, up till date, been applied to a few selected industries in certain selected localities.

The Act of 1948 was amended by the Amendment Acts of 1966, 1975 and 1984.

Exemptions

1. A factory or establishment or a class of factories or establishments can be exempted from the operation of the Act. This can be done by the appropriate Government by notification for one year at a time.—Sec. 87.

The following seasonal processes have secured exemption under section 87 of the Act : (i) Redrying unmanufactured leaf tobacco, (ii) Salt manufacture, (iii) Rice milling, (iv) oil mills (provided the process of oiling is subsidiary to any other manufacturing process, and mill has employed less than 50 employees, (v) Ice manufacture and (vi) wool processing with or without cotton pressing and ginning.

¹ Applied to Jammu and Kashmir by an Act of 1970. See p. 5, footnote.

2. The appropriate Government can similarly exempt any persons or class of persons employed in a factory or class of factory from the operation of the Act.—Sec. 88.

3. The appropriate Government may by notification in the official Gazette, and subject to conditions, exempt factories or establishments belonging to the Government or any local authority from the operation of the Act if the employees there are in receipt of benefits substantially similar or superior to the Act.—Sec. 90.

4. The appropriate Government may exempt any employee of any factory, establishment or class of factory and establishment from the operations of the Act, with the consent of the Corporation and notification in the official Gazette.—Sec. 91.

DEFINITIONS UNDER THE EMPLOYEES' STATE INSURANCE

Factory

“Factory means any premises including the precincts thereof whereon twenty or more persons are employed or were employed for wages on any day of the preceding twelve months, and in any part of which a manufacturing process is being carried on with the aid of power or is ordinarily so carried on but does not include a mine subject to the operation of the Mines Act, 1952, or a railway running shed.”—Sec 2(12) para 1.

Seasonal Factory

“A seasonal factory means a factory which is exclusively engaged in one or more of the following processes, namely, cotton ginning, cotton or jute pressing, decortication of groundnuts, the manufacture of coffee, indigo, lac, rubber, sugar (including gur) or tea or any manufacturing process which is incidental to or connected with any of the aforesaid processes.”—Sec. 2(12), para 2.

The term Seasonal Factory, “includes a factory which is engaged for a period not exceeding seven months in a year—

- (a) in any process of blending, packing or repacking or tea or coffee ; or
- (b) in such other manufacturing process as the Central Government may, by notification in the official Gazette, specify.”

Employee

"Employee" means "any person employed for wages in or in connection with the work of a factory or establishment to which this Act applies." The term includes (i) persons directly employed by the principal employer, (ii) persons employed by or through an immediate employer, and (iii) persons whose services are temporarily lent or let on hire to an employer.—Sec. 2(9).

The term Employee *includes*, "any person employed for wages on any work connected with the administration of the factory or establishment or any part, department or branch thereof, or with the purchase of raw materials for, or the distribution or sale of the products of, the factory or establishment."

The term Employee *does not* include, "(a) any member of the Indian naval, military or air forces; (b) any person—whose wages (excluding remuneration for overtime work) exceed Rs. 1,600 a month." If a person's wages are within the aforesaid limits at the beginning of the contribution period, he will be deemed to be an employee till the end of the period, even if his wages exceed the limit in the meantime.

Case Law :

The Supreme Court has held that the partner of a firm is not an employee of the firm for the purposes of the Act, merely because he gets salary or other remuneration.

*Employees' State Insurance Corporation v. Ramanuja Match Industries.*¹

Apprentices : When under the terms and conditions of agreement under which apprentices are engaged by a company, they are mere trainees for a particular period for a distinct purpose and the company is not bound to employ them in their work after the training period is over, such apprentices cannot be said to be employed in the work of the company or in connection with the work of the company, more so when they are not given wages within the meaning of that term as defined in Sec. 2(22). Thus an apprentice is not an employee within Sec. 2(9) of the Act.

¹ L. L. N. 249 (1985).

Case Law :

- (1) Such a person remains a learner and is not an employee. It is inherent in the word "apprentice" that there is no element of employment as such in a trade or industry. *Employees' State Insurance Corporation and another v. Tata Engineering & Locomotive Co. Ltd. and another*.¹
- (2) The definition of "employees" in section 2(9) is an exhaustive one. Employees, who are working in the registered office or head-office of the Company at Calcutta, come within the definition of the Act, even though such employees are not actually working in the factory premises situated at other places. *Sen-Raleigh Ltd. v. E.S.I. and others*²; *India Jute Company Ltd. v. E.S.I. and another*.³
- (3) Persons employed in the Zonal Offices and Branch Offices of a factory and concerned with administrative work or the work of canvassing sale would be covered by the provisions of Sec. 2(9) of the Act. *Hydrabad Asbestos Cement Products Ltd. v. Employees Insurance Court and another*⁴; *Union Carbide (India) Ltd. v. E.S.I.*⁴; *Food Fats and Fertilisers, Ltd. v. E. S. I.*⁴
- (4) The reach and range of the definition of "employee" in S. 2 (9) is apparently wide and deliberately transcends pure contractual relationships. Some nexus must exist between the establishment and the work of the employee but it may be a loose connection. An arrangement was made in between the manager of a cinema hall and a person to run a canteen and a cycle stand in the hall for the better amenities of the customers. Held, the employees of the canteen and the cycle stand will be entitled to get the benefit of E.S.I. *Royal Talkies, Hyderabad and others v. E.S.I.*⁵

Family :

"Family" means the spouse and minor legitimate and adopted children dependent upon the insured person and where the insured person is a male, his dependent parents.—Sec. 2(11).

Insurable Employment

"Insurable Employment means an employment in a factory or establishment to which this Act applies."—Sec. 2(13A).

Insured Person

"Insured Person means a person who is or was an employee in respect of whom contributions are or were payable under this

¹ AIR (1976) Supreme Court 66 ² AIR (1977) Cal 165

³ AIR (1977) Cal 258

⁴ AIR (1978) Supreme Court 256

⁵ AIR (1978) Supreme Court 1478

Act and who is, by reason thereof, entitled to any of the benefits provided by this Act.”—Sec. 2(14).

Managing Agent

“Managing Agent means any person appointed or acting as the representative of another person for the purpose of carrying on such other person’s trade or business, but does not include an individual manager subordinate to an employer.”—Sec. 2(14A).

Wages

“Wages means all remuneration paid or payable in cash to an employee, if the terms of the contract of employment, express or implied, were fulfilled and includes any payment to an employee in respect of any period of authorised leaves, lock-out, strike which is not illegal or lay off and other additional remuneration, if any, paid at intervals not exceeding two months but does not include—

- (a) any contribution paid by the employer to any pension fund or provident fund, or under this Act ;
- (b) any travelling allowance or the value of any travelling concession ;
- (c) any sum paid to the person employed to defray special expenses entailed on him by the nature of his employment ; or
- (d) any gratuity payable on discharge.”—Sec. 2(22).

The term wages, as defined in this Act, includes compensation for lay-off and also bonus. Wages must be a payment for service, given or to be given to the employee by the employer.

Case Law :

Incentive bonus could be wages within the third part of wages under S. 2 (22) of the Act. The house rent allowance paid by the employer to its workmen under the settlement would constitute ‘wages’ within the meaning of S. 2 (22) of the Act. *Employees’ State Insurance Corpn. Hyderabad v. Andhra Pradesh Paper Mills Ltd., Rajahmundry*.¹

Principal Employer

Principal Employer means—

- (a) in a factory, the owner or occupier of the factory and includes the managing agent of such owner or occupier.

¹ AIR (1978) A. P. 18 (Full Bench)

the legal representative of a deceased owner or occupier, and where a person has been named as the manager of the factory under the Factories Act, 1948, the person so named ;

- (b) in any establishment under the control of any department of any Government in India, the authority appointed by such Government in this behalf or where no authority is so appointed, the head of the department ;
- (c) in any other establishment, any person responsible for the supervision and control of the establishment.—Sec. 2(17).

Case Law :

The director of a Company, by virtue of being a director is not principal employer. He is therefore not personally liable to pay employer's contribution under the Act. *Suresh v. Collector of Bombay*.¹

Immediate Employer

Immediate Employer, in relation to employees employed by or through him, means a person who has undertaken the execution, on the premises of a factory or an establishment to which this Act applies or under the supervision of the principal employer or his agent, of the whole or any part of any work which is ordinarily part of the work of the factory or establishment of the principal employer or is preliminary to the work carried on in, or incidental to the purpose of any such factory or establishment, and includes a person by whom the services of an employee who has entered into a contract of service with him are temporarily lent or let on hire to the principal employer.—Sec. 2(13).

Case Law :

"Work is undertaken by contractors through their labour in their factory, forming preliminary part of the work of the principal factory. Both factories were on the same leased land. Contractors held Immediate Employers" *B. M. Lakshmanamurthy v. The Employees' State Insurance Corporation, Bangalore*.²

Appropriate Government

Appropriate Government means, in respect of establishments under the control of the Central Government or a railway

¹ Lab. I. C. 1615 (1984)

² AIR (1974) Supreme Court 759

administration or a major port or a mine or an oil field, the Central Government, and in all other cases the State Government.—Sec. 2(1).

Rules of the different States and also the Central Regulations provide for the following—Declaration Form ; Temporary Identification Certificate ; Allotment of Insurance Number ; Contribution Cards ; and Identity Card.

POWERS OF THE CENTRAL GOVERNMENT

The Central Government can give directions to the State Governments as to the carrying into execution of this Act in any State.—Sec. 92.

The Central Government may order such provision and direction, not inconsistent with the Act, to remove difficulties. The order must be published in the official Gazette.—Sec. 99A.

DUTIES OF EMPLOYER

1. The employer must keep the Contribution Cards under his safe custody. In case of destruction, loss or mutilation, it must be replaced through the Regional Office.

2. The employer must produce all books, Returns, Registers and cards for inspection by an Inspector.—Secs. 44, 45.

3. The employee must be allowed to inspect his card at reasonable hours.

4. The employer must pay employer's and employees' contributions to the local office of State Insurance.

Case Law :

The Corporation itself should, in a case where there is omission on the part of the employer to maintain records in accordance with S. 44 of the Act, determine the amount of contributions on the strength of such information as it may collect and can then make the demand under S. 45A. If the employer refuses to comply with the demand so made, the matter can come up before the Employees' Insurance Court under S. 75 of the Act. The Court should give the Corporation a direction to perform its duty where it considers that this should be performed by the Corporation. It cannot decline to perform its own duty because the Corporation has failed to discharge its function. *The E. S. I. Corporation, Bhopal v. The Central Press and another*.¹

¹ AIR (1977) Supreme Court 1351

WHO IS AN INSURABLE WORKMAN ?

Section 38 of the Act states that, "Subject to the provisions of this Act, all employees in factories or establishments to which this Act applies shall be insured in the manner provided by this Act." So every "employee" of a "factory or establishment" to which the Act applies is an insurable workman. Definitions of the terms employee and factory have been given above. On the basis of these definitions it can be concluded that an insurable workman is one who is employed directly or through an intermediate employer or is let on hire to an employer. The factory or establishment must be one to which the Act applies. It also follows that the following persons are not insurable and the Act confers no benefit on them :

1. Workers in seasonal factories.
2. Workers in mines, subject to the Mines Act, 1952.
3. Workers in railway running sheds.
4. Members of the naval, military and air forces of the Government.
5. Workmen whose total monthly wages (excluding overtime remuneration) exceed Rs. 1600.

Seasonal factories, mines and railway running sheds [items 1, 2 and 3 above] are not included within the term factory as defined in the Act. Workmen coming under the last two items [4 and 5] are not included within the term employee as defined in the Act.

REGISTRATION

The amending Act of 1966 provides that every factory or establishment to which this Act applies shall be registered within such time and in such manner as may be specified in the regulations made in this behalf.—Sec. 2A.

THE EMPLOYEES' STATE INSURANCE CORPORATION

Administration

The administration of the scheme of insurance contained in the Act is vested in the Employees' State Insurance Corporation created by Sec. 3 of the Act. The Corporation is a body corporate having perpetual succession and a common seal. It can sue and be sued by its name.

Members

According to Sec. 4 of the Act, the Corporation consists of the following members :

- (1) a Chairman to be nominated by the Central Government ;
- (2) a Vice-Chairman to be nominated by the Central Government ;
- (3) not more than five persons to be nominated by the Central Government ;
- (4) one person each representing each of the States in which this Act is in force to be nominated by the State Government concerned ;
- (5) one person to be nominated by the Central Government to represent the Union territories ;
- (6) five persons representing employers to be nominated by the Central Government in consultation with such organisation of employers as may be recognised for the purpose by the Central Government ;
- (7) five persons representing employees to be nominated by the Central Government in consultation with such organisation of employees as may be recognised for the purpose by the Central Government ;
- (8) two persons representing the medical profession to be nominated by the Central Government in consultation with such organisation of medical practitioners as may be recognised for the purpose by the Central Government ;
- (9) three members of Parliament of whom two shall be members of the Lok Sabha and one shall be a member of the Rajya Sabha elected respectively by the two houses ; and
- (10) the Director General of the Corporation, *ex-officio*.

The term of office of members is ordinarily 4 years but nominated members hold office during the pleasure of the Government nominating them.—Sec. 5.

Authentication

Orders and decisions of the Corporation are to be authenticated by the signature of the Director General ; other instruments by the signature of the Director General or any other authorised officer of the Corporation.—Sec. 7.

Principal Officers

The Principal Officers of the Corporation are : (a) a Director General of Employees' State Insurance ; (b) an Insurance Commissioner ; (c) a Medical Commissioner ; (d) a Chief Accounts Officer ; and (e) an Actuary. The Director General is the Chief Executive Officer of the Corporation.—Sec. 16.

The officers are whole time officers and cannot undertake any work unconnected with their office without the sanction of the Central Government or of the Corporation.

Meetings

Meetings of the Members, the Standing Committee and the Medical Benefit Council, must be held according to the Regulations.—Sec. 20.

Supersession

The Central Government may supersede the Corporation or the Standing Committee if it persistently makes default in performing its duties or abuses its powers. After supersession the Central Government may appoint new members or create an agency to exercise the powers and functions of these bodies.—Sec. 21.

Delegation

The Corporation may appoint Regional Boards, Local Committees and Regional and Local Medical Benefit Councils in such areas and in such manner and delegate to them such powers and functions as may be provided by the regulations.—Sec. 25 and Sec. 94A.

Status

All Officers and the Servants of the Corporation shall be deemed to be public servants within the meaning of Section 21 of the Indian Penal Code.—Sec. 93.

Powers

1. Staff—

- (i) The Corporation may employ such other staff of officers and servants as may be necessary for the efficient transaction of its business provided that the sanction of the Central Government shall be obtained for the creation of any post the maximum monthly salary of which exceeds Rs. 1200.

- (ii) The Corporation shall, with the approval of the Central Government, make regulations regarding the method of recruitment, pay and allowances, discipline, superannuation benefits and other conditions of service of the members of its staff.—Sec. 17.

2. *Measures for health, etc.* : The Corporation may, in addition to the scheme of benefits specified in this Act, promote measures for the improvement of the health and welfare of insured persons and for the rehabilitation and re-employment of insured persons who have been disabled or injured and may incur in respect of such measures expenditure from the funds of the Corporation within such limits as may be prescribed by the Central Government.—Sec. 19.

3. *Holding of property* : The Corporation may, subject to such conditions as may be prescribed by the Central Government, acquire and hold property both movable and immovable, sell or otherwise transfer any movable or immovable property which may have become vested in or have been acquired by it and do all things necessary for the purposes for which the Corporation is established.—Sec. 29(1).

4. *Investments* : Subject to such conditions as may be prescribed by the Central Government, the Corporation may from time to time invest any moneys which are not immediately required for expenses properly defrayable under this Act and may, subject as aforesaid, from time to time re-invest or realise such investments.—Sec. 29(2).

5. *Loans* : The Corporation may, with the previous sanction of the Central Government and on such terms as may be prescribed by it, raise loans and take measures for discharging such loans.—Sec. 29(3).

6. *Benefits of staff* : The Corporation may constitute for the benefit of its staff or any class of them, such provident or other benefit fund as it may think fit.—Sec. 29(4).

7. It may appoint such persons as Inspectors, as it thinks fit, for the purposes of this Act.

8. It may, under Section 45 A, on the basis of information available to it, by order, determine the amount of contributions payable in respect of employees of a factory or establishment in respect of which no particulars, registers or records are submitted or maintained.

Duties

1. *Budget estimates* : The Corporation shall in each year frame a budget showing the probable receipts and the expenditure which it proposes to incur during the following year and shall submit a copy of the budget for the approval of the Central Government before such date as may be fixed by it in that behalf. The budget shall contain provisions adequate in the opinion of the Central Government for the discharge of the liabilities incurred by the Corporation and for the maintenance of a working balance.—Sec. 32.

2. *Accounts* : The Corporation shall maintain correct accounts of its income and expenditure in such form and in such manner as may be prescribed by the Central Government.—Sec. 33.

3. *Audit* :

- (i) The accounts of the Corporation shall be audited, at such times and in such manner as may be prescribed, by auditors appointed by the Central Government.
- (ii) The auditors shall at all reasonable times have access to the books, accounts and other documents of the Corporation and may, for the purposes of the audit, call for such explanation and information as they may require or examine any principal or other officer of the Corporation.
- (iii) The auditors shall forward to the Central Government a copy of their report together with an audited copy of the accounts of the Corporation.
- (iv) The cost of the audit as determined by the Central Government shall be paid out of the funds of the Corporation.—Sec. 34.

4. *Annual report* : The Corporation shall submit to the Central Government an annual report of its work and activities.—Sec. 35.

5. *Placement to Parliament* : The annual report, the audited accounts of the Corporation, and the budget as finally adopted by the Corporation shall be placed before and published in the official Gazette.—Sec. 36.

6. *Valuation of assets and liabilities* : The Corporation shall, at intervals of five years, have a valuation of its assets and liabilities made by a valuer appointed with the approval of the Central Government : Provided that it shall be open to the Central Government to direct a valuation to be made at such other times as it may consider necessary.—Sec. 37.

THE STANDING COMMITTEE

Constitution

Section 8 provides for the creation of a Standing Committee from among the members of the Corporation. The Standing Committee is constituted as follows : a Chairman, nominated by the Central Government ; 3 members of the Corporation nominated by the Central Government ; representatives of 3 of the State Governments ; 3 members from the employer's representatives ; 3 members from the employees' representatives ; one member from the medical representatives ; one member from the representatives elected by the Parliament ; and the Director General of the Corporation, *ex-officio*.

Powers and Duties

Section 18 provides that subject to the general superintendence and control of the Corporation, the Standing Committee shall administer the affairs of the Corporation and may exercise any of the powers and perform any of the functions of the Corporation.

The Standing Committee shall submit for the consideration and decision of the Corporation such cases and matters as may be provided by regulations made in this behalf. The Committee may submit any other case or matter to the Corporation at its discretion.

MEDICAL BENEFIT COUNCIL

Constitution

Section 10 provides for the creation of a Medical Benefit Council constituted as follows : (a) the Director General, Health Services, *ex-officio* chairman ; (b) a Deputy Director General, Health Services to be nominated by the Central Government ; (c) the Medical Commissioner of the Corporation, *ex-officio* ; (d) one member from each State in which the Act is in force, to be nominated by the State Government concerned ; (e), (f) and (g) nine members to be nominated by the Central Government in consultation with the appropriate organisations—3 to represent employers, 3 the employees and 3 the medical profession (one of the medical members must be a woman). The Deputy Director General, Health Services and the representatives of the State hold

office during the pleasure of the Government. The other members hold office for a term of four years.

Powers and Duties

The powers and duties of the Medical Benefit Council are laid down in Section 22. The Council may

- (a) advise the Corporation and the Standing Committee on matters relating to the administration of medical benefit, the certification for the purpose of the grant of the benefits, and other connected matters ;
- (b) have such powers and duties of investigation as may be prescribed in relation to complaints against medical practitioners in connection with medical treatment and attendance ; and
- (c) perform such other duties in connection with medical treatment and attendance as may be specified in the regulations.

RULES REGARDING MEMBERSHIP

Certain general provisions regarding the Corporation, the Standing Committee and the Medical Benefit Council are enumerated below :

1. *Eligibility* : Outgoing members eligible for re-election or re-nomination.—Sec. 6.

2. *Resignation* : A member may resign, by notice in writing to the Central Government. It will be effected when the resignation is accepted.—Sec. 11.

3. *Cessation of membership* : A member ceases to be a member if he fails to attend three consecutive meetings. But he may be reappointed. A member ceases to be a member if he ceases to represent the persons he was nominated to represent. A member elected by the Parliament ceases to be a member when he ceases to be a member of the Parliament.—Sec. 12.

4. *Disqualifications* : A person is disqualified for being chosen or being a member if (a) he is declared to be of unsound mind by a competent court ; (b) he is an undischarged insolvent ; or (c) if he has directly or indirectly by himself or by his partner any interest in any subsisting contract with, or any work being done for, the Corporation except as a medical practitioner or as shareholder (not director) of a company ; or (d) if before or

after commencement of this Act, he has been convicted of an offence involving moral turpitude.—Sec. 13.

5. *Remuneration* : Members are entitled to receive such fees and allowances as may be fixed by the Government.—Sec. 15.

EMPLOYEES' STATE INSURANCE FUND

Insurance Fund

All contributions paid and moneys received by the Employees' State Insurance Corporation are to be paid into a fund called the Employees' State Insurance Fund. The Corporation is entitled to receive (i) contributions from employers, (ii) contributions from employees and (iii) donations from the Central Government, the State Governments, local authorities etc.—Sec. 26.

Purposes for which the Fund may be expended

Section 28 of the Act provides that subject to the provisions of the Act and of the rules framed under it, the Employees' State Insurance Fund shall be expended only for the following purposes—

- (i) payment of benefits and provision of medical treatment and attendance to insured persons and, where the medical benefit is extended to their families, the provision of such medical benefit to their families, in accordance with the provisions of this Act and defraying the charges and costs in connection therewith ;
- (ii) payment of fees and allowances to members of the Corporation, the Standing Committee and the Medical Benefit Council, the Regional Boards, Local Committees and Regional and Local Medical Benefit Councils ;
- (iii) payment of salaries, leave and joining time allowances, travelling and compensatory allowances, gratuities and compassionate allowances, pensions contributions to provident or other benefit fund of officers and servants of the Corporation and meeting the expenditure in respect of offices and other services set up for the purpose of giving effect to the provisions of this Act ;
- (iv) establishment and maintenance of hospitals, dispensaries and other institutions and the provisions of medical and other ancillary services for the benefit of insured persons and, where the medical benefit is extended to their families, their families ;

- (v) payment of contributions to any State Government, local authority or any private body or individual, towards the cost of medical treatment and attendance provided to insured persons and, where the medical benefit is extended to their families, their families including the cost of any building and equipment, in accordance with any agreement entered into by the Corporation ;
- (vi) defraying the cost (including all expenses) of auditing the accounts of the Corporation and of the valuation of its assets and liabilities ;
- (vii) defraying the cost (including all expenses) of the Employees Insurance Courts set up under the Act ;
- (viii) payment of any sums under any contract entered into for the purposes of this Act by the Corporation or the Standing Committee or by any officer duly authorised by the Corporation or the Standing Committee in that behalf ;
- (ix) payment of sums under any decree, order or award of defending any civil or criminal proceeding out of any of its officers or servants for any act done in execution of his duty or under a compromise or settlement of any suit or other legal proceeding or claim instituted or made against the Corporation ;
- (x) defraying the cost and other charges of instituting or defending any civil or criminal proceeding out of any action taken under this Act ;
- (xi) defraying expenditure, within the limits, on measures for the improvement of the health and welfare of insured persons and for the rehabilitation and re-employment of insured persons who have been disabled or injured ; and
- (xii) such other purposes as may be authorised by the Corporation with the previous approval of the Central Government.

Enhancement of benefits

At any time when its funds so permit, the Corporation may enhance the scale of any benefit admissible under the Act and the period for which such benefit may be given and provide or contribute towards the cost of medical care for the families of insured persons.—Sec. 99.

INSPECTORS

Inspectors may be appointed under Sec. 45. They shall exercise such functions and perform such duties as may be authorised by the Corporation or as may be specified in the regulations. Inspectors and other authorised officers of the Corporation may exercise the powers stated below for the purpose of checking the correctness of any return submitted to the Corporation or for the purpose of ascertaining whether any of the provisions of the Act has been complied with :

- (a) Require any principal or immediate employer to furnish necessary information.
- (b) Enter the relevant office, establishment etc. and examine account books, documents etc.
- (c) Examine the employer, his agents, servant etc. with respect to any relevant matter.
- (d) Make copies of or take extracts from registers, account books etc.
- (e) Exercise such powers as may be prescribed.

Every principal employer must maintain the Inspection Book. He must produce the book on demand by an Inspector.

CONTRIBUTIONS

Definition

The term Contribution means the sum of money payable by the principal employer in respect of an employee and includes any amount payable by or on behalf of the employee in accordance with the provisions of this Act.—Sec. 2(4).

Time and Period

Insured workers and their employers are required to pay contributions to the Corporation on a weekly basis. The sum payable by the employer is called the Employer's contribution and the sum payable by the employee is called the Employee's contribution.

The period during which contributions are paid is called the Contribution Period. Its length is fixed by the rules framed under the Act. According to the Act, the Contribution Period must be between 25 and 27 consecutive weeks, or 6 consecutive months. In the case of the first Contribution Period, a longer or shorter period may be fixed by the regulations.—Sec. 2(5).

Rate of Contribution

The amount of weekly contribution payable in respect of an employee is calculated with reference to his average daily wage. The period in respect of which wages are ordinarily payable, by contract express or implied, or otherwise, is called the Wage Period.

Where the wage period is a day, the average daily wage is the amount of wages earned during the week divided by the number of days worked in that week. For other wage periods, the average daily wage means the total wages earned in the period divided by the number of days worked. Where the employee works on any other basis, the average daily wages means the wages paid on the day the contribution falls due or such day as may be specified.

For the purpose of calculating the rates of contribution, employees are divided into nine classes. The rate of contribution for each class is given in The First Schedule to the Act, e.g. workmen earning between Rs. 3 and Rs. 4 per day have to contribute 50 paise per week. The employer's contribution is approximately twice that of the employee (See Table, p. 911).

RULES REGARDING CONTRIBUTION

1. *The Employer is responsible for contribution* : The employer is required to transmit to the Corporation both the employer's and the employee's contribution in the manner prescribed by the rules. The contribution payable by the employee can be deducted from his wages by the employer. But the contribution payable by the employer cannot be deducted from the wages of the employee.—Sec. 39(1) & (2).

2. *Time of paying the contribution* : Contributions ordinarily fall due on the last day of the week. Other days may be prescribed for workers employed part of the week or employed under two or more employers during the same week.—Sec. 39(4).

3. *Principal employer to pay the dues of an immediate employer* : Where there is a principal employer and an immediate employer under him, the former is required to pay the contribution in the first instance. He may later on recover the money from the latter.—Secs. 40, 41.

4. *The limit of contribution* : No contribution is payable by the employee if his average daily wage is less than Rs. 6.—Sec. 42(1). (Amendment Act of 1984.)

5. *Liabilities of principal employer*: Contributions, both employer's and employee's are payable by the principal employer for each week in respect of the whole or part of which wages are payable to the employee and not otherwise.—Sec. 42(2).

Where wages are payable for a portion of the week, the employer is liable to pay the full contribution for the week, but can recover the employee's contribution from his wages.—Sec. 42(3).

6. *Framing Regulations*: The Corporation can frame regulations regarding the method of payment of contributions.—Sec. 43.

7. *The Certificate Procedure*: Any contribution payable under this Act may be recovered as an arrear of land revenue.—Sec. 45B.

8. *Priority of Contribution*: Contribution and other payments due under this Act are deemed to be included in the list of debts which have priority over other debts in case of insolvency or winding up.—Sec. 94.

BENEFITS

The Act provides for six types of benefits to insured workmen : (a) Sickness Benefit (b) Maternity Benefit (c) Disablement Benefit (d) Dependant's Benefit (e) Medical Benefit and (f) Funeral Benefit.—Sec. 46.

Benefits are receivable during the Benefit Period, which is defined as follows. Benefit Period means such period, being not less than 25 but not more than 27 consecutive weeks or 6 consecutive months corresponding to the contribution period as may be specified in the regulations framed under the Act. For the first Benefit Period a shorter or longer period may be fixed.—Sec. 2(2).

The rules regarding each of the aforesaid benefits are stated below.

SICKNESS BENEFIT

Definition of Sickness

Sickness means a condition which requires medical treatment and attendance and necessitates abstention from work on medical grounds.—Sec. 2(20).

Conditions for Sickness benefit

The recipient of sickness and disablement benefit must observe the following conditions. (Sec. 64) :

1. He must carry out the instructions of the medical officer or of the medical attendant and must be under medical treatment at a dispensary, hospital, clinic or other institution provided under the Act.

2. While under treatment, he must not do anything which will aggravate, or prejudice the chances of, recovery.

3. He must not leave the area where the medical treatment is provided under the Act.

4. He must allow himself to be examined by any duly appointed officer or a sick visitor authorised by the Corporation.

When person eligible for sickness benefit

A person shall be qualified to claim sickness benefit for sickness occurring during any benefit period, if during the corresponding contribution period, weekly contributions in respect of him were payable for not less than thirteen weeks ;

Provided that a person shall be qualified to claim sickness benefit for sickness occurring during the first benefit period, if during the corresponding contribution period weekly contributions in respect of him were payable for not less than half the number of weeks of that contribution period, ending in that period.—Sec. 47.

The claim for sickness benefit must be certified by a duly appointed medical practitioner or by any other person possessing such qualifications and experience as the Corporation may, by regulations specify in this behalf.—Sec. 46(1)(a).

The rate of sickness benefit

The rate of sickness benefit is laid down in Sec. 49 and the first Schedule, to the Act. In a Chart given in the First Schedule, employees have been classified into nine groups according to the wages earned. Against each wage group is laid down what is called the Standard Benefit Rate. For example, for an employee earning between Rs. 8 and Rs. 12 daily the Standard Benefit Rate is Rs. 5 per day. He will receive this amount for sickness, if otherwise qualified. Sec. 49 further provides as follows : An insured person shall not be entitled to sickness benefit for the first two days of sickness except in the case of

a spell of sickness following, at an interval of not more than fifteen days, the spell of sickness for which sickness benefit was last paid. Also sickness benefit shall not be paid to any person for more than fifty-six days in any two consecutive benefit periods. (See Table, p. 911).

New Sickness Benefit Rates

With effect from 1st April 1976, the sickness benefit rate has been increased by 25% from the standard benefit rate. This rate is admissible to all cases of this category which arise on or after that date.

From 1978, the Corporation has taken up a number of steps to provide medical facilities to workers. The sickness benefit period has been raised from 56 days to 91.

Sick Leave :

Scheme of benefits admissible under the Employees' State Insurance Act cannot be said to cover the workmen's demand for sick leave. S 61 of the Act cannot thus be said to be applicable. *Alembic Glass Industries Ltd., Baroda v. The Workmen*¹.

MATERNITY BENEFIT

Definition

Maternity Benefits are periodical payments to an insured woman in case of confinement or miscarriage or sickness arising out of pregnancy, confinement, premature birth of child or miscarriage, such woman being certified to be eligible for such payments by an authority specified in this behalf by the regulations.—Sec. 46(1)(b).

"Confinement" means labour resulting in the issue of a living child, or labour after 26 weeks of pregnancy resulting in the issue of a child, whether alive or dead.—Sec. 2(3). The term "miscarriage" as defined in this Act does not include any miscarriage, the causing of which is punishable under the Indian Penal Code.—Sec. 2(14B).

Claim

An insured woman shall be qualified to claim maternity benefit for a confinement occurring or expected to occur in a benefit period if during the corresponding contribution period,

¹ AIR (1976) Supreme Court 2091

weekly contributions in respect of her were payable for not less than 13 weeks. But benefit can be claimed during the benefit period, if contributions were payable for half the number of weeks of the corresponding contribution period.—Sec. 50(1)

To obtain maternity benefit, the insured woman must get certificates of pregnancy, of the expected date of confinement and of actual confinement and send them to the Local Office to which she is attached.

Rate and Amount

The daily rate of maternity benefit is twice the Standard Benefit Rate as given in the Chart in the First Schedule. Thus an insured woman in the wage group Rs. 8 to Rs. 12 will get Rs. 10 daily.—First Schedule, para 5. (See Table, p. 911.)

The insured woman is entitled to receive benefit for all days on which she does not work for remuneration during a period of twelve weeks of which not more than six shall precede the expected date of confinement. If the insured woman dies during her confinement or within six weeks thereafter, leaving the child, maternity benefit shall be paid during the whole of the period. If the child dies, maternity benefit up to and including the date of the death of the child shall be paid to a person nominated by the woman for the purpose. If there is no nominee, the money is to be paid to her legal representative.—Sec. 50(2).

In case of miscarriage, the insured woman will get, on production of necessary proof, maternity benefit at the usual rate for all days during which she does not work for remuneration during a period of six weeks immediately following the date of her miscarriage.—Sec. 50(3).

In case of sickness arising out of pregnancy, confinement, premature birth or miscarriage maternity benefit is payable, subject to the usual rules, for an additional period not exceeding one month.—Sec. 50(4).

DISABLEMENT BENEFIT

When an insured person is disabled by an injury suffered during employment, he is entitled to receive benefits. The rate of benefit differs according to the nature of disablement. Definitions of the terms used in this connection and the rules relating to disablement benefit are given in the next page.

Employment Injury

Employment Injury means a personal injury to an employee caused by accident or an occupational disease arising *out of and in the course of* his employment¹, being an insurable employment, whether the accident occurs or occupational disease is contracted within or outside the territorial limits of India.—Sec. 2(8).

Presumption : For the purposes of this Act, an accident arising in the course of an insured person's employment shall be presumed, in the absence of evidence to the contrary, also to have arisen out of that employment.—Sec. 51A.

Actions in breach of regulations etc. : Accidents happening while the insured worker is acting in breach of regulations, or contrary to the law applicable to him or without instructions, come within the definition of the term Employment Injury, if (a) the accident would have been deemed to have arisen had the act not been done in contravention as aforesaid or without instructions from his employer and (b) the act is done for the purpose of and in connection with the employer's trade or business.—Sec. 51B.

Accidents while travelling in employer's transport : If an accident takes place while an insured person, with the implied or express, permission of his employer, is travelling as a passenger by any vehicle to or from his place of work shall be deemed to arise out of and in the course of his employment, notwithstanding the fact that he is under no obligation to his employer to travel by that vehicle. But this rule shall be applied under such conditions, if,

- (a) the accident would have been deemed so to have arisen had he been under such obligation, and
- (b) at the time of the accident, the vehicle (i) is being operated by or on behalf of his employer or some other person by whom it is provided in pursuance of arrangements made with his employer, and (ii) is not being operated in the ordinary course of public transport service. The term Vehicle includes also a vessel and an aircraft.—Sec. 51C.

Accidents while meeting emergency : If an accident happens to an insured person in or about any premises at which he is

¹ See Ch. 5, Workmen's Compensation Act, for case laws regarding the phrases "out of" and "in the course" of employment.

for the time being employed for the purpose of his employer's trade or business he shall be deemed to *arise out of and in the course of his employment*, provided it happens, while he is taking steps on an actual or supposed emergency at those premises,

- (i) to rescue, succor or protect persons who are, or are thought to be or possibly to be, injured or imperilled, or,
- (ii) to avert or minimise serious damage to property.—

Sec. 51D.

Occupational Diseases : Some employments tend to produce particular kind of diseases. For example, cancer of the skin occurs to workers handling tar, pitch etc. Such diseases are called Occupational Diseases. They are considered employment injuries and the sufferers are given disablement benefits. The Third Schedule to the Act contains a list of employments and the corresponding occupational disease. Sec. 52A provides for additions to the list by notification.

Temporary Disablement

Temporary Disablement means a condition resulting from an employment injury which requires medical treatment and renders an employee as a result of such injury, temporarily incapable of doing the work which he was doing prior to or at the time of injury.—Sec. 2(21).

Permanent Partial Disablement

This means such disablement of a permanent nature, as reduces the earning capacity of an employee in every employment which he was capable of undertaking at the time of the accident resulting in the disablement. Every injury specified in Part II of Second Schedule to the Act shall be deemed to result in permanent partial disablement. (*Example* : Loss of one eye, the other being normal).—Sec. 2(15A).

Permanent Total Disablement

This means such disablement of a permanent nature as incapacitates an employee for all work which he was capable of performing at the time of the accident resulting in such disablement.—Sec. 2(15B).

Part I of the Second Schedule to the Act contains a list of injuries which are deemed to produce permanent *total* disablement e.g., loss of both hands or both eyes. Part II of the same Schedule

contains a list of injuries which are deemed to result in permanent *partial* disablement. In the case of Part II injuries the Schedule lays down what is the percentage loss of earning capacity in each case of injury. For example if one eye is lost, the other being normal, the employee will be deemed to have lost 40% of his earning capacity. If, however, the employee suffers from two or more injuries and the sum total of the loss of earning capacity amounts to 100% or more, he is deemed to have permanent *total* disablement. For example, loss of one eye (40% loss) together with loss of a hand (60% loss) amounts to permanent total disablement, although either of these injuries by itself would only be permanent partial disablement.

The Rates of Disablement Benefit

The First Schedule to the Act states what is the daily Standard Benefit Rate for each wage group of workers. For example, Rs. 5 daily is the Standard Benefit Rate for workers in the wage group Rs. 8 to Rs. 12 (See Table, p. 911). Twentyfive per cent more than the Standard Benefit Rate (rounded off to next highest 5 P.) is the Full Rate of Disablement Benefit. Thus, for the wage group mentioned above, the Full Rate of Disablement Benefit is Rs. 5 plus 25% of Rs. 5 = Rs. 6.25.

For temporary disablement and for permanent total disablement, the insured person gets benefit at the Full Rate as defined above. For permanent partial disablement, the rate of benefit is proportional to the degree of disablement or loss of earning capacity. Thus, loss of one eye is deemed to produce 40% loss of earning capacity and the rate of benefit in this case is 40% of the Full Rate. If two or more injuries are sustained, the percentage losses are to be added together and benefit given on the basis of the total loss of earning capacity. But the insured person will not in any case get more than the Full Rate. For injuries not mentioned in the Second Schedule, the loss of earning capacity is to be calculated according to the regulations framed under the Act.

Disablement Benefit

Benefit for temporary disablement is payable only when the disablement is for not less than 3 days, excluding the day of accident.—Sec. 51.

Disablement Benefit is payable from the first day of disablement. In case of permanent disablement, the payment continues for life. In cases of temporary disablement it continues so long as the disablement lasts. There is no condition of previous contribution.

Notice of injury must be given to the employer by the injured employee or any of his friends or relatives. The employer is required to record the notice in an Accident Book to be kept by him and to send a report of the accident to the nearest Local Office of the Corporation and the nearest dispensary. The injured employee must obtain a medical certificate from the Medical Insurance Officer who attends him for treatment.

The rate of disablement benefit can be reviewed subsequently because the degree of disablement may change in course of time.—Sec. 55.

Increase of pension rates in 1978

The Employees State Insurance Corporation has increased the pension by 20% of those permanently disabled, and to the dependents of those insured, who had died owing to injuries received while on duty on or before March 31, 1974. It has also enhanced the pension by 10% if disablement or death has occurred between April 1, 1974 and March 31, 1976. These payments are payable from October 1, 1977.

Disablement Question. Any question—

- (a) whether the relevant accident has resulted in permanent disablement ; or
- (b) whether the extent of loss of earning capacity can be assessed provisionally or finally ; or
- (c) whether the assessment of the proportion of the loss of earning capacity is provisional or final ; or
- (d) in the case of provisional assessment, as to the period for which such assessment shall hold good ;
shall be determined by a medical board constituted in accordance with the provisions of the regulations and any such question shall hereafter be referred to as the "disablement question".—Sec. 54.

The case of any insured person for permanent disablement benefit shall be referred by the Corporation to a medical board

for determination of the disablement question and if, on that or any subsequent reference, the extent of loss of earning capacity of the insured person is provisionally assessed, it shall again be so referred to the medical board not later than the end of the period taken into account by the provisional assessment.—Sec. 54A(1).

If the insured person or the Corporation is not satisfied with the decision of the medical board, the insured person or the Corporation may appeal in the prescribed manner and within the prescribed time to—

- (a) the medical appeal tribunal constituted in accordance with the provisions of the regulations with a further right of appeal in the prescribed manner and within the prescribed time to the Employees' Insurance Court, or
- (b) the Employees' Insurance Court directly.—Sec. 54A(2).

DEPENDANTS' BENEFIT

Definition of Dependant

Dependant means any of the following relatives of a deceased insured person.—Sec. 2(6A) :

- (a) a widow, a minor legitimate or adopted son, unmarried legitimate or adopted daughter or a widowed mother ; and
- (b) if wholly dependent on the earnings of the insured persons who has attained the age 18 years and is infirm ;
- (c) if wholly or in part dependent on the earnings of the insured person at the time of his death,—(i) a parent other than a widowed mother, (ii) a minor illegitimate son, an unmarried illegitimate daughter or a daughter legitimate or adopted illegitimate if married and a minor or if widowed and a minor, (iii) a minor brother or an unmarried sister of a widowed sister if a minor, (iv) a widowed daughter-in-law, (v) a minor child or a pre-deceased son, (vi) a minor child of a pre-deceased daughter where no parent of the child is alive, or (vii) a paternal grandparent if no parent of the insured person is alive.

Rules regarding Dependant's Benefit

If an insured person dies as a result of an employment injury his dependants are entitled to get benefit, whether the deceased

was getting disablement benefit or not. The benefit given to the dependants is equal to what the employee would have got had he been alive with a temporary disablement. This money is distributed among the dependants in the following manner :

- (a) To the widow during her life or until remarriage an amount equal to $\frac{3}{5}$ ths of the full rate. If there are two or more widows, the benefit is equally divided among them.
- (b) To each legitimate or adopted son an amount equal to $\frac{2}{5}$ ths of the full rate until he attains 11 years of age. If any such son is infirm and wholly dependent on the earnings of the deceased, the benefit shall continue to be paid while the infirmity lasts.
- (c) To each legitimate or adopted unmarried daughter an amount equal to $\frac{2}{5}$ ths of the full rate until she attains 18 years of age or is married whichever is earlier. If any such daughter is infirm and wholly dependent on the earnings of the deceased, the benefit shall continue to be paid while the infirmity lasts and she continues to be unmarried.

If the sum-total of the benefits to the dependants distributed as above exceeds the full rate, the share of each dependant will be proportionately reduced, so that the total payment does not exceed the full rate of temporary disablement benefit.

In case the deceased person does not leave a widow or legitimate or adopted child, dependants' benefit shall be payable to the other dependants as follows :

- (a) to a parent or grandparent for life at an amount equivalent to three-tenths of the full rate and if there are two or more parents or grandparents, the amount payable to them shall be equally divided among them ;
- (b) to any other male dependant, until he attains 18 years of age, and female dependant, until she attains 18 years of age or until marriage whichever is earlier or if widow until she attains 18 years of age—at an amount equivalent to two-tenths of the full rate. But if there are more than one female dependant under this clause, the amount payable shall be equally divided among them.

The aforesaid rules regarding dependants' benefit are contained in Sec. 92 and paras 8 and 9 of the First Schedule to the Act.

For obtaining dependants' benefit, a claim must be submitted to the appropriate Local Officer, either jointly or severally by the dependants, in the prescribed form, together with the Death Certificate from the Medical Insurance Officer.

Any decision awarding dependants' benefit under the Act may be reviewed subsequently and the benefit given may be continued, increased, reduced or discontinued. The grounds of review are non-disclosure or misrepresentation of a material fact, any birth, death, marriage, remarriage, attainment of the age of 18 years by a claimant etc.—Sec. 55A.

MEDICAL BENEFIT

Sections 46(1)(e) and 56 to 58 of the Act provide that medical benefit may be given to an insured employee in the form of outpatient treatment (in a hospital, dispensary, clinic or any other institution) or by a visit at his home or as in-patient in a hospital or any other institution. Medical benefit may be extended to the family of an insured person. (Definition of Family—See p. 881).

Arrangement for the provision of medical benefit under the Act will be made by the State Governments and the standard and scale of such benefits will be determined by agreement between the Corporation and the State Governments.

An insured person will be entitled to claim medical benefit during any week for which contributions are payable by him or in his behalf or for which he is qualified to claim sickness benefit or maternity benefit or during which he is in receipt of disablement benefit for temporary disablement. For obtaining medical benefit an employee must present himself at the appropriate dispensary with his identity card. Scale of medical benefit. An insured person and his family (where medical benefit is extended to his family) shall be entitled to get medical benefit only of such kind and on such scale as may be provided by the State Government or the corporation.—Sec. 57.

Sec. 59 makes provision for the establishment and maintenance of hospitals, dispensaries and other medical and surgical services by the Corporation.

FUNERAL BENEFIT

The amending Act of 1997 provides for the payment of a Funeral Benefit. When an insured person dies the Corporation

will contribute towards his funeral expenses a sum not exceeding Rs. 1000. The claim for such payment must be made within three months of the death of the person or within such extended time as may be allowed. The payment will be made to the eldest surviving member of the family of the deceased. Where the deceased had no family or was not living with his family at the time of his death the payment will be made to the person who actually incurs the funeral expenditure.—Sec. 46 (2)(f).

RULES REGARDING BENEFIT

There are certain general provisions regarding benefits. They are enumerated below :

1. Review

The decisions of the Medical Board and the Medical Appeal Tribunal can be reviewed.—Sec. 55.

2. Transfer or assignment

The right to receive any payment of any benefit is not transferable or assignable. No cash benefit is liable to attachment or sale in execution of a decree or order.—Sec. 60.

3. Double Benefits

- (a) A person entitled to receive benefit under this Act shall not be entitled to receive benefit under any other Act.—Secs. 61 and 53.
- (b) No person is entitled to receive sickness, maternity or disablement benefit for any day on which he works and receives wages.—Sec. 63.
- (c) Benefits of the following kinds cannot be combined :
(1) sickness benefit and maternity benefit (2) sickness benefit and temporary disablement benefit, and (3) maternity benefit and temporary disablement benefit. If a person is entitled to receive more than one of the above benefits he must choose which to receive.—Sec. 65.

4. Arrears

Arrears of employers' contribution can be recovered as arrears of land revenue, with penalties in certain cases.—Sec. 68.

5. Excessive Sickness

Where the incidence of sickness among insured persons is excessive because of the neglect or non-observance of health

regulations by the owner of a factory or of the residential place of the worker, the Corporation is entitled to receive compensation from such owner. The amount of such compensation is determined by a summary procedure under the regulations.—Sec. 69.

6. Repayment of benefit

Benefits improperly received by an insured person are repayable and recoverable.—Sec. 70.

7. Death of insured person

Cash benefits payable to a person who has died are to be paid to the person's nominee, or if there is no nominee to the person's legal representative.—Sec. 71. Benefit is payable up to and including day of death.

8. Bar to reduction of wages or discontinuance of benefit

An employer must not reduce, directly, or indirectly the wages of a workman on the ground that he is paying an insurance contribution. He must not reduce or discontinue any benefit which the workman was receiving under the contract of service except in cases provided for in the regulation.—Sec. 72.

Objective : The object of S. 72 Employees' State Insurance Act is evidently to discourage employers from using the benefits provided under the E.S.I. Act as an excuse or justification for reducing or discontinuing the benefits available to the workmen under their Conditions of service on the ground of similarity between the two types of benefits.

Under the proviso to Regulation 97 the employer can deduct wages of those days only from the employees' sick leave wages for which the workman has actually availed of the sickness benefits. A workman cannot use the benefits under the E.S.I. as substitutes for the benefits which he already avails out of the conditions of his service. *Bareilly Holdings Ltd. v. Their Workmen*.¹

9. Dismissals etc. are invalid

No employer can dismiss, discharge, reduce or otherwise punish an employee during the period he is receiving sickness benefit, maternity benefit or a temporary disablement benefit.—Sec. 73.

¹ AIR (1979) Supreme Court 1211

EMPLOYEES' INSURANCE COURT

The Act empowers the State Governments to establish Courts for the purpose of deciding questions and disputes arising from the insurance of workmen. Such courts are known as Employees' Insurance Courts.—Secs. 74-83

Constitution of Employees' Insurance Court: The State Government, by notification in the Official Gazette, shall appoint the judges of the Employees' Insurance Court and their jurisdiction.—Sec. 74.

Matters to be decided by Employees' Insurance Court (Sec. 75): The Court shall decide any question or dispute regarding the following :

- (a) Whether any person is an employee within the meaning of this Act or whether he is liable to pay the employee's contribution, or
- (b) the rate of wages or average daily wages of an employee for the purposes of this Act, or
- (c) the rate of contribution payable by a principal employer in respect of any employer, or
- (d) the person who is or was the principal employer in respect of any employee, or
- (e) the right of any person to any benefit and as to the amount and duration thereof, or
- (ee) any direction issued by the Corporation under Section 55A on a review of any payment of disablement or dependants' benefits ;
- (f) the actual present value of the periodical payment referred to in Section 66, or
- (g) any other matter which is in dispute between a principal employer and the Corporation, or between a principal employer and an immediate employer, or between a person and the Corporation or between an employee and a principal or immediate employer, in respect of any contribution or benefit or other dues payable or recoverable under this Act.

The Employees' Insurance Court shall decide the following claims :

- (a) claim for the recovery of contributions from the principal employer ;

- (b) claim by a principal employer to recover contributions from any immediate employer ;
- (c) claim under Section 66 or 67 made by the Corporation against the employer or other person liable thereunder ;
- (d) claim against a principal employer under Section 68 ;
- (e) claim under Section 70 for the recovery of the value or amount of the benefits received by a person when he is not lawfully entitled thereof ; and
- (f) any claim for the recovery of any benefit admissible under this Act. [Sec. 75(2)].

Institution of proceedings, etc. : The State Government shall make rules regarding the proceedings of the Court. The proceedings before the Court shall commence by application. Such an application shall be in such form and shall contain such particulars and accompanied by such fee as may be prescribed by rules framed by State Government.—Secs. 76 and 77.

Powers of Employees' Insurance Courts : The Employees' Insurance Court has all the powers of a Civil Court. It shall follow such procedure as may be prescribed by rules framed by the State Government. An order of the Court shall be enforceable as if it was a decree of the Civil Court.—Sec. 78(u).

Appearance : Legal Practitioner or an office of a Registered Trade Union can appear or act, before an Employees' Insurance Court authorised in writing by the applicant.—Sec. 79.

Benefit : A benefit under the Act is not admissible unless he has made a claim for such benefit in accordance with the regulations made in this behalf, within 12 months after the claim became due. The Court can allow claim after the time is over, if the Court is satisfied that there was reasonable excuse for the delay.—Sec. 80.

Reference : An Employees' Insurance Court may submit any question of law for the decision of the High Court.—Sec. 81.

Appeal : An appeal shall lie to the High Court from an order of an Employees' Insurance Court if it involves a substantial question of law. No other appeal shall lie from an order of an Employees' Insurance Court. The period of limitations for an appeal under this section shall be 60 days. The provisions of Sections 5 and 12 of the Indian Limitation Act, 1908, shall apply to appeals under this section.—Sec. 82.

Stay : Where the Corporation has presented an appeal against an order of the Employees' Insurance Court, that court may, and if so directed by the High Court shall, pending the decision of the appeal, withhold the payment of any sum directed to be paid by the order appealed against.—Sec. 83.

Table : First Schedule
(See pp. 894, 896, 898, 901-902)

Average Daily Wages		Employee's	Employer's	Total Con-	Corresponding
Above	Below	weekly	weekly	tribution	daily standard
		contribu-	contribu-	Col. 2+3	benefit rate
		tions	tions		
1	2	3	4	5	
Rs.	Rs.	Paise	Paise	Paise	Paise
1. Below	2	nil	75	75	100
2. 2	3	40	80	120	130
3. 3	4	50	100	150	175
4. 4	6	70	140	210	250
5. 6	8	95	190	285	350
6. 8	12	125	250	375	500
7. 12	16	175	350	525	700
8. 16	24	275	550	825	1000
9. 24 and above		375	750	1125	1500

PENALTIES¹

Punishment for false statement (Section 84)

Whoever, for the purpose of causing any increase in payment or benefit under this Act, or for the purpose of causing any payment or benefit to be made where no payment or benefit is authorised by or under this Act, or for the purpose of avoiding any payment to be made by himself under this Act or enable any other person to avoid any such payment, knowingly makes or causes to be made any false statement or false representation shall be punishable with imprisonment up to three months, or fine up to Rs. 500 or both.

¹ In 1975, The Employees' State Insurance Act was amended, adding the penal clauses of Section 85 and new sections 85A, 85B, 85C and 93A. By the same amendment a para was added to the Section 405 of the Indian Penal Code.

Punishment for failure to pay contributions etc. (Section 85)

If any person—

(a) fails to pay any contribution which under this Act he is liable to pay, or

(b) deducts or attempts to deduct from the wages of an employee the whole or any part of the employer's contribution, or

(c) in contravention of Section 72 reduces the wages or any privileges or benefits admissible to an employee, or

(d) in contravention of Section 73 or any regulation dismisses, discharges, reduces or otherwise punishes an employee, or

(e) fails or refuses to submit any return required by the regulations, or makes a false return, or

(f) obstructs any inspector or other official of the corporation in the discharge of his duties, or

(g) is guilty of any contravention of or non-compliance with any of the requirement of this Act or the rules or the regulations in respect of which no special penalty is provided, he shall be punishable—

(1) where he commits an offence under clause (a), with imprisonment for a term which may extend to six months but—

(a) which shall not be less than three months in case of failure to pay the employees' contribution which has been deducted by him from the employee's wages ;

(b) which shall not be less than one month, in any other case, and shall also be liable to fine which may extend to two thousand rupees ;

Provided that the court may, for any adequate and special reasons to be recorded in the judgment, impose a sentence of imprisonment for a lesser term or of fine only in lieu of imprisonment ;

(2) where he commits an offence under any of the clauses (b) to (g) (both inclusive), with imprisonment for a term which may extend to six months, or with fine which may extend to two thousand rupees, or with both.

Enhanced punishment in certain cases after previous conviction (Section 85A)

Whoever, having been convicted by a court of an offence punishable under this Act, commits the same offence shall, for

every such subsequent offence, be punishable with imprisonment for a term which may extend to one year, or with fine which may extend to two thousand rupees or with both :

Provided that where such subsequent offence for failure by the employer to pay any contribution which under this Act he is liable to pay, he shall, for every such subsequent offence, be punishable with imprisonment for term which may extend to one year but which shall not be less than three months and shall also be liable to fine which may extend to four thousand rupees.

Power to recover damages (Section 85B)

(1) Where an employer fails to pay the amount due in respect of any contribution or any other amount payable under this Act, the Corporation may recover from the employer such damages not exceeding the amount of arrears as it may think fit to impose :

Provided that before recovering such damages, the employer shall be given a reasonable opportunity of being heard.

(2) Any damages recoverable under sub-section (1) may be recovered as an arrear of land revenue.

Power to Court to make orders (Section 85C)

(1) Where an employer is convicted of an offence for failure to pay any contribution payable under this Act, the court may, in addition to awarding any punishment, by order, in writing require him within a period specified in the order (which the court may if it thinks fit and on application in that behalf, from time to time, extend), to pay the amount of contribution in respect of which the offence was committed.

(2) Where an order is made under sub-section (1) the employer shall not be liable under this Act in respect of the contribution of the offence during the period or extended period, if any, allowed by the Court. Where on the expiry of such period or extended period, as the case may be, the orders of the Court have not been fully complied with, the employer shall be deemed to have committed a further offence. According to the law, he shall be punishable with imprisonment in respect thereof under Section 85 and shall also be liable to pay fine which may extend to one hundred rupees for every day after such expiry on which the order has not been complied with.

Prosecutions (Section 86)

- (1) No prosecution under this Act shall be instituted except by or with the previous sanction of the Insurance Commissioner or of such other officer of the corporation as may be authorised in this behalf by the Central Government.
- (2) No court inferior to that of a Presidency Magistrate or a Magistrate of the first class shall try to any offence under this Act.
- (3) No court shall take cognizance of any offence under this Act except on a complaint made in writing in respect thereof, within 6 months of the date on which the offence is alleged to have been committed.

Amendment of Section 405 of the Indian Penal Code

A person, being an employer, who deducts the employees' contribution from the wages payable to the employee for credit to the Employees' State Insurance Fund held and administered by the Employees' State Insurance Corporation established under the Employees' State Insurance Act, 1948 shall be deemed to have been entrusted with the amount of the contribution so deducted by him if he makes default in the payment of such contribution to the said Fund in violation of the said Act, shall be deemed to have dishonestly used the amount of the said contribution in violation of a direction of law aforesaid.

TRANSFER OF ESTABLISHMENT**Liability in case of transfer of establishment (Section 93A)**

Where an employer, in relation to a factory or establishment transfers that factory or establishment in whole or in part, by sale, gift, lease or license or in any other manner whatsoever, the employer and the person to whom the factory or establishment is so transferred shall jointly and severally be liable to pay the amount due in respect of any contribution or any other amount payable under this Act in respect of the period up to the date of such transfer :

Provided that the liability of the transfers shall be limited to the value of the assets obtained by him by such transfer.

EXERCISES

1. Explain the following terms as used in the Employees' State Insurance Act, 1948 :
 - (a) Seasonal Factory. (Page 879)
 - (b) Employee. (Page 880)
 - (c) Family. (Page 881)
 - (d) Employment injury. (Page 900)
 - (e) Dependant. (Page 904)
 - (f) Immediate employer. (Page 883)
 - (g) Principal employer. (Page 882)
 - (h) Insurance Fund. (Page 892)
 - (i) Disablement benefit. (Page 899)
 - (j) Dependant's benefit. (Page 904)
 - (k) Factory. (Page 879)
 - (l) Insured person. (Page 881)
2. What do you mean by Employees' State Insurance Fund and how is it constituted? What are the purposes for which the said fund may be expended? (Pages 892-894)
3. State the purposes of the Employees' State Insurance Fund. (Pages 892-893)
4. State what is meant by "insurance fund" as mentioned in the Employees' State Insurance Act. What are the purposes for which the fund may be expended? (Pages 892-893)
5. Give an outline of the composition and functions of the Employees' State Insurance Corporation. (Pages 885-889)
6. What is the term of office of members of the Corporation? (Pages 886)
7. State the rules in the Employees' State Insurance Corporation regarding the following—Constitution, Term of office of the members and Re-election and Eligibility for Re-nomination. (Pages 885-890)
8. How the Medical Benefit Council is constituted? (Page 890)
9. How the Employees' State Insurance Corporation and the standing committee are constituted? (Page 890)
10. What are the different types of benefits provided by the Employees' State Insurance Act, 1948? (Page 896)
11. Is the right to receive payment of any benefit under the Act transferable or assignable? (Page 906)
12. Are any of the benefits payable under the Employees' State Insurance Act liable to attachment in execution of any decree of a Court? (Pages 909-911)
13. If the injured employee dies, are his dependants entitled to benefits? (Pages 904-906)

14. Who are entitled to get dependant's benefit in case of death arising out of employment injury ? (Page 904)
15. When may a person become eligible for sickness benefit under the Employees' State Insurance Act ? (Pages 896-898)
16. What are the provisions of the Employees' State Insurance Act, 1948 regarding disputes and claims ? (Pages 909-911)
17. To whom is disablement benefit payable under Employees' State Insurance Act ? (Page 899)
18. Who are entitled to get dependants' benefit in case of death arising out of employment injury ? (Pages 899)
19. What are the Medical and Maternity benefits to which the insured persons are entitled under the said Act ? (Pages 898, 906)
20. Can an insured woman be entitled to sickness benefit and maternity benefit together for the same period ? (Pages 896, 898)
21. What are the different kinds of benefits to which injured persons are entitled under the Employees' States Insurance Act, 1948. (Page 896)
22. State the rules regarding payment of contribution under the Act. Is an employee earning Rupee one per day liable to pay contribution under the said Act ? (Pages 895-897)
23. Discuss the powers of Employees' Insurance Court under the Employees' State Insurance Act, 1948. What matters can this Court decide ? (Pages 909-911)
24. Describe the benefits available to an employee in case of sickness or disablement under the Employees' State Insurance Act, 1948. (Pages 896-898, 899)
25. Under Section 46-(a) Who are entitled to certain benefits and (b) what are these benefits ? (Page 898)
26. State the purposes for which the Employees' State Insurance Fund can be expended. (Pages 892-893)
27. (a) Enumerate the matter to be decided by Employees' Insurance Court. (Pages 909-911)
(b) Discuss the condition to be observed by the recipients of sickness or disablement benefit. (Pages 896-899)
28. Discuss the provisions of the Employees' State Insurance Act, 1948 relating to sickness benefit. (Pages 896-898)
29. How is the Employees' State Insurance Corporation constituted ? (Page 885)
30. State the circumstances under which the Corporation can claim from the owner of the factory the amount of extra expenditure incurred by the Corporation as sickness benefit under the Employees' State Insurance Act, 1948. (Pages 896-898)

31. Objective questions. Give short answers.

- (i) What is meant by "total disablement" as per Employees' State Insurance Act, 1948 (Pages 901-902)
- (ii) State the exact number of persons to be sent from the Parliament : to act as members of the Employees' State Insurance Corporation. (Page 885)
- (iii) What is meant by "Occupational disease" as per Employees' State Insurance Act, 1948 ? (Page 869)
- (iv) What is the term of office of members of the Corporation ? (Page 886)
- (v) Are any of the benefits payable under the Employees' State Insurance Act liable to attachment in execution of any decree of a Court ? (Pages 909-910)
- (vi) Can an insured woman be entitled to sickness benefit and maternity benefit together for the same period ? (Pages 907-908)
- (vii) Who is an insured person according to be the Employees' State Insurance Act ? (Pages 881-882)

Object

Under the English Common Law a suit for damages for a personal injury can only be brought by the person injured. If he dies as a result of injury, the right to sue does not pass on to his heirs or legal representatives. This principle is known as, "actio personalis moritur cum persona" ("A personal action dies with the person injured"). This rule resulted in much hardship to poor persons dying from accidents. This rule was modified in England by the Fatal Accidents Act of 1846. The Indian Act is based on the English Act. This enables certain heirs of the deceased person to sue for damages when death is caused by an actionable wrong.

Application

The Fatal Accidents Act, (XIII of 1855) applies to the whole of India, including Jammu and Kashmir¹.—Sec. 1.

Suit for compensation to the family of a person for loss occasioned to it by his death by actionable wrong : Whenever a death of a person is caused by wrongful act, neglect or default a suit for damages can be brought by the executor, administrator or legal representative of the deceased. Such a suit must be for the benefit of wife, husband, parents and child, if any, of the deceased. In every such action the Court may give such damages as it may think proportional to the loss resulting from such death to the parties respectively. The amount so recovered, after deducting all costs and expenses, shall be divided amongst the parties as the Court will decide.—Sec. 1A.

The measure of damages is the actual pecuniary loss suffered, but reasonable expectation of a pecuniary benefit must be taken into account. *Taff Vale Railway Company v. Jenkins*² ; *Secretary of State v. Gopal Singh*³. In estimating the amount of damages the Court must take into account the chances of life, the chances of any improved conditions, and the standard of living of the dependent family. *Nanibala v. Auckland Jute Company*⁴. No

¹ See p. 5, footnote

³ 20 I. C. 425

² (1913) A. C. 1

⁴ 52 Cal. 602

compensation can be allowed for mental sufferings. No sum can be awarded for ceremonial or funeral purposes. *Narayan Jetha v. Commissioners and Corporations of Bombay*.¹

Not more than one suit to be brought. Claim for loss to the estate may be added: Not more than one action or suit shall be brought for, and in respect of the same subject matter of complaint.—Sec. 2.

Plaintiff shall deliver particulars etc.: The plaintiff shall give full particulars for the person or persons for whom and on behalf of the action or suit shall be brought and of the nature of the claim in respect of which damages shall be sought to be recovered.—Sec. 3.

Interpretation clause: The terms used above are interpreted as follows—"person" includes bodies politic and corporate; "parent" include father and mother; "child" includes son, daughter, grandson, grand daughter, step son and step daughter.—Sec. 4.

Calculation of damages: As a mode of calculation of damages in favour of the parents on account of the death of their minor child in a motor (truck) accident, the guiding principles are: Firstly, the parents are entitled to recover the cash value of the services of the deceased minor. Secondly, they are further entitled to have compensation for the loss of pecuniary benefits that can reasonably be expected after the child might have attained the majority.

The capitalised value of the reasonable services rendered to the dependants can be given under Section 1-A, while the award can be made for the loss of fairly happy and healthy life under Section 2. The conditions in a given family of the child should be taken note of. The judicial approach to the death of a child below the age of ten upon proof of normal family conditions is to assess damages within the range of Rs. 5000/- to Rs. 6000/- during the period till about 1970. That is how reasonable desideratum on quantum itself is furnished and once basic facts are established, that would constitute fair quantification. Every case may have, however, its own facts either requiring increase or decrease in this ratio.

Under the scheme of the Fatal Accidents Act the life that is lost has to be treated as "an economic unit". *Shriram Hari Tambey v. Diwakar Ramchandra Kharabe and others*.²

¹ 16 Bom. 254

² AIR (1975) Bom. 227

Object and reasons

Under the Common Law of England, in civil suits for damages for injuries sustained by workmen, it is open to the employer to plead : (i) *the doctrine of common employment*, by which the employer is not normally liable to pay damages to a workman for an injury resulting from the default of another workman ; and (ii) *the doctrine of assumed risk*, by which an employee is presumed to have accepted risk if it is such that he ought to have known it to be part of the risk of his occupation.

The Employers' Liability Act (Act XXIV of 1938) declares that the above defences of the employers shall not be raised in suits for damages in respect of injuries sustained by workman.

Defence of common employment barred

Section 3 of the Act provides that the defence of Common Employment cannot be pleaded when personal injury is caused under any of the following circumstances :

- (a) the omission of the employer (or of anybody in his service) to maintain in good and safe condition any way, works, machinery or plant connected with or used in his trade or business ;
- (b) the negligence of any person in the service of the employer who has been entrusted with any superintendence ;
- (c) the negligence of any person in the service of the employer to whose order and direction the workman had to conform and did conform ; or
- (d) any act or omission of any person in the service of the employer done or made (i) in the normal performance of his duties (ii) in obedience to any rule or bye-law of the employer, or (iii) in obedience to any particular instructions given by any person to whom the employer has delegated authority in that behalf.

Contracting out

Section 3A makes void any agreement by which the provisions of Section 3 are contracted out.

Risk not to be assumed

Section 4 provides that in any suit for damages, the workman shall not be deemed to have undertaken any risk attaching to his employment unless the employer proves that the risk was fully explained to and understood by the workman and that the workman voluntarily undertook the same.

According to Section 3(a) the employer is bound to maintain good and safe condition of any way, works etc. Some examples are given below : A staircase, *Pegram v. Dixon*¹ ; workshop floor, *Willets v. Watt & Co.*,² a 'horse' in the plant, *Yarmonth v. France*.³

¹ (1886) 55 L.J.Q.B. 447

² (1892) 2. Q.B. 92

³ (1887) 19 Q.B.D. 647

OBJECT AND SCOPE**Application**

The Workmen's Compensation Act (Act VIII of 1923) came into force from 1st July, 1924. It applies to the whole of India, including the State of Jammu and Kashmir.¹ The Act provides for the payment of compensation by certain classes of employers to their workmen, for injury by accidents.

The Workmen's Compensation Act does not apply to factories covered by the Employees' State Insurance Act.

The Amendment of 1976. The Workmen's Compensation (Amendment) Act, 1976, was passed with the object of providing suitable scales of compensation for the higher wage levels beyond Rs. 500. The reason is that all wages have been increased. Before the amendment, the Act covered workmen whose wages did not exceed Rs. 500 per month. (See, Schedule, pp. 928-929).

The latest amendment to the Act was made in 1984.

Defences of the Employer

Prior to the passing of this Act, the employer was liable to pay compensation only if he was guilty of negligence. Even in case of proved negligence, the employer could get rid of his liability by using any of the following defences :

1. *The Doctrine of Assumed Risks* : If the employee knew the nature of the risks he was undertaking when working in a factory, the employer had no liability for injuries. The court assumed in such case that the workman had voluntarily accepted the risks incidental to his work. The doctrine followed from the rule *Volenti Non Fit Injuria*, which means that one, who has volunteered to take a risk of injury, is not entitled to damages if injury actually occurs.

2. *The Doctrine of Common Employment* : Under this rule, when several persons work together for a common purpose and

¹ See p. 5, footnote

one of them is injured by some act or omission of another, the employer is not liable to pay compensation for the injury.

3. *The Doctrine of Contributory Negligence* : Under this rule, a person is not entitled to damages for injury if he was himself guilty of negligence and such negligence contributed to the injury.

The three aforesaid defences and the rule "no negligence no liability" made it almost impossible for an employee to obtain relief in cases of accident. The Workmen's Compensation Act of 1923 radically changed the law. According to this Act, the employer is liable to pay compensation irrespective of negligence. The Act looks upon compensation as relief to the workman and not as damages payable by the employer for a wrongful act or tort. Hence contributory negligence by the employee does not disentitle him from relief. For the same reason, it is not possible for the employer to plead the defence of common employment or assumed risks for the purpose of avoiding liability. Thus the Act makes it possible for the workman to get compensation for injuries, unimpeded by the legal obstacles set up by the law of Torts.

Two ways of claiming compensation

An injured workman may, if he wishes, file a civil suit for damages against the employer. Section 3(5) of the Workmen's Compensation Act, however, provides that if such a suit is filed, compensation cannot be claimed under the Act and if compensation has been claimed under the Act, or if an agreement has been entered into between the employer and the workman for the payment of compensation, no suit can be filed in the civil court. Thus the workman has to choose between two reliefs (i) civil suit for damages and (ii) claim for compensation under the Act. He cannot have both.

In a civil suit for damages, it is open to the employer to plead all the defences provided by the law of Torts. Therefore, a civil suit is a risky procedure for a workman and is rarely adopted. The legal position of workmen has, however, been improved by two Acts, viz., The Indian Fatal Accidents Act of 1855 and the Employers' Liability Act of 1938. The provisions of these Acts were summarised in the previous chapters.

DEFINITIONS UNDER WORKMEN'S COMPENSATION ACT

Dependant

Section 2(d) gives a list of persons who come within the category of "dependant" of a workman. In ordinary language the dependant of a person is one who lives on his earnings. Under Section 2(d) there are *three* categories of dependants.

1. The following relations are dependants, whether actually so or not—widow, minor legitimate son, unmarried legitimate daughter, a widowed mother.—Sub-sec. (i).

2. The following relations come within the category if any were *wholly* dependant on the earnings of the deceased workman at the time of his death—a son or daughter who has attained the age of 18 years and who is infirm.—Sub-sec. (ii).

3. The following relations are dependants if they were *wholly* or partially so at the time of the workman's death—widower; parent, other than widowed mother; minor illegitimate son; unmarried illegitimate daughter, or a daughter legitimate or illegitimate if married and a minor or if widowed and a minor, a minor brother or an unmarried sister or widowed sister if minor; a widowed daughter-in-law, a minor child from a predeceased son; a minor child from a predeceased daughter where no parent or child is alive; or a paternal grand parent if no parent of the workman is alive.—Sub-sec. (iii).

Parent, other than widowed mother : Calcutta High Court held that the term 'step-mother' does not include this phrase. *Manada Devi v. Bengal Bone Mill*.¹ But Nagpur High Court held that the term includes an adoptive widowed mother. *Additional Dy. Commissioner Simbhum v. Smt. Lakhmibai Naidu*.²

Minor

Minor means a person who has not attained the age of 18 years.—Sec. 2(ff).

Employer

Sec. 2(e) provides that the term Employer "includes" the following : (i) any body of persons, whether incorporated or not (ii) any managing agent of an employer (iii) the legal representatives of a deceased employer, and (iv) any person to whom the

¹ AIR (1940) Cal 285

² AIR (1945) Nag. 238

services of a workman are temporarily lent or let out, while the workman is working for him. The definition is not exhaustive.

Examples :

- (i) The Government hired out some lorries with drivers to a contractor. Held, the contractor was the employer of the lorry drivers with the meaning of the Act. *Krishna Aiyar v. The Superintending Engineer, P.W.D., Madras*.¹
- (ii) The owner of a boat hired it out to another. The latter engaged the crew. One of the crew died while on duty. The widow of the deceased claimed compensation from the owner of the boat. Held, he was not the employer and not liable to pay compensation. *Malenu v. Narasama*.²

Partial Disablement

Disablement, in ordinary language, means loss of capacity to work or move. Such incapacity may be partial or total and accordingly there are two types of disablement, partial and total. In the Act both types of disablement are further subdivided into two classes, temporary and permanent. By Section 2(1)(g) Temporary Partial Disablement means such disablement as reduces the earning capacity of a workman in *any employment in which he was engaged* at the time of the accident, and Permanent Partial Disablement means such disablement as reduces his earning capacity *in every employment he was capable of undertaking* at that time. The Act is not limited only to physical capacity of disablement, but extends to the reduction of earning capacity as well. *Sukkai v. Hukum Chand Jute Mills Ltd.*³

In a case of Partial Disablement it is necessary that (a) there should be an accident, (b) as a result of the accident the workman should suffer injury, (c) which should result in permanent disablement and (d) as a result whereof his earning capacity must have decreased permanently. In the proportion in which his earning capacity has been decreased permanently he is entitled to compensation.

The medical evidence showing loss of physical capacity is a relevant factor but it is certainly not the decisive factor as to the loss of earning capacity. It is the loss of earning capacity that has to be determined. *Commrs. for Port of Cal. v. A. K. Ghosh*.⁴

¹ I.L.R. (1949) Mad. 578

³ AIR (1957) Cal 601

² (1951) M. W. N. 807

⁴ (1972) 76 C.W.N. 639

The type of disablement suffered is to be determined from the facts of the case. But it is provided that every injury specified in Schedule I to the Act shall be deemed to result in permanent partial disablement. The schedule also mentions the percentage loss of earning capacity which is to be presumed in each such case.

Examples : (From Schedule I)

<i>Description of Injury</i>	<i>Percentage loss of earning capacity</i>
Loss of both hands	100
Severe facial disfigurement	100
Absolute deafness	100
Loss of thumb	30
Loss of one eye	40
Middle finger of left hand (whole)	14

(There are 54 items listed in the Schedule with percentage loss of earning capacity for each item mentioned.)

Total Disablement

According to Section 2(1) total disablement means such disablement, whether of a temporary or permanent nature, as incapacitates a workman for all work which he was capable of performing at the time of the accident resulting in such disablement, provided that permanent total disablement shall be deemed to result from the permanent total loss of the sight of both eyes or from any combination of injuries specified in Schedule I, where the aggregate percentage of the loss of earning capacity as specified in that schedule against those injuries, amounts to one hundred per cent.

Case Law :

There was a personal injury to a carpenter in course of the employment. His left hand was amputated above the elbow. The Supreme Court of India held that since a carpenter cannot work with one hand his disablement is total and not partial. *Pratap Narain Singh Deo v. Srinivas Sabata and another.*¹

Wages

Wages include any privilege or benefit which is capable of being estimated in money, other than a travelling allowance or the value of any travelling concession or a contribution paid by

¹ AIR (1976) Supreme Court 222

the employer of a workman towards any pension or provident fund or a sum paid to a workman to cover any special expenses entailed on him by the nature of his employment.—Sec. 2(1)(m).

The definition of wages is important because an employee whose monthly wages exceed Rs. 1000 is not a workman for the purpose of the Act. The Amendment Act of 1984 has abolished this limit.

The definition of wages is not exhaustive. Wages include all payment which can be calculated in terms of money, e.g., ordinary wages, extra payment for overtime, bonus and other inducements in the shape of payment for idle time, free meals, allowances for grain and clothing, free or cheap housing, etc., offered to the workman to enter into a contract with the employer. *Godavari Sugar Mills v. Sakuntala*.¹ But travelling expenses or employer's provident fund contributions are excluded. Local allowance to a workman for cost of living in a particular place forms part of wages. Share of profit or bonus under a profit sharing scheme is wages. *Chitra Tanti v. Tata Iron & Steel Co.*² This sub-section read with section 5 indicates that payments made by a third party, e.g., tips by customers to boys in restaurants are not wages. Tips may be included within the terms wages if they were received by the workman with the knowledge of the employer. *Penn v. Spiers & Pond*.³

Monthly Wages

Section 5 of the Act defines "monthly wages" and states the methods of calculating it. "Monthly" wages means the amount of wages deemed to be payable for a month's service (whether the wages are payable by the month or by whatever other period or at piece rate). Monthly wages are calculated as follows :

(a) Where the workman was in service for a continuous period of 12 months immediately preceding the accident monthly wages shall be one-twelfth of the total wages due for the last twelve months of the period.

(b) Where the whole of the period of continuous service was less than one month, monthly wages shall be the average monthly amount which during the twelve months immediately preceding the accident was being earned by a workman employed on the

¹ AIR (1948) Bom. 158

² AIR (1946) Pat 437

³ (1908) 1. K. B. 766

same work by the same employer, or if there was no workman so employed, by a workman employed on similar work in the same locality.

(c) In other cases, including cases in which it is not possible for want of necessary information to calculate the monthly wages under clause (b) the monthly wages shall be thirty times the total wages earned in respect of the last continuous period of service immediately preceding the accident from the employer who is liable to pay compensation divided by the number of days comprising such period.

A period of service is deemed to be continuous which has not been interrupted by a period of absence exceeding 14 days.

Workman

The definition of the term workman is important because only a person coming within the definition is entitled to the reliefs provided by the Workmen's Compensation Act. "Workman" is defined in Section 2(1)(n) read with Schedule 11 to the Act.

In Schedule II, a list (consisting of 32 items) is given of persons who come within the category of workmen. *Examples* : Persons employed otherwise than in a clerical capacity or in a railway to operate or maintain a lift or a vehicle propelled by steam, electricity or any mechanical power ; person employed otherwise than in a clerical capacity in premises where a manufacturing process is carried on ; seamen in ships of a certain tonnage ; persons employed in constructing or repairing building or electric fittings ; persons employed in a circus or as a diver ; etc.

Subject to the exceptions noted below, the term workman means :

(a) a railway servant as defined in Section 3 of the Indian Railways Act of 1890 who is *not* permanently employed in any administrative, district or sub-divisional office of a railway and *not* employed in any capacity as is specified in Schedule II or

(b) employed in any such capacity as is mentioned in Schedule II.

From 1st April 1976, the limit of monthly wages for purposes of this Act, was raised from Rs. 500 to Rs. 1000. (The Amendment of 1976. See p. 922).

The contract of employment may be expressed or implied, oral or in writing.

The Act provides that the following categories of persons are *not* to be deemed as workmen for the purposes of the Act :

- (a) Persons working in the capacity of a member of the Armed Forces of the Union.
- (b) A person whose employment is of a *casual nature* and who is employed otherwise than for the purposes of the employer's trade or business.

The exercise and performance of the powers and duties of a local authority or of any department acting on behalf of the Government shall, for the purposes of the Act, unless a contrary intention appears, be deemed to be the trade or business of such authority or department.

The State Government has been given power to add to the list in Schedule II any hazardous occupation or specified injuries in such an occupation. The addition may be made by notification in the official Gazette, with not less than 3 months' notice.

There are legal decisions regarding the question who is a workman. The general rule is that there must be the relationship of master and servant between the employer and the workman. *Smith v. General Motor Cab Co.*² Workman is a person whom the employer can command and control in the manner of performing the work. *Yewen v. Noakes.*³ According to Wills,⁴ the following points are to be taken into consideration in determining the question whether a person is a workman : (a) the term of engagement (b) the payment of wages (c) the power of control over the work (d) the power to dismiss.

What is employment of a casual nature ?

Employees of a casual nature, if not employed in the employer's trade or business, do not come within the definition of the term workman as used in the Act.

Generally speaking, casual work is one which is not regular or continuous. A person doing odd jobs was employed by the occupier of a private premises to clean windows. Held, his work was of a casual nature. *Hill v. Begg.*⁵ A person officiating in a leave vacancy is not a casual worker. *In the matter of Alam Singh.*⁶

¹ AIR (1938) Bom. 110

² (1911) A. C. 188

³ (1880) 6 Q. B. D. 530

⁴ Wills, *Workmen's Compensation Act*

⁵ (1908) 2 K. B. 802

⁶ AIR (1936) All 690

Whether the employment is for the purpose of the employer's trade or business depends on whether the contract of service entered into by the employer was in his capacity as businessman or in a private capacity. When a coal mine employs workers to dig for coal it is for his trade or business. But a mine owner engaging workers for building his residence, is not engaging them for his trade or business.

A person who does service which is illegal and void cannot be a workman and cannot claim compensation. *Kemp v. Lewis*.¹

RULES REGARDING WORKMEN'S COMPENSATION

When is employer liable to pay compensation ?

Section 3(1) lays down that if personal injury is caused to a workman by accident arising out of and in course of employment, his employer shall be liable to pay compensation.

From the above it follows that the employer is liable when (a) injury is caused to a workman by *accident* and (b) the accident arises *out of and in course of employment*. An occupational disease is deemed to be an injury by accident and the employer is liable to pay compensation. The section itself provides that in certain cases of injury, no compensation is payable.

What is an accident ?

Lord Macnaughten in *Fenton v. Thorley & Company*² defined an accident as "an unlooked for mishap or untoward event which is not expected or designed". Thus a self-inflicted injury is not an accident ordinarily. In *Grime v. Fletcher*³ a person became insane as a result of accident and then committed suicide. It was held that death was the result of the accident and compensation was awarded. But where insanity was not the direct result of the accident compensation cannot be awarded, e.g., where suicide was due to brooding over the accident. *Withers v. L. B. & S. C. Railways*.⁴ A series of tiny accidents, each producing some unidentifiable result and operating cumulatively to produce the final condition of injury, would constitute together an accident to furnish a proper foundation for a claim under the Act. *Chillu Kahar v. Burn & Co. Ltd.*⁵ following *Burrell & Sons Ltd. v. Silvage*.⁶

¹ (1914) 3 K. B. 543

³ (1915) 1 K. B. 734

⁵ AIR (1953) Cal 516

² (1903) A. C. 443

⁴ (1916) 2 K. B. 772

⁶ 126 L. T. R. 49 H. L.

Personal Injury

A personal injury is not necessarily confined to physical or bodily injury. Injury includes psychological and physiological injury such as nervous shock, insanity etc. *Yates v. South Kirkby Collieries*.¹ The injury must be personal. An injury to the belongings of a workman does not come within the Act.

A workman had to go into a heating room and from there to a cooling plant. The changes of temperature caused pneumonia and the workman died. Held, the death was due to personal injury. *The Indian News Chronicle Ltd. v. Mrs. Luis Lazarus*.² Death was the result of heat-stroke. Held that dependant was entitled to compensations. *Santon Fernandez v. B. P. (India) Ltd.*³

Arising out of and in the course of employment

This phrase has been copied from the English Act on the subject. The phrase has been interpreted in a large number of cases, English and Indian. But difficulties still remain.

In the course of employment : This part of the phrase covers the period of time during which the employment continues. Compensation is payable if the accident occurs within the period of employment. Generally speaking employment commences when the employee reaches his place of work and ceases when he leaves the place. But there are several exceptions to the above rule.

(1) When the workman uses transport provided by the employer for the purpose of going to and from the place of work, the time during which he uses the transport, is included in the course of his employment. *Holmes v. Great Northern Railway*.⁴

(2) The time during which the workman is upon the premises of the employer should be included in the period of employment. An employee of the E. I. Railways was knocked down and killed by a train while returning from duty by crossing the platform area. Held, the accident arose out of and in course of employment. *Ranibala Seth v. East Indian Railway*.⁵

(3) If the workman reaches the place of employment before the time when the employment begins, if it was necessary and not too early, or if at the time of accident he was doing something to equip himself for the work, he is in course of employment. *Sharp v. Johnson*.⁶

¹ (1910) 2 K. B. 538

³ 8 Bom. L. R. 149

⁵ AIR (1951) Cal. 501

² (1951-52) 3 F. J. R., 190

⁴ (1900) 2 Q. B. 409

⁶ (1905) 2 K. B. 139

(4) If the workman with the knowledge and permission of the employer lives at some distance from the place where he is called upon to work and if in the course of proceeding at a reasonable time and in a reasonable manner from his place to the place of work, he meets with fatal accident then his accident must be held to arise out of and in course of employment. *Vishram v. Dadabhoy*.¹

(5) The period of rest during the period of employment is in the course of employment. But if the workman goes outside the employer's premises during the rest period and meets with an accident, it is not in course of employment. *Pruce v. Davey*.²

Arising out of the employment : In *Dennis v. White*,³ it was observed that, "When a man runs a risk incidental to his employment and is thereby injured, then the injury arises out of the employment." In *L & Y Railway v. Highley*,⁴ Lord Sumner set the test as follows : "Was it a part of the injured person's employment to hazard, to suffer or to do that which caused his injury ? If yea, the accident arose out of his employment, if nay, it did not." The dictum of Lord Sumner was followed in several Indian cases e.g., *Sheikh Nawab Ali v. Sree Hanuman Jute Mills*.⁵

A worker was stabbed to death on the way to work. The accident arose out of the employment. *Bhayabhai v. Central Rly., Bombay*.⁶ A boy served tea in his usual round. While returning to the factory canteen he was struck by a bullet and died. The death of the boy was held to be an accident arising out of and in the course of employment.

Notional Extension : "As a rule the employment of a workman does not commence until he has reached the place of employment and does not continue when he has left the place of employment, the journey to and from the place of employment being excluded. It is now well settled, however, that this is subject to the theory or notional extension of employer's premises so as to include an area which the workman passes and repasses in going to and in leaving the actual place of work." *Saurashtra Salt Mfg. Co. v. Bai Valu Raja and others*.⁷ In order to prove that injury arises out of employment, two conditions must be fulfilled.

¹ AIR (1942) Bom. 175

² (1926) 20 B. W. C. C. 237

³ (1917) A. C. 479

⁴ (1917) A. C. 352

⁵ AIR (1933) Cal. 513

⁶ AIR (1955) Bom. 105

⁷ AIR (1958) Supreme Court 881

(i) Injury must have resulted from some risk incidental to the duties of the service, or inherent in the nature or condition of employment, and

(ii) The worker at the time of injury must have been engaged in the business of the employer and must not engage in any work for his personal benefit.

Occupational Diseases

Persons employed in certain occupations are liable to be attacked by certain diseases. For example, a person engaged in an employment involving exposure to dust containing silica is liable to contract silicosis, telegraph operators are liable to have what is called Telegraphist's Cramp. Such diseases are known as Occupational Diseases. Schedule III to the Workmen's Compensation Act contains a list of occupational diseases divided into three parts, Part A, Part B and Part C. Part A includes Anthrax, Compressed Air Sickness, Poisoning by lead tetra-ethyl and nitrous fumes. Part B includes poisoning by lead compounds, phosphorus, mercury etc., cancer of the skin, telegraphist's cramp etc. Part C includes Silicosis, Asbestosis etc.

Section 3(2) of the Act provides that an occupational disease, "shall be deemed to be an injury by accident within the meaning of this section and, unless the contrary is proved, the accident shall be deemed to have arisen out of, and in the course of, the employment."

For diseases included in Part A of Schedule III, the employer is liable to pay compensation when a workman employed by him contracts the disease. For the diseases included in Part B, the employer is liable if a workman contracts it while in his service and if the workman has been in his service for a continuous period of six months, which period shall not include a period of service under any other employer in the same kind of employment. For diseases included in Part C of Schedule III, the workman is entitled to compensation if he has been in the service of one or more employers for such continuous period as the Central Government may specify. In these cases, the compensation is to be paid by all the employers in such proportions as the Commissioner of Workmen's Compensation may deem just.—Sec. 3(2A).

This list of occupational diseases and the employments producing them as contained in Schedule III may be extended

(by notification) by the State Government in the case of Parts A and B and by the Central Government in the case of Part C.

Section 3(4) lays down that save as provided above, no compensation shall be payable to a workman in respect of any disease unless the disease is directly attributable to a specific injury by accident arising out of, and in the course of his employment.

When is employer not liable to pay compensation ?

Section 3 of the Act provides that the employer is not liable to pay compensation in the following cases :

- (a) in respect of any injury which does not result in the total or partial disablement of the workman for a period exceeding three days,
- (b) in respect of any injury not resulting in death, caused by an accident which is directly attributable to—
 - (i) the workman having been at the time thereof under the influence of drink or drugs, or,
 - (ii) the wilful disobedience of the workman to an order expressly given, or to a rule expressly framed, for the purpose of securing the safety of workmen, or,
 - (iii) the wilful removal or disregard by the workman of any safety guard or other device which he knew to have been provided for the purpose of securing the safety of workmen.

As regards exception clause (b)(ii) a workman would not lose his right to compensation only by reason of the fact that he had acted thoughtlessly or foolishly. *Urmila Dasi and another v. Tata Iron and Steel Co. Ltd.*¹

From sec. 3 it follows that the employer is not liable to pay compensation under the Workmen's Compensation Act, in the cases also :

- (i) when the accident did not arise out of or in the course of the employment ;
- (ii) when the workman filed a suit for damages in the Civil Court ; and
- (iii) where disablement lasted 3 days or less (that is, injuries were not significant).

¹ AIR (1928) Patna 528

The Amount of Compensation

The Act provides for compensation for—(1) Death, (2) Permanent total disablement, (3) Permanent partial disablement, and (4) Temporary disablement.

For determining the amount of compensation payable under the Act, Section 4 has to be read with Schedule IV to the Act. In Schedule IV, there is a table having four columns. The first column gives the possible monthly wages earned by the injured workman, divided under 13 heads. The amount payable for death or permanent total disablement to workmen of each group is mentioned in the corresponding entry in column 2 and column 3 respectively. Column 4 gives the amount of half monthly payment to be made for temporary disablement. Schedule IV¹ is reproduced below :

SCHEDULE IV

(See Section 4)

COMPENSATION PAYABLE IN CERTAIN CASES

<i>Monthly wages of the workman injured</i>		<i>Amount of compensation for</i>		<i>Half-monthly payment as compensation for temporary disablement</i>
		<i>Death</i>	<i>Permanent total disablement</i>	
1	2	3	4	
<i>More than</i> Rs.	<i>But not more than</i> Rs.	Rs.	Rs.	Rs. P. Half his monthly wages
0	60	7,700	10,080	
60	90	9,720	14,608	36.00
90	120	11,520	16,128	42.00
120	150	13,500	18,900	48.75
150	200	16,800	25,520	60.00
200	300	18,000	25,200	82.50
300	400	19,200	26,880	100.00
400	500	21,600	30,240	118.75
500	600	21,000	29,400	135.00
600	700	23,100	32,340	148.75
700	800	24,000	33,600	160.00
800	900	27,000	37,800	168.75
900	1000	30,000	42,000	175.00

¹ Schedule IV was changed by the Workmen's Compensation (Amendment) Act, 1976 (No. 65 of 1976)

The rules regarding the amount of compensation, as laid down in Section 4, are stated below :

For Death : The employer must pay the amount mentioned in column 2 of Schedule IV.

For Permanent Total Disablement : The employer must pay the amount mentioned in column 3 of Schedule IV.

For Permanent Partial Disablement : Schedule I to the Act contains a list of injuries deemed to result in permanent partial disablement together with the percentage loss of earning capacity which is presumed to occur in each case. When permanent partial disablement occurs from an injury specified in Schedule I, the amount of compensation is to be calculated by finding out from Schedule IV the compensation payable for permanent total disablement to the workman concerned and multiplying it with the percentage loss of earning capacity as stated in Schedule I. Thus, suppose that there is an injury which, according to Schedule I, causes a 30% loss of earning capacity. Suppose that the monthly wage of the workman is Rs. 50. From Schedule IV it is seen that for permanent total disablement he would have obtained Rs. 10,080. Hence for the permanent partial disablement he would get 30% of Rs. 10,080, i.e., Rs. 3,024.

In the case of an injury not specified in Schedule I, the percentage loss of earning capacity permanently caused must be found out. This figure multiplied by the amount of compensation for permanent total disablement gives the amount of compensation payable for the partial disablement.

Where more injuries than one are caused by the same accident, the amount of compensation payable under this head shall be aggregated but not so in any case as to exceed the amount which would have been payable if permanent total disablement had resulted from the injuries.

For Temporary disablement : Where as a result of the injury there is a temporary disablement, total or partial, the employer is required to make a half-monthly payment to the workman. The rate of half-monthly payment is given in column 4 of Schedule IV. (There are different rates for different wage groups.)

Rules regarding Half-monthly Payment : The first half-monthly payment is to be made on the sixteenth day (i) from the date of the disablement, where such disablement lasts for a period of 28 days or more, or (ii) after the expiry of a waiting

period of three days from the date of the disablement, where such disablement lasts for a period of less than 28 days. Thereafter the payments must be made half-monthly during the disablement or during a period of five years, whichever period is shorter.

From any lump sum payment made for compensation and from any half-monthly payment, any sum which the workman has received from the employer, prior to the receipt of the lump sum or half-monthly payment, may be deducted. But any sum received for medical treatment, cannot be so deducted.—Sec. 4(1)(a).

No half-monthly payment shall in any cases exceed the amount, if any, by which half the amount of the monthly wages of the workman before the accident exceeds half the amount of such wages which he is earning after the accident.—Sec. 4(1)(b).

On the ceasing of the disablement before the date on which any half-monthly payment falls due, there shall be payable in respect of that half month a sum proportionate to the duration of the disablement in that half-month.—Sec. 4(2).

Any half-monthly payment payable to a workman may be reviewed by the Commissioner on the application of either the employer or the workman on the ground that there has been a change in the condition of the workman. The payment may upon review, be continued, increased, decreased or ended or (in case the injury has resulted in a permanent disablement) converted into a lump sum.—Sec. 6.

A right to receive half-monthly payment may, by agreement or by order of the Commissioner, be redeemed by the payment of a lump sum. This is called commutation of half-monthly payments.—Sec. 7.

Distribution of Compensation

Section 8 lays down the following rules regarding the distribution of compensation :

1. Compensation for death and lump sum payment due to a woman or to a person under a legal disability must be deposited with the Commissioner.

2. But in the case of a deceased workman, an employer may make to any dependant advances on account of compensation not exceeding an aggregate of one hundred rupees. So much of

such aggregate as does not exceed the compensation payable to that dependant shall be deducted by the Commissioner from such compensation and repaid to the employer.

3. Any other sum amounting to not less than Rs. 10 which is payable as compensation may be deposited with the Commissioner on behalf of the person entitled thereto.

4. The receipt of the Commissioner shall be sufficient discharge in respect of any compensation deposited with him.

5. After the deposit of the compensation, the Commissioner shall deduct therefrom the actual cost of the workman's funeral expenses to an amount not exceeding Rs. 50 and pay the same to the person by whom the expenses were incurred.

6. The Commissioner may serve notices calling upon the dependants to appear before him for the purpose of determining the distribution of the compensation.

7. If the Commissioner is satisfied that no dependant exists, he shall repay the balance of the money to the employer.

8. The Commissioner shall on application by the employer, furnish a statement showing in detail all disbursements made.

9. The compensation money is to be distributed among the dependants in such proportions as the Commissioner thinks fit. The whole of it may be given to one person.

10. Except in the case of a woman or a person under a legal disability, the compensation money is to be paid to the person entitled thereto.

11. Money payable to a woman or a person under a legal disability may be invested or otherwise dealt with as the Commissioner thinks fit. Half-monthly payments payable to a person under a legal disability may be paid to a dependant of the workman or to any other person whom the Commissioner thinks best fitted to provide for the welfare of the workman.

12. The orders of the Commissioner regarding the distribution of compensation may be varied later if necessary.

13. Notice must be given to the parties affected.

14. Where under the previous para, the Commissioner varies an order on the ground that the payment of compensation to any person has been obtained by fraud, impersonation or other improper means, any amount so paid may be recovered by the procedure laid down for the recovery of arrears of land revenue.

OTHER PROVISIONS REGARDING COMPENSATION

Payment of Compensation [Sec. 4A]

Compensation shall be paid as soon as it falls due. Where the employer does not accept the liability to the extent claimed, he must make provisional payment based on the extent of liability which he accepts. This is without prejudice to the right of the workman to make any further claim.

If an employer fails to pay the compensation within one month of the date on which it fell due, the Commissioner may direct the payment of simple interest thereon at 6%.

If the Commissioner thinks that there is no justification for the delay, he may direct, the payment of a further sum, not exceeding 50% of the sum due, by way of penalty.

Protection of Compensation

Save as provided by this Act, no lump sum or half-monthly payment payable under the Act shall in any way be capable of being assigned or charged or be liable to attachment or pass to any person other than the workman by operation of law, nor shall any claim be set off against the same.—Sec. 9.

This section has been framed, to protect as far as possible the workman from moneylenders.

Notice and Claim

Section 10 of the Act provides that no claim for compensation shall be entertained by the Commissioner unless notice of the accident has been given in the manner provided as soon as practicable. (This is subject to certain exceptions noted below.)

1. The required notice must be served upon the employer or upon any of several employers or upon any person responsible to the employer for the management of any branch of the trade or business in which the injured workman was employed.

2. The notice shall give the name and address of the person injured, the cause of the injury and the date of the accident.

3. The notice may be given by the injured workman or by anybody on his behalf.

4. It may be served by delivering it or sending it by registered post.

5. The State Government may require that any prescribed class of employers shall keep at the place of employment a

notice-book (accessible to all workers or persons acting *bona fide* on their behalf) where the occurrence of accidents may be recorded. An entry in the notice-book is sufficient notice.

The want of notice or any defect or irregularity in it shall not be a bar to a claim in the following cases :

(1) Where a workman dies or an accident occurring in the premises of the employer or while working under the control of the employer or of any person employed by him, and the workman died on the premises or without leaving the vicinity of the premises.

(2) If the employer or any one of several employers or any person responsible to the employer for the management of any branch of the trade or business in which the injured workman was employed, had knowledge of the accident from any other source at or about the time when it occurred.

(3) If the Commissioner is satisfied that the failure to give notice was due to sufficient cause.

A workman is bound to give notice of any accident which is not merely trivial, and it is not for him to decide whether it is likely to give rise to a claim for compensation. *Ahmedabad Victoria Iron Works Ltd. v. Maganlal Keshavlal Panchal*.¹

Section 10 also provides that a claim for compensation must be preferred before the Commissioner within two years of the occurrence of the accident or the date of death as the case may be. In case the accident is the contracting of a disease the date of its occurrence is the first of the days during which the workman was continuously absent from work in consequence of the disablement caused by the disease.

The Commissioner may entertain a claim, filed after the prescribed time, if he is of opinion that the failure to file it within time, was due to sufficient cause.

Fatal Accident

Section 10A provides that where a Commissioner receives information that a workman has died as a result of an accident arising out of and in course of his employment, he may send by registered post a notice to the workman's employer requiring him to submit, within thirty days of the service of the notice,

¹ AIR (1941) Bom. 296

a statement in the prescribed form, giving the circumstances attending the death of the workman, and indicating whether in the opinion of the employer, he is or is not liable to deposit compensation on account of the death.

If the employer is of opinion that he is liable, he shall make the deposit within thirty days of the service of the notice. If he is of opinion that he is not liable, he must state his grounds. In the latter case, the Commissioner, after such enquiry as he may think fit inform any of the dependants of the deceased workman that it is open to them to prefer a claim and may give them such further information as he may think fit.

Section 10B provides that where by any law for the time being in force, notice is required to be given to any authority by or on behalf of an employer, or any accident resulting in death or serious bodily injury, the person required to give the notice shall also send a report to the Commissioner. The report may be sent alternatively to any other authority prescribed by the State Government.

The State Government may extend the scope of the provision requiring report of fatal accidents to any class of premises. But Sec. 10B does not apply to factories to which the Employees' State Insurance Act applies.

Medical Examination (Sec. 11)

1. After a workman gives notice of an accident, the employer may, within three days of the service of the notice, offer to have him examined free of charge by a qualified medical practitioner.

2. Any workman in receipt of half-monthly payments may also be required to submit for examination from time to time.

3. The Examination must be in accordance with the rules framed for the purpose.

4. If the workman refuses, without sufficient cause, to submit to the examination or if he leaves the vicinity of the place in which he was employed, his right to receive compensation shall be suspended during the continuance of the refusal or until his return to the vicinity and examination.

5. In case the workman, who refused medical examination, subsequently dies, the Commissioner has discretionary powers of direct payment of compensation to the dependants of the deceased workman.

6. The condition of an injured workman may be aggravated by refusal to submit to medical examination or refusal to follow the instructions of the medical examiner or failure to be attended by or follow the instructions of a qualified medical practitioner.

7. In such a case he would get compensation, not for the aggravated injury, but for what the injury would have been had he been properly treated.

Employment by contractors (Sec. 12)

When an employer engages contractors who engage workmen, any workman injured may recover compensation from the employer if the following conditions are satisfied :

- (a) the contractor is engaged to do a work which is part of the trade or business of the principal,
- (b) the engagement is in the course of or for the purposes of his trade or business, and
- (c) the accident occurred in or about the vicinity of the employer's premises.

The workman may also proceed against the contractor. So he has alternative remedies. When the employer pays compensation, he is entitled to be indemnified by the contractor.

Example :

A company was the sole selling agent of a mill. It appointed a firm of transport contractors to remove bales from the mill godown to its shop. The transport contractors hired a lorry from a lorry owner. A Workman who was cleaner of the lorry was accidentally killed while removing bales. Held that the selling agents were liable to pay compensation. *Bai Kokilabai v. Keshavlal Mangaldas & Co.*¹

Remedies of employer against stranger (Sec. 13)

Where a workman has recovered compensation in respect of any injury caused under circumstances creating a legal liability of some person other than the person by whom the compensation was paid and any person who has been called on to pay an indemnity under Section 12 shall be indemnified by the person so liable to pay damages as aforesaid.

Insolvency of Employer (Sec. 14)

The liability to pay workmen's compensation can be insured against. If an employer who has entered into a contract of

¹ AIR (1942) Bom. 18

insurance for this purpose, becomes insolvent or enters into a scheme of composition or arrangement or (being a company) is wound up, the rights of the employer as against the insurer shall be transferred to and vest in the workman. The liability to pay compensation to a workman is to be treated as a preferred debt under insolvency and winding up. For this purpose, the liability to pay half-monthly payments is to be taken as equivalent to the lump sum payment into which it can be commuted. This section does not apply where a company is wound up voluntarily merely for the purpose of reconstruction or amalgamation with another company.

Transfer of Assets by Employer (Sec. 14A)

Where an employer transfers his assets before any amount due in respect of any compensation, the liability wherefore accrued before the date of the transfer, has been paid, such amount shall, notwithstanding anything contained in any other law for the time being in force, be a first charge on that part of the assets so transferred as consists of immovable property.

Master and Seamen

So far as masters and seamen are concerned, the provisions of the Act apply with certain modifications laid down in Section 15.

Returns

The State Government may, by notification in the official Gazette, direct employers to submit returns regarding compensation paid by them and particulars relating to the compensation. —Sec. 16.

Contracting Out

Section 17 provides that any contract by which a worker relinquishes his right to receive compensation for injury is null and void in so far as it purports to remove or reduce the liability of any person to pay compensation under this Act.

Penalties

Section 18A provides for penalties for failure to perform the duties prescribed under the Act, e.g., failure to send returns or maintain notice books etc.

Bar to Civil Suits

A Civil Court has no jurisdiction to settle, decide or deal with any question which, because of the provisions of the Act, is required to be decided or dealt with by the Commissioner or to enforce any liability under this Act.—Sec. 19(2).

Recovery of the amount awarded

Any amount payable under the Act, whether under an agreement or otherwise, shall be recovered as an arrear of land revenue.—Sec. 31.

COMMISSIONERS

The Act provides for appointment of Officers to be known as Commissioners of Workmen's Compensation. The Commissioners are to determine the liability of any person to pay compensation (including the question whether a person is or is not a workman) and the amount or duration of compensation (including any question as to the nature or extent of disablement). No civil court has jurisdiction to deal with matters which are required to be dealt with by a Commissioner. Certain powers have been given to the Commissioners, e.g., the power to call for further deposits. The Commissioner has the powers of a Civil Court.

Form of application : No application for settlement of any matter by a Commissioner shall be made, if the parties have been able to settle it by agreement.

An application to the Commissioner shall be made in the prescribed form according to the rules, and accompanied by a prescribed fee. The following particulars must be given namely—
(a) concise statement of the circumstances and the relief claimed ;
(b) in case of claim for compensation against an employer, the date of service of notice of accident, with its due time of notice and the reason why notice was not given ; (c) the names and addresses of the parties ; and (d) except in case of application by dependant for compensation a concise statement of the matter on which, agreement has and of those on which agreement has not been come to. If the applicant is illiterate or for any reason is unable to furnish the required information, the application, if the applicant so desires, shall be prepared under the direction of the Commissioner.—Sec. 22.

Appearance of parties : Appearance may be done on behalf of applicant by a legal practitioner or an official of an Insurance Company, or an authorised person of a registered Trade Union, duly authorised.—Sec. 24.

Appeals and References : For proceedings under the Act, the High Court of the State is the appellate Court. The Commissioner can refer a question of law to the High Court for decision and he must decide the matter according to such decision.—Sec. 27.

Appeals

An appeal lies to the High Court from the following orders of a Commissioner—

- (a) an order awarding as compensation a lump sum whether by way of redemption of a half-monthly payment or otherwise or an order awarding interest or penalty under Section 4A ;
- (b) an order refusing to allow redemption of a half-monthly payment ;
- (c) an order providing for the distribution of compensation among the dependants of a deceased workman, or disallowing any claim of person alleging himself to be such dependant ;
- (d) an order allowing or disallowing any claim for the amount of an indemnity under the provisions of Section 12(2) ;
- (e) an order refusing to register a memorandum of agreement or registering the same or providing for the registration of the same subject to conditions.

Other Provisions Regarding Appeal

1. No appeal shall lie against any order unless a substantial question of law, is involved in the appeal and, in the case of an order other than an order such as is referred to in clause (b), unless the amount in dispute in the appeal is not less than Rs. 300.

2. No appeal lies in any case in which the parties have agreed to abide by the decision of the Commissioner, or in which the order of the Commissioner gives effect to an agreement come to by the parties.

3. No appeal by employer lies unless the memorandum of appeal is accompanied by a certificate by the Commissioner to the effect that the applicant has deposited with him the amount payable under the order appealed against.

4. The period of limitation for an appeal under this section shall be 60 days and the provisions of Section 5 of the Indian Limitation Act, 1908, shall be applicable to appeals under this section.

EXERCISES

1. Define and explain :
 - (a) Partial disablement and total disablement. (Pages 925-926)
 - (b) Occupational Diseases. (Page 933)
 - (c) Employer. (Pages 924-925)
 - (d) Workman. (Pages 928-929)
2. Define and discuss 'arising out of and in the course of employment' as used in Section 3 of the Workmen's Compensation Act, 1923. (Pages 931-932)
3. State when an employer is not liable to pay compensation to a workman for personal injury, according to the Workmen's Compensation Act. Is negligence or contributory negligence of the workman a valid defence ? (Pages 934-935)
4. Discuss the defences available to an employer against a claim for compensation made by a workman under the Workmen's Compensation Act, 1923. (Pages 922-923)
5. A workman in wilful disobedience to an order of the employer, was seriously hurt. Is the employer liable to pay compensation? What will happen if that workman dies ? (Pages 930-931)
6. State the rules as to the distribution of compensation under the Workmen's Compensation Act. (Pages 937-938)
7. State the rules regarding the notice of accident and its proper manner. (Pages 939-940)
8. What is the time of payment of compensation ? State the penalty for default of it. (Page 939)
9. What are the rules relating to registration of agreements ? What is the effect of failure of such registration ? (Pages 939-944)
10. There is an agreement between the employer and the employee stating that the latter will have no claim for compensation in the case of accident. Is it valid ? (Pages 939-944)
11. State the rules regarding distribution of compensation (for death from injury) and the payment of compensation to a woman, or a person under a legal disability. (Pages 937-938)
12. State the provisions regarding employers' liability for compensation under the Act. (Pages 934-935)
13. The employer becomes insolvent. What remedies of the workman are available under the Workmen's Compensation Act ? (Pages 939-940)

14. What is the liability of the principal employer in respect of injury sustained by a workman employed through a contractor ?
(Page 942)
15. Discuss the method of calculating wages. (Pages 926-928)
16. State the rules regarding penalty for default in payment of compensation in time. (Page 939)
17. Under what circumstances the order of the Commissioner under the Workmen's Compensation Act are appealable ?
(Pages 945-946)
18. Explain the provisions of the workmen's compensation Act, 1923 relating to the liability of the employer in case of a workman suffering from occupational disease. (Pages 932-933)
19. Problems :
 - (a) Are the following persons workmen as defined by the Workers Compensation Act ? Give reasons. (i) A clerk permanently employed in an administrative office of a railway. (ii) A person working in the construction of a building. (iii) A performer in a circus company. (Pages 928-929)
 - (b) An employer is in default in paying the compensation within the due time. The commissioner directs him to pay the arrear at a compound interest of 10% per year and 75% of the arrear. Is he bound to pay ? (Page 939)
20. Discuss the provisions of the Workmen's Compensation Act, 1923 relating to notice of accident in connection with presenting claim for compensation to the Commissioner for Workmen's Compensation. (Pages 939-940)
21. (a) (i) Discuss the provisions of the Workmen's Compensation Act, 1923 relating to registration of agreements. (Page 939)
(ii) What are the effects of failure to register agreements ?
(Page 939)
(b) An employer is in default in paying the Compensation due under the Workmen's Compensation Act, 1923. Discuss the course of action to be taken by the Commissioner for Workmen's Compensation against the employer. (Page 939)

OBJECT AND SCOPE

The Indian Trade Unions Act (Act XVI of 1926) was passed to provide for the registration of Trade Unions and in certain respects to define the law relating to registered Trade Unions. The Act applies to the whole of India, including the State of Jammu and Kashmir.¹ By the amending Act of 1964, the word "Indian" has been dropped.

The Maharashtra Recognition of Trade Unions and Prevention of Unfair Labour Practices Act, 1971, provides for the recognition of trade unions, for facilitating collective bargaining for certain undertakings, etc.

DEFINITIONS UNDER THE TRADE UNIONS ACT**Trade Union**

In ordinary language the term 'Trade Union' means an association of workers. Under the Bombay Industrial Relations Act, 1956, a union of employers is not a trade union.

The Act defines the term as follows. "Trade Unions means any combination, whether temporary or permanent, formed primarily for the purpose of regulating the relations between workmen and employers, or between workmen and workmen, or between employers and employers, or for imposing restrictive conditions on the conduct of any trade or business, and includes any Federation of two or more Trade Unions."—Sec. 2(h).

From the above it follows that a Trade Union may be temporary or permanent. A Trade Union may be formed for the purpose of regulating the relations between (i) workmen and employers or (ii) between workmen and workmen or (iii) between employers and employers. It may also be formed for the purpose of imposing restrictive conditions on the conduct of any trade or business. A Federation of Trade Unions also comes within the definition.

The Trade Unions Act does not affect—

- (i) any agreement between partners as to their own business ;

¹ See p. 5, footnote

- (ii) any agreement between an employer and those employed by him as to such employment; or
- (iii) any agreement in consideration of the sale of the goodwill of a business or of instruction in any profession, trade or handicraft. Proviso to Sec. 2.

Certain Acts not to apply : The following Acts do not apply to a registered union, viz., (i) Societies Registration Act, 1860 (ii) The Co-operative Societies Act, 1912 and (iii) The Companies Act. The registration of any such union under any such Act is void.—Sec. 14.

Case Law :

1. A union of employees of Raj Bhavan is not a trade union. *Rangswami v. Registrar*.¹
2. The employees of the Defence Establishment such as cooks, chowkidars, laskars, barbers, carpenters, mechanics, boat makers, tailors etc. in training establishments answer the description of members of the Armed forces and they cannot form trade unions as their fundamental right has been taken away by the Central Government.
3. By virtue of Section 21 of the Army Act, the Central Government was competent by notification to make rules restricting or curtailing their fundamental rights under Act 19(1)(c). *Ons Kutilingal Achudan Nair and others v. Union of India and others*.²

Trade dispute

“Trade dispute” means any dispute between employers and workmen or between workmen and workmen, or between employers and employers which is connected with the employment or non-employment, or the terms of employment or the conditions of labour of any person.—Sec. 2(g).

Workman

“Workman” means all persons employed in trade or industry whether or not in the employment of the employer with whom the trade dispute arises.—Sec. 2(g).

The term workman has been defined in a wide sense. The Act does not distinguish between officers, clerical persons or unskilled workers. The only requirement is that the person is employed in trade or industry.

It has been held that an assistant editor of a newspaper may be a workman under the act. *V. N. & Ors. v. The Bihar Journals Ltd.*³

¹ (1961) 1 L.L.J. 599

² AIR (1976) Supreme Court 1179

³ (1953) 1 L.L.J. 633

Appropriate Government

The term Appropriate Government means that Central Government in the case of Unions whose objects are not confined to one State and the State Government in other cases.

Registered Trade Union

Registered Trade Union means a Trade Union registered under this Act.—Sec. 2(c).

Officer

Officer in cases of a trade union includes any member of the executive thereof, but does not include an auditor.

Registered Office

Registered Office means the office of a trade union which is registered under the Trade Unions Act as the Head Office thereof.

LEGAL STATUS OF A REGISTERED UNION

A registered trade union is a statutory body. It has legal entity. It can own property and can act as an agent. It can acquire and hold both movable and immovable properties, contract and sue and be sued by the name in which it is registered.—Secs. 13, 15.

In English Law the legal status of trade union was clarified in the *Osborne case*.¹

The legal status of an unregistered trade union : If a trade union is not registered it does not get the privileges provided in the Act. For example, a contract with such a union may be unenforceable because of restraint of trade. But an unregistered union *may not be* illegal.

REGISTRATION OF TRADE UNIONS

Registrar

One of the objects of the Act is to provide for the registration of Trade Unions. Section 3 provides that the Appropriate Government shall appoint a person to be Registrar of Trade Unions for each State. It may also appoint Additional or Deputy Registrars of Trade Unions and give them specified powers.

¹ (1910) A.C. 87

Mode of Registration

Any seven or more members of a Trade Union can apply for registration of the Trade Union. They must subscribe their names to the rules of the Trade Union. They must comply with the provisions of the Act relating to registration.—Sec. 4(1).

Every application for registration shall be made to the Registrar and shall be accompanied with a copy of the rules of the Trade Union and a statement of the following particulars :

- (a) the names, occupations and addresses of the members making the application ;
- (b) the name of the Trade Union and the address of its head office ; and
- (c) the titles, names, ages, addresses and occupations of the office-bearers of the Trade Union.

Where a Trade Union has been in existence for more than one year before the application for registration is made, the application must be accompanied with a general statement of the assets and liabilities of the Union prepared in the prescribed form.—Sec. 5(2).

A Trade Union shall not be entitled to registration, unless the executive thereof is constituted in accordance with the provisions of the Act.—Sec. 22. (See p. 959, para 4)

Registration will be refused unless the rules of the Union provide for the following matters : Sec. 6,

- (a) the name of the Trade Union ;
- (b) the whole of the objects for which the Trade Union has been established ;
- (c) the whole of the purposes for which the general funds of the Trade Union shall be applicable ;

(Registration will be refused unless the purposes are in accordance with the rules laid down in Section 15. See pages 957-958).

- (d) the maintenance of a list of members of the Trade Union and adequate facilities for the inspection thereof by the office-bearers and members of the Trade Union ;
- (e) the admission of ordinary members who shall be persons actually engaged in an industry with which the Trade Union is connected, and also the admission of the number of honorary or temporary members as office-bearers required under Section 22 to form the executive of the Trade Union :

- (ee)¹ the payment of a subscription by members of a Trade Union which shall be not less than twenty-five *paise* per month per member ;
- (f) the conditions under which any member shall be entitled to any benefit assured by the rules and under which any fine or forfeiture may be imposed on the members ;
- (g) the manner in which the rules shall be amended, varied or rescinded ;
- (h) the manner in which the members of the executive and other officers of the Trade Union shall be appointed and removed ;
- (i) the safe custody of the funds of the Trade Union, an annual audit, in such manner as may be prescribed, of the accounts thereof, and adequate facilities for the inspection of the account books by the office-bearers and members of the Trade Union ; and
- (j) the manner in which the Trade Union may be dissolved.

The Registrar may call for further information for the purpose of satisfying himself that the Trade Union complies with the provisions of Sections 5 and 6. If the information is not supplied, registration may be refused.—Sec. 7(1).

If the name under which the Trade Union is proposed to be registered is identical with the name of any other registered Union or resembles it, in the opinion of the Registrar, to such an extent as to be likely to deceive the public or members of either Union, the Registrar may require that the proposed name be altered. If such alteration is not made registration may be refused.—Sec. 7(2).

When the Registrar is satisfied that all requirements have been complied with, he shall register the Trade Union by entering its name and particulars in the Register.—Sec. 8. He shall also issue a certificate of registration in the prescribed form. The certificate shall be conclusive evidence that the Trade Union has been duly registered under the Act.—Sec. 9.

Example :

A union named Inland Steam Navigation Workers' Union was refused registration on the ground that it was really a Union (called the I. G. N. Union) which had been declared to be an unlawful body. It was held that the duties of the Registrar, under Section

¹ This clause was added by The Trade Unions (Amendment) Act, 1960.

8 of the Act, are to see whether the objects of the Union are in accordance with the provisions of the Act and whether all the requirements of the Act have been complied with. If so, the Registrar has no other option but to register the Union. *In Re Inland Steam Navigation Workers' Union*.¹

Cancellation of Registration

Section 10 gives powers to the Registrar to withdraw or cancel the certificate of registration under the following circumstances :

- (a) on the application of the Trade Union, verified in the prescribed manner, or
- (b) if the Registrar is satisfied that the certificate has been obtained by fraud or mistake, or that the Trade Union has ceased to exist or has wilfully and after notice from the Registrar contravened any provision of the Act or allowed any rule to continue in force which is inconsistent with any such provision, or has rescinded any rule providing for any matter required to be provided by Section 6.

In cases coming under (b) two months' previous notice in writing must be given.

If registration is refused or if the certificate of registration is withdrawn or cancelled, the Union can appeal to the Court. Where the registered office of the Union is situated in a Presidency Town, the appeal lies to the High Court. In other cases, it lies to such court, not inferior to the Court of an additional or assistant judge of a principal Civil Court of original jurisdiction, as the appropriate Government may appoint.

The Appellate Court may—

- (a) dismiss the appeal, or
- (b) pass an order for registration or issue a certificate of registration under Section 9, or
- (c) set aside the order for withdrawal or cancellation of the certificate.

The registrar must comply with the order of the Appellate Court.—Sec. 11.

The Effect of Registration

Upon Registration, the trade union becomes a body corporate by the name it is registered.—Sec. 13.

¹ 40 C. W. N. 97

Communication to the registered office

Communication and notices to a registered Trade Union may be addressed to its registered office. Change of the address of the Head Office of the Trade Union shall be given within 14 days of such change to the Registrar in writing. The changed address shall be recorded in the register maintained in the office of the Registrar.—Sec. 12.

RIGHTS AND PRIVILEGES

A registered Trade Union (and its members) have been given certain rights and privileges. They are enumerated below.

1. Incorporation

Every registered Trade Union shall be a body corporate by the name under which it is registered, and shall have perpetual succession and a common seal with power to acquire and hold both movable and immovable property and to contract and shall by the said name sue and be sued.—Sec. 13.

2. Immunity from criminal prosecution

No office-bearer or member of a registered Trade Union shall be liable to punishment under sub-section (2) of section 120B of the Indian Penal Code, in respect of any agreement made between the members for the purpose of furthering any such object of the Trade Union as is specified in Section 15, unless the agreement is an agreement to commit an offence. —Sec. 17.

Section 120B(2) of the Indian Penal Code provides for punishment for the offence of criminal conspiracy. Section 17 of the Trade Unions Act gives immunity to members and office-bearers of registered Trade Unions from criminal conspiracy in connection with trade disputes. The term Trade Dispute is defined in Section 2(g). (See p. 949).

3. Immunity from Civil Suit in certain cases

No suit or other legal proceeding shall be maintainable in any Civil Court against any registered Trade Union or any office-bearer or member thereof in respect of any act done in contemplation or furtherance of a trade dispute to which a member of the Trade Union is a party on the ground only that such act induces some other person to break a contract of employment of some other

person or with the right of some other person to dispose of his capital or of his labour as he wills. Sec. 18(1).

A registered Trade Union shall not be liable in any suit or other legal proceeding in any Civil Court in respect of any tortious act done in contemplation or furtherance of a trade dispute by an agent of the Trade Union if it is proved that such person acted without the knowledge of, or contrary to express instructions given by, the executive of the Trade Union.—Sec. 18(2).

4. Enforceability of Agreements

Notwithstanding anything contained in any other law for the time being in force, an agreement between the members of a registered Trade Union shall not be void or voidable merely by reason of the fact that any of the objects of the agreement are in restraint of trade :

Provided that nothing in this section shall enable any Civil Court to entertain any legal proceeding instituted for the express purpose of enforcing or recovering damages for the breach of any agreement concerning the conditions on which any members of a Trade Union shall or shall not sell their goods, transact business, work, employ or be employed.—Sec. 19.

5. Right to inspect books

An office bearer or member of the Union can inspect the account books of the Union at such times as may be provided for by the rules of the Union.—Sec. 20.

6. Right of minors to be member

Subject to any rule of the Union to the contrary, any person who has attained the age of fifteen years may be a member of a registered Trade Union and enjoy all the privileges of such membership.—Sec. 21. For the purposes of the Trade Unions Act, a Minor means a person who has not attained the age of eighteen years.

7. Change of name

The name of a registered Trade Union may be changed (i) if two-thirds of the total-number of members agree and (ii) if the proposed new name is not identical with that of any existing registered Union and does not, in the opinion of the Registrar, resemble any such name so nearly as to be likely to deceive the public or members of either union. Notice in writing of the

change of name, signed by the secretary and seven members must be sent to the Registrar. The Registrar shall register the change if satisfied that the provisions of the Act have been complied with. The change takes effect from the date of registration. The change in name does not affect any right or obligation of the Trade Union or render defective any legal proceeding by or against the Trade Union, and any legal proceeding which might have been continued or commenced by or against it by its former name may be continued or commenced by or against it by its new name.—Secs. 23, 25 and 26.

8. Amalgamation of Unions

Any two or more registered Trade Unions may become amalgamated together as one Trade Union, with or without dissolution or division of the funds of such Trade Unions or either or any of them provided that the votes of at least one-half of the members of each or every such Trade Union entitled to vote are recorded and that at least sixty per cent of the votes recorded are in favour of the proposal.—Sec. 24.

Notice in writing of the amalgamation, signed by the secretary and seven members of each and every Trade Union which is a party thereto shall be sent to the Registrar of each of the States in which any of the amalgamated unions had a registered office. The Registrar of the State in which the head office of the amalgamated Union is situated shall register it if satisfied that all the provisions of the Act have been complied with. The amalgamation takes effect from the date of registration.—Sec. 25.

An amalgamation of two or more Unions does not prejudice any right of any of the Trade Unions or any right of a creditor of any of them.—Sec. 26.

DUTIES AND LIABILITIES

The Act imposes certain duties and liabilities on registered Trade Unions. They are enumerated below.

1. Change of registered office

If the address of the head office of a Trade Union is changed, notice in writing must be given to the Registrar within fourteen days of the change. The change shall be recorded in the Register.—Sec. 12.

2. Objects on which general funds may be spent

Section 15 provides that the general funds of a registered Trade Union shall not be spent on any object other than the following :

- (a) the payment of salaries, allowances and expenses to office-bearers of the Trade Union ;
- (b) the payment of expenses for the administration of the Trade Union, including audit of the accounts of the general funds of the Trade Union ;
- (c) the prosecution or defence of any legal proceeding to which the Trade Union or any member thereof is a party, when such prosecution or defence is undertaken for the purpose of securing or protecting any rights of the Trade Union as such or any rights arising out of the relations of any member with his employer or with a person whom the member employs ;
- (d) the conduct of trade disputes on behalf of the Trade Union or any member thereof ;
- (e) the compensation of members for loss arising out of trade disputes ;
- (f) allowances to members or their dependants on account of death, old age, sickness, accidents or unemployment of such members ;
- (g) the issue of, or the undertaking of liability under, policies of assurance on the lives of members, or under policies, insuring members against sickness, accident or unemployment ;
- (h) the provision of educational, social or religious benefits for members (including the payment of the expenses of funeral or religious ceremonies for deceased members) or for the dependants of members ;
- (i) the upkeep of a periodical published mainly for the purpose of discussing questions affecting employers or workmen as such ;
- (j) the payment, in furtherance of any of the objects on which the general funds of the Trade Union may be spent, of contributions to any cause intended to benefit workmen in general, provided that the expenditure in respect of such contributions in any financial year shall not at any time

during that year be in excess of one-fourth of the combined total of the gross income which has up to that time accrued to the general funds of the Trade Union during that year and of the balance at the credit of those funds at the commencement of that year; and

- (k) subject to any conditions contained in the notification any other object notified by the appropriate Government in the official Gazette.

3. The Political Fund

Section 16 empowers a registered Trade Union to constitute a separate Fund to be used for political purposes. Contributions to the Political Fund must be separately collected on a voluntary basis. No member can be compelled to contribute. No member can be excluded from any benefit or deprived of any privilege by reason of his not contributing to it. The Political Fund can be used for the following purposes :

(a) The payment of any expenses incurred, directly or indirectly, by a candidate or prospective candidate for election to a legislative body under the Constitution or to a local body. The expenses might have been incurred before, after or during the election.

(b) The holding of any meeting or the distribution of any literature or documents in support of such a candidate.

(c) The maintenance of a person who is a member of a legislative body under the Constitution or of a local body.

(d) The registration of electors or the selection of a candidate for election to a legislative body under the Constitution or a local body.

(e) The holding of political meetings of any kind or the distribution of political literature or political documents of any kind.

The conditions for the creation of a political fund are as follows :

- (i) Such fund can be created only from contributions separately levied or made to that fund. [Sec 16(1)]
- (ii) Members must not be compelled to contribute to the fund.
- (iii) A member who does not contribute to the fund must not be excluded from any benefits of the Trade Union.
- (iv) Contribution to the political fund must not be made a condition for admission to the Trade Union. [16(3)]

4. Proportion of office-bearers to be connected with the industry

Not less than one-half of the total number of the office-bearers of every registered Trade Union shall be persons actually engaged or employed in an industry with which the Trade Union is connected. The appropriate Government may by a special or general order exempt any Union or class of Unions from this provision.—Sec. 22.

5. Dissolution

A registered Trade Union may be dissolved according to the rules of the Union. Notice of the dissolution must be given signed by the Secretary and seven members within fourteen days of the dissolution. The dissolution takes effect from the date it is registered. If the rules of the Union do not provide how the funds of the Union shall be distributed, the Registrar shall distribute the funds among the members in the manner prescribed by the rules framed under the Act.—Sec. 27.

6. Returns

Section 28 provides as follows :

(a) By a prescribed date, every registered Trade Union must send to the Registrar a general statement showing its receipts and expenditure during the year ending 31st December of the previous year audited in the prescribed manner. It must also send a statement of assets and liabilities as on the 31st December.

(b) Along with the aforesaid statements must be sent a statement showing all changes of office-bearers made during the aforesaid year and a copy of the rules of the Trade Union corrected up to date.

(c) A copy of every alteration made in the rules of a registered Trade Union shall be sent to the Registrar within 15 days of the making of the alteration.

7. Penalties

Certain penalties are provided under Sections 31 and 32 of the Act, for failure to send any notice or return required under the Act and for supplying false information.

8. Disqualifications of office-bearer of Trade Unions

By section 21A added by the amending Act of 1964, it is provided that a person shall be disqualified for being chosen as

or being a member of the executive committee or an office-bearer of a Trade Union under the following circumstances :

- (i) if he has not attained the age of 18 years ;
- (ii) if he has been convicted by a court in India of any offence involving moral turpitude and sentenced to imprisonment (unless a period of 5 years has elapsed since his release).

Any such member or office-bearer, who has been imprisoned for such an offence before the commencement of the amending Act of 1964, shall on the date of commencement of the amending Act cease to hold office, unless a period of 5 years has elapsed since his release before that date.

9. Audit

According to Regulation 13 of the Central Trade Union Regulations of 1938, the annual audit of account of any registered Trade Union shall be conducted by an Auditor authorised under Sec. 276 of the Companies Act, 1956. This rule applies to Trade Unions who have members exceeding 2500 members. There are provisions for the audit of Trade Unions which have members less than 2500 but exceeding 750 and between 750 to 2500 members.

EXERCISES

1. What are the objects on which the general funds of a registered Trade Union may be spent ? (Pages 956-958)
2. State whether the provisions of (i) the Societies Registration Act, 1860, or (ii) The Co-operative Societies Act, 1912, or (iii) The Companies Act, 1956, may be applied to any registered trade union. (Pages 949-950)
A trade union wants to get itself registered under any one of the aforesaid Acts. Will the registration be valid ? (Pages 949-950)
3. State the procedure of the registration of a Trade Union and its dissolution (Pages 950-951, 959)
4. Is the registration of a Trade Union obligatory ? State the effect of the registration of a Trade Union. State the rights and privileges of a registered Trade Union and its members. (Pages 950-951, 953, 954-955)
5. What are the provisions to be contained in the rules of a Trade Union ? (Pages 950-951)
6. State the rules regarding the constitution of the executive of a registered trade union (Pages 950-951)

7. State when a Registrar can refuse to register a Trade Union.
(Pages 950-951)
8. What are the rights of minors to membership of Trade Union?
(Page 955-956)
9. What are the disqualifications of the office-bearers of Trade Unions?
(Pages 959-960)
10. What are the rights and privileges enjoyed by registered trade unions and the members thereof?
(Pages 954-956)
11. State the grounds for cancellation of registration.
(Page 953)
12. What are the objects for which the fund for political purposes may be spent under the Trade Unions Act.
(Page 958)
13. Explain the provisions relating to (i) application for registration, and (ii) cancellation of registration.
(Pages 950-953)
14. What are the provisions of the Trade Unions Act relating to change of name and amalgamation of trade unions? Can a minor be admitted to membership of a trade union?
(Pages 955-956)
15. (a) What is a trade union? When will be a trade union recognised?
(b) What are the remedies available for the cancellation of the registration of a trade union by the Registrar?
(Pages 948, 950-951)
16. The Registrar of Trade Unions has cancelled the certificate of registration of a trade union. Discuss the action to be taken by the members of that trade union against the order of the Registrar
(Page 953)
17. Define "trade union". State the procedure for changing the name of a union.
(Pages 948, 955-956)
18. Discuss the provisions of the Trade Unions Act, 1926 relating to penalties to be imposed for failure to submit returns and also for supplying false information regarding trade union.
(Page 959)
19. Problems :
 - (1) One hundred members of a trade union applied for registration. Fifty members out of hundred dissociated themselves from the application. State whether the registration can be granted.
(Pages 950-951)
 - (2) X, a member of a trade union was convicted and sentenced to imprisonment for a period of two years for breach of trust in 1978. On his release, X intends to contest an election of the office bearer of the union in 1981. Advise X
(Page 959-960)
 - (3) The name of the trade union has been changed with the consent of the majority of the members. Is this change of name of the trade union valid?
(Page 955)

20. (a) Define (i) "trade dispute" and (ii) "trade union" as per Trade Unions Act, 1926.
(b) Discuss the provisions of the Trade Unions Act, 1926 relating to submission of 'returns' to the Registrar.
(Pages 948, 949, 959)
21. (a) State the provisions of the Trade Unions Act, 1926 relating to the particulars to be mentioned in the rules of a Trade Union.
(b) State whether the following persons can be chosen as office-bearers of a registered Trade Union :
(i) A person convicted by a Court of England of an offence involving moral turpitude and sentenced to imprisonment, and a period of five years has not elapsed.
(ii) A person who has attained the age of sixteen years.
(Pages 950-951, 959)
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OBJECT AND SCOPE

The Payment of Wages Act (Act IV of 1936) was passed to regulate the payment of wages to certain classes of persons employed in factories and industrial establishments. The Act ensures regular and prompt payment of wages and prevents the exploitation of wage-earners by prohibiting arbitrary fines and deductions from wages.

The Act applies to the whole of India, including the State of Jammu and Kashmir.¹

The Act applies to the payment of wages to persons employed in any factory and to persons employed (otherwise than in a factory) upon any railway by a railway administration either directly or through a subcontractor, by a person fulfilling a contract with a railway administration.

The State Government may after giving three months' notice, by notification in the Gazette, extend the provisions of the Act or any of them to the payment of wages of any class of persons employed in any industrial establishment or class or group of industrial establishments.

In many States, the Act has been extended to various industries, e.g., shops and establishments, omnibus service (in Assam, Maharashtra, West Bengal), tramways (in Tamil Nadu) etc.

SCOPE OF PAYMENT**History**

The Payment of Wages Act of 1936, was initially made applicable to people drawing less than Rs. 200 a month. In 1967, the limit was raised to Rs. 400 a month. On 12th November 1975, the President of India issued an Ordinance amending the Act to cover workers getting up to Rs. 1000 a month. In 1976, the Ordinance was replaced by an Act, which was passed on 11th February. The effect of the Act was that nothing in this Act applied to wages payment in respect of a wage period, over such

¹ See p. 5, footnote

wage period, average Rs. 1000 a month or more. This limit was raised from Rs. 1000 to Rs. 1600 by the Payment of Wages (Amendment) Act, 1982.

The Act of 1976 provided for the payment of wages in cash, by cheque or by crediting the wages to the bank account of a worker after obtaining his written authorization. It also permitted authorized deductions from wages for contribution to the Prime Minister's National Relief Fund or such other funds as the Central Government may specify by notification in the official gazette.

The present law

The Payment of Wages Act of 1936, was amended in August 1982. It was passed by both the houses of the Parliament and has received the assent of the President.

The amendment to the Payment of Wages Act covers all industrial establishment. The limit of emoluments of the worker is increased from Rs. 1000 to Rs. 1600. The amendment also authorised deduction from workers' wages for a welfare fund set up by the employer or a registered trade union. The worker can authorise the management to deduct wages to a trade union according to his choice.

The amendment has increased the penalty for nonpayment of wages to a minimum of Rs. 200 and maximum Rs. 1000. If an employer contravenes the provision of the amendment for the second time, the punishment would be imprisonment from one to six months and/or a fine between Rs. 500 to Rs. 3000 or both.

DEFINITIONS UNDER THE PAYMENT OF WAGES ACT

Factory

Factory means a factory as defined in section 2(m) of the Factories Act, 1948.

Industrial establishment

The term industrial establishment means any—(a) tramway or motor omnibus service; (b) dock, wharf or jetty; (c) inland vessel, mechanically propelled; (d) mine, quarry or oil field; (e) plantation; (f) workshop or other establishment in which articles are produced, adapted or manufactured, with a view to their use, transport or sale; (g) establishment in which any work relating to the construction, development or maintenance of buildings, roads, canals or relating to operation connected with

navigation, irrigation or the supply of water, or relating to the generation, transmission and distribution of electricity or any other form of power is being carried on.—Sec. 2(ii).

Railway administration

Railway administration has the meaning assigned to it in section 3(6) of the Indian Railways Act, 1890.

Wages

The term 'wages' means all remuneration (whether or by way of salary, allowances or otherwise) capable of being expressed in terms of money, which would be payable, conditionally or otherwise, to the employed person if the terms of the contract of employment were fulfilled.—Sec. 2(vi).

The contract of employment may be expressed or implied. The remuneration payable is called wages even though it is payable conditionally.

The term 'wages' *include* the following :

- (a) any remuneration payable under any award or settlement between the parties or order of a court ;
- (b) any remuneration to which the person employed is entitled in respect of overtime work or holidays or any leave period ;
- (c) any additional remuneration payable under the terms of employment (whether called a bonus or by any other name) ;
- (d) any sum which by reason of the termination of employment of the person employed is payable under any law, contract or instrument which provides for the payment of such sum, whether with or without deductions but does not provide for the time within which the payment is to be made ;
- (e) any sum to which the person employed is entitled under any scheme framed under any law for the time being in force.

The term 'wages' *does not include* the following :

- (1) any bonus (whether under a scheme of profit sharing or otherwise) which does not form part of the remuneration payable under the terms of employment or which is not payable under any award or settlement between the parties or order of a court ;
- (2) the value of any house accommodation, or of the supply of light, water, medical attendance or other amenity or any

- service excluded from the computation of wages by a general or special order of the State Government ;
- (3) any contribution paid by the employer to any pension or provident fund, and the interest which may have accrued thereon ;
 - (4) any travelling allowance or the value of any travelling concession ;
 - (5) any sum paid to the employed person to defray special expenses entitled on him by the nature of his employment ; or
 - (6) any gratuity payable on the termination of employment in cases other than those specified in sub-clause (d).

RULES FOR PAYMENT OF WAGES

Who is responsible ?

The employer is responsible for the payment of wages. In the case of persons employed (otherwise than by a contractor) the following persons are also responsible for the payment of wages : (Sec. 3).

- (a) the person named as manager in a factory ;
- (b) in industrial establishments the person, if any, who is responsible to the employer for the supervision and control of the establishment ;
- (c) upon railways the person nominated by the railway administration in this behalf for the local area concerned.

Wage periods

The person responsible for the payment of wages shall fix the wage periods in respect of which, wages shall be payable. No wage period shall exceed one month.—Sec. 4.

Time of Payment

Section 5 lays down the following rules regarding the time of payment of wages :

- (1) In a railway, factory or industrial establishment in which less than 1000 persons are employed, wages must be paid before the expiry of the *seventh* day after the last day of the wage period in respect of which the wages are payable. In all other factories or industrial establishments, wages must be paid before the expiry of the *tenth* day from the last day of the wage period as aforesaid.

(2) Where the employment of any person is terminated by or on behalf of the employer, the wages earned by him shall be paid before the expiry of the *second* working day from the day on which his employment is terminated.

(3) The State Government may exempt persons employed in a railway (otherwise than in factory) from the operation of this section, partially or wholly.

(4) All payment of wages must be made on a working day.—Sec. 5(4).

The medium of payment

All wages shall be paid in current coin or currency notes or in both. The employer may, after obtaining the written authorisation of the employed person, pay him the wages either by cheque or by crediting the wages in his bank account.—Sec. 6, as amended in 1976. (See p. 963).

By an amendment in Maharashtra it was provided that in the case of a bonus which exceeds one fourth of the annual earnings of the employee the excess may be paid by cheque or invested.

AUTHORISED DEDUCTIONS

Deductions from Wages

Section 7 provides that the wages of an employed person shall be paid to him without deductions of any kind *except* those which are authorised by or under this Act. Every payment made by an employed person to his employer or his agent is deemed to be a deduction.

The following deductions are permitted under the Act :

1. Fines

Section 8 lays down the following rules regarding fines—

(1) An employed person can be fined only for acts and omissions which are specified in a list which is approved by the State Government or the prescribed authority.

(2) The list must be exhibited in the place of work in the prescribed manner.

(3) Before the fine is imposed on an employed person, he must be given an opportunity of showing cause against the fine.

(4) The total amount of fine which can be imposed on a person in any one wage period must not exceed an amount equal to half an anna in the rupee of the wages payable to him during the wage period.

(5) No fine can be imposed on a person who is below the age of 15.

(6) No fine can be recovered by instalments or after the expiry of 60 days from the day on which it was imposed.

(7) Every fine shall be deemed to have been imposed on the day of the act or omission for which it was imposed.

(8) All fines and the realisation thereof shall be recorded in a register. All such realisations shall be applied only to such purposes beneficial to the persons employed in the factory or establishment as are approved by the prescribed authority. Where the person employed is part of a staff employed under the same management, all such realisations may be credited to a common fund maintained for the staff as a whole. But such a fund can be applied only to the approved purposes.

2. Deductions for absence from duty

Absence from duty means absence from the place where the employed person is required to work. If the employed person, though present at such place, refuses to carry out his work, in pursuance of a stay-in-strike or for any other cause which is not reasonable, he is deemed to be absent from duty.

Deduction from wages are permitted for absence from duty. Section 9 provides that the ratio between the amount of such deduction and the wages payable must not exceed the ratio between the period of absence and the wage-period. It is however, provided that (subject to any rules made in this behalf by the State Government) if ten or more employed persons acting in concert absent themselves without due notice and without reasonable cause, such deduction from any such person may include such amount (not exceeding his wages for eight days) as may be due to the employer in lieu of notice.

3. Deductions for damage or loss

Deductions from wages are permitted for damage to or loss of goods expressly entrusted to the employed person for custody, or for loss of money for which he is required to account, where such damage or loss is directly attributable to his neglect or

default. Section 10 provides that a deduction under this rule shall not exceed the amount of damage or loss caused to the employer by the neglect or default of the employed person. Also, before the deduction is made, the employed person must be given an opportunity of showing cause against the deduction and the procedure prescribed for making the deduction must be followed. All deductions and the realisations thereof must be recorded in a register.

4. Deductions for services rendered

Deductions are permitted for house-accommodation supplied by the employer and for such amenities and services as the State Government may, by general or special order, authorise. The word 'service' does not include the supply of tools and raw materials required for the purposes of employment. Section 11 provides that deductions for services of the aforesaid character can be made only if the services are accepted by the employed person as a term of service or otherwise. Deductions must not exceed the value of the accommodation or other services. As regards services other than house-accommodation, the State Government may impose conditions.

5. Advances and overpayments of Wages

Deductions are permitted for recovery of advances or for adjustments of overpayments of wages. Section 12 provides that (a) recovery of an advance of money given before employment began shall be made from the first payment of wages in respect of a complete wage-period, but no recovery shall be made of such advances given for the travelling expenses; and (b) recovery of advances of wages not already earned shall be subject to any rules made by the State Government regulating the extent to which such advances may be given and the instalments by which they may be recovered.

6. Income Tax

The employer is permitted to deduct income tax payable by an employed person.

7. Orders of Court

If any deduction is directed by the Court (e.g., in execution of a decree against the employed person) it must be done.

8. Provident Fund

Deductions may be made of the contributions payable by the employed person to the provident fund. The rate of contribution to Provident Fund in all industries and establishments has been increased from 8.33 per cent to 10 per cent with effect from 1st March, 1997, for both employers and employees.

9. Co-operative Societies and Insurance Schemes

Deductions may be made for payments to co-operative societies approved by the State Government or to a scheme of insurance maintained by the Indian Post Office. The State Government may impose conditions upon such deductions.

10. Written authorisation

(1) Deduction made with the written authorisation of—
(i) the employed person ; or (ii) the president or secretary of the registered trade union of which the employed person is a member on such condition as may be prescribed, for contribution to the National Defence Fund or any Defence Savings Scheme approved by the State Government.

(2) Deductions, made with the authorisation of the person employed for payment of any premium on his life insurance policy, or for the purchase of securities of the Government of India or of any State Government or for being deposited in any Post Office Saving Bank in furtherance of any savings scheme of any such Government.

(3) From the wages of a worker, there may be deductions, made with the written authorisation of the employed person, for contribution to the Prime Minister's National Relief Fund or to such other Fund as the Central Government may, by notification in the official Gazette, specify.—Sec. 7(2)(p) as amended in 1976. (See pp. 963-964).

11. Insurance Schemes

Deductions may be made for contributions to any insurance scheme framed by the Central Government for the benefit of its employees.—Sec. 7(2)(q), Payment of Wages (Amendment) Act, 1977.

12. Deductions for recovery of loans

Deduction for loans granted for house building or other

purposes and the interest due in respect thereof approved by the State Government may be made under Sec. 7(2)(fff) and 12-A.

Duties of employer

The employer must maintain separate registers for all deductions from wages, as provided in Section 7.

The employer must also maintain a register of wages showing (i) the gross wages earned by a person (ii) deductions from those wages and (iii) the wages actually paid, the work performed by the workman and the receipt given by them.

Limits on Deduction

The total amount of deductions which may be made under the above heads in a wage period from the wages of an employed person shall not exceed 75 per cent of such wages in cases where such deductions are wholly or partly made for payments to cooperative societies. In any other case, they shall not exceed 50% of such wages.—Sec. 7(3).

ENFORCEMENT OF THE ACT

Inspectors

Inspectors may be appointed for the purpose of examining records and documents relating to the payment of wages and to do other work necessary for carrying out the purpose of the Act. Inspectors of Factories, appointed under the Factories Act, are inspectors for the purposes of this Act.—Sec. 14.

Authority to hear claims (Sec. 15)

The State Government may appoint any *Commissioner for Workmen's Compensation*, or any officer having experience as judge or magistrate, as the authority to hear and decide all claims arising out of deductions from wages or delay in payment of wages.

An application before such authority may be filed by the person concerned or any legal practitioner or official of a registered trade union authorised by him in writing or any inspector under this Act or any other person with the permission of the authority appointed as aforesaid.

The application shall be presented within *six months of the date of deduction* or the date when the payment of wages was

due. It may be filed later if the authority is satisfied that there was sufficient cause.

The authority is to enquire into the matter, giving an opportunity to the employer of being heard. The authority may direct refund of deduction or payment of the delayed wages, together with such compensation as he may think fit, not exceeding ten times the deduction in cases of improper deductions and Rs. 10 in cases of delayed wages. No compensation is to be given in cases of *bona fide* error or dispute, the occurrence of an emergency or the existence of exceptional circumstances or the failure of the employed person to apply for or accept payment.

If the authority considers that any application is *malicious* or *vexatious*, he may direct that a penalty not exceeding Rs. 50 shall be paid to the employer by the person presenting the application. The penalty will be realised as if it was a fine imposed by a magistrate.

"The Authority has the jurisdiction to decide what actually the terms of the contract between the parties were, that is to say to determine the actual wages; but the Authority has no jurisdiction to determine the question of potential wages." *A. V. D'Costa v. B. C. Patel*.¹

Single application for several employees

A single application under Section 15 may be presented by a number of employed persons together if they belong to the same unpaid group and in such case the maximum compensation that may be awarded shall be Rs. 10 per head.—Sec. 16.

Appeal

From the orders of the authority appointed under Section 15 an *appeal* may be preferred within 30 days to the Court of Small Causes in Presidency Towns and the District Court in other cases. An appeal lies (a) by the employer if the total sum payable exceeds Rs. 300, or employer has to incur financial liability exceeding Rs. 1,000, or (b) the employed person if the total wages withheld exceeds Rs. 50 and (c) by any person directed to pay a penalty. In all other cases the direction of the authority is final.—Sec. 17.

¹ 57 Bom. L. R. 738

Powers of a Civil Court

Every authority appointed under section 15(1) shall have all the *powers of a Civil Court*, under the Code of Civil Procedure, for the purpose of taking evidence and of enforcing the attendance of witness and compelling the production of document. Every such authority shall be deemed to be a Civil Court.—Sec. 18.

Power to Recover

When the Authority or the Court is unable to recover from any person (other than an employer responsible for the payment of wages) the Authority shall recover (any amount directed by such Authority or Court) to be paid by such person, from the employer of the employed person concerned.—Sec. 19.

MISCELLANEOUS

Attachment

Conditional attachment of property of employer or other person responsible for payment of wages : Where after making an application or after filing an appeal, the Authority or the Court is satisfied that the employer or other person responsible for the payment of wages is likely to evade payment of any amount that may be directed to be paid, the Authority or the Court, as the case may be, except in cases where the Authority or the Court is of opinion that the ends of justice would be defeated by the delay, after giving an employer or other person an opportunity of being heard, may direct the attachment of so much of the property of the employer or other person responsible for payment of wages as is sufficient to satisfy the amount payable under the direction. These provisions of the Code of Civil Procedure shall apply to such an order for attachment.—Sec. 17 A.

Penalty

Persons violating the provisions of Sections 5 & 7 to 13 can be fined up to Rs. 1000. Persons violating the provisions of Sections 4, 6 and 23 can be fined up to Rs. 500 for each offence.—Sec. 20.

Procedure in trial of offences

Section 21 provides the following :

(1) No Court shall take cognizance against any person for an offence under section 20(1) unless an application in respect

of the fact constituting the offence has been presented under section 15 and has been granted and the authority empowered under section 15 or the appellate court granting such application has sanctioned the making of the complaint.

(2) Before sanctioning the making of a complaint against any person for an offence under section 20(1), the authority or Court shall give such person an opportunity of showing cause against the granting of such sanction, and the sanction shall not be granted if such person satisfies the Authority or Court that his default was due to—

- (a) an error or a dispute, as to the amount payable to the employed person, or
- (b) the occurrence of an emergency or the existence of exceptional circumstances, such that the person responsible for the payment of the wages was unable, though exercising reasonable diligence, to make prompt payment, or
- (c) the failure of the employed person to apply for or accept payment.

(3) No court shall take cognizance of a contravention of section 4 or of section 6 or contravention of any rule made under section 26 except on a complaint made by or with the sanction of an Inspector under this Act.

(4) In imposing any fine for an offence under Section 20(1), the court take into consideration the amount of a compensation already awarded against the accused in any proceedings taken under section 15.

Bar of Suits

No court shall entertain any suit for the recovery of wages or deductions from wages if the matter is pending or has been decided under section 15. or 17 or could have been recovered by an application under section 15.—Sec. 22.

Contracting Out

Any contract whereby an employed person relinquishes any right conferred by this Act, shall be null and void in so far as it purports to deprive him of such right.—Sec. 23.

Notice

The person responsible for the payment of wages in a factory shall cause to be displayed in such factory a notice containing

an abstract of the Act and the rules framed under it in English and in the language of the majority of the persons employed in it.—Sec. 25.

Rule making power

The State Government may make rules to regulate the procedure to be followed by the authorities and courts referred to in Sections 15 and 17 and for the purpose of carrying into effect the provisions of this Act.—Sec. 26.

Application of Act

The powers of this Act conferred upon the State Government shall, in relation to railways, mines and oil-fields, be powers of the Central Government.—Sec. 24.

EXERCISES

1. Define and explain :
 - (a) Industrial establishment. (Page 964)
 - (b) Wages. (Page 965)
 - (c) Fines. (Pages 967-968)
 - (d) Deductions for absence from duty. (Page 968)
2. What are the persons to whom the provisions of the Payment of Wages Act are applied? (Pages 963-964)
3. Who is responsible for the payment and time of wages under the Act? (Pages 966-967)
4. State and discuss the provisions for time of payment of wages. (Page 967)
5. The Payment of Wages Act provides that the wages are to be paid in a particular form, at regular interval and without any unauthorised deductions. Explain. (Pages 967-969)
6. What is the procedure for determining claims arising out of deductions from wages? State the powers of the Authority. (Pages 971-973)
7. What are deductions which may be made from the wages of employed persons? (Pages 967-969)
8. State and discuss the provisions relating to (i) deductions for damage or loss, and (ii) deductions for services. (Pages 968-969)
9. State the rules regarding the imposition of fines under the Payment of Wages Act. (Pages 967-968)

10. Explain the rules for the prevention and recovery of wrongful deductions under the Payment of Wages Act. (Pages 971-972)
11. When can the court direct conditional attachment of property of employer or other person responsible for payment of wages ?
(Pages 971-972)
12. State the rules regarding (i) deductions for recovery of advances and (ii) deductions for recovery of loans. (Pages 969-970)
13. Discuss the provisions of the Payment of Wages Act, 1936 relating to deductions for (i) damages or loss, (ii) services rendered, (iii) recovery of advance, and (iv) Payment to Co-operative Societies. (Pages 968-970)
14. State what is meant by wages according to Payment of Wages Act. Who is responsible for payment and time of wages under the Act ?
(Pages 965-966)
15. *Problems :*
 - (1) Twelve employees jointly absent themselves for five days without due notice and without reasonable cause. Can their wages be deducted ? (Pages 967-968)
 - (2) An employed Person, whose monthly salary is Rs. 400/-, is paid Rs. 50/- after deducting dues for Co-operative Societies. Is such deduction valid ? (Page 970)
 - (3) An employer intends to deduct Rs. 500/- for payment to the Co-operative Society and Rs. 200 for damages to the goods of the employer from the wages of the employed person. The employed person draws monthly wages of Rs. 900. State with reason whether the employer can validly make these deductions.
(Pages 968-969)
16. Discuss the provisions of the Payment of Wages Act, 1936 relating to responsibility for payment of wages. (Page 966)
17. Discuss the provisions of the Payment of Wages Act, 1936 relating to deductions from wages for absence from duty. (Page 967)
18. Mention the authority to whom application will be made in case of delayed Payment of wages. (Page 971)
19. Who are the Authorities to decide claims arising out of deduction of wages ? Who is the Authority for claims of delayed wages ? What is the time limit of such application ? What are the provisions regarding payment of compensation to aggrieved employees ?
(Pages 971-972)
20. (a) Discuss the provisions of the Payment of Wages Act, 1936 relating to time of payment of wages. (Pages 966-967)
- (b) State whether the loss of wages resulting from the following will be deemed to be, a deduction from wages—(i) the withholding of increment or promotion, (ii) the reduction to a lower post. (Pages 970-971)

- (c) Five employed persons absent themselves without due notice and without reasonable cause. Employer wants to deduct wages from each of those five employed persons for eight days. Is the action of the employer valid ? Give reasons for the answer. (Pages 969-970)
21. (a) What is meant by 'wages' as defined in the Payment of Wages Act, 1936 ? (Pages 965-966)
- (b) An advance of money was given by the employer to a person for travelling expenses before his employment began. The employer wanted to recover the said advance from the first payment of wages of that person in respect of a complete wage-period. Was the action of the employer valid? Give reasons for the answer. (Pages 969-970)
22. Objective questions. Give short answer.
- (1) Mention the period within which the payment of wages will be made in case less than one thousand persons are employed in an industrial establishment. (Pages 967-968)
- (2) Mention the different kinds of persons who can present application under the Payment of Wages Act, 1936 against unauthorised deductions from wages. (Pages 971-972)
- (3) What is meant by "wages" as per Payment of Wages Act, 1936 ? (Pages 965-966)
- (4) An employer wants to deduct Rs. 300 from the monthly gross wages of Rs. 500 drawn by an employee. Comment on the action of the employer. (Page 967)

OBJECT AND SCOPE

The Minimum Wages Act (Act XI of 1948) provides for fixing minimum rates of wages in certain employments. The object of the Act is to prevent the exploitation of labour and sweated labour. The Act endeavours to promote the welfare of workers in a competitive market by fixing the minimum rates of wages in certain employments.

The Act extends to the whole of India, including the State of Jammu and Kashmir.¹

DEFINITIONS UNDER MINIMUM WAGES ACT**Appropriate Government**

The Central Government is the appropriate Government in relation to any scheduled employment carried on by or under the authority of the Central Government, by a railway administration, or in relation to a mine, oilfield, or major port, or any corporation established by a Central Act. The State Government is the appropriate Government in any other scheduled employment.—Sec. 2(b).

Scheduled Employment

Scheduled Employment means an employment specified in the schedule or any process or branch of work forming part of such employment. The Schedule is divided into two parts. Part I mentions employment in any woollen carpet or shawl weaving, rice mill, flour mill or *dal* mill, tobacco (including bidi making), oil-mill, stone breaking etc. Part II mentions employment in any agriculture, *i.e.*, farming, dairy farming, harvesting, etc.—Sec. 2(g).

The appropriate Government can add to the schedule.—Sec. 27.

Schedule, Part I

1. Employment in any woollen carpet making or shawl weaving establishment.

¹ See p. 5 footnote.

2. Employment in any rice mill, flour mill or dal mill.
3. Employment in any tobacco (including bidi making) manufactory.
4. Employment in any plantation, that is to say, any estate which is maintained for the purpose of growing cinchona, rubber, tea or coffee.
5. Employment in any oil mill.
6. Employment under any local authority.
7. Employment on the construction or maintenance of roads or in building operations.
8. Employment in stone breaking or stone crushing.
9. Employment in any lac manufactory.
10. Employment in public motor transport.
11. Employment in any mica works.
12. Employment in tanneries and leather manufactory.

Schedule, Part II

Employment in agriculture, that is to say, in any form of farming, dairy farming, the production, cultivation, growing and harvesting of any agricultural or horticultural commodity, the raising of live-stock, bees or poultry.

Examples :

1. Wages less than what is prescribed by the Minimum Wages Act is violative of the article 38 of the constitution of India. Service provided by worker is forced labour. *Sanjit Roy v. State of Rajasthan*.¹
2. Tube well operators working in District and Taluka Panchayat are entitled to the benefits of Minimum Wages Act. *Patel Ishwerbhai Prahladbhai etc. v. Taluka Development Officer and others*.²
3. Workmen employed by owners of ferries are entitled to receive minimum wages. *Ram Kumar Misra v. State of Bihar and others*.³

Competent authority

Competent authority is the authority appointed by the appropriate Government by notification in its official Gazette to ascertain the cost of living index number applicable to the employee employed in the scheduled employments specified in such notification.—Sec. 2(c).

Cost of Living Index Numbers

The appropriate Government can appoint a competent authority to ascertain from time to time the cost of living index

¹ AIR (1983) Supreme Court 328

² AIR (1983) Supreme Court 336

³ AIR (1984) Supreme Court 537

number applicable to the employees employed in the scheduled employments. The Index Numbers are notified in the official Gazette.—Sec. 2(d).

Wages

The term 'wages' means all remuneration, capable of being expressed in terms of money, which would, if the terms of the contract of employment (expressed or implied) were fulfilled, be payable to a person employed in respect of his employment or of work done in such employment and includes house rent allowance. The term *does not include*—

- (i) the value of house accommodation, supply of light, water, medical attendance or any service excluded by general or special order of the appropriate Government ;
- (ii) any contribution paid by the employer to any Pension Fund or Provident Fund or under any Scheme of Social Insurance ;
- (iii) any travelling allowance or the value of travel concession ;
- (iv) any sum paid to defray special expenses entailed on him by the nature of his employment ; or
- (v) any gratuity payable on discharge.—Sec. 2(h)

Case Law :

The term wages includes remuneration in respect of days of rest.
A. C. C. Ltd. v. Labour Inspector.¹

Employer

This term means any person who employs, either directly or through any other person, or whether on behalf of himself or any other person, one or more employees in a scheduled employment where minimum wages have been fixed. The term includes the manager of a factory and other persons in the same position.—Sec. 2(e).

Employee

This term means any person who is employed for hire or reward to do any work, skilled or unskilled, manual or clerical, in a scheduled employment in respect of which minimum rates of wages have been fixed. The term includes a worker who works

¹ (1960) 1 L. L. J. 192

outside the factory with materials supplied by the employer, and by another person to be made up, cleaned, altered, finished or otherwise processed for sale for the purposes of trade or business of that other person where the process is to be carried out either in the home of the outworker or in some other premises not being controlled by that other person. It also includes an employee declared to be an employee by the appropriate Government but excludes any member of the Armed forces of the Union.—Sec. 2(i).

Adult, Adolescent, Child

These terms have the same meaning as in the Factories Act.—Sec. 2(a).

FIXATION AND REVISION OF MINIMUM WAGES

Fixation of minimum rates of wages (Sec. 3)

The Act provides that the appropriate Government shall fix the minimum rates of wages payable to the employees of scheduled employments within the dates laid down in the Act. (The dates have been extended by later amendments.)

The appropriate government shall review at such intervals not exceeding five years, the minimum rates of wages so fixed and if necessary, revise the minimum rate.

The minimum rates may be fixed for the whole State or for a part of the State or for a specified class of employment. The rates may be fixed for time-work, piece work and overtime work. If in a scheduled employment, less than 1000 workers are employed, minimum rates need not be fixed until the number reaches 1000.

Minimum rates may be fixed for time-work, piecework and overtime work, and a minimum rate of remuneration to apply in the case of employees employed on piece work for the purpose of securing to such employees a minimum rate of wages on a time-work basis. The last mentioned rate is called “a guaranteed time-rate.”

Different rates of wages may be fixed for different scheduled employment ; different classes of work in the same scheduled employment ; adults, adolescents, children and apprentices ; and different localities.

Minimum rates of wages may be fixed by any one or more of the following wage-periods, namely : (i) by the hour ; (ii) by the day ; (iii) by the month ; or (iv) by such other larger wages-period as may be prescribed ; and where such rates are fixed by the day or by the month, the manner of calculating wages for a month or for a day as the case may be, may be indicated.

As regards the basic minimum wages, there is no difference between men and women workers.

Where any wage-periods have been fixed under section 4 of the Payment of Wages Act, 1936, minimum wages shall be fixed in accordance therewith.

Section 4 of the Minimum Wages Act provides that any minimum rate of wages fixed or revised by the appropriate Government may consist of the following :

- (i) a basic of wages together with a cost of living allowance to be adjusted in accordance with the variations in the cost of living index number ; or
- (ii) a basic rate of wages with or without the cost of living allowance and the cash value of concessions in respect of supplies of essential commodities where authorised ; or
- (iii) an all-inclusive rate allowing for the basic rate, the cost of living allowance and the cash value of concessions, if any.

Case Law :

The Appropriate Government can fix the minimum rates of wages for overtime also. *Union of India and another v. B. D. Rathi and others*.¹

Procedure for fixing and revising minimum wages

For fixing minimum wages the appropriate Government shall either (a) appoint a committee (with sub-committees for different localities) or (b) by a notification in the official Gazette published its proposals and specify a date, not less than two months from the date of the notification, on which the proposals will be taken into consideration.

After considering the advice of the committee in case (a) and the representations received from the parties interested in case (b) the appropriate Government shall fix the minimum rate by notification in the official Gazette. Unless otherwise provided,

¹ AIR (1963) Bom. 54

the rates shall come into force on the expiry of three months from the date of the notification.—Sec. 5.

For the purpose of revising the minimum rates of wages, the appropriate Government may appoint Advisory Committees and Sub-committees. To co-ordinate the work of the Committee, there may be an Advisory Board. The Central Government shall appoint a Central Advisory Board for the purpose of advising the Central and the State Governments and for co-ordinating the work of the Advisory Boards. The members of the Committees and Boards shall be nominated by the appropriate Government. Each shall consist of an equal number of representatives of employers and employees and independent persons, not exceeding one-third of the total number of members. The Committees and Boards are to be consulted before revising the minimum rates. Revisions of rates are to be notified in the official Gazette. Unless otherwise provided, the revisions come into force on the expiry of three months from the date of issue of the Gazette.—Sections 5 to 10.

Case Law :

No procedure has been prescribed in the Act as to the method which the Advisory Board is to adopt before making its recommendations to the State Government. It can devise its own procedure and collect some information by appointment of a sub-committee consisting only of some of its members. But the Advisory Board has no power to appoint a rival sub-committee to the one appointed by the Government and take in such sub-committee persons who are not members of the Board, as was done in this case.

It, however, does not necessarily follow that the report of the Advisory Board is thereby vitiated. Held the irregularity, even characterising it as illegality, committed by the Advisory Board in taking into consideration the report of the sub-committee was not such as to nullify its recommendation contained in its report, or in any event, the final decision of the Government contained in the impugned notification. *State of Rajasthan and another v. Hari Ram Nathwani and others.*¹

PAYMENT OF MINIMUM WAGES

The Rates of wages

Where minimum wages have been fixed as provided above, the employer shall pay wages at a rate not less than the minimum fixed for every category of employees without any deductions

¹ 29 Bom, 373

except such as may be authorised. The provisions of the Payment of Wages Act are not to be affected.—Sec. 12.

Wages in Kind

Minimum wages payable under the Act shall be paid in cash. But where it is customary to pay wages wholly or partly in kind, the appropriate Government may authorise such payment. It may also authorise the supply of commodities at concession rates. The cash value of such concessions and of wages in kind shall be estimated in the prescribed manner.—Sec. 11.

Fixing Hour for a Normal Working Day

In a scheduled employment where minimum wages have been fixed, the appropriate Government may fix the number of hours of work which shall constitute a normal working day, inclusive of one or more specified intervals. It may also provide for a day of rest in every period of seven days and for the payment of remuneration in respect of such days.—Sec. 13. It may provide for payment for work on a day of rest at a rate not less than the overtime rate.—Sec. 13(1).

Under section 13, the appropriate Government is to provide the day of rest.

Wages of Worker who works for less than Normal Working Day

An employee working less than the normal working day is entitled to receive wages for the full working day except in the following cases (i) where his failure to work is caused by his unwillingness to work and not by the omission of the employer to provide him with work, and (ii) in such other cases and circumstances as may be prescribed.—Sec. 15.

Overtime

For every hour or part of an hour worked in excess of the normal working day, the employee is entitled to receive remuneration at the rates fixed for overtime work under this Act or under any law of the appropriate Government in force, whichever is higher.—Sec. 14.

Wages for two or more classes of work

Where an employee does two or more classes of work to each of which a different minimum rate is applicable, the

employer shall pay the employee in respect of the time respectively, occupied in each class of work, for each such class of work wages at rates not less than the minimum rate in force in respect of each such class.—Sec. 16.

Minimum time rate wages for piece work

Where an employee is employed on a piece work for which minimum time rate and not a minimum piece rate has been fixed under this Act, the employer shall pay wages at not less than the minimum time rate.—Sec. 17.

Register and Records

Every employer shall maintain registers and records giving particulars of employees employed by him, the work performed by them, the wages paid to them, the receipts given by them and other particulars, in such form as may be prescribed. The employer shall keep exhibited in the factory, workshop or place where the employees in the scheduled employment may be employed, or in the case of out-workers, in such factory, workshop or place as may be used for giving out work to them, notices in the prescribed form containing prescribed particulars. The appropriate Government may frame rules for the issue of wage books or wage slips to employees employed in any scheduled employment, and prescribe the manner in which entries shall be made and authenticated in such wage books or wage slips by the employer or his agent.—Sec. 18.

ENFORCEMENT OF THE ACT

Inspectors and their Powers

The appropriate Government may, by notification in official Gazette, appoint such persons as it thinks fit to be Inspectors for the purposes of this Act, and define the local limits within which they shall exercise their functions. Power of Inspectors is the subject to any rules made by the appropriate Government. An Inspector may (a) enter, at all reasonable hours, with such assistants, if any, as he thinks fit, any premises or place where employees are employed or work is given out to outworkers in any scheduled employment in respect of which minimum rates of wages have been fixed, for the purpose of examining any register, record of wages or notices and require the production

thereof for inspection ; (b) examine any employee ; (c) require any person giving out-work to give any information with regard to the work and the payments made for the work ; (d) seize or take copies of any register, record of wages or notices or portions thereof as he may consider relevant in respect of any offence under this Act which he has reason to believe has been committed by an employer; and (e) exercise such other power as may be prescribed.—Sec. 19(2).

Claims : The Authority (Sec. 20)

The appropriate Government may, by notification in the official Gazette, appoint any Commissioner of Workmen's Compensation and certain officers of the Central Government and the State Governments to exercise the functions of a Labour Commissioner. The Authority, appointed as above, can hear and decide in any specified area from claims any arising out of payment of less than minimum rates of wages, or in respect of payment of remuneration for days of rest or for work such days under Sec. 13 of wages at overtime rate to employees employed or paid in that area.

For the above claims the following persons may apply to the Authority for hearing and deciding the case : (i) the employee himself ; or (ii) any legal practitioner or any official of a registered trade union authorised in writing ; or (iii) any Inspector ; or (iv) any person acting with the permission of the Authority.

The application shall be presented within six months, from the date on which the minimum wages or other amount became payable, unless the Authority is satisfied that he has sufficient cause for the delay.

After hearing the applicant and the employer the Authority and after such further enquiry, if any, as it may consider necessary may, without prejudice to any other penalty to which the employer may be liable under this Act, direct (i) in the case of a claim arising out of payment of less than the minimum rates of wages, the payment to the employee of the amount by which the minimum wages payable to him exceed the amount actually paid, together with the payment of such compensation as the Authority may think fit, not exceeding ten times the amount of such excess in any other case ; and (ii) in any other case, the

payment of the amount due to the employee, together with the payment of such compensation as the Authority may think fit, not exceeding ten rupees. The Authority may direct payment of such compensation in cases where the excess or the amount due is paid by the employer to the employee before the disposal of the application.

If the Authority is satisfied that the application is malicious or vexatious he may direct a penalty not exceeding Rs. 50 to be paid to the employer.

Any amount directed to be paid under section 20 may be recovered as if it was a fine imposed by the Magistrate.

Every Authority under section 20 shall have all the powers of a Civil Court.

Every direction of the Authority under section 20 shall be final.

Case Law :

The Labour Court has jurisdiction to entertain a petition for minimum wages due and can determine the money the employee is entitled to. *Anand Oil Industries v. Labour Court, Hyderabad and others.*¹

Single application in respect of a number of employees

Section 21 provides that subject to such rules as may be prescribed, a single application may be presented under section 20 on behalf or in respect of any number of employees employed in the scheduled employment. The maximum compensation which may be awarded shall not exceed ten times the aggregate amount of such excess or ten rupees per head, as the case may be. The Authority may deal with any number of separate applications as a single application.

Penalties

Section 22 provides for penalties for violating the provisions of the Act. An employer who pays less than the prescribed minimum wage or infringes any order or rule made under Section 13, may be punished with imprisonment of either description up to six months and/or fined up to Rs. 500. The section also lays down the procedure for taking cognizance of offences under the Act and/or holding trials for the same. Sec. 22A provides that if there is no other penalty for the contravention by this Act,

¹ AIR (1979) AP 182 (Full Bench)

any offence under this Act is punishable with fine which may extend to Rs. 500.

Cognizance

Section 22B provides that a complaint of any person under the Act is to be made by or with the sanction of the appropriate Government or of an Inspector.

Offences by Companies and Firms

Section 22C provides that in cases of offences by a company or firm, any person is punishable who is in charge of, and is responsible to the concern. No person is punishable if it was committed without his knowledge or that who exercised all due diligence to prevent it.

MISCELLANEOUS

Undisbursed amount due to employees : Section 22D provides that any money payable to an employee under this Act which could not be paid on account of death of the employee, the payment is to be deposited to the prescribed authority who shall deal with the money in the prescribed manner.

Protection against attachment of assets of an employer with Government : Section 22E provides that any amount deposited with the appropriate Government by an employer, to secure the due performance of the contract with the Government, shall not be liable to attachment under any decree or order of the Court other than any debt or liability in connection with the contract aforesaid.

Scheduled Employment : Section 22F provides that an Inspector appointed under the Payment of Wages Act shall be deemed to be Inspector for the purpose of enforcement of the provisions of the Minimum Wages Act.

Exemption of employer from liability in certain cases : Section 23 provides that an employer will be excused from liability if he can show that some other person was responsible for the offence and (a) that he has used due diligence to enforce the execution of the Act, and (b) that the said other person committed the offence in question without his knowledge, consent or connivance. The other shall in such cases be liable to punishment.

Bar of suits: Section 24 provides that no court shall entertain any suit for the recovery of wages in so far as the sum so claimed has been dealt with under Section 20 of the Act or might have been recovered under that section.

Contracting out: Section 25 provides that any contract whereby an employee either relinquishes or reduces his right to a minimum rate of wages or any privilege or concession accruing to him under the Act shall be null and void in so far as it purports to reduce the minimum rate of wages fixed under this Act.

Exemptions and exceptions allowed: The following exemptions and exceptions are allowed under Section 26.

- (1) The provisions of the Act shall not apply to disabled employees if the appropriate Government so declares.
- (2) Specified employments may be exempted from all or some of the provisions of the Act by the appropriate Government.
- (3) Nothing in the Act shall apply to the wages payable by an employer to a member of his family who is living with him and is dependent on him. Member of the family of an employer shall be deemed to include his or her spouse or child or parent or brother or sister.

Powers of Government: The Central Government can give directions to State Government as to the carrying into execution of this Act in the State.—Sec. 28.

The Central and the State Governments have been given power to frame rules under the Act.—Sec. 29 and Sec. 30.

EXERCISES

1. Discuss and explain the rule regarding the following : (i) worker who works less than the normal working day ; and (ii) wages to an employee who does two or more classes of work. (Pages 984-985)
2. State how an employee can take action if he is getting less than the minimum wages. What is the procedure for the final determination of the dispute ? (Pages 985-987)
3. State the procedure for fixing and revising minimum wages. State the registers and records to be maintained by the employer. (Pages 982-983)
4. Write notes on :
 - (a) Employee. (Page 980)
 - (b) Employer. (Pages 980-981)
 - (c) Wages. (Page 980)
 - (d) Cost of Living Index Number. (Pages 979-980)

5. What is 'Scheduled Employment' ? State the schedule employments.
Can the list of such employments be closed ? (Page 978)
6. Is it possible to pay wages in kind ? (Page 980)
7. What is the composition and role of Advisory Committees and Boards ? (Pages 982-983)
8. (a) The employer could not make payment of minimum wages to the employee since the whereabouts of the employee are not known. State the course of action to be taken by the employer in respect of the amount of money payable to the said employee.
- (b) An employee whose minimum rate of wages has been fixed under the Minimum Wages Act, 1948 works on a day for a period less than the requisite number of hours constituting a normal working day. Will the employee succeed in claiming full wages at the minimum rate of Wages? Give reason for the answer.
- (c) An industrial dispute relating to the rates of wages payable to some of the employees employed in a scheduled employment is pending before an Industrial Tribunal. In the meantime, minimum rate of wages has been fixed by the State Government in that scheduled employment. State with reason whether the minimum rate of wages so fixed is applicable to the employees whose industrial dispute is pending before the Industrial Tribunal. (Pages 988, 983)
9. What are the provisions relating to the composition of Advisory Board and Central Advisory Board ? (Pages 982-983)
10. State the rules regarding overtime wages and wages of workers, who work for less than normal working hours, prescribed by the Minimum Wages Act. (Pages 983-985)
11. Can different rates of wages be fixed for different scheduled employments? (Pages 983-985)
12. (i) State the minimum rate of wages. (Pages 981-982)
- (ii) Examine the following statements :
 - (a) The components of minimum wages may be = basic rate of wages plus cost of living allowance.
 - (b) The components of minimum wages may be = basic rate of wages, plus cost of living allowance plus cash value of concession regarding supplies of essential commodities at concessional rates.
 - (c) The components of minimum wages may be = basic rate of wages minus cost of living allowance plus cash value of concession regarding supplies of essential commodities at concessional rates. (Pages 981-983)

13. Discuss the rules regarding (i) Wages of Worker who works for less than normal working hour. (ii) Wages for two or more classes of work. (Pages 983-984)
14. Discuss the procedure for fixing and revising minimum rate of wages in respect of any scheduled employment. (Pages 981-982)
15. Discuss the circumstances under which an employer who is charged with an offence under the Minimum Wages Act, 1948 can be exempted from his liability. (Page 988)
16. State the procedure to be adopted in order to add any employment to either part of the schedule for the purpose of fixing minimum rate of wages. (Pages 978-979)
17. (a) Define the following according to the Minimum Wages Act, 1948—(i) Employer, (ii) Employee.
(b) Discuss the provisions of the Minimum Wages Act, 1948 relating to payment of wages for overtime work.
(c) Minimum wages payable by an employer to an employee cannot be paid on account of his whereabouts not being known. Advise the employer in taking further action in the matter. (Pages 981, 983-985, 988)
18. (a) State the procedure for fixing and revising the minimum rate of wages under the Minimum Wages Act, 1948.
(b) State the procedure to be adopted by the appropriate Government in order to add to either part of the schedule any employment in respect of which minimum rate of wages may be fixed.
(c) A, an unmarried daughter living with B, her father, and C, a married daughter living with her husband, are employed by B in a scheduled employment. Both A and C present their claims for payment of minimum rate of wages. Will they succeed? (Pages 981-983, 978-979, 985)

APPLICATION AND OBJECTS

Application : The law relating to industrial relations in India is contained in the Industrial Disputes Act of 1947 and several local Acts passed in States (e.g., in Maharashtra). The Industrial Disputes Act is a Central Act which came into operation on 1st April, 1947. The latest amendment to the Act was made in 1984.

The Act applies to the whole of India, including the State of Jammu and Kashmir.¹

Objects : The object of the Act is, "to make provision for the investigation and settlement of industrial dispute, and for certain other purposes."

The aim of the Act is to secure *industrial peace* through voluntary negotiation and compulsory adjudication. It lays down the procedure according to which disputes between employers and workmen can be settled. The Act also aims at securing *economic justice* to the workmen. Industrial disputes generally arise from dissatisfaction of workmen owing to the deteriorating economic conditions. The Act has also been formulated in order to improve the condition of workers in industry by (a) redressal of grievances of workmen through a statutory machinery and by (b) offering job security.

THE AMENDMENT OF 1982

The Industrial Disputes Act of 1947 was amended several times ; the latest was in August 1982. [The Industrial Disputes (Amendment) Act, 1982 ; Act of 46 of 1982.] This Act received the assent of the President on 31.8.1982. It shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint.—Sec. 1(1) and (2).

The amendment provides for extensive changes. It has recast the terms used in a main Act e.g., Industry, Workman, Industrial Establishment or Undertaking, etc. The rules regarding closure, lay off, reinstatement, retrenchment etc. are altered. Certain new

¹ Applied to Jammu and Kashmir, see page 811, footnote.

concepts and rules have been introduced, e.g., the rights of legal heirs, a time limit for adjudication of disputes, a model grievances redressal procedure etc. A schedule to the amending Act gives a list of unfair labour practices.

The important provisions of the amending Act have been summarized in an Appendix added at the end of this chapter. [It is to be noted that the amendment of 1982 has not been applied yet.]

INDUSTRY

Definition

Section 2(j) defines an "industry" as, "any business, trade, undertaking, manufacture or calling of employers and includes any calling, service, employment, handicraft, or industrial occupation or avocation of workmen."

The Statement of Objects and Reasons, issued with The Industrial Disputes (Amendment) Act of 1982, contains the following observation :

"The Supreme Court in the decision in the *Bangalore Water Supply and Sewerage Board v. A. Rajappa and others*¹ had, while interpreting the definition of 'industry' as contained in the Act, observed that government might restructure this definition by suitable legislative measures. It is accordingly proposed to redefine the term 'industry'. While doing so, it is proposed to exclude from the scope of this expression, certain institutions like hospitals and dispensaries, educational, scientific, research or training institutes, institutions engaged in charitable, social and philanthropic services, etc., in view of the need to maintain in such institutions an atmosphere different from that in industrial and commercial undertakings and to meet the special needs of such organisations. It is also proposed to exclude sovereign functions of government including activities relating to atomic energy, space and defence research from the purview of the term 'industry'. However, keeping in view the special characteristics of these three activities and the fact that their workmen also need protection, it is proposed to have a separate law for the settlement of individual grievances as well as collective disputes in respect of the workmen of these institutions. All these have been taken into account and the term 'industry' has been made more specific

¹ See p. 997.

while making the coverage wider. The scope of the term 'workman' has also been enlarged to cover the supervisory staff whose wages do not exceed Rs. 1,600 per month.

Section 2(j) of the Amending Act defines 'industry' as follows : 'industry' means any systematic activity carried on by co-operation between an employer and his workmen (whether such workmen are employed by such employer directly or by or through any agency, including a contractor) for the production, supply or distribution of goods or services with a view to satisfy human wants or wishes (not being wants or wishes which are merely spiritual or religious in nature), whether or not—

- (i) any capital has been invested for the purpose of carrying on such activity; or
- (ii) such activity is carried on with a motive to make any gain or profit, and includes—
 - (a) any activity of the Dock Labour Board established under Section 5A of the Dock Workers (Regulation of employment) Act, 1941 (9 of 1948);
 - (b) any activity, being a profession practised by any Individual or body of Individuals;
 - (c) any activity relating to the promotion of sales or business or both carried on by an establishment, but does not include—
 - (1) any agricultural operation except where such agricultural operation is carried on in an integrated manner with any other activity (being any such activity as is referred to in the foregoing provisions of this clause) and such other activity is the predominant one; or
 - (2) hospitals or dispensaries; or
 - (3) educational, scientific, research or training institutions; or
 - (4) institutions owned or managed by organisations wholly or substantially engaged in any charitable, social or philanthropic service; or
 - (5) Khadi or village industries; or
 - (6) any activity of the government relatable to the sovereign functions of the government including all the activities carried on by the departments of the

Central Government dealing with defence research, atomic energy and space ; or

- (7) any activity which is carried on by a co-operative society, being a Co-operative Society in which less than ten persons are employed.

Industry means any systematic activity carried on by cooperation between an employer and his workmen for the production, supply or distribution of goods or services with a view to satisfy human wants or wishes. It does not make any difference whether or not

- (i) any capital has been invested for the purpose of carrying on such activity ; or
- (ii) such activity is carried on with a motive to make any gain or profit.

“Industry” encompasses—

- (a) any activity of the Dock Labour Board established under Section 5-A of the Dock Workers (Regulation of Employment) Act, 1948 ;
- (b) any activity relating to the promoting of sales or business or both carried on by an establishment.

Case Law :

1. The Supreme Court holds that it is necessary to draw a line, in a fair and just manner, to put some limitation on the width of the words. *N. U. C. Employees v. Industrial Tribunal*.¹
2. The term Industry has a wide import. But it cannot be magnified to overreach itself. The term “undertaking” must suffer a contextual and associational shrinkage. *Bangalore Water-supply v. A. Rajappa*.² The supreme court approved the decision of *D. N. Banerjee v. P. R. Mukherjee*.³ (See p. 998 and p. 1002).

Industrial Establishment or Undertaking

The expression “undertaking” in the context of S. 25FFF, means a separate and distinct business or commercial or trading or industrial activity. It cannot comprehend an infinite-simally small part of a manufacturing process. (See p. 1031)

Section 2(ka) of the Amending Act states as follows
“industrial establishment or undertaking” means an establishment or undertaking in which any industry is carried on :

¹ AIR (1962) Supreme Court 1080

² AIR (1978) Supreme Court 548 and 969

³ (1953) S.C.A. 303

Provided that where several activities are carried on in an establishment or undertaking and only one or some of such activities is or are an industry or industries, then—

- (a) if any unit of such establishment or undertaking carrying on any activity, being an industry, is severable from the other unit or units of such establishment or undertaking, such unit shall be deemed to be a separate industrial establishment or undertaking;
- (b) if the predominant activity or each of the predominant activities carried on in such establishment or undertaking or any unit thereof is an industry and the other activity or each or the other activities carried on in such establishment or undertaking or unit thereof is not severable from and is, for the purpose of carrying on, or aiding the carrying on of, such predominant activity or activities, the entire establishment or undertaking or, as the case may be, unit thereof shall be deemed to be an industrial establishment or undertaking.

The painting section of an enterprise cannot be recognised as a subsection of it, eligible for being styled as a part of the undertaking. Such a mini classification if permitted would enable the employer to flout S25F with impunity. *Avon Services Production Agencies (P) Ltd. v. Industrial Tribunal, Haryana and others.*¹ (See appendix)

The Concept of Industry

The meaning of the term "Industry" has created conflicting decisions in the High Courts and others. In 1976 Krishna Iyer, J. of the Supreme Court, said that an activity can be regarded as an Industry, within the meaning of section 2(i) only if there is a relationship between the employer and the employees and its activities are analogous to trade and business. *Workmen of Indian Standards Institution v. Management of Indian Standards Institution.*² In 1978 the question of definition of the term Industry arose before the Supreme Court with a number of cases which were adjudicated by seven judges of Supreme Court including M. H. Beg (the then C. J.), Y. V. Chandrachud (now C. J.),

¹ AIR (1979) Supreme Court 170 (171)

² AIR (1976) Supreme Court 145

Krishna Iyer, and four other Judges. The decision of the seven Judges was reported under the heading *Bangalore Water-supply v. A. Rajappa*.¹ The highlights of judgement are stated below :

1. In an Industry, there must be (i) systematic activity, (ii) organized by co-operation between employer and employee and (iii) for the production and/or distribution of goods and services calculated to satisfy human wants and wishes. If the above three essential elements are found, *prima facie*, there is an Industry in that enterprise.

2. Absence of profit motive or gainful objective is irrelevant in the public, joint, private or other sector. A trade or business organization does not cease to be one because of philanthropy animating the undertaking.

3. The decisive test of the term "Industry" is the nature of the activity with the employer-employee relationship.

4. Where undertaking is calculated to satisfy material things and services, geared to celestial bliss, e.g. making on a large scale *prasad* or food (for spiritual or religious services), there is an Industry.

5. *What are included in Industry?* The seven judges, mentioned above, held that the triple tests listed in para 1 above are satisfied in following enterprises : (i) professions (ii) clubs (iii) educational institutions including *gurukul* (iv) co-operatives (v) research institutes (vi) charitable projects, and (vii) other kindred adventures.

6. *The exemptions, i.e. where there is no Industry :*

(a) In pious and altruistic missions many persons employ themselves free or for small honoraria. Such an institution is not Industry, even if, stray servants, manual or technical, are hired.

(b) Sovereign functions are not industries. But the welfare activities or economic adventures undertaken by the government are industries.

(c) Departments discharging sovereign functions can be considered within Sec. 2(j), if such units are industries and substantially severable.

(d) Constitutional and competently enacted legislative provisions may remove them from the scope of the Act.

(e) Where there is a complex of activities, some of which qualify for exemption but others do not, the total undertaking

¹ AIR (1978) Supreme Court 548 and 969

and the integrated nature of the departments will be an Industry, although there are some persons who are not workmen by definition and may not benefit by that status.

A list

The concept of industry is clarified by the Court decisions on the subject. A list is given below.

I. Industry

The following are "industries":

1. *Manufacturing establishments, Agricultural farms and Commercial houses.*

2. *A Municipality*: In the term "industry" the word "undertaking" is used and a municipality is an undertaking which supplies light or water for payment. *D. N. Banerjee v. P. R. Mukherjee*.¹

3. *A non-profit organisation*: The Western India Automobile Association which renders service to its members on a non-profit basis has been held to be an "industry" within the meaning of the Act. *Province of Bombay v. Western India Automobile Association*.² Profit motive is not necessary characteristic of industry.

4. *A chartered accountant (large scale)*: If a chartered accountant doing audit work with a large staff it can be called an industry. *Rabindra Nath Sen v. The First Industrial Tribunal, W. B. and others*.³ (See p. 1002)

5. *A college with pharmacy*: A college pharmacy manufacturing Ayurvedic medicines for sale is an industry. *Lalit Hari Ayurvedic College Pharmacy v. Worker's Union*.⁴

6. The activities of the Indian Standards Institution fall within the category of Industry. *Workmen of Indian Standards Institution v. Management of Indian Standards Institution*.⁵

7. *Activities of Government in industry*: The State has to undertake many activities which would otherwise be called industries. Such activities are included in definition of the term "industry". *Nagpur Corporation v. Its Employees*.⁶ The Machkunda Hydro Electric Project is an industry within the meaning

¹ (1953) S C A. 303

² (1949) F.C.R. 321

³ (1963) 67 C.W.N. 232

⁴ (1960) I.L.L.J. 250

⁵ AIR (1976) Supreme Court 145

⁶ AIR (1960) Supreme Court 675

of the Act: *Superintending Engineer, Machkund v. Workmen of Machkund 'Electric Project'*.¹

II. No Industry

The following are not "industries"

1. *The University*: A University cannot be called an industry. *University of Delhi and others v. Ram Nath etc.*²

2. *A Dock Labour Board*: A Dock Labour Board, which supplies workmen to the stevedores for loading or unloading of ships, is not an industry. *Vizagapatnam Dock Labour v. Stevedores Association, Vishakhapatnam and Ors.*³

3. *A chartered accountant*: It was held that a chartered accountant's office is not an industry. *R. Vaidyanathan v. Fifth Industrial Tribunal, W. B. & Others.*⁴ But, see para 4 above.

4. *A solicitor*: The calling of a solicitor is not an industry, so long as he carries on the normal avocations of a solicitor. *Brijmohan Bagaria v. N. C. Chatterjee.*⁵ (See p. 1002).

5. *Educational institutions*: A society whose main object is advancement of learning is not an industry, even though it publishes and sells books. *Asiatic Society v. State of W. Bengal.*⁶

6. *A religious institution*: A religious institution like a temple or a church, is not regarded as an industry.

7. *Hospital*: *Dhanrajgiriji Hospital, Sholapur* is not carrying on any economic activity in the nature of trade or business. Therefore, this hospital is not an industry. *Management of Safdar Jung Hospital, New Delhi v. Kuldip Sing Seth.*⁷ *Dhanrajgiriji Hospital v. Workmen.*⁸

8. *Sovereign functions*: Several English and Indian cases held that the activities of a lawful government must undertake the administration of justice, maintenance of law and order, prevention of crime etc. and such activities do not come within the term 'industry.' *Federated State School Teacher's Association of Australia v. State of Victoria*⁹, *State of Bombay v. Hospital Mazdoor Sabha.*¹⁰

9. *Club*: Non-proprietary members clubs, with multifarious

¹ AIR (1960) Orissa 205

² AIR (1963) Supreme Court 1873

³ (1971) I.S.C.A. 625 (Supreme Court) ⁴ (1976) 71 C.W.N. 755

⁵ (1958) 62 C.W.N. 473

⁶ (1967) 71 C.W.N. 119

⁷ AIR (1970) Supreme Court 1407

⁸ AIR (1975) Supreme Court 2032

⁹ 41 Com. L.R. 569

¹⁰ AIR (1960) Supreme Court 610

activities providing a venue for sports and games and facilities for recreation, entertainment and for catering of food, and refreshment, are not Industries. *Madras Gymkhana Club Employee's Union v. Management*.¹

Activity of Cricket Club of India is not industry. It is members' self-service institution. *Cricket Club of India v. Bombay Labour Union and another*.²

10. *Other organisations*: The following organisations are not industries—professions; lawyer's office; humanitarian institutions like pinjrapoles and a home for destitute children; government employees in income tax department; non-gazetted government servants; Rajbhavan staff.

11. Khadi or village industries.

12. any domestic service.

13. any activity if the number of persons employed by the individual or body of individual in relation to such profession is less than ten.

14. any activity carried on by a co-operative society if the number of persons employed by the cooperative society is less than ten.

INDUSTRIAL DISPUTES

Definition

According to Section 2(k) of the Act, industrial dispute, means "any dispute or difference between employers and employees, or between employers and workmen, or between workmen and workmen, which is connected with the employment or non-employment or the terms of employment or with the conditions of labour of any person."

From the definition it follows that a dispute or difference between

(a) employers and employers,

(b) employers and workmen, and

(c) workmen, and workmen, is an industrial dispute within the meaning of the Act, provided the dispute or difference relates to,

(i) employment, or (ii) non-employment, or (iii) terms of employment, or, (iv) the conditions of labour, of any person.

¹ AIR (1968) Supreme Court 554

² AIR (1969) Supreme Court 276

The definition of industrial dispute signifies that it refers to an industry defined in the Act and refers to disputes that bear upon the relationship of employers and workmen and the terms of employment and condition of labour.

When Industrial disputes arise

Disputes or differences arise when a demand is made by one party and is refused by the other party. The demand may be oral or in writing. A request contained in a letter from workmen may amount to a demand. If the request is not complied with, a dispute arises.

Who can raise a dispute ?

A demand may be made by a group of workmen or by the Trade Union on their behalf. A dispute with an individual workman may become an industrial dispute if the workman is supported by other workmen or the Union.

Collective Disputes

When the workmen raise a dispute as against their employer, the person regarding whose employment that dispute is raised, must be one in whose employment, non-employment, terms of employment or conditions of labour, the workmen as a class have a direct or substantial interest. *Workmen v. Management of Dimakuchi Tea Estate*.¹ Those sponsoring the case must be in the same employment, association or union. There must not be mere sympathy for the aggrieved workman but community of interest. *Express Newspaper (P) Ltd. v. Labour Court, West Bengal*.²

Disputes may be collective disputes or individual disputes. Collective disputes are those which are supported by a large number of workmen. Collective dispute may be due to many causes e.g., hours of work, wages, bonus holidays, retrenchment, closure etc. collective disputes may be industrial disputes.

No rigid rule can be laid down regarding the number of workmen whose association will convert an individual into a collective dispute. The number depends upon the facts of the case and the nature of the dispute. *Associated Cement Companies Ltd. v. Their workmen*.³

¹ AIR (1958) Supreme Court 323

² (1959-60) 17 F.J.R. 413

³ (1960) I.L.L.J. 491

A section of an undertaking, e.g., the clerical staff, can raise an industrial dispute.

The union need not be a recognised trade union.

Individual Dispute

Cases where a dispute with an individual workman is deemed to be an industrial dispute : Section 2A, inserted by the Industrial Disputes (Amendment) Act, 1965, provides that where any employer, *discharges, dismisses, retrenches, or otherwise terminates* the services of an individual workman, any dispute or difference between that workman and his employer *connected with or arising out of* such discharge, dismissal, retrenchment or termination, shall be deemed to be *an industrial dispute*, notwithstanding that no other workman nor any union of workmen is a party to the dispute.

Examples of industrial disputes :

- (i) *Requesting bonus* : A Union of workmen wrote a letter to the employers, in very courteous and polite language requesting additional bonus. The request was refused. Held that an industrial dispute arose from the refusal. *Sree Minakshi Mills v. State of Madras*.¹
- (ii) *Municipality* : Two employees of a municipality were dismissed on certain charges and a dispute arose between the municipality and the workers employed by it. It was held that the dispute was an industrial dispute because in the definition of the term "industry" the word "undertaking" is used and a municipality is an undertaking which supplies light or water for payment. *D. N. Banerjee v. P. R. Mukherjee*.²
- (iii) *Solicitor* : The term 'industry' does not include the case of an individual who carries on a profession dependent on his own intellectual skill. The calling of a solicitor is not an industry, so long as he carries on the normal avocation of a solicitor. Therefore, a dispute between a firm of solicitors and its employees is not an industrial dispute. (The calling of a solicitor may become an industry under certain circumstances e.g., when he carries on an investment business). *Brijmohan Bagaria v. N. C. Chatterjee*.³
- (iv) *A chartered accountant* : A chartered accountant carries on auditing work on a magnified scale, with more clients than he can himself manage. it was held that the dispute between the chartered accountant and his staff was an industrial dispute. *Rabindra Nath Sen v. The First Industrial Tribunal, West Bengal & Ors.*⁴

¹ AIR (1951) Mad. 974

² (1953) S.C.A. 303

³ (1958) 62 C.W.N. 473

⁴ (1963) 67 C.W.N. 232

- (v) "*Foreign Union*": A dispute between a lino-operator and his management was espoused by union of workmen of another organisation. Held that is not an industrial dispute. *Newspapers Ltd., Allahabad v. State Industrial Tribunal, U.P.*¹

WORKMAN

Definition

The definition of the term 'workman' as given in Section 2(s) of the Act can be summarised as follows: Workman means any person (including an apprentice) employed in an industry to do any skilled or unskilled manual, supervisory, technical or clerical work for hire or reward. The terms of employment may be either express or implied. A workman who has been dismissed, discharged or retrenched, comes within the definition of the term 'workman' if there is any dispute relating to such dismissal, discharge or retrenchment.

Section 2(s) of the Amending Act defines 'workman' as follows: 'workman' means any person (including an apprentice) employed in any industry to do any manual, unskilled, skilled, technical, operational, clerical or supervisory work for hire or reward, whether the terms of employment be express or implied, and for the purposes of any proceeding under this Act in relation to an industrial dispute, includes any such person who has been dismissed, discharged or retrenched in connection with, or as a consequence of, that dispute, or whose dismissal, discharge or retrenchment has led to that dispute, but does not include any such person—

- (i) who is subject to the Air Force Act, 1950 (45 of 1950), or the Army Act, 1950 (46 of 1950), or the Navy Act, 1957 (62 of 1957); or
- (ii) who is employed in the police service or as an officer or other employee of a prison; or
- (iii) who is employed mainly in a managerial or administrative capacity; or
- (iv) who, being employed in a supervisory capacity, draws wages exceeding one thousand six hundred rupees per mensem or exercises, either by the nature of the duties attached to the office or by reason of the powers vested in him, functions mainly of a managerial nature.

¹ (1960) S.C. 1328

Exceptions

The Act *excludes* the following types of workers from the definition of 'workman'—

- (i) Persons subject to the Army Act, 1950, or the Air Force Act, 1950 or the Navy (Discipline) Act, 1934.
- (ii) Persons employed in the police service or a prison.
- (iii) Persons employed mainly in a managerial or administrative capacity.
- (iv) Persons employed in a supervisory capacity drawing wages exceeding Rs. 1600 per month or exercising function mainly of a managerial nature.

With the exception of the four excluded categories stated above, every person working in an industry, for hire or reward, is a workman. See "Worker", p. 814 and "Employee", p. 879.

The Relationship of Employment

The relationship of employee and employer arises between two persons by agreement between them, express or implied, when the employee is under the control of the employer. *Chintaman Rao and another v. State of Madhya Pradesh*.¹

An employee is said to be under a control of an employer if he is bound to follow the orders of the employer (a) regarding the work which he shall execute, (b) the details of the work, (c) the manner of its execution.

The manner of payment

Hire or reward to a workman may be in any manner. It may be (a) time wages (b) at piece rates or (c) a commission on production or sale.

Examples of Workmen

The following persons were held 'workmen' under the Act.—Temporary workmen and casual workmen paid weekly; persons working of a supervisory character but receiving a salary below Rs. 1600 per month; a gardener working at an officer's quarter but whose name is on the company's payroll; a salesman who draws wages and not commission; an auditor employed in the concern and doing mainly clerical work; workers engaged by a contractor if the contractor is an employee of the principal

¹ AIR (1953) Supreme Court 388

concern and not an independent contractor ; a timekeeper ; a jamadar ; a guard.

Piece rated Tailors working in big tailoring establishment are workmen. *Shining Tailor v. Industrial Tribunal II, U.P., Lucknow and others*.¹

A Security Inspector at the gate of the factory premises and it was neither managerial nor supervisory in nature, so as to exclude him from the definition of "workman" under Section 2(s) of the Act. *Ved Prakash Gupta v. Delton Cable India (P) Ltd.*²

Persons held not Workmen

The following persons are not regarded 'workmen' under the Act.—Casual and temporary workers are not workmen after the job for which they are engaged is finished ; the non-permanent staff of seasonal factories are not workmen during the off-season when work is not being carried on : persons holding managerial and supervisory post ; an advertisement manager ; a gate sergeant ; a sales representative ; a medical representative ; a draughtsman ; editorial staff including reporters ; a midwife and a nurse ; a chemist ; a supervisor.

EMPLOYER

Section 2(g) of the Industrial Disputes Act states that the term Employer means,

- (i) in relation to an industry carried on by or, under the authority of any department of the Central Government or a State Government, the authority prescribed in this behalf, or where no authority is prescribed, the head of the department ;
- (ii) in relation to an industry carried on by or on behalf of a local authority, the chief executive officer of that authority.

A term 'employer' has been extended in many States. The Maharashtra Industrial Relations Act adds phrase, "(b) Any agent of the employer." It has been held that the agent of the employer includes—general manager, director and the occupier of a factory.

The U.P. Industrial Disputes Act, 1947, adds the following more clauses :

¹ AIR (1984) Supreme Court 23 ² AIR (1984) Supreme Court 914

- “(iii) an association of a group of employers ;
- (iv) where the owner of an industry in the course of or for the purpose of conducting the industry contracts with any person for the execution by or under such person of the whole or any part of any work which is ordinarily part of the industry, the owner of such industry.”

Clauses (ii) and (iii) are same in clauses (i) and (ii) of the main Act. (See above)

Workmen and Employer

Where a worker, or group of workers, labours to produce goods and services and these goods and services are for the business of another, that other is, in fact, the employer. The presence of intermediate contractors with whom alone the workers have immediate or direct relationship *ex contractu* has no consequence. On lifting the veil the different paper arrangement is to be found out so that the real employer is the Management not the intermediate contractors. *Ganesh Beedi's Case*.¹ *Hussainbhai v. The Alath Factory etc.*²

WAGES

Section 2(rr) of the Industrial Disputes Act states that “wages” means, “all remuneration capable of being expressed in terms of money, which would, if the terms of employment, express or implied, were fulfilled, be payable to a workman in respect of his employment or of work done in such employment, and includes—

- (i) such allowances (including dearness allowances) as the workman is for the time being entitled to ;
 - (ii) the value of any house accommodation, or of supply of any service or of any concessional supply or foodgrains or other articles ;
 - (iii) any travelling concession ;
- but does not include—
- (a) any bonus ;
 - (b) any contribution paid or payable by the employer to any pension fund or provident fund or for the benefit of the workman under any law for the time being in force ;
 - (c) any gratuity payable on the termination of his service.”

¹ AIR (1974) Supreme Court, 1832 ² AIR (1978) Supreme Court 1410

Wages constitute the return obtained by the workman for placing his labour, skill and energy at the disposal of his employer. The term is used in the Act to mean the total remuneration to which the workman is entitled under the terms of service and which can be calculated in terms of money. *It includes* (1) allowances like dearness allowance, (2) value of house accommodation, water supply and other amenities, (3) any travelling concession. *It does not include* (1) bonus (2) employer's contributions to pension, provident funds etc. and (3) gratuities payable on retirement.

PAYMENT OF FULL WAGES

Section 17B. *Payment of full wages to workman pending proceedings in higher Courts—*

Where in any case, a Labour Court, Tribunal or National Tribunal by its award directs reinstatement of any workman and the employer prefers any proceedings against such award in a High Court or the Supreme Court, the employer shall be liable to pay such workman, during the period of pendency of such proceedings in the High Court or the Supreme Court, full wages last drawn by him, inclusive of any maintenance allowance admissible to him under any rule if the workman had not been employed in any establishment during such period and an affidavit by such workman had been filed to that effect in such Court :

Provided that where it is proved to the satisfaction of the High Court or the Supreme Court that such workman had been employed and had been receiving adequate remuneration during any such period or part thereof, the Court shall order that no wages shall be payable under this section for such period or part, as the case may be.

TIME LIMIT

There has been dissatisfaction with delays involved in the adjudication of industrial disputes. It is proposed to fix a time limit for the adjudication of individual and collective disputes, as also for the disposal of claims, applications and other references by the Labour Court, the Industrial Tribunal or the National Industrial Tribunal with a view to securing speedier justice to workmen. It has also been provided that no case will

lapse merely on account of the fact that the time limits specified had expired.

Section (2A) of Amending Act: An order referring an industrial dispute to a Labour Court, Tribunal or National Tribunal under this section shall specify the period within which such Labour Court, Tribunal or National Tribunal shall submit its award on such dispute to the appropriate Government :

Provided that where such industrial dispute is connected with an individual workman, no such period shall exceed three months.

Provided further that where the parties to an industrial dispute apply in the prescribed manner, whether jointly or separately, to the Labour Court, Tribunal or National Tribunal for extension of such period or for any other reasons, and the presiding officer of such Labour Court, Tribunal or National Tribunal considers it necessary or expedient to extend such period, he may for reasons to be recorded in writing, extend such period by such further period as he may think fit :

Provided also that in computing any period specified in the sub-section, the period, if any, for which the proceedings before the Labour Court, Tribunal or National Tribunal had been stayed by any injunction, or order of a Civil Court shall be excluded :

Provided also that no proceedings before a Labour Court, Tribunal or National Tribunal shall lapse merely on the ground that any period specified under this sub-section had expired without such proceedings being completed.

BONUS

Definition

The term Bonus is used to denote *any extra payment* to the workman in addition to his wages, allowances and the usual fringe benefits.

The law regarding bonus was codified in 1965. Under that code, Bonus was defined as, "An annual statutory payment by an employer to his employee according to the provisions of the Payment of Bonus Act 1965."

The Bonus law

The Act of 1965 was amended in 1976, 1977, an ordinance issued on 21st August, 1980 and an Act passed in December, 1980. The Act was twice amended in 1985. At first Section 12

was abolished. But second amendment reintroduced Section 12 with an amendment. The highlights of the Bonus Acts are summarised below :

1. The Bonus Act applies (i) to every factory as defined in the Factories Act of 1948 and (ii) every other establishment in which ten or more persons are employed in any day during an accounting year. It extends to the whole of India. Bonus is payable to Banking, Reconstruction Corporation & Railways.

2. Bonus is payable on the salary or wage earned by the employee in an accounting year at the rate of up to 20%. The minimum bonus is 8.33%. The bonus is payable whether or not the employer has any allocable surplus in the accounting year.

3. Every employee who has worked in the establishment for not less than thirty working days in the accounting year, and whose monthly wage is not more than Rs. 1,600 is to be paid bonus. All employees including manual worker and also the executive staff are eligible. But a person getting a monthly wages exceeding Rs. 750 will be given bonus calculated on the basis of Rs. 750 only.

4. Where an employee who has not completed 15 years of service, the minimum shall be 8.33% or Rs. 60 whichever is higher. An employee, who has completed his service for 15 years or more, must get at least Rs. 100.

5. Where an employee has not worked for all the working days in an accounting year, the bonus shall be proportionately reduced.

6. Under the Act certain types of workers are not eligible to get bonus, e.g., seamen under the Merchant Shipping Act; employees in Indian Red Cross Society and similar Institutions; universities and other educational institutions, etc.

7. An employee, dismissed for the following reasons, will not get bonus *viz.* fraud, riotous behaviour while on the premises of the establishment, or theft, misappropriation or sabotage of any property of the establishment.

Comment

The salient feature of the Ordinance and the Act of 1980 is that the payment of bonus was made a permanent part of law of which for the past three years were *ad hoc* arrangements. But disputes between workmen and employers occur as regards bonus

exceeding the minimum. The range is wide because it varies between 8.33% to 20%.

Case Law :

The minimum bonus under this Act is a right vested in an employee. For the enforcement of this Act, an employee can file an application to the Labour Court under the Industrial Disputes Act. For such a claim it is not necessary to refer for adjudication to an Industrial Tribunal. *Anand Oil Industry v. Labour Court, Hyderabad and others.*¹

Workmen in establishment receiving attendance bonus over and above the bonus is outside the purview of the Act. *Baidyanath Ayurveda Bhawan Mazdoor Union, Patna v. Management of Shri Baidyanath Ayurveda Bhawan Pvt. Ltd. and others.*²

Latest Amendments

(i) On 27.9.1985 the Government of India issued an ordinance raising the ceiling limit, as discussed in 3 above, for computing bonus from Rs. 750 per mensem to Rs. 1600 per mensem. Hence by this ordinance an employee getting wages more than Rs. 750 per mensem but less than Rs. 1600 per mensem will get bonus calculated on his actual wages. This will be applicable for the accounting in 1984 and for subsequent years.

(ii) On 27.11.1985 a bill was introduced in Parliament amending Section 2(13) of the Payment of Bonus Act stating that an Employee means any person (other than an apprentice) employed on a salary or wage not exceeding Rs. 2500 per mensem in any industry to do any skilled or unskilled, manual, supervisory, managerial, administrative, technical or clerical work for live or reward whether this terms of employment be express or implied.

In the same bill a new section had been added which made that where the salary or wage of an employee exceeds Rs. 1600 per mensem, the bonus payable to such employee under Section 10 or as the case may be under Section 11, shall be calculated as if his salary or wage were Rs. 1600 per mensem. (Sec. 12)

The Second Amendment 1985 maintains that a minimum bonus of 8.33 per cent of the wage or salary of an employee is payable irrespective of the fact whether the establishment has made a profit or loss. Bonus is no longer linked with production and profitability. Liability for bonus is a statutory liability.

¹ AIR (1979) AP 182 (Full Bench)

² AIR (1984) Supreme Court 457

DIFFERENCES BETWEEN WAGES AND BONUS

1. Wages means the remuneration for work, the regular allowances and fringe benefits when given. Bonus means any payment other than above items.

2. The rate of wages is based on the contract between the employer and employee. Bonus is based upon contract, award, (by tripartite or bipartite) and the Bonus Act.

3. The rate of wages is more or less stable. Bonus varies from year to year.

4. Wages are given weekly or monthly. Bonus is given annually.

5. The Industrial Disputes Act specifically excludes bonus from the definition of wages. But under the Payment of Wages Act, the term wages includes bonus.

6. Wages are regarded as a part of cost of production of a firm. But under the Bonus Act, bonus must be given whether there is any surplus/profit or not. Some people consider bonus to be deferred wages.

7. In case of lay-off or discharge, the employee is entitled to get compensation on the basis of his wages of the employee. But bonus is not included in such compensation.

GRATUITY

Gratuity is a sum of money given by the employer to the employee at the end of his service. The term is not defined in the Industrial Disputes Act. Formerly, gratuity was paid under schemes formulated by the employer or by tripartite or bipartite agreement or by awards. Now the law relating to gratuity has been codified by the Payment of Gratuity Act 1972 (Act No. 39 of 1972). The Act was amended by the Amendment Act of 1987. The provisions of the Act are summarised below.

1. The Act provides for a scheme for the payment of gratuity to employees engaged in factories, mines, oilfields, plantations, ports, railway companies, shops or other establishments.

2. It extends to the whole of India. But in so far as it relates to plantations or ports, it shall not extend to the State of Jammu and Kashmir.

3. Gratuity is payable to an employee on the termination of his employment after he has rendered continuous service for not less than five years—

- (a) on his superannuation, or
- (b) on his retirement or resignation, or
- (c) on his death or disablement or due to accident or disease.

But the completion of continuous service of five years shall not be necessary where the termination of the employment of any employee is due to death or disablement.

4. *The amount of gratuity*: For every completed year of service or part thereof in excess of six months, the employer shall pay gratuity to an employee at the rate of fifteen days' wages based on the rate of wages last drawn by the employee concerned.

Under Section 4(3), the amount of gratuity payable to an employee shall not exceed Rs. 2,50,000. The Amendment Act 1994 replaced the existing ceiling of 20 month's wages for payment of gratuity by a monetary ceiling of Rs. 50,000. The Amendment Act 1997 has revised it to Rs. 2,50,000.

Nothing in this section shall affect the right of an employee to receive better terms of gratuity under any award or agreement or contract with the employer.

5. Notwithstanding anything contained in the above rules the gratuity of an employee, whose services have been terminated for any act, wilful omission or negligence causing any damage or loss to, or destruction of property belonging to the employer, shall be forfeited to the extent of the damage or loss so caused.

The gratuity payable to an employee shall be wholly forfeited—

- (i) If the services of such employee have been terminated for his riotous or disorderly conduct or any other act of violence on his part, or
- (ii) if the services of such employee have been terminated for any act which constitutes an offence involving moral turpitude, provided that such offence is committed by him in the course of his employment.

6. *Penalties*: A penal provision in the Act provides that anybody intending to avoid payment of gratuity by submission of false statements, returns etc. will be liable to imprisonment, and/or to pay a fine.

7. *Protection of gratuity*: No gratuity payable under this Act shall be liable to attachment in execution of any decree or order of any civil, revenue or criminal court.

Case Law :

- (1) Sec. 1(3)(b) of the Payment of Gratuity Act applies to every establishment which is within the meaning of Sec. 2(ii)(g) of the Payment of Wages Act. The definition of Sec. 4(1) of the Gratuity Act is framed in the widest terms. The Act is a complete code containing detailed provisions covering all essential features. The proceedings for payment of gratuity must be taken under the Act. The Labour Court under the Industrial Dispute Act has no jurisdiction to entertain them. *State of Punjab v. The Labour Court etc.*¹
- (2) A permanent employee remaining absent without leave and working for less than 240 days in the year is not entitled to gratuity. A social welfare legislation must get beneficent construction. *Lalappa Lingappa and others v. Laxmi Vishnu Textile Mills Ltd.*²
- (3) Civil suit to recover gratuity is maintainable. *Sudhir Chandra Sarkar v. Tata Iron and Steel Co. Ltd., and others.*³

AUTHORITIES UNDER THE ACT

The Act sets up certain authorities for the investigation and settlement of industrial disputes. They are (i) Works Committees (ii) Conciliation Officers (iii) Boards of Conciliation (iv) Courts of Enquiry (v) Labour Courts (vi) Industrial Tribunals (vii) National Tribunals and (viii) Grievance Settlement Authorities (ix) Reference to Arbitration. The powers and duties of these authorities are explained below.

The National Tribunals are constituted by the Central Government. The other authorities, (Conciliation Officers etc.) are appointed by the Appropriate Government.

Appropriate Government [Sec. 2(a)]

The Central Government is the Appropriate Government in relation to an industrial dispute concerning (i) any industry carried on by or under the authority of the Central Government (ii) a railway (iii) any controlled industry (iv) the Employees' State Insurance Corporation (v) the Agricultural Refinance Corporation (vi) the Deposit Insurance Corporation (vii) the Unit Trust of India (viii) the Indian Air Lines and Air India Corporation and (ix) a banking or an insurance company, a mine, an oil field, Cantonment Board, or a major port.

In relation to all other industrial disputes, the State Government is the Appropriate Government.

¹ AIR (1979) Supreme Court 1981 ² AIR (1981) Supreme Court 852

³ AIR (1984) Supreme Court 1064

In section 2(a) of the Amending Act, a list is given of industrial establishment where the Central Government is the Appropriate Government.

Examples : a Dock Labour or the Industrial Finance Corporation of India ; the Employees' State Insurance Corporation ; the International Airport Authority of India ; The Export Credit and Guarantee Corporation Limited of the Industrial Reconstruction Corporation of India Limited ; etc.

WORKS COMMITTEE

The Works Committee is a committee consisting of representatives of employers and workmen. (Sec. 3). In the case of any industrial establishment in which 100 or more workmen are employed or have been employed on any day in the preceding twelve months, the Appropriate Government may direct the employer to constitute a Works Committee in the manner prescribed by the rules framed under the Act.

The number of representatives of workmen in the works committee must not be less than the number of representatives of the employer. The representatives of workmen are to be selected from the men engaged in the establishment in consultation with their Trade Union, if there is any registered Union.

Duties : It shall be the duty of the Works Committee (1) to promote measures for securing and preserving amity and good relations between the employer and workmen. (2) With this end in view, the Committee is to comment upon matters of their common interest or concern and (3) endeavour to compose any material difference of opinion in respect of such matters.

The Works Committee is a forum for explaining the difficulties of all the parties. It can be possible to maintain cordial relationship, even though there are disputes and differences.

The decisions of the Works Committees are not binding.

The success of Works Committees and similar organisations like Boards of Conciliation, depends on the efforts of both the parties. A Works Committee is not a substitute of Trade Unions.

CONCILIATION OFFICERS

Section 4 of the Act provides for the appointment of Conciliation Officers by the Appropriate Government. A conciliation officer may be appointed for a specified area or for a specified industry or industries in an area.

Duties : Conciliation Officers are charged with the duty of mediating in and promoting the settlement of industrial disputes. Section 12 provides as follows :

(1) Where an industrial dispute exists or is apprehended, the conciliation officer may hold conciliation proceedings in the prescribed manner. Where the dispute relates to a public utility service and the necessary notice of strike or lock-out (under Sec. 22) has been given he *shall* hold such proceedings.

(2) For the purpose of bringing about a settlement of the dispute, the conciliation officer shall without delay investigate the dispute and all matters relating to the merits thereof. He may do all such things as he thinks fit for the purpose of inducing the parties to come to a fair and amicable settlement of the dispute.

(3) If the dispute is settled, the conciliation officer shall send a report to the Appropriate Government (or an officer authorised in this behalf) with a memorandum of the settlement signed by the parties.

(4) If no settlement is arrived at, the conciliation officer shall send a report stating the facts and circumstances, the steps taken and the reasons why no settlement was arrived at.—Sec. 12(6).

Case Law :

The duty of a conciliation officer is not judicial but administrative. He has to investigate the dispute and do all such things as he thinks fit for the purpose of inducing the parties to arrive at a fair and amicable settlement of the dispute *Royal Calcutta Golf Club Mazdoor Union v. State*.¹

The Conciliation Officer is entitled to enter an establishment to which the dispute relates, after reasonable notice, and also to call for and inspect any document which he considers relevant.

A Conciliation Officer cannot compel the attendance of parties at the conference but all parties to the dispute have the right to attend in a conference.

Generally the Conciliation Officer calls all the parties, sit around a table and discuss the dispute. Delay may be avoided. According to the rules the proceedings are conducted in private, although they actually become public.

The report of the conciliation officer shall be submitted within 14 days of the commencement of the conciliation procee-

¹ AIR (1956) Cal. 550

dings or within such shorter time as the Government may fix. The time may be extended beyond 14 days by such period as may (with the approval of the Conciliation Officer) be agreed upon in writing by all the parties to the dispute.

After considering the report, the Government may send the matter to a Tribunal or any other authority. If it does not do so it shall record and communicate to the parties concerned its reasons therefore.

BOARD OF CONCILIATION

Section 5 provides that the Appropriate Government may constitute a Board of Conciliation for promoting the settlement of an industrial dispute. The Board shall consist of a chairman and two or four members as the Government thinks fit. The Chairman shall be an independent person.

A person is "independent" for the purpose of appointment to a Board, Court or Tribunal if he is unconnected with the dispute or with any industry directly affected by such dispute. He may be a shareholder of a company connected with or likely to be affected by such dispute. But in such a case he must disclose to the Government the nature and extent of his shares.—Sec. 2(i).

The other members shall be appointed in equal numbers to represent the two parties. Each party is to recommend the names of their representatives, but if this is not done, the Government shall select the members.

Duties : Section 13 provides as follows :

(1) The Board shall endeavour to bring about a settlement between the parties.

(2) If a settlement is arrived at, the Board shall send a report thereof to the Government with a memorandum of the settlement signed by the parties.

(3) If no settlement is arrived at, the Board shall send a report stating the facts and circumstances, the steps taken, the reasons why no settlement was arrived at, and its recommendations for the determination of the dispute.

(4) If on the receipt of a report in respect of a dispute relating to a public utility service, the appropriate Government does not make a reference to a labour court, Industrial tribunal or National tribunal under Section 10, it shall record and communicate to the parties concerned its reasons therefore. [Sec. 13(4)].

A Board of Conciliation can only try to bring about a settlement. It has no power to impose a settlement upon the parties.

(5) The report of the Board must be sent within two months of the date on which the dispute was referred to it, or such shorter time as the Government may fix. The Government may extend the time up to two months. The time may be extended by agreement in writing by all the parties.

The report must be signed by all the members. Any member can submit a dissenting report. Every report together with the minute of dissent must be published by the appropriate Government within 30 days from its receipt.

In case of no settlement, the Government may refer the matter to a Labour Court, Tribunal or National Tribunal. If it does not do so it shall record and communicate to the parties the reasons therefore.

COURT OF ENQUIRY

Under Section 6 of the Act the Appropriate Government may appoint a Court of Enquiry for enquiring into any matter appearing to be connected with or relevant to an industrial dispute. A Court may consist of one or more independent persons. If there are more than one person, one of them shall be appointed Chairman.

Duties : Section 14 provides that a Court shall enquire into the matters referred to it and report thereon to the Appropriate Government, ordinarily within a period of six months from the commencement of the enquiry.

A Court of Enquiry has no power to impose any settlement upon the parties.

The Report of the Court must be signed by all the members. A member can submit a note of dissent. The Report together with the dissenting note must be published by the Appropriate Government within 30 days from its receipt.

LABOUR COURTS

Appointment

Under Section 7 of the Act the Appropriate Government may appoint one or more Labour Courts. The Labour Court shall consist of one person.

The person appointed to be the presiding officer of a Labour Court (i) must be or has been a judge of a High Court, or (ii) has been a District Judge or Additional District Judge for not less than three years or (iii) has held office as chairman or member of the Labour Appellate Tribunal (formerly existing) or any Tribunal for not less than two years, or (iv) has held a judicial office in India for not less than 7 years, or (v) must have been the presiding officer of a Labour Court constituted by Provincial Act or a State Act for not less than 5 years. He must be an "independent" person and must not have attained the age of 65 years.

Jurisdiction

The Labour Court has jurisdiction over the following matters (Second Schedule to the Act) :

1. The propriety of legality of an order passed by an employer under the standing orders.
2. The application and interpretation of standing orders.
3. Discharge or dismissal of workmen including reinstatement of, or grant of relief to, workmen wrongly dismissed.
4. Withdrawal of any customary concession or privilege.
5. Illegality or otherwise of a strike or lock-out.
6. All matters other than those specified in the Third Schedule (i.e., those matters which are within the jurisdiction of Industrial Tribunals).

Case Law :

1. The Labour Court has jurisdiction to entertain a claim for bonus and determine the amount due. *Anand Oil Industries v. Labour Court, Hyderabad and others.*¹
2. The Labour Court has jurisdiction to entertain a petition for minimum wages due and can determine the money the employee is entitled to. *Anand Oil Industries v. Labour Court, Hyderabad and others.* (See above).
3. The Labour Court was right and justified by directing reinstatement of the Appellant (the driver in this case) in service. But the driver is not entitled to backwages. *Jaswant Singh v. Pepsu Roadways Transport Corpn. and another.*²

Duties : The Labour Court shall hold its proceedings expeditiously and shall as soon as it is practicable on the conclusion thereof, submit its award to the Appropriate Government.—Sec. 15.

¹ AIR (1979) AP 182 (Full Bench)

² AIR (1984) Supreme Court 355

INDUSTRIAL TRIBUNALS

The Appropriate Government may by notification in the official Gazette constitute one or more Industrial Tribunals for the adjudication of industrial disputes relating to any matter, whether specified in the Second Schedule or the Third Schedule to the Act.—Sec. 7A.

The 2nd schedule has been reproduced above, under Labour Courts. The 3rd schedule contains the following items : wages, including the period and mode of payment ; compensatory and other allowances ; hours of work and rest intervals ; leave with wages and holidays ; bonus, profit-sharing, provident funds and gratuity ; shift working otherwise than in accordance with standing orders ; classification by grades ; rules of discipline ; rationalisation ; retrenchment of workmen and closure of establishments ; and any other matter that may be prescribed.

Section 7A also provides that a Tribunal shall consist of one person. A person shall not be qualified for appointment as presiding officer of a Tribunal unless he is or has been a judge of a High Court or has held the office of Chairman or member of the Labour Appellate Tribunal [formerly existing under the Industrial Disputes (Appellate Tribunal) Act, 1950] or of any Tribunal for a period of not less than two years or has been a District Judge or Additional District Judge for not less than three years. He must be an "independent" person and must not have attained the age of 65 years.

The Appropriate Government may appoint two persons as assessors to advise the Tribunal.

Duties : The Tribunal have the same duties as Labour Courts—Sec.15 ; when an industrial dispute has been referred to a Tribunal for adjudication, it shall hold its proceedings and shall within the specified period submit its award to the appropriate Government. The period may be extended in accordance with Proviso 2 to Sec. 10(2-A).

NATIONAL TRIBUNAL

Section 7B provides that the Central Government may by notification in the official Gazette constitute one or more National Tribunals for the adjudication of industrial disputes which, in the opinion of the Central Government, involve questions of national importance or are of such a nature that industrial

establishments situated in more than one State are likely to be interested in, or affected by such disputes.

A National Tribunal shall consist of one person only. No person can be the presiding officer of a National Tribunal unless he is or has been a judge of a High Court or has held the office of the chairman or any other member of the Labour Appellate Tribunal (formerly in existence) for a period of not less than two years.

The Central Government may, if it thinks fit appoint two persons as assessors to advise the National Tribunal.

The presiding officer of a National Tribunal must be an independent person and must not have attained the age of 65 years.—Sec. 7C.

Duties : National Tribunals have the same duties as Labour Courts and Industrial Tribunals.—Sec. 15 ; see above.

GRIEVANCE SETTLEMENT AUTHORITIES

Setting up of Grievance Settlement Authorities and reference of certain individual disputes to such Authorities.

Notes : A model grievances redressal procedure had been commended for adoption. But this voluntary arrangement has not proved effective. It is, therefore, proposed to make it obligatory for every industrial establishment employing 100 or more workmen to set up a time-bound grievance redressal procedure.

Section 9C : (1) The employer in relation to every industrial establishment in which one hundred or more workmen are employed or have been employed on any day in the preceding twelve months, shall set up, in accordance with the rules made in that behalf under this Act, a Grievance Settlement Authority for the settlement of industrial disputes connected with an individual workman employed in the establishment.

(2) Where an industrial dispute connected with an individual workman arises in an establishment referred to in sub-section (1), a workman or any trade union of workmen of which such workman is a member, refer, in such manner as may be prescribed such dispute to the Grievance Settlement Authority set up by the employer under that sub-section for settlement.

(3) The Grievance Settlement Authority referred to in sub-section (1) shall follow such procedure and complete its proceedings within such period as may be prescribed.

(4) No reference shall be made under Chapter III with respect to any dispute referred to in this section unless such dispute has been referred to the Grievance Settlement Authority concerned and the decision of the Grievance Settlement Authority is not acceptable to any of the parties to the dispute.

REFERENCE TO ARBITRATION

Voluntary Reference

Section 10A of the Industrial Disputes Act provides for the voluntary reference of disputes to arbitration. Where any industrial dispute exists or is apprehended and the employer and the workmen agree to refer the dispute to arbitration, they may do so by a written agreement in the form prescribed by the rules and signed in the manner laid down in the rules. The reference to arbitration must be made before the dispute has been referred to any authority under Section 10. (See below).

The parties can select any person or persons as arbitrators (including the presiding officer of a Labour Court, Tribunal or National Tribunal). Where there is an even number of arbitrators, the agreement must provide for the appointment of an umpire. If the arbitrators are equally divided, the umpire shall enter upon the reference and his award shall be deemed to be the arbitration award for the purposes of the Act.

A copy of the arbitration agreement shall be forwarded to the appropriate Government and the Conciliation Officer. The Government shall within one month of its receipt publish it in the official Gazette.

When the Government is satisfied that the parties to the arbitration agreement represent the majority of each party, it may by notification permit employers and workmen (who are not parties to the agreement but are concerned with the dispute) to present their case before the arbitrators.

When a dispute is referred to arbitration, the appropriate Government may prohibit the continuance of any pending strike or lock-out.

The arbitrator or arbitrators shall investigate the dispute and submit to the appropriate Government the award signed by all of them. The provisions of the Arbitration Act of 1940 do not apply to an arbitration under Sec. 10A of the Industrial Disputes Act.

Case Law :

The Arbitrator, under S. 10A of The Industrial Disputes Act, is amenable to the jurisdiction of the High Court. The High Court can interfere with the award of the Arbitrator. *Gujarat Steel Tubes Ltd., etc. etc. v. Gujarat Steel Tubes Mazdoor Sabha and others.*¹

RIGHTS OF LEGAL HEIRS (NEW)

There have been conflicting decisions about the right of legal heirs of a workman in the event of the death of the latter pending proceedings before the authorities under the Act. Provision is being made to make it clear that pending disputes will not abate in the event of the death of the workman,

Section 10(8) of the Amending Act states as follows: No proceedings pending before a Labour Court, Tribunal or National Tribunal in relation to an industrial dispute shall lapse merely by reason of the death of any of the parties to the dispute being a workman, and such Labour Court, Tribunal or National Tribunal shall complete such proceedings and submit its award to the appropriate Government.

REINSTATEMENT (NEW)

It is observed that when Labour Courts pass awards of reinstatement, these are often contested by an employer in the Supreme Court and High Courts. The delay in the implementation of the award causes hardship to the workmen concerned. It is, therefore, proposed to provide for payment of wages last drawn by the workmen concerned, under certain conditions, from the date of the award till the case is finally decided in the Supreme Court or the High Courts.

REFERENCE OF DISPUTES

Section 10 of the Industrial Disputes Act provides that where the appropriate Government is of opinion that any industrial dispute exists or is apprehended, it may at any time by order in writing—

- (a) refer the dispute to a Board for promoting a settlement thereof; or
- (b) refer any matter appearing to be connected with, or relevant to, the dispute to a Court for Enquiry; or

¹ AIR (1980) Supreme Court 1896

- (c) refer the dispute or any matter appearing to be connected with, or relevant to, the dispute if it relates to any matter specified in the Second Schedule, to a Labour Court for adjudication ; or
- (d) refer the dispute or any matter appearing to be connected with, or relevant to, the dispute, whether it relates to any matter specified in the Second Schedule or the Third Schedule, to a Tribunal for adjudication.

Where the dispute relates to any matter specified in the Third Schedule and is not likely to affect more than 100 workmen, the appropriate Government may refer it to a Labour Court.

Where the dispute relates to a public utility service and notice (of strike/lock-out) under Sec. 22 has been given, the appropriate Government shall make a reference under Sec. 10 (notwithstanding that any other proceedings under the Act has been commenced) unless it considers that the notice has been frivolously and vexatiously given and that it is inexpedient to make a reference under Sec. 10(1).

Where the Central Government is of opinion that any industrial dispute exists or is apprehended and the dispute involves any question of national importance or is of such a nature that industrial establishments situated in more than one State are likely to be interested in or affected by such dispute, it may refer the dispute or any matter connected with it, or relevant to it, whether it relates to any matter specified in the Second Schedule or the Third Schedule, to a National Tribunal for adjudication.

A reference may also be made on the application of the parties to the dispute, jointly or separately, if the appropriate Government is of opinion that the applicants represent the majority of each party.

When a reference under this section is made the appropriate Government may prohibit the continuance of any pending strike or lock-out.

The appropriate Government may in the reference order specify the points of dispute for adjudication, in which case the adjudication shall be limited to those points and matters incidental thereto.

After the order of reference, but before the award, the appropriate Government may include in the reference, establish-

ments interested in or likely to be affected by the dispute, though there may be no dispute in them at that time.

When a reference has been made to a National Tribunal, the subject under reference cannot be referred to any Labour Court or Tribunal. If any such matter was pending before any such authority, the proceedings before it shall be deemed to have been quashed when a reference is made to the National Tribunal. In proceedings before the National Tribunal the "appropriate Government" is the Central Government.

Power to make Reference

The power to make reference by the appropriate government is discretionary power and it can be exercised on being satisfied that an industrial dispute exists or is apprehended. There must be some material before the government. Its power is administrative in character. The Court cannot question the government's opinion, that is, it is not justiciable. *Avon Services Production Agencies (P) Ltd. v. Industrial Tribunal, Haryana and others.*¹

Transfer

Section 33B provides that the appropriate Government can transfer proceedings from a Labour Court, Tribunal or National Tribunal to another. The order must be in writing and the reasons for doing so must be recorded.

Filling of vacancies

If, for any reason, a vacancy (other than a temporary absence) occurs in the office of the presiding officer of a Labour Court, Tribunal or National Tribunal or in the office of the Chairman or any other member of a Board or Court, then, in the case of a National Tribunal, the Central Government and, in any other case, the appropriate Government, shall appoint another person in accordance with the provisions of this Act to fill the vacancy and the proceeding may be continued before the Labour Court, Tribunal, National Tribunal, Board or Court, as the case may be, from the stage at which the vacancy is filled.—Sec. 8.

¹ AIR (1979) Supreme Court 170

PROCEDURE AND POWERS

The authorities appointed under the Act shall follow such procedure as they think fit, subject to rules framed by the Government in this behalf. The authorities may, after giving reasonable notice, enter the premises occupied by any establishment to which the dispute relates.

The above authorities have the powers which are vested in a Civil Court for the purpose of enforcing the attendance of witnesses and examining them, compelling the production of documents and material objects, issuing commissions for the examination of witnesses etc.

A Court of Enquiry, Labour Court, Tribunal and National Tribunal may appoint assessors to advise them. Members of the aforesaid bodies and conciliation officers are public servants. Every Labour Court, Tribunal and National Tribunal is a Civil Court. They can determine and award costs.—Sec. 11.

The powers of Labour Court, Tribunals and National Tribunals have been enlarged in 1971, by new section 11A. The provisions of the section are stated below.

Where an industrial dispute relating to the discharge or dismissal of a workman has been referred to a Labour Court, Tribunal or National Tribunal for adjudication and, in the course of the adjudication proceedings, above authorities may be, is satisfied that the order of discharge or dismissal was not justified, it may, by its award, set aside the order of discharge or dismissal and direct reinstatement of the workman on such terms and conditions, if any, as it thinks fit, give such other relief to the workman including the award of any lesser punishment in lieu of discharge or dismissal as the circumstances of the case may require.

The above authorities under section 11A, shall rely only on the materials on record and shall not take any fresh evidence in relation to the matter.

AWARD AND SETTLEMENT

Award

Award means an interim or a final determination of any industrial dispute or of any question relating thereto by any Labour Court, Tribunal or National Tribunal and includes an arbitration award made under section 10A.—Sec. 2(b).

The Award of a Labour Court, Tribunal or National Tribunal shall be signed by its presiding officer.—Sec. 16(2).

The report of a Board or Court shall be in writing and shall be signed by all its members. A member may, however, record a minute of dissent.—Sec. 16(1).

Every such award shall be published by the appropriate Government within 30 days from its receipt.—Sec. 17(1).

Subject to the provisions of Sec. 17A (see; next two paragraphs) the award published under Sec. 17(1) shall be final and shall not be called in question by any Court in any manner whatsoever.—Sec. 17(2).

Commencement of award

An award (including an arbitration award) shall become enforceable on such date as may be specified therein and if no date is specified, on the expiry of 30 days from the date of publication by the Government.—Sec. 17A(1) & (4).

But the appropriate Government (in the case of awards of a Labour Court or a Tribunal) and the Central Government (in the case of awards of a National Tribunal) have been given power to reject or modify an award, if they are of opinion that it will be inexpedient on public grounds affecting the national economy or social justice to give effect to the whole or any part of the award. The order rejecting or modifying the award must be placed before the State legislature or the Parliament as the case may be. The modified award becomes effective from the expiry of 15 days from the date on which it is laid before the legislature.—Sec. 17A(2) & (3).

Settlement

Settlement means (1) a settlement arrived at in course of conciliation proceedings and (2) includes a written agreement between the employer and workmen arrived at otherwise than in the course of conciliation proceeding where such agreement has been signed by the parties thereto in such manner as may be prescribed and a copy thereof has been sent to an officer authorised in this behalf by the appropriate Government and the conciliation officer.—Sec. 2(p).

Persons on whom Settlements and Awards are binding

Settlements and awards are binding on the following persons—Sec. 18.

1. A settlement arrived at between the employer and workmen (otherwise than in course of conciliation proceedings)—on the parties to the agreement.

2. An arbitration award—on the parties who referred the dispute to arbitration.

3. A settlement arrived at in course of conciliation proceedings under the Act and an award of a Labour Court, Tribunal and National Tribunal—on all parties to the dispute and all parties summoned to appear as parties (unless the authority concerned records the opinion that they were summoned without proper cause). The term party, in this section, includes (in the case of an employer)—his heirs, successor or assigns; and (in the case of workmen)—all persons employed in the establishment or the part of which to which the dispute relates and all persons who subsequently become employed in that establishment or part.

Case Law :

- (1) Arbitrator functioning under Sec. 10A of the Industrial 'Disputes Act is a statutory Tribunal. If in its Award there is an apparent error of law the award can be set aside. *Rohtas Industries Ltd & another v. Rohtas Industries Staff Union & others*.¹
- (2) Settlement arrived at between the parties by the President and Secretary, of Union is binding on the parties. *Burmah Shell Workers' Union v. State of Kerala*.²
- (3) Every settlement is an arrangement or agreement. But every arrangement or agreement is not a settlement. *India Tobacco Co. v. Dy. Labour Commr.*³
- (4) "A settlement, not being one arrived at in the course of conciliation proceedings would be enforceable only against the parties thereto." *Jhagrakhan Collieries (P) Ltd. v. G. C. Agrawal etc.*⁴
- (5) An award or settlement continues to regulate relationship between the parties till replaced by new one. There is no distinction between award and settlement from the view point of their legal force. The object of the Industrial Disputes Act is settlement of industrial disputes, not an enactment bearing merely on terms and conditions of service. *Life Insurance Corporation of India v. D. J. Bahadur and others*.⁵

Period of Operation

A settlement shall come into operation on such date as may be agreed upon by the parties to the dispute, and if no date is

¹ AIR (1976) Supreme Court 425

² AIR (1962) Kerala 190

³ (1971) 75 C.W.N. 217

⁴ AIR (1975) Supreme Court 171

⁵ AIR (1980) Supreme Court 2181

agreed upon, on the date the memorandum of agreement is signed.—Sec. 19(1).

A settlement is binding for such period as is agreed upon by the parties. If no such period is agreed upon it remains binding for 6 months from the date it was signed. It continues to remain binding after this period of 6 months, till a party (representing the majority of persons bound by the settlement or award) gives notice in writing to terminate the settlement. The settlement terminates on the expiry of 2 months from the date of such notice.—Sec. 19(2).

An award remains in operation for a period of one year from the date on which it becomes enforceable. But the appropriate Government may reduce the period of operation. It can also, by an order issued before the expiry of the award, extend the period of operation. Such extension can be made for one year at a time, but the total period of operation cannot exceed 3 years.—Sec. 19(3). The award continues to remain binding after expiry of the period of operation till notice is given by a party bound by the award to the other party or parties intimating its intention to terminate the award. The award ceases to be binding on the expiry of 2 months from the date of the notice.—Sec. 19(6). The provisions of Section 19(3) do not apply to an award which by its nature, terms and other circumstances does not impose, after it has been given effect to, any continuing obligation on the parties bound by it—Sec. 19(5).

If it appears that since the award was made there has been a material change in the circumstances on which it is based, the appropriate Government may refer the award or a part of it to an authority (of the same kind as the one which made the original award) for decision whether the period of operation should be shortened. The decision of the authority shall be final.—Sec. 19(4).

Penalty for breach of Settlement or Award

A person who commits a breach of any settlement or award binding on him can be punished with imprisonment up to 6 months or with fine or with both. Where the breach is a continuing one, there may be a further fine of up to Rs. 200 for every day during which the breach continues after the conviction for the first. The whole or part of the fine can be paid as compensation to the injured party.—Sec. 29.

Some cases regarding Powers of Tribunals

- (i) *Creation of new rights and obligations*: The function of an Industrial Tribunal is not confined to administration of justice in accordance with law. It is not bound by any contract between the parties and it can create new rights and obligations if it considers it proper to do so for keeping industrial peace. But a Tribunal is vested with the powers of a Civil Court. Hence an application for special leave to appeal from the decision of a Tribunal is competent. *The Bharat Bank, Delhi v. Employees of Bharat Bank*.¹
- (ii) *Mutual rights and obligations*: The basis of industrial arbitration is the recognition of the doctrine that employers and workers engaged in an industry have mutual rights and obligations. These rights and obligations must either be incidental to the membership of a civilised community or based on positive law. *The Waterside Workers Federation of Australia v. J. W. Alexander Ltd.*²
- (iii) *Interim Award*: A Tribunal has power to give interim relief by an interim award even though its jurisdiction to deal with the dispute has been challenged. An interim award is a provisional or temporary arrangement made in matters of urgency and subject to the final adjudication or complete determination of the dispute. *National Tobacco Co. v. Sarathi*.³
- (iv) *Matters related to the terms of reference*: The scope of the jurisdiction of a Tribunal is created by the terms of reference to it. Ordinarily it should confine itself to the matters in dispute specifically referred to it. But if necessary, it can deal with matters related to the terms of reference. *Associated Cement Companies v. Khilari Cement Workers Union*.⁴
- (v) *A general award*: A general award affecting all workmen cannot be quashed or varied against some only. It must be quashed against all if not binding on some. *Md. Oasman Rahimtulla v. Labour Appellate Tribunal*.⁵
- (vi) *Retrospective Award*: It is within the powers of a Tribunal to make an award with retrospective effect from a special date. *Jeewanlal Ltd. v. Their Workmen*.⁶
- (vii) *Quasi-judicial bodies*: Industrial Tribunals are quasi-judicial bodies and are not hampered by the rules of evidence applicable to proceedings in a court of law and would be entitled to rely on data available to it otherwise from evidence adduced on behalf of the parties. *Electric Mechanical Industries v. Industrial Tribunal*.⁷
- (viii) *Award on promotion of an employee*: Ordinarily promotion of a workman from a lower grade to a higher grade is a managerial

¹ AIR (1950) Supreme Court 188² (1918) 25 C.I.R. 434³ (1952) 11 L.L.J. 319⁴ (1952) 11 L.L.J. 484⁵ (1952) L.L.J. 172⁶ (1951-52) 3 F.J.R. 485⁷ AIR (1950) Mad. 839

function and in the absence of a finding that the refusal of the management to place a workman in the higher grade was on account of his trade union activities or any unfair labour practice, the Labour Court could not arrogate to itself the promotional function.

The award of the Court directing the reposting of the workman in his original department was bad and should be set aside. *Hindustan Lever Ltd. v. The Workmen*.¹

- (ix) *Award*: The definition "award" in Section 2(b) falls in two parts. The first part covers a determination, final or interim, of any industrial dispute. The second part takes in a determination of any question relating to an industrial dispute. But the basic postulate common to both the parts of the definition is the existence of an industrial dispute, actual or apprehended. *M/S Cox and Kings (Agents) Ltd. v. Their Workmen and others*.²

CONFIDENTIAL MATTERS

Reports and Awards under the Act must not include information of a confidential nature obtained from evidence given, but not available otherwise. The information must not be disclosed in any other way. The persons concerned (the employer, the trade union etc.) can make a request in writing to the authority dealing with the matter to keep any information secret.—Sec. 21.

A person, who wilfully discloses confidential information, can be punished by fine up to Rs. 1,000 or imprisonment up to 6 months or both.—Sec. 30.

LOCK-OUT

Definition

"Lock-out" means the closing of a place of employment, or the suspension of work, or the refusal by an employer to continue to employ any number of persons employed by him.—Sec. 2(1).

Lock-out is an act of the management. A temporary suspension of work (for example, on account of shortage of raw materials) is not a lock-out. A lock-out is generally intended to put pressure on the workers so that they may agree to the terms of work of the employer.

Conditions precedent to lock-out

1. No employer carrying on any public utility service shall lockout any of his workmen (a) without giving them notice of lock-out, in the prescribed manner, within six weeks before

¹ AIR (1974) Supreme Court 17 ² AIR (1977) Supreme Court 1666

locking out ; or (b) within fourteen days of giving such notice ; or (c) before the expiry of the date of lock-out specified in any such notice as aforesaid ; or (d) during the pendency of any conciliation proceedings before a conciliation officer and seven days after the conclusion of such proceedings.—Sec. 22(2).

2. Notice of lock-out or strike is not necessary when a strike or lock-out (respectively) is already in existence. But the employer shall inform the prescribed authority.—Sec. 22(3).

3. When an employer of a public utility service receives notice of strike or gives notice of a lock-out, he must within five days report to the appropriate Government or the authority appointed by such Government for this purpose.—Sec. 22(5).

Differences between Lock-out and Discharge

In a lock-out the relationship between the employer and the employee, continues. But in case of a discharge the relationship between the employer and the employee is cut off.

Differences between Lock-out and Closure

1. Lock-out means suspension of work. Closure means discontinuation of the business.

2. Lock-out is intended to exert pressure upon the workmen. Closure may be due to other factors, for example, economic causes.

3. Lock-out is generally caused by strike, fear of disorder, and destruction of the properties of the firm. Most of these causes are the results of industrial disputes. Closure is usually not the result of industrial disputes. But there were some cases where closure was a product of strike, assault upon the officer and unhappy incidents. *Feroz Din v. State of West Bengal*.¹

STRIKE

“Strike” means a cessation of work by a body of persons employed in any industry acting in combination, or a concerted refusal, or a refusal under a common understanding, of any number of persons who are or have been so employed to continue to work or to accept employment.—Sec. 2(q).

Strike means stoppage of work by a number of employees acting together. A strike is the weapon used by workmen to force the employer to agree to their demands.

¹ AIR (1960) Supreme Court 363

The duration of the cessation of work is not material. If the employees cease work, even only for an hour or a part thereof, would be called a strike. *Buckingham and Carnatic Co. Ltd. v. Workers*.¹

Under the Industrial Disputes Act a strike notice is to be given when the workers are employed in a Public Utility Service. (See below : the definition of Public Utility Service).

A strike is illegal only when it is against the provision of the Industrial Disputes Act (See below).

Partial Refusal: A partial refusal of work may constitute a strike.

Refusal of overtime work

In certain industries, overtime work is customary and is done habitually. In certain industries overtime work is a legal obligation, e.g., urgent repairs. In the above cases refusal of overtime work is against the conditions of service. Not to do such work may be interpreted as a strike.

Stay-in Strike

This type of strike happens when the workers stay inside the factory or establishment but do not work. It is sometimes also called pen-down strike or sit-down strike. This type of strike is expensive.

Go-slow

Go-slow is a deliberate delaying of production by workmen. It delays production and thereby reduces the output, although the workmen will be entitled to get full wages. In the case *Firestone Type v. & Rubber Co. India Ltd. v. Bhoja Shetty and another*², it was observed that go-slow methods are regarded in labour legislation as a form of misconduct. Such employees can be charges heeted, and if misconduct is proved, they can be dismissed.

Deduction from wages for strike

Section 9 of the Payment of Wages Act provides that an amount up to 8 days of wages may be deducted if ten or more persons acting in concert and without reasonable cause and without giving due notice, absent themselves from work. (See p. 967, para 2).

¹ AIR (1953) Supreme Court 47

² (1953) 1 L.L.J. 599

Where any strike is commenced without giving notice as required under Sec. 22, or within 7 days of the conclusion of proceedings, the strike must be held to be illegal irrespective of whether it was provoked by the employer, and the workmen would not be entitled to any pay for the period of strike. *Maha Luxmi Cotton Mills Ltd. v. Workers' Union*¹ *Crompton Greaves Ltd. v. The Workmen*.² (See p. 1036).

PUBLIC UTILITY SERVICE

This term is defined in Section 2 (n). It includes any railway service; any section of an industrial establishment, on the working of which the safety of the establishment or the workmen employed therein depends; any postal, telegraph or telephone service; any industry which supplies power, light or water to the public; any system of public conservancy or sanitation.

Any of the industries mentioned below (specified in the First Schedule to the Act) may be declared to be a public utility service (for a specified period, not exceeding six months initially but capable of being extended for further periods not exceeding six months at a time) if the appropriate Government is satisfied that public emergency or public interest so requires: Transport (other than railways) for the carriage of passengers or goods by land, or water; banking; cement; coal; cotton textiles; foodstuffs; iron and steel; defence establishment; service in hospitals and dispensaries; fire brigade service.

PROHIBITION OF STRIKES AND LOCK-OUTS

Certain types of strikes and lock-outs are prohibited by the Industrial Disputes Act :

I. Strikes and lock-out in a Public Utility Service

No person employed in a public utility service shall go on strike in breach of contract (a) without giving to the employer notice of strike, in the prescribed manner, within six weeks before striking; or (b) within fourteen days of giving such notice; or (c) before the expiry of the date of strike specified in any such notice as aforesaid; or (d) during the pendency of any conciliation proceedings before a conciliation officer and seven days after the conclusion of such proceedings.—Sec. (22)(1).

¹ F.J.R. 248 L.A. Tribunal

² AIR (1978) Supreme Court 1489

No employer carrying on any public utility service shall lock-out any of his workmen (a) without giving them notice of lock-out, in the prescribed manner, within six weeks before locking out; or (b) within fourteen days of giving such notice; or (c) before the expiry of the date of lock-out specified in any such notice as aforesaid; or (d) during the pendency of any conciliation proceedings before a conciliation officer and seven days after the conclusion of such proceedings.—Sec. 22(2).

Notice of lock-out or strike is not necessary when a strike or lock-out (respectively) is already in existence. But the employer shall inform the prescribed authority.—Sec. 22(3).

When an employer of a public utility service receives notice of strike or gives notice of a lock-out, he must within five days report to the appropriate Government or the authority appointed by such Government for this purpose.—Sec. 22(6).

II. Strike and lock-out in an Industrial Establishment

Section 23 provides that no workman who is employed in any industrial establishment shall go on strike in breach of contract and no employer of any such workman shall declare a lock-out—

- (a) during the pendency of conciliation proceedings before a Board and seven days after the Conclusion of such proceedings;
- (b) during the pendency of proceedings before a Labour Court, Tribunal or National Tribunal and two months after the conclusion of such proceedings;
- (bb) during the pendency of arbitration proceedings before an arbitrator and two months after the conclusion of such proceedings, where by notification under Sec. 10A(3A) parties, other than parties to the arbitration agreement, have been permitted to present their case before the arbitrators; or
- (c) during any period in which a settlement or award is in operation, in respect of any of the matters covered by the settlement or award.

III. By Order of the Government

Section 10(3) provides that where an industrial dispute has been referred to a Board, Labour Court, Tribunal or National Tribunal, the appropriate Government may by order prohibit the

continuance of a strike or lock-out in connection with such dispute which may be in existence on the date of the reference. Under Section 10A(4A) the appropriate Government can issue a similar order when a dispute has been referred to arbitration and a notification has been issued under sub-section 3A of Sec. 10A.

IV. Prohibition of Strike. Lay-off, and Lock-out in Essential Services

Under the Essential Services Maintenance Act, 1981, the Central Government can prohibit strike, lock-out, and lay-off in essential services by a notification by general or special order for a limited period. After the notification is issued the strike, lock-out and lay-off will be considered illegal. The Act has prescribed penalties for illegal strike etc. (See the next topic).

When is a strike or lock-out illegal ?

A strike or lock-out is illegal if it is in contravention of Section 22 or 23 or is against an order issued by the appropriate Government under Section 10(3) or 10A(4A). They are illegal also in essential services (See IV. above). These cases have been enumerated above.

Where a strike or lock-out is already in existence at the date of the reference to a Board, Labour Court, Tribunal or National Tribunal, the continuance of such strike or lock-out is not illegal provided that such strike or lock-out was not illegal at its commencement.—Sec. 24(2).

A lock-out declared in consequence of an illegal strike or a strike declared in consequence of an illegal lock-out shall not be deemed illegal.—Sec. 24(3).

No person shall knowingly expend or apply any money in direct furtherance or support of any illegal strike or lock-out.—Sec. 25.

Penalties under the Industrial Disputes Act

The penalties provided for violation of the rules regarding strikes and lock-outs are as follows :

Any workman who commences, continues or acts in furtherance of an illegal strike—imprisonment up to one month or fine up to Rs. 50 or both.—Sec. 26(1).

Any employer who commences, continues or acts in furtherance of an illegal lock-out—imprisonment up to one month or fine up to Rs. 1000 or both.—Sec. 26(2).

Instigating or inciting an illegal strike or lock-out—imprisonment up to six months or fine up to Rs. 1,000 or both.—Sec. 27.

Financial aid to illegal strikes and lock-outs—imprisonment up to six months or fine up to Rs. 1,000 or both.—Sec. 28.

Penalties under the ESMA : See below.

Court Decisions :

1. A strike is legal if it does not violate any provisions of the statute. A strike cannot be said to be unjustified unless the reasons for it are entirely perverse or unreasonable. Whether a particular strike was justified or not is a question of fact which has to be judged in the light of fact and circumstances of each case. The use of force or violence or act of sabotage resorted to by the workmen during a strike disentitle for wages during the strike. *Crompton Greaves Ltd. v. The Workmen*.¹
2. Every employer declaring an illegal lock-out and every employee participating in an illegal strike can be punished according to penal section of the Industrial Disputes Act. The Supreme Court has decided that participation in an illegal strike is sufficient for dismissal from service where the standing orders contained such a provision. In an illegal strike the workmen are not entitled to any pay for the strike period. *Maha Luxmi Cotton Mills Ltd. v. Workers' Union*.² (See p. 1033).

PROHIBITION OF STRIKE, LAY OFF, AND LOCK-OUT IN ESSENTIAL SERVICES (ESMA)

Object and reasons

The Government wanted to prevent strike, lay-off, and lock-out in essential services. The object was to provide the maintenance of certain essential services and the normal life of the community.

Application

On 27th July, 1981, the Central Government issued an Ordinance with the object and reasons as stated above. The duration of the Ordinance was six months only. Later on the Ordinance was replaced by an Act on 23rd September, 1981. The

¹ AIR (1978) Supreme Court 1489

² F.J.R. 248 L.A. Tribunal

Act is called the Essential Services Maintenance Act, 1981, or the ESMA (Act No. 40 of 1981). The provisions of the Act are summarised below.

The Act extends to the whole of India, provided that it shall not apply to the state of Jammu and Kashmir in so far as it is related to any essential services connected to matters with respect to which Parliament has no power to make laws for that State. Section 8 (lock-out) and Sec. 9 (Lay-off) were applied immediately; the other provisions were deemed to have come into force on 26th July, 1981.

Essential Service

The Act defines and makes a list of all services which are included within the term "Essential Services". The list is comprehensive and covers almost all important industries, employment and services connected therewith. The items are stated below: (i) Postal, telegraph and telephone service; (ii) railway and transport; (iii) aerodromes and the operation, repair and maintenance of aircraft; (iv) major ports including loading, unloading and movement of goods etc.; (v) clearance of goods or passengers through customs or prevention of smuggling; (vi) armed forces or its installation connected with defence; (vii) any establishment or undertaking dealing with production of goods required for defence; (viii) any service pertaining to scheduled Industries; (ix) any service connected with purchase etc. regarding foodgrains; (x) any service connected with public conservancy, sanitation, or water supply, hospital, dispensaries etc.; (xi) banking; (xii) production, supply and distribution of coal, power, steel and fertilizer; (xiii) oil field or refinery; (xiv) mint or security press; (xv) election to Parliament and the state Legislature; (xvi) Service connected with affairs of the union; (xvii) any other service connected with matters with respect to which Parliament has power to make laws and which the Central Government being of opinion that strikes therein would prejudicially affect the maintenance of any public utility service, the public safety or the maintenance of supplies and services necessary for the life of the community or would result in the infliction of grave hardship on the community, may, by notification in the official Gazette, declare to be an essential service for the purposes of this Act.—Sec. 2(1)(a).

Strike

“Strike” means the cessation of work by a body of persons while employed in any essential service acting in combination or a concerted refusal or a refusal under a common understanding of any number of persons who are or have been so employed to continue to work or to accept work assigned and includes—

- (i) refusal to work overtime where such work is necessary for the maintenance of any essential service ;
- (ii) any other conduct which is likely to result in or results in, cessation or substantial retardation of work in any essential service.—Sec. 2(b).

Notification under the ESMA

Every notification issued under sub-clause (xvii) of clause (a) of-section (1) shall be laid before each House of Parliament immediately after it is made when the House is in session and on the first day of the commencement of the next session of the House if it is not in session, and shall cease to operate at the expiration of forty days from the date of its being so laid or from the re-assembly of Parliament, as the case may be, unless before the expiration of that period a resolution approving the issue of the notification is passed by both Houses of Parliament.—Sec. 2(2), See the item (xvii) above.

Power to prohibit strikes in certain employments

(1) If the Central Government is satisfied that in the public interest it is necessary or expedient so to do, it may, by general or special Order, prohibit strikes in any essential service specified in the Order.

(2) An order made under sub-section (1) shall be published in such manner as the Central Government considers best calculated to bring it to the notice of the persons affected by the Order.

(3) An Order made under sub-section (1) shall be in force for six months only, but the Central Government may, by a like Order, extend it for any period not exceeding six months if it is satisfied that in the public interest it is necessary or expedient so to do.

(4) Upon the issue of an Order under sub-section (1),—

- (a) no person employed in any essential service to which the Order relates shall go or remain on strike ;

- (b) any strike declared or commenced whether before or after the issue of the Order, by persons employed in any such services shall be illegal.—Sec. 3.

Illegal strike : See 3(4)(b), above.

Penalties for illegal strike : See below.

Lock-out

This term is not defined in this Act but is defined in the Industrial Disputes Act, 1947. (See p. 1030).

Power to prohibit lock-out in certain establishments

Under Sec. 8 of this Act, the Central Government may prohibit, by Order, lock-out in certain establishments in the same manner as a strike is prohibited, (see above) and for the same duration.

Illegal lock-out : A lock-out declared or commenced whether before or after the issue of an Order prohibiting lock-out, is an illegal lock-out.

Penalties for illegal lock-out : The employer can be punished by imprisonment up to 6 months and/or fine up to Rs. 1000.

Lay-off

This term is not defined in this Act but is defined in the Industrial Disputes Act, 1947. Lay-off implies the failure, refusal or inability of an employer to provide employment to a workman whose name is included in muster rolls of his industrial establishment and who has not been retrenched.

Power to prohibit Lay-off in certain establishments

Under Sec. 9 of this Act, the Central Government may prohibit, by Order, lay-off in certain establishments in a same manner as in strike is prohibited, (see above) and for the same duration.

Illegal Lay-off : A lay-off declared or commenced whether before, after the issue of an order prohibiting lay-off, is an illegal lay-off.

Penalties for illegal lay-off : A workman whose lay-off is illegal shall be entitled to all the benefits under any law for the time being in force as if he has not been lay-off. The employer can be punished by imprisonment up to 6 months and/or fine up to Rs. 1000.

Penalties

This Act provides certain penalties. Employees participating in illegal strike shall be liable to disciplinary action (including dismissal). (Sec. 4). Any person participating in illegal strike shall be punishable with imprisonment up to six months and/or fine up to Rs. 1000 (Sec. 5). Any person who instigates or incites to part in illegal strike is punishable for imprisonment up to one year and/or Rs. 2000. (Sec. 6). For giving financial aid to illegal strike may be punishable with an imprisonment for one year and/or Rs. 2000 and both. (Sec. 7).

A police officer may arrest without warrant any person who is reasonably suspected of having committed any offence under the Act (Sec. 10). All offences under the Act can be tried in a summary way by any Metropolitan Magistrate, or any Judicial Magistrate of the First Class (Sec. 11).

LAY OFF, RETRENCHMENT AND CLOSURE

Rules regarding lay-off, retrenchment and closure are contained in sections 25A to 25J in chapter VA and in sections 25K to 25S in chapter VB. The chapter VB was added by the Industrial Disputes (Amendment) Act of 1976. The rules of chapter VA and VB are stated below.

Application of Chapter VA

Section 25A states that the rules contained in Chapter VA do not apply to—

- (a) an industrial establishment in which less than 50 workmen on an average were employed per working day in the preceding calendar month; or
- (b) industrial establishments which are of a seasonal character or in which work is performed only intermittently.

If a question arises whether an industrial establishment is of a seasonal character or whether work is performed therein only intermittently, the decision of the appropriate Government thereon shall be final.

Certain provisions of Chapter VA apply to an "industrial establishment" viz., sections 25B, 25D, 25FF, 25G, 25H, 25J, and 25S.

Application of Chapter VB [25K]

- (1) The Provisions of this chapter shall apply to an industrial

establishment (not being an establishment of a seasonal character or in which work is performed only intermittently) in which not less than three hundred workmen were employed on an average per working day for the preceding twelve months.

(2) If a question arises whether an industrial establishment is of a seasonal character or whether work is performed therein only intermittently, the decision of the appropriate Government thereon shall be final.

Industrial Establishment [25L(a)]

“An industrial establishment” of the purposes of Chapter VB means (i) a Factory as defined in Sec. 2(m) of the Factories Act, 1948, or (ii) a mine as defined in Sec. 2(J) of the Mines Act, 1952, or (iii) a plantation as defined in Sec. 2(f) of the Plantation Labour Act, 1951.

SMALL ESTABLISHMENTS

The special provisions relating to lay-off, retrenchment and closure as contained in Chapter VB of the Act apply at present to establishments employing 300 workmen or above. With a view to extending this statutory protection to workmen of smaller establishments also, it is proposed to reduce the existing employment limit from 300 to 100.

Appropriate Government [25L(b)]

Notwithstanding anything contained in sub-clause (ii) of clause (a) of section 2—

- (i) in relation to any company in which not less than fifty-one per cent of the paid-up share capital is held by the Central Government, or
- (ii) in relation to any corporation [not being a corporation referred to in sub-clause (i) of clause (a) of section 2] established by or under any law made by Parliament, the Central Government shall be the appropriate Government. (See p. 1013).

Authority

The Central Government has authorised the Ministry of Labour to deal with all applications for the purposes of sections 25M(1) to (7) and 25N.

Badli Workman

A badli workman is one who is employed in an industrial establishment in the place of another workman whose name is borne on the muster rolls of the establishment. A *badli* workman ceases to be regarded as such when he has completed one year of continuous service in the establishment.—Sec. 25C(1). Explanation.

Continuous Service (Sec. 25B)

A workman is said to be in continuous service for a period if he is, for that period, in uninterrupted service. Interruptions for the following reasons do not constitute break of service : sickness, authorised leave, accident, a strike which is not illegal, lock-out, or a cessation of work which is not due to any fault on the part of the workman.

Where a workman is not in continuous service within the meaning of the above clause, he shall be deemed to be in *continuous service for one year* under an employer, under the following circumstances :

If during a period of twelve calendar months preceding the date with reference to which calculation is to be made, he has actually worked under the employer for not less than (i) 190 days in the case of a workman employed below ground in a mine ; and (ii) 240 days in any other case.

A workman shall be deemed to be in *continuous service for six months* under an employer, under the following circumstances : If during a period of six calendar months preceding the date with reference to which calculation is to be made he has actually worked under the employer for not less than (i) 95 days in the case of a workman employed below ground in a mine ; and (ii) 120 days in any other case.

When calculating the number of days for the above purposes, the employer shall include the days on which the workman—

- (i) has been laid off under an agreement or as permitted by standing orders made under the Industrial employment (Standing Orders) Act, 1946, or under the Industrial Disputes Act or under any other law applicable to the industrial establishment ;
- (ii) has been on leave with full wages, earned in the previous year ;

- (iii) has been absent due to temporary disablement caused by accident arising out of and in the course of his employment ; and
- (iv) in the case of a female, she has been on maternity leave ; so, however, that the total period of such maternity leave does not exceed 12 weeks.—Explanation to Sec. 25B.

Average Pay

Average pay means the average of the wages payable to a workman—

- (i) in the case of monthly paid workman, in the three complete calendar months,
 - (ii) in the case of weekly paid workman, in the four complete weeks,
 - (iii) in the case of daily paid workman, in the twelve full working days,
- preceding the date on which the average pay becomes payable if the workman had worked for three complete calendar months or four complete weeks or twelve full working days, as the case may be, and where such calculation cannot be made, the average pay shall be calculated as the average of the wages payable to a workman during the period he actually worked.—Sec. 2(aa).

Muster Roll

Muster roll means official list. Section 25D provides that notwithstanding that workmen in any industrial establishment have been laid off, it shall be the duty of every employer to maintain for the purposes of sections 25A to 25J, a muster roll and to provide for the making of entries therein by workmen who may present themselves for work at the establishment at the appointed time during normal working hours.

Case Law :

The Industrial Disputes Act is a welfare statute. Such a statute must receive a broad interpretation and the Court is not to make inroads by making etymological excursions. Relief of reinstatement in service with full back wages (Sec. 25-F) can be done.

The meaning of continuous service : The workman must have worked for atleast 240 days in one year, it is not necessary that he has been in continuous service for one year. *Surendra Kumar Verma etc. v. The Central Government Industrial Tribunal etc*¹

¹ AIR (1981) Supreme Court 422

LAY OFF

Definition

“Lay Off” means the failure, refusal or inability of an employer to give employment to a workman whose name is borne on the muster rolls of his industrial establishment and who has not been retrenched. Lay Off may be due to shortage of coal, power or raw materials or the accumulation of stocks or the breakdown of machinery or for any other reason. The term includes its grammatical variations and cognate expressions.—Sec. 2(kkk).

The Explanation to Sec. 2(kkk) provides that any workman—whose name is borne on the muster rolls of the industrial establishment and who presents himself for work at the time appointed for the purpose during normal working hours on any day—is not given employment within two hours, he is deemed to have been laid off for the day.

LAY OFF IN MINES

It is proposed to provide that workmen in mines could be laid off for reasons of fire, flood, excess of inflammable gas or explosion without previous permission.

If the workman, instead of being given employment at the commencement of any shift for any day, is asked to present himself during the second half of the shift for the day and is given employment then, he is deemed to have been laid off for one-half of the day. If the workman is not given any employment when he presents himself during the second half of the shift as asked, he becomes entitled to full basic wages and dearness allowance for that part of the day.

[The rule regarding the ‘second half of the shift’ was omitted in West Bengal by an amendment of the Industrial Disputes Act, in 1974.]

Since employment is for wages, if a workman is paid for the day but given no work, it is not a case of lay off.

The duration of lay off

The duration of lay off can be classified as follows—

- (i) When work is denied within two hours of his presenting himself.

- (ii) When work is denied in the first half of the shift but the workman again presents himself at the second half of the shift.
- (iii) When there is lay-off for one full day.
- (iv) When there is lay-off for more than one day but not amounting to retrenchment.

Distinction between Lay Off and Retrenchment

Lay off is a temporary inability or refusal to give employment. Retrenchment is termination of the services of a workman. Lay off does not involve break of service or loss of "continuous service." Retrenchment involves break of service and loss of "continuous service".

Distinction between Lay Off and Lock-Out

(1) Lay off occurs in a continuing business. In a lay off the employer is unable to give employment to some workmen. In a lock-out the business is stopped. In case of lay off compensation has to be given at the rate specified by the Industrial Disputes Act. In case of lock-out there is no statutory liability to pay wages to the workers locked out. Of course if the business is totally closed they have to pay compensation. (2) Lock out is resorted to to pressurise the workers to accept employer's demands. Lay off may be due to economic reasons beyond the control of the employer. (3) Lock out may be due to an industrial dispute. Lay off is not connected with the dispute with a worker.

Prohibition of lay-off [Sec. 25M]¹

The section has been amended by the Amendment Act 1984. Sub-section (1). No workman (other than a *badli* workman or a casual workman) whose name is borne on the muster rolls of an industrial establishment to which this Chapter applies shall be laid-off by his employer except with the previous permission of such authority as may be specified by the appropriate Government by notification in the Official Gazette, unless such lay off is due to shortage of power or to natural calamity.

Sub-section (2). Where a lay-off was already continuing, the employer shall within a period of 15 days from such commencement, apply to the specified authority to continue the lay-off.

¹ Sections 25M and 25Q were added by Industrial Disputes (Amendment) Act, 1976.

Sub-Section (3): In the case of every application for permission under sub-section (1) or sub-section (2), the authority to whom the application has been made may, after making such inquiry as he thinks fit, grant or refuse, for reasons to be recorded in writing, the permission applied for.

Sub-Section (4): Where an application for permission was made to the specified authority and his order was not communicated within a period of two months from the date when the application is made, the permission applied for shall be deemed to have granted all the expiration of the said period of two months.

Sub-Section (5): (a) Where no application for permission under sub-section (1) is made, or (b) where no application for permission under sub-section (2) has been made within the specified period therein, or (c) where the permission for the lay-off or the continuance of the lay-off has been refused, such three cases shall be deemed to be illegal and the workmen shall be entitled to all the legal benefits.

Sub-Section (6): The provisions of section 25C (other than the second proviso thereto) shall apply to cases of lay-off referred to in this section.

Explanation: For the purposes of this section, a workman shall not be deemed to be laid-off by an employer if such employer offers.

- (i) any alternative employment (which in the opinion of the employer does not call for any special skill or previous experience and can be done by the workman) in the same establishment from which he has been laid off, or
- (ii) in any other establishment belonging to the same employer which is situated in the same town or village, or,
- (iii) which is situated within such distance from the establishment to which belongs that the transfer will not involve undue hardship to the workman having regard to the facts and circumstances of his case.

But the wages which would normally have been paid to the workman are to be offered for the alternative appointment.

Penalty (Sec. 25Q)

Any employer who contravenes the provisions of section 25M or clause (c) of sub-section (1) or sub-section (4) of section

25N shall be punishable with imprisonment for a term which may extend to one month, or with fine which may extend to one thousand rupees or with both.

Compensation to workmen laid off

Section 25C provides for the payment of compensation to a workman who is laid off. The rules regarding compensation can be summarised as follows :

1. To be entitled to compensation, the workman must not be a *badli* workman or a casual workman. His name must be on the muster rolls of the establishment. Also he must have completed not less than one year of continuous service.

2. The rate of compensation is 50% of the total of the basic wages and dearness allowance that would have been payable to him had he not been laid off.

3. The workman is entitled to compensation for all days during which he is laid off (except for such weekly holidays as may intervene).

4. If during any period of 12 months, a workman is laid off for more than 45 days, no such compensation shall be payable, for further lay offs after the expiry of the first 45 days, if there is an agreement to that effect between the workman and the employer.

5. In any case falling under para 4 above, the employer can retrench the workman in accordance with the provisions of Sec. 25F of the Act, any time after the expiry of the first 45 days of the lay off. If he does so, the compensation paid for lay off, during the preceding 12 months, can be set off against the compensation payable for retrenchment.

When no compensation is payable

Section 25E provides that no compensation is payable in the following cases :

(i) If the workman refuses to accept (a) any *alternative employment* in the same establishment or (b) in any other establishment belonging to the same employer situated in the same town or village or (c) situated within a radius of five miles from the establishment to which he belongs, and (d) if, in the opinion of the employer, such alternative employment does not call for any special skill or previous experience and can be done

by the workman. [The same wages must be offered for the alternative employment.]

(ii) If the workman does not present himself for work at the establishment at the appointed time during normal working hours at least once a day.

(iii) If such laying off is due to a strike or slowing down of production on the part of workmen in another part of the establishment.

Case Law :

An offer of job of coolie to a skilled workman cannot amount to the offer of an alternative job. *Industrial Employee's Union, Kanpur v. J.K. Cotton Spinning and Weaving Mills Company*.¹

RETRENCHMENT

Definition

Sec. 2(oo) of the Act defines retrenchment as, "the termination by the employer of the services of a workman for any reason whatsoever, otherwise than as a punishment inflicted by way of disciplinary action, but does not include—

- (a) voluntary retirement of the workman ; or
- (b) retirement of the workman on reaching the age of superannuation if the contract of employment between the employer and the workman concerned contains a stipulation in that behalf ; or
- (c) termination of the service of a workman on the ground of continued ill health."

Conditions precedent to retrenchment

Section 25F provides that a workman who has been in continuous service for not less than one year under an employer shall not be retrenched by that employer unless all the following conditions are fulfilled :

- (1) (a) *Notice* : The workman has been given three months notice in writing indicating the reasons for retrenchment and the period of notice has expired or the workman has been paid in lieu of such notice, wages for the period of notice. But no notice is necessary if the retrenchment is under an agreement which specifies a date for the termination of service.

¹ (1956) 1 L.L.J. 327.

(b) *Compensation* : The workman has been paid, at the time of retrenchment, compensation equivalent to 15 days average pay for every completed year of continuous service or any part thereof in excess of 6 months.

(c) *Notice* : Notice in the prescribed manner is served on the appropriate Government or such authority as may be specified by the appropriate Government by notification in the Official Gazette, and the permission of such Government or authority is obtained under sub-section (2).

(2) On receipt of a notice under clause (c) of sub-section (1) the appropriate Government or authority may, after making such inquiry as such Government or authority thinks fit, grant or refuse, for reasons to be recorded in writing, the permission for the retrenchment to which the notice relates.

(3) Where the Government or authority does not communicate the permission or the refusal to grant permission to the employer within three months of the date of service of the notice under clause (c) of sub-section (1), the Government or authority shall be deemed to have granted permission for such retrenchment on the expiration of the said period of three months.

(4) Where at the commencement of the Industrial Disputes (Amendment) Act, 1976, the period of notice given under clause (a) of section 25F for the retrenchment of any workman has not expired, the employer shall not retrench the workman but shall within a period of fifteen days from such commencement, apply to the appropriate Government or to the authority specified in sub-section (2) for permission for retrenchment.

(5) Where an application for permission has been made under sub-section (4) and the appropriate Government or the authority, as the case may be, does not communicate the permission or the refusal to grant the permission to the employer within a period of two months from the date on which the application is made, the permission applied for shall be deemed to have been granted on the expiration of the said period of two months.

(6) Where no application for permission under clause (c) of sub-section (1) is made, or where no application for permission under sub-section (4) is made within the period specified therein or where the permission for the retrenchment has been refused, such retrenchment shall be deemed to be illegal from the date on which the notice of retrenchment was given to the workman

and the workman shall be entitled to all the benefits under any law for the time being in force as if no notice had been given to him.

(7) Where at the commencement of the Industrial Disputes (Amendment) Act, 1976, a dispute relating, either solely or in addition to other matters, to the retrenchment of any workman or workmen of an industrial establishment to which this Chapter applies is pending before a conciliation officer or the Central Government or the State Government, as the case may be, and—

- (a) there is an allegation that such retrenchment is by way of victimisation ; or
- (b) the appropriate Government is of the opinion that such retrenchment is not in the interests of the maintenance of industrial peace, the appropriate Government, if satisfied that it is necessary so to do, may, by order, withdraw such dispute or, as the case may be, such dispute in so far as it relates to such retrenchment and transfer the same to an authority (being an authority specified by the appropriate Government by notification in the official Gazette) for consideration whether such retrenchment is justified and any order passed by such authority shall be final and binding on the employer and the workman or workmen.

Penalty (Sec. 25Q)

See page 1046-1047.

Last in, first out

Section 25G provides that when any workman of a particular category has to be retrenched, the employer shall select for retrenchment the person who was last to be employed in that category. This rule applies only if the workman is a citizen of India. The employer may deviate from this rule of "last in, first out" for reasons to be recorded in writing.

Preference to Indian citizens

Section 25H provides that when the employer appoints new personnel, retrenched workmen, if any, who offer themselves for re-employment shall have preference over other persons. (This rule applies only to those retrenched workmen who are Indian Citizens.)

Case Law :

1. Termination of services even of a temporary employee on the grounds of surplus labour amounts to retrenchment and the employee is entitled to claim retrenchment compensation. *Bansi Light Railway Co. Ltd. v. K. N. Joglekar*.¹
2. Striking off the name of the workman from the rolls by the management is termination of his service. Such termination of service is retrenchment within the meaning of S. 2(oo) of the Act. The provisions of S. 25F(a), the proviso apart and (b) are mandatory and any order of retrenchment, in violation of these two peremptory conditions precedent is invalid. *Delhi Cloth and General Mills Co. Ltd. v. Shambhu Nath Mukeerjee and others*.²
3. "Retrenchment" includes every kind of termination. *Santosh Gupta v. State Bank of Patiala*.³
4. Last come first go : The rule is not inflexible rule and extraordinary situations may justify variations. For instance, a junior recruit who has a special qualification needed by the employer, may be retained even though another who is one up is retrenched. The burden is on the Management to substantiate the special ground for departure from the rule. *Om Oil & Oilseeds Exchange Ltd. Delhi v. Their Workmen*,⁴ *Workmen v. The Management of Jorehaut Tea Co. Ltd.*⁵
5. Termination of service on account of recession and reduction of volume of work amounts to retrenchment. *Gammon India Limited v. Niranjan Dass*.⁶
6. Termination of service not falling under any of the exceptions in Section 2(oo) amounts to retrenchment. *Hari Mohan Rastogi v. Labour Court and another*.⁷
7. Employee after his retirement on superannuation given fresh appointment for a term—Termination on expiry of that period—Does not amount to retrenchment. *Binoy Kumar Chatterjee v. Jugantar Limited and others*.⁸
8. Even discharge of probationer amounts to retrenchment—Requirements of Section 25-F have to be complied with. *Management of K.S.R.T. Corpn., Bangalore v. M. Boraiah*.⁹

Discharge

The employer has the power to end the services of an employee after a period of notice and compensation specified in Sections 25, 25G, 25H, 25N and Sec. 33(2) to (5). (See pages 1047-1051 and 1061).

¹ AIR (1957) Supreme Court 121² AIR (1978) Supreme Court 8³ AIR (1980) Supreme Court 1219⁴ AIR (1966) Supreme Court 1657⁵ AIR (1980) Supreme Court 1454⁶ AIR (1984) Supreme Court 500⁷ AIR (1984) Supreme Court 502⁸ AIR (1983) Supreme Court 865⁹ AIR (1983) Supreme Court 1320

The industrial authorities (tribunal etc.) can enquire into the validity of termination of services. If the discharge order was *bona fide* the industrial authorities will not interfere with it.

TRANSFER OF UNDERTAKINGS

Section 25FF provides that where the ownership or management of an undertaking is transferred, whether by agreement or by operation of law to a new employer, every workman who has been in continuous service for not less than one year in that undertaking immediately before such transfer shall be entitled to notice and compensation (as if he has been retrenched) unless the following conditions are satisfied :

- (a) the service of the workman has not been interrupted by such transfer ;
- (b) the terms and conditions of service applicable to the workman after such transfer are not in any way less favourable to the workman than those applicable to him immediately before the transfer ; and
- (c) the new employer is, under the terms of such transfer or otherwise, legally liable to pay to the workman, in the event of his retrenchment, compensation on the basis that his service has been continuous and has not been interrupted by the transfer.

CLOSURE

Definition

The term 'closure' is not defined in the Industrial Disputes Act.

Definition : 'closure' means the permanent closing down of a place of employment or part thereof.—Section 2(cc).

For Section 25-0 of the principal Act, the following section shall be substituted, namely : 25-0, *Procedure for closing down an undertaking*—

(1) An employer who intends to close down an undertaking of an industrial establishment to which this Chapter applies shall, in the prescribed manner, apply, for prior permission at least ninety days before the date on which the intended closure is to become effective, to the appropriate Government, stating clearly the reasons for the intended closure of the undertaking and a copy of such application shall also be served simultaneously on the representatives of the workmen in the prescribed manner :

Provided that nothing in this sub-section shall apply to an undertaking set up for the construction of buildings, bridges, roads, canals, dams or for other construction work.

(2) Where an application for permission has been made under sub-section (1), the appropriate government, after making such enquiry as it thinks fit and after giving a reasonable opportunity of being heard to the employer the workmen and the persons interested in such closure may, having regard to the genuineness and adequacy of the reasons stated by the employer, the interests of the general public and all other relevant factors, by order and for reasons to be recorded in writing grant or refuse to grant such permission and a copy of such order shall be communicated to the employer and the workmen.

(3) Where an application has been made under sub-section (1) and the appropriate Government does not communicate the order granting or refusing to grant permission to the employer within a period of sixty days from the date on which such application is made, the permission applied for shall be deemed to have been granted on the expiration of the said period of sixty days.

(4) An order of the appropriate government granting or refusing to grant permission shall, subject to the provisions of sub-section (5), be final and binding on all the parties and shall remain in force for one year from the date of such order.

(5) The appropriate government may, either on its own motion or on the application made by the employer or any workman, review its order granting or refusing to grant permission under sub-section (2) or refer the matter to a Tribunal for adjudication :

Provided that where a reference has been made to a Tribunal under this sub-section, it shall pass an award within a period of thirty days from the date of such reference.

(6) Where an application for permission under sub-section (1) is made within the period specified therein, or where the permission for closure has been refused, the closure of the undertaking shall be deemed to be illegal from the date of closure and the workmen shall be entitled to all the benefits under any law for the time being in force as if the undertaking had not been closed down.

(7) Notwithstanding anything contained in the foregoing provisions of this section, the appropriate government may : if

it is satisfied that owing to such exceptional circumstances as accident in the undertaking or death of the employer or the like, it is necessary so to do, by order, direct that the provisions of sub-section (1) shall not apply in relation to such undertaking for such period as may be specified in the order.

(8) Where an undertaking permitted to be closed down under sub-section (2) or where permission for closure is deemed to be granted under sub-section (3), every workman who is employed in that undertaking immediately before the date of application for permission under this section, shall be entitled to receive compensation which shall be equivalent to fifteen days, average pay for every completed year of continuous service or any part thereof in excess of six months.

In the State Acts of Maharashtra and Madhya Pradesh the term is defined as follows: "Closure means the closing of any place or part of a place of employment or the total or partial suspension of work by an employer or the total or partial refusal by an employer to continue to employ persons employed by him whether such closing, suspension or refusal is or is not in consequence of an industrial dispute."

Compensation for Closure

See Sec. 25F (1)b, p. 1049 and Sec. 25-O (7), p. 1056.

Ninety days' notice to be given of intention to close down any undertaking (Sec. 25-O)

(1) An employer who intends to close down an undertaking of an industrial establishment to which this Chapter applies shall serve, for previous approval at least ninety days before the date on which the intended closure is to become effective, a notice on the appropriate Government. The notice should be served in the prescribed manner, stating clearly the reasons for the intended closure of the undertaking :

Provided that nothing in this section shall apply to an undertaking set up for the construction of buildings, bridges, roads, canals, dams or for other construction work.

(2) On receipt of a notice under sub-section (1) the appropriate Government may, if it is satisfied that the reasons for the intended closure of the undertaking are not adequate and sufficient or such closure is prejudicial to the public interest, by order, direct the employer not to close down such undertaking.

(3) Where a notice has been served on the appropriate Government by an employer under sub-section (1) of section 25FFA and the period of notice has not expired at the commencement of the Industrial Disputes (Amendment) Act, 1976, such employer shall not close down the undertaking but shall, within a period of fifteen days from such commencement, apply to the appropriate Government for permission to close down the undertaking.

(4) Where an application for permission has been made under sub-section (3) and the appropriate Government does not communicate the permission or the refusal to grant the permission to the employer within a period of two months from the date on which the application is made, the permission applied for shall be deemed to have been granted on the expiration of the said period of two months.

(5) Where no application for permission under sub-section (1) is made, or where no application for permission under sub-section (3) is made within the period specified therein or where the permission for closure has been refused, the closure of the undertaking shall be deemed to be illegal from the date of closure and the workman shall be entitled to all the benefits under any law for the time being in force as if no notice had been given to him.

(6) Notwithstanding anything contained in sub-section (1) and sub-section (3), the appropriate Government may, if it is satisfied that owing to such exceptional circumstances as accident in the undertaking or death of the employer or the like it is necessary so to do, by order, direct that the provisions of sub-section (1) or sub-section (3) shall not apply in relation to such undertaking for such period as may be specified.

(7) Where an undertaking is approved or permitted to be closed down under section (1) or sub-section (4), every workman in the said undertaking who has been in continuous service for not less than one year in that undertaking immediately before the date of application for permission under this section shall be entitled to notice and compensation as specified in section 25N and he will be deemed to be retrenched under that section.

Restarting

Special provision as to restarting of undertakings closed

down before commencement of the Industrial Disputes (Amendment) Act, 1976. (Sec. 25P).

If the appropriate Government is of opinion in respect of any undertaking of an industrial establishment to which this Chapter applies and which closed down before the commencement of the Industrial Disputes (Amendment) Act, 1976—

- (a) that such undertaking was closed down otherwise than on account of unavoidable circumstances beyond the control of the employer ;
- (b) that there are possibilities of restarting the undertaking ;
- (c) that it is necessary for the rehabilitation of the workmen employed in such undertaking before its closure or for the maintenance of supplies and services essential to the life of the community to restart the undertaking or both ; and
- (d) that the restarting of the undertaking will not result in hardship to the employer in relation to the undertaking ; it may, after giving an opportunity to such employer and workmen, direct, by order published in the official Gazette, that the undertaking shall be restarted within such time (not being less than one month from the date of the order) as may be specified in the order.

Penalty for closure (Sec. 25R)

(1) Any employer who closes down an undertaking without complying with the provisions of sub-section (1) of section 25-O shall be punishable with imprisonment for a term which may extend to six months, or with fine which may extend to five thousand rupees, or with both .

(2) Any employer, who contravenes a direction giving under sub-section (2) of section 25-O or section 25P, shall be punishable with imprisonment for a term which may extend to one year, or with fine which may extend to five thousand rupees, or with both, and where the contravention is a continuing one, with a further fine which may extend to two thousand rupees for every day during which the contravention continues after the conviction.

(3) Any employer who contravenes the provisions of sub-section (3) of section 25-O shall be punishable with imprisonment for a term which may extend to one month, or with fine which may extend to one thousand rupees, or with both.

Distinction between Closure and Retrenchment

Retrenchment occurs when some workers are discharged ; the business continues. In closure the business itself ceases to exist.

Case Law :

1. *Closure of a part of the undertaking* : Where an employer closes down only a branch or department of his business the Industrial Tribunal has no jurisdiction, even on a reference under Section 10(1) (d) of the Industrial Disputes Act, 1947, to interfere with the discretion of the employer and direct him to continue that part of the business which he has decided to close down. *Workmen of The Indian Leaf Tobacco Development Co. Ltd., Guntur v. Management etc.*¹
2. There is nothing wrong for an employer to close an establishment by stages. *Workmen v. M/S Straw Board Manufacturing Co. Ltd.*²
3. *Right of Closure*. The right to close a business is an integral part of the fundamental right to carry on business. But as no right is absolute in its scope, so is the nature of this right. It can certainly be restricted, regulated, or controlled by law in the interest of general public. The right to close down business cannot be placed at par as high as right not to start and carry on the business at all. *Excel Wear v. Union of India and others*.³

SUBSISTENCE ALLOWANCE

The West Bengal Payment of Subsistence Allowance Act, 1969, provided for a subsistence allowance to employees in certain establishments during the period for which they may be suspended by the management. According to the provisions of the Act, a suspended employee will receive 50% of his wages during the first three months and if the inquiry takes longer, then 75% of the wages for each subsequent month.

THE CONDITIONS OF SERVICE

Definition

“Conditions of Service” means the terms of employment as between the employer and the employees. It denotes the sum total of the rights and obligations of the worker and the employer. The conditions of service include the following : the contract between the employer and the employee, Statute law, decisions of the Court, the standing orders, custom and usage. In industrial

¹ (1970) II S.C. A, 477 (Supreme Court) ² AIR (1974) Supreme Court 1132

³ AIR (1979) Supreme Court 25

establishments the employers are required to define precisely the conditions of employment. The conditions include the Standing Orders.

SUBSISTENCE ALLOWANCE FOR SUSPENDED WORKERS

Central Rules

In 1984 the Central Government has amended the Industrial Employment (Standing Orders) central rules regarding, payment of subsistence allowance.

According to a notification pending investigation or departmental enquiry, a suspended worker shall be paid subsistence allowance at the rate of 50 per cent of the wages which he was entitled to immediately preceding the date of suspension for the first 90 days.

Workers will be paid 75 per cent of such wages for the remaining period of suspension if the delay in the completion of disciplinary proceedings is not directly attributable to his conduct.

The notification states that disputes relating to payment of subsistence allowance could be brought before the Labour Court by either party under the Industrial Disputes Act within the local limit. The decision on the Court will be binding on the parties.

The notification, further, clarifies that where the laws relating to subsistence allowance are more beneficial they shall be applicable.

The employer shall normally have to complete the enquiry within 10 days. The payment of subsistence allowance is subject to the worker not taking up employment elsewhere during suspension.

TIME-FRAME FOR LABOUR DISPUTE

The Central Government has prescribed a time frame for settlement of industrial disputes at labour courts, tribunals and national tribunals right from the reference of the case till the final verdict. For individual cases, award shall ordinarily be submitted within a period of three months.

According to the notification the Central Government shall direct the parties raising the dispute to file a list of reliable

witnesses within 15 days of the reference of the dispute to the labour court, tribunal or national tribunal.

The courts and tribunals, after ascertaining that copies of the statement of claims are furnished to the other side by the party raising the dispute, shall fix the first hearing on a date not beyond one month from the date of receipt of the order of reference. The opposition parties will also be given 15 days to file documents.

The courts and tribunals will fix a date for evidence within one month from the receipt of the filing of relevant documents, which shall ordinarily be within 60 days of the date on which dispute was referred for adjudication. On completion of evidence, a date shall be fixed which shall not be beyond a period of fifteen days from the close of evidence for arguments or oral hearing.

The Industrial Employment (Standing Orders) Act (Act XX of 1946) requires employers in industrial establishments formally to define and put down in writing the conditions of employment of the workers employed by them. A model of Standing Orders have been appended to the Act.

Change in the conditions of service

- Section 9A, of the Industrial Disputes Act, provides that the conditions of service (applicable to any workman in respect of any matter specified in the 4th schedule to the Act) cannot be changed without giving notice to the persons affected and within 21 days of giving such notice. The 4th schedule to the Act contains a list of the conditions of service which cannot be changed except in the manner laid down in Section 9A. The items are as follows :

1. Wages, including the period and mode of payment ;
2. Contribution paid or payable, by the employer to any provident fund or pension fund or for the benefit of the workmen under any law for the time being in force ;
3. Compensatory and other allowances ;
4. Hours of work and rest intervals ;
5. Leave with wages and holidays ;
6. Starting, alteration or discontinuance of shift working otherwise than in accordance with standing orders ;
7. Classification by grades ;
8. Withdrawal of any customary concession or privilege ;

9. Introduction of new rules of discipline, or alteration of existing rules, except insofar as they are provided in standing orders ;
10. Rationalisation, standardisation or improvement of plant or technique which is likely to lead to retrenchment of workmen ;
11. Any increase or reduction in the number of persons employed or to be employed in any occupation or process or department or shift, not due to forced matters.

Exemptions

No notice is required (a) where the change is effected in pursuance of any settlement, award or decision of the Labour Appellate Tribunal formerly in existence, and (b) where the workman is subject to the rules applicable to Government servants and railway establishments.

The appropriate Government can exempt any class of industrial establishment or any class of workmen from the operation of Section 9A if it is of opinion that the application of the provisions of that section will affect employers so prejudicially that there will arise serious repercussion on the industry concerned.—Sec. 9B.

During the pendency of any conciliation proceedings before a conciliation officer or a Board or of any proceeding before an arbitrator or a Labour Court or Tribunal or National Tribunal in respect of an industrial dispute the conditions of service of the workmen relating to any matter connected with the dispute *cannot be altered* to the prejudice of the workman without the written permission of the authority before which the proceeding is pending. Such workmen cannot be punished or discharged for any misconduct connected with the dispute without the permission of such authority.—Sec. 33(1).

Punishment

Regarding matters not connected with the dispute, the conditions on service may be changed. The workman may be punished in accordance with the standing orders of the establishment or, where there are no standing orders, according to the terms of the contract, express or implied, between the employer and the workman. But no workman can be discharged

unless he has been paid one month's wages and an application has been made by the employer to the authority before which the proceeding is pending for approval of the action. The authority concerned shall hear the application and pass orders without delay.—Sec. 33(2) & (5).

Protected Workman

A protected workman cannot be punished or discharged, nor can his terms of service be altered without the express permission of such authority. A "protected workman" is one who is an officer of a registered trade union connected with the establishment and is recognised as such in accordance with the rules. In every establishment the number of workmen to be recognised as protected shall be one per cent of the total number of workman, subject to a minimum of five and a maximum of one hundred. Rules may be framed regarding the distribution of such workmen among various trade unions, manner of choosing them etc.—Sec. 33(3) & (4).

Complaint

When an employer contravenes any of the aforesaid provisions during the pendency of proceedings before a Labour Court, Tribunal or National Tribunal, any employee aggrieved can make a complaint in writing to the authority before which proceedings are pending and such authority shall adjudicate upon the complaint as if it were a dispute referred to or pending before it.—Sec. 33A.

Abandonment of Service (S. 33A)

Certain workers put forward some demands to their management. The management refused and intimated them to join the work within a certain date. The workmen did not join. Held that it is not a case of abandonment of service on the part of the workers and the management cannot terminate the service. *G. T. Lad and others v. Chemicals and Fibres India Ltd.*¹

Penalty

A employer who contravenes the provisions of Section 33 can be punished with imprisonment up to six months or fine up to Rs. 1,000 or both.—Sec. 31(1).

¹ AIR (1979) Supreme Court 582

Case Law :

The law relating to Certified Standing Orders has been explained by the Supreme Court in the case, *Glaxo Laboratories (I) Ltd. v. Presiding Officer, Labour Court, Meerut and Others*.¹ The judgement is summarised below.

1. The Conditions of Service under the Certified Standing Orders prescribed under the Industrial Employment (Standing Orders) Act should receive interpretation as a more or less statutory flavour. It is safe to give the words in their natural meaning. The Act was enacted for ameliorating the conditions of the workers and therefore conditions of service prescribed thereunder must receive such interpretation as to advance the intendment underlying the Act and defeat the mischief.
2. Misconduct, "Committed within the premises of the establishment or in the vicinity thereof", must have a causal connection with the place of work and with duty hours. The employer has no extra territorial jurisdiction under the above Standing Orders to punish for misconduct.
3. The power to prescribe conditions of service is not unilateral but the workmen have right to object and to be heard and a statutory authority namely, Certifying Officer have to certify the same.
4. Misconduct, neither defined nor enumerated in the Standing Orders, is not punishable merely because the employer believes to be misconduct *ex post facto*.
5. The provision in the Standing Orders enumerating or defining acts of misconduct are in the nature of penal and must receive strict construction.

OFFENCES AND PENALTIES

Penalty for offences not otherwise provided under the Act. : Whoever contravenes any of the provisions of the Act or any rule made thereunder shall, if no other penalty is elsewhere provided by or under this Act, be punishable with fine which may extend to Rs. 100.—Sec. 31(2).

Offences by a company or association : Where a person committing an offence under this Act is a company or an association, every director, manager, secretary, agent or other officer or person concerned with the management thereof shall, unless he proves that the offence was committed without his knowledge or consent, be deemed to be guilty of such offence.—Sec. 32.

Cognizance of offences : No court shall take cognizance of any offence punishable under this Act, save on complaint made

¹ AIR (1984) Supreme Court 505

by or under the authority of the appropriate Government.—Sec. 34(1).

Place of trial: No court inferior to that of a Presidency Magistrate or a Magistrate of the first class shall try any offence punishable under this Act.—Sec. 34(2)

RECOVERY OF MONEY FROM EMPLOYER

Where any money is due to workman from an employer under a settlement or an award or an account of lay off or retrenchment he can apply to the appropriate Government for the recovery of the money through the Certificate Procedure (the special procedure available for the recovery of arrears of land revenue). Any other person authorised by him can also apply. In case of his death his assignee or heirs may apply. If the appropriate Government is satisfied that the money is due, the procedure will be applied. The workman may also use any other mode of recovery if he wishes.

The application shall be made within one year of the date when the money became due. It may be made after that period if the appropriate Government is satisfied that the applicant had sufficient cause for not making the application within the period.

If any question arises as to the amount of money due or the cash value of any benefit to which the workman is entitled, the question may be referred to a Labour Court. The Labour Court may appoint a Commissioner to compute the cash value of any benefit. After hearing his report, the Labour Court shall forward its decision to the appropriate Government. Thereafter the Certificate procedure can be applied.

A number of workmen under the same employer may apply jointly for the relief mentioned above.—Sec. 33C.

PROTECTION OF PERSONS

A member of a trade union or of a society cannot be expelled or in any other way punished by the union or society for refusing to take part in an illegal strike or lock out. Such a person cannot be subject to

- (1) expulsion from any trade union or society,
- (2) any fine or penalty, or
- (3) deprivation of any right or benefit to which he or his legal representatives would be entitled to,

- (4) any disability either directly or indirectly. If any person is expelled on such grounds, the Civil Court may order the restoration of his membership or alternatively direct that he be paid out of the funds of the union or society such sum by way of compensation as the court thinks just.—Sec. 35. (See Ch. 6).

REPRESENTATION OF PARTIES

A workman who is a party to a dispute shall be entitled to be represented in any proceeding under the Act by (a) an officer of the trade union of which he is a member, or (b) an officer of the federation of unions with which his trade union is affiliated, or (c) where the worker is not a member of any union, by an officer of any trade union connected with or by any workman employed in, the industry in which the workman is employed. The representative must be authorised in the prescribed manner.—Sec. 36(1).

An employer who is a party to a dispute is entitled to be represented by (a) any officer of an association of employers of which he is a member; (b) any officer of the federation of associations of employers with which the association referred to above is affiliated, or (c) where he is not a member of any association of employers, by an officer of any association of employers, connected with or by any other employee engaged in the same industry. The representative must be authorised in the prescribed manner.—Sec. 36(2).

No party to a dispute shall be entitled to be represented by a legal practitioner in any conciliation proceedings under this Act or in any proceedings before a Court.—Sec. 36(3),

In any proceedings before a Labour Court, Tribunal or National Tribunal, a party may be represented by a legal practitioner with the consent of the other parties and with the leave of the Labour Court, Tribunal or National Tribunal as the case may be.—Sec. 36(4).

The director of a company can represent the company even if he be a lawyer. *Hall & Anderson Ltd. v. S. K. Neogi*.¹

A lawyer, *simpliciter*, cannot appear before an Industrial Tribunal without the consent of the opposite party and leave of

¹ (1954) I.L.L.J. 629

the Tribunal merely by virtue of a power of attorney executed by a party. A lawyer can appear before the Tribunal in the capacity of an office-bearer of a registered trade union or an officer of associations of employers, and no consent of the other side and leave of the Tribunal will, then, be necessary. *Paradip Port Trust v. Their Workmen*.¹

EXERCISES

1. Explain the following terms as used in the Industrial Disputes Act, 1947 :

(a) Workman.	(Page 1003)
(b) Industry.	(Page 993)
(c) Industrial Dispute.	(Page 1000)
(d) Wages and Bonus.	(Page 1006 & 1008)
(e) Average Pay.	(Page 1043)
(f) Retrenchment.	(Page 1048)
(g) Strike and Lock-out.	(Pages 1030-1031)
(h) Illegal strike and lock-out.	(Page 1035)
(i) Lay-off and Retrenchment.	(Pages 1044, 1048)
(j) Award and Settlement.	(Page 1025)
(k) Employer.	(Page 1005)
(l) Wages.	(Page 1006)
(m) Public Utility Service.	(Page 1033)
(n) Continuous Service.	(Page 1042)
2. State whether the following undertakings are included in the term "Industry"—Hospital, Electrical department of the municipality, Ayurvedic College, Staff of Delhi University and business of a chartered accountant. Hospital. (Pages 993-1000)
3. What is industry? Discuss whether the following organisations come under the definition of industry : (i) A firm of chartered accountants (ii) The university of Delhi (iii) A college with an Ayurvedic Pharmacy. (1) University, (2) Hospital, (3) Municipal Corporation, (4) Firm of Solicitors. (Pages 993-1000)
4. What are the authorities prescribed under the Industrial Disputes Act, 1947 for settlement of industrial disputes? Discuss their functions and powers. (Pages 1013-1015)
5. What authorities have been set up under the Act for investigation and settlement of Industrial disputes? (Page 1013)
6. Mention the authorities and discuss the procedure of settlement of industrial dispute as provided in the Industrial Disputes Act. (Pages 1013-1015)

¹ AIR (1977) Supreme Court 36.

7. What do you understand by industrial dispute' as defined in the industrial Disputes Act, 1947? Who can raise a dispute?
(Pages 1000-1003)
8. Explain the meaning of industrial dispute according to the Industrial Disputes Act, 1947. Can a single workman raise an industrial dispute?
(Pages 1000-1003)
9. Explain the meaning of the expressions: (i) industry, and (ii) industrial dispute in the Industrial Disputes Act, 1947. Distinguish between lay-off and retrenchment.
(Pages 993, 1000-1003)
10. (a) What is Industrial Dispute? (b) Explain the procedure for voluntary reference of disputes to arbitration.
(Pages 1000-1003)
11. Enumerate the statutory provisions prohibiting strikes in a public utility service.
(Pages 1033-1036)
12. What are the provisions regarding "Lay Off" in the Industrial Disputes Act, 1947?
(Pages 1036, 1039)
13. State the provisions of the Industrial Disputes Act, 1947 regarding prohibition of Strike and Lockouts.
(Pages 1033-1036)
14. State the law regarding lay-off and strikes as provided in the Industrial Disputes Act, 1947.
(Pages 1031, 1039)
15. What are the conditions precedent to a Lock-out of any factory?
(Page 1030)
16. Distinguish between strikes and lock-outs. What are the restrictions imposed on strikes and lock-outs under the Industrial Disputes Act, 1947.
(Pages 1030-1031, 1033-1039)
17. Discuss the circumstances when compensation is or is not payable to a workman who has been laid off.
(Page 1047)
18. Define the term 'Lock-out' as used in the Industrial Disputes Act, 1947. What are the restrictions imposed on 'lock-out' by the above Act?
(Pages 1030-1033)
19. What are the rights of a workman who has been laid off for compensation?
(Pages 1047-1048)
20. Distinguish between lay-off and retrenchment under the Industrial Disputes Act, 1947.
(Page 1045)
21. What are the provisions for compensation payable to workman in case of lay-off and retrenchment under the Industrial Disputes Act, 1947.
(Pages 1047-1049)
22. What are rules regarding the prohibition of lay-off and closure of industrial undertaking under the Amendment of 1976.
(Pages 1045, 1053)
23. What is "Retrenchment"? State the statutory requirements for retrenching a workman. State the right of retrenched workmen.
(Pages 1048-1052)
24. What are the compensation payable to workmen in cases of transfer and closing down of undertakings?
(Pages 1052-1055)

25. State the conditions to be satisfied for retrenchment of a workman.
(Page 1048-1052)
26. Explain the rules regarding the period of operation of the settlement and award.
(Pages 1027-1030)
27. What are the provisions in the I.D. Act relating to notice for changing the conditions of service? What are matters in respect of which notice of change is prescribed in the I.D. Act?
(Pages 1059-1062)
28. State the provisions of the industrial Disputts Act relating (Commencement of the Award ; persons on. whom Settlements and Awards are binding and, the period of operation of Settlements and Awards.
(Pages 1026-1028)
29. Who are protected workmen ? What are their privileges ?
(Page 1061)
30. What do you understand by an "industrial dispute" as defined in the Industtrial Disputes Act ?
(Page 1000-1002)
31. State, the matters for which the Labour Court 'can give its award.
(Page 1017)
32. (a) Discuss the provisions of the Industrial Disputes Act, 1947 relating to voluntary reference of disputes to arbitration.
(b) Enumerate the provisions of the Industrial Disputes Act, 1947 relating to conditions precedent to retrenchment of workmen.
(Pages 1021-1022, 1057-1059)
33. (a) Discuss the provisions of the Industrial Disputes Act, 1947 relating to, payment of compensation in case of closing down of undertakings.
(b) Mention the persons on whom the settlements and awards are binding.
(Pages 1054-1055, 1025-1027)
34. Discuss the provisions of the Industrial Disputes Act, 1947 relating to strikes and lock-outs in public utility service.
(Pages 1033-1036, 1022-1024)
35. Who can raise an industrial dispute ?
(Page 1001)
36. Objective questions. Give short answer.
 - (1) Mention the persons who are not workmen according to the Industrial th Disputes Act.
(Page 1003)
 - (2) Define average pay as per Industrial Disputes Act, 1947.
(Page 1043)
 - (3) The service of a workman who has stolen some material from the factory has been terminated. Will this termination of service be amounted to retrenchment ?
(Pages 1047-1048)
 - (4) What are the conditions precedent to retrenchment of a workman ?
(Pages 1048-1050)

For the purpose of implementation of various objects of the Industrial Policy Resolution of 1948, the Government of India has enacted the Industries (Development and Regulation) Act, 1951 which came into force on May 8, 1952.

The Act brought under central control a number of important industries whose activities would greatly affect the economy as a whole and the development of which depend more on the import of the country. In order to achieve a balanced and sound industrial structure in the country the Act urged all new industrial undertakings to obtain license from the Central Government. Moreover, the Act empowered the Central Government to make rule for the registration of existing undertakings, for regulating the production and development of the industries and for consultation with the State Government on the matters. Besides, the Act provided for the establishment of a Central Advisory Council. In taking any action like revocation of a licence, registration or taking over control and management of any industrial concern the Central Government must consult the Central Advisory Council.

Over the Years a number of difficulties cropped up with the changing situation and the Act was amended in 1953 and 1971 to enable the rehabilitation of closed units through government initiative. The new economic policy amended the Act to a great extent.

The Act extends to the whole of India and applies to the industries which are specified in the first Schedule of the Act.

Establishment and Constitution of The Central Advisory Council and Development Councils

For the control and development of the industrial undertakings in consonance with the Industrial Policy Resolution, 1948 the Industries (Development and Regulation) Act, 1951 provided under Section 3 of the Act for the establishment of the Central Advisory Council by the Central Government. Accordingly, the Central Advisory Council was established by the Central Government

under Section 5 of the Act. The functions of the Advisory Council are to advise the Central Government in respect of development and regulation of scheduled industries, and in respect of administration of the Act and to make rules under the Act.

The Advisory Council consists of a Chairman and such other members not exceeding thirty in number, all of whom shall be appointed by the Central Government. The members shall represent the interests of

- (a) Owners of industrial undertakings in scheduled industries.
- (b) Persons engaged in industrial undertakings in scheduled industries.
- (c) Consumers of goods manufactured or produced by scheduled industries.
- (d) Such other class of persons including primary products⁴ who ought to be represented on the Advisory Council as per opinion of the Central Government.

The term of the members of the Advisory Council and the procedures to be followed in the discharge of their functions will be determined by the prescribed rules. Likewise, the manner of filling casual vacancies among members will also follow the prescribed rules.

It should also be noted that in the matters of formulation of rules and procedures other than prescribed in Section 3 of the Act, Central Government must consult the Advisory Council in terms of Section 5 of the Act.

Development Councils

The Central Government has the power to establish a body of persons to be called a Development Council for any scheduled industry or group of scheduled industries. The Council consists of members representing the interests of labour, capital, consumers and technical skills. The number and term of the office of and the procedure to be followed in the discharge of their functions, and the manner of filling casual vacancies among members of Development Council shall be such as may be prescribed. So far as the status of the Development Council is concerned the Council will be considered as a Corporate body, capable of holding and transferring property. Further, it may sue and be sued in its own name.

Functions of The Development Council

The purpose of the Development Council is to secure proper development of scheduled industries. To that end the Council is involved in so many functions the most important of which are as follows :

1. To recommend targets for production, co-ordinate production programme and review prospects from time to time.
2. To suggest norms of efficiency with a view to eliminating waste, obtaining maximum production, improving quality and reducing costs.
3. To recommend measures for securing fuller utilization of the installed Capacity.
4. To promote arrangements for better marketing and assist in the distribution of controlled materials.
5. To promote standardisation of product.
6. To promote or undertake enquiry as to materials and equipments and method of production, management and labour utilisation including the discovery and development of new materials, equipments and methods and of improvements in those already in use.
7. To promote the training of persons engaged or propose engagements in the industry in technical subjects.
8. To promote the retaining in alternative occupations of persons engaged in or retrenched from the industry.
9. To promote or undertake scientific and industrial research.
10. To promote improvements and standardisation of accounting and costing methods and practice.
11. To promote or undertake the collection and formulation of statistics.
12. To investigate possibilities of decentralizing stages and processes of production with a view to encouraging the growth of allied small scale and Cottage industries.
13. To promote the productivity of labour and to secure safer and better working conditions.
14. To undertake enquiry for the purpose of tendering advise to the Central Government on matters referred to a Development Council.
15. To undertake arrangements for making available to the industry information obtained and for advising on matters with which the Development Councils are concerned.

The Development Council is required to perform such other functions as required under the Act.

Under Section 22 of the Act every Development Council, in the exercise of its function, is required to be guided by such instructions as may be given to it by the Central Government. Such instruction may include directions relating to the manner in which, and the purpose for which any proceeds of the cess lived under Section 9 which may have been handed over to it, will be spent.

Cess on Scheduled Industries by The Central Government and Its Utilization

Further, under Section 9, the Central Government may buy and collect a cess on all goods manufactured or produced in any scheduled industry as may be specified by the Central Government by a notified order. Different rates may be specified for different goods or different classes of goods. The amount of cess so collected will have to be utilized by the Development Council strictly for the advancement of scientific and industrial research, improvement in design and quality, training of technicians and labour and for muting administrative expenses.

Report and Accounts of Development Councils

Under Section 7 of the Act the Development Council is required to prepare a detailed report about its functions during the last financial year. This report must be submitted along with the statement of accounts duly audited. The statement must show the total remuneration and allowances paid during the year to members and officers also. A copy of each such report of Development Council shall be laid before the Parliament by the Central Government.

Dissolution of Development Councils

Under Section 8 the Central Government may by notified order, dissolve any Development Council if it considers that this Development Council is not required at all. On its dissolution the assets of the Development Council if any, shall vest in the Central Government.

Regulation of Scheduled Industries

Regulation of scheduled industries can be made by two ways—registration of existing industries and licensing of new ones.

Under the Industries (Development and Regulation) Act, 1951 registration of all the existing industrial undertakings and licensing of new ones are compulsory.

Registration of Existing Industrial Undertakings

Under Section 10 of the Act the registration of all the existing industrial undertakings in the scheduled industries is compulsory. Therefore, the owners of the undertakings must obtain a certificate of registration within a stipulated period. Even when the Central Government is the owner it has to take the certificate of registration for an undertaking owned by it. The certificate will contain the approved productive capacity of the undertakings and such particulars as prescribed by the authority.

Revocation of Registration

Under Section 10 of the Act, the Central Government has the power to revoke any given registration if it deems necessary, especially if it has been obtained by misrepresentation of essential facts, or if the industry or concern has been granted exemption from the registration, or if for any other reason the representation has become useless or ineffective.

Licensing of New Industrial Undertakings

The basic objectives of industrial licensing policy are (a) to promote and regulate industrial development in accordance with the plan priorities, (b) to encourage and project the medium and small industries, (c) to prevent concentration of economic power, and (d) to promote regional economic balance.

The Industries (Development and Registration) Act, 1951 incorporated the industrial licensing policy amended in 1948. The important provisions of the Act were—

(1) No new industrial units could be established or substantial extension to existing plants made without a license from the Central Government, while granting licence for new undertakings, government could lay down conditions regarding location, minimum size etc., if necessary.

(2) The owner of an industrial undertakings, not being the Central Government, is required to obtain a licence or prior permission for the production or manufacture of a new article by the industry so registered or licensed.

(3) The State Governments, however, need not take such licence except that they must seek the prior permission of the Central Government before establishing any new industry.

Procedure for The Grant of Licence or Permission

Under Section 14, before granting any licence or permission under Section 11, Section 11A, Section 13 or Section 29-B, the Central Government may require such officer or authority as it may appoint for the purpose to make a full and complete investigation in respect of the application received in this behalf and report to it about the result of such investigation. In making any such investigation, the officer or authority must follow such procedures as may be prescribed.

Revocation and Amendment of Licence

Under Section 12 the Central Government has the power to revoke or amend a licence, if the licensee has failed to establish an industry within the time fixed in the licence. Before the Central Government may revoke the licence, it must be satisfied that the person or authority has, without reasonable cause, failed to establish the new industrial undertakings.

Present Position of Licensing and Registration

With the idea of globalisation of the Indian economy the new Industrial Policy, 1991 makes a big departure from the old policy and the Act, 1951 as well. In the sphere of industrial licensing, the role of the government has to be changed from that of only exercising control to one of providing help and guidance by making essential procedure fully transparent and by eliminating delays. In the above context industrial licensing will hence forth be abolished. For all industries, except 18 specified industries. Similarly, all existing registration schemes will be abolished. Entrepreneurs will henceforth be required only to file an information memorandum on new projects and substantial expansion.

Basic Features of Present Licensing Policy

(1) Industrial licensing will be abolished for all projects except for a short list (18) of specified industries. These specified industries will continue to be subject to compulsory licensing for reasons related to security and strategic concerns, social

reasons, hazardous chemicals and overriding environmental issues and articles of elitist consumption.

(2) Areas where security and strategic concerns predominate will continue to be reserved for the public sector.

(3) In projects where imported capital goods are required, automatic clearance will be given.

(4) In locations other than cities of more than 1 million population there will be no requirement of obtaining industrial approvals from the Central Government except for industries subject to compulsory licensing.

(5) The exemption from licensing will apply to all substantial expansions of existing units.

(6) The Compulsory licensing provisions would not apply in respect of the small-scale units taking up manufacture of any of the 18 specified items reserved for exclusive manufacture in small scale sectors.

List of Industries in Respect of Which Industrial Licensing Will Be Compulsory

(1) Coals and lignite, (2) petroleum (other than crude) and its distillation products, (3) distillation and brewing of alcoholic drugs, (4) sugar, (5) animal fats and oils, (6) cigars and cigarettes of tobacco and manufactured tobacco substitutes, (7) asbestos and asbestos-based products, (8) plywood, (9) raw hides and skins, leather and patent leather, (10) tanned or dressed furskins, (11) motor cars, (12) paper and newsprint except baggage-based units, (13) electronic aerospace and defence equipment, all types, (14) industrial explosives, (15) hazardous chemicals, (16) drugs and pharmaceutical, (17) entertainment electronics, colour TVs, C.D. Players, tape recorders, (18) white goods (domestic refrigerators, domestic dish washing machines, domestic washing machines, microwave ovens, airconditioners).

Power to Cause Investigation to be Made in to Scheduled Industries or Industrial Undertakings

Under Section 15 of the Industries (Development and Regulation) Act, 1951, only the registration and licensing of industrial undertakings is not enough for the purpose of regulation of industries, but it is also essential to keep a careful watch on the day to day working of scheduled industries. To that Section 15 empowers the Central Government to cause investigation to

be made into selected industries or industrial undertakings under certain circumstances which are as follows—

- (1) that there has been a substantial fall in the volume of production in respect of any article, without any justification ;
- (2) that there is a fall of quality of any article without any justification ;
- (3) that there has been a rise in the price of any article without any justification ;
- (4) that it is necessary to take any such action as it is provided for the purpose of conserving any resource of national importance which are utilized in the industry or industrial undertaking as the case may be ;
- (5) that any industrial undertaking is being managed in a manner highly detrimental to the scheduled industry or to the public interest.

Under Section 15A of the Act, where a company owning an industrial undertaking is being wound up by or under the supervision of the High Court, the Central Government may apply to the Court for the permission to make an investigation into the possibility of running or restarting an industrial undertaking. The investigation shall be done by such person or body of persons as the Central Government may appoint for the purpose.

Power of The Central Government

Under Section 10 of the Act, if after due investigation the Central Government is satisfied that action under Section 16 is desirable, then it may issue such directions to the industrial undertaking or industrial undertakings concerned as may be appropriate in the circumstances for all or any of the following purposes namely—

- (1) to regulate the production of any article or class of articles and fix the standards of production,
- (2) to require the industrial undertakings to take such step as the Central Government may consider necessary to stimulate the development of the industry to which the industrial undertakings relate,
- (3) to prohibit the industrial undertakings from resorting to any act or practice which might reduce their production capacity or economic value.

- (4) to control the prices or regulate the distribution of any articles which have been the subject matter of investigation.

The Central Government may issue all interim directions pending conclusion of investigations.

Management or Control of Industrial Undertakings by Central Government

Under Section 18A, when the Central Government is of the opinion that an industrial undertaking has failed to comply with any directions issued by the Government, or

Is being managed in a manner highly detrimental to the scheduled industry concerned or to public interest, the Central Government may, by notified order, authorise any person or body of persons to take over the management of the whole or any part of the undertaking or to exercise in respect of the whole or any part of the undertaking such functions of control as may be specified in the order.

The period of management remains effective upto five years depending upon the order specified. However, if the Central Government is of the opinion that it is necessary for public interest to extent the period then it may be extended upto 12 years by stages—not extending more than two years at a time after 5 years. Where any such order is issued, a copy thereof shall be laid as soon as may be, before both houses of Parliament.

Section 18F empowers the Central Government to cancel the notified order issued under Section 18A under certain circumstances. On the cancellation of any such order, the management or control of the industrial undertaking shall vest in the owner of the undertaking.

Power to Take Over Industrial Undertakings Without Investigations

Under Section 18-AA of the Act, wide powers of taking over the management of industrial undertakings are vested in the Central Government. The grounds upon which this power can be exercised are as follows—

- (a) The persons incharge of the industrial undertakings have, by reckless investments or creation of encumbrances on the assets of industrial undertaking or by diversion of funds, brought about a situation which is likely to affect the production of articles

manufactured or produced in the industrial undertaking and that immediate action is necessary to prevent such a situation.

(b) The industrial undertaking has been closed for a period of not less than 3 months and such closure is prejudicial to the concerned scheduled industry and that the financial condition of the company owning the industrial undertaking and the condition of the plant and machinery of such undertaking are such that it is possible to restart the undertaking and such restarting is necessary in the interest of the general public.

Where notified order has been made by the Central Government, the person or body of persons having for the time being control of the industrial undertaking must immediately make over the charge of management or control of the industrial undertaking to the authorised person.

Effects of Notified Order

The effects of the notified order under Section 18A authorising the taking over the management of an industrial undertaking are as follows :

(a) All persons in charge of the management shall be deemed to have vacated their office.

(b) Any contract of management between the industrial undertaking and any director thereof holding office as such immediately before the issue of the notified order shall be deemed to have been terminated.

(c) The persons or body of persons authorised under Section 18A to take over the management shall take all necessary steps to take into his or their custody or control all the property, effects and actionable claim, from the date of the notified order.

(d) The persons, authorised under Section 18A to take over the management of an industrial undertaking which is a company shall be for all interests and purposes, the directors of the industrial undertaking duly constituted under the Companies Act.

The business of the undertaking shall be carried on pursuant to any directions given by the authorised persons in accordance with the provisions of the notified order. The persons or the body of the persons authorised must exercise his or their functions in accordance with such directions as may be given by the Central Government.

Section D of the Act takes away the right to compensation for termination of office or contract.

EXERCISES

1. Describe the constitution of the Central Advisory council in the Industries (Development & Regulation) Act, 1951.
(Pages 1068-1069)
2. Describe about the establishment, constitution and function of Development Council.
(Pages 1068-1070)
3. Discuss about the regulation of Scheduled Industries.
(Pages 1071-1072)
4. State the procedure for the grant of licence or permission.
(Page 1073)
5. Discuss about the take ones, management and control of Industrial Undertakings.
(Page 1076)
6. What are the effects of Notified order under Section 19A ?
(Page 1077)
7. Write short notes :
(a) Central Advisory Council ; (b) Registration ; (c) Industrial Licencing Policy. [Pages (a) 1068 ; (b) 1072 ; (c) 1073]

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